A Maharatna Company

PURCHASE MANAGEMENT SYSTEM MANUAL

(CORPORATE MATERIALS MANAGEMENT)

NTPC LIMITED

(A Government of India Enterprise)

ENGINEERING OFFICE COMPLEX

A-8A, Sector- 24, NOIDA 201301

Purchase Management System Manual

IIIrd Edition: March - 2018

Review & Formulated By

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टी.आर. दत्ता
कार्यकारी निदेशक
कारपोरेट संविदा व सामग्री

T.R. DATTA
Executive Director
Corporate Contracts & Materials

एन टी पी सी लिमिटेड
(भारत सरकार का उद्यम)
NTPC Limited
(A Govt. of India Enterprises)
(Formerly National Thermal Power Corporation Ltd.)
नोएडा कार्यालय/NOIDA OFFICE

FOREWORD

NTPC, as one of the 'MAHARATNA' Public Sector Undertakings is poised to become a global giant. Today NTPC has a installed capacity of more than 53000 MW, almost one fifth of the installed capacity in the entire country. Further NTPC has an ambitious plan to become a 130 GW plus company by the year 2032.

In a large organization like NTPC, it is necessary to have a very strong system oriented functioning in various disciplines.

Purchase Management is an important techno-commercial activity of the integrated Materials Management System. Purchase Management is based on the following important criteria.

1) Economics & Transparency
2) Quality & Specification
3) Delivery Schedule

In order to implement all the above criteria effectively and systematically in Purchase Management functions, it is very much necessary to have proper systems/guidelines/norms.

Further a Purchase professional in PSU has to justify each and every activity in Purchase Division to many other agencies like Govt. Auditors, Statutory Auditors, Vigilance Department and above all to management. As such without any proper systems, guidelines/norms it would be very much difficult for anybody to function meeting these requirements. Hence the need of a comprehensive Purchase Management System Manual.

First and Second Edition of "Purchase Management System Manual" was prepared long back in March, 1990 and August, 1999 respectively. Subsequently, during the year 2016, it is felt prudent to review the manual in totality because of implementation of ERP/ SAP system and e- tendering activity. Further, due to the implementation of GePNIC and procurement through GeM portal, the procedural changes have also been included in the Manual. Moreover, based on various feedback from sites, introduction of MSME policy by Govt., changes in internal rules, regulations, norms in the form of Circulars etc. and on the basis of practical experience committee has included the respective changes.

I hope that the Third Edition of the manual shall be very much useful to all the purchase professionals and others involved in this area and will act as a **HAND BOOK FOR PURCHASE** in NTPC.

I would request that the laid down procedures/guidelines/norms are fully implemented by all the concerned to have uniform policy & procedures on PAN NTPC basis. While implementing this manual, valuable suggestions, feedback if any, are welcome and will be suitably taken care at the time of reviewing the manual in future.

(T.R.DATTA)
Executive Director(CC&M)

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Published By:- CORPORATE MATERIALS MANAGEMENT

CORPORATE MATERIALS MANAGEMENT

QUALITY POLICY

- Corporate Materials is committed to issue policies and guidelines for Materials Management functions on Pan NTPC basis to facilitate uniform implementation by the stations to achieve Transparency, Cost Effectiveness and Time Frame for execution.

- Corporate Materials shall effectively implement the above policies in all its functions, specifically in the area of Procurement and Custom Clearance, Insurance and inventory management to satisfy Management perspectives of the organization as a whole.

QUALITY OBJECTIVES

- To reduce the Insurance Premium per crore of asset in each succeeding financial year with increased coverage based on future Risk perception and arrange Centralized Policies as far as possible.

- To reduce Spares Inventory and Improve Plant Availability of coal-based stations through Identification of Interchangeable Spares, facilitate transfer of surplus and Non Moving usable items to needy projects.

- To reduce the Import Consolidation, Clearance cost and Time through Total Logistics Concept.

- To meet the Procurement requirement of Corporate Centre as well as Common requirement of IT & Communication activities for all sites.

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CHAPTER-I

INTRODUCTION

INTRODUCTION

Purchase Management is considered to be the most important part of integrated Materials Management Services. Purchase Management being a service function, the performance will be judged on the basis of satisfaction level of the end users. At the same time each and every decision in purchase functioning basically involves financial implication and accordingly in Public Sector Undertaking, it is very much essential to ensure the public accountability. For this purpose, a systematic approach as well as transparency in purchase functioning is the top most requirements.

In order to follow the basic ethics of purchasing policy and its effective use and to ensure the uniformity / standards in the systematic approach, the concept of purchase manual has been visualized. This first and second editions of the manual were prepared long back in 1990 & 1999 respectively. Subsequently, because of changes in systems, procedures, standards and norms in various activities during the last 17 years a committee was formed to review the manual. After detailed deliberations on various aspects by the committee and on the basis of encouraging feedback and suggestions received from different sites, the third edition of the purchase manual has been compiled. This manual also includes references to the new Public Procurement Policy and Policy Guidelines for according benefits to Micro & Small Scale Units (MSEs).

This manual will be able to meet the requirement of fresh entrants in the purchase function as well as it will act as a ready reckoner for the practicing purchase professional. In this manual purchase activities primarily focusing on procurement through e-Tendering system adopted in NTPC and the various Proforma / Bid Documents which are required on day to day basis have been covered. Nevertheless, procurement covering paper purchasing has also been included, to be referred to whenever required. It may also be mentioned here that in case of adaptation of any other e-Tendering system in future by NTPC, a separate User Manual may be issued for the same.

This third edition of the manual will clarify the procedures/ guidelines wherever there were some kind of ambiguity and various standards/ norms have been included to improve the working system better and in turn the total purchasing activities will be much more transparent than before.

It is pertinent to note here that owing to the introduction of GST and subsequent adaptation of the new taxation system, Sales Tax, Service Tax, VAT, Excise Duty etc. have been substituted by “GST”.

The purpose of this manual will be fulfilled when the content is followed both in letter and spirit.

CHAPTER-II

OBJECTIVE, SCOPE & PHILOSOPHY

OBJECTIVE, SCOPE & PHILOSOPHY

The basic objective of Purchase Management is to ensure Right Quality of Material at the Right Price from a Right Source delivered to a Right Place at the Right Time. Each of these objectives has its own significance and merits utmost knowledge, care, diligence, focused attention and wisdom. To avoid slippages in external and internal lead –time it needs both expertise and experience. The dynamics of the fast changing scenario in market conditions e.g. liberalized economy, new technology / process/ product and fast obsolescence need to be understood and appreciated not only by purchase executives but also by the executives of user departments.

Indenting officials are the internal customers of materials department and their need and concern demand prompt response. Proper co-ordination between purchase and indenting department will ensure enhancement of mutual confidence and effective end-result. Long term planning needs to be done to avoid stock-out situation. Rolling plan for spares for a period of three years need to be done and updated well in advance by the user departments particularly for "A" class and imported items. Cash purchase should be avoided as far as possible for plant maintenance / regular requirement item and the quantum of cash purchase for such items is the real indicator of purchase efficiency.

In the present scenario the buyer – seller relation plays a vital role in achieving the goal of the organization. This is also one of the NTPC core values which is to be pursued by purchase/ contracts officials for building vendor partnership organization for the mutual benefit of both. While no compromise should be made in the quality of the product or the specification, it is the onerous duty of purchase executive to ensure timely payment as per. P.O. terms. Purchase Management should also have in- built system and procedures for timely release of EMDs & PBGs, for arranging inspections and providing any other inputs as per P.O. terms.

Another important activity of purchase department is to identify the right source of supply. The selection of right source will automatically eliminate the problems of quality, delivery and economy and as a result major disputes can also be avoided/ resolved and vendor partnership relations may be satisfactorily maintained. Thus an approved list of vendors has to be prepared and the same are to be followed strictly. Depending on the performance of vendors and knowledge of new entrants in the field, list will be revised from time to time for making the list most effective.

Keeping in view the importance of Information Technology in supply chain management, effective use of On-line materials management system is a prerequisite for data bank of vendors and their updated performance evaluations, quality plan, LPPs, automatic generation of indents for stock items, follow-up with vendors, overdue orders, inputs for PRs etc.

The most important activity of purchase function is to ensure economic buying without compromising the quality standard and the goal of the organization. For this specialised knowledge, all the purchase executives should be up-dated with the market environment and trained with all professional expertise e.g. negotiating skills, legal aspects of contractual terms, knowledge of tendering, equity, ethics and strict adherence of the guidelines and purchase procedures of NTPC.

The purchase management system manual has been updated to cover all the scope of purchase activities with the basis objectives in view. Hope this will help all the purchase professionals and others to be more systematic in uniform implementation of guidelines and thereby it will improve the internal customer service satisfaction and vendor partnership – the ultimate aim of purchase function.

CHAPTER-III

ORGANISATION STRUCTURE

ORGANISATION STRUCTURE

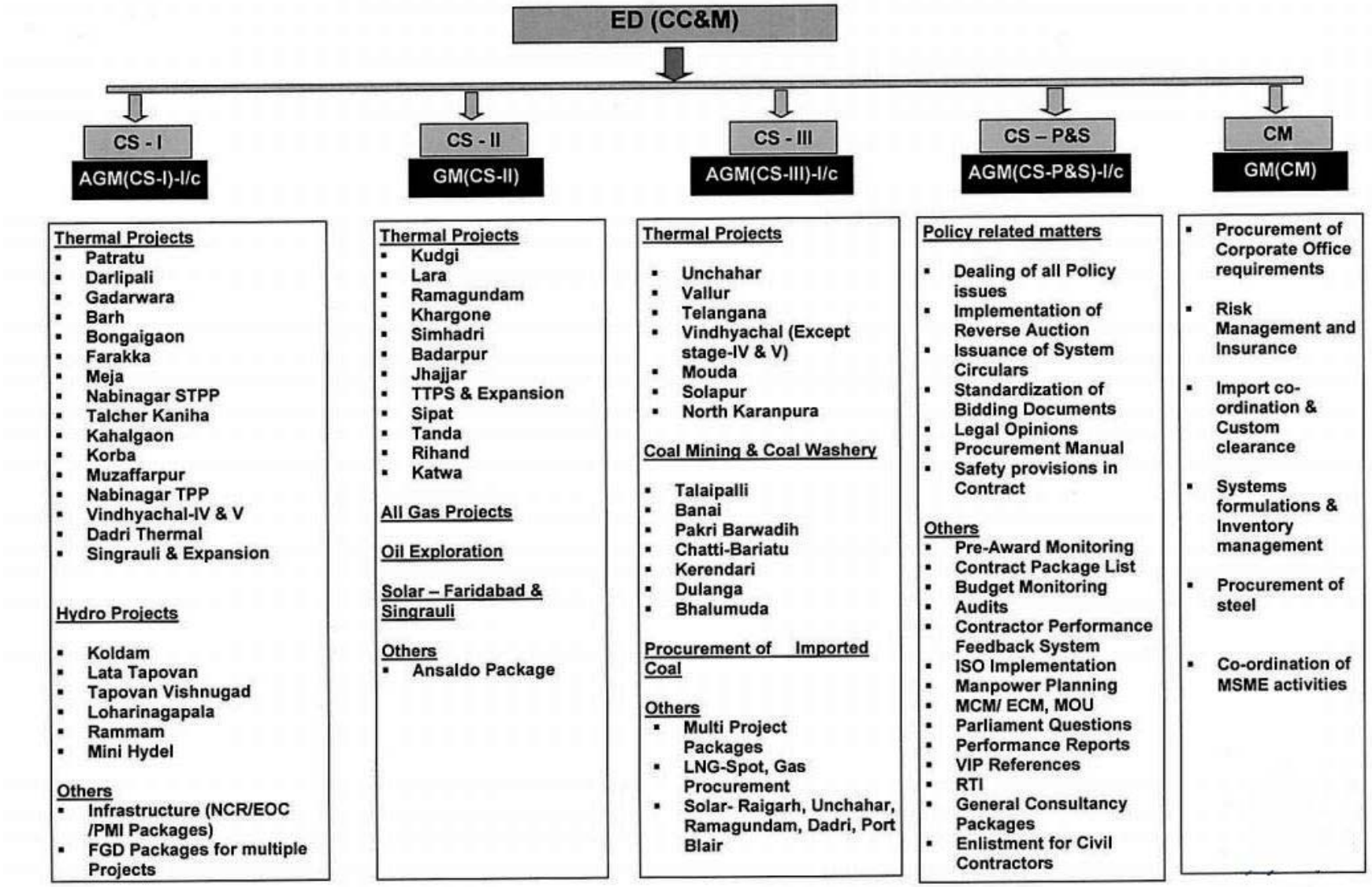
i) **The total strength of purchase section including P&S should be normally limited to 5 man days per Purchase Requisition from case opening to closing on an average. This is on basis of 300 man days taken as available per year.**

ii) **The interaction between purchase section and other section of C&M department with HOD (C&M) would be generally as per Annexure-I (at Corporate Office) & as per Annexure-II (at Projects).**

iii) **Procurement group I & II would be allotted responsibility of procurement on the basis of main group and it will be decided on the basis of flow of indent against each main group.**

iv) **The organization chart for purchase section would be generally as per Annexure – III.**

Annexure- I

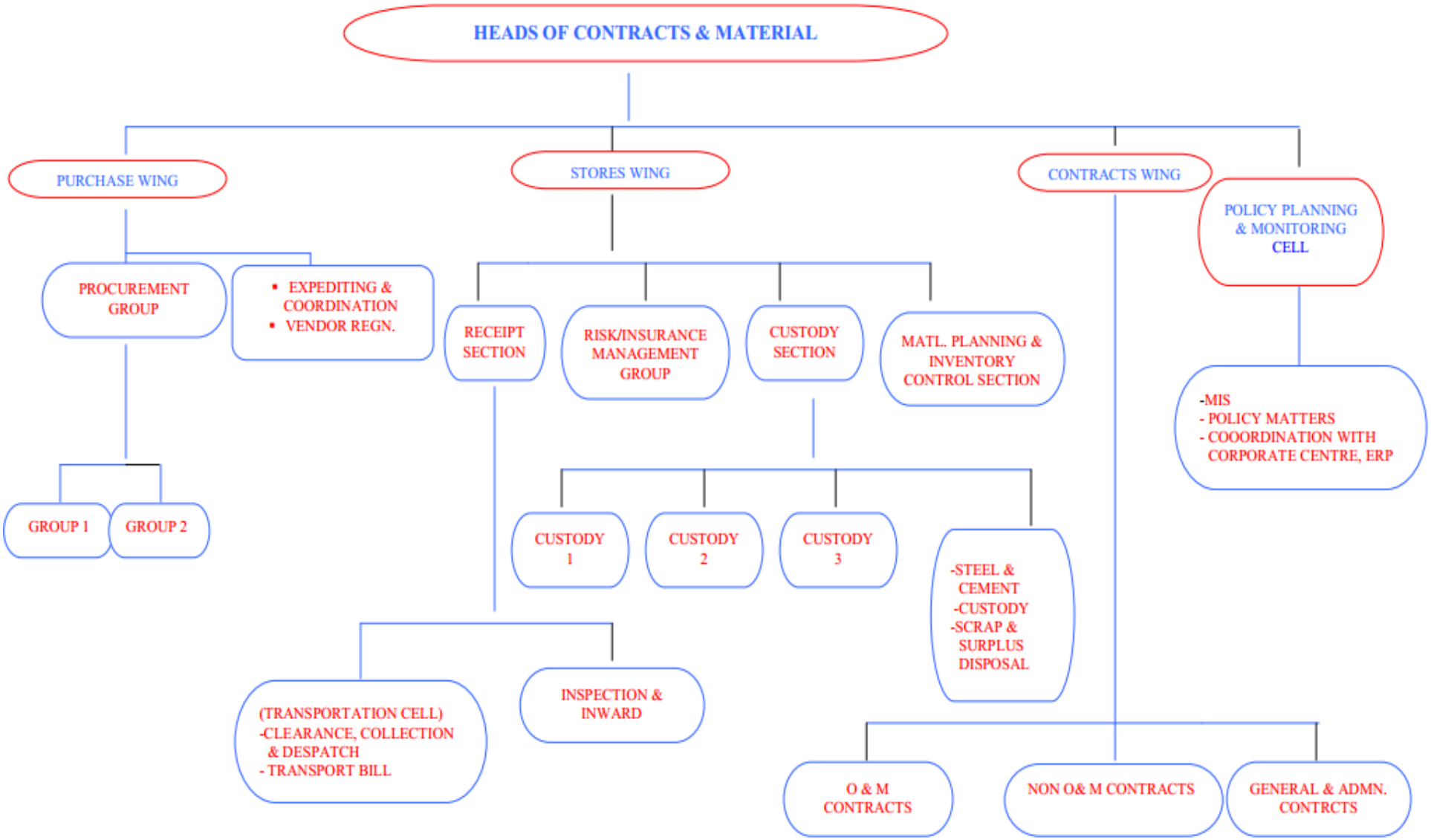


NOTE: New R&M packages will be allotted to groups at a later stage as and when requirement comes.

***As On: 10-05-2017

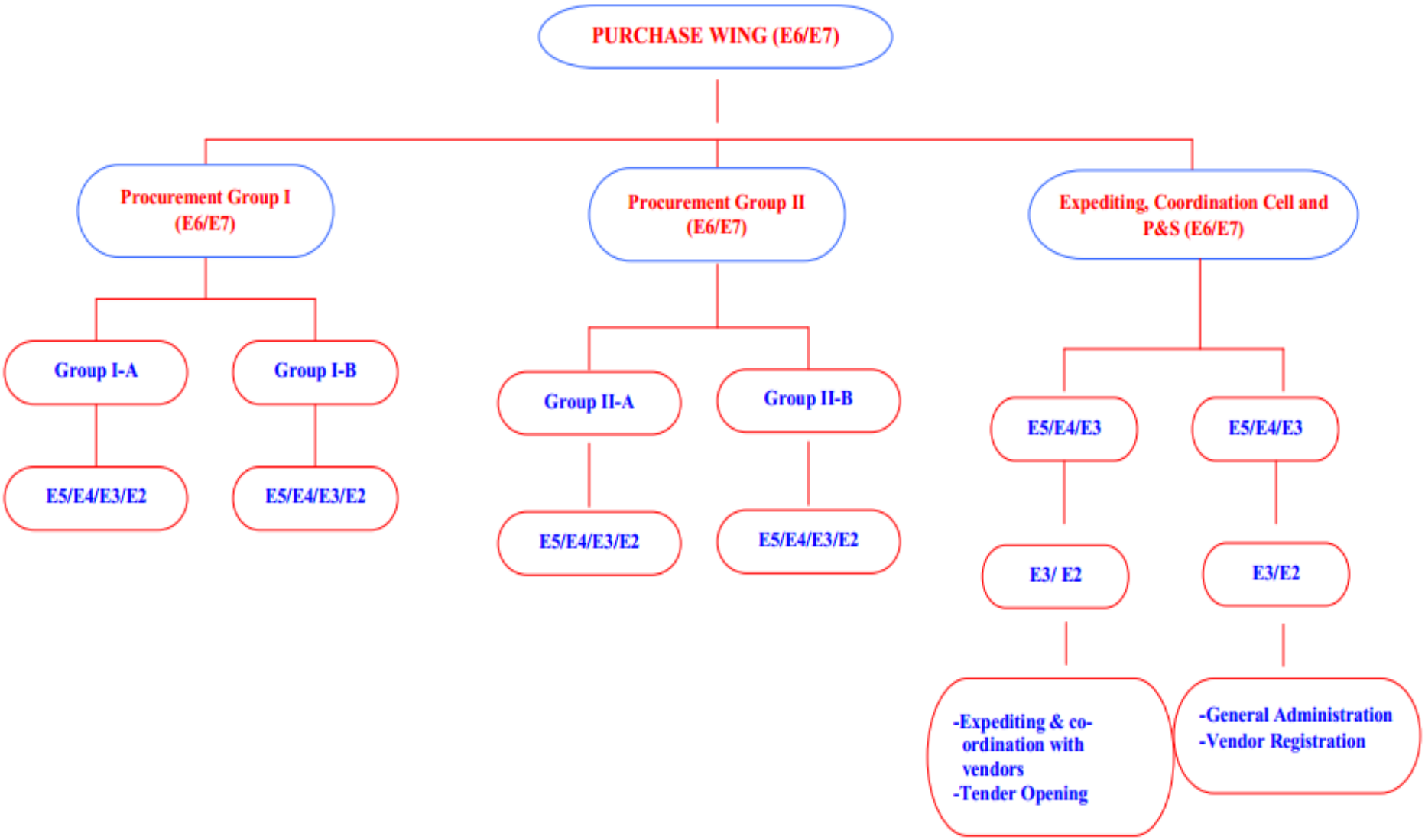
Annexure- II

ORGANISATION CHART FOR PROJECT CONTRACT SERVICES AND MATERIAL.



Annexure- III

ORGANISATION CHART FOR PURCHASE SECTION.



CHAPTER-IV

MATERIAL PLANNING & INDENTING

4.0 PROCEDURE FOR PURCHASE REQUISITION

4.1 For the purpose of Purchase Requisition(PR) materials planning is to be done on the basis of following groups:

1 Stock item (Automatic Recoupment items) (AR)
2 Consumable Spares (C)
3 Capital Items (P)
4 Other non-stock items (Not falling under any of the above referred category) (O)

4.2 ABC Classification of items:

ABC analysis is a technique by which selective Control can be exercised on all Materials Management Activities.

A-Class Items : Items having Annual Consumption over Rs. 1.0 lakh are classified as 'A' class

B-Class Items : Items having Annual Consumption over Rs. 10,000/- and up to Rs.1.0 lakh are classified as 'B' Class

C-Class Items : Items having Annual Consumption up to Rs. 10,000/- are classified as 'C' Class.

4.3 Preparation of Purchase Requisition

(A) Automatic generation of PR through ABB: It is envisaged to generate PRs automatically through ABB. This will facilitate consolidation of cases and reduction in no. of PRs, thereby drastically reducing procurement lead time.

(B) PR by Indentor: Where ABB has not been fully operational online, generation of Purchase Indent may be done by raising PR on the basis of approved budget (ABB) as per requirement. The list of such items will be available with MTP group and such PRs shall be routed through them.

(C) Automatic generation of PR for MRP (Material Requirements Planning) Item: All items of regular nature, where multiple users are involved, are to be identified as AR (Automatic Replenishment) items and PR for the same is to be created through MRP run in ERP. Different MRP Controllers can be identified for different groups of items and made responsible for generation of PR. Separate DOP exists for the same. In case PR for AR items are *not* generated through MRP, responsibility to create such PRs will be of Stores and DOP clause applicable for approved indents as provided in the DOP should be used.

For 'A' Class items of spares in nature, PR shall be raised equipment wise. However, for 'A' class consumables, the same may be clubbed for similar type of items. For 'B' & 'C' class items, PR shall be raised on the basis of main group. Each indent should contain items of same main group.

The PR shall be generated on line in the SAP system as per standard format and should be completed in all respects with the following information.

I) Description

The description of item should contain the detailed specifications which should include the relevant IS/BS standard or any other acceptable standard drawing details etc. so that calling of sample may be avoided as far as possible.

II) Quantity

The quantity to be indented item wise shall depend on past consumption, anticipated consumption in future, nature of the item including shelf life & classification of items as above. Moreover, the lead time is a major factor for deciding the quantity. Indent should be raised at least one lead time in advance of the expected date of use and depending on the market condition. In case of set, the definition of set to be furnished. (Internal lead time to be maintained as per circular no. 75 dated 14/12/2001 (copy enclosed as Annexure-1) to plan the requirement.

Further the requirements should be clubbed as far as possible by MTP and in no case indent for the same item can be raised more than twice in a year.

III) Estimated Value

The estimated value of the indent should be as far as practicable. Basis of estimates should be either on the last purchase price of similar item from SAP with escalation if any or market trend or budgetary offer or on the basis of technical specifications e.g. size, weight etc. In case of new items detailed justification & working sheet of estimated cost shall be furnished, wherever possible.

IV) PR should enclose the following documents:

A) P.A.C/OEM/OES or Standardization Certificate, wherever applicable.
B) QAP/Inspection Procedures where pre-dispatch inspection is involved.
C) Drawings, if any
D) Detailed Analysis sheet for spares as per revised format at page 14
E) Qualifying requirement if any, in case of open tender
F) Delivery period details and PDI requirement
G) Detailed specification sheet, if any

V) Budget Certification

PR should be raised only when the budget is allocated for that section/group. In case of extreme urgency and when the budget is not allocated the same can be raised with the written approval of Head of Project and the same will be got certified by finance budget

section before placement of purchase order. However, for capital items, indent should be raised only when budget is specifically allotted for the item.

VI) Rating of PR

Emergent rating should be approved by Head of Department at minimum E7 level only.

VII) Scrutiny of PR by C&M

Before registration of PR, purchase section shall scrutinize the indents with regard to various points e.g. completeness of specification, realistic delivery period, proprietary article/ standardization certificate, approval of competent authority or any other deficiencies in the drawing etc. requiring clarification in the absence of which procurement action cannot be initiated by the purchase section. Quality plan should be enclosed with the indent by FQA wherever pre-dispatch inspection is required.

VIII) Review of PR by Screening Committee

In view of Management's concern toward rising inventory, the review of indents of O&M spares excluding Capital spares by higher authority has been envisaged and accordingly the following will be implemented strictly.

Wherever the indent estimated value is more than Rs.5 lacs and up to Rs.10 lacs, a committee at the level of E6 consisting of Materials, Finance and indenting department will review the indented quantity on the basis of past data.

In cases where the indent estimated value is Rs. 10 lacs or more the indent will be reviewed by screening Committee consisting of HOD (C&M), HOD (F&A) and HOD (O&M) in regard to quantity/specification keeping in view of the past consumption, future anticipated consumption, stock qty. failure rate, lead time and last purchase details as per detailed analysis sheet for spares. The Convener for the screening committee will be Head of MTP.

Note: *In case where ABB (Activity Based Budgeting) system is implemented, the above system of screening committee review is not applicable*

IX) Approval of PR

This is to be done on line as per existing Delegation of Power issued from time to time & in accordance with the provision of works & procurement policy.

X) Registration of PR

The indent will be registered in purchase section through SAP system after checking all the required documents as per clause IV above including approval as per DOP provision. Procurement cycle shall be reckoned from the date of PR Registration.

DETAILED ANALYSIS OF SPARES PARTS FOR MAIN GROUP SUB GROUP.

1	2	3	4	7	8	9	10	11	12	13	14	15				16	17
Sl. No	Code no.	Item description	Population of Item	Life of Spare/ Sub Assly	Actual Consumption	Estimated Consumption	Failure Rate in	Safety Stock	Qty. in Stock As on	Pending order Qty with details Order No. Date	Pending Indent No. & Qty.	Last Purchase Details				Qty. Proposed Indent	Remarks
												Indent on & Date	Qty	PO No.& Date	Last Purchase Price		

CHAPTER-V

PURCHASE PROCEDURES & GUIDELINES

5.0 MODE OF TENDERING AND PROCEDURES

5.1 The following mode of e-tendering in SRM can be adopted for the purpose of procurement.

1. **Open tender** — Through public advertisement on the Websites & Newspapers as per Works and Procurement Policy (Normally for PR value above Rs. 50 lacs and Guidelines issued from time to time). If all the enlisted vendors (through Open Tendering) are considered for issue of tender, the same shall be treated at par with open tender irrespective of value.

2. **Limited tender** — By invitation to selected sources already enlisted with NTPC as per office order no. 265/2007 dtd. 22/01/2007 (copy enclosed as Annexure-3) of Works & Procurement Policy or on standardization basis (for PR value normally below Rs. 50 lacs and as per DOP guidelines issued from time to time).

3. **Single tender** — By invitation to single source who may be OEM/ OES, PAC or Source Standardization or on ground of urgency or as per DOP guidelines issued from time to time.

4. **Spot tender** — By visiting market and issue of spot enquiry through representatives to the vendors who are dealing with the desired item. The committee purchase or cash purchase falls in this category.

5. **GeM Tender** — As per the Govt. policy and as subsequent approval by NTPC board, direct procurement for items valued up to Rs. 5,00,000 may be done through GeM Portal (Annexure-15 contains detailed procedure and Office Order Nos. 362 dated 21.06.2017 for Amendment in Works & Procurement Policy and 363 dated 21.06.2017 for DOP Amendment).

5.2 Selection of mode of tendering

The mode of tendering shall be selected depending upon:

i) Total estimated cost of the purchase to be made.
ii) Type of materials (proprietary or otherwise)
iii) No. of proven sources known and available
iv) Urgency of requirement

Observance of procedures mentioned above and applicable delegations of power is mandatory.

5.3 Period allowed for quotation

The time period to be allowed for prospective bidders to quote shall be generally 14 days from the date of issue of tender or as per the specific approval of the competent authority.

5.4 Tender Documents

In case of open tendering, the tender documents shall, inter alia, contain the following:

i) Reference to detailed specification and drawing wherever necessary.

ii) Qualifying requirements carefully designed to permit entry only to bidders who possess the technical, financial and managerial capability to perform and the same will be finalized by committee.

iii) Reference to the General Purchase Condition (GPC) applicable.

iv) Special terms and conditions specific to tender, if any.

v) Bills of Quantity

vi) Bid Price schedule

vii) Delivery period

viii) Instruction to bidders

ix) Proforma and guide lines for submission of EMD / CPG in the form of BG.

x) Proforma for Nil Deviation

Other documents like list of approved banks, Fraud prevention policy, Integrity Pact (if applicable) banning Policy and other annexure as per ITB/ GPC/STC

Standard Bid documents shall be vetted by Finance and approved by HOD(C&M). However, in case of any change(s) in the bid documents, the same shall be indicated and vetted by Finance. In case of items/ services of repetitive in nature, bid documents need not be vetted for each such case. However, the original approval shall be referred while taking approval for issue of enquiry.

In case of single and limited tendering, tender enquiry(ies) is (are) required to be issued to enlisted vendors or on standardization basis. In case the approved vendor list is not available, vendor list will be recommended by a Screening Committee as per W&P Office Order No. 265/ 2007 dated 22/01/2007 and approved by competent authority. No qualifying requirements is required for STEs & LTEs. Documents as mentioned above shall however form part of tender documents in each case of open tendering.

5.5 Tender Committee

As per Delegation of Powers, beyond certain value of procurement, a tender committee consisting of representatives of Indenting Deptt., C&M Deptt. and Finance Deptt needs to be formed before the bid opening based on estimated value of the case to finalize recommendation of the procurement action which may be approved by competent authority. Tender Committee will not be reconstituted based on change of award approving authority (in case of a change in award value).

Tender Committee may be constituted by members from the Indenting Department, C&M and F&A for all cases exceeding the ceiling limit as per DOP.

The TC should consider and recommend all the terms and conditions, prices, QAP and inspection procedures, phasing of delivery, if required.

For cases where the finance representative in the Tender Committee is below the level of concurring authority, the tender committee recommendation shall be routed through appropriate level of concurring authority as per relevant finance circular and DOP. In case of non Tender Committee case, tender committee will not be constituted even if the award value crosses the cut off value for the formation of Tender Committee. For Single Stage, 2 Envelope Tenders, recommendation for opening of the Price Bid shall be put up by TC for the approval of Competent Authority as per DOP. For cases not processed through TC, recommendation for opening of Price Bid should be put up to the Competent Authority after concurrence of Finance.

5.6 Qualifying Requirement

The Qualifying Requirement (Q.R.) is required for open tenders only. Q.R is to be prepared on case to case basis depending on various factors like Cost of the Package, Technical Importance, Time Frame for implementation and Quality Plan requirement etc. The primary purpose of Q.R is to assess the Financial & Technical capability of the bidders who can deliver the Goods/services as per the requirement.

For the purpose of formulating Q.R. of a package, a committee will be constituted at projects/stations/RHQ with representatives of Materials, Finance, Indenting Department and TS/Engineering at appropriate level as per DOP and relevant circulars. The QR will be approved by the Head of Project/Station or RED wherever applicable. However, for functional convenience, project/station/region may consider a standing QR committee. Technical Services (TS) Department at project/station and Engineering Department at Regional HQ shall normally act as the convener for the QR formulation process.

While preparing the Q.R it is to be ensured that the Q.R does not become too stringent leading to poor competition /higher price. It is therefore necessary to indicate the list of parties likely to meet the QR (basis may be indicated) being proposed for a particular package. A standard QR format being used at Corporate Materials Department is enclosed as Annexure-4. However, this format may be modified suitably for utilization by site to the extent the same is relevant in the site context.

QR once stipulated in the NIT should normally not be altered / relaxed. However, if such modification(s) is (are) required in exceptional cases, the same will be done in accordance with the guidelines as per IOM Ref. 01:SEC:NTPC:BM-8 dtd. 13.01.2009 included as a part of Annexure-5 herein. In case of poor response or abnormally high prices, decision may be taken to review the QR as per QR circular before any re tendering is done.

For specific cases of critical items, Q.R may also be finalized based on factors like Production Capacity to meet quantitative requirement. In house Testing Facilities as per QAP requirement, financial capability to execute. Past Experience and Performance for same/similar type of items and requirement of documents e.g. GST Registration, Financial Statement like Balance Sheet and Profit and Loss Account etc.

In general, Qualifying Requirement shall be finalized in line with the Minutes of 25th meeting of the Committee on Management Controls of the Board of Directors held on 12/01/2009 and 43[rd] meeting on 16/10/2015 with financial criteria as per audit committee IOM dated 27/08/2007 (copy enclosed as Annexure-5)

5.7 Procurement from MSEs

As per system circulars 96 dated 16/12/2013 [copy enclosed as Annexure-6] and 98 dated 08/06/2016 [copy enclosed as Annexure-7], the procurement of goods & services of 20% to be made from MSEs out of total procurement. Further, for 358 items (copy enclosed as Annexure-8) which are reserved for MSEs need to be mandatorily procured from MSEs only. Guidelines regarding this is included in Annexure-16. Tender Document fee and EMD is exempted for such procurement. Purchase preference shall be given to MSE vendor in case their prices are within 15% of L1 price and agree to match the L1 price. In such case at least 20% quantity to be awarded to MSE vendor. In case the quantity is not splittable, the full quantity may be awarded to MSE vendor. In case the 20% quantity works out to be a fraction, ordering shall be done for the whole number.

5.8 Cost of Tender documents

In case of open tender, the cost of tender documents shall be decided on the basis of estimated value of the indent before going for advertisement. The tender documents shall be downloaded from the website. Accordingly, the same shall be fixed as per the following guidelines vide Contracts System Circular no. 570 dated 10/02/2004 (copy enclosed as Annexure-9).

Sl. No.	Estimated value of PR	Cost of Tender Documents
1	Upto Rs.100 lacs	Rs.1125/-
2	Above Rs.101 lacs and upto Rs.500 lacs	Rs.2250/-
3	Above Rs.501 lacs and upto Rs.700 lacs	Rs.3375/-
4	Above Rs.701 lacs and upto Rs.1000 lacs	Rs.4500/-
5	Above Rs.1001 lacs and upto Rs.1500 lacs	Rs.5625/-
6	Above Rs.1501 lacs and up to 2000 lacs	Rs.6750/-
7	Above Rs.2001 lacs and up to 3000 lacs	Rs.7875/-
8	Above Rs.3001 lacs and up to 5000 lacs	Rs.11250/-
9	Above Rs.5001 lacs and above	Rs. 22500/-

Note: All the eligible MSEs (as per System Circular No.96 dated 16/12/2013 & 98 dated 08/06/2016 & its amendment issued from time to time) shall be issued the Bid documents free of cost subject to the production of documentary evidence with regard to eligibility.

In Government's e Procurement Portal (GePNIC) currently in the process of implementation in the organisation, the cost of Bid Documents however will be taken only from the participating vendors.

5.9 Tender opening

All the open & Limited e-Tenders will be issued on Single Stage Two Envelope basis generally with NIL deviation concept and Technical Bid shall be opened on the due date and time indicated in the

tender enquiry, in the presence of authorized representative with proper authorization of the bidders, if they wish to present themselves. The tenders will be opened with Digital Signature by purchase, indenting and finance executives nominated by respective HODs. When the tenders are opened, the name of all present bidders would be read out for the benefit of the bidders present and the quoted rates of each bidder will also be read out. Any omission or irregularity such as absence of signature of a bidder, absence of earnest money deposit, references etc. may be pointed out on the spot for the information of the bidders.

For Single Stage bidding system, the Envelope – 1 shall contain the documents related to qualifying requirement including EMD details, Technical specification, Commercial terms & conditions and the Envelope – II shall contain the price bid only and the same will be opened for those bidders whose Envelope- I bid found to be Technically & commercially qualified with the approval of competent authority for award.

The Bid opening date as notified to the bidder through enquiry should be strictly adhered to. However, in case of unforeseen circumstances or due to administrative reasons the bids are not opened on the due date, the same shall be opened on the next working day at the same time without any further approval. In case of holidays the bids received up to the time of closing of bids on the next working day shall be considered for opening. Accordingly, the necessary BOD extension shall be processed in advance in SRM system.

Normally tenders will not be opened on the due date if in time response is less than three and put up to HOD(C&M) for further decision regarding extension of bid due date/opening of offers.

The Bids shall normally be invited in Single Stage Two Envelope bidding system as per Contracts System Circular no. 665 dated 27/07/2012. On the schedule date of opening, bids shall be opened on line. Normally, the bid shall be submitted with Nil deviation condition. The bidder shall furnish the quote as per Bid Price Schedule (BPS) in the SRM. The supporting documents towards qualifying Criteria and other aspects shall be uploaded in the C-folder. The EMD shall be furnished in hard copies before the scheduled date & time or on line through Payment gateway as per the provision in SRM.

The Techno Commercial Bid shall be opened on the scheduled date of opening. After evaluation of Techno Commercial Bid by the TC (for TC cases only), the recommendation shall be put up by the committee for approval of the Competent Authority.

The detailed procedure of procurement shall be followed in general through SRM system as per the Working Manual enclosed as Ann.-A at page 27/ GepNIC Help Manual as Ann.-18 at page 424.

5.10 Late and Delayed tenders

Since all the tenders are normally processed on e-tendering route, No Late / Delayed offer shall be considered. At present, the procurement of items on single tender basis from a foreign manufacturer/ bidder may be processed manually due to some technical problems and in that case late / delayed offer may be accepted with the approval of competent authority for award / Head of the project.

5.11 Order Processing

5.11.1 Preparation of Comparative Statement

As per Corporate Contracts Circular No.665 dated 27/07/2012 (copy enclosed as Annexure-10), deviations will not be accepted in the offer. If, for compulsive reasons, deviations are to be allowed, then tender documents should have clear mention of the same as a part of the evaluation criteria, in which case the following loading is to be followed:

P&F Charges	**2%**
Freight within 300 kms	**2%**
300 kms to 500 kms	**3%**
500 kms to 1000 kms	**4%**
Above 1000 kms	**5%**
Insurance	**0.15%**

(Note: In case of supplies of bulk materials e.g. bulk chemicals, cement, steel, cotton waste, insulation materials etc the loading on the basis of the actual freight as per transportation contract shall be done. However, percentage loading will be limited to full truck/trailer load rate for each truck load).

Payment terms loading – To be done as per interest rate circular from Corporate Contracts circulated from time to time (currently at 12.5%) In case of payment through bank loading for a period of 30 days and in case of advance payment along with P.O the loading for the period of delivery period plus 30 days, may be taken.

Ex: In case of 90% through bank & balance 10% within 30 days after receipt and acceptance:

Loading factor will be 1.04 x 0.9 = 0.94% (for 30 days considering interest rate @ 12.5% p.a.)

Accordingly, for other payment terms loading factors will be calculated.

5.11.2 Loading procedures

NTPC is inviting bids for procurement of materials and services to meet its requirement. The evaluation is done on FOR site i.e. landed cost basis with cost compensation for deviations if any. As part of its process, NTPC has been asking bidders to quote the prices in following heads:

Basic Price
Primary Packing as %age
Packing & Forwarding as %age
Forwarding as %age
Secondary Packing as %age
Freight as %age (when Transportation & Freight is not by NTPC)
Insurance as %age (when Transportation & Freight is not by NTPC)

Consequent to implementation of GST, the following has been approved as the method of evaluation of bids or calculating GST amount and total price:

Case 1

The bidder quotes prices under following heads:

Basic Price
Primary Packing as %age
Packing & Forwarding as %age or lumpsum
Forwarding as %age or lumpsum
Secondary Packing as %age or lumpsum
Freight as %age
Insurance as %age

Amount of GST = (Basic Price + Primary Packing on Basic + Packing & Forwarding on Basic + Forwarding on Basic + Secondary Packing on Basic + Freight on Basic + Insurance on Basic) x %GST.

Total Bid Price = Basic Price + Primary Packing on Basic + Packing & Forwarding on Basic + Forwarding on Basic + Secondary Packing on Basic + Freight on Basic + Insurance on Basic + GST

If discount has been offered, then the basic price shall be reduced and thereafter calculations done as under:

Amount of GST = {(Basic Price – Discount) + Primary Packing on (Basic Price – Discount) + Packing & Forwarding on (Basic Price – Discount) + Forwarding on (Basic Price – Discount) + Secondary Packing on (Basic Price – Discount) + Freight on (Basic-Discount) + Insurance on (Basic-Discount)} x %GST.

Total Bid Price = (Basic Price – Discount) + Primary Packing on (Basic Price – Discount) + Packing & Forwarding on (Basic Price – Discount) + Forwarding on (Basic Price – Discount) + Secondary Packing on (Basic Price – Discount) + Freight on (Basic-Discount) + Insurance on (Basic-Discount) + GST

Case 2

The bidder quotes prices under following heads:

Basic Price
Primary Packing as %age
Packing & Forwarding as %age or lumpsum
Forwarding as %age or lumpsum
Secondary Packing as %age or lumpsum

Transportation and Insurance by NTPC through its Contracts.

Amount of GST = {Basic Price + Primary Packing on Basic + Packing & Forwarding on Basic + Forwarding on Basic + Secondary Packing on Basic} x %GST.

Total Bid Price = Basic Price + Primary Packing on Basic + Packing & Forwarding on Basic + Forwarding on Basic + Secondary Packing on Basic + GST

Total FOR Site Price = Total Bid Price + {(Freight + Insurance) as per NTPC guidelines}.

If discount has been offered, then the basic price shall be reduced and thereafter calculations done as under:

Amount of GST = {(Basic Price – Discount) + Primary Packing on {(Basic Price – Discount) + Packing & Forwarding on {(Basic Price – Discount) + Forwarding on {(Basic Price – Discount) + Secondary Packing on {(Basic Price – Discount)} x %GST.

Total Bid Price = (Basic Price – Discount) + Primary Packing on {(Basic Price – Discount) + Packing & Forwarding on {(Basic Price – Discount) + Forwarding on {(Basic Price – Discount) + Secondary Packing on {(Basic Price – Discount) + GST.

Total FOR Site Price = Total Bid Price + {(Freight + Insurance) as per NTPC guidelines}.

The loading for freight and insurance shall be as per the existing guidelines.

Normally the tenders are to be on "Fixed Price" basis. In case where long delivery period and items with wide price fluctuation are involved, the price variation formula shall be a part of the tender document itself. Price Variation benefits shall only be provided only within the contractual delivery period.

Comparative statement will be signed by Tender committee. No separate CS vetting is required. For non TC cases, CS along with the award proposal shall be sent to finance for concurrence as well as vetting.

SNAP BIDDING

In case of Snap Bidding the provision of Circular No. 563 dated 05/06/2003 (copy enclosed as Annexure-11) shall be followed.

5.12 Negotiation

Negotiation should not be normally undertaken wherever adequate competition exists. However, if it is found that the prices are unreasonably high / low as compared to the last purchase price / estimate or in case of some technical / commercial clarification, negotiations can be done with the approval of competent authority as per DOP.

Negotiation can be held with technically and commercially evaluated lowest (L1) vendor only. Reverse Auction procedure shall be followed for e-procurement as per the guidelines issued from time to time. After Reverse auction, normally no further negotiation shall be carried out. However, as a special case the negotiation can be carried out as per the provision of Circular No. 721 dated 09/02/2016 (copy enclosed as Annexure-12)

However, if more than one party are to be awarded, counter offer route based on L1 Rates & Terms & Conditions are to be followed. This provision must be included in the bid documents.
In Tender committee case, negotiations should be carried out by tender committee members. In non TC cases, the negotiations shall be done by a committee consisting of members from C&M, Indentor and F&A.

After negotiations and preparation of final comparative position, committee recommendations/ purchase proposal will be put up to competent authority for approval.
After approval of competent authority for award, letter of intent by fax/ e mail may be sent to the successful tenderer for booking of the orders as advance intimation (LOI) in case of urgency and subsequently draft purchase order will be vetted by finance and purchase order will be sent to party.

Due to availability of SAP system there is no need to send hard copy of PO to other deptt. / section. Vendor will return the duplicate copy of the PO within 7 days of receipt of PO duly signed and stamped as a token of acceptance. Vendor shall be informed that if no communication is received within 15 days of receipt of PO, it will be treated that order has been accepted in entirety.

5.13 Repeat Orders

Repeat orders may be placed on the same party at the same rates & same terms and conditions as stipulated in the original order with finance concurrence against previous orders placed on open or limited tender basis, or single tender involving proprietary Article Certificate (PAC) or source standardisation subject to the conditions laid in relevant section(s) of the DOP.

5.14 Earnest Money & Contract Performance Guarantee

The provision of Delegation of Power with respect to EMD/CPG shall be followed in conjunction with the Circular No. 694 dated 05/08/2014 and subsequent circulars issued from time to time.

For MSE units, the provisions for exemption of EMD, purchase preferences etc. will be guided by System Circular – 96 dated 16/12/2013 & 98 dated 08/06/2016.

In case where NIT / bid documents specifically ask for submission of EMD along with offer, waiver of EMD / relaxation of EMD are not permitted in any cases for opening of the bids.

EMD may be furnished in any of the form given below:

a) Banker's Cheque, Pay Order or Demand Draft.

b) Bank Guarantee from a Nationalized Bank / Foreign Banks (as per the approved list issued from time to time) irrevocable and operative till 30 days beyond validity of the offer as per standard Proforma.

c) On line submission of EMD through payment gateway.

No BG shall be accepted for EMD amount less than Rs.20,000/- for purchase cases & less than Rs. 50000/- in case of Works contracts as per Circular No. 694 dated 05/08/2014 and subsequent

circulars issued from time to time. However, EMD amount exceeding the above limit may be accepted in all the above forms.

Contract Performance Guarantee shall be furnished by vendors at the rate specified in the Bid documents in the form of Demand Draft / Banker's Cheque / Pay Order in favour of NTPC Ltd. or in the form of the Bank Guarantee as per the standard Proforma.

Earnest Money Deposit (other than Bank Guarantee) of successful bidders may be converted into CPG and balance amount if any, may be asked for in any of the above forms. EMD of unsuccessful bidders may be returned immediately after release of PO / Letter of Award to successful bidder. In case of B.G towards EMD, CPG shall be asked for the entire amount in any of the above form and after receipt and acceptance of the CPG, BG against EMD shall be returned to the successful bidder. In any case the BG should be kept valid till the submission & acceptance of CPG.

5.14.1 Standing Earnest Money Deposit:

In accordance with Para 4(B) of procurement and works policy, the suppliers / tenderer may avail of the scheme of lumpsum deposit which will be treated as standing deposit of earnest money.

Standing Earnest Money Deposit will be allowed to enlisted suppliers only and the quantum of such EMD will be based on the monetary limit for which they are enlisted with NTPC

For cases valuing more than Rs.50 lakhs, the scheme of depositing Standing Earnest Money will not be applicable.

The suppliers / tendered who has deposited the Standing Earnest Money may be allowed to quote against as many tenders as they desire, provided that the balance standing EMD is adequate to cover the EMD of the tender in which they are participating.

I) Standing Earnest Money deposited by a contractor/ supplier cannot be adjusted against CPG. The Standing Earnest Money can be forfeited in case the contractor/ supplier:

   a) Revokes the tender or increases the rates after opening of the tender, but before the expiry of the validity of the tender.

   b) Refuses to enter into a contract or accept the work order, after the award of contract / work.

   c) Does not commence the supplied / work after award in due time.

II) Standing Earnest Money can be refunded if so desired by the Depositor, in which case the Contractor shall be required to deposit the requisite earnest money with each tender.

III) Standing Earnest Money deposited with the NTPC does not entitle the supplier / contractor to any interest on such deposit and no interest shall be paid by the Corporation.

IV) List of approved vendors enlisted centrally are available in the CPC portal (Link: https://www.vendor.ntpc.co.in/enlistment).

V) As soon as the name of the firm / supplier / contractor is removed from the approved list, intimation to all concerned should be sent immediately.

In case of purchases made on the spot by a purchase committee and when the payments are made after taking delivery of the materials, depositing of Earnest Money is not called for.

5.14.2 Contract Performance Guarantee

Contract Performance Guarantee @ 10% of order / award value is to be furnished by the vendor. If the tendered value is < Rs. 10 Lakh, CPG may not be insisted upon for items not involving plant and machinery where performance is to be watched. However, in case of procurement from OEM / OES or proprietary vendor, the same may also be waived off for PO / LOA value exceeding Rs.10 lacs depending on the merit of the case and approval of competent authority to approve the order / award. However, in general the CPG shall be insisted for PO/LOA value above Rs. 10 lacs except otherwise specific approval is taken for waiver indicating the detailed reasons mentioned therein.

Note: For competitive bidding, in case of any relaxation in the stipulated provisions of EMD and CPG, the same shall be clearly spelt out in the bid document as tender condition.

Annexure-A

NTPC LIMITED

(A Government of India Enterprise)

WORKING MANUAL FOR PURCHASE

1. Creation of PURCHASE REQUISITION (PR)

PURCHASE REQUISITION is a document which contains the details of the requirement – Material code, Item Details, Quantity, Specifications, Inspection, delivery time, Quality Assurance Plan (QAP) etc. through which the Indenter projects his requirement.

For the process of procurement to begin, the requirement has to be projected to the Purchase Department and for this a **Purchase Requisition (PR)** is to be generated on the SAP system.

Indenter referred to herein is the department who requires the item and the requirement is projected through an executive by creating the PURCHASE REQUISITION depending on the requirement.

For creation of PR may use the SAP-ERP Help Document.

Check Points:

1.	Has the PR been made under the Correct section of the DOP?
2.	Is the Material Code Correct?
3.	Is the Material long text correct?
4.	Do the material short text and long text describe the same item?
5.	Is the estimate correct?
6.	Has the basis of estimation been specified?
7.	Has PAC/OEM/OES vendor being maintained in Customer data? (if applicable)
8.	Have the Inspection requirements been maintained?
9.	Has the justification of requirement been given?
10.	The estimate and items in the PR are same as in Technical and Administrative approval?
11.	Whether the PR is cleared by Screening Committee, if applicable?

The PR along with OEM/OES/PAC (if applicable), additional Technical Specifications & Scope of Work and QAP, if applicable, is to be signed and put up for approval along with a note and seeking approval for procurement. The PR is to be routed through Finance-Budget, FES/FQA (as applicable) and Finance-Concurrence before being put up to competent authority for approval on SAP.

In case an open tender is to be issued, PR along with the suggested Qualifying Requirement as per Format are to be sent to Head of Technical Services. Technical Services shall forward the PR along with approved QR to Head of C&M.

For items to be procured through Limited Tender, the Indentor is required to furnish the list of vendors to be put up to Screening Committee for approval as per Office Order 265/ 2007. The PR is to be sent to Head of C&M for further processing.

The PR after approval in hard copy along with approved QR, QAP, PAC/OEM/OES/ Single Tender Urgency/Single Tender Others certificate, Technical Specifications & Scope of Work as applicable is to be forwarded to C&M.

2. VENDOR SELECTION

Wherever enlistment has been done by CPC centrally, enquiry will only be sent to those vendors as per criteria specified in their Vision Document (enclosed as Annexure-2) and amendments therein from time to time.

For all other items, where enlistment has been done locally by site, enquiry will be sent to all enlisted vendors.

In case approved vendor list exist for an item, a tender shall be issued to all the enlisted parties.
In case approved vendor list does not exist, a **Limited Tender** can be issued as per the approved process in line with Works & Procurement Policy vide Office Order 265/2007 dated 22.1.2007 (copy enclosed as Annexure-3) issued by Company Secretary and the Enlistment Vision Document (copy enclosed as Annexure-2).

In case of Single Tender, the vendor is as per PAC/OEM/OES/Single Tender (Urgency/Others) certificate given with the PR.

2 (A) Check Points

1.	Has the vendor's enlistment been done for the item(s)?
2.	Has the List of Vendors been approved by competent Authority as per Office Order 265/2007 dated 221.2007 and Vision Document?
3.	Whether List of suggested vendors furnished or not in case of no enlistment?

3. Release of PURCHASE REQUISITION (PR) at C&M

The PR shall be received at office of Head of C&M. Before releasing the PR for further PR shall be checked for the points referred to at 1 (A) above.
The PR shall be sent to the concerned for further processing after releasing in SAP-ERP.

4. TENDER DOCUMENTS

After the PR has been released, the Tender documents shall be prepared.
Tender Document is the document through which Buyer communicates his requirement to the potential bidders. It must clearly define both the Technical and Commercial requirements like technical specifications, delivery period, price basis, taxes & duties, payment terms, freight, warranty, insurance etc. Integrity Pact is to be incorporated in all tenders with cost estimate of 10 crore and above.

The General Purchase Conditions are available in the Standard Bidding Documents.
The NIT, Special Purchase Conditions and Rules for Reverse Auction, if applicable, are to be prepared.

The Special Purchase Conditions must specify the Type of Bidding (Single Stage Single Envelope/Single Stage Two Envelope/Two Stage), Reverse Auction (applicable or not), Bid Security, Payment terms, Inspection, Insurance, Qualifying Requirement (QR), documents for meeting QR, Delivery Schedule/Period, Mode of dispatch, CPG, freight charges, warranty, Taxes & Duties - C-form issue etc., Evaluation Criteria, insurance, SME Criteria etc. All the relevant clauses in accordance with the GPC provisions must be detailed in SPC must be specified.

In case Reverse Auction is applicable, the Rules of Reverse Auction must be spelt out in SPC.
The approval of bidding documents is to be taken from HOD(C&M) through Finance and Indenting department as per the provision of Circular No. 556 dated 30.03.2001.

4 (A) Check Points:

1.	Has the tender type been correctly selected? (Single Stage Single Envelope/Single Stage Two envelope/Two Stage)
2.	Whether Reverse Auction is applicable or not has been spelt out?
3.	Has the EMD been correctly specified?
4.	Have the payment terms, price basis, insurance, freight responsibility, inspection, CPG been spelt out clearly?
5.	Has the freight responsibility been defined?
6.	Has issue of C-form been specified?
7.	Has the Evaluation Criteria been clearly given?
8.	Has delivery schedule been given?
9.	Have the rules of Reverse Auction been given?

5. Creation of TENDER ENQUIRY/NIT

For tenders to be published in GePNIC, an RFQ is to be created from PR in ERP. Tender is to be created in GePNIC using RFQ created in ERP through Transaction Code **ZMMNIC**. For detailed process, refer to Annexure-18.

In SRM, for creating the tender enquiry/bid from PR, the PR is to be replicated in SRM and SAP-SRM Help Document may be used.

The items of PR directly go to SRM and the Purchase executive creating the tender enquiry has to select the items for which the enquiry is proposed to be issued.

In SRM the executive creating has to maintain the different fields in the template.

(A) The following fields must be maintained under heading **Header Data**

(i) In **Basic Data** maintain the following:

- *'**End Date**':* herein specify the Last date and time for bid submission.
- *'**Opening Date**'*: herein specify the Date and time for opening of Price Bid. In case of two envelope bidding, the 'Technical Opening Date' and 'Technical Opening Time' are to be maintained. The Technical Opening Date and Time shall before the date of opening of 'Price Bid'.

- *'**Tender Type**'*: herein specify whether tender is DCB (Domestic Competitive Bidding) /ICB (International Competitive Bidding).
- ***Detailed Price Information*:** herein specify 'Complex Prices' in case price break-up (Basic Price, Taxes, Freight etc. separately) is required and… in case price break up is not required.
- ***Last Date of Tender Fee Payment***: In case of open tender the last date of sale of bidding documents is to be maintained.
- ***Last Date of Queries:*** herein specify the last date to receive the queries from bidders (answers to which are to be uploaded in this portal itself. The process has been described later).
- ***Pre-bid Conference Date and Time*:** Herein specify the date and time for pre-bid conference in case the same is envisaged to be done. (This has to be specified in Special Purchase Conditions also).
- ***Location for Tender Fee***: herein specify the Plant code (as applicable in SAP) where the tender fee is to be deposited.
- ***EMD required***: herein specify whether EMD is required. (Yes/No)
- ***EMD:*** herein specify the EMD required in the currency.
- ***Package Scope Type*:** from the drop down please select the applicable scope.
- ***Funding Source*:** from the drop down please select the applicable source.
- ***Incoterm term*:** from the drop down please select the applicable term.
- ***Location:*** herein specify the location w.r.t incoterm.
- ***Minimum Bid Validity (Required)*:** herein specify the minimum bid validity required. Generally, 180 days for open tender and 120 days for others).
- ***Terms of Payment:*** herein specify the payment by using the transaction code from drop down menu.
- ***Price Basis:*** herein specify whether the prices are FIRM till supply or the prices are VARIABLE i.e. subject to variation.
- ***Contract Classification***: from the drop down please select the applicable Classification.
- ***Ordering Location*:** herein specify the location (plant code as in SAP) from where the order shall be placed.
- ***Package Number:*** herein specify the package number, if any, allotted.
- ***Lump sum /Item wise procurement:*** herein specify whether the evaluation shall be done on LUMPSUM basis i.e. total prices of all the items shall be considered for evaluation and all items shall be procured from a single source or ITEMWISE i.e. cost of each item shall be considered and items can be procured from different sources.

(ii) Under Heading **Bidders:**

- Please maintain the vendors to whom tender enquiry is to be issued as per approval. In case of open tender, vendor be maintained as SRM-2 only.

(iii) Under heading **'Documents'** please maintain the following:

- ***Header Text:*** herein specify the name to be given to the Package.
- ***Salient Features:*** herein the salient features of the package.
- ***Salient Technical Features*:** herein the salient features of the technical requirement.
- ***Brief Scope of Work:*** herein specify the brief scope of work to enable bidder understand the work content. This gets printed in the Tender Enquiry/NIT.

- ***Qualifying Requirements***: herein specify the approved Qualifying Requirements for the Package /Tender. This gets printed in the Tender Enquiry/NIT.
- ***Address for Communication:*** herein specify the address at which the correspondence is to be given with email and contact number. Alternate contact person details to be also given. Only
- Designations may be given. Names may not be given. This gets printed in the Tender Enquiry/NIT.
- ***Collaboration folder:***
- Create the collaboration folder for the tender. The bidding documents are to be uploaded here.

The help document available in SAP-SRM may be used for understanding and configuration of SAP-SRM.

The bidding documents are to be uploaded in the folder **Tender Documents** and a class III digital certificate is required.

Tender Documents are to be uploaded under **'Tender Documents'** and amendments subsequent to issue under **'Amendments'.**

No zip/rar is to be uploaded. All files must be closed when being uploaded.

(iv) Under '**Attributes'** please maintain the conditions as in Tender Documents.

(v) Under 'Approval Preview' maintain the approving hierarchy.

(vi) Under 'Additional Currencies', place the other currencies under which the bids are called in case of ICB.

(B) The following fields must be maintained under heading '**Item Data':**

- Under Item the details of the item under '**Documents**' and the pricing structure under which the bids are to be submitted under '**Conditions**' is to be maintained.

5A. Check Points

1.	Has the tender type been correctly selected? (Single Stage Single Envelope/Single Stage Two envelope/Two Stage)
2.	Whether Reverse Auction is applicable or not has been spelt out?
3.	Has the EMD been correctly specified?
4.	Has the Qualifying Requirements in case of Open Tender been given?
5.	Has the Basic Data been correctly filled in?
6.	Have the pricing conditions been properly maintained under Item Data?
7.	Has the Address for Correspondence been given?
8.	Have the dates specified been checked for accuracy?
9.	Has the requirement of Pre-bid conference been specified, if applicable?
10.	Have the Tender Documents been correctly uploaded?

6. APPROVAL FOR ISSUE of TENDER ENQUIRY/NIT

Consequent to the approval of Tender Documents & Creation of NIT/Tender Enquiry, approval for issue of tender enquiry is to be taken from Competent Authority as per DOP.
In case of e-tender, on line approval to be taken by maintaining the approval hierarchy.

7. TENDER COMMITTEE

Immediately after the issue of tender enquiry, if required as per DOP, a Tender Committee is to be constituted consisting of members from C&M, Finance & Indenting department at the levels defined in the DOP.

8. OPENING OF BIDS

The bids shall be opened on the date and time specified in the NIT. The bid opening shall be done by a bid opening team consisting of representatives of C&M and Finance along with representative of indenting department. Bid opening is a very critical activity and due care shall be taken while opening the bids.

For the process of bid opening on the SRM portal, the help document may be referred to. Help Document about the same process for GePNIC is included in Annexure-18.

The bids received are to be numbered and all pages of the bid submitted in hard copy are to be signed by the Tender Opening Team. Cutting and overwriting shall be authenticated by the tender opening team. The no. of cuttings and overwritings shall be put on each page.

The documents uploaded by the bidders in C-folder/ GePNIC are downloaded for evaluation. However, printout is not required to be taken.

The EMD submission form and attachments shall be signed by the tender opening team.

In case EMD, if asked for, is found in order, then bids shall be opened as per the tender. The process for opening of bids on SRM/ GePNIC are detailed in their respective help documents.

In case of Single Stage Single Envelope, both Technical and Price Bids shall be opened on the same day.

In case of Single Stage Two Envelope/Two Stage, the Technical Bids shall be opened on the date specified in the NIT/Tender enquiry and Price Bid shall be opened at a later date as per provisions of DOP.

In case on the date of opening of bids, the response is poor i.e. less than three, proposal is to be put up to HOD(C&M) for extension/opening of bids

8A. Check Points

1.	**Limited Tender/Single Tender:** Is the vendor in the list of vendors to whom tender been issued? **Open Tender:** Is the vendor in the list of vendors who have paid the tender fee?
2.	**EMD (Bid Security) (if asked for)**
	By way of DD/Bankers Cheque Is the DD/BC valid? Is the DD/BC in favour of **'NTPC Ltd.'?** Is the DD/BC of adequate value?

	By way of Bank Guarantee Is the BG valid for the period specified in the bid document? Is the BG as per format given with the bid document**?** Is the Stamp Paper of adequate value?
	By way of On line submission The amount to be checked.
3.	In case any other document is specified in SPC like Integrity Pact etc., has the same been given?

9. EVALUATION OF BIDS

The bids are to be evaluated in line with the provisions of the NIT and Tender documents.

The bids need to be evaluated for compliance to the Bid Security, Qualifying Requirements, Important Conditions, Technical requirements, Quality & Inspection Requirements, payment terms, delivery period, validity etc. as stipulated in the tender.

The Commercial Evaluation of bids is to be done for bringing the bids at par with the requirement of evaluation criteria specified in the tender and for this purpose a Comparative Statement is to be prepared.

The bids are mostly evaluated on FOR Site basis i.e. the total price at site is to be considered. The FOR Site price would generally consist of:

- *Basic Price*
- *Packing Charges (if asked separately)*
- *Taxes & Duties*
- *Forwarding Charges/ P&F Charges (if asked separately)*
- *Freight*
- *Insurance*

The bids are also to be cost compensated for deviation, if allowed, to the payment terms stipulated in the tender at the rate defined in the tender. In case deviations are allowed, the bids are to be cost compensated at the Cost of withdrawal quoted by the bidder.

In case of 'nil' deviation tenders, no cost compensation is to be done. Any deviation found in the bid has got to be withdrawn from the Bidder. In case the bidder does not withdraw the deviations, the bid shall be rejected and processed as per provisions of the tender.

The prices so arrived at are the Evaluated Prices and shall be considered for the purpose of comparison. The bidder with the lowest price shall be considered for award of item. In case of package evaluation, the Evaluated price is the sum total of the evaluated prices of all the items.

9A. Check Points

1.	Is the EMD adequate and as per tender requirement?
2.	Are the bids meeting the QR?
3.	Are the bids technically acceptable?
4.	Are the bids meeting the Quality & Inspection Requirements?
5.	Are the bids meeting the delivery period requirements?
6.	Are deviations allowed as per tender conditions?
7.	If no, are there any deviations observed in the bid?
8.	Have the Bidders withdrawn the deviations found in the bid?
9.	Have the bids been brought at par as per the Evaluation criteria?

10. RECOMMENDATIONS

The recommendations for approval are to be put up to competent authority for approval. The recommendation must contain the following Heads:

(i) PR Details along with Cost Estimate
(ii) Technical & Administrative approval
(iii) Tender Committee Constitution
(iv) Tender Enquiry/NIT
(v) List of vendor to whom tender enquiry issued/purchased the bid documents
(vi) Bid Opening
(vii) Evaluation of Bids
  a. Bid Security
  b. Acceptance of Attributes
  c. Any other Important Condition specified in the tender
  d. Quoted Prices
  e. Qualifying Requirements
  f. Technical Evaluation
  g. Commercial Evaluation
  h. Deviations
  i. Evaluated Prices
  j. Declaration of lowest bidder
  k. Price Comparison & reasonableness
(viii) Recommendations

11. RELEASE OF PURCHASE ORDER

Consequent to the approval by competent authority, the PO is to be created on SAP-ERP and released. All pages of PO must be signed and must contain all the terms & conditions. The GPC, SPC, Technical Specifications and Amendments & Clarifications to Tender documents shall be attached with the PO. Soft copies of all documents should be attached with the PO in ERP for reference of all concerned.

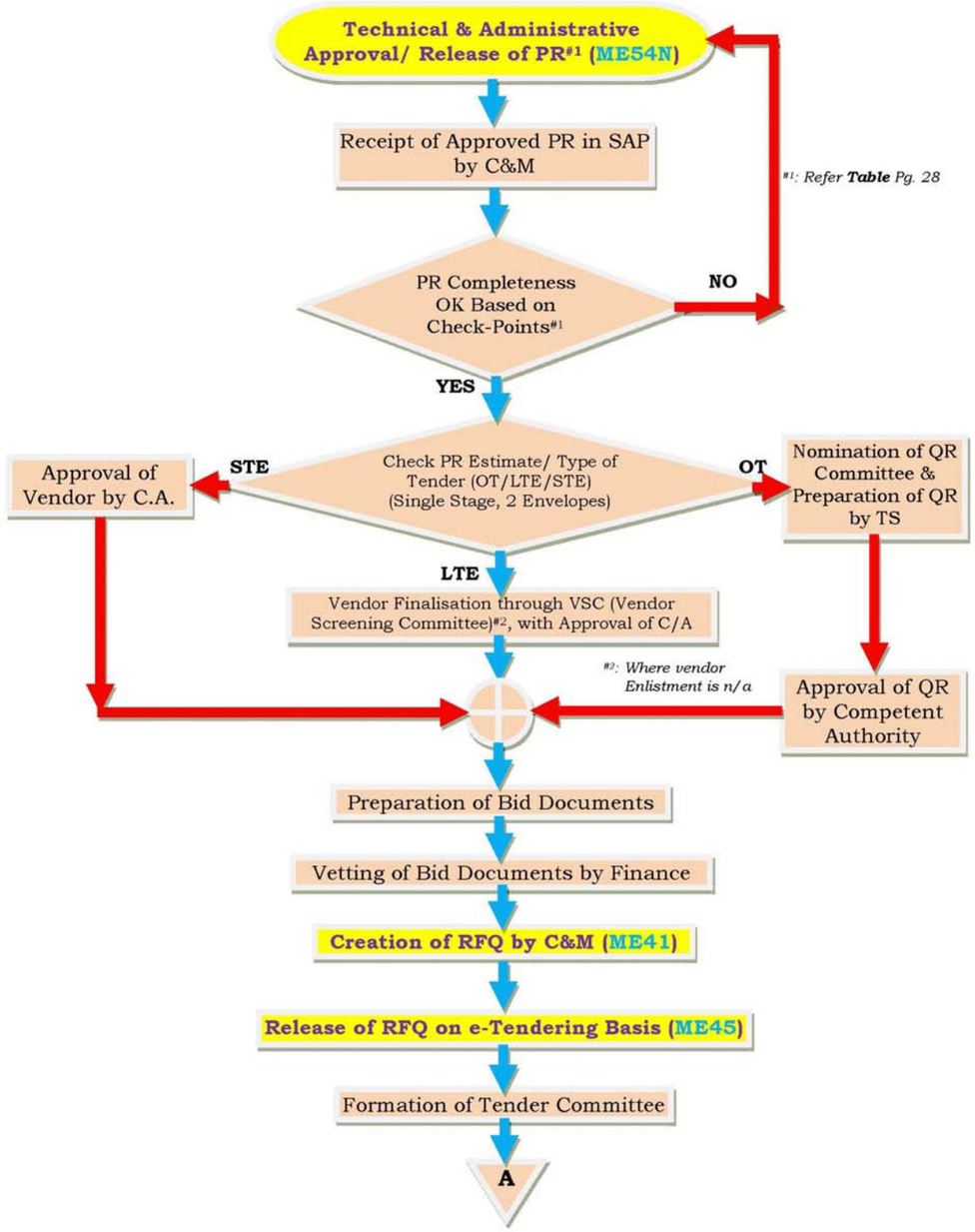
The make & model quoted, if applicable, quoted by the bidder must be included.

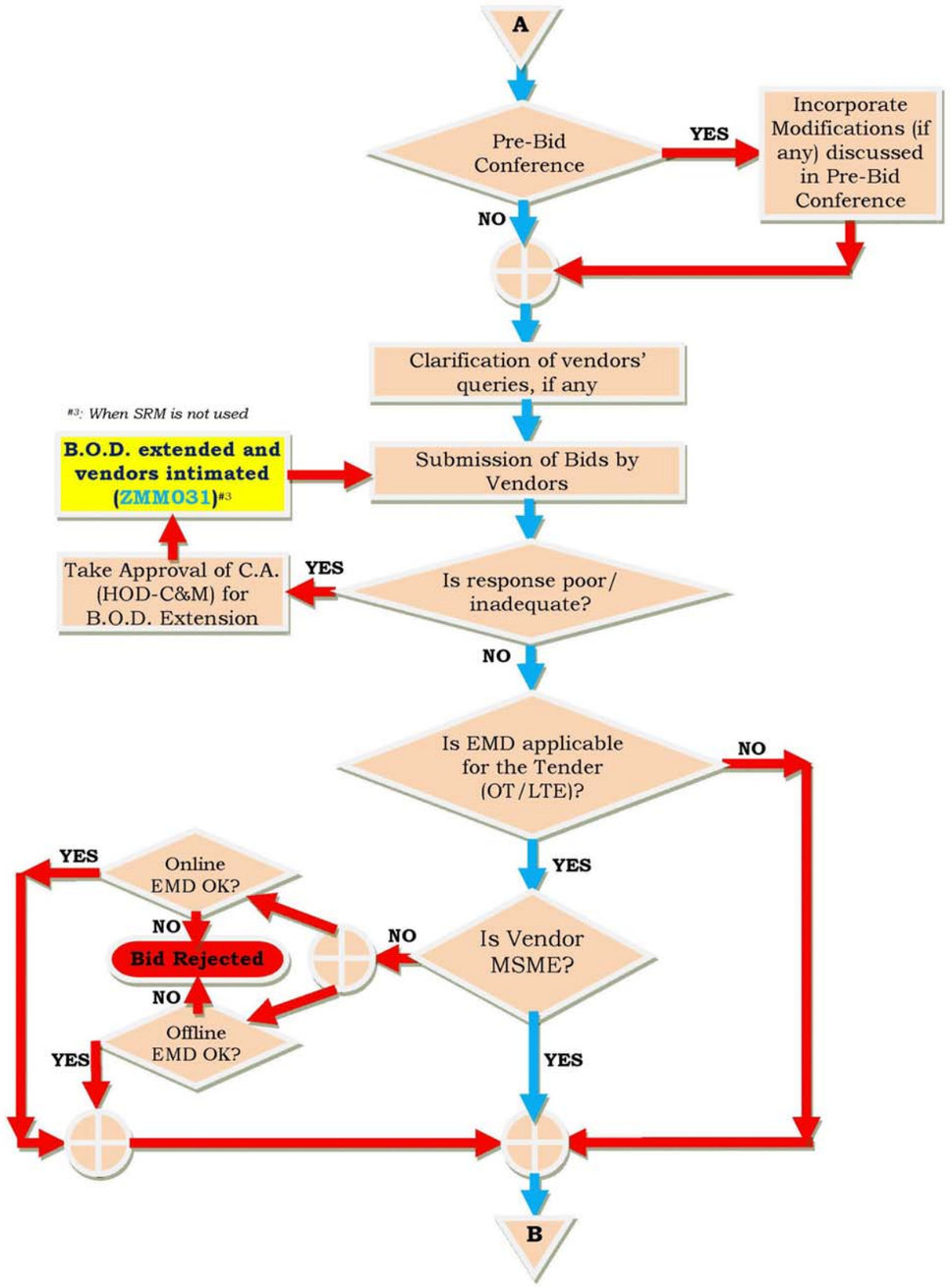
The Purchase Order should essentially contain tolerance of +/- 5% for items like tubes, pipes, steel, cables, oil etc. where variation of quantity is allowable. This is done to accommodate minor discrepancies in ordered and supplied quantities owing to the nature of the item and the tolerances involved in the process of its production/ manufacture.

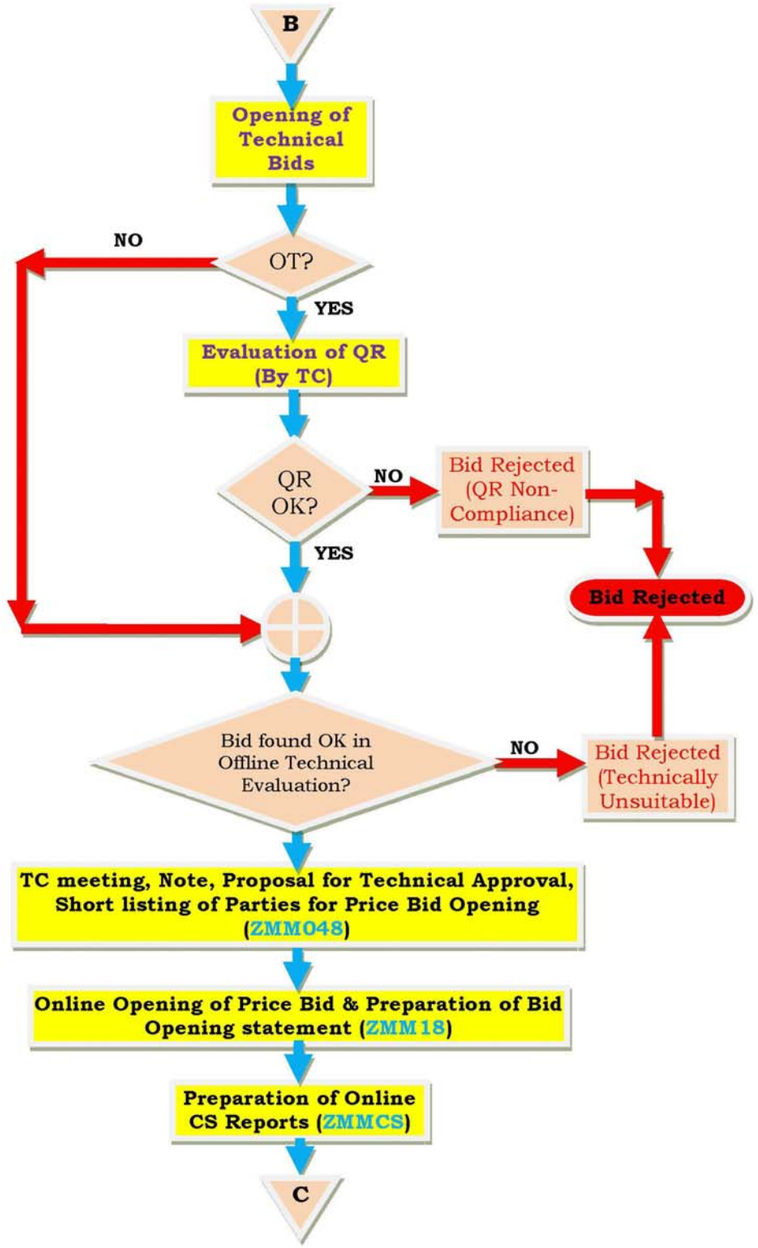
In case of PDI the condition must be specified in PO.

The **Check Points** would be maintained of all the field of SAP-ERP.

Process Flow Chart for Purchase Section







#3: To send the PO at the mail id maintained in vendor master for the vendor, following check-boxes should be ticked:

- ***YNEU**: For Material PO*
- ***YSEU**: For Service PO*

12. EXPEDITING & FOLLOW-UP FOR SUPPLIES

Consequent to the placement of order, the follow up for supplies is to be done by the Purchase Department with the vendor on whom the PO is placed. This can be done by using SAP-ERP.

Care must be taken that the Inspection & quality requirement is met before despatches are made.

13. SAP HELP DOCUMENT:

Request for Quotation (RFQ) (Enquiry Proposal)

A Purchase requisition (PR), after creation and approval by different approvers in the channel, is received by the C&M department for further activities.

Contracts department receives all the service PR's and Purchase deptt. receives all the material PR's.

After release of PR by C&M deptt. (CC release) C&M shall prepare RFQ.

1. **Create RFQ (T. Code: -ME41)**

NOTE 1:
Where ever enquiries are to be sent to all enlisted / standardized vendor, select document type ZR17. However this can be used only if vendors are enlisted or standardized for all items in the RFQ and a source list is maintained in the system. In this case, system will automatically suggest list of vendors and when RFQ is created on suggested vendors, system will automatically pick up the BOQ based on the standardization/enlistment.

NOTE 2:

If enquires are to be sent to only those vendors who have participated in past open tenders. Then to have release strategies in RFQ's for this type of open tendering. Select document type LT Standardized and in RFQ enter DOP & clause as per open tendering.

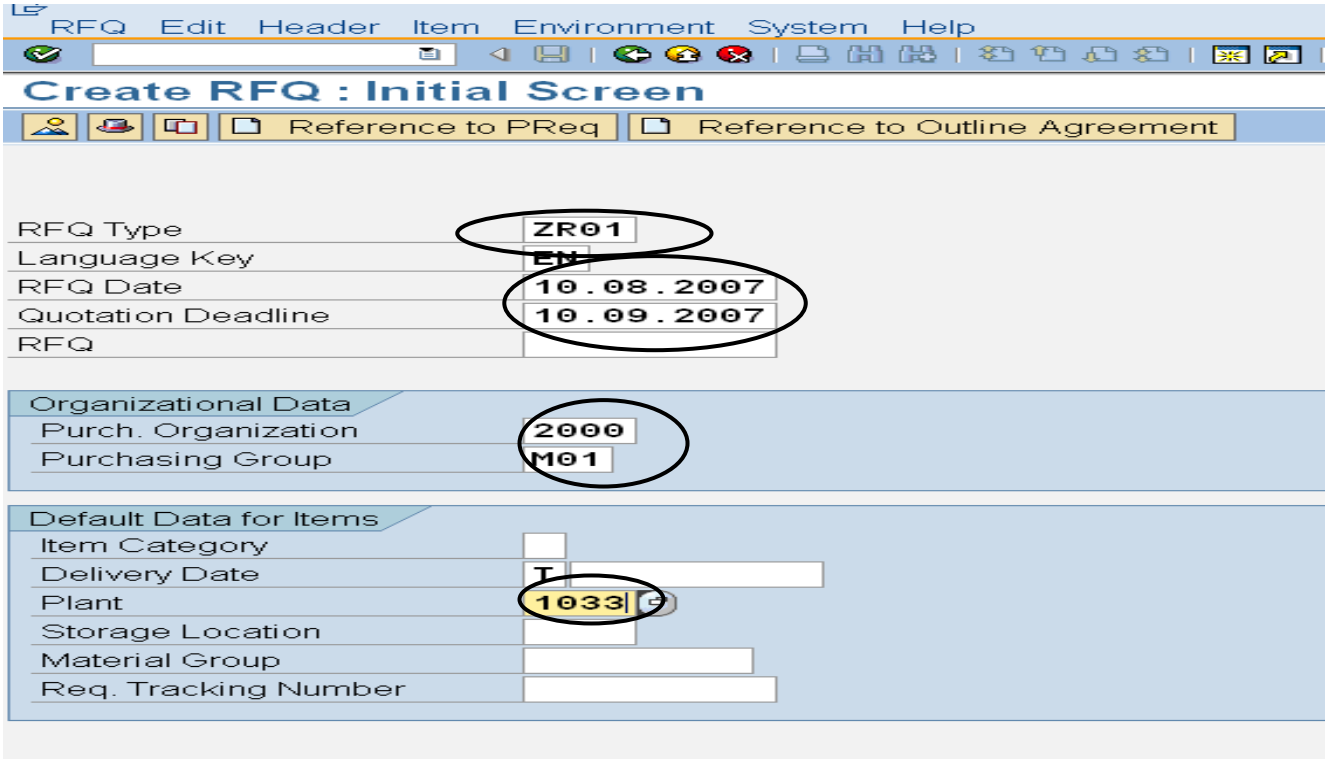
Enter the following details

- RFQ Type: - ZRXX (RFQ Types have been created based on the Tender Type. i.e. ZR01-STE (OEM/OES-M) Single Tender for OEM/OES)

PR	RFQ
Sec-1 (Matl/Ser)	ST (Urgent, OEM/OES, Other) LT (Matl, Ser) OT (Matl, Ser) LT (Standardize Matl, Standardize Ser)
Sec-2 (Matl/Ser)	
Sec-3 (Matl/Ser)	
Sec-4 (Matl/Ser)	
Sec-5 (Matl/Ser)	

- Enter Quotation Deadline:-DD/MM/YYYY
- Purchase Organization: -2000 (1000 for Corp Contracts, 2000 for Materials & 3000 for Contracts/Services)

- Purchasing group: XXX (For materials - Starts with M and Main Group, For Services – Dept. Code)
- Enter Plant Code: - XXXX
- Click on Ref. to PReq (Purchase Requisition) tab, another window will get Pop Up, enter the Purchase Requisition Number and tick the Button.
- Enter the currency code.

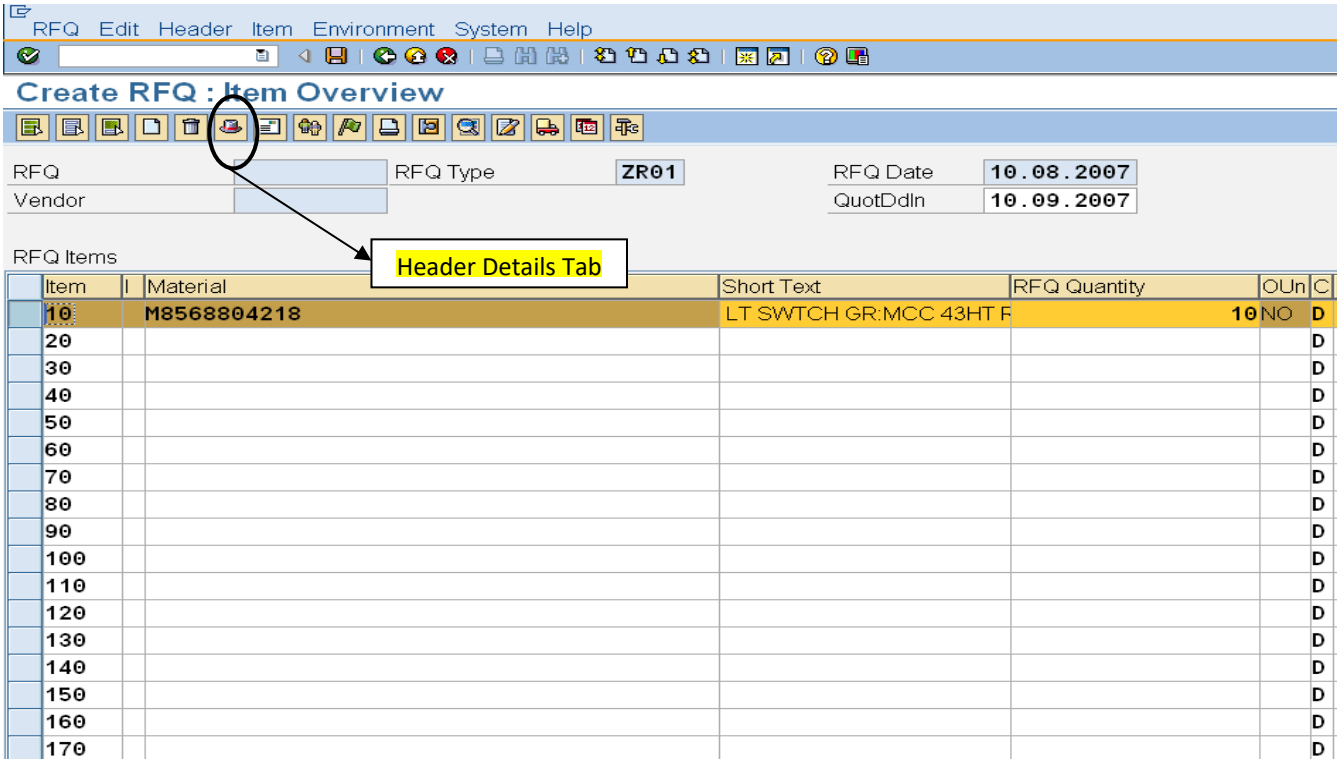


- Select the Line Item and Click Adopt + details . The selected items of Purchase Requisition will be included in the RFQ.
- If Items of another PR is to be clubbed with this RFQ, then select menu item RFQ (at the top line of the screen) -> Select Create with Reference -> Select to Purchase Req -> Enter the Purchase Req. No. -> Press Enter. Then the items of the PR will be displayed. Select the Line items of the PR to be included in the RFQ & Click Adopt + details . The selected items of Purchase Requisition will be included in the RFQ.

To view & change the texts of materials (line items) – For each line item, one column Texts is available at the end of the line. After pressing the Display Text field for each line item, system will display the following texts.

Item Text – The details of inspection requirement, drawing approval, sample approval, special guarantees etc. which needs to be communicated to vendor entered during Purchase Requisition will be viewed here. User may modify the details, if required.

Material PO Text – The material Long Text / Technical Specification which needs to be communicated to vendor entered during Purchase Requisition will be viewed here. User may modify the details, if required.
Additional Text for Item –



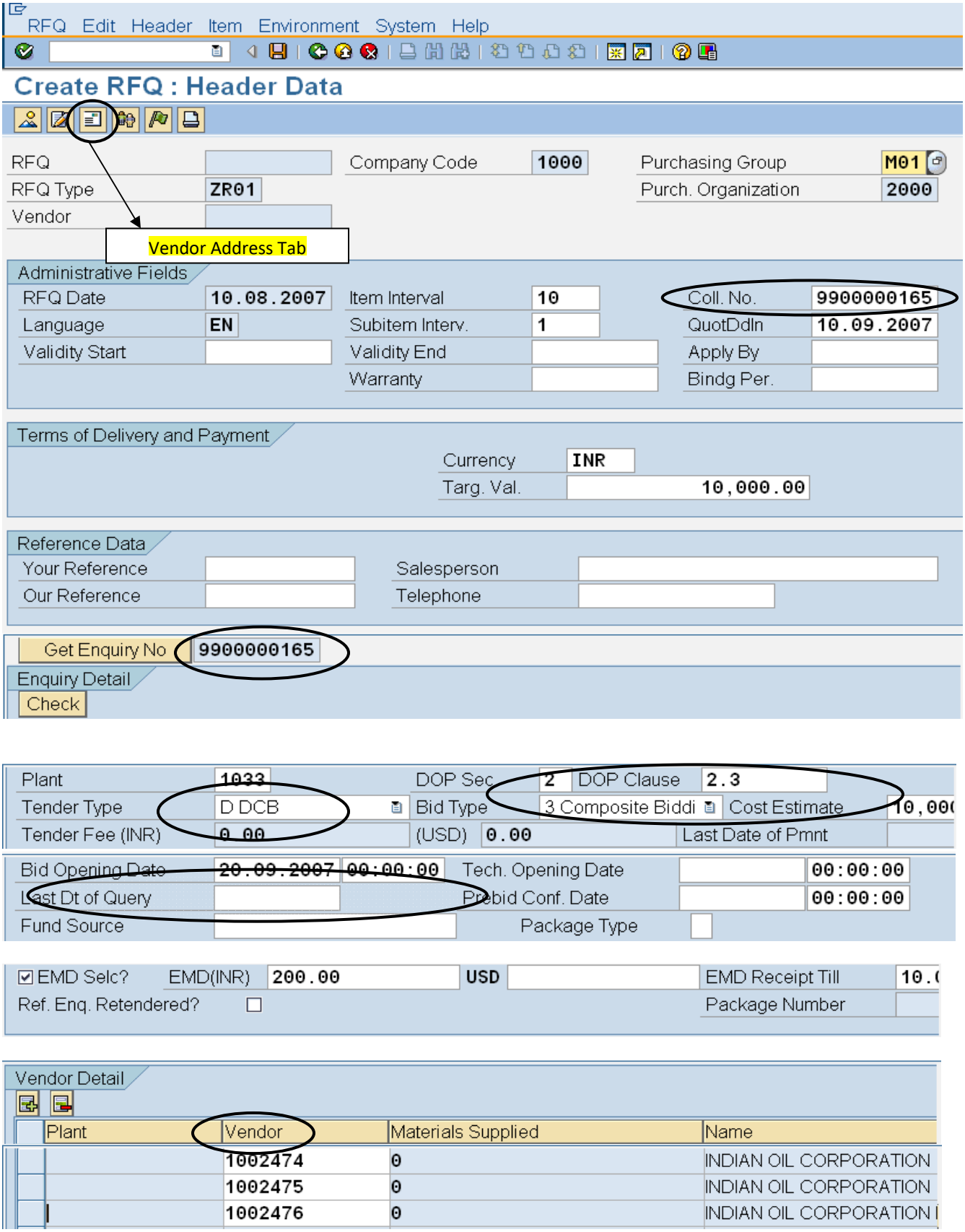
Click on Header Details Tab or press F6 Key, another screen Create RFQ: Header Data will appear :-

- Click on Get Enquiry No. Button, system will generate & display the Enquiry no., put the same Enquiry No. in Collective No. Field.

- Enter, Plant: - 1033, DOP Sec., DOP Clause, Tender Type, Bid Type, Cost Estimate: - click the calculation Tab, system will automatically give the Value from the Purchase Requisition and put the same value in Target Value Field and enter the Enquiry Currency, Enter Bid Opening Date and time: - DD/MM/YYYY (Must be greater than equal to Quotation Deadline), Click on EMD selection If EMD is applicable. How ever if material is to be imported, the currency selected should be other than INR so that system selects appropriate release strategy.

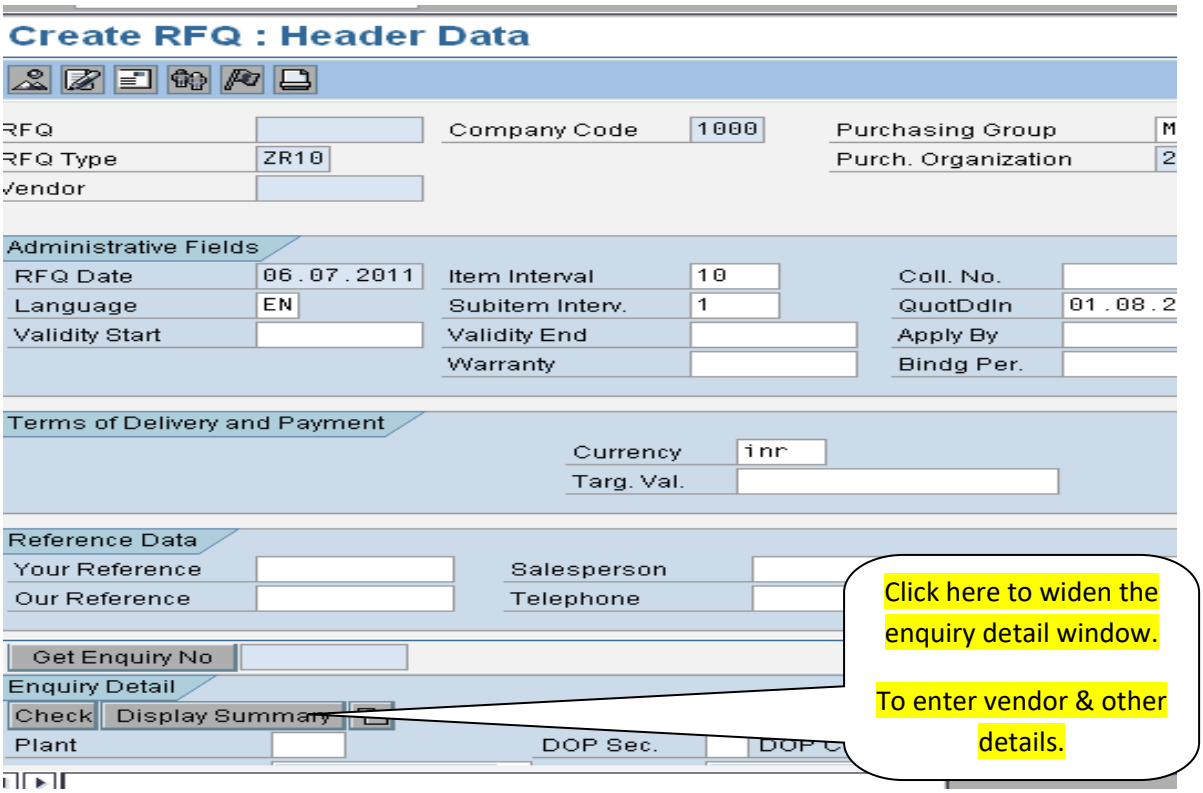
- In case the DOP clause selected is not matching with document type selected, system will not determine the release strategy. Please select the correct DOP Sec. & Clause.

❖ Maintain the suggested Vendors.

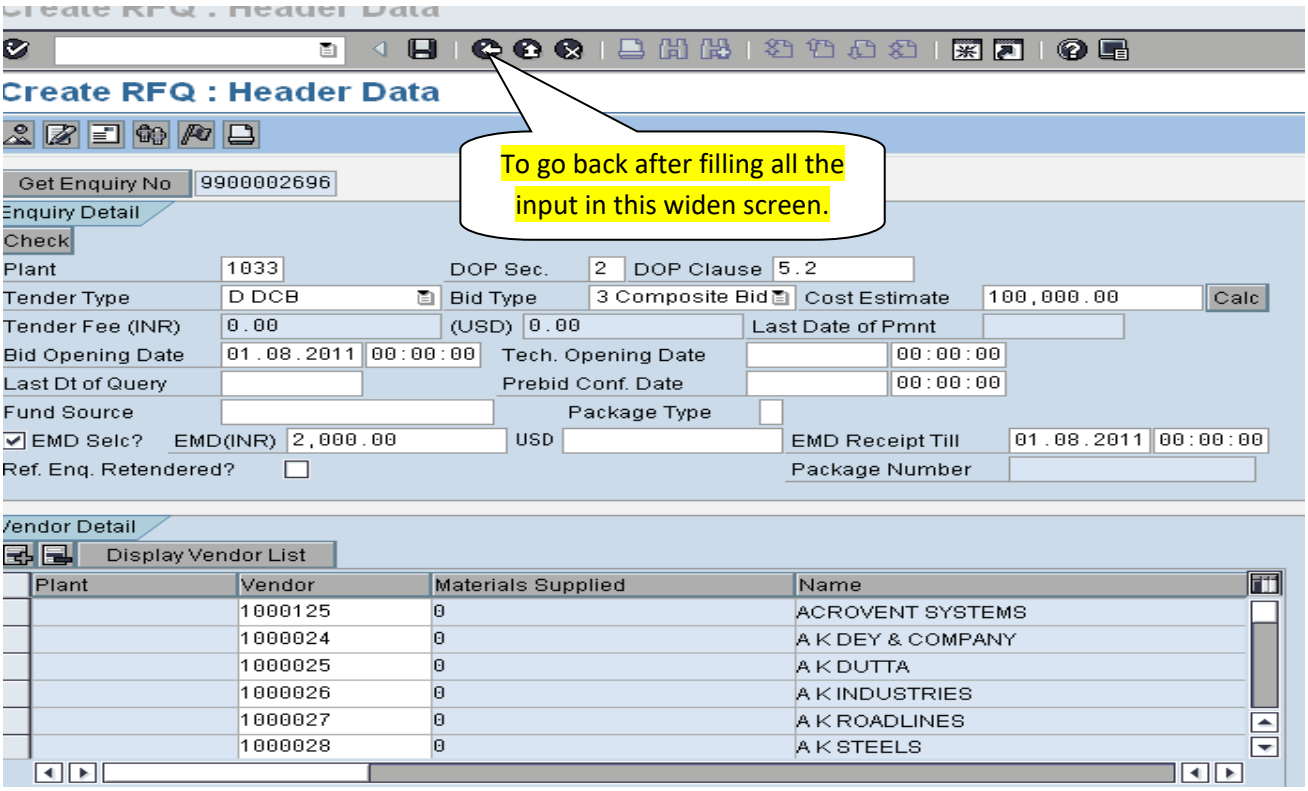


A provision of large window has been made for entering vendor details while creating RFQ.

Go to RFQ header Data.



Screen will open like below.
Enter the required data in the input screen. To go back click on “Back”.



- ❖ Click on (Refer above fig.) vendor address or click F7. Enter Vendor No.: 1000000 (Dummy Vendor for NTPC) and save it.
- ❖ Click on Header Texts (F8) key (Refer above fig.). The following text fields will be displayed for the RFQ.

Header Text: The text entered here will be displayed in the covering page of RFQ print (in Sub field)
Reasons for Mode of Tendering: Tendering mode details can be entered here.

Basis for vendor selection: Details of vendor selection criteria can be mentioned.

Authorized Signatory: The text entered here will be displayed in the covering page of RFQ print.

Enclosures: The text entered here will be displayed in the covering page of RFQ print. (at the bottom of page)

Special Instruction: Capture all matters in this text field to be printed in the RFQ.

- ❖ Click on the Flag Button to display the release strategy of the RFQ.
- ❖ System will generate Draft Enquiry (Tender Matl /Service Created under the number XXXXXXXXXX).

Note:

1. Only RFQ's with vendor code 1000000 shall be subject to release strategy.
2. QR approval and recommendation of committee for parties for LTE shall be outside system.

3. Where ever enquiries are to be sent to all enlisted / standardized vendor, select document type ZR17. However this can be used only if vendors are enlisted or standardized for all items in the RFQ and a source list is maintained in the system. In this case system will automatically suggest list of vendors and when RFQ is created on suggested vendors, system will automatically pick up the BOQ based on the standardization/enlistment.
4. Document type open tender is not subject to release strategy. Approval for floating NIT shall be obtained off line. RFQ for all vendors to whom tender documents are issued shall be created based on dummy RFQ.

NOTE:

If enquires are to be sent to only those vendors who have participated in past open tenders. Then to have release strategies in RFQ's for this type of open tendering. Select document type LT Standardized and in RFQ enter DOP & clause as per open tendering.

5. Cost of tender document is to be captured in the system using T code ZMMEMD. Document is to be parked and instruments is to be forwarded to finance along with print of parked document

2. Change RFQ (T. Code: -ME42)

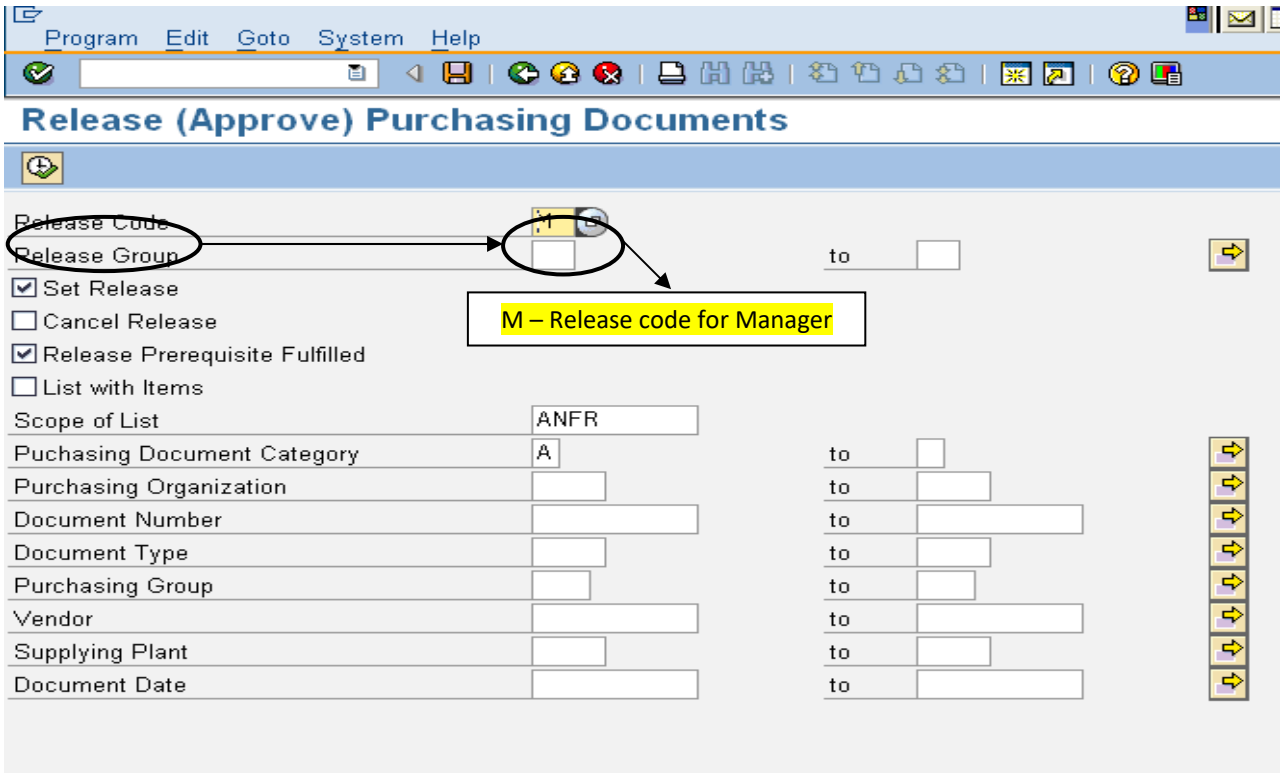
The RFQ already saved can be modified using above T code provided the RFQ has not processed further. After entering the RFQ No., details already entered will be displayed.

3. Display RFQ (T. Code: -ME43)

The RFQ details will be displayed using above T code. After entering the RFQ No., details entered will be displayed.

- Release Procedure for Request for Quotation (RFQ)

4. **RFQ Release Strategy (T. CODE: -ME45)**
   - Enter Document No. (RFQ No.) which is to be released, enter Purchasing Org., Document type, Purchasing group,
   - Click on RFQ No.
   - Select the Release codes and groups one by one as per DOP Clause (release codes: -M: -Manager, SM: -Sr. Manager Etc)
   - Select the Release Group as RF
   - Execute and Save.

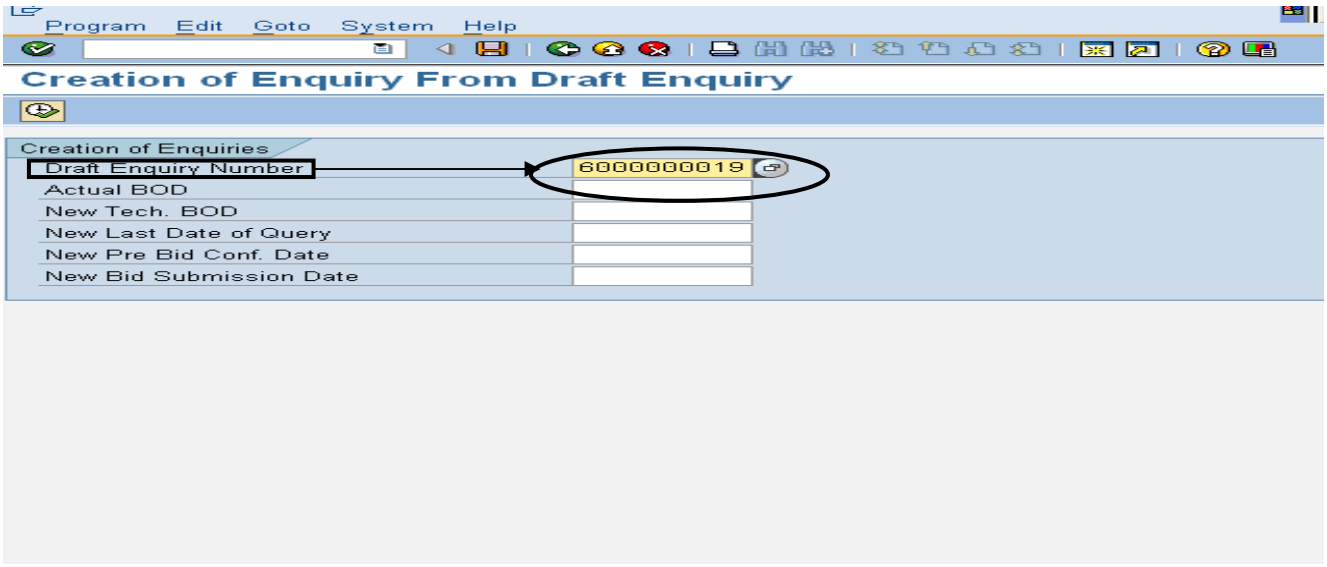


5. Creation of Enquiry from Draft Enquiry (T. Code: -ZMMRFP)

- Enter Draft Enquiry No. and Actual Bid Opening Date and Execute.
- Enter new dates in the fields if dates given in draft enquiry is to be changed.
- Systems will Generate Enquiry Number.

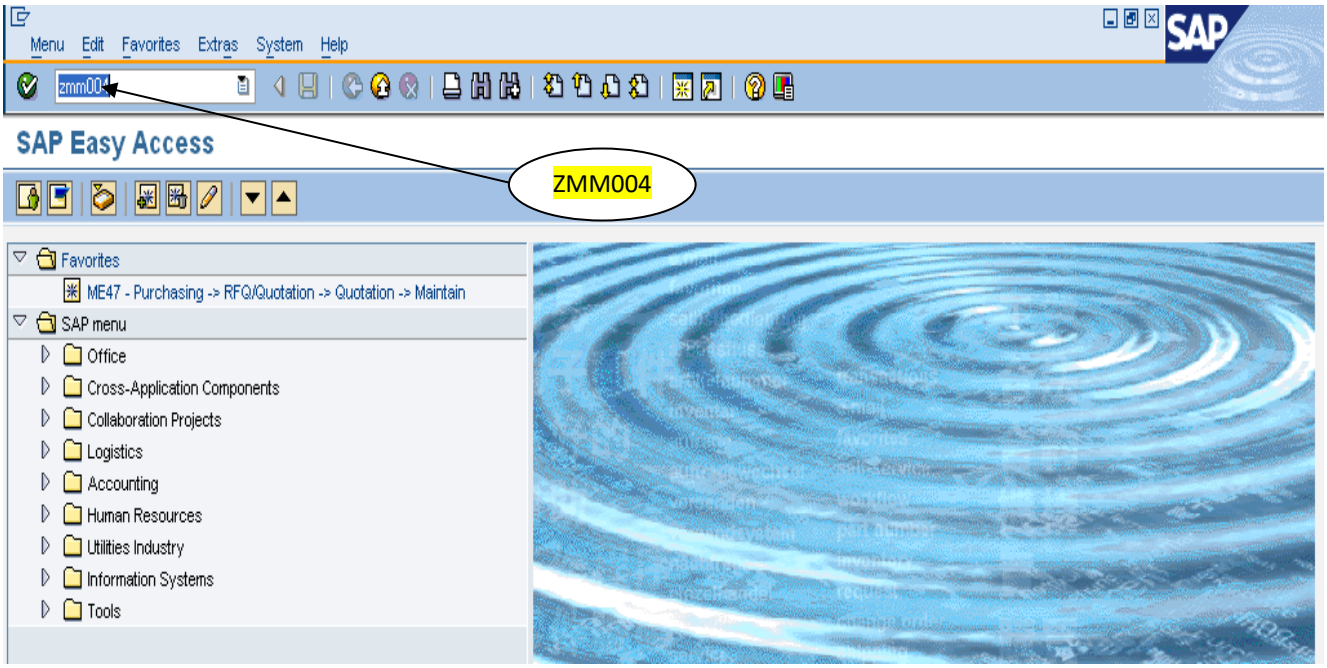
Note:

ZMMRFP can be executed any number of times only for Open Tender (ZR12) cases after new vendor has been added in the RFQ.

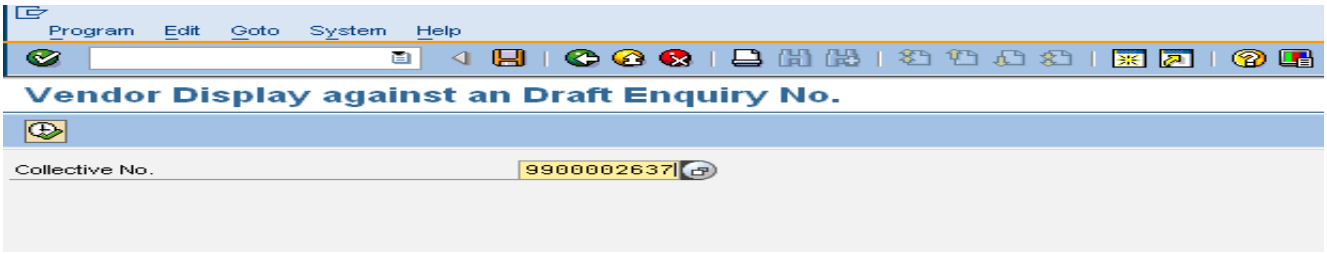


Proposal for issue of RFQ (ZMM004):

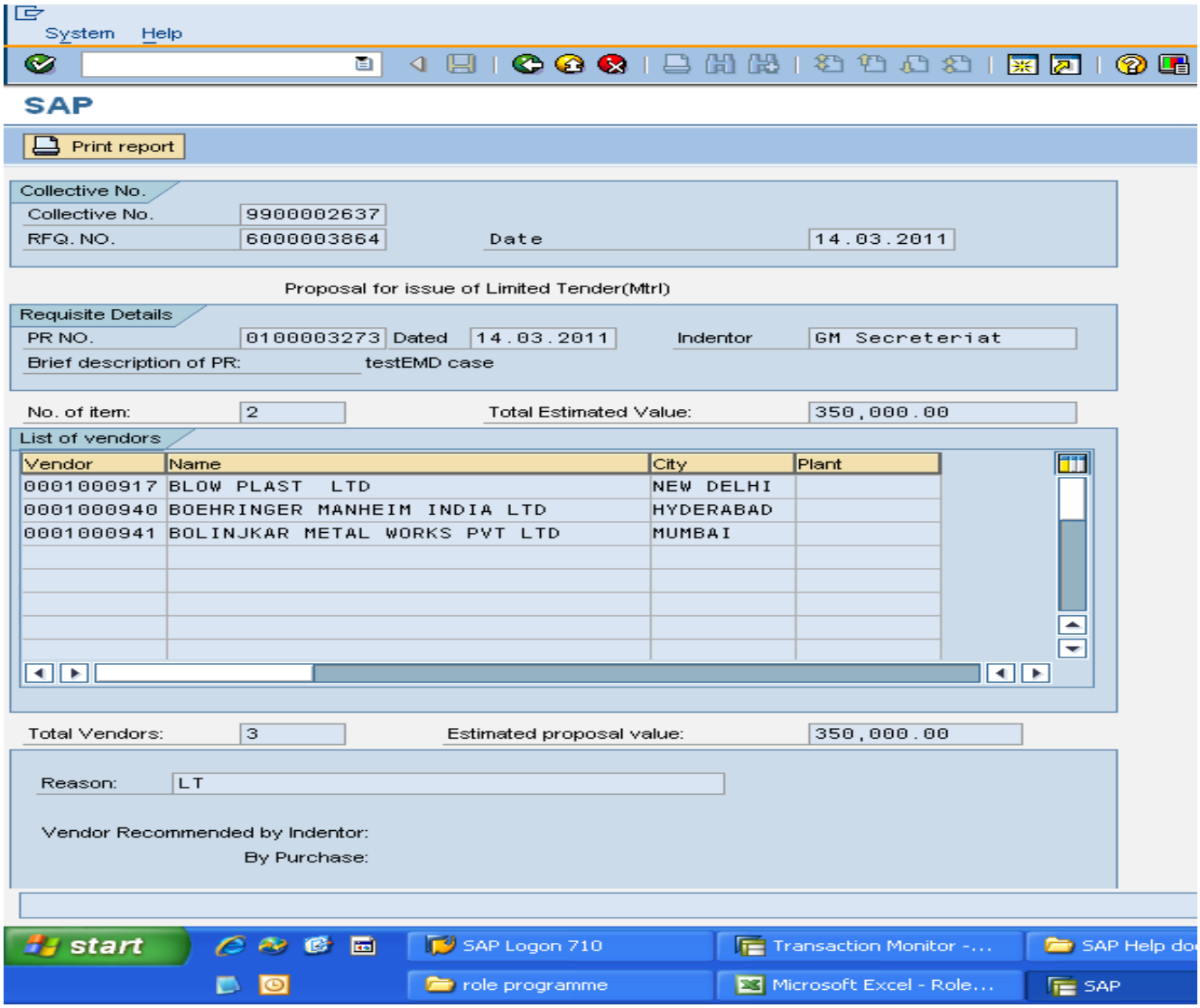
The note sheet approval document will be displayed against the Collective No. The details of PR, Vendor, and DOP Clause & Approving authority will be displayed. Print out of this document also can be generated.



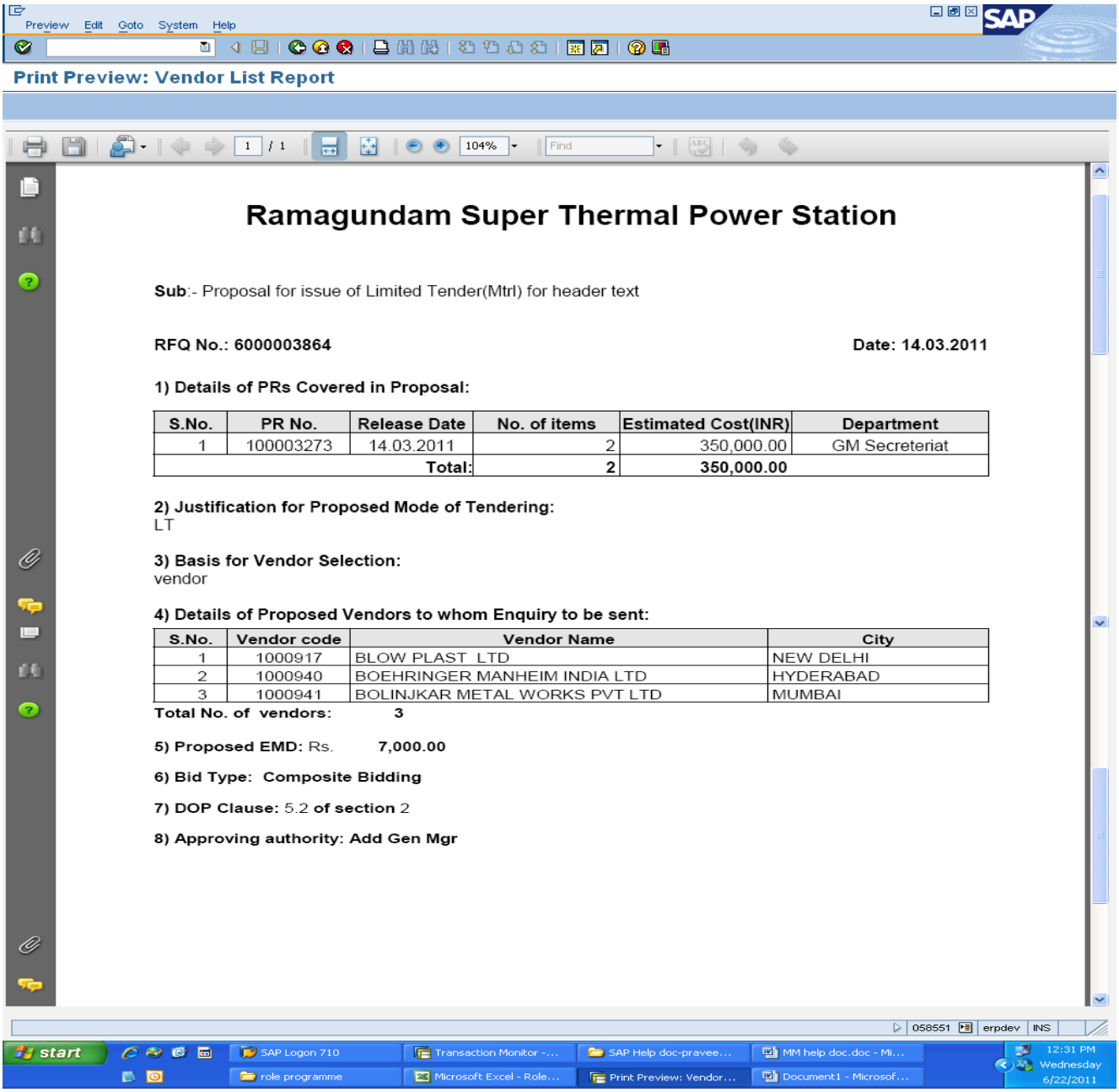
Enter collective no



And execute



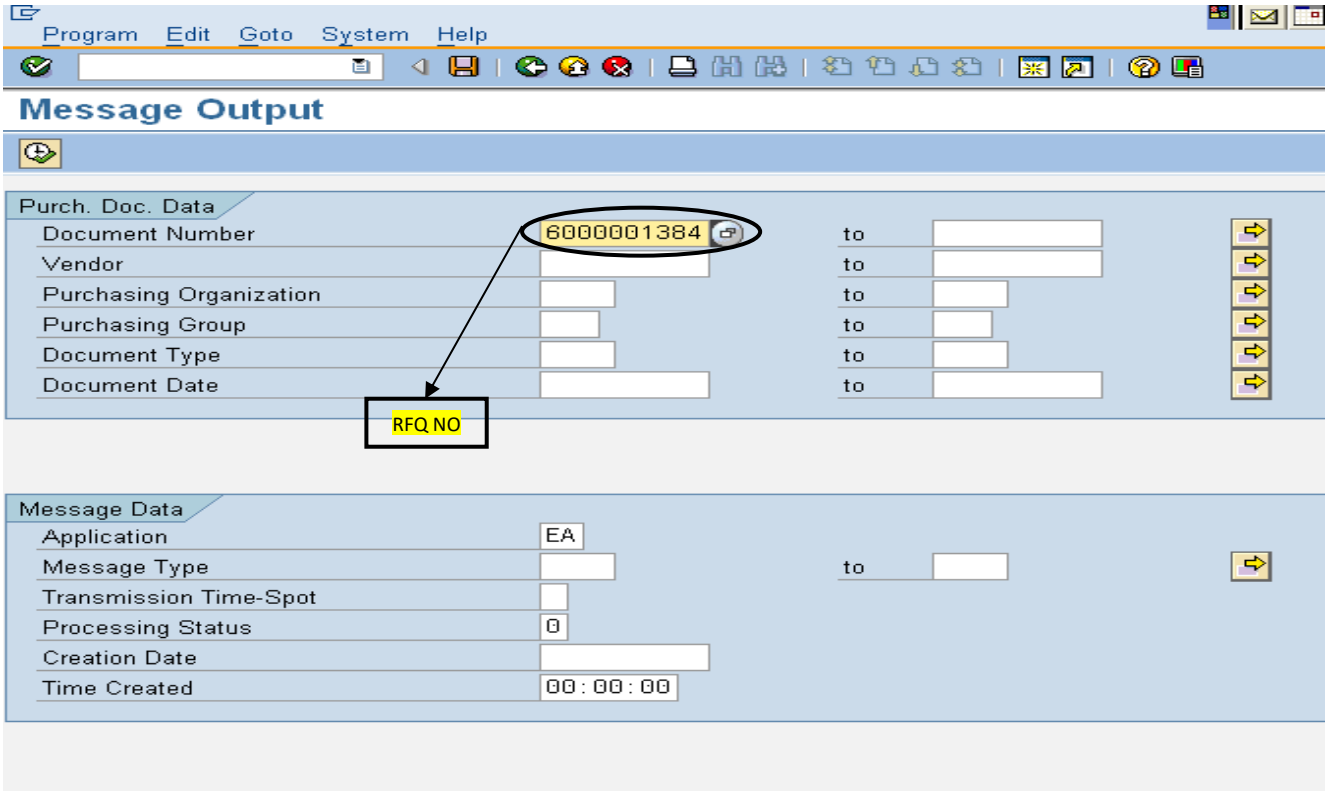
Press **print report** tab to take note sheet printout.



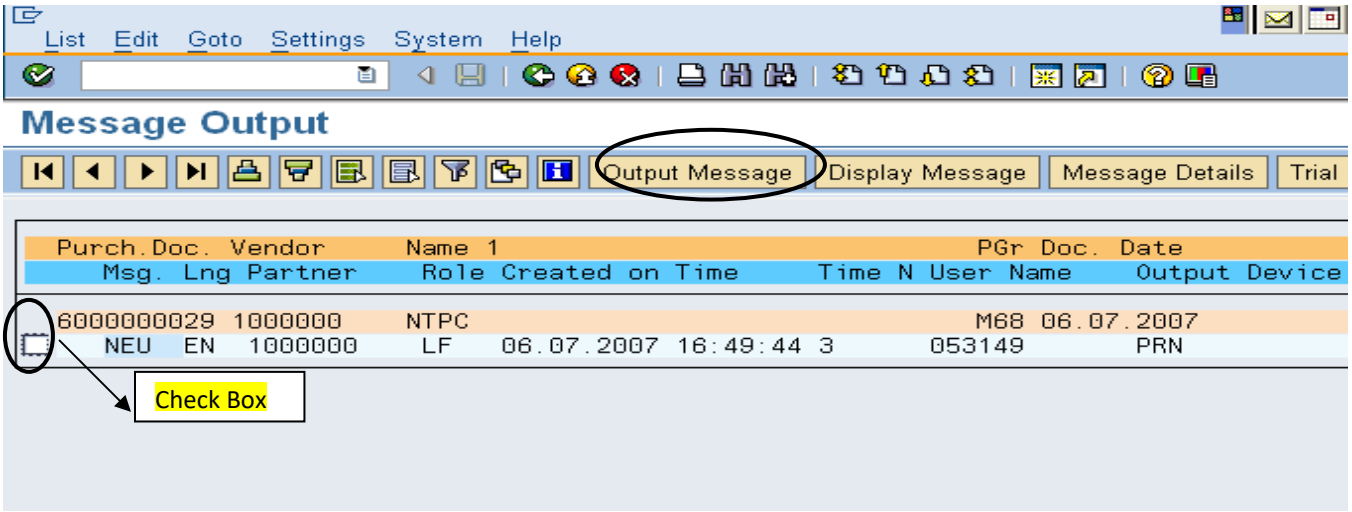
- Print Request for Quotation (RFQ)

6. Print Vendor RFQ (T. CODE : -ME9A)

- Enter RFQ Document No which you want to print.



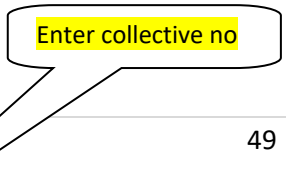
- Click on Execute (F8).
- Click Output Message Tab and Enter Output Device.
- Execute to Print.
- Print out will come.

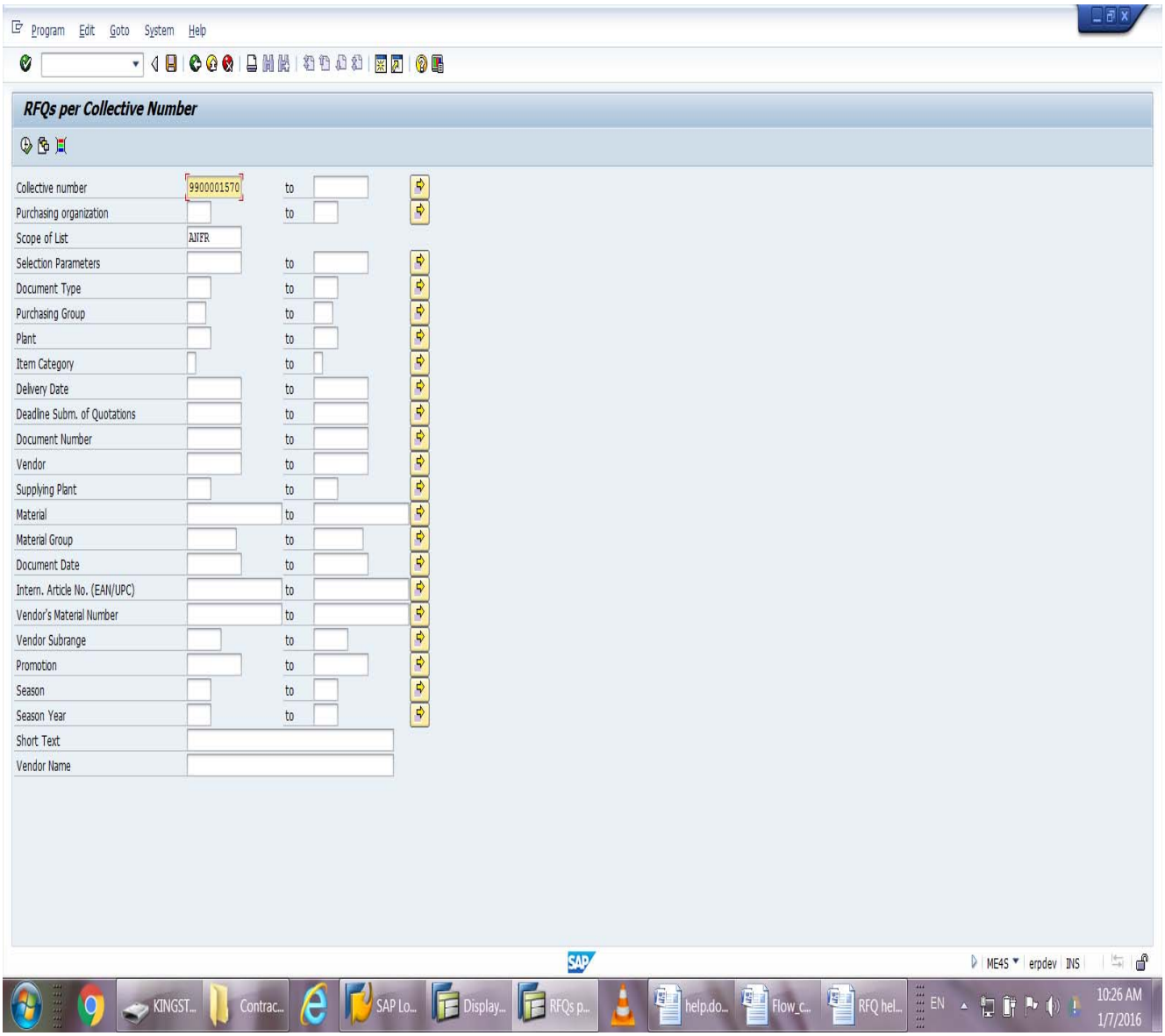


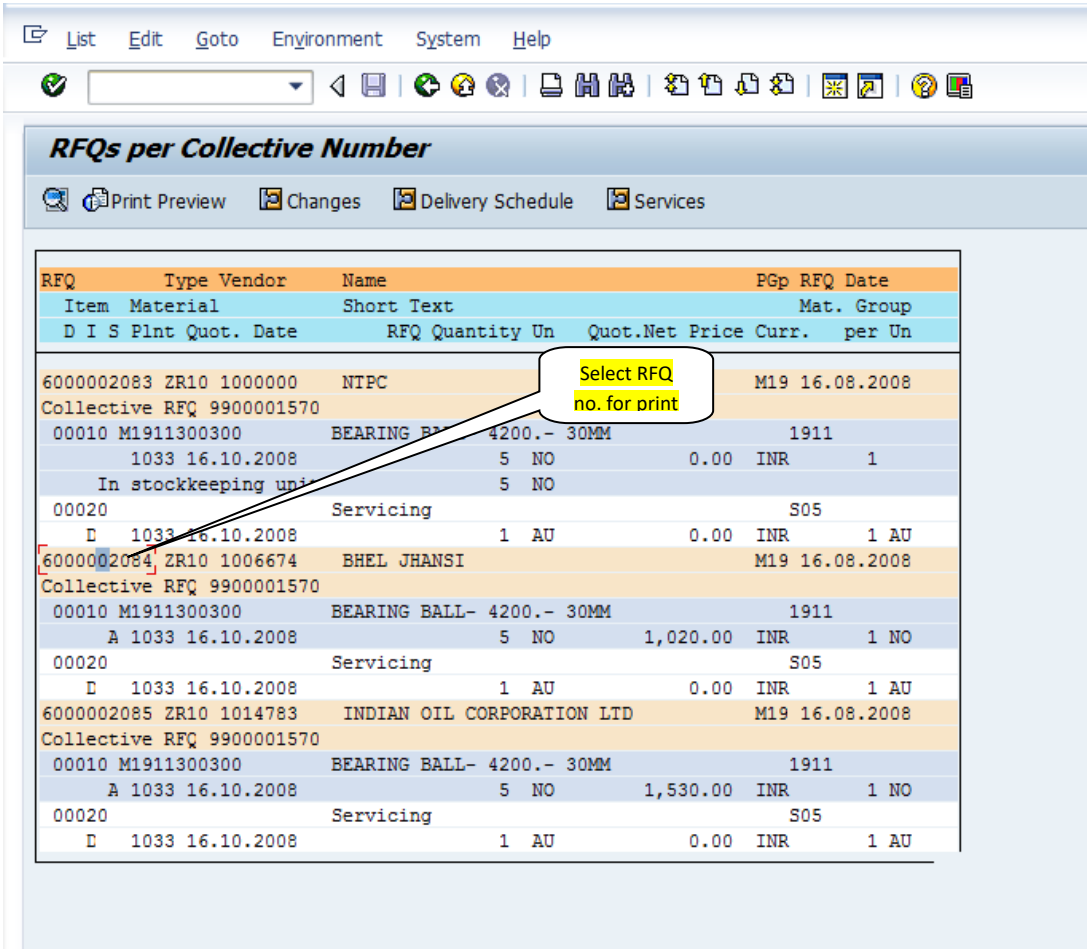
Note: - In order to reprint a RFQ change the processing status to 1 from 0. Click Display Message Tab and Enter Output Device.

RFQs by Collective Number (ME4S):

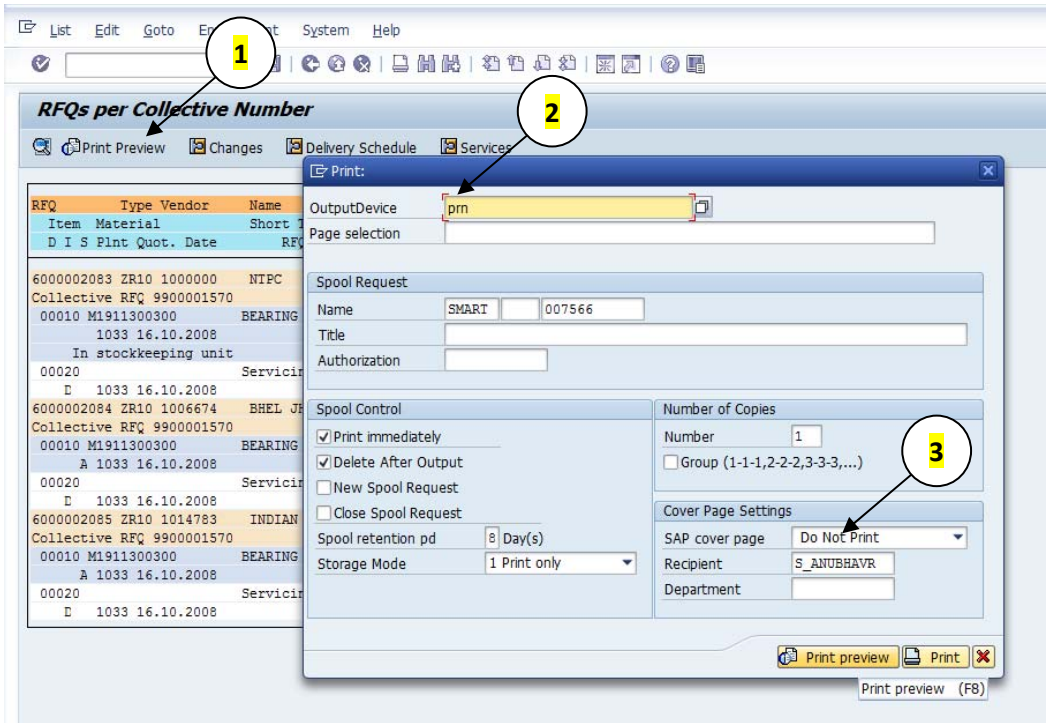
The details of RFQs grouped under the collective number will be listed. Details of particular RFQ can be viewed by double clicking the RFQ No / Material Code.

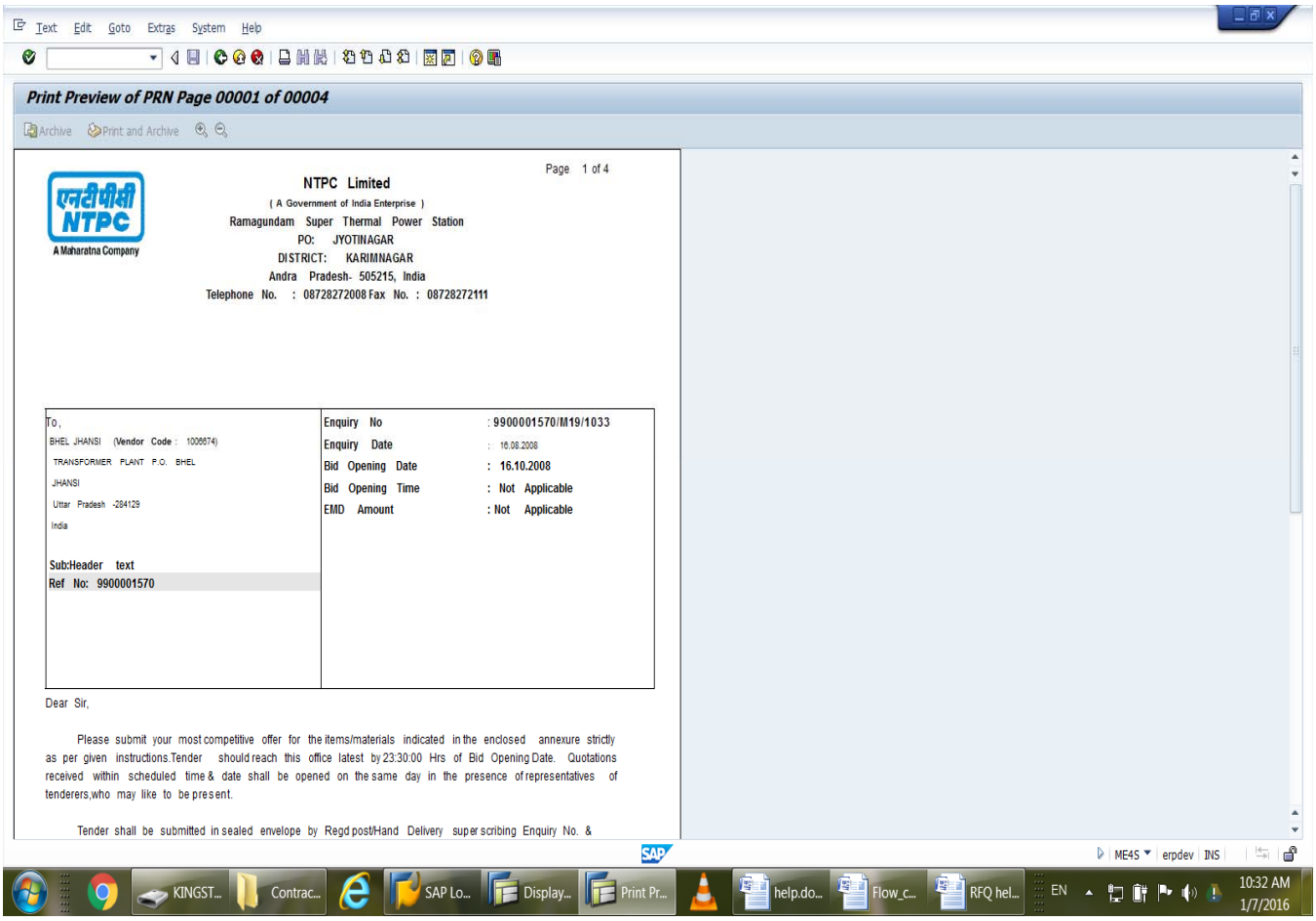



Program Edit Goto System Help
RFQs per Collective Number
Collective number 9900001570 to
Purchasing organization to
Scope of List ANFR
Selection Parameters to
Document Type to
Purchasing Group to
Plant to
Item Category to
Delivery Date to
Deadline Subm. of Quotations to
Document Number to
Vendor to
Supplying Plant to
Material to
Material Group to
Document Date to
Intern. Article No. (EAN/UPC) to
Vendor's Material Number to
Vendor Subrange to
Promotion to
Season to
Season Year to
Short Text
Vendor Name
ME4S erpdev INS
KINGST... Contrac... SAP Lo... Display... RFQs p... help.do... Flow_c... RFQ hel...
EN
10:26 AM
1/7/2016



RFQ	Type	Vendor	Name	PGp	RFQ Date
Item	Material		Short Text		Mat. Group
D I S	Plnt	Quot. Date	RFQ Quantity Un	Quot.Net Price Curr.	per Un
6000002083	ZR10	1000000	NTPC	M19	16.08.2008
Collective RFQ 9900001570					
00010	M1911300300		BEARING BA	4200.- 30MM	1911
	1033	16.10.2008	5 NO	0.00 INR	1
	In stockkeeping uni		5 NO		
00020			Servicing		S05
D	1033	16.10.2008	1 AU	0.00 INR	1 AU
6000002084	ZR10	1006674	BHEL JHANSI	M19	16.08.2008
Collective RFQ 9900001570					
00010	M1911300300		BEARING BALL-	4200.- 30MM	1911
A	1033	16.10.2008	5 NO	1,020.00 INR	1 NO
00020			Servicing		S05
D	1033	16.10.2008	1 AU	0.00 INR	1 AU
6000002085	ZR10	1014783	INDIAN OIL CORPORATION LTD	M19	16.08.2008
Collective RFQ 9900001570					
00010	M1911300300		BEARING BALL-	4200.- 30MM	1911
A	1033	16.10.2008	5 NO	1,530.00 INR	1 NO
00020			Servicing		S05
D	1033	16.10.2008	1 AU	0.00 INR	1 AU





RFQs by Requirement Tracking Number (ME4B): The details of RFQ s will be displayed against the Tracking No. entered against Material Code line item in Purchase Requisition.

Following T Codes are also available for viewing the RFQs:

RFQs by Material Group	**(ME4C)**
RFQs by Vendor	**(ME4L)**
RFQs by Material	**(ME4M)**
RFQs by RFQ Number	**(ME4N)**
Purchasing Reports – RFQs	**(ME80A)**

After issuing enquires to different vendors, Quotations are received by C&M department up to last date of submission of quotations.

On the Bid Opening Date (BOD) all quotations are opened if no further BOD extension is required.

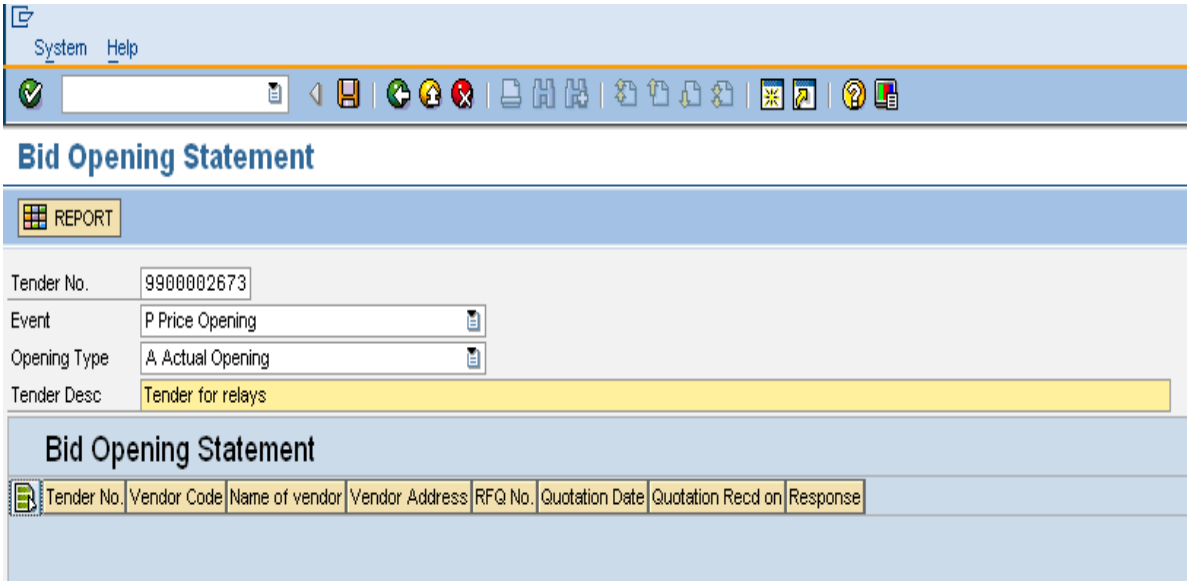
All bids are opened in the tender Room in the presence of all representatives from NTPC & vendor side.

All the available bids are opened and Bid opening statement is prepared in the SAP system.

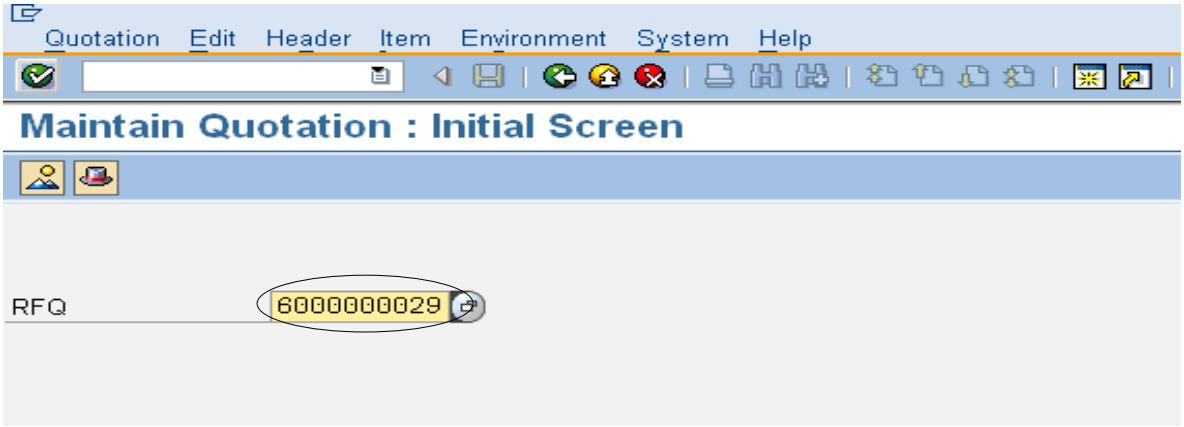
Bid Opening Statement (T Code: - ZMM18)

Enter Collective No. in the Tender No. column. Following details like Event (Price / Technical Opening), Opening Type (Actual / Extended opening), Tender Description are to be entered. Click on the REPORT button.

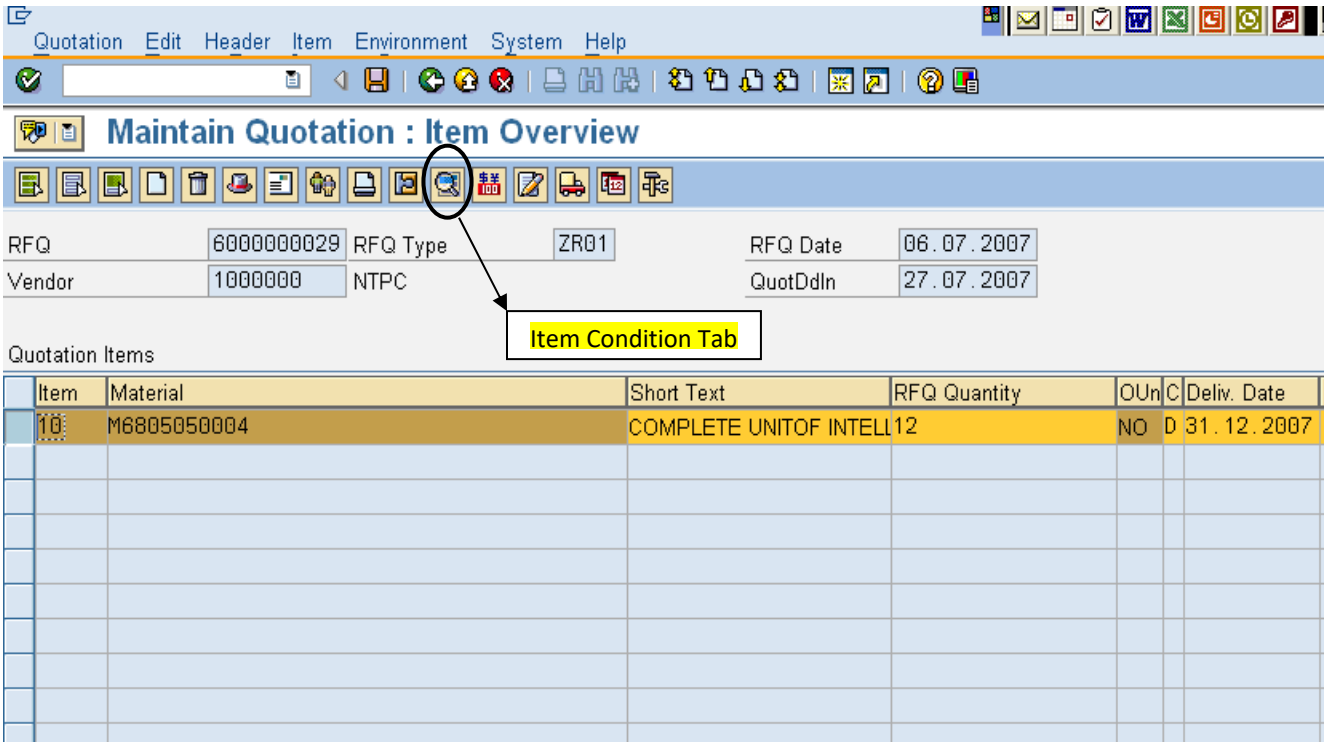
The Bid Opening Statement mentioning RFQ No., Vendor Details, etc. will be displayed. For taking printout, Select Menu List (at top left corner of the screen) -> Print.



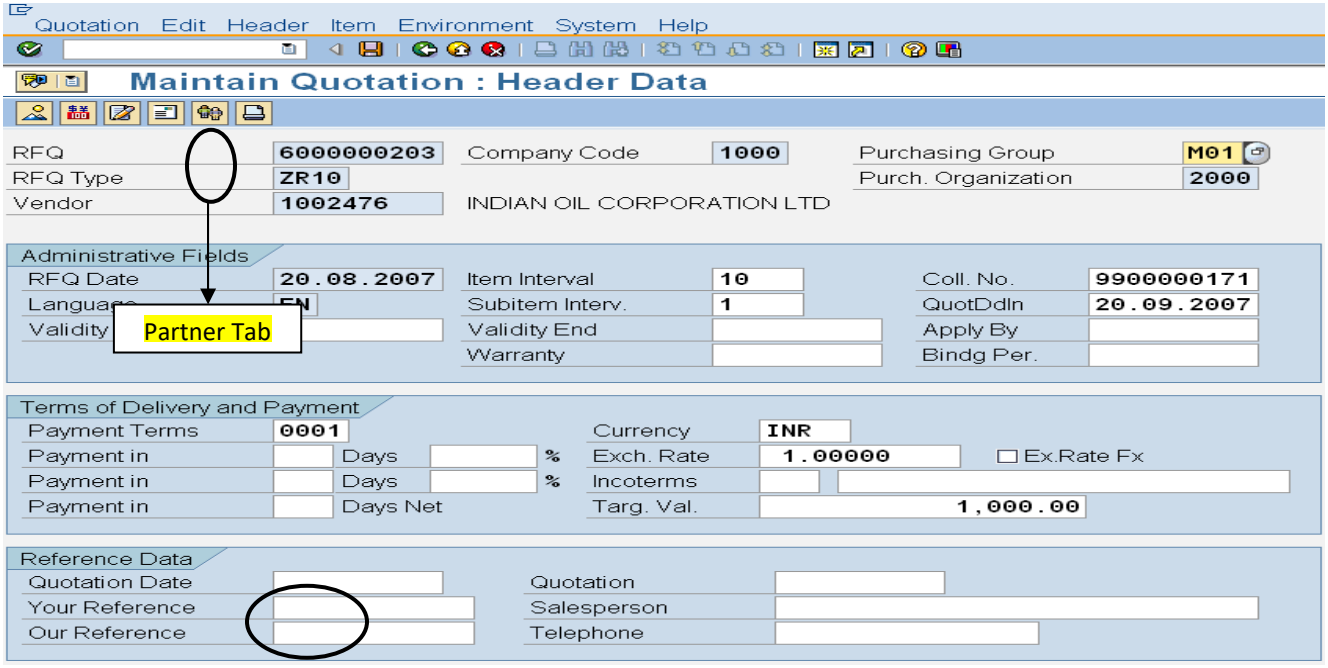
- Maintain Quotation
  - Maintain Quotation (T. Code : -ME47)
    - Enter RFQ (Enquiry No.) and Enter



- Will take you to another screen Maintain Quotation: Item Overview: -Select the line item and enter the Net Price.
- All the pricing conditions as quoted by vendor and loading to be done for deviations is to be maintained with the help of Item Condition Tab.
- Quotation No, date and other reference is to be maintained in the tab reference data as this information are to be printed in PO



- In case of submission of quotation by another vendor on behalf of vendor to whom enquiry was issued, go to partner tab and maintain new vendor as partner.

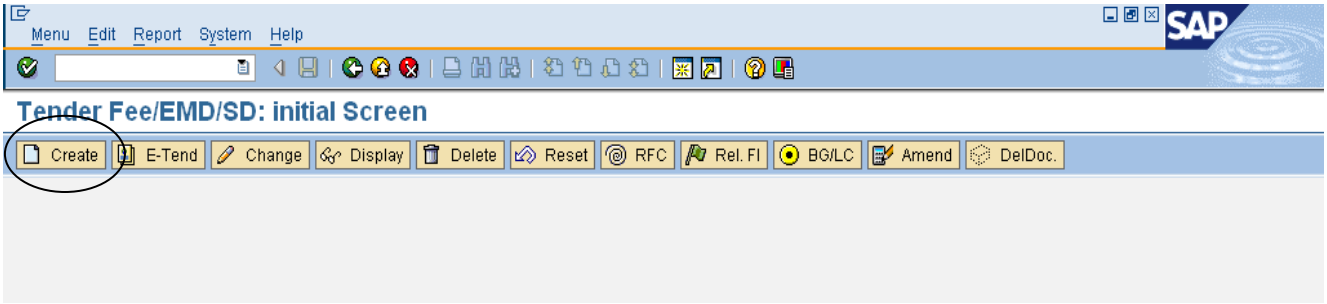


- In case of 100% payment terms only select payment terms starting with C, D & L only. In case of split payment terms, select only payment terms code starting with N only
- Enter and Save it.

Earnest Money Deposit:

Pre-requisite for Tender Fee processing: Creation of RFQ in the System

- Go to transaction: ZMMEMD
- Press create button

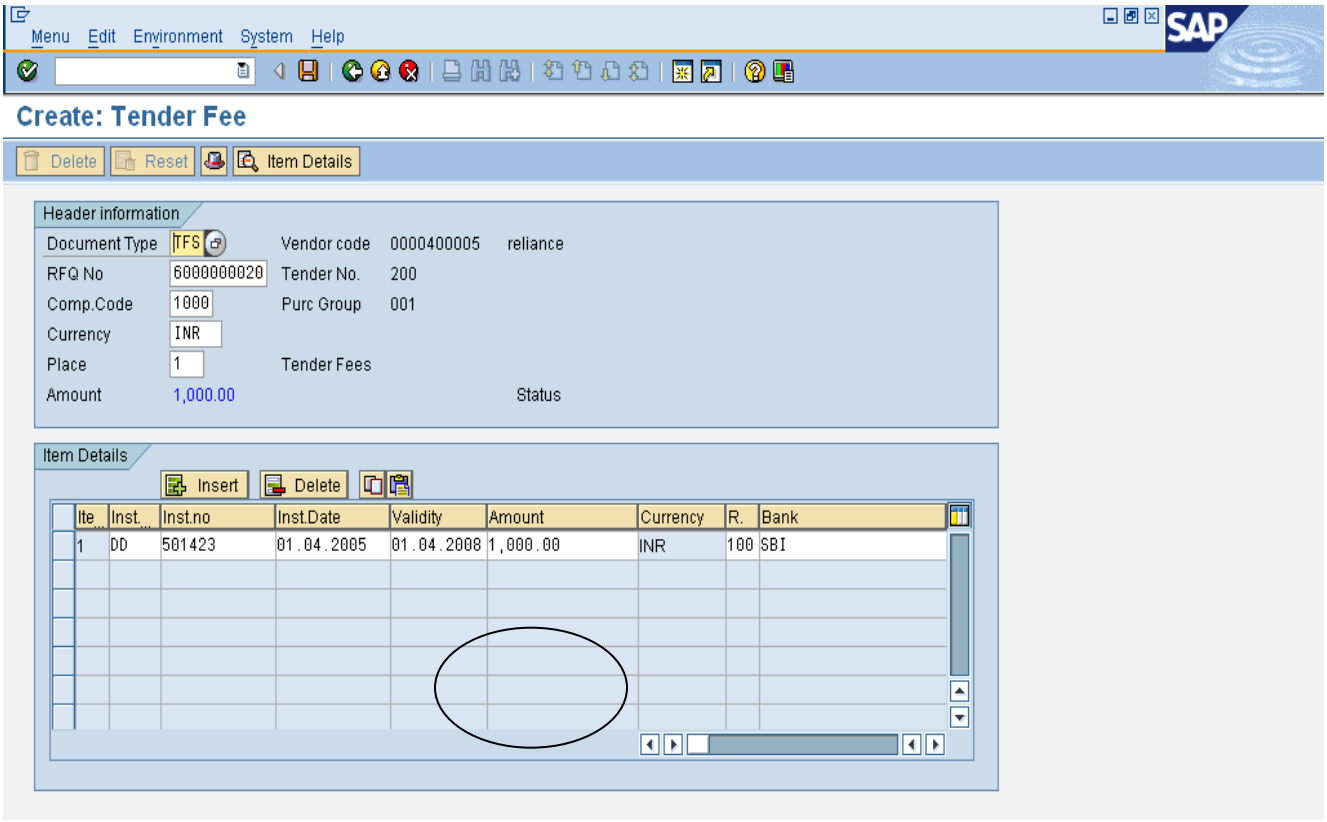


Give the following header level information:

- Document Type : TFS – Tender Fee
- RFQ No. : Enter RFQ No.
- Company Code : Company code where Tender Fee is collected
- Currency : Enter Currency of tender fee Instrument(s)

Give the following Item level information:

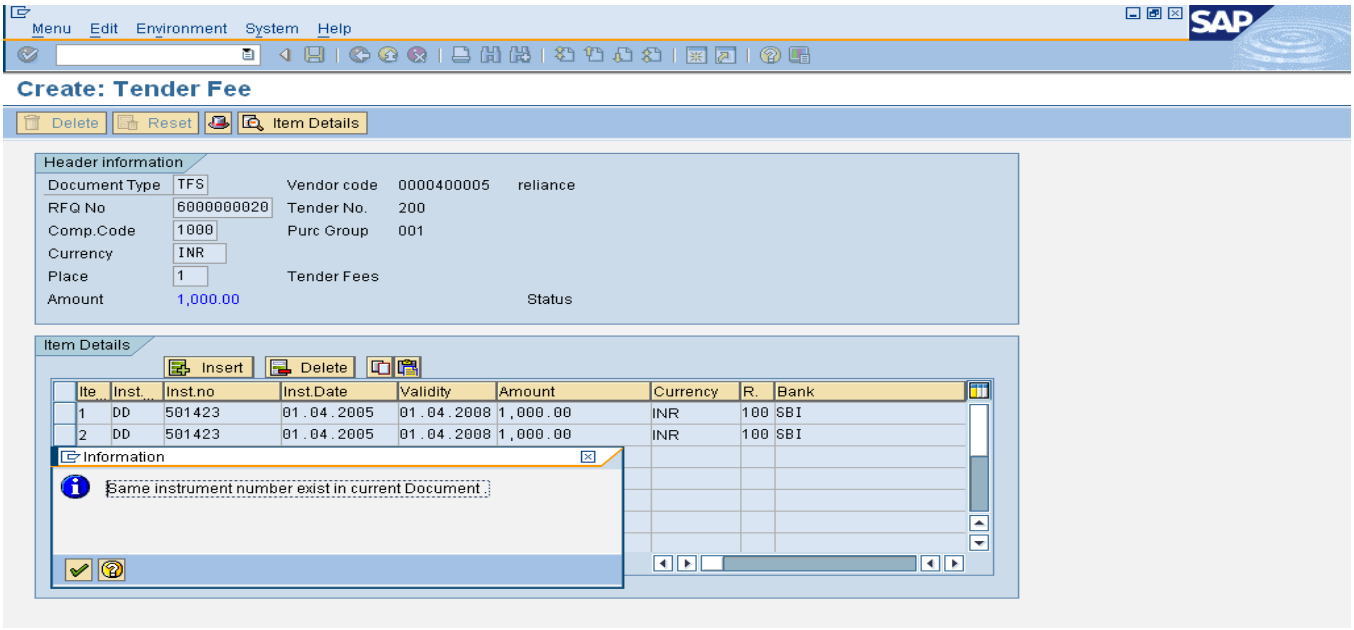
- Select: Type of Instrument
- DD (ii) IPO (iii) Banker's Cheque (iv) Cashier's Cheque
- Instrument No
- Instrument Date
- Instrument Validity: By default, system will add 180 days from Instrument date and put as Validity date. However, validity period can be manually changed.
- Amount:
- Reason Code: Select 100 – Sale of Tender
- Bank
- Branch
- Address1
- Address2

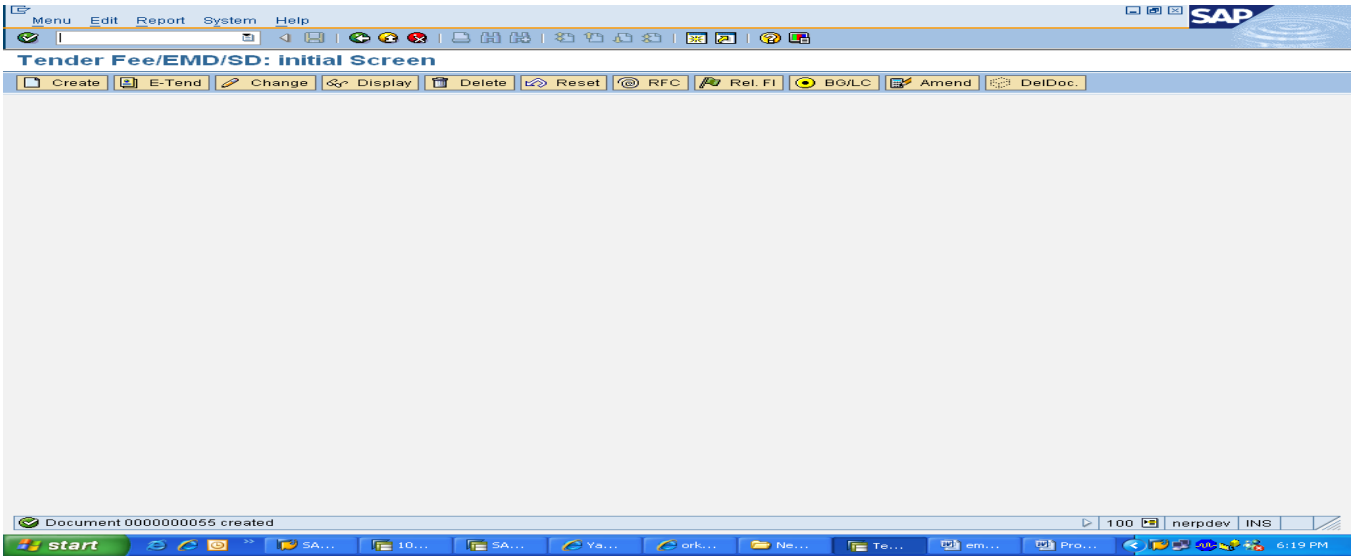


- If anymore instrument is to be added in the same document, use copy and paste function.
- Select the line item and press copy button
- Then press Paste button:

All the data of selected line will be repeated in subsequent line. The required changes such as Instrument no. etc will be changed by the user.

Note: System will not allow same instrument no. twice in a document.



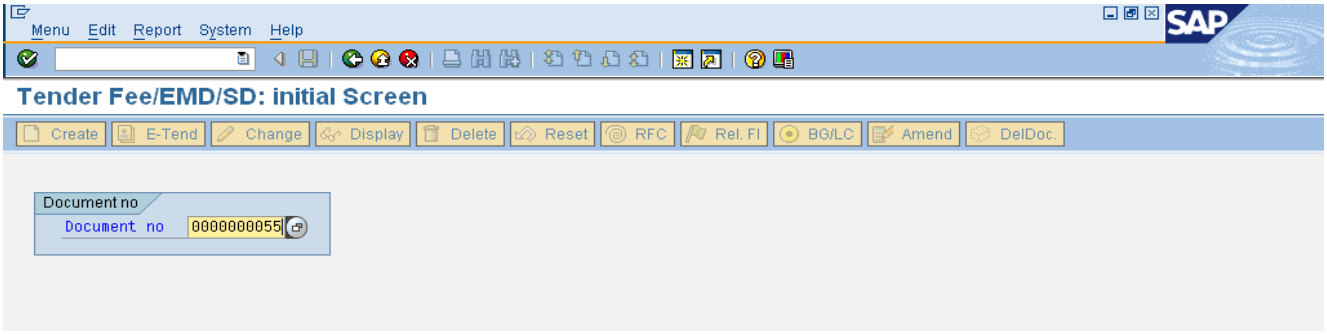


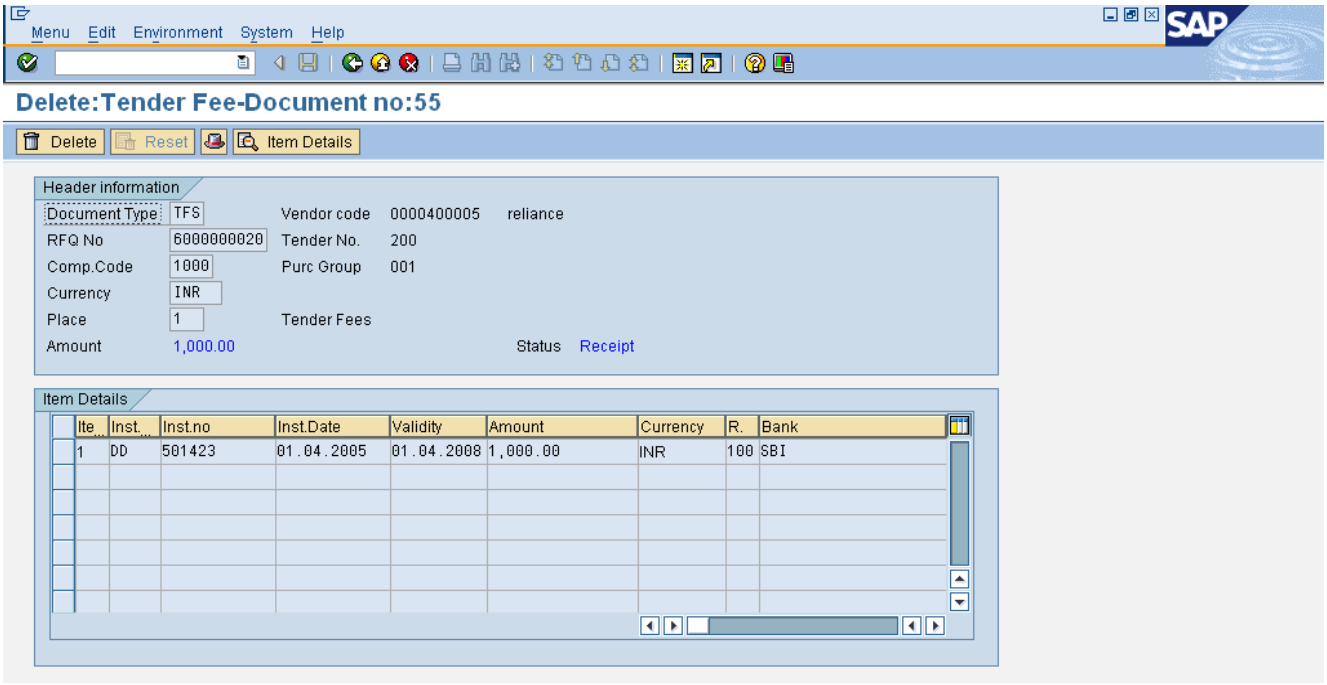
- Save the document and the system will give 10-digit document number as above.
- Change of Tender Fee receipt document
- Go to Transaction: ZMMEMD
- Press Change Button
- Give Tender Fee receipt document No.

Do the required changes. However, the system will allow for change only if the document is not parked. Once document is parked by MM, the document cannot be changed.

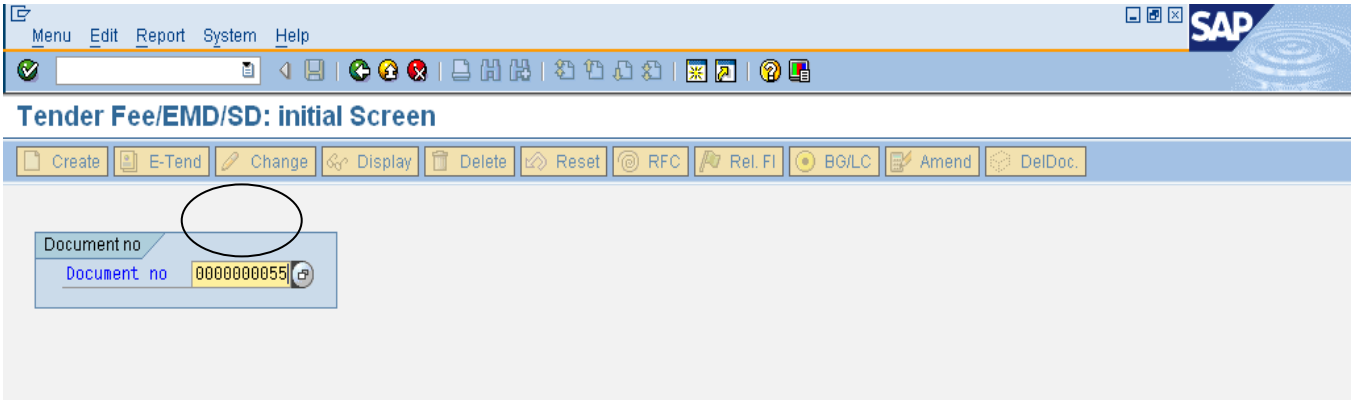
(a) Deletion of line items: If line item is deleted, then the system will permanently erase the data from the data base

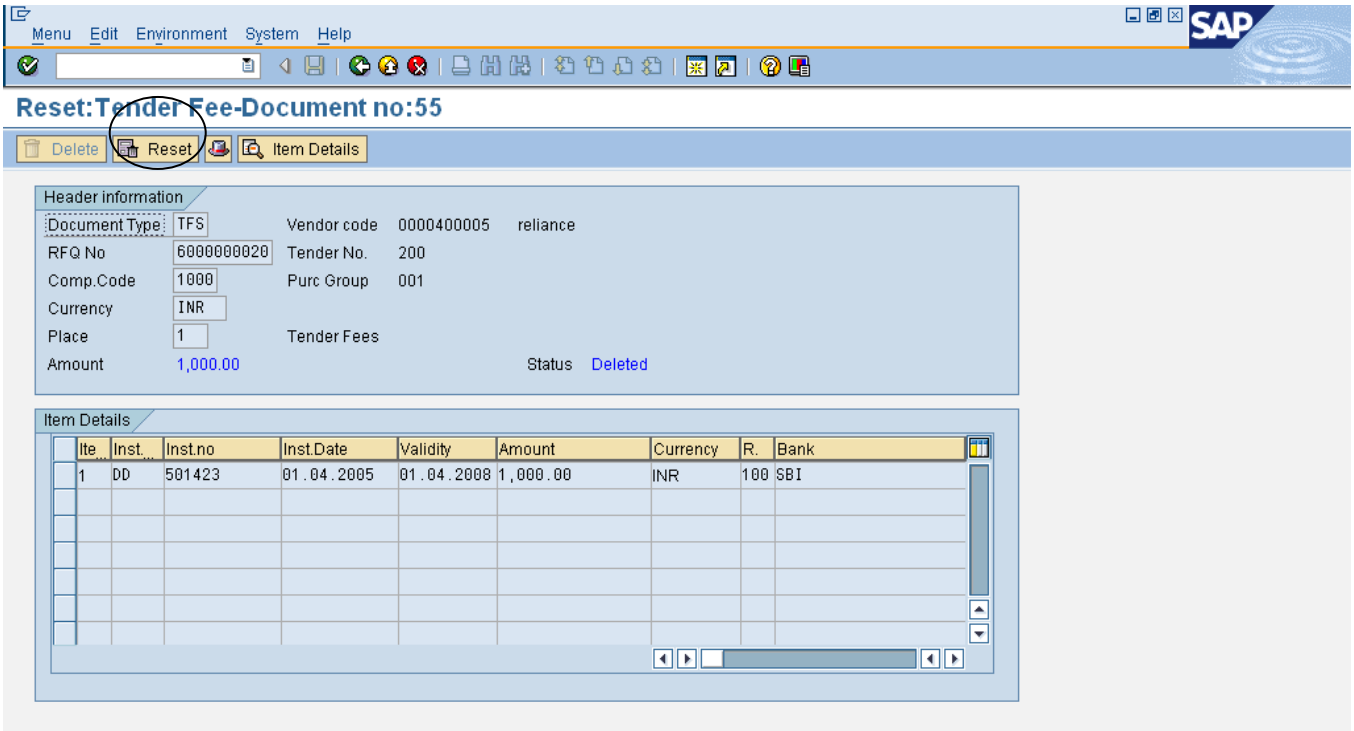
(i) Deletion of entire document:





(ii) Reset deletion Indicator:





CS (Comparative statement preparation)

After maintaining quotations received from different vendors, C&M executive has to generate CS (Comparative statement) using transaction ZMMCS

Note:

1) The rates quoted by vendor shall be printed as basic rate instead of discounted rate.

2) The output of CS for RFQ type ZR17 will be slightly different than that of other RFQ types as vendor wise BOQ can be different in this RFQ type.

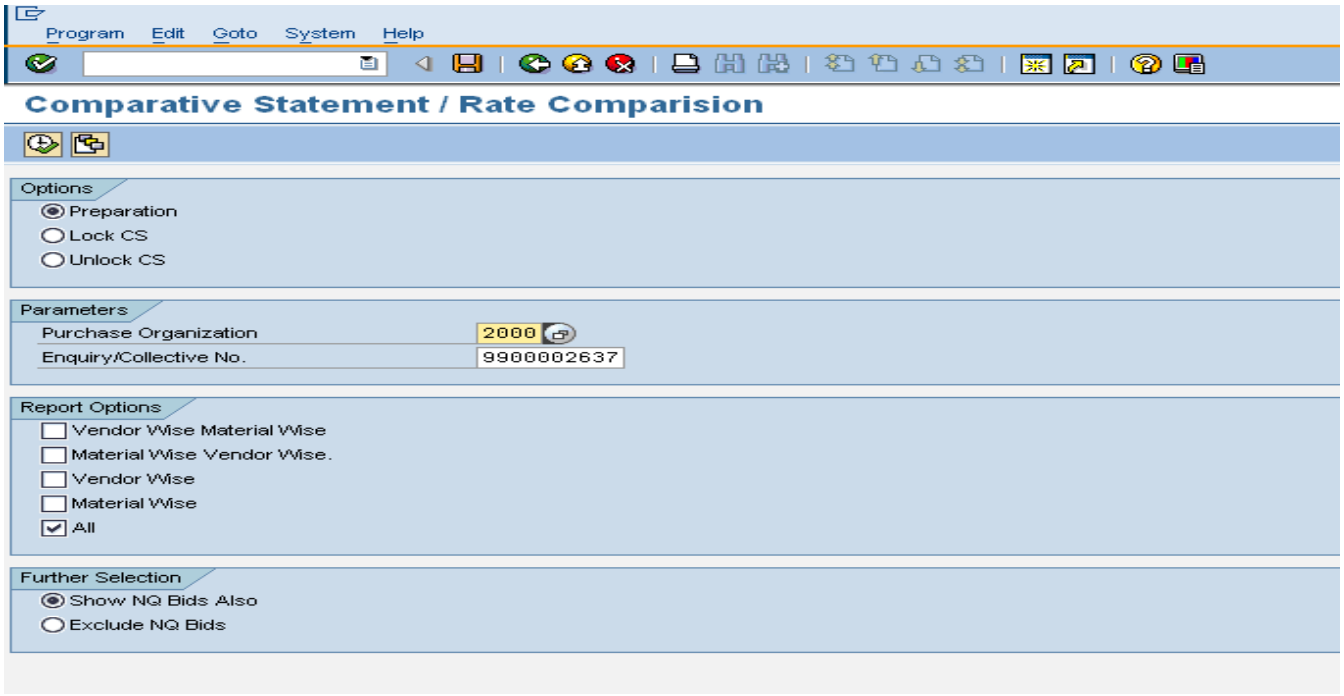
Run Transaction ZMMCS.

Enter Purchasing organization & collective no. and execute. Before executing C&M executive may select the report options available like

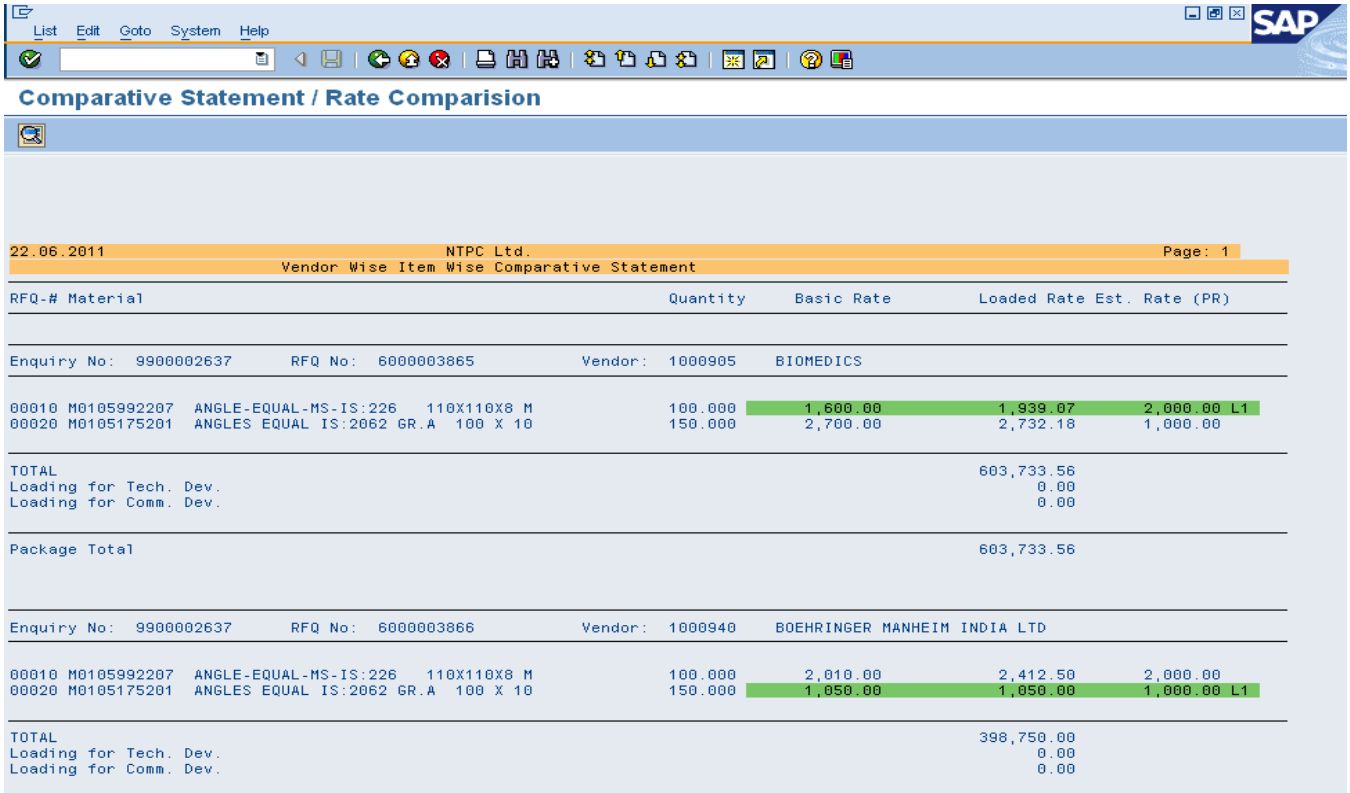
1. Vendor wise Material wise
2. Material wise vendor wise
3. Vendor wise
4. Material wise

or

5. ALL

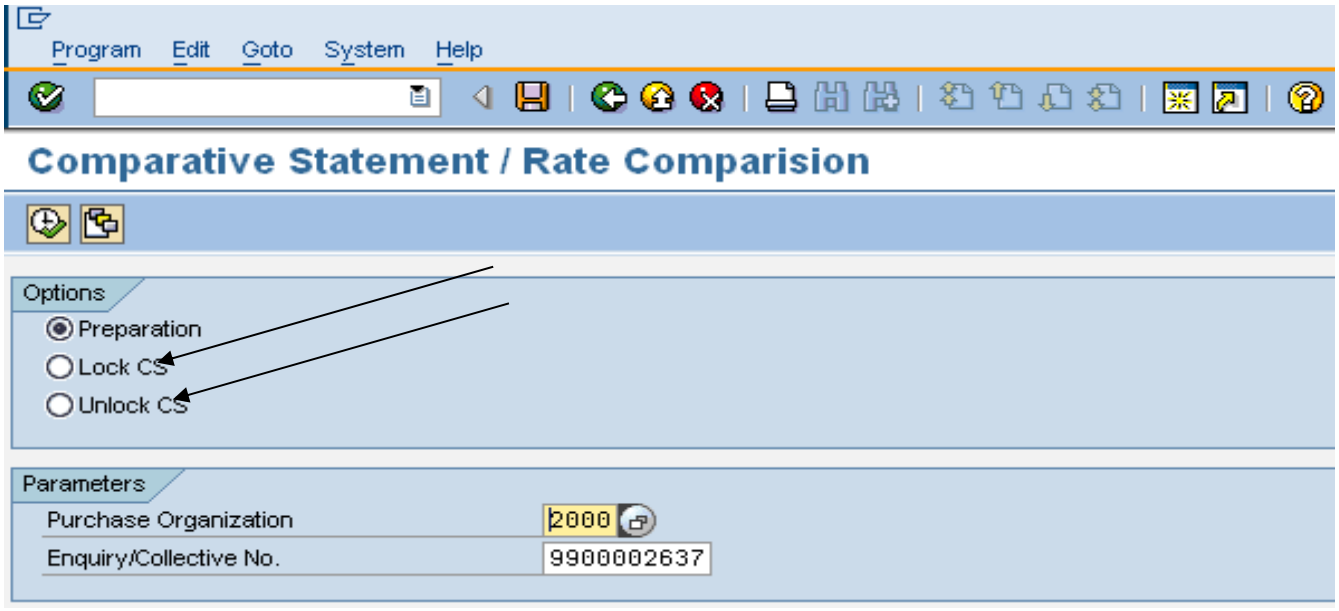


After execution following will be the print of CS.



- **Above CS is to be vetted by finance Off-line.**

- After finalization of CS, it may be locked and unlocked by the Finance department using same transaction ZMMCS.

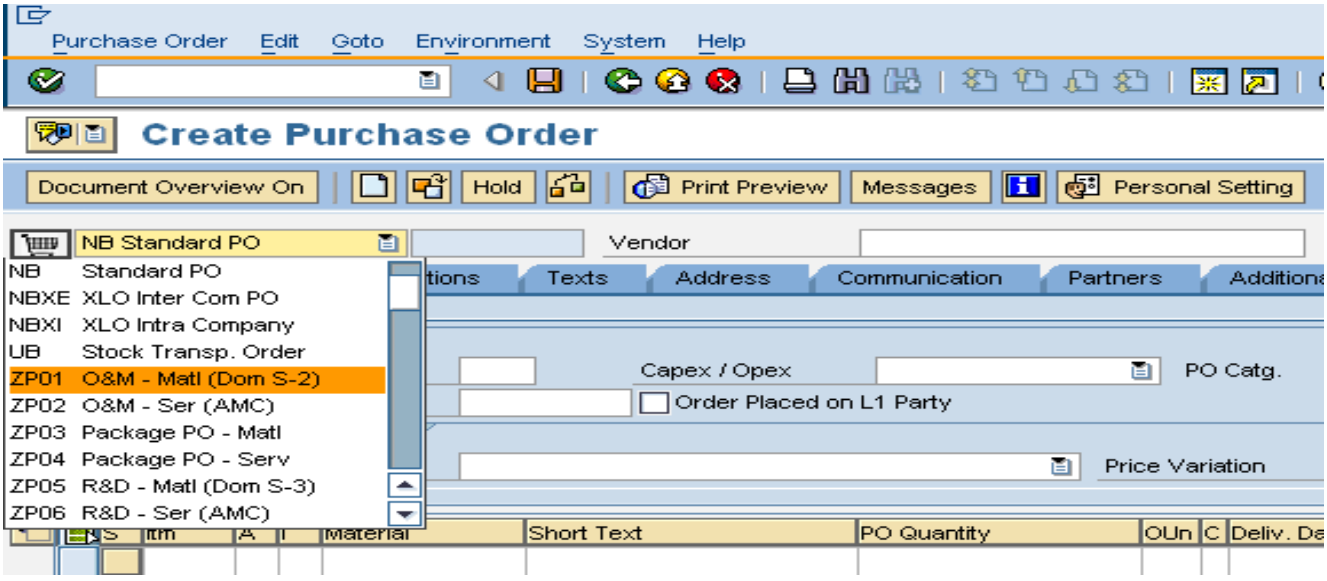


Once a CS is locked, C&M or any executive can't do any changes in it.

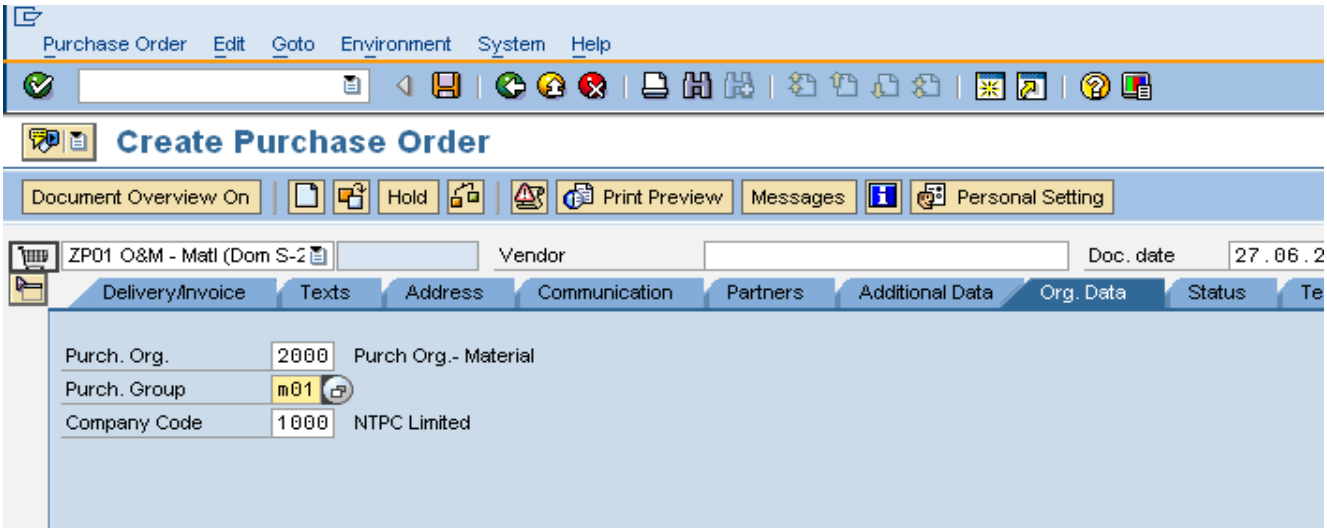
Purchase Order Creation Process

Run transaction ME21n.

Select proper document type from the available dropdown of shopping cart



- Press enter key.
- Enter details in "org data" tab as per material & service PO



For service PO:

Purch Org. should be 3000
Purch Group should be 3-digit SAP deptt. Code of PO execution deptt.

For material PO:

Purch Org. should be 2000
Purch Group should be M followed by material main group.

- Enter vendor code

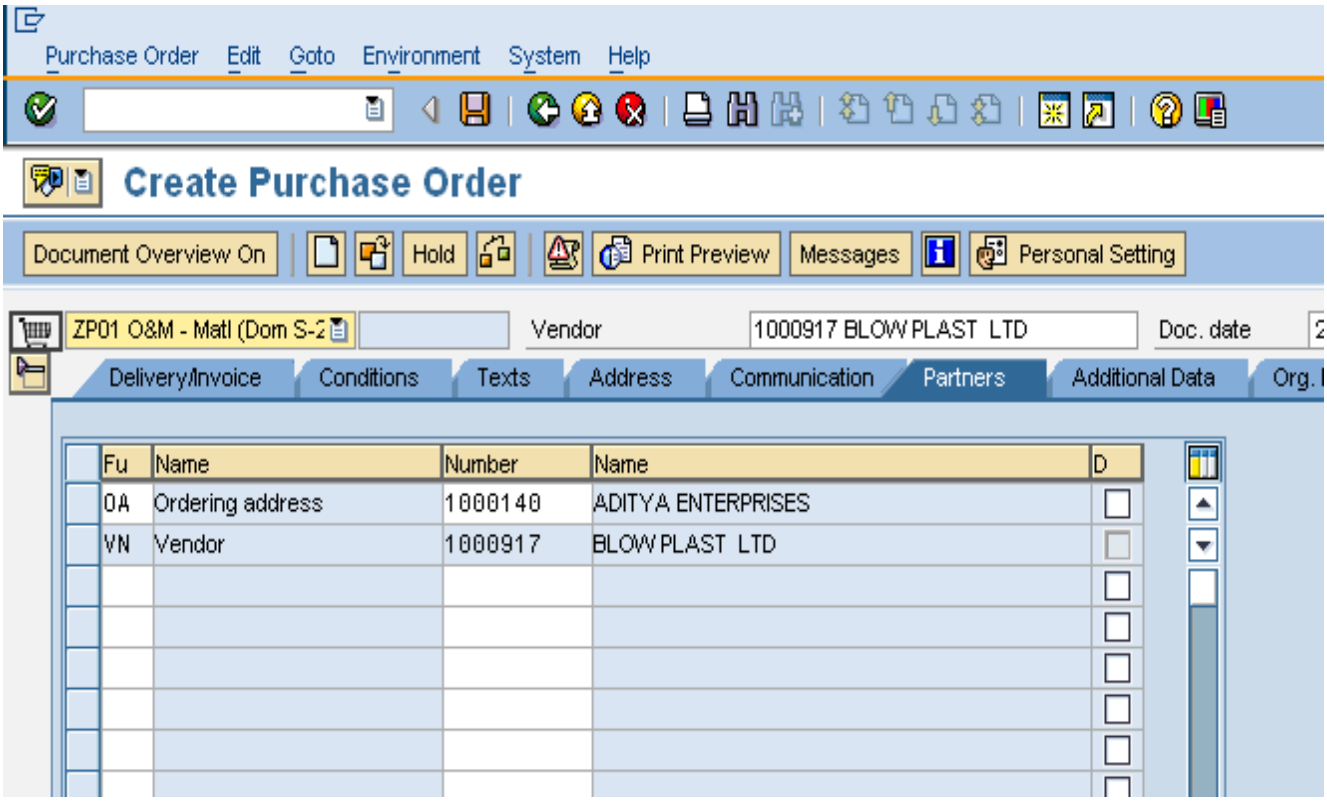
Vendor code determines the schema to be adopted by the system. If imported conditions are required in a PO for domestic vendor, in that case enter main vendor (VN) as foreign vendor and Indian vendor as (OA) in "partners" tab at header level and vice versa.

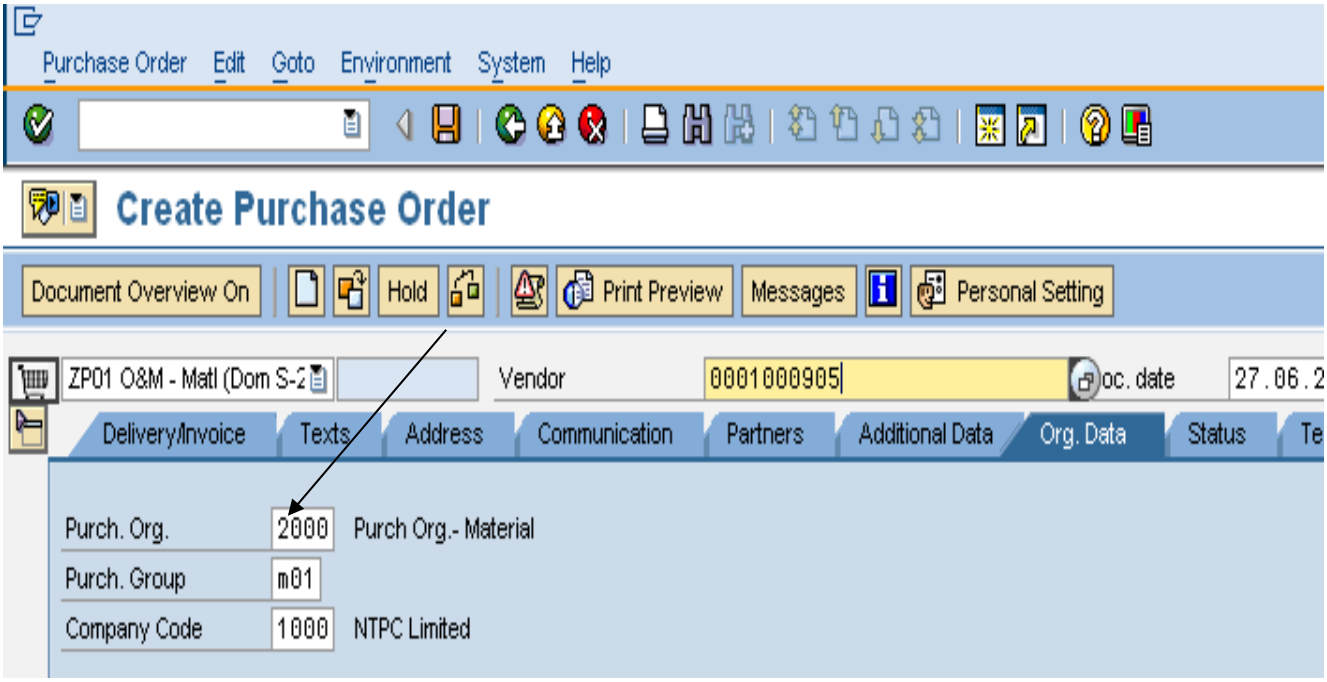
- If ordering party or the vendor to whom order is to be placed is different from the party to whom enquiry has been sent, then maintain ordering party code as OA in "Partners" Tab at header level.

- Similarly, other partner vendors like

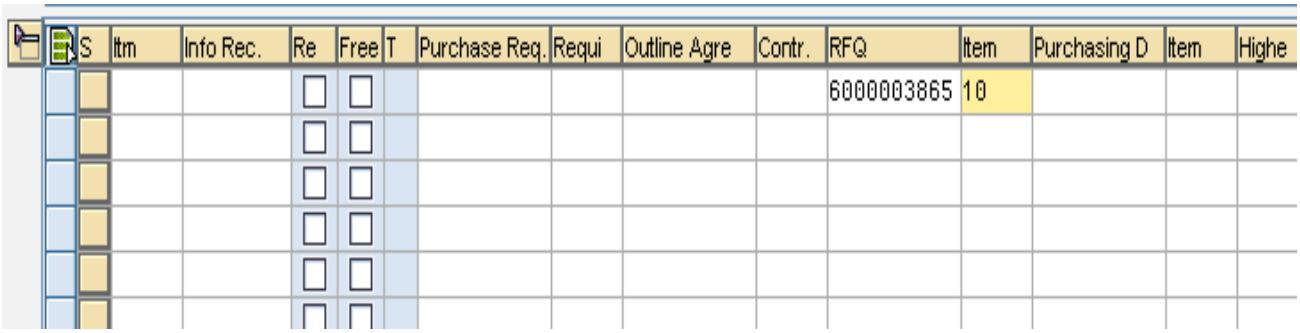
  - ✓ OC-Overseas Agent
  - ✓ PI -Invoicing Party
  - ✓ TZ -Customs agent
  - ✓ GS -Goods supplier

may be maintained if required



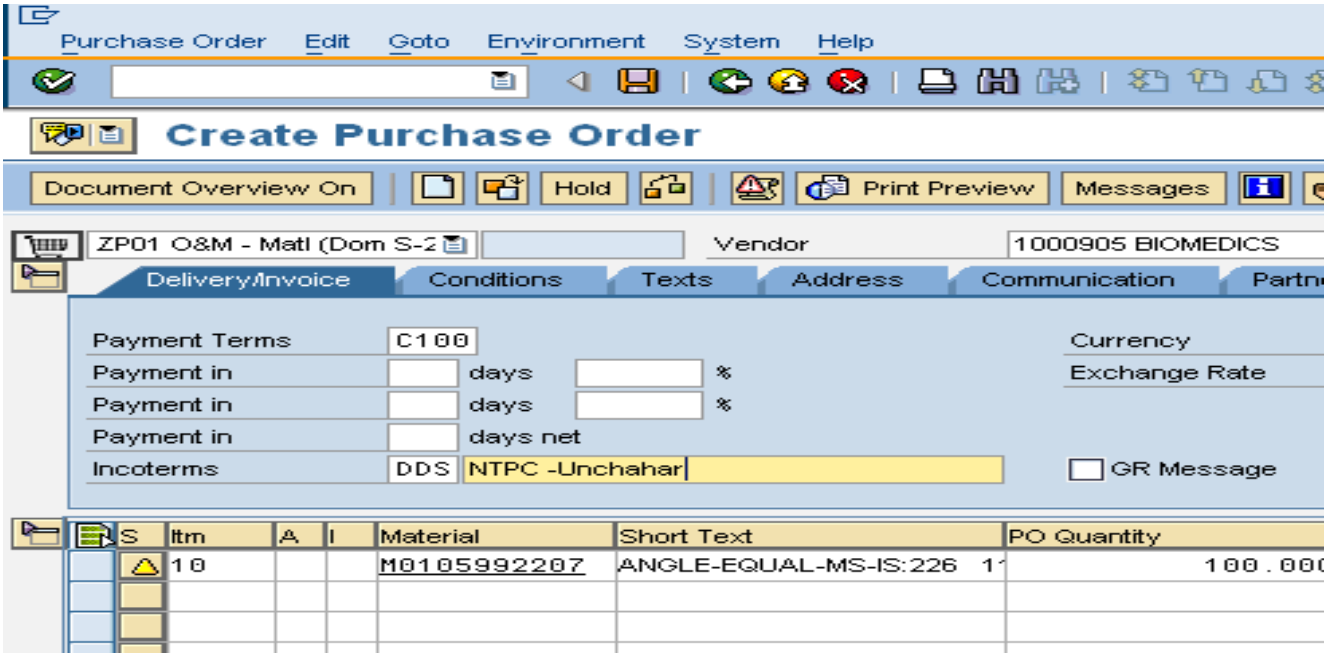


- Press enter key
- Now scroll at item overview level and enter the RFQ no with item of RFQ whose data is to be adopted in the PO.

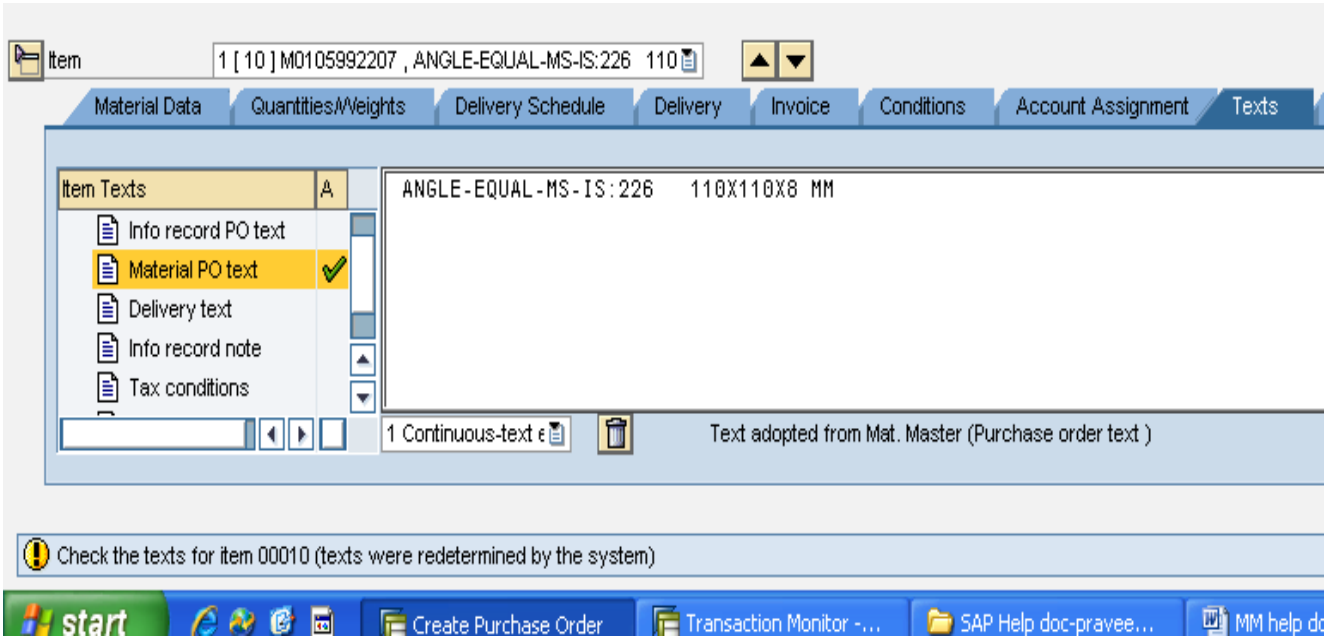


- Press enter key

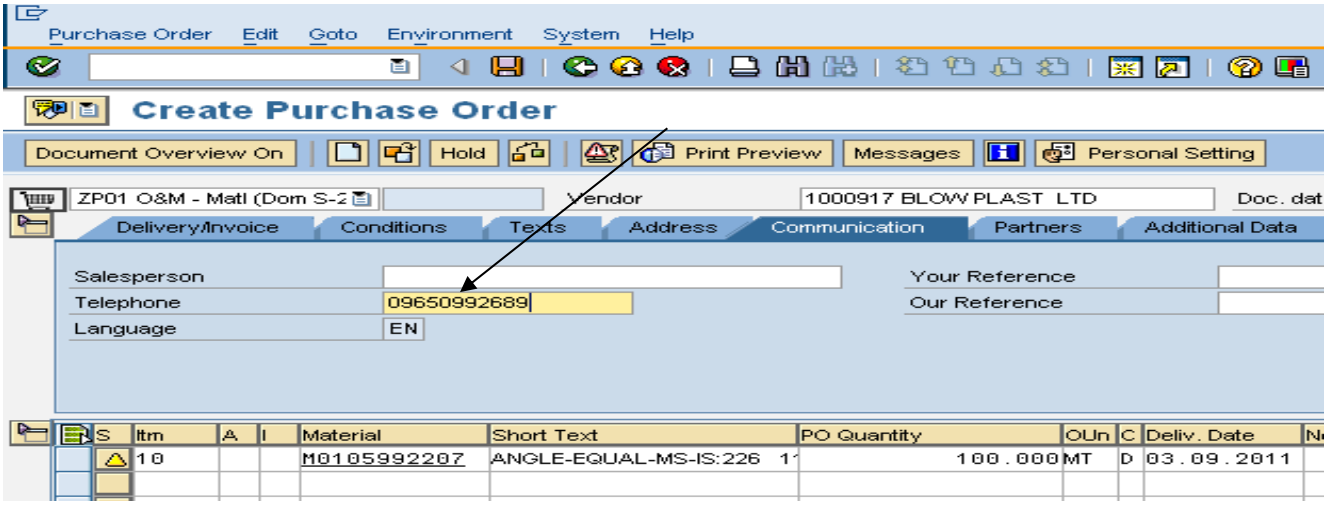
- Enter Payment terms (which will be adopted from RFQ & will be editable at this stage) & incoterms from the available options of dropdown in "Delivery/Invoice" Tab at header level.



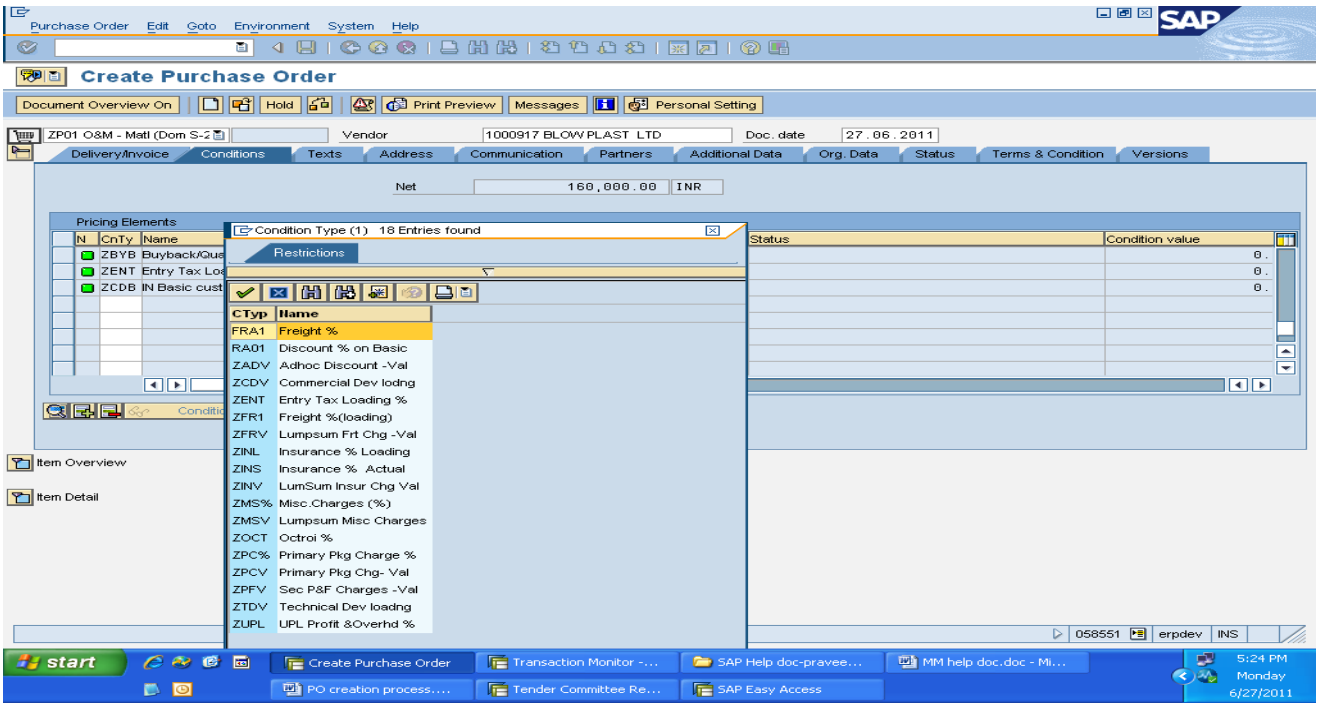
Check the material PO text (tech specifications) for the item.



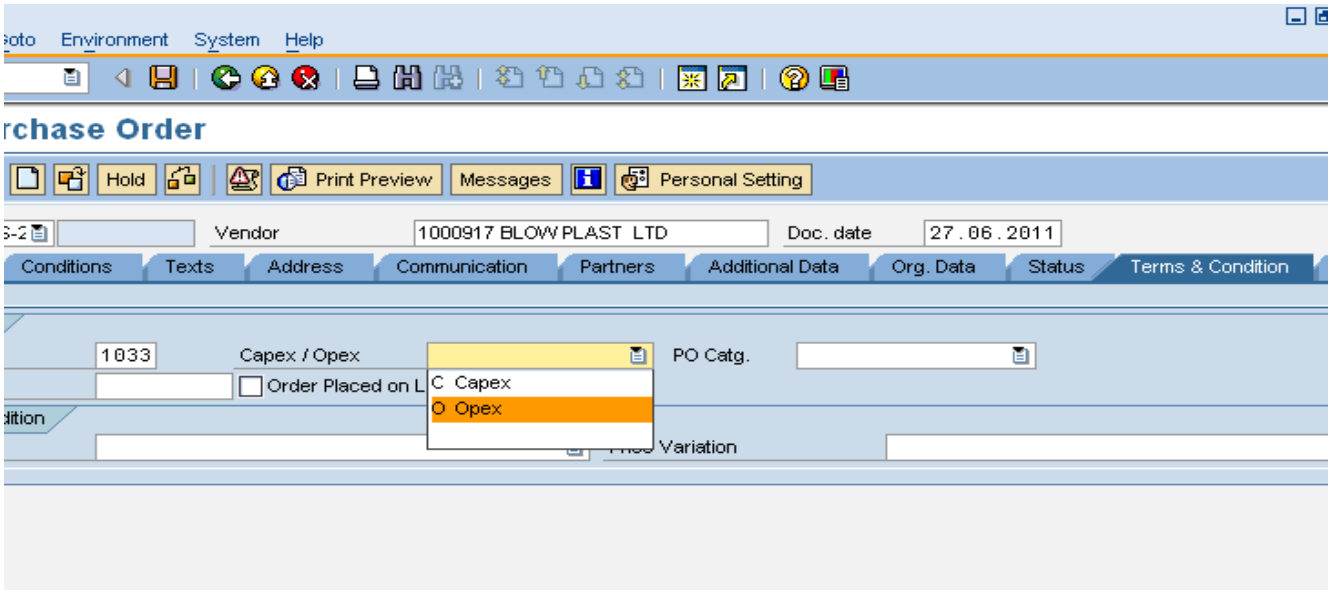
Mobile no. of the supplier may be maintained in "communication" Tab at header level if PO placement intimation is to be given to the supplier via SMS

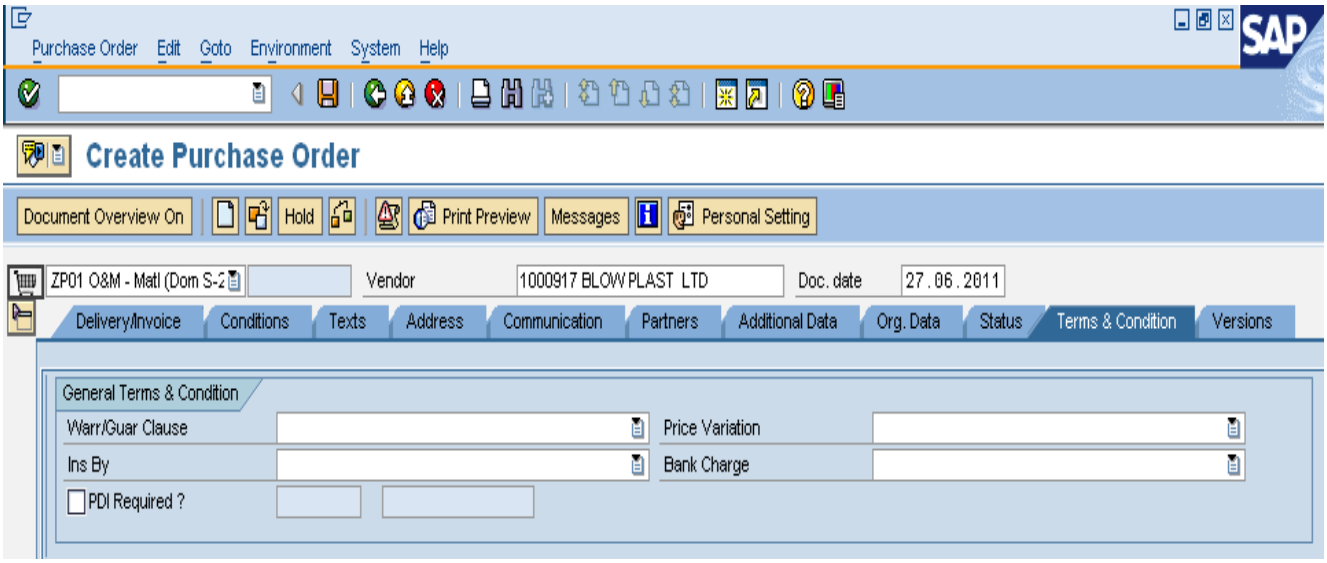


If some other conditions are to be maintained, which are not maintained in RFQ, can be maintained in condition tab at header level (like CHA-custom handling charges, Port charges, consolidation charges ERV in case of import PO) and at item level (like custom duty etc)for conditions which are applicable to some materials only.



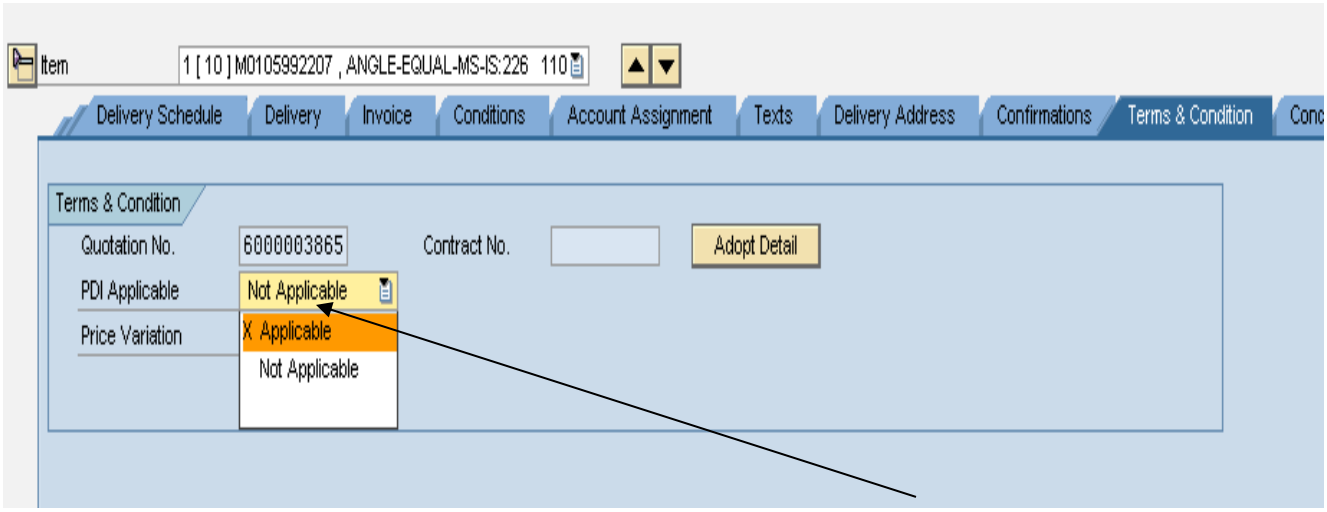
Then in “Terms and condition” tab at header level maintain the plant code of ordering plant and the type of expenditure Capex or Opex





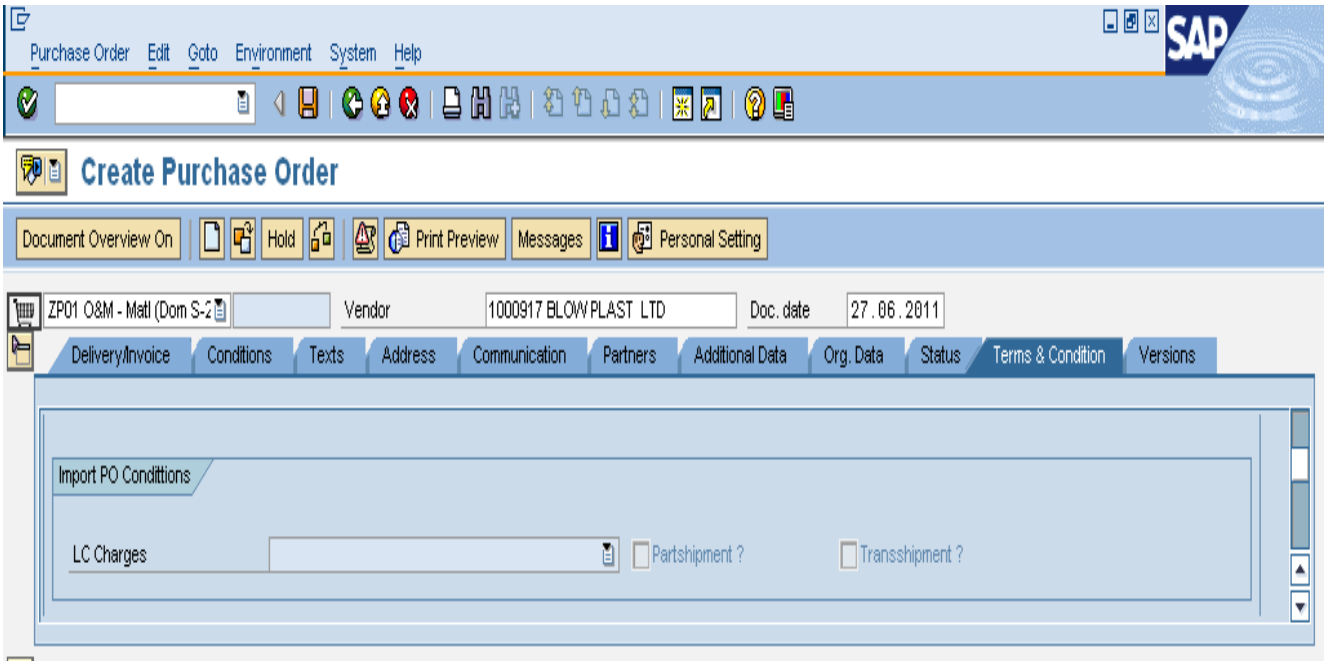
Scroll down in terms & condition tab and maintain:

1. Warranty/Guarantee clause
2. Price variation clause
3. Insurance by (whatever maintained here will be auto reflected during inbound creation)
4. Tick PDI required? If applicable & select the RIO from dropdown

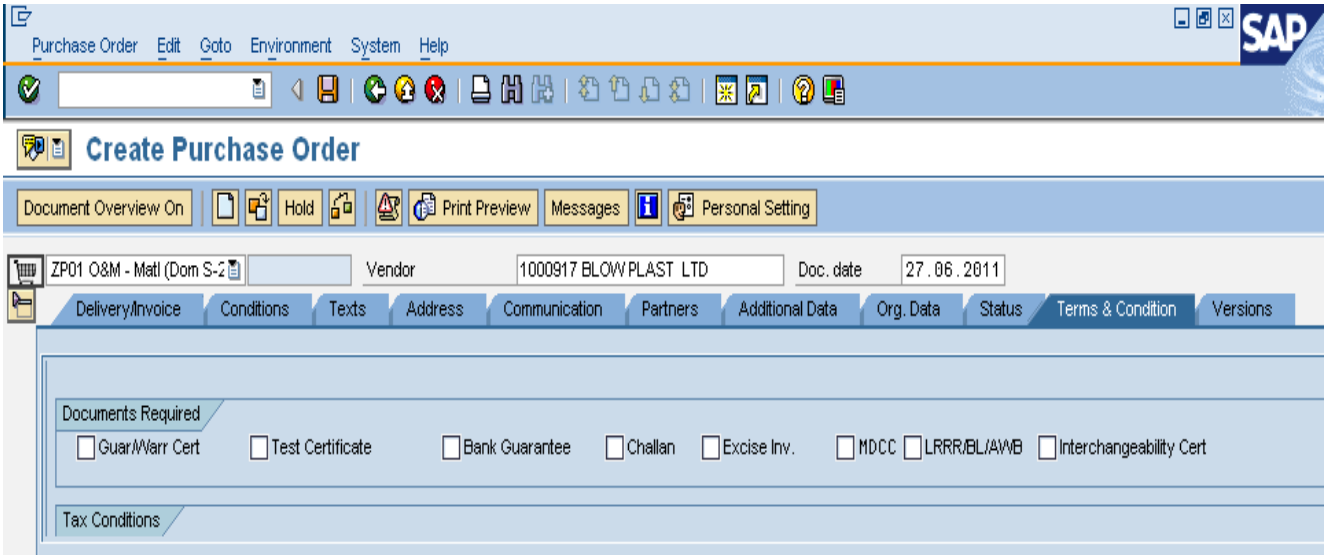


- Put PDI applicable for each item individually in Terms & condition tab of each item at Item detail level.

- Import PO conditions (Part shipment, Transshipment) can be maintained in import PO conditions window for Import PO's

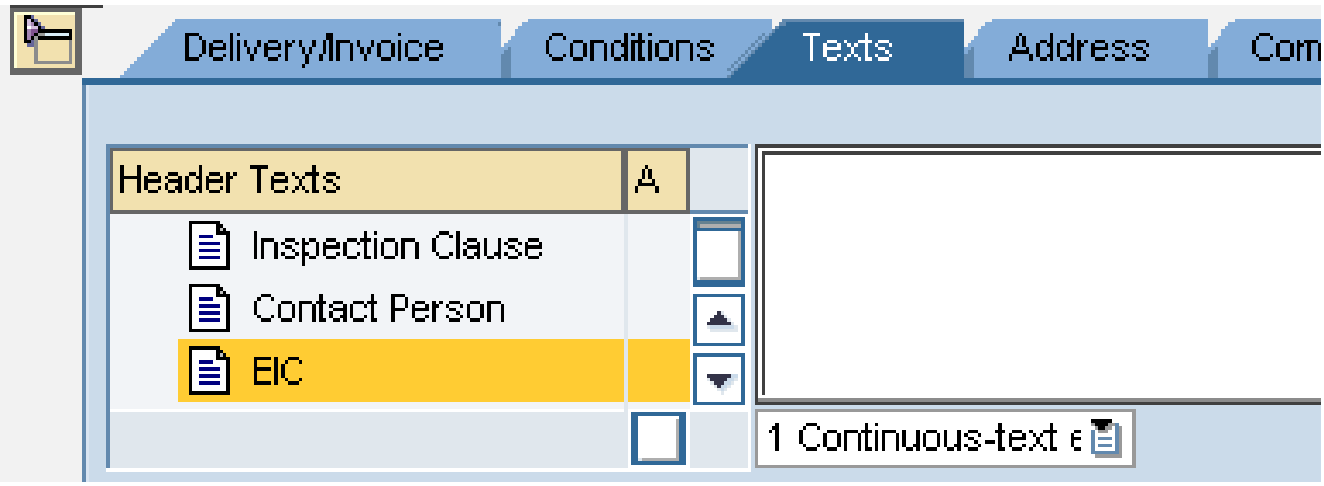


Put tick mark in the check box for documents required in terms & condition tab at header level



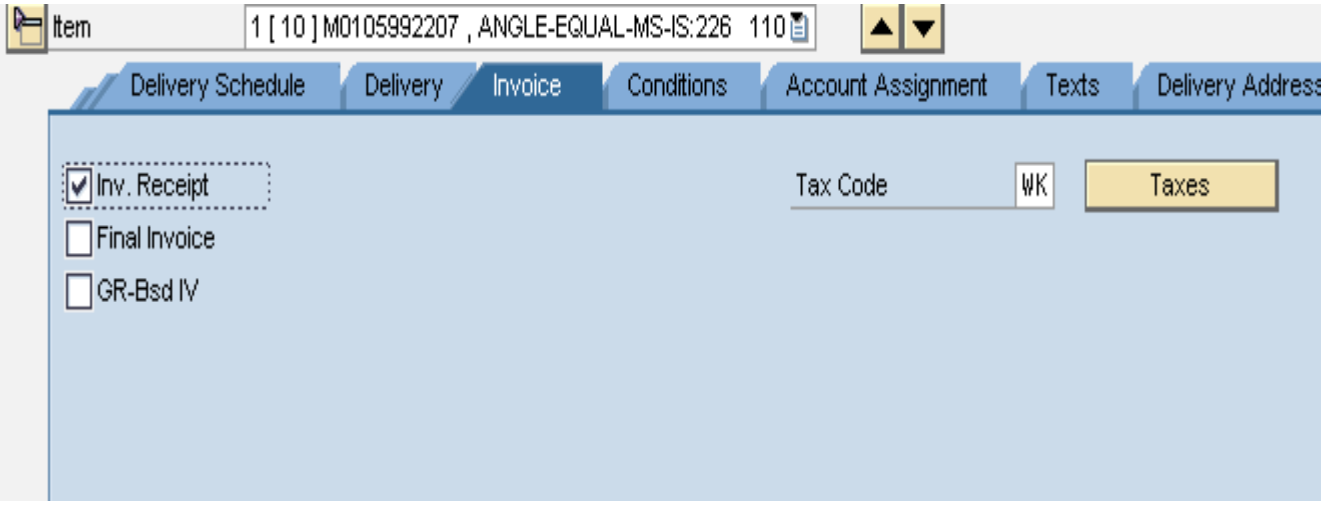
- Go to text tab at header level for entering Name of EIC (Engineer-in-charge) in case of service PO's. Header Text & EIC text is mandatory for service PO's.

- For Material PO's only header text is mandatory. However other optional field may also be entered if detail is available.



- In Invoice Tab Put tick mark in "GR Bsd-IV" box if GR is compulsory required before parking invoice in addition to default check in "Inv. Receipt". Also Maintain Tax code from dropdown.

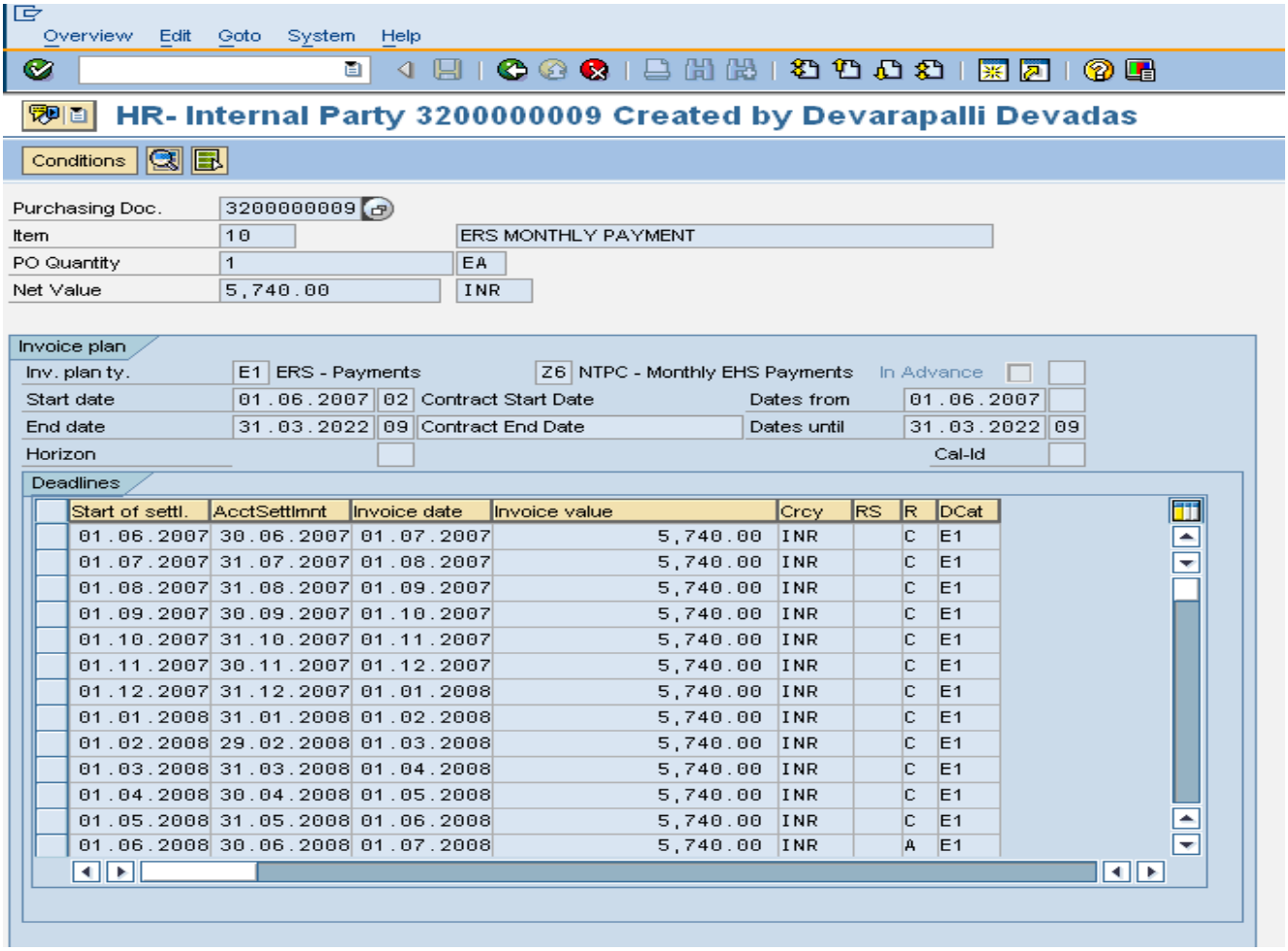
- Don't put tick mark in "GR Bsd-IV" box, if payment through bank is to be done based on dispatch documents. Only default check in "Inv. Receipt" should be there. Also Maintain Tax code from dropdown.



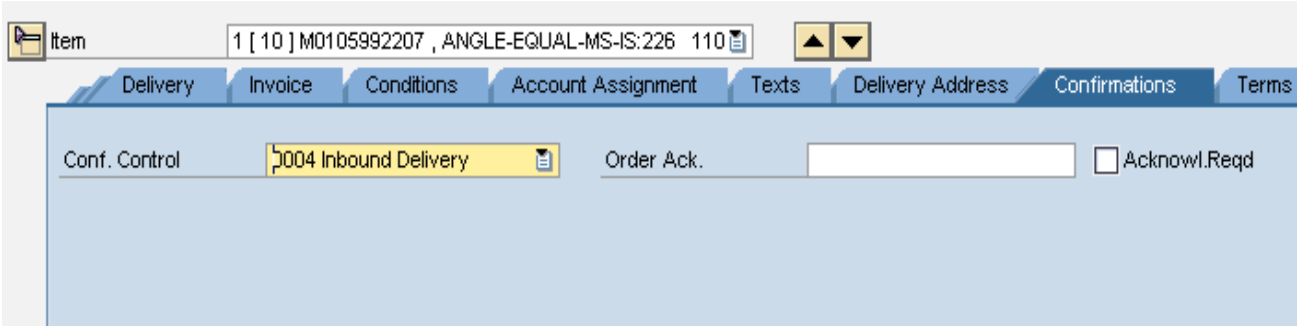
- In case of service PO's put tick mark in both "GR Bsd-IV" box & "S-Based IV" box in addition to default check in "Inv. Receipt". Also Maintain Tax code from dropdown.

- In case of lease PO or PO's (ZP32 & ZP34 doc type PO's) where auto payment is to be done put tick mark in "ERS" (this will be auto updated if maintained in master data). if this ERS check box is not appearing then Auto payment option is to be entered for the particular vendor and for this a notification may be created with component FI-AP-AP for entering auto payment option to that vendor.

- For auto payment PO's Invoicing Plant is also required to be maintained for a fixed period.

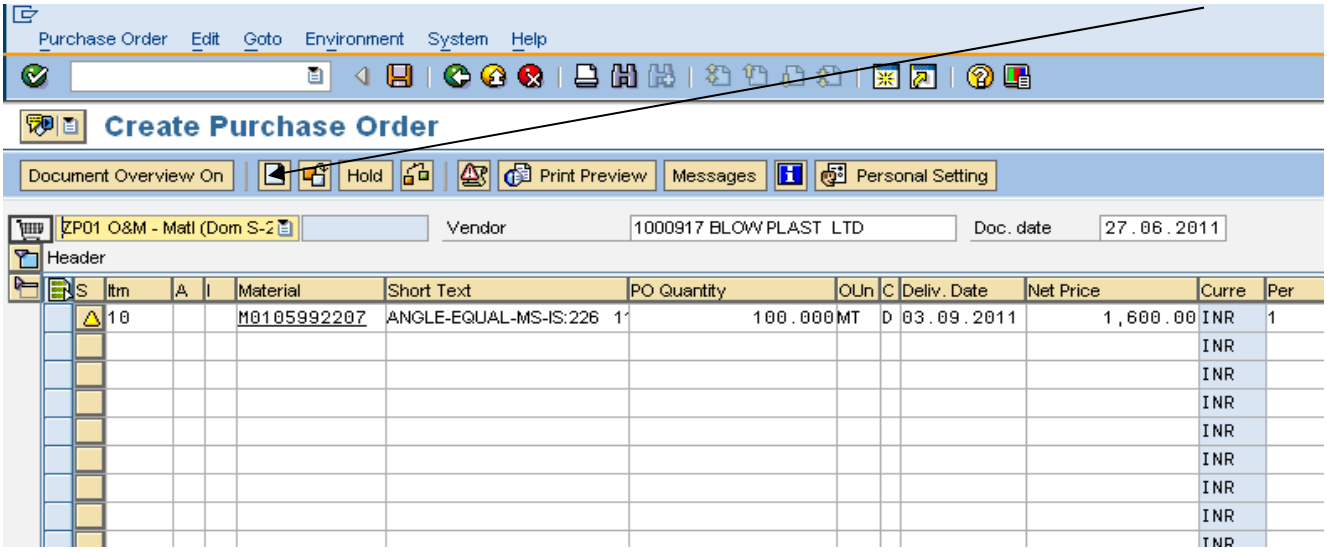


- Go to "Confirmation" Tab at item detail level.
- Maintain 0004 code in conf. control for all items individually if inbound is to be created on receipt of material.



- In case of service PO's this field should be blank always.

- Finally press check icon to check if all the required entries in the PO have been done or not.



- If system displayed the message

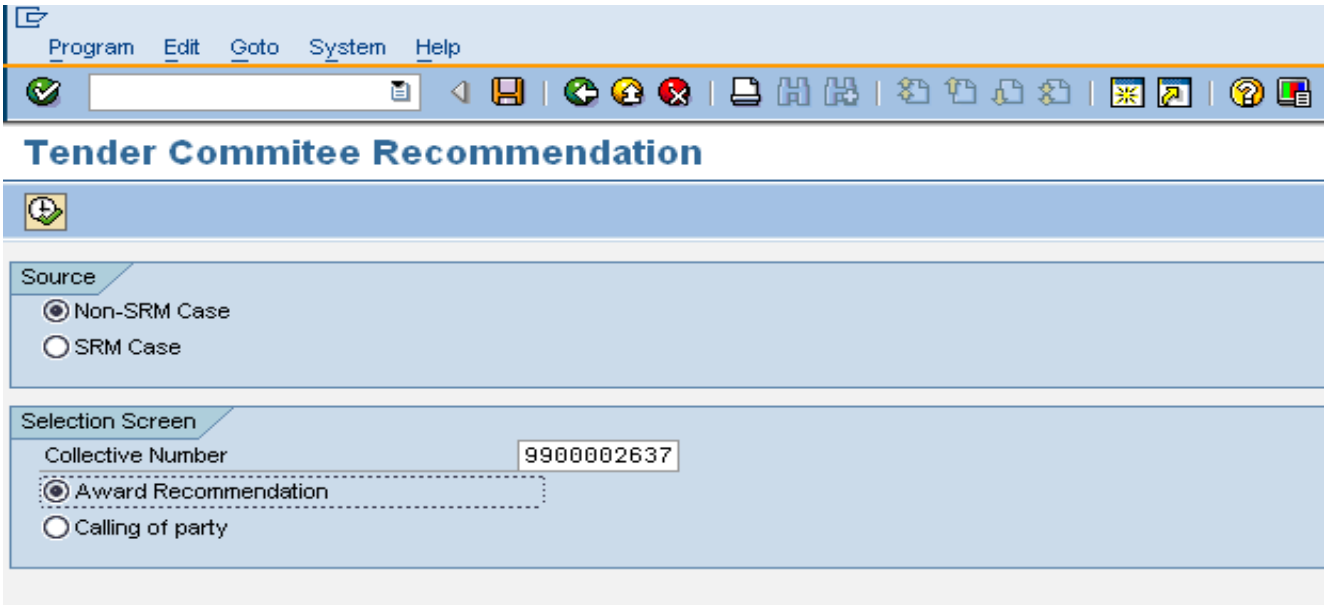
"No messages issued during check" It means all mandatory fields for the PO have been updated and PO document may be saved.

- After saving system displays the message "**O&M - Matl (Dom S-2) created under the number 400000XXXX"**

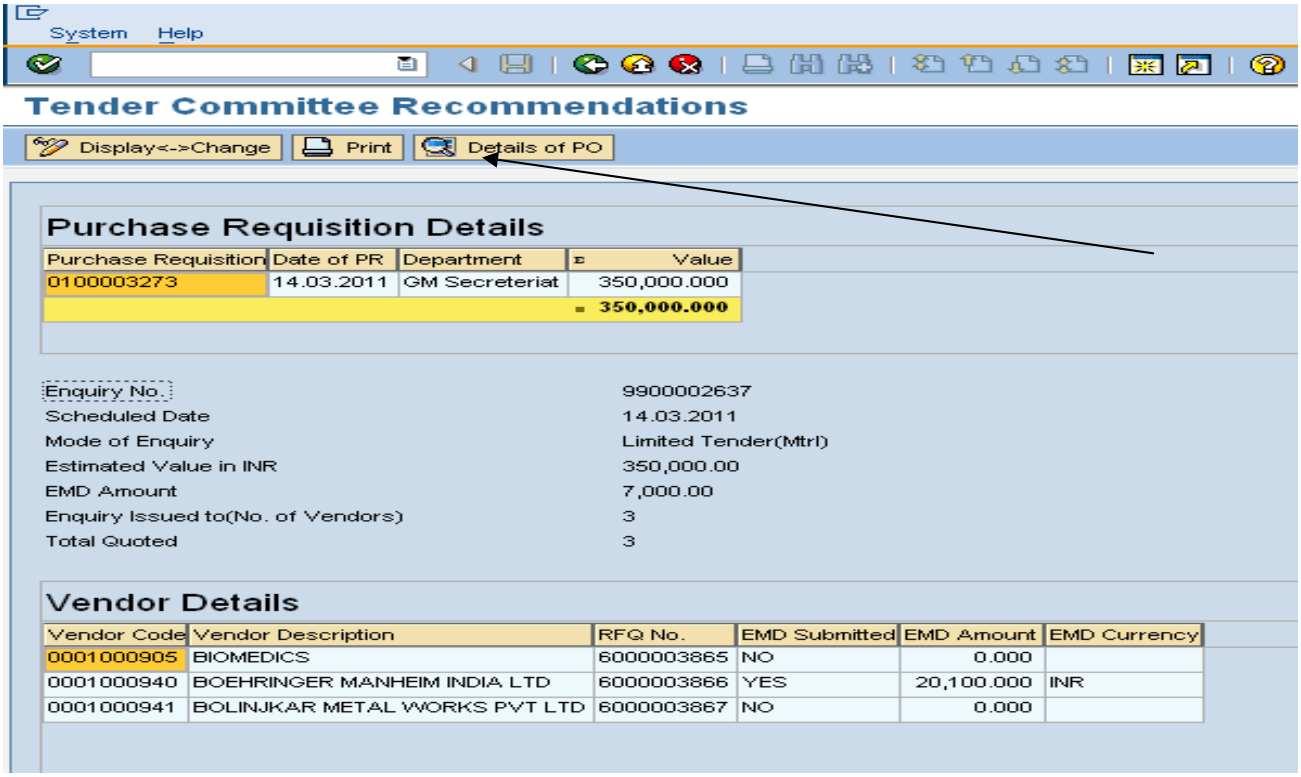
Printing award recommendations (using Transaction ZMM048):

For printing award recommendation DPO must be created in the system.

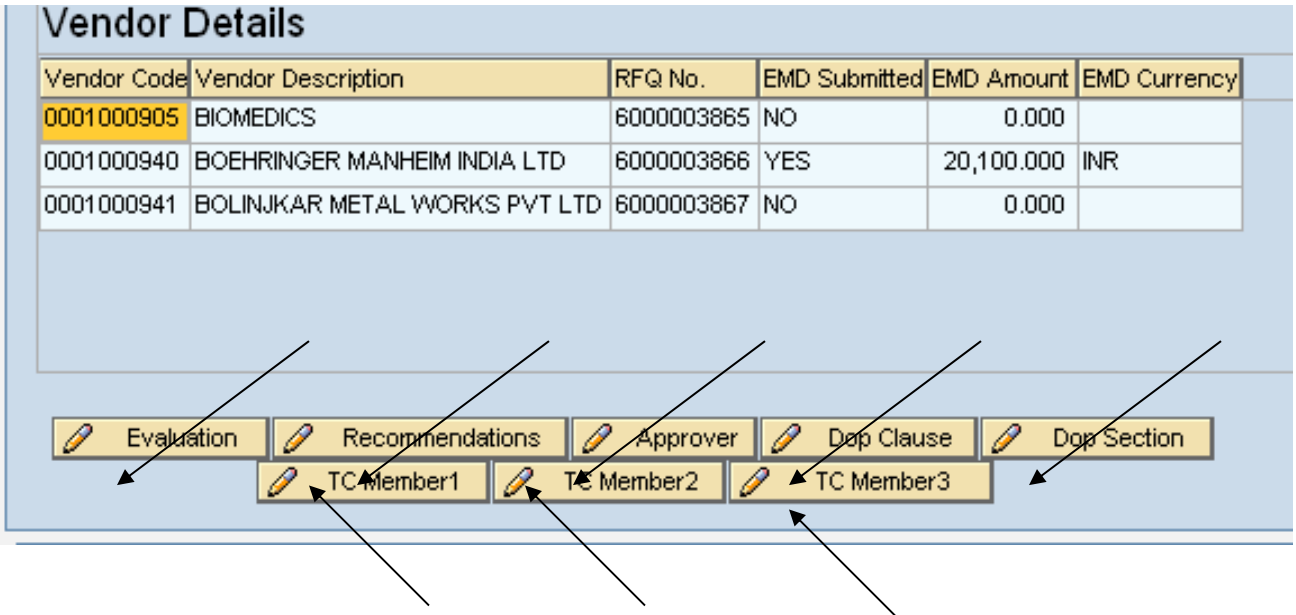
- Run Transaction ZMM048.



- Enter collective no. and select radio button “Award Recommendation” and execute.
- Details of PO created may be seen by clicking tab “Details of PO”



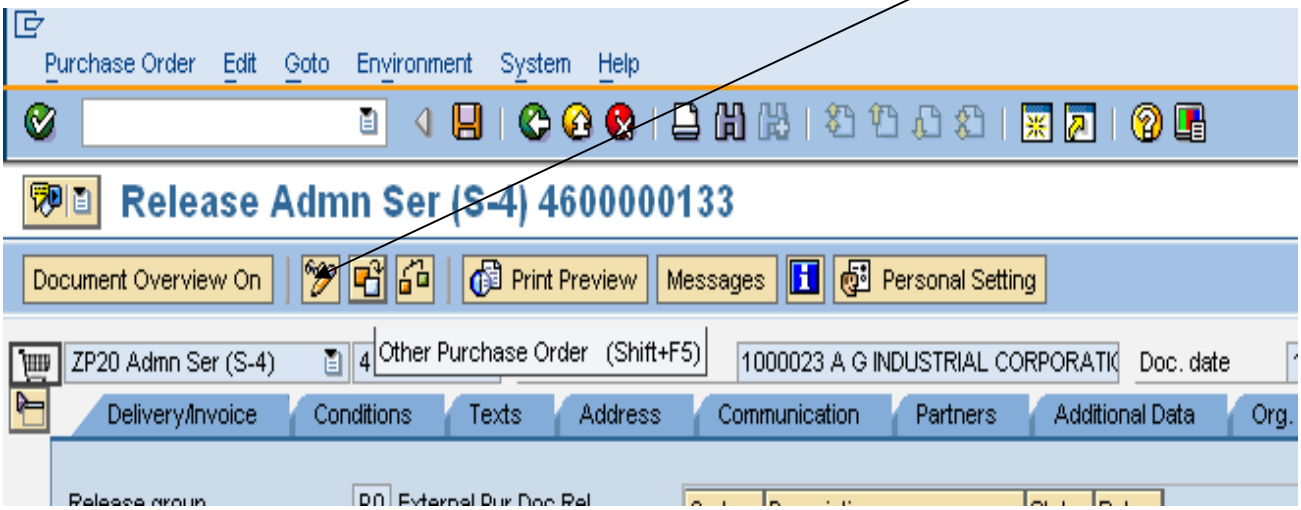
Now before printing TCR award recommendations, C&M executive has to reproduce all the comments and approvals by TC members in the respective tabs.



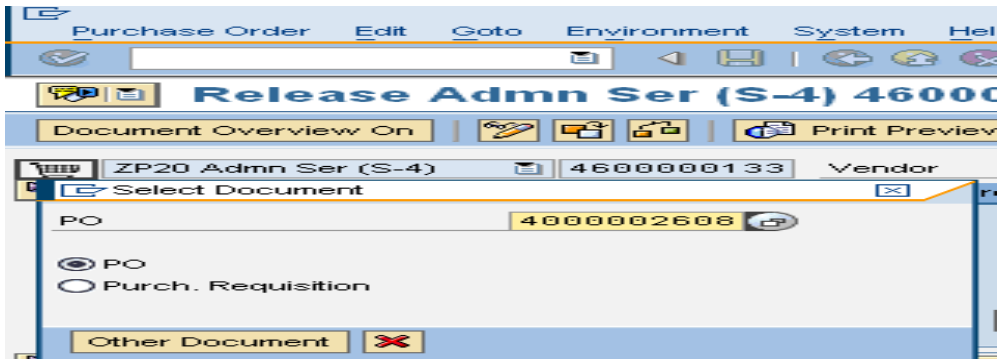
- After entering all data, print TCR and this printout along with DPO print may be placed in File and moved for DPO vetting in System by C&M & Finance (Using Transaction ME29N)

Purchase Order Release Process:

- For releasing/vetting PO, run transaction ME29N.

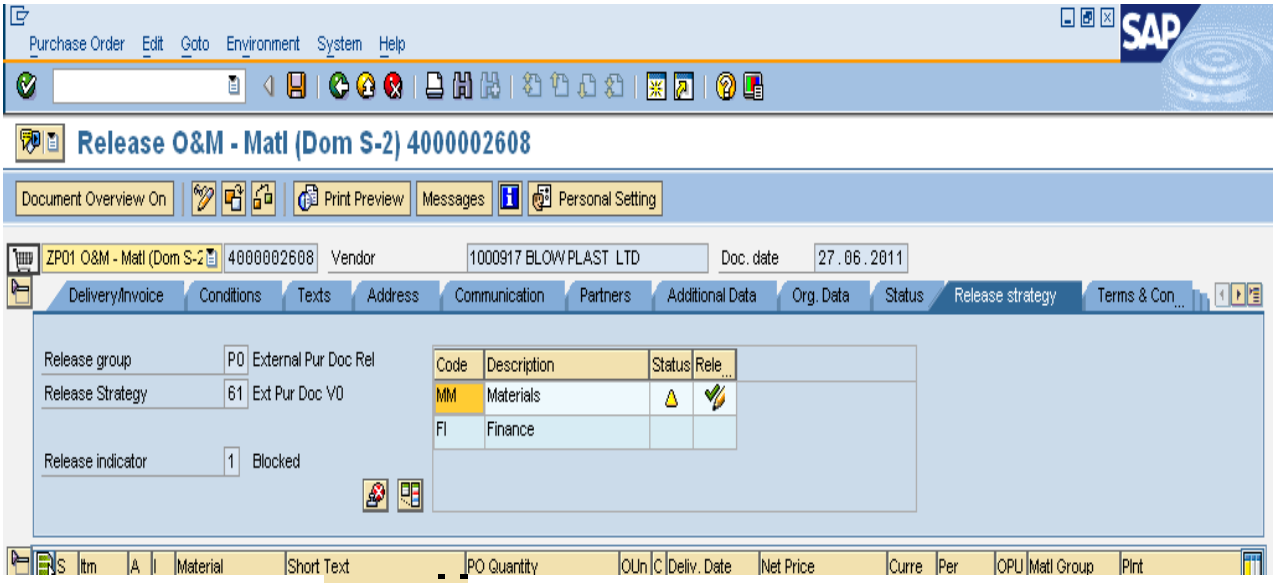


- Go to select document icon

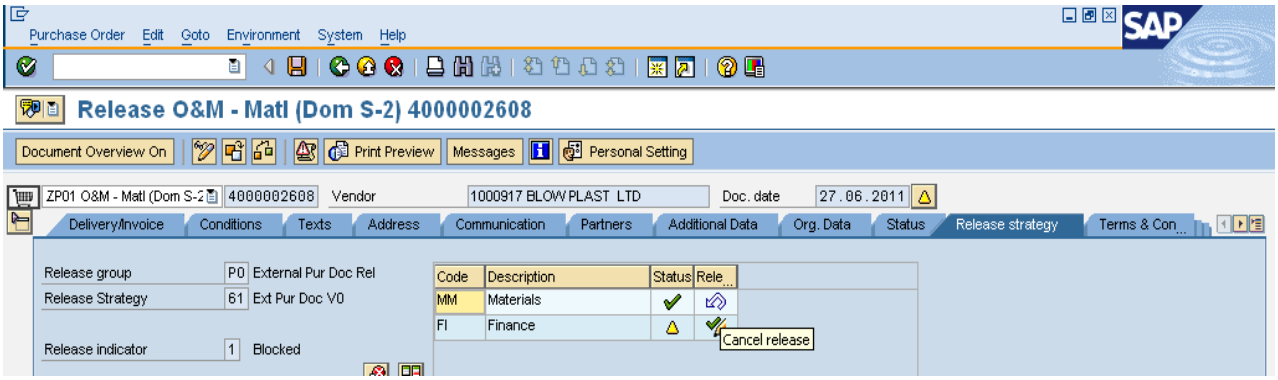


- Enter the PO document no which is to be released (say 4000002608) and press enter key

- Go to release strategy tab at header level



- Then press icon for releasing PO.

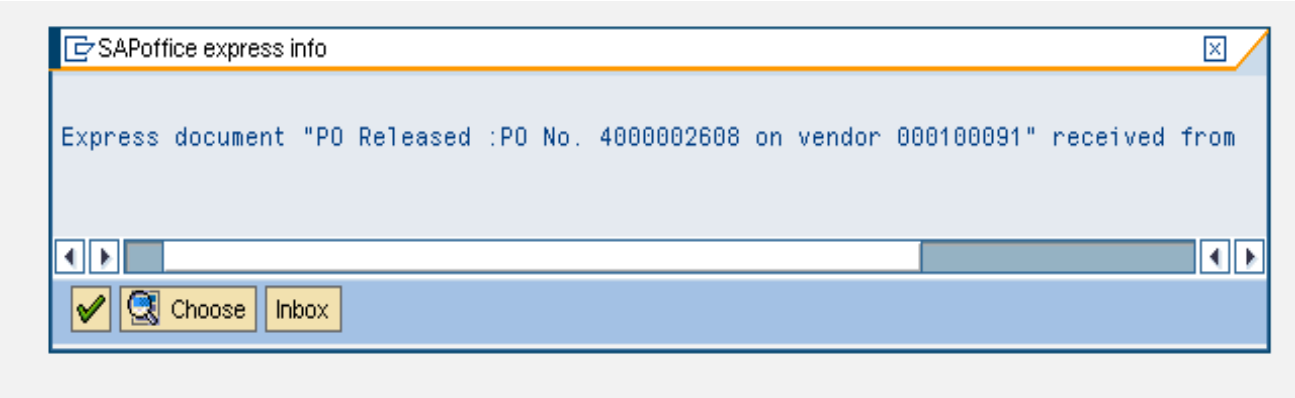


- By using same t code and by pressing icon one can cancel the release Yellow triangle indicates the level at which the document is pending for release.

- In the same way as explained above same document may be released /vetted by Finance.

- After vetting by both MM & finance PO is to be printed using transaction ME9F.

- The Moment PO is released from Finance, intimation in the form of SAP mail will be sent to C&M executive who has created the PO.

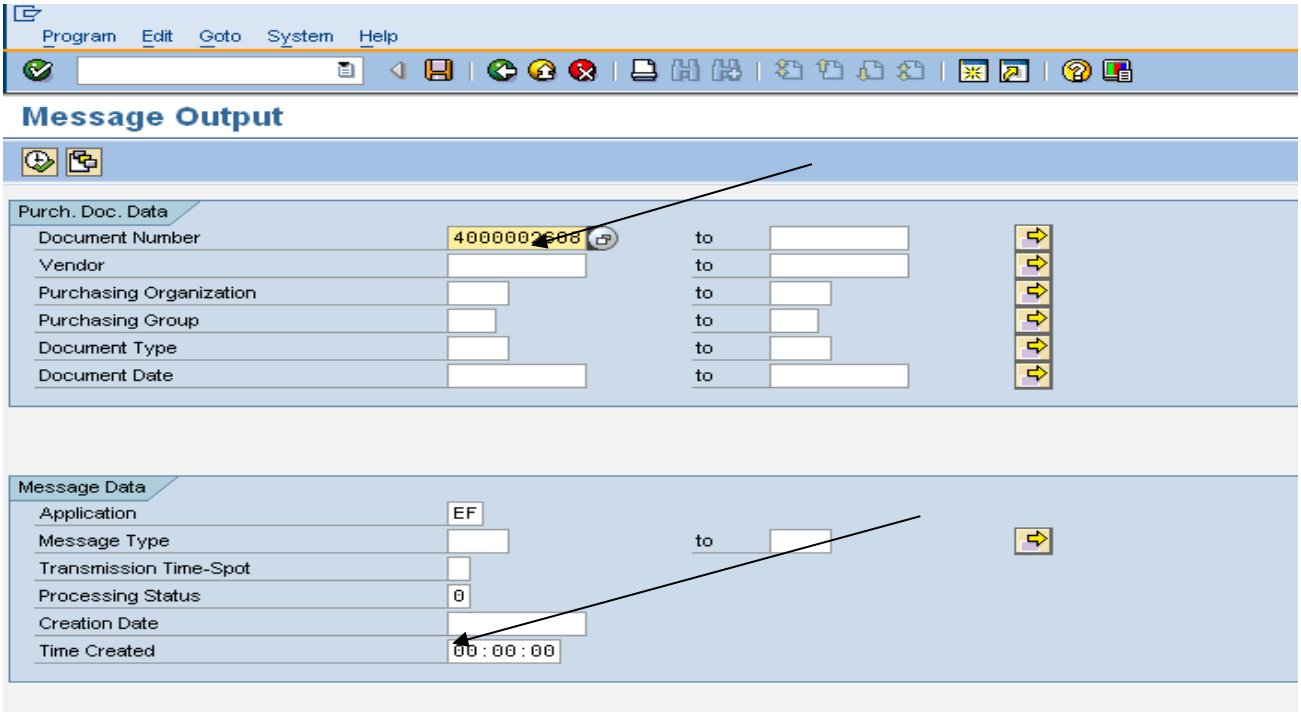


- It may be noted that unless PO print is taken or PO is send through email using transaction ME9F, PO version cannot be created.

PO Printing and sending PO to vendor via Mail:

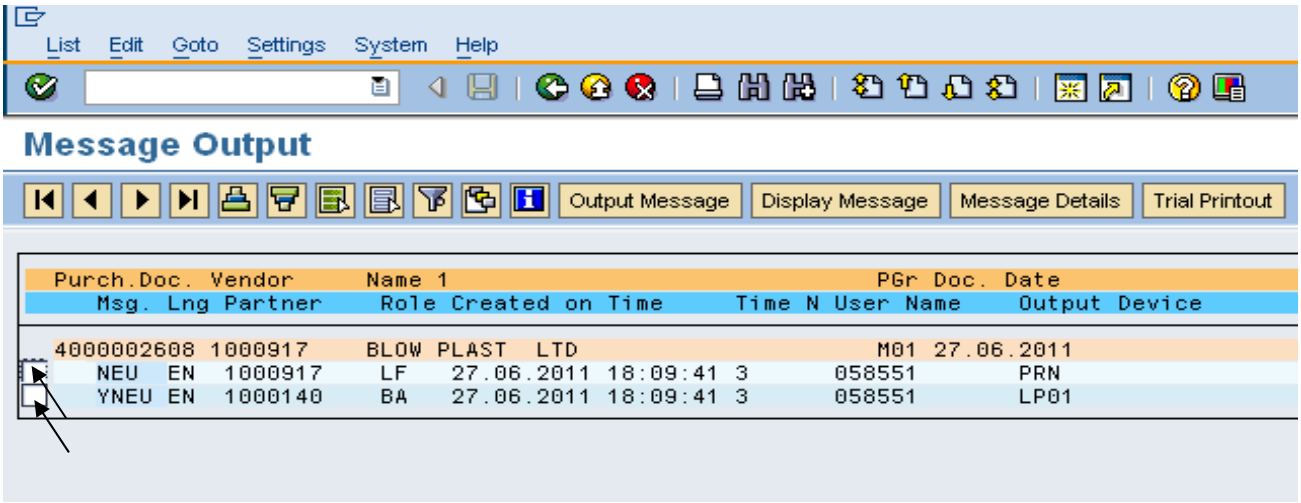
- It may be noted that unless PO print is taken or PO is send through email using transaction ME9F, PO version cannot be created.

- For printing PO use transaction ME9F



- Enter the PO no in document no. field with processing status 0 (if processed first time) otherwise take processing status as "1".

- And execute.



- Now put tick mark in NEU and press output message tab for printing hard copy of PO.

- Put tick mark in YNEU and press output message for sending PO via mail to vendor. PO will be sent at the mail id maintained in vendor master for the vendor.

Note: Similar process can be followed by selecting Message type "YSEU", for sending mail to vendor for service PO.

Note: - Email will be sent to default email ID of vendor maintained in vendor master. Please check the correctness of email ID of vendor in transaction XK03 before sending mail to vendor. If any correction is required, create support message with component FI-AP-AP.

Note: If email is to be sent to an email ID other than that mentioned in vendor master or no email ID is maintained in vendor master.

- Save the PO as PDF file and send it using NTPC mail. For creating a PDF file of PO, while taking the print, set out put device as LP01. The message will be saved in to spool and system will give a spool number. In transaction ZPDF put this spool number and a PDF file of document will be created.

CHAPTER-VI

VENDOR STANDARDISATION & RATE CONTRACT

6.0 STANDARDISATION & RATE CONTRACT

6.1 VENDOR ENLISTMENT

The on line Vendor Enlistment shall be processed centrally by CPC and RHQs on the basis of approved Vision Document (copy enclosed as Annexure-2). For items/ works for which centralised enlistment is not undertaken by CPC/ RHQ, concerned site can take up enlistment in consultation with CPC.

6.2 PROCEDURE OF STANDARDISATION

The Vendor standardization shall be processed centrally by Corporate OS, Engg. & CQA on the basis of approved VISION Document (Clause no. 6.1) enclosed at Annexure-II

6.3 PROCEDURE FOR RATE CONTRACT

Rate Contract is a major tool by which we can substantially reduce the procurement lead time. If Rate Contracts are in place for repeatedly procured items, multiple tendering can be avoided and we can get the benefit of having most competitive rates due to projection of consolidated requirements.

For entering into rate contracts, once items are identified, indenting department shall provide a technical approval and cost estimate indicating the projected requirement of the items during the rate contract period.

Mode of procurement shall be decided based on the nature of the items and the cost estimate. Tendering & awarding activities shall be in line with provisions given in various sections of D.O.P. Specific P.O. for supply of items shall be placed against the Rate Contract by C&M Department on receipt of approved purchase indent.

CHAPTER-VII

SPOT & CASH PURCHASE

7.0 CASH PURCHASE:

7.1 CASH PURCHASE / COMMITTEE PURCHASE

This is to be followed as per the provision of DOP guidelines issued from time to time under sundry procurement clause.

CHAPTER-VIII

BID DOCUMENT & PROFORMA

8.0 BID DOCUMENTS

The Bid Documents shall in general consist of the following:

1) General Conditions of Contract(GCC) / General Purchase Condition (GPC)
2) Instruction to bidders
3) Special Purchase conditions (specific to package)
4) Bid Price Schedule
5) Scope of Work / supply / Bill of Quantity (specific to package)
6) EMD Submission Form
7) Techno commercial Bid Proposal Form
8) Price Bid submission form
9) Certificate for compliance to all provisions of Bidding Documents (Certificate of "NIL" deviations
10) Form of Acceptance of Fraud Prevention Policy
11) Proforma of Bank Guarantee for Bid Security
12) List of Banks whose BG is acceptable for Bid Security / EMD
13) Proforma for Bank Guarantee for Security Deposit
14) List of Banks whose BG is acceptable for CPG
15) Bank Guarantee Verification Check List
16) Form of Extension of Bank Guarantee
17) EFT Form
18) Qualifying Requirement Details (OT cases)
19) Financial Criteria in support of QR along with Appendix A, B & C (OT cases)
20) Integrity Pact (above Rs. 10 Crores)
21) Banning Policy

The Tender/Bid Document consists of following sections:

1.	NIT		
2.	Volume-I, Section-I	:	Instruction to Bidders.. ”e-Tendering”
3.	Volume-I, Section-II	:	General Purchase Conditions.. ”e-Tendering”
4.	Volume-I, Section-III	:	Rules & Procedures For Reverse Auction
5.	Volume-I, Section-IV	:	Standard Formats & Check lists.. ”e-Tendering”
6.	Volume-II, Section-I	:	Special Purchase Conditions.. ”e-Tendering
7.	Volume-III, Section-I	:	Technical Specification & Scope of Work.
8.	Volume-III, Section-II	:	Bill of Quantity & Data Sheets (if any)

The Details of these sections is as attached below.

ELECTRONIC TENDERING

e- PROCUREMENT (SRM)

VOLUME-I

SECTION- I

Instruction to Bidders... e-tendering

	ITB – e tendering
Sl. No	**Contents**
1	Introduction
2	Enrollment Procedure.
3	Technical Settings Required.
4	How to obtain Digital Certificate ?
5	How to access the Tender ? URL .. (web site address)
6	How to Log On ?
7	Pre-requisites to submit tenders on line.
8	How to download Tender Documents ?
9	Clarifications on bidding documents.
10	Submission of a Earnest Money Desposit (EMD) and other documents off line.
11	Bid Preparation.
12	Submission of Bid on line.
13	Opening (Downloading) of Bids.
14	Expiry date
15	Help line
Form A	Form A for New Vendors
Form B	Form B for Existing Vendors

INSTRUCTIONS TO BIDDERS for e-tenders		
1.0	**Introduction**	NTPC has implemented SAP ERP application and is adopting internet based electronic tendering through its SRM module. Bidders are required to enroll themselves on the NTPC e-Tendering portal to participate in any tender. The following section outlines the procedure for 'Vendor Enrollment'
2.0	**Enrolment Procedure**	**Bidders are required to have a User ID & password for accessing NTPC e-Tender site. (Vendor may change the password subsequently.)** **Obtaining User Id & password to access NTPC's e-Tender site** **A. For NEW VENDORS :** If you are not a supplier of NTPC, and interested in participating in e-Tenders in NTPC, please use Form A. **Form A-New Vendor** (prospective) **Note:** Please double click on the icon on left side to download the form. The form may be filled in and submitted to the package - in - charge for vendor replication in SRM in NTPC.
		B. For EXISTING VENDORS : If you are already a supplier of NTPC, and interested in participating in e-Tenders of NTPC, please use Form B. **Form B -For Existing Vendors:** **Note:** Please double click on the icon on left side to download the form. Please tick the appropriate box in front of vender code to indicate whether the vendor code given is Pre-ERP or Post ERP. The form may be filled in and submitted to the package - in - charge for vendor replication in SRM in NTPC. **C. PAYMENT OF TENDER FEE (Cost of Bid documents) :** For open tenders only : Tender fee *(i.e. cost of bid documents)* can be *paid* through DD or payment Gateway. In case the payment is opted through DD, *it* should be in favor of "NTPC Ltd" payable at the ordering location mentioned in the Bid invitation. *Vendors registered with NSIC and SSI units of the respective state are exempted from payment of Tender fee.* Request for **User** ID & password may be sent through E-mail or manually to *the* Package in charge / Contact person as mentioned in the NIT/Bid Invitation.

3.0	**Technical Settings *required***	Following Technical Settings are required by the bidders for participating in e-bidding 1. **Web Browser**: Internet Explorer version 7.0 or above 2. **Java:** To view some of the components, bidders are required to install Java Internet component JAVA TM 6 update 31 or above from: http://www.oracle.com/technetwork/java/archive-139210.html 3. **Proxy**: If you are unable to access NTPC e-Tender site or Bid Documents, check if you are using proxy to connect to internet or if your PC is behind any firewall. Contact your system administrator to enable connectivity. Please note that Port 443 and 8010 connectivity should be enabled on your proxy/firewall. Using Broad band without Proxy settings is another option and is strongly recommended. 4. **Pop-ups**: Pop-ups should be enabled on NTPC e-Tender URL and Bid Documents URLs. This is required to view Bid Invitation documents. 5. **Recommended Screen Resolution**: 1024 by 768 pixels. 6. **Internet Speeds**: If you are experiencing slow connectivity to NTPC e-Tender, then contact your system administrator/ (ISP) Internet Service Provider for desirable speeds. Also ensure that you are connected to the internet only through a broadband connection and not through LAN. 7. **Active-x controls**: Maintain the settings as described in Internet Explorer settings document to enable digital signature signing and Verification. 8. **Client SW/Component**: A client level Software is required. This is installed automatically, once you start working on NTPC's e-Tender. You need to ensure **that** you have administrative rights on the PC or the laptop. This installation is one-time activity for a PC or Laptop. 9. **Digital signature:** In order to bid for NTPC e-Tenders all the vendors are required to obtain a legally valid digital certificate ***(Class-IIIB with Company Name)***This is a third party software and is available from the agencies listed here under at 4.0
4.0	***How to obtain Digital Certificate?*** Apply for a ***Class III B*** **digital certificate**	As per Indian IT Act, Digital Certificates can be obtained from the licensed Certifying Authorities (CA) operating under the Root Certifying Authority of India (RCAI), Controller of Certifying Authorities (CCA) of India. (http://www.cca.gov.in/) **Steps for obtaining Digital Certificate** Visit the site of the licensed CA using internet browser.(http://www.cca.gov.in/) following are the issuing authorities 1. TCS http://www.tcs-ca.tcs.co.in 2. Safescrypt http://www.safescrypt.com 3. Ncode. http://www.ncodesolution.com 4. E-Mudhra http://www.e-mudhra.com 5. IDRBTCA http://www.idrbtca.org.in The designated individual who is authorized by your company to submit the bid/ offer on line has to apply for **digital certificate of class III B with company's name** to any of the above issuing authorities with documents as required by them. Ensure the Digital Certificate is legally valid in India. For making payment for Digital Certificate and submission of documents required for issue of the Digital Certificate, follow the instructions on the website of the issuing authority to whom applied.

		Use the ***class IIIB Digital Certificate with company name*** thus obtained for online bidding on NTPC e-Tender site.
5.0	***How to access the tender***	Open Internet Explorer. To access SRM site, type the following web address (Uniform Resource Locator (URL): https://etender.ntpclakshya.co.in/sap/bc/gui/sap/its/bbpstart ***SRM site can be accessed through NTPC Tender site also.*** To access NTPC Ltd. e-Tender site, please type the following web address: ***http://www.ntpctender.com/*** ***And go to e-tender site by using the link " click here" under " LOGIN (e-tender)"***
6.0	***How to* Log on?**	Enter User ID and Password in the spaces provided for 'Users' and 'Password' in Log On screen and click 'Log On' button at the bottom of the Log on block. The password is used to validate your login credential. Please make note of it for future reference and maintain confidentiality. Your login on the e-Tendering portal can be operated by anybody in possession of the password. Therefore, it is an advisable practice to change your password at regular intervals.
7.0	***Pre-requisites to submit tenders on line***	In order to access NTPC e-Tender site , Bidders should have ❖ Valid User ID and Pass Word. ❖ **Class-III'B** digital Certificate, with Company Name ❖ Internet connectivity, with broadband. ❖ Tender Fee (Cost of tender documents), if applicable. In case, Bidder(s) is (are) seeking exemption from paying tender fee, they are required to have an exemption from Package - in - charge/ Contact person as mentioned in the Notice Inviting Tender (NIT) / Bid Invitation , by furnishing the documentary evidence (viz. MSE certificate as applicable). Bidder should fulfill other pre-requisites, if any, mentioned in the tender documents of the specific tender.
8.0	***How to Download Tender Documents?***	It is recommended that the bidder downloads various sections of the tender documents and study them carefully before starting preparation of the bid. The procedure for the same is as follows: ❖ Type the URL (https://etenders.ntpclakshya.co.in/sap/bc/gui/sap/its/bbpstart) ❖ log in by using the user ID and Password ❖ Search the required NIT. ❖ Click on the NIT number. ❖ Click on the Document tab. ❖ Click on the Collaboration folder **(C_Folder)** and one by one, download the required section of tender documents. NOTE :- Bidders are advised to ensure that they have understood the NTPC Tender document and have fully downloaded the tender documents from **C_Folder** before choosing the option of Creating Bid Options
9.0	**Clarification on Bidding Documents**	Bidder(s) are advised to go through the Bidder's Manual available on line after opening the site: https://etender.ntpclakshya.co.in/sap/bc/gui/sap/its/bbpstart Bidder can also send queries seeking clarifications through e-mail or in hard copy any time up to 7 days prior to last date for submission of bid. The queries will be answered by NTPC and posted in the c-Folder. The bidders can view all queries and all answers once they are posted in the C-Folder.

10.0	**Submission of Earnest Money Deposit (EMD) & other documents off Line**	Bidders who wish to submit their bids must send EMD in any of the modes as stipulated in "General Purchase Condition" in the Bid Documents. The bidders are requested to send the sealed envelopes well in advance so as to be received by the respective officer before the scheduled date of closing of submission of bids as described in the time schedule in Notice Inviting Tender, failing which the bid is liable for rejection. NTPC shall not be liable for loss/non-receipt/late receipt of EMD in postal transit. **Submission of EMD & other documents off Line :** The bidders are requested to send following documents in sealed envelopes well in advance so as to be received by the respective officer before the submission closing date and time of bids as described in the time schedule in NIT failing which bid is liable for rejection. ➢ EMD ➢ Authorization of Principle (OEM / OES / Manufacturer / etc.) * ➢ MSE certificate (if any) ** * Wherever Bid is submitted on behalf of the ***Principal*** to whom the tender enquiry has been issued, the certificate of Authorization as per format at Annexure-I to this document is to be submitted along with EMD. ** For exemption from submission of EMD as per General Purchase Condition (GPC), bidder shall have to submit Valid MSE certificate as per MSMED Act 2006, if applicable.
11.0	**Bid Preparation**	Bidders may refer to the enclosed **Bidders Manual** with screen shots for preparation of bids The major steps in preparation of bid are as follows: ❖ Read the NIT received along with the mail. ❖ Go to URL " https://etender.ntpclakshya.co.in/sap/bc/gui/sap/its/bbpstart" or NTPC Tender site and click on the **e-Bidding** Tab. ❖ Enter the User ID and Password ❖ Go to "Process Bid" screen, showing the Main screen of the bid invitation of all the details of the Bid invitation and select the desired Bid invitation number. ❖ Go to "Information from Purchaser" tab to check other details of Bid invitation. ❖ Click on the collaboration folder **(C-Folder)** to access detailed Bid documents under various sub folders. ❖ Click on the Attribute Tab under General data Tab to check list of confirmations asked in the bid invitation and convey the required compliance, failing which bid submission may not be possible. ❖ Before preparing the bid, click on **"Register"** and **"Create"** tab ❖ Complete the bid forms in the bid preparation step as prescribed before the expiry date for "Bid Submission" in the time schedule displayed in the notice inviting tender.
12.0	**Procedure**	❖ While completing the bid forms make sure that the bid is digitally signed

	for bid Submission	and submitted. ❖ Bids can be submitted by clicking on the "Submit" Tab and attaching relevant Digital Certificates. ❖ The status of the Bid can be checked for the "Process Bids" screen at any time after submission of the bid. **No deviation, whatsoever, is permitted by the Owner to any provisions of Bidding Documents.** **The acceptance of above is an attribute of the on line Bid Invitation and the Bidders are required to confirm acceptance of Compliance to All Provisions of Bidding Documents (NIL Deviation Certificate) on line as per format.** **Only after acceptance of the above condition the bidder shall be allowed to submit the bid.** ❖ In case any deviations, variations and additional conditions are found anywhere in the bid (Techno Commercial Bid & Price Bid) , the same shall not be given effect to in evaluation and it will be considered that the bidder complies to all the terms and conditions of Bidding Documents without any extra cost to the Owner irrespective of any mention to the contrary, any where in the bid, failing which the Bid Security of the Bidder be forfeited.
12.1	**Submission (uploading) of Bid.**	The vendor will submit their quotation online after carefully examining the document/conditions and the schedule of work. At any point during the Bid preparation click on the "Hold" button to temporarily save the bid. Technical & Price Bids will be prepared online. ***A. UP Loading in C_Folder*** Bidder shall upload their bid in the appropriate **C-Folder** tab in the bid area after Digital Signature are attached, under the "Un-priced Bid" w.r.t the tender requirements, defined in the tender documents viz. ❖ Technical details & data sheets (if any) ❖ Commercial offer ❖ Various drawings and other documents (if any) ***B. ON Line PRICE (BPS)*** ❖ Go to Item data to view the list of Items and quote the prices against each item. Also fill the prices for various price conditions which can be viewed by clicking on "See Conditions" button. ❖ All the prices are to be filled in at the relevant fields in pricing conditions. ❖ "In case any price condition is left blank, the same is considered to be included in the basic price." ***C. Reverse Auction (RA)*** ❖ Bidders may note that, only those whose technical bids are technically compliant will be allowed to participate in Online Reverse Auction, if applicable and as indicated in the Special Purchase Condition (SPC).
13.0	**Opening / *(Downloading)* of Bids.**	After expiry of Bid Submission time and before bid opening time, NTPC officials shall be authorized *to view the number of bids uploaded / received. However, bid details can't be viewed before bid opening time.* The Committee or their authorized representatives shall open the EMD documents

		first *(received off line)*. The Committee, shall allow only those bids to be downloaded whose EMDs have been received in NTPC and are adequate and acceptable as per conditions of the bid document. ***Composite bidding :*** *The composite bid of only those bidders, whose EMD has been found in order as stipulated will be opened and considered for evaluation.* ***Single stage ,TWO envelope (Tech. bid & Price bid) bidding :*** *In case of Single stage , 2 envelope bidding,* ❖ *Technical Bid shall be opened of those bidders whose EMD 's have been found in order and meeting other tender conditions, as stipulated in tender documents.* ❖ *Price bids, shall be opened on a later date of only those bidders whose technical bid is found acceptable and who fulfill the Qualifying Requirements (if any).* *The date of Price bid opening of such qualified bidders shall be separately intimated and only these qualified bidders will be eligible to participate in the* Reverse Auction, if applicable.
14.0	**Expiry Date**	The online bidding system will not allow bid submission after the respective specified expiry date and time. *Bidders are advised to make* sure that the bid submission is completed well in advance *before the stipulated time for bid submission.*
15.0	**Help line**	In case of any difficulty, kindly get in touch with the concerned package-in-charge specified in the Special Purchase Conditions/NIT/Tender Enquiry. You may also contact the concerned executive, for the location from where the tender has been issued, mentioned under “Contact us” on the logon page, for assistance on process understanding, compliance, training needs etc. In case of login related issues and in case of any emergency please get in touch with our Central Helpdesk at the number indicated under “Contact us”.

Form A : (New prospective Vendors)					
Request for Login ID on NTPC e-Tender.					
If you are not a supplier of NTPC, and interested in participating in e-Tenders in NTPC, please fill in the following :					
Vendor details					
1	Name of Vendor				
2	Vendors E Mail ID				
3	Telephone No.		4. Fax Number		
5	Contact person				
6	Designation		7. Mobile no.		
8	E Mail ID		9. Telephone no.		
10	Address				
11	City		12. State		
13	Country		14. Pin code		
Vendor's Banker details					
1	Banker's Name		2. Account Number		
3	Branch				
4	Banker's Address				
Vendors Statutory Details (Pl' enclose self attested copies of the Registration certificate as applicable.)					
1	PAN Number		2. GST No.		
3	GST Registration no		4. MSME Reg. No.		
5	PF Reg. No.				
			Micro, Small , Medium Enterprise		
Payment of Tender Fee(Cost of bid documents) , if applicable in the Bid invitation. (For Open tenders only)					
Bid invitation no interested in					
In case Tender fee paid in the form of DD / Banker's cheque		**In case Tender fee paid on line through payment gate way (credit card)**		**In case seeking exemption from of Tender fee**	
Issuing bank		Bank (issuing the card)		NSIC / SSIDC unit	
DD no		Reference of payment		Certificate no.	
Date of DD		Date of payment		Date	
Amount		Amount		Financial Limit	
Note : Please download, print and fill this form and submit it to the Package - in - charge/ Contact person for vendor replication in SRM of NTPC. This request form for User ID & password may be sent through E-mail or manually to *the* Package in charge / Contact person as mentioned in the NIT/Bid Invitation and the Scanned copies of the relevant documents shall be sent along with the mail as attachments.					

Form B : (For Existing Vendors)					
Request for Login ID on NTPC e-Tender.					
If you are already a supplier of NTPC, and interested in participating in e-Tenders of NTPC, please fill in the form :					
1	Existing Vendor code with NTPC - **PRE - ERP** (Tick)		Vender code		
2	Existing Vendor code with NTPC - **POST – ERP**(Tick)		Vender code		
Vendor details (Pl' mention latest details) **:**					
1	**Name of Vendor**				
2	Vendors E Mail ID				
3	Telephone No.		4. Fax Number		
5	**Contact person**				
6	Designation		7. Mobile no.		
8	E Mail ID		9. Telephone no.		
10	**Address**				
11	City		12. State		
13	Country		14. Pin code		
Vendor details (ONLY IN CASE OF CHANGE **:** In case of any change in the name of company / address furnished to NTPC previously, pl' mention the old details and enclose documentary evidence showing the change)					
1	**Name of Vendor** (Old name)				
2	Address (Old)				
3	City		**4.** State		
5	Country:		**6.** Pin code		
Vendor's Banker details					
1	Banker's Name		Account Number		
2	Branch				
3	Banker's Address				
Vendors Statutory Details (Pl' enclose self attested copies of the Registration certificate as applicable.)					
1	PAN Number		2. GST No.		
3	GST Registration no		4. MSME Reg. No.		
5	PF Reg. No.				
			Micro, Small , Medium Enterprise		
Payment of Tender Fee (Cost of bid documents) , if applicable in the Bid invitation. (For Open tenders only)					
Bid invitation no interested in					
In case Tender fee paid in the form of DD / Banker's cheque		**In case Tender fee paid on line through payment gate way (credit card)**		**In case seeking exemption from of Tender fee**	
Issuing bank		Bank (issuing the card)		NSIC / SSIDC unit	
DD no		Reference of payment		Certificate no.	
Date of DD		Date of payment		Date	
Amount		Amount		Financial Limit	
Note: Please download, print and fill this form and submit it to the Package - in - charge/ Contact person for vendor replication in SRM of NTPC. This request form for User ID & password may be sent through E-mail or manually to *the* Package in charge / Contact person as mentioned in the NIT/Bid Invitation**.**					

electronic tendering
e-procurement (SRM)

Volume-I
Section-II

General Purchase conditions .. "e"_ tendering

Revision 6.0

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1	Introduction
2	General Information
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3	Definitions & Terminology
4	Bidding Documents
4.1	Clarifications on Bidding documents
4.2	Amendments to Bidding documents
5	Preparation Of Bid Proposals
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7	Language of Bid
8	Validity of Offer
9	Bid Security / Earnest Money Deposit (EMD)
10	Conditions For Forfeiture of EMD/Bid Security
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12	Ineligibility for Future Tenders
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68	Indian Agents
69	Declaration on Banning Policy

The Special Purchase Conditions (SPC) will supersede any related conditions any where in the Bidding Documents and will prevail for evaluation / finalization of the tender.		
1.0	NTPC Limited, a Govt. of India Enterprise referred to herein as 'the Owner' , intends to engage an agency for supply of Goods and related Services as per specifications, Scope of Work as detailed in the Bidding documents.	
2.0	**GENERAL INFORMATION**	The prospective Bidders are invited to submit a "Technical & Commercial Proposal" and "Price proposal" for the package. Methodology for submission of proposal has been detailed hereunder in this document.
2.1	**BENEFITS TO MSEs**	Micro and Small Enterprises (MSEs) registered with District Industries Centres or Khadi and Village Industries Commission or Khadi and Village Industries Board or Coir Board or National Small Industries Corporation or Directorate of Handicrafts and Handloom or any other body specified by Ministry of Micro, Small and Medium Enterprises as per MSMED Act 2006,for goods produced and services rendered, shall be issued the bid documents free of cost and shall be exempted from paying Earnest Money Deposit. Further, in case of tenders where splitting of quantity is possible, participating MSEs quoting price within price band of L1 + 15 percent shall also be allowed to supply a portion of requirement by bringing down their price to L1 price in a situation where L1 price is from someone other than a Micro and Small Enterprise and such Micro and Small Enterprise shall be allowed to supply up to 20 percent of total tendered value. In case of more than one such MSE, the supply will be shared proportionately (to tendered quantity). However, in case of tenders where splitting of quantity is not possible, participating MSEs quoting price within price band of L1 + 15 percent shall be allowed to execute the package by bringing down their price to L1 price in a situation where L1 price is from someone other than a Micro and Small Enterprise. The award shall be made as follows: Award shall be given to L1 bidder if L1 bidder is a MSE. In case L1 bidder is not a MSE, then all the MSE vendor(s) who have quoted within the range of L1 + 15%, shall be given the opportunity in order of their ranking (starting with the lowest quoted MSE bidder and so on) to bring down its price to match with L1 bidder. Award shall be placed on the MSE vendor who matches the price quoted by L1 bidder. If no MSE vendor who has quoted within range of L1 + 15% accepts the

		price of L1 bidder, then the award shall be made to the L1 bidder. The benefit as above to MSEs shall be available only for goods/services produced & provided by MSEs. MSEs seeking exemption and benefits should enclose an attested/self-certified copy of registration certificate, giving details such as stores/services, validity (if applicable) etc. failing which they run the risk of their bid being passed over as ineligible for the benefits applicable to MSEs. **Note:** *Generally in tenders having Itemwise evaluation, splitting is allowed unless otherwise specified in the Special Purchase Conditions (SPC). Further, in tenders having Packagewise evaluation generally splitting is not allowed.* ***Please refer Special Purchase Condition for specific tender provisions****.*
3.0	**DEFINITIONS & TERMINOLOGY**	Unless the context otherwise requires, the following terms whenever used in this Contract have the following meanings:
		"Applicable Law" - This Contract including all matters connected with this Contract shall be governed and construed in accordance with the Indian Law both substantive and procedural and shall be subject to the exclusive jurisdiction of Indian courts at Delhi(India).
		"Contract" means the Contract signed by the parties, to which these General Purchase Conditions (GPC) are attached together with all the documents listed in such signed Contract.
		"Contract Price" means the price to be paid for the performance of the Services, in accordance with the payment terms, subject to such additions and adjustments thereto or deductions there from, as may be made pursuant to the Contract.
		"Government" means the Government of the Owner's country ie INDIA.
		"Local Currency" means the currency of the Government of India.
		"Party" means the Owner or the Bidder, as the case may be, and "Parties" means both of them.
		"Personnel" means persons hired by the Bidder as employees and assigned to the performance of the Services or any part thereof.

<table>
<tr><td></td><td></td><td colspan="3">"Services" means the work to be performed by the Bidder pursuant to this Contract, as described in the detailed Terms of Reference; and</td></tr>
<tr><td></td><td></td><td colspan="3">Law Governing the Contract : The Contract, its meaning and interpretation, and the relation between the Parties shall be governed by the Applicable Law.</td></tr>
<tr><td></td><td></td><td colspan="3">Language : English shall be the binding and controlling language for all matters relating to the meaning or interpretation of this Contract.</td></tr>
<tr><td>4.0</td><td>BIDDING DOCUMENTS</td><td colspan="3">Tender document consist of following sections</td></tr>
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<tr><td></td><td></td><td>2</td><td>Volume-I, Section-I</td><td>Instruction to bidder.. "e" tendering</td></tr>
<tr><td></td><td></td><td>3</td><td>Volume-I, Section-II</td><td>General Purchase Conditions.. "e" tendering</td></tr>
<tr><td></td><td></td><td>4</td><td>Volume-I, Section-III</td><td>Rules & Procedures for Reverse Auction</td></tr>
<tr><td></td><td></td><td>5</td><td>Volume-I, Section-IV</td><td>Standard formats & check lists.. "e" tendering</td></tr>
<tr><td></td><td></td><td>6</td><td>Volume-II, Section-I</td><td>Special Purchase Conditions.. "e" tendering Part A & B</td></tr>
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<tr><td></td><td></td><td>9</td><td>Volume-III, Section-II</td><td>Bill of Quantity & Data sheets (if any)</td></tr>
<tr><td></td><td></td><td colspan="3"></td></tr>
<tr><td>4.1</td><td>CLARIFICATION ON BIDDING DOCUMENT</td><td colspan="3">A prospective Bidder requiring any clarification of the Bidding Document shall contact the Owner in writing at the Owner's e-mail address given in the bidding documents. The Owner shall forward copies of its response to all Bidders who have obtained the Bidding Document directly from it. Should the Owner deem it necessary to amend the Bidding Document as a result of a clarification, it shall do so and intimate to all who have obtained the Bidding Document directly from the Owner.</td></tr>
</table>

4.2	**AMENDMENT TO BIDDING DOCUMENT**	a) At any time prior to the deadline for submission of the Bids, the Owner may amend the Bidding Document by issuing addenda. b) Any addendum issued shall be part of the Bidding Document and shall be communicated to all who have obtained the Bidding Document directly from the Owner. c) To give prospective Bidders reasonable time in which to take an addendum into account in preparing their Bids, the Owner may, at its discretion, extend the deadline for the submission of the Bids.
5.0	**PREPARATION OF BID PROPOSALS**	a) Proposals shall be complete in all respects and shall be submitted with requisite information and Annexure. It shall be free from any ambiguity. b) For preparation of Proposals, Bidders are expected to go through the complete bidding documents carefully. Material deficiencies in providing the information requested may result in rejection of the proposal.
6.0	**COST OF BIDDING**	The Bidder shall bear all costs associated with the preparation and submission of its Bid, negotiation, discussion etc. and the Owner shall not be responsible or liable for these costs, regardless of the conduct or outcome of the bidding process.
7.0	**LANGUAGE OF BID**	The Bid, as well as all correspondence and documents relating to the Bid exchanged by the Bidder and the Owner, shall be written in English. Supporting documents and printed literature that are part of the Bid may be in another language provided they are accompanied by an accurate translation of the relevant passages in English, in which case, for purposes of interpretation of the Bid, such translation shall govern.
8.0	**VALIDITY OF OFFER**	The proposals shall remain valid for a period as specified in Special Purchase Conditions (SPC) from the date of opening of Bid. In exceptional circumstances the Owner may solicit the Bidder's consent for extension of the bid validity period. When the validity period of the offer is extended by the Bidder, the same shall be done without any modification to the bid proposal by the Bidder.
9.0	**BID SECUTITY / EARNEST**	a) The Bid Security shall, at Bidders option, be in the form of 1) a crossed Demand draft or Pay Order or Banker's cheque drawn

	MONEY DEPOSIT (EMD)	in favour of NTPC Ltd. Payable at the station inviting tender as specified in Special Purchase Conditions (SPC) to this bidding document **OR** 2) a Bank Guarantee from any of the banks specified in the bidding documents provided the required EMD / Bid Security amount is more than ₹ 20,000/- (Rupees Twenty thousand only) **OR** 3) E-Payment by Credit Card/Debit card/Net Banking on the NTPC e-tender portal. (Note: Upon successful E-payment on the portal, an e-receipt shall be issued to the bidder by the system, a copy of which is to be submitted by the bidder with the bid as document towards e-payment of EMD). b) The format of the Bank Guarantee towards Bid Security shall be in accordance with the form of bid security included in the bidding documents. c) The bid Security shall remain valid for a period of forty five (45) days beyond the original Bid validity period and beyond any extension in the period of Bid validity subsequently requested. d) Any bid not accompanied by an acceptable Bid Security in accordance with aforesaid provisions shall be rejected by the Owner as being non-responsive and will not be opened.
9.1	**CONFIRMATION OF BGS THROUGH STRUCTURED FINANCIAL MESSAGING SYSTEM (SFMS)/SWIFT**	While issuing the physical BGs, the Bidder's Bank shall also send electronic message through secure SFMS (in case of BGs issued from within India) or SWIFT (in case of BGs issued from outside India) to Owner's Beneficiary Bank whose details are provided in the Special Purchase Conditions. **Bidders are advised to ensure that the message is sent by their Bankers. The Bidders must submit the reference details as part of the bid with the EMD.**
10.0	**CONDITIONS FOR FORFEITURE OF EMD / BID SECURITY**	The Earnest Money Deposit / Bid Security may be forfeited in any of the following circumstances by the Owner without any notice or proof of damage to the Owner, etc. a) If the Bidder withdraws or varies its Bid during the period of Bid validity; b) In case the Bidder does not accept the correction of its Bid Price pursuant to clause 29.0, where ever the break up of prices have been asked separately. c) If any deviation, variation, additional condition or any other mention is found anywhere in the Price bid, contrary to the

		provisions of bidding documents. d) In the case of a successful bidder, if the bidder fails within the specified time limit to furnish the acceptance of Letter of Award / Purchase Order. e) In the case of a successful Bidder, if the Bidder fails within the specified time limit to furnish the required Contract Performance Guarantee, if the same is required as per conditions of the P.O / LOA. f) If the bidder/his representatives commit any fraud while competing for this contract pursuant to Fraud Prevention Policy of NTPC. g) In case the Bidder / Contractor is disqualified from the bidding process in terms of section 3 & 4 of Integrity pact.
11.0	**RELEASE OF EMD / BID SECURITY**	a) The bid Security of all those bidders who are not considered Techno-commercially responsive and / or qualified will be returned and their on-line bid rejected. b) The Bid Security of all the unsuccessful Bidders shall be returned as promptly as possible but not later than 1 month after expiration of bid validity or after award / finalization of the case whichever is earlier. c) The Bid Security of the successful Bidder shall be returned once the successful Bidder has accepted the Letter of Award/ Purchase Order and furnished the required Contract Performance Guarantee (if applicable).
12.0	**INELIGIBILITY FOR FUTURE TENDERS**	Notwithstanding the provisions regarding forfeiture of Bid Security specified above, if a bidder after having been issued the Letter of Award/Purchase Order, either does not accept the order / Letter of award or does not submit an acceptable Performance Security and which results in tender being annulled then such bidder shall be treated ineligible for participation in re-tendering of the particular package.
13.0	**Preparation of Bid Proposal**	
13.1	**DOCUMENTS IN SUPPORT OF QUALIFYING REQUIREMENTS (QR)**	The bidder shall furnish documentary evidence in support of meeting the Qualifying Requirements if stipulated in the Notice Inviting Tender (NIT) and Special Purchase Conditions (SPC). Bidders are required to furnish the details of the past experience like authentic Work Orders/Purchase Orders/Letter of Awards/Contract Agreements, client certificates, completion certificate, etc. in support of meeting the Qualifying Requirements based on which selection is to be made as per format at Annexure 12 of Volume I Section IV of the bidding documents. ***These references shall only be considered to ascertain the bidder's compliance to Qualifying Requirement (QR).*** No claims without

		supporting documents shall be accepted in this regard. However, if any of the Work Orders/Purchase Orders/Letter of Awards/Contract Agreements pertains to the work executed by Bidder for NTPC in the past, then in respect of such Work Orders/Purchase Orders/Letter of Awards/Contract Agreements, Bidder shall not be required to enclose Client Certificate along with its Bid. Bidders wishing to provide additional Work Orders/Purchase Orders/Letter of Awards/Contract Agreements are required to declare the same in similar format which shall be additionally attached and uploaded. ***However, bidders are not permitted to quote more than the three times the number of Works/Work Orders/Purchase Orders/Letter of Awards/Contract Agreement asked for in the Qualifying Requirements (QR) or the number specified in the SPC.*** Bidders shall certify their compliance on "Qualifying Requirements" of the Owner by accepting the following 'Attribute': **" Do you certify full compliance on Qualifying Requirements "** Acceptance of above attribute shall be considered as bidder's confirmation to the following conditions: (a) The number of reference Works/Orders quoted by Bidder in relevant Annexure of the bid, for establishing compliance to the specified Qualifying Requirement (QR), are in accordance with the provision specified in Special Purchase Conditions (SPC). (b) The reference Works/Orders/declared Orders, shall only be considered for evaluation/establishing compliance to Qualifying Requirement (QR). Any reference Orders declared more than as specified in Special Purchase Conditions shall not be considered for evaluation/establishing compliance to Qualifying requirements. (c) No change or substitution in respect of reference Orders for meeting the specified Qualifying Requirement (QR) shall be offered by the bidder.
13.2.	**TECHNICAL PROPOSAL**	a) To establish the conformity of the Goods and related Services to the Bidding Document, the Bidder shall furnish as part of its Bid, documentary evidence wherever applicable that the Goods and related Services conform to the requirements specified. b) Apart from the technical requirements as stipulated in the bidding documents, data sheets etc. the documentary evidence may be in

		the form of literature, drawings or data, and shall consist of a detailed item-by-item description of the essential technical and performance characteristics of the Goods and related Services, demonstrating substantial responsiveness of the Goods and related Services to those requirements.
13.3	**PRICE PROPOSAL**	a) For preparation of the 'Price Proposal", Bidders are expected to take into account the requirements and conditions of the bidding documents. The Price Proposal shall be made on-line in 'Bid Price Schedule' of Bidding Documents. b) The rate quoted by the bidder shall be inclusive of all provisions for incidental expenses necessary for proper execution and completion of the work in accordance with the terms & condition of the bidding document. c) **All prices to be quoted by the bidders will be in Indian Rupees only**, unless otherwise mentioned in the special conditions, on **FIRM price** basis and to remain valid during the currency of the Contract. d) **Bidders shall necessarily submit the prices on-line in the Bid Price Schedule only.**
14.0	**CERTIFICATE OF COMPLIANCE**	**No deviation, whatsoever, is permitted by the OWNER to any provision of Bidding Documents.** The Bidders are advised that while making their Bids and quoting prices, all conditions are appropriately taken into consideration. Bidders shall certify their compliance to the complete Bidding Documents as per Certificate at Annexure 01 of Volume I Section IV by accepting the following 'Attribute' of the Tender: **"Do you certify full compliance to all provisions of Bid Doc?"** In case the Products and/or Services offered do not meet the Technical requirements, the bid shall be rejected as Technically non-responsive.
15.0	**NO DEVIATIONS**	Bidders may note that in case the Bidder refuses to withdraw additional conditions/deviations/variations/exception, implicit or explicit, found anywhere in the techno-commercial bid, the bid shall be rejected as Technically non-responsive. Bidders may also note that any deviation/variation in any form in the Price Bid shall result in forfeiture of EMD.
16.0	**TIME SCHEDULE**	Bids must be uploaded on the system well before the expiry of time and the schedule specified in the tender notifications, and may note that there is a time lag between the actual placing the bid on the local

		computer of the bidder and the refreshing of the data on the server for the visibility to the Owner.
17.0	**SYSTEM PROCESSING TIME**	The processing time for data exchange is 2-3 minutes, so bidder should avoid the last minute hosting of their bid. The bids visible to the Owner will be final for the purpose of acceptance .
18.0	**DOCUMENTS COMPRISING THE BID**	The Bid shall comprise the following: 1. Earnest Money Deposit/Bid Security; 2. Acceptance of 'Compliance to Bidding Documents (NIL Deviation Certificate)' 3. Acceptance of 'Fraud Prevention Policy'; 4. Documentary evidence establishing the Bidder's eligibility to bid; 5. Technical specifications of the items and services & scope of work offered; 6. EFT Form 7. Bid Price Schedules ; and 8. any other details required in the Bid Document.
19.0	**SUBMISSION OF EMD & OTHER DOCUMENTS -** **OFF LINE**	The bidders are requested to send following documents in sealed envelopes well in advance so as to be received by the respective officer before the scheduled date of submission / opening of bids as described in the time schedule in notice inviting tender failing which bid is liable for rejection. ➢ EMD ➢ Authorization from bidder to whom Tender Enquiry has been issued (if applicable) * ➢ MSE certificate as per MSMED Act 2006 (if any) ** ➢ Letter of Undertaking as per the performa given in Stamp Paper of Rs.10/- if applicable. ➢ Any other document asked for in the SPC * Wherever Bid is submitted on behalf of a Principal (OEM / OES / Manufacturer), the certificate of Authorization as per format at Annexure-03 to this document is to be submitted along with EMD. **However, this provision shall not be applicable for OPEN Tenders.** ** For exemption towards submission of EMD above bidder shall have to submit necessary certificate.

		NTPC shall not be liable for loss/non-receipt/late receipt of documents in transit. However, the copies of the EMD details shall be uploaded. In case of bidders who are exempted from submitting EMD, the necessary documents shall be uploaded.
20.0	**SUBMISSION OF BID PROPOSAL**	a. Bidders are requested to submit the bids on line on NTPC SRM Portal. b. Bids shall be hosted / uploaded on the system as per the schedule date & time specified in the tender notification / enquiry.
20.1	**BID MODIFICATION / WITHDRAWAL**	a. The Bidder may modify or withdraw its bid after submission, provided that written notice of the modification or withdrawal is received by the Owner prior to the deadline prescribed for bid submission. The Owner shall return the bid on the SRM portal for modification or withdrawal. b. A Bidder wishing to withdraw/modify its bid shall notify the Owner in writing prior to the deadline prescribed for bid submission. A withdrawal notice may be sent by mail from the registered e-mail id or post or by telefax so as to be received by the Owner before the deadline for submission of bids. The notice of withdrawal shall c. be addressed to the Owner at the address named in the NIT/SPC, and d. bear the NIT/Tender enquiry number, Package name, and the words “BID WITHDRAWAL NOTICE”. e. Bid withdrawal notices received after the bid submission deadline will be ignored, and the submitted bid will be deemed to be a validly submitted bid. f. The Owner shall on receipt of the “BID WITHDRAWAL NOTICE” from the bidder, return the bid on the NTPC SRM Portal. The bidder can thereafter re-submit its bid within the time line specified for bid submission. NTPC shall NOT be responsible for the inability of the bidder to submit its bid again within the time line specified. Bidders are NOT allowed to submit any modification through any letter/ e-mail/fax etc. Such communications will not be considered. g. No bid may be withdrawn / modified in the interval between the bid submission deadline and the expiration of the bid validity period. Withdrawal/Modification of a bid during this interval may result in the Bidder’s forfeiture of its bid security, pursuant to Clause 10.0(a) above.

21.0	**SUBMISSION OF BID PROPOSAL** **OFF LINE**	The bids shall be submitted as detailed here under : **OFF-LINE** ➢ **Envelope-1… marked as 'EMD'** a) Bid Form 1 b) EMD / Bid Security c) MSE certificate as per MSMED Act 2006 (if any) d) Any other document specified in Special Purchase Condition These documents will be checked before down loading (opening) of the Technical bid and only those bids where valid documents are available will be allowed for down loading (opening). ➢ **Envelope-2 … marked 'QR'** In case of open tenders, Bid Form 2 along with copy of the documents in support of meeting Qualifying Requirements which cannot be up - loaded on-line (like Annual Report, PO Copies, Authorization from Principal etc.) , may be submitted off line. These documents will be checked along with the Technical bid and ➢ **The On Line Price bids** of only those bidders will be down loaded (opened) at a later date (under intimation to them) who meet the Qualifying Requirements and whose bids are technically acceptable. **Bidders are advised to ensure that the above should reach the addressee (the Owner) before the last date & Time for submission of Bid as specified in the NIT / Tender enquiry / Special Purchase Conditions (SPC).**
22.0.	**ON LINE UPLOADING OF DOCUMENTS & PRICES**	**(A)** Acceptance of Compliance to All Provisions of Bidding Documents (NIL Deviation Certificate) {Annexure 1} **(*)** **(B)** Acceptance of Fraud Prevention Policy {Annexure 2} **(*)**

<table>
<tr>
<td></td>
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<td>
<table>
<tr><td colspan="3">In collaboration folder (c-folder) under Un-Priced bid tab
Upload the following</td></tr>
<tr><td></td><td>File Name</td><td>Contents</td></tr>
<tr><td>1</td><td>EMD</td><td>EMD details</td></tr>
<tr><td>2</td><td>QR</td><td>Annexure 12 alongwith documents in support of meeting Qualifying Requirements.</td></tr>
<tr><td>3</td><td>Technical Specifications</td><td>Technical specifications, details & data sheets, drawings etc.</td></tr>
<tr><td>4</td><td>EFT</td><td>Annexure 5: Electronic Fund Transfer (EFT) Form</td></tr>
<tr><td>5</td><td>Registration details</td><td>Annexure 4: Regn. Details –PAN, Sales Tax etc.</td></tr>
<tr><td></td><td>MSE / MSME</td><td>MSE certificate as per MSMED Act 2006 (if any) (Valid certificate to be furnished) .</td></tr>
</table>
<table>
<tr><td>Under ITEM DATA TAB fill / submit the following</td></tr>
<tr><td>Bid Price Schedule</td></tr>
</table>
Bidders may note that no price component is to be uploaded in the collaboration -folder.
(*) Bidders may note that without Acceptance for Compliance to All Provisions of Bidding Documents (NIL Deviation Certificate) & Fraud Prevention Policy which is to be given online, Bidders will not be allowed to create and submit the bid.
</td>
</tr>
<tr>
<td>23.0</td>
<td>EXPIRY DATE
OR DEAD LINE FOR BID SUBMISSION</td>
<td>The online bidding system will not allow bid submission after the specified expiry date and time. Make sure the bid submission is completed well in advance of the time.
Bid shall not be accepted by the server after expiry of the schedule date & time.</td>
</tr>
<tr>
<td>24.0</td>
<td>UPLOADING OF BID</td>
<td>Bidders shall have to submit bids on line on the NTPC, e-tender Portal (SRM-Portal) . All the bidders must upload their bids w.r.t the tender requirements, defined in the tender document. Viz
❖ EMD Details.
❖ EFT Form</td>
</tr>
</table>

<table>
<tr><td></td><td></td><td>❖ Qualifying requirement documents (if applicable)
❖ Technical details & data sheets (if any).
❖ Commercial offer
❖ Regn details
❖ Bid price schedule (to be filled on-line)
All above details shall be uploaded.</td></tr>
<tr><td>25.0</td><td>PROCEDURE FOR DOWN LOADING (OPENING) OF BIDS</td><td>After expiry of Bid Submission time and before bid opening time, only authorized NTPC officials can view the numbers of Bid submitted. However, bid details can't be viewed before bid opening time.
❖ Opening of Documents Submitted OFF-LINE:
The Committee or their authorized representatives shall open the EMD documents received off line (except in those cases where EMD is not applicable). The Committee, based on the EMDs received, shall allow only those on line bids to be downloaded whose EMDs have been received in NTPC and are adequate and acceptable as per conditions of the bid document.
<table>
<tr><td>a)</td><td>Envelope 1 ‘EMD’</td><td>1. EMD / Bid Security
2. MSE certificate as per MSMED Act 2006 (if any)
3. Any other document specified in SPC</td></tr>
<tr><td>b)</td><td>Envelope 2 ‘QR’</td><td>Documents in support of meeting Qualifying Requirements, if applicable.</td></tr>
</table>
❖ Down loading of Documents Submitted ON-LINE:
The online bids will be viewed / downloaded (opened) by the authorized dealing official of NTPC (Purchase / contracts) at the time specified in tender enquiry / NIT as per time schedule in following sequence:
<table>
<tr><td>a)</td><td>File EMD</td><td>EMD details</td></tr>
<tr><td>b)</td><td>File QR</td><td>Copy of Annexure 12 alongwith documents in support of meeting Qualifying Requirements.</td></tr>
<tr><td>c)</td><td>File Technical Specifications</td><td>Technical specifications, details & data sheets, drawings etc.</td></tr>
<tr><td>d)</td><td>File EFT</td><td>Annexure 5: Electronic Fund Transfer (EFT) Form</td></tr>
<tr><td>e)</td><td>File Regn Details</td><td>Annexure 4: Regn. Details –PAN, Sales Tax etc.</td></tr>
<tr><td>f)</td><td colspan="2">Bid Price Schedule</td></tr>
</table>
</td></tr>
</table>

		Please note that: ❖ Bids without **requisite** EMD will not be opened. ❖ The technical bid of only those bidders, who submit the EMD as stipulated & fulfill any other requirements specified, will be opened and considered for evaluation. **Bidders are advised to ensure that the above should reach the addressee (the Owner) before the last date & Time for submission of Bid as specified in the NIT / Tender enquiry / Special Purchase Conditions.** **NTPC shall not be responsible for any loss or delay in transit of these documents.** Note: 1. The price bid shall be opened depending upon the type of Bidding as specified in the Special Purchase Conditions (SPC). 2. In case of Single Stage Single envelope bidding, Bid Price Schedule shall be opened on the date and time specified in the NIT. 3. In case of Single Stage Two envelope bidding, Bid Price Schedule of those bidders whose bids are found to be qualified and technically acceptable shall be opened at a later date under intimation to such bidders. 4. In case of provisions of Reverse Auction, the technically acceptable bidders, meeting the qualifying requirements, will be notified the date and time of Reverse Auction.
26.0	**DETERMINATION OF RESPONSIVENESS**	The Owner will determine whether the Proposals are substantially responsive to the Bidding Document and their proposal is complete. Prior to the detailed evaluation, the Owner will determine whether the bid is of acceptable quality, is generally complete and is substantially responsive to the bidding document. For purpose of this determination, a substantially responsive bid is one that conforms to all the terms, condition and specifications of the bidding documents without material deviations, objections, conditionality or reservations. A material deviation, objection, conditionality or reservation is

		(i) that effects in any substantial way the scope quality or performance of the contract . (ii) that limits in any substantial way inconsistent with the bidding document the Owners right or the successful bidders obligation under the contract or (iii) whose rectification would unfairly affect the competitive position of other bidders who are presenting substantially responsive bids. Material deficiencies in the proposal may render the proposal non-responsive and may lead to the rejection of the proposal. The Owner's determination of a bid's responsiveness is to be based on the contents of the bid itself without recourse to extrinsic evidence. If a bid is not substantially responsive, it will be rejected by Owner, and may not subsequently be made responsive by the Bidder by correction of the nonconformity.
27.0	**EVALUATION CRITERIA**	The evaluation criteria specified in Special Purchase Conditions (SPC) shall over-ride all other similar related clauses appearing elsewhere in the bidding documents.
28.0	**EVALUATION OF BIDS**	a) The Owner shall evaluate each Bid that has been determined, up to this stage of the evaluation, to be substantially responsive. b) To evaluate a Bid, NTPC shall only use all the criteria and methodologies defined in this document. c) To evaluate a Bid, NTPC shall consider the following: • The bid price as quoted as per Bid Price Schedule • Price adjustment for correction of discrepancy. • Price adjustment due to discounts offered; • Price adjustment due to application of the evaluation criteria.
29.0	**DISCREPANCIES IN BID**	In case of discrepancies in the bid, the following will be adopted to correct the discrepancies for the purpose of evaluation, where ever Separate Price Break Up is required to be furnished / In case where Prices are asked separately. a) In case of discrepancy between the original & copies of bid, the

		original bid will be considered as correct. b) In case of discrepancy between unit price in figures and words, the unit price words will be considered as correct. c) In case of discrepancy between unit price and total price, the unit price will be considered as correct. d) In case of discrepancy between unit price and total price, which is obtained by multiplying the unit price and quantity, or between sub-totals and the total price, the unit or subtotal price shall prevail, and the total price shall be corrected accordingly.
30.0	**CLARIFICATION OF BIDS**	During evaluation, the Owner may, at its discretion, ask any Bidder for a clarification of its Bid. The Owner's request for clarification and the response shall be in writing. No change in the prices or substance of the Bid shall be sought, offered, or permitted.
31.0	**CONTACTING THE OWNER**	a. Subject to above, no Bidder shall contact the Owner on any matter relating to its bid, from the time of the opening of Bids to the time the contract is awarded. b. Any effort by a Bidder to influence the Owner in the Owner's bid evaluation, bid comparison or contract award decisions may result in rejection of the Bidder's bid.
32.0	**OWNER'S RIGHT TO ACCEPT ANY BID AND TO REJECT ANY OR ALL BIDS**	The Owner reserves the right to accept or reject any Bid, and to annul the bidding process and reject all Bids at any time prior to Contract award, without thereby incurring any liability to the affected Bidder or Bidders or any obligation to inform the affected Bidder(s) of the grounds for the Owner's action.
33.0	**AWARD CRITERIA**	The Owner will award the contract to the successful Bidder whose bid has been determined to be substantially responsive and to be the lowest evaluated bid, further provided that the Bidder is determined to be qualified to perform the contract satisfactorily.

34.0	**CONTRACT**	a. The Owner shall send to the successful Bidder the Purchase Order/Letter of Award. b. The contract shall come into effect from the date of issue of Letter of Award/Purchase Order. c. Successful bidder on whom Contract/LOA/Purchase Order is placed shall hereinafter be called Supplier.
35.0	**CONSTRUCTION OF CONTRACT**	If required, NTPC may place separate Orders for supplies and Services. The award of separate Purchase Orders shall not in any way dilute the responsibility of the Supplier for the successful completion of the Facilities as per Contract documents and a breach in one Purchase Order shall be construed as a breach of the other Purchase Order(s) which will confer a right on the Owner to terminate the other Contract(s) also at the risk and cost of the Supplier. The total value of all the orders shall be the Total Package value.
36.0	**DELIVERY SCHEDULE**	The Delivery of the Goods and Completion of the related Services shall be in accordance with the Delivery and Completion Schedule as per SPC.
37.0	**CONTRACT PRICE**	The Contract Price shall be as specified in the Purchase Order / LOA.
38.0	**SCOPE OF SUPPLY**	a. The Goods and related Services to be supplied shall be as specified in the technical specification and Price Schedule. The successful bidder shall supply all the Goods and related Services included in the Scope of Supply, as per the Delivery and Completion Schedule specified in the SPC b. Unless otherwise stipulated in the Contract (Purchase Order / LOA), the Scope of Supply shall include all such items not specifically mentioned in the Contract but that can be reasonably inferred from the Contract as being required for attaining Delivery and Completion of the Goods and related Services as if such items were expressly mentioned in the Contract. c. The Supplier shall ensure that the Goods and related Services comply with the technical specifications and other provisions of the Contract. d. The Goods and related Services supplied under this Contract shall conform to the standards mentioned in Technical Specifications and, when no applicable standard is mentioned, the standard shall be equivalent or superior to the official standards whose application is appropriate.

39.0	**CONTRACT PERFORMANCE GUARANTEE (CPG)/PBG**	a. Within thirty (30) days of the receipt of Purchase Order/Letter of Award from the Owner, the Supplier shall furnish the Contract Performance Guarantee, if applicable, for due performance of the Contract(s)/Order(s) in any form acceptable to the Owner as mentioned below. b. CPG may be submitted in any of the following forms: • A crossed Demand Draft / Bankers cheque drawn in favour of NTPC Ltd. Payable at (station inviting tender or as per SPC) • An irrevocable Bank Guarantee as per the NTPC standard format from any Nationalized bank / Scheduled Bank as acceptable to NTPC as per list enclosed. c. Failure of the supplier to submit the above-mentioned Contract Performance Guarantee shall constitute sufficient grounds for the annulment of the award and forfeiture of the Bid Security. d. FOR WARRANTY PERIOD- The successful bidder shall be required to furnish the Contract Performance Guarantee (CPG) for an amount equal to 10% of total order value. CPG should be valid for a period of three months (3 months) beyond the expiry of warranty period. The CPG should be submitted within 30 days of placement of award. e. FOR AMC / CMS PERIOD The bidder shall be required to furnish a BG equivalent to 5% of the total order value towards AMC/CMS valid for AMC/CMS Period plus a period of 3 months beyond the Annual Maintenance/Comprehensive Maintenance Services Contract period. This BG shall be furnished before the expiry date of 10% CPG submitted earlier covering the warranty period of one year. f. The CPG for 10% shall be released only after receipt of BG for AMC/CMS period. **Note:- However CPG , Warranty , Guarantee clause as specified in the Special Purchase Conditions shall prevail.**
40.0	**AUTHORISED**	Any action required or permitted to be taken, and any document required or permitted to be executed, under the Contract by the Owner

	REPRESENTATIVE	or the Bidder may be taken or executed by the officials authorized for the purpose.
41.0	**INSURANCE**	As detailed in SPC
42.0	**FREIGHT**	As detailed in SPC.
43.0	**PACKING**	The Bidder shall provide such packing of the Goods as is required to prevent their damage or deterioration during transit to their final destination, handling and storage. The Bidder will be responsible for any loss or damage during transportation, handling and storage due to improper packing. All packages should be marked with Purchase Order/Contract no. and date. Each package must contain packing slip and literature, if any.
44.0	**INSPECTION AND TESTS**	All materials shall be inspected as per provisions of SPC / Technical Specification. For all cases where pre-dispatch inspection is stipulated, materials shall be inspected prior to dispatch by an authorized representative of NTPC for which an advance notice of 15 days shall be given by the supplier. In such cases no material shall be dispatched without inspection unless specific waiver/exemption is communicated in writing to the supplier. In all cases necessary test certificates, guarantee certificate in respect of material/equipment performance shall be furnished along with despatch documents. However, the final inspection of material shall be done at our site only and acceptance of materials is subject to such final inspection only.
45.0	**WARRANTY**	The provision of Warranty shall be as per SPC /Technical Specification. a) The Supplier shall warrant that the Goods shall be free from defects arising from any act or omission of the Supplier or arising from design, materials, and workmanship, under normal use in the conditions. b) The warranty shall remain valid for the period of one year from the date of installation and commissioning or as specified in the Technical Specifications / SPC. c) If having been notified, the Supplier fails to remedy the defect, the Owner may proceed to take within a reasonable period such remedial action as may be necessary, at the Supplier's risk and expense and without prejudice to any other rights which the Owner may have against the Supplier under the Contract.
46.0	**PATENTS**	All royalties and fees for patents covering material/equipment or

		processes used in executing the work shall be to the account of the bidder. The supplier shall satisfy all demands that may be made at any time for such royalties and fees. The Supplier shall hold harmless and indemnify the Owner from and against damage, loss and expenses arising from any claim for infringement of patent, copy right, design and other such rights in existence or to be granted on and application published prior to the completion of this engagement with respect to or arising out of the use or supply of design or any work in accordance with the specifications and plans furnished or recommended by the Contractor. The Supplier shall promptly notify the Owner in writing if the Supplier has or has acquired knowledge of any patent under which claim or suit for infringement could reasonably be brought because of the use by the Owner of any information, recommendation or specifications, services rendered by the Contractor. The Supplier, in such case, shall furnish at its own cost make and furnish to the Owner alternative specifications or recommendations to avoid the same and without putting the Owner to any additional cost.
47.0	**INDEMNIFICATION**	The Supplier shall, at its own expense, defend and indemnify the Owner against all third party claims of infringement of Intellectual Property Rights, including patent, trade mark, copy right, trade secret or industrial design rules arising from use of the products or any part thereof. The Supplier shall expeditiously extinguish any such claims and shall have full rights to defend itself there from. The Owner shall not pay any compensation to a third party resulting from such infringement and the Supplier shall be fully responsible for the same, including all expenses and court and legal fees. The Owner will give notice to the Supplier of any such claim without delay, shall provide reasonable assistance to the Contractor in disposing of the claim, and shall at no time admit any liability for or express any intent to settle the claim. Final payment to the Supplier by the Owner will not be made while any such suit or claim remains unsettled.
48.0	**REMOVAL OF REJECTED GOODS AND REPLACEMENT**	a) If upon delivery, whether inspected and approved earlier or otherwise, the material/equipment is not in conformity with the specifications, the same shall be rejected by the Owner or his duly authorised representative and notification to this effect will be issued to the Supplier within 30 days from the date of receipt of the material at site. b) The supplier shall arrange for removal of the rejected item(s) within 15 days from the date of notification. In the event, the supplier fails to lift the materials within the said 15 days, the Owner shall be at liberty to dispose of such rejected item(s) in any manner as he may

		think fit. All expenses shall be recoverable from the supplier.
49.0	**PAYMENT AT REDUCED RATES**	If the goods supplied are not according to specifications stipulated in the order, NTPC may retain the goods at its discretion after negotiations with the supplier and pay at reduced rates to be fixed by NTPC.
50.0	**MODIFICATION OF CONTRACT**	Modification of the terms and conditions of the Contract, including any modification of the Scope of the Services or of the Contract price may only be made by written agreement between the Parties.
51.0	**LIQUIDATED DAMAGES**	The timely delivery of the material is the essence of the contract. In the event of Supplier failure to deliver the material of acceptable quality within the stipulated delivery period, the liquidated damages are payable by the Supplier @ 0.5% (one half of one percent) per week of delay or part thereof, of the unexecuted order value. However, the total liability of the Bidder under this clause shall not exceed 5% of the Contract value as awarded.
52.0	**FORCE MAJEURE**	(a) "Force Majeure" shall mean any event beyond the reasonable control of the Owner or the Supplier, as the case may be, and which is unavoidable notwithstanding the reasonable care of the party affected and which substantially affect the performance of the Contract. Notwithstanding the generality of the above, the following events shall be termed as Force Majeure events in respect of the Order (i) terrorist acts, (ii) confiscation, nationalization, mobilization, commandeering or requisition by or under the order of any government or de jure or de facto authority or ruler or any other act of failure to act of any local state or national government authority, (iii) national/sectoral/illegal strike, sabotage, lockout embargo, import restriction, port congestion, lack of usual means of public transportation and communication, industrial dispute, shipwreck, epidemics, quarantine and plague. (b) If either party is prevented, hindered or delayed from or in performing any of its obligations under the Contract by an event of Force Majeure, then it shall notify the other in writing of the occurrence of such event and the circumstances there of within fourteen (14) days after the occurrence of such event. (c) The party who has given such notice shall be excused from the performance or punctual performance of its obligations under the Contract for so long as the relevant event of Force Majeure continues and to the extent that such party's performance is prevented, hindered or delayed. The Time for Completion shall be

		extended by a reasonable time. (d) The party or parties affected by the event of Force Majeure shall use reasonable efforts to mitigate the effect there of upon its or their performance of the Contract and to fulfill its or their obligations under the Contract, but without prejudice to either parties' right to terminate the contract under clause (f) here under. (e) Delay or nonperformance by either party hereto caused by the occurrence of any event of Force Majeure shall not i. constitute a default or breach of the Contract ii. give rise to any claim for damages or additional cost or expense occasioned thereby if and to the extent that such delay or non performance is caused by the occurrence of an event of Force Majeure. (f) If the performance of the Contract is substantially prevented, hindered or delayed for a single period of more than sixty (60) days or an aggregate period of more than one hundred and twenty (120) days on account of one or more events of Force Majeure during the currency of the Contract, the parties will attempt to develop a mutually satisfactory solution, failing which the dispute shall be resolved in accordance with Clause 56 (SETTLEMENT OF DISPUTES) (g) Notwithstanding clause (e) above, Force Majeure shall not apply to any obligation of the Owner to make payments to the Supplier herein.
53.0	**NO BREACH OF CONTRACT**	The failure of a party to fulfill any of its obligations under the Contract shall not be considered to be a breach of or default under the Contract in so far as such inability arises from an event of Force Majeure, provided that the Party affected by such an event (a) has taken all reasonable precautions, due care and reasonable alternative measures in order to carry out the terms and conditions of this Contract and (b) has informed the other Party as soon as possible about the occurrence of such an event.

54.0	**OBLIGATIONS OF THE BIDDER**	The Bidder shall perform the Services and carry out their obligations with all due diligence, efficiency, and economy, in accordance with generally accepted professional techniques and practices, and shall observe sound management practices, and employ appropriate advance technology and safe methods. The Bidder shall always act, in respect of any matter relating to this Contract or to the Services, as faithful advisers to the Owner and shall at all times support and safeguard the Owner's legitimate interests in any dealings with Sub-bidder or third parties.
55.0	**RISK PURCHASE**	In the event of Suppliers failure to supply the material of acceptable quality in scheduled delivery period, NTPC reserves the right to procure the materials from any other source at the Suppliers risk and cost and the difference in cost shall be borne by the Supplier. Further, NTPC shall retain the right of forfeiture of CPG and or any other action as deemed fit.
56.0	**SETTLEMENT OF DISPUTES**	
56.1	**Mutual Consultation** If any dispute of any kind whatsoever shall arise between the Owner and the Contractor in connection with or arising out of the Contract, including without prejudice to the generality of the foregoing, any question regarding its existence, validity or termination, or the execution of the Facilities, whether during the progress of the Facilities or after their completion and whether before or after the termination, abandonment or breach of the Contract, the parties shall seek to resolve any such dispute or difference by mutual consultation. If the parties fail to resolve such a dispute or difference by mutual consultation, then the dispute maybe settled through Expert Settlement Council/Arbitration.	
56.2	**Resolution of Dispute through Conciliation** Where the disputed amount is within Rs 250 crores (to be arrived at considering the claim and counter claim of the parties to the dispute) and in case the parties fail to resolve such a dispute or difference by mutual consultation, the dispute may be referred to Conciliation.	
56.2.1	**Invitation for Conciliation**	(i) A party shall notify the other party in writing about such a dispute it wishes to refer for conciliation within a period of 30 days from the date of failure to resolve the dispute through mutual consultation. Such Invitation for conciliation shall contain sufficient information as to the dispute to enable the other party to be fully informed as to the nature of the dispute, amount of the monetary claim, if any, and apparent cause of action.
		(ii) Upon acceptance of the invitation to conciliate, the other party shall submit its counter claim, if any, within a period of 30 days from the date of the invitation to conciliate. If the other party

		rejects the invitation or if disputed amount exceeds Rs 250 crores, there will be no conciliation proceedings.
		(iii) If the party initiating conciliation does not receive a reply within thirty days from the date it sends the invitation, or within such other period of time as specified in the invitation, it shall treat this as a rejection of the invitation to conciliate from the other party.
56.2.2	**Conciliation**	(i) Where Invitation for conciliation has been furnished under GPC sub clause 56.2.1, the parties shall attempt to settle such dispute through Expert Settlement Council (ESC) which shall be constituted by CMD, NTPC.
		(ii) ESC will be formed from experts comprising three members from the panel of conciliators maintained by NTPC. However, there will be single member ESC for disputes involving claim and counter claim (if any) up to Rs. 1 crore. CMD, NTPC will have authority to reconstitute an ESC to fill any vacancy.
		(iii) The eligible persons for consideration for empanelment in the panel of conciliators shall be amongst Retired Civil Servants of Govt. of India not below the rank of Additional Secretary, Retired Judges, Retired Directors/ Chairman of any Maharatna/Navratna company in India other than NTPC Ltd, Retired Independent Directors who have served on the Board of any Maharatna/ Navratna company in India other than NTPC Ltd and Independent experts in their respective fields preferably registered with the Indian Council of Arbitration or Delhi International Arbitration Centre or Federation of Indian Chambers of Commerce and Industry or SCOPE Arbitration Forum.
56.2.3	**Proceedings before ESC**	(i) The claimant shall submit its statement of claims along with relevant documents to ESC members, and to the party(s) indicated in the appointment letter within 30 days of the issue of the appointment letter. The respondent shall file its reply and counter claim (if any) within 30 days of the receipt of the statement of claims. Parties may file their rejoinder/additional documents, if any in support of their claim/counterclaim within next 15 days. No documents shall be allowed thereafter, except with the permission of ESC.
		(ii) The parties shall file their claim and counterclaim in the following format a. Chronology of the dispute b. Brief of the contract c. Brief history of the dispute d. Issues

<table>
<tr><td></td><td></td><td>
<table>
<tr><th>Sl. No.</th><th>Description of Claims/ Counter claims</th><th>Amount (in foreign currency/INR)</th><th>Relevant Contract Clause</th></tr>
<tr><td></td><td></td><td></td><td></td></tr>
<tr><td></td><td></td><td></td><td></td></tr>
<tr><td></td><td></td><td></td><td></td></tr>
</table>
e. Details of Claim(s)/Counter Claim(s)
f. Basis/Ground of claim(s)/counter claim(s) along with relevant clause of contract.
Statement of claims shall be restricted to maximum limit of 20 pages.
</td></tr>
<tr><td></td><td></td><td>(iii) In case of 3 members ESC, 2 members will constitute a valid quorum and the meeting can take place to proceed in the matter after seeking consent from the member who is not available. However, ESC recommendations will be signed by all the members.</td></tr>
<tr><td></td><td></td><td>(iv) The parties shall be represented by their in house employees. No party shall be allowed to bring any advocate or outside consultant/advisor/agent to contest on their behalf. Ex officers of NTPC who have handled the disputed matter in any capacity shall not be allowed to attend and present the case before ESC on behalf of contractor. However, ex-employees of parties may represent their respective organizations. Parties shall not claim any interest on claims/counter-claims from the date of notice invoking conciliation till execution of settlement agreement, if so arrived. In case, parties are unable to reach a settlement, no interest shall be claimed by either party for the period from the date of notice invoking conciliation till the date of ESC recommendations and 30 days thereafter in any further proceeding</td></tr>
<tr><td></td><td></td><td>(v) ESC will conclude its proceedings in maximum 10 meetings, and give its recommendations within 90 days of its first meeting. ESC will give its recommendations to both the parties recommending possible terms of settlement. CMD, NTPC may extend the time/number of meetings, in exceptional cases, if ESC requests for the same with sufficient reasons.</td></tr>
<tr><td></td><td></td><td>(vi) Depending upon the location of ESC members and the parties, the venue of the ESC meeting shall be either</td></tr>
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<tr><td></td><td></td><td>Delhi/Mumbai/Kolkata/Chennai or any other city whichever is most economical from the point of view of travel and stay etc. All the expenditure incurred in ESC proceedings shall be shared by the parties in equal proportion.</td></tr>
<tr><td>56.2.4</td><td>Fees & Facilities to the Members of the ESC</td><td>The cost of conciliation proceedings including but not limited to fees for Conciliator, Airfare, Local transport, Accommodation, cost towards conference facility etc. shall be as provided herein below:
<table>
<tr><th>Sl .No.</th><th>Fees/ Facility</th><th>Entitlement</th></tr>
<tr><td>1</td><td>Fees</td><td>As paid to NTPC Independent Directors [Presently Rs. 20,000 per meeting]. In addition, each conciliator to be paid Rs 10,000 for attending meeting to authenticate the settlement agreement. - max. of Rs. 2,10,000 per case per Conciliator.</td></tr>
<tr><td>2</td><td>Secretarial expenses</td><td>Rs. 10,000 lump sum (to 1 member only).</td></tr>
<tr><td>3</td><td>Transportation in the city of the meeting</td><td>Car as per entitlement or Rs. 2,000 per day</td></tr>
<tr><td>4</td><td>Venue for meeting</td><td>NTPC conference rooms</td></tr>
<tr><td colspan="3">Facilities to be provided to the out -stationed member</td></tr>
<tr><td>5</td><td>Travel from the city of residence to the city of meeting</td><td>As per entitlement of Independent Directors. Executive class air tickets/ first class AC train tickets/ Luxury car/ reimbursement of actual fare. However, entitlement of air travel</td></tr>
<tr><td>6</td><td>Transport to and fro airport/railway station in the city of residence</td><td>Car as per entitlement or Rs. 3,000</td></tr>
<tr><td>7</td><td>Stay for out stationed members</td><td>As per entitlement of Independent Directors.</td></tr>
<tr><td>8</td><td>Transport in the city of meeting</td><td>Car as per entitlement or Rs. 2000 per day</td></tr>
</table>
Aforesaid fees is subject to revision by NTPC from time to time and subject to government guidelines on austerity measures, if any. All the</td></tr>
</table>

		expenditure incurred in the ESC proceedings shall be shared by the parties in equal proportions. The Parties shall maintain the account of expenditure and present to the other for the purpose of sharing on conclusion of the ESC proceedings
56.2.5	If decision of NTPC is acceptable to the contractor, a Settlement Agreement under section 73 of the Arbitration and Conciliation Act 1996 will be signed within 15 days of contractor's acceptance and same shall be authenticated by all the ESC members. Parties are free to terminate conciliation proceedings at any stage as provided under the Arbitration and Conciliation Act 1996.	
56.2.6	The parties shall keep confidential all matters relating to the conciliation proceedings. Parties shall not rely upon them as evidence in arbitration proceedings or court proceedings.	
56.3	**Arbitration**	
56.3.1	**In case the parties fail to settle the dispute through the process of mutual consultation and/or conciliation as per GPC Sub-Clause 56.1 & 56.2 above, either party may give a notice to the other party, of its intention to commence arbitration, as hereinafter provided, as to the matter in dispute, and no arbitration in respect of this matter may be commenced unless such notice is given. Such notice of intention to commence arbitration shall be given within a period of thirty (30) days from the date of failure to settle the matter through mutual consultation or thirty (30) days from the date of termination of ESC proceedings (applicable only in case where ESC has been constituted).**	
56.3.2	**Any dispute in respect of which a notice of intention to commence arbitration has been given, in accordance with Sub-Clause 56.3.1 above, shall be finally settled by arbitration. Arbitration may be commenced prior to or after completion of the Package/Order.**	
56.3.2.1	In case of Purchase Orders/Service Orders placed on firms, other than Public Sector Enterprises	
	Any dispute or difference submitted by a party to arbitration shall be heard by an arbitration tribunal consisting of three arbitrators, in accordance with the provisions set forth below:	
	(i)	The Owner and the Supplier shall each appoint one arbitrator, and these two arbitrators shall jointly appoint a third arbitrator, who shall chair the arbitration panel. If the two arbitrators do not succeed in appointing a third arbitrator within twenty eight (28) days after the latter of the two arbitrators has been appointed, the third arbitrator shall, at the request of either party, be appointed by the President of the Institution of Engineers.
	(ii)	If one party fails to appoint its arbitrator within forty-two (42) days after the other party has named its arbitrator, the party which has named an arbitrator may request

<table>
<tr><td></td><td></td><td>the President of the Institution of Engineers, India to appoint the second arbitrator.</td></tr>
<tr><td></td><td>(iii)</td><td>If for any reason an arbitrator is unable to perform its function, the mandate of the Arbitrator shall terminate in accordance with the provisions of applicable laws as mentioned in GPC Clause 13.0 (Governing Law) and a substitute shall be appointed in the same manner as the original arbitrator.</td></tr>
<tr><td></td><td>(iv)</td><td>Arbitration proceedings shall be conducted in accordance with the Indian Arbitration and Conciliation Act, 1996, including any statutory modifications or re-enactment thereof and the rules made thereunder. The place of arbitration shall be New Delhi or at a place otherwise stated in SPC. The language of arbitration shall be the language in which this Contract is being executed.</td></tr>
<tr><td></td><td>(v)</td><td>The decision of the majority of the arbitrators (or of the third arbitrator chairing the arbitration tribunal, if there is no such majority) shall be final and binding and shall be enforceable in any court of competent jurisdiction as a decree of the court. The parties thereby waive any objections to or claims of immunity from such enforcement.</td></tr>
<tr><td></td><td>(vi)</td><td>The arbitrator(s) shall give reasoned award.</td></tr>
<tr><td></td><td>(vii)</td><td>(A) Arbitration Fee</td></tr>
<tr><td></td><td></td><td>(I) The Arbitrators shall be paid fees at the following rates:
<table>
<tr><th>Amount of Claims and Counter Claims (excluding interest)</th><th>Lump sum fees (including fees for study of pleadings, case material, writing of the award, secretarial charges etc.) payable to each arbitrator (to be shared equally by the parties)</th></tr>
<tr><td>Up to Rs.50 lakhs</td><td>Rs. 10,000/- per meeting subject to a ceiling of Rs. 1,00,000/-.</td></tr>
<tr><td>Above Rs.50 lakhs to Rs.1 Crore</td><td>Rs.1,35,000/- plus Rs.1,800/- per lakh or a part there of subject to a ceiling of Rs. 2,25,000/-.</td></tr>
<tr><td>Above Rs.1 crore and up to Rs.5 Crore</td><td>Rs.2,25,000/- plus Rs.33,750/- per crore or a part thereof subject to a ceiling of Rs.3,60,000/-.</td></tr>
<tr><td>Above Rs. 5 Crore and up to Rs.10 Crore</td><td>Rs.3,60,000/- plus Rs.22,500/- per crore or a part thereof subject to a ceiling of Rs. 4,72,500/-.</td></tr>
<tr><td>Above Rs.10 Crore</td><td>Rs.4,72,500 plus Rs.18,000/- per crore or part thereof subject to a ceiling of Rs. 10,00,000/-.</td></tr>
</table>
If the claim is in foreign currency, the SBI Bills Selling Exchange rate prevailing</td></tr>
</table>

on the date of claim shall be used for the purpose of converting the claim in Indian Rupee which may be used for determining the arbitration fee as brought out above.

(II) If after commencement of the Arbitration proceedings, the parties agree to settle the dispute mutually or refer the dispute to conciliation, the arbitrators shall put the proceedings in abeyance until such period as requested by the parties. Where the proceedings are put in abeyance or terminated on account of mutual settlement of dispute by the parties, the fees payable to the arbitrators shall be determined as under:

(i) 20% of the fees if the claimant has not submitted statement of claim
(ii) 40% of the fees if the pleadings are complete
(iii) 60% of the fees if the hearing has commenced
(iv) 80% of the fees if the hearing is concluded but the award is yet to be passed.

(III) Each party shall pay its share of arbitrator's fees in stages as under:

(i) 20% of the fees on filing of reply to the statement of claim
(ii) 40 % of the fees on completion of pleadings
(iii) 20% of the fees on conclusion of the final hearing
(iv) 20% at the time when award is given to the parties

(IV) Each party shall be responsible to make arrangements for the travel and stay etc. of the arbitrator appointed by it. As regards the Presiding Arbitrator, the expenses incurred on his travel/stay shall be shared equally by the parties.

(V) The parties agree that they shall appoint only those persons as arbitrators who accept the conditions of arbitration clause, including the fees schedule provided herein. No person shall be appointed as arbitrator or presiding arbitrator who does not accept the conditions of arbitration clause including the fee schedule provided hereinbefore.

(B) **Arbitration Period**

The arbitrators shall make and publish the award within time stipulated as under:

Amount of Claims and Counter Claims (excluding interest)	Period for making and publishing of the award (counted from the date of first meeting of the arbitrators)
Up to Rs. 5 Crore	Within 8 months
Above Rs. 5 Crore	Within 12 months

The above time limit can be extended by the arbitrators, for reasons to be recorded in writing, with the consent of the parties.

56.3.3	**In case of Purchase Order/Service Order placed on Public Sector Enterprise**	
	In the event of any dispute or difference relating to the interpretation and application of the provisions of the contracts, such dispute or difference shall be referred by either party for Arbitration to the sole Arbitrator in the Department of Public Enterprises to be nominated by the Secretary to the Government of India in-charge of the Department of Public Enterprises. The Arbitration and Conciliation Act, 1996 shall not be applicable to arbitration under this clause. The award of the Arbitrator shall be binding upon the parties to the dispute, provided, however, any party aggrieved by such award may make a further reference for setting aside or revision of the award to the Law Secretary, Department of Legal Affairs, Ministry of Law & Justice, Government of India. Upon such reference the dispute shall be decided by the Law Secretary or the Special Secretary/Additional Secretary, when so authorized by the Law Secretary, whose decision shall bind the Parties finally and conclusively. The Parties to the dispute will share equally the cost of arbitration as intimated by the Arbitrator. (DPE O.M. No. DPE/4(1)/2011-DPE(PMA)-GL dated 12th June 2013)	
56.3	Notwithstanding any reference to the arbitration herein, (a) the parties shall continue to perform their respective obligations under the Contract unless they otherwise agree. (b) the Owner shall pay the Contractor any monies due to the Supplier.	
57.0	**NOTICES**	Any notice, request, or consent sought pursuant to the tender shall be in writing and shall be deemed to have been made when delivered in person to an authorized representative of the Party to whom the communication is addressed, or when sent by speed post, telex, telegram, or facsimile to such Party i.e. Owner or Bidder.
58.0	**TERMINATION**	The Owner may terminate the Order/Contract, by not less than thirty (30) days written notice of termination to the Supplier, to be given after the occurrence of any of the events specified in paragraphs (a) to (d) of this Clause and sixty (60) days in the case of the event referred to in (e) below: (a) if the Supplier does not remedy a failure in the performance of their obligations under the Contract, within thirty (30) days after being notified or within any further period as the Owner may have subsequently approved in writing; (b) if the Supplier becomes insolvent or bankrupt; (c) if as a result of Force Majeure, the Supplier is unable to perform a material portion of the Services for a period of not less than sixty (60) days; or (d) if the Supplier, in the judgment of the Owner has engaged in corrupt or fraudulent practices in competing or in executing the

		Contract. For the purpose of this clause: "Corrupt Practice" means the offering, giving, receiving or soliciting of anything of value to influence the action of a public official in the selection process or in contract execution. "Fraudulent Practice" means a misrepresentation of facts in order to influence a selection process or the execution of a contract to the detriment of the Owner. (e) if the Owner, at its sole discretion, decides to terminate this Contract. In event of termination of Contract, the Owner shall pay to the Supplier/Contractor the Contract Price, properly attributable to the works/supplies executed by the Supplier/Contractor as on the date of termination. However, any sums due to the Owner from the Contractor accruing prior to the date of termination shall be deducted from the amount to be paid to the Supplier under this Order/Contract.
59.0	**TAXES & DUTIES**	i. "Goods and Services Tax" or "GST" means taxes or cess levied under the Central Goods and Services Tax Act, Integrated Goods and Services Tax Act, Goods and Services Tax (Compensation to States) Act and various State/Union Territory Goods and Services Tax Laws and applicable cesses, if any under the laws in force (hereinafter referred to as relevant GST Laws), which shall be fully complied with by the Bidder. ii. The Bidder shall quote the prices giving breakup in the manner specified in the Price Schedule. The Bidder shall quote the applicable rate of GST in the Price Schedule. iii. For the purpose of Evaluation, GST quoted in the Bid shall only be considered. iv. The Bidder shall indicate the taxes and duties as applicable seven (7) days prior to last date of Bid Submission. v. The Bidder is required to quote the rate of GST applicable under GST Law in the Price Schedule while giving the breakup of prices. vi. In case GST registered Bidder has quoted GST rate as '0' (Zero), the quoted price shall be considered to be inclusive of GST as applicable. vii. In case of bid received from dealers who have opted for the composition scheme under GST Law, the Bidder shall specifically mention the same in his Bid. Owner shall not be liable to pay/reimburse any GST on the supplies made by such dealers under the Order/Contract. viii. In case of bid received from unregistered dealer, for evaluation their bid shall be cost compensated as per the GST rate applicable in view of Reverse Charge Mechanism (RCM) as per GST Law.

		ix. In case of all materials identified by the Supplier and Owner to be dispatched directly from the sub-vendor's work to Owner's site, the Supplier shall ensure that his sub-vendors raise Tax invoices as per the provisions of GST Law, billed to the Supplier and shipped to the Owner's site. The Supplier shall further ensure that he raises his corresponding Tax Invoices in the name of Owner during transit of the materials before the delivery of materials is taken by Owner. x. For items not covered under GST, the Bidder is required to quote Excise Duty/VAT/CST as applicable in the Price Schedule while giving the breakup of prices. xi. Notwithstanding anything to contrary contained in the Purchase Order/Contract, the Supplier's right to payment under the Order/Contract is subject to issuance of valid tax invoice/bill of supply as the case may be, payment of applicable GST to the credit of appropriate Government and submission of valid particulars of tax invoice under GST returns in accordance with GST Law. xii. Owner shall deduct GST at source at the applicable rates in case transactions under the Order/Contract are liable to GST deduction at source. xiii. Unless expressly stated otherwise, a common mechanism for reconciliation of input credit mismatch, to be followed by both NTPC and Supplier, shall be mutually agreed so that both parties follow the same procedure for disclosing the transactions in their respective returns. Notwithstanding anything in the Order/Contract, penalty / damages shall be recovered in case the Supplier makes a default in following the agreed procedure. xiv. The implications of GST on return of goods will be as per the provisions of the relevant GST Laws. xv. The Supplier shall issue tax invoices/bill of supply as applicable, file appropriate returns, and deposit the applicable GST to the account of appropriate government within the time limit prescribed under the GST Law. In the event of any default, Supplier shall be liable to pay the amount which may be imposed on NTPC due to such default. xvi. Supplier should comply with the provisions of e-way bill notified by appropriate authorities from time to time. The existing provisions regarding road permit will continue till such time if applicable. xvii. The Owner shall make necessary tax deductions under Income Tax Act or any other laws, if applicable. xviii. Provisions of GST law in respect of Related Persons/Parties may appropriately be taken into consideration by Bidders while submitting the bid. xix. If any rates of tax are increased or decreased, a new tax is introduced, an existing tax is abolished, or any change in interpretation or application of any tax occurs in the course of

		the performance of Oder/Contract, which was or will be assessed on the Supplier in connection with performance of the Oder/Contract, an equitable adjustment shall be made to take into account any such change. xx. The payment/reimbursement of statutory variations in the rates of tax and/or of new tax, duty or levy imposed under statute or law in India as above would be restricted only to direct transactions between the Owner and the Bidder.
60.0	**ROAD PERMIT**	The road permit shall be issued by NTPC, wherever required and the acknowledged copy of same is to be returned by the supplier within 7 days from the date of completion of supplies to the sales tax authorities. All liability on account of non-submission, loss, misplacement shall solely rest with the bidder. The final payment will be processed only after receipts of counterfoil of the relevant forms are received by the NTPC / Engineer in charge.
61.0	**TAX DEDUCTION AT SOURCE**	Tax deduction at source shall be governed as per prevailing rules.
62.0	**PAYMENTS TO THE SUCCESSFUL BIDDER**	Payment will be made to the account of the successful bidder as per the payment terms mentioned in the PO / LOA based on the certification of Engineer. The payments shall be made after the conditions listed for such payment have been met, and the successful bidder has submitted an invoice to the Owner specifying the amount due. Payment shall be released within 30 days of receipt, acceptance of materials and submission of invoice in all respect as per Payment terms mentioned in SPC or as mentioned in the PO / LOA. Our Standard Payment terms are as under: For Supplies: The payment would be made within 30 days of receipt and acceptance of materials. For AMC/CMS: The Annual Maintenance Service Contract wherever applicable, shall commence after completion of the warranty period. The payment of the annual maintenance service contract shall be made on quarterly basis and the amount will be due for payment on the certification by NTPC at the end of each quarter. The quarterly amount shall be worked out by dividing the total service contract value by the number of quarters in the maintenance contract period.
63.0	**PROCEDURE OF PAYMENT**	Payment shall be released on submission of invoice in quadruplicate along with supporting documents on certification by the Engineer-in-Charge.
64.0	**JURISDICTION**	Notwithstanding any other court or courts having jurisdiction to decide the question(s) forming the subject matter of the reference if the same had been the subject matter of a suit, any and all actions and proceeding

		arising out of or relative to the contract (including any arbitration in terms thereof) shall lie only in the Court of Competent Civil jurisdiction in this behalf at Delhi/New Delhi and only the said Court(s) shall have jurisdiction to entertain and try any such action(s) and/or proceeding(s) to the exclusion of all other Courts.
65.0	**LIMITATION OF LIABILITY**	Except in cases of criminal negligence or willful misconduct, (a) the Contractor shall not be liable to the Owner, whether in contract, tort, or otherwise, for any indirect or consequential loss or damage, loss of use, loss of production, or loss of profits or interest costs, provided that this exclusion shall not apply to any obligation of the Contractor to pay liquidated damages to the Owner and (b) the aggregate liability of the Contractor to the Owner, whether under the Contract, in tort or otherwise, shall not exceed the total Contract Price, provided that this limitation shall not apply to any obligation of the Contractor to indemnify the Owner with respect to patent infringement.
66.0	**FRAUD PREVENTION POLICY**	The Bidder along with its associate / collaborator / sub-contractors / sub-vendors / consultants / service providers shall strictly adhere to the Fraud Prevention Policy of the Owner displayed on its tender website http://www.ntpctender.com and shall immediately apprise the Owner about any fraud or suspected fraud as soon as it comes to their notice. The acceptance of above Fraud Prevention Policy is an attribute of the on line Bid Invitation. Acceptance of above Fraud Prevention Policy is to be given online. Only after acceptance of the above condition the bidder shall be allowed to submit the bid. In terms of above policy it is established that the bidder/his representatives have committed any fraud while competing for this contract then the bid security shall be forfeited.
67.0	**INTEGRITY PACT**	NTPC has in place an Integrity Pact details of which are displayed on its Tender website http://www.ntpctender.com. The Integrity Pact (IP) envisages an agreement between the prospective vendors / bidders and the buyer, committing the persons / officials of both the parties, not to exercise any corrupt influence on any aspect of the contract. The Bidder along with its associate / collaborator / sub-contractors / sub-vendors / consultants / service providers shall strictly adhere to the Integrity Pact displayed on the Owners tender website http://www.ntpctender.com. If asked for in the SPC, a signed copy of the Integrity Pact is to be submitted with the EMD as indicated in the SPC.
68.0	**INDIAN AGENTS**	In a tender, either the Indian Agent on behalf of the Principal/OEM or Principal/OEM itself can bid but both cannot bid simultaneously for the

		same item/product. If an agent submits bid on behalf of the Principal/OEM, the same agent shall not submit bid on behalf of another Principal/OEM in the same tender for the item/product.
69.0	**DECLARATION ON BANNING POLICY**	The Owner has in place a policy for withholding and banning of business Dealings as displayed on its tender website http://www.ntpctender.com. Business dealings may be withheld or banned with the Bidder/Contractor on account of any default by the contractor under GPC clause 58 (a) to (d) or any of the grounds detailed in the said Banning Policy. Declaration on Policy for withholding and banning of Business dealings duly filled as per the Owner's format is enclosed in the Annexure 11 attached. The acceptance of this declaration is to be given on-line by accepting the Attribute "Declaration on Banning Policy".
Important Note		**The Special Purchase Conditions will supersede any other related conditions anywhere in the tender documents and will prevail for evaluation / finalization of the tender.**

ELECTRONIC TENDERING

e- PROCUREMENT (SRM)

VOLUME-I

SECTION- III

Rules & Procedures for Reverse Auction

S. No.	Rules & procedures on Reverse Auctions
1	Introduction
2	Definitions & terminology
3	Who Can Participate
4	Reverse Auction Type
5	Reverse auction, rules for event
6	Bid decrement
7	Auto extension rules
8	System Processing Time
9	Auto Refresh
10	Proxy bid
11	Closure of Auction
12	Price break up
13	Net connectivity
14	Flash messages
15	Weightage factor
16	Opening bid price & bid decrement
17	Check points for bidder to participate in real time auction.
18	Acceptance of terms & conditions
19	Procedures
20	User help

Instruction to bidder on Reverse Auction

1.0 INTRODUCTION:

Reverse Auction (RA) is an on-line procurement method used to obtain quotations for goods and services. In a Reverse Auction, goods & services are procured from the lowest bidder (which is the "reverse" of a normal auction, wherein something is sold to the highest bidder).

A Reverse Auction is typically conducted via the Internet whereby bidders anonymously quote against each other. Bidding takes place at a specified date and time and continues for a specified period of time or until no more quotes are received.

2.0 DEFINITIONS:

Reverse Auction is an evolved e-Procurement tool that leverages internet technology to build a dynamic negotiation environment between pre-qualified suppliers to drive the price of goods/services downwards towards the most competitive price.

2.1 TERMINOLOGY:

Other commonly used terms are as follows:

Unit: Unit of measure defined for an item. Some examples could include, each, gallons, or hours.

Price Unit: Subdivision of the item quantity upon which bids are based. The price unit is the denominator of item quantity in calculations.

Start Price: Defined during auction creation, it is the upper limit for bid prices.

Decrement: Minimum / Absolute or percentage value that each bid must be lower than the last.

Rank: Bidder's rank among all bidders participating in the auction. The lower the rank number, the higher the standing in the auction. For example, a rank equal to one is the leading bid in an auction.

Total Bid Price: Sum of all line item totals, based on the Bid Price entered. This value is displayed under the item table if the bidder presses Enter on his keyboard prior to submitting a bid.

My Bid: Price of the bidder's last successfully submitted bid for an item (Item Rate).

My Bid Value: Value of each bid submitted:

For Package Evaluation: - Sum of all line items total, based on the Bid Price entered.

For item wise evaluation: - Value of each bid submitted for respective item (Total Value for an Item i.e. Item Rate X Quantity).

Best Bid: It is the overall best (package), or lowest bid received for an item.

Next Valid Bid: Highest bid currently permitted for an item. The next valid bid is calculated by applying the decrement to the Overall best bid

Bid Price: The field where you enter your actual bid price for an item.

Total Bid Value: Value of bids on line items prior to submitting bids. This value is displayed under the line item table.

My Minimum Bid: My Minimum Bid is the price of the bidder's successfully submitted minimum bid for an item. A bidder's minimum bid is only visible to the bidder.

My Current Bid: The most recent actual bid submitted on the system for an item.

My Current Bid Value of current bid submitted for respective line item.

Value:

3.0 WHO CAN PARTICIPATE?

Reverse Auction shall be conducted amongst the bidders whose bids have been found technically qualified / suitable responsive bidders, meeting all other tender conditions like QR, EMD etc.

4.0 REVERSE AUCTION TYPES :

Reverse auctions generally followed in the industry are as under: -

English Auction (Overall Best Bid):

Each new bid submitted is compared by the system to the current overall best (lowest price) bid.

There is no distinction between bidders or companies with this logic. The lowest price among all bids submitted by all bidders is considered the best bid. Bid ranking follows this logic as well—the lowest bid price is equal to rank one, and so on.

5.0 REVERSE AUCTION: RULES FOR EVENT:

The reverse auction rules will essentially address the following points and will constitute an integral part of the bid document & are detailed at SPC (special purchase condition).

- Reverse auction duration.
- Bid decrement.
- Auto extension rules & duration.

The provision of auto extension as per auction rules is to be decided by NTPC / Owner before start of auction and communicated to the technically qualified vendors.

6.0 BID DECREMENT:

Bid Decrement is the minimum fixed amount by which the next bid value can be decreased. Bidders should enter the next bid price considering the "Bid Decrement", with reference to Overall best bid.

Bids once posted on the server during the reverse auction process can always be modified to the permissible next lower value in any amount equal or more than the bid decrement amount.

In no case would the system accept modification to a higher value.

7.0 AUTO EXTENSION RULES:

- The Bid Extension rules shall be applying after the expiry of the Auction duration earlier set & decided before start of Event.
- In the event a bidder is placing his bid in last "X" minutes of the normal closure time, the event will get extended for next "Y" minutes for "Z" number of times.
- "X" and "Y" can be decided by buyer in advance. Say 3 to 5 minutes depending upon type of Item.
- The auction time will get automatically extended at installments of "Y" minutes so as to allow other bidders opportunity to participate and give better offer to win the bid.
- In case no bid is received during any extended period, the auction would close even if the total number of extensions i.e. Z is yet to happen.
- These time limits (X, Y, and Z) shall be mentioned in the SPC / SCC.

8.0 SYSTEM PROCESSING TIME:

- Bidders may note, although extension time is Y minutes, there is a time lag between the actual placing the bid on the Local Computer of the bidder and the refreshing of the data on the server for the visibility to the owner.
- Considering the processing time for data exchange and possible network congestions, bidders in their own internet should avoid the last minute hosting of Price Bid.
- The bids visible to the Owner will be final for the purpose of acceptance & closing of the event.

9.0 AUTO REFRESH:

Screen will refresh automatically in every second.

10.0 PROXY BID:

In case Proxy Bid is enabled in any bidding by the Owner, all the bidders shall be in proxy bid mode (Applicable only for Overall Best Price Based Auctions).

- Accordingly, all the vendors quote their minimum bid price. Proxy bid price, initially tallies cum matches the price placed by other bidders and later places the bid on behalf of the bidder who has placed lowest bid with a minimum one-bid decrement lower than the next higher bid on the system.

- In cases where proxy bid facility is used, bid of the vendor who first placed the proxy bid would be accepted and the bid of the other bidders would not be accepted by the system with a message that your bid is outbid.
- This is a secured feature and no one except the bidder who has entered the price knows the proxy bid floor price.

  This is a recommended feature to avoid problems causing inability to place the bid due to failure or delays in net connectivity.

11.0 CLOSURE OF AUCTION:

The Auction will be declared closed / concluded, when no bid is received in the last X minutes either during the set Auction time or during the Auto extension period.

12.0 PRICE BREAK UP:

After conclusion of the reverse auction event, successful bidder shall submit item wise price break up for all the items to NTPC in the prescribed format / price break up sheet within 48 hours of conclusion of the R.A.

Item wise price breakup will be apportionment of the % discount of the R.A. over the original items rate quoted in the price bid only.

The bidder shall not be allowed or permitted to increase the item rate of any item earlier indicated.

13.0 NET CONNECTIVITY:

In case of problem with net connection at the time of auction, Bidder should immediately contact NTPC, to take further action on the same. However, this kind of request would not be accepted in last "X" minutes (i.e. Auto extended duration) of the auction.

14.0 FLASH MESSAGES:

The flash messages are displayed during and between the auction sessions.

15.0 WEIGHTAGE FACTOR:

Shall be incorporated in the System before start of the event, this factor is the effect of financial implication arising out of:

- The deviation taken by the Bidder in his Bid
- Technical and commercial loading on the Bid by the Owner.
- Weightage factor being loading factor of the respective bidder for technical/ commercial deviation in its bid.

➢ The auction bid of the bidder will be automatically updated by Weightage factor for the purpose of display.

16.0 OPENING BID PRICE AND BID DECREMENTS:

The opening bid price and bid decrement amount will be intimated at the start of the bidding process. The process of sending the details shall be on-line messages.

17.0 CHECK POINTS FOR BIDDER TO PARTICIPATE IN REAL TIME AUCTION:

- ✓ Valid Login ID and Password for SRM website
- ✓ Check the details of Reverse Auction items / package.
- ✓ Undergone the vendor training
- ✓ Understand the rules of Reverse Auction.
- ✓ Opening price, duration, and bid decrement of the reverse auction, as communicated.

electronic tendering
e-procurement (SRM)

Volume-I
Section-IV

standard Formats , Certificates, check lists .. "e"_ tendering

ANNEXURES

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Bid Form 1

EMD BID SUBMISSION FORM

(To be submitted in Envelope 1 with EMD)

Ref No. …… Date ……..

To,
…….
……. Power Station
NTPC Limited,
……
…….

Dear Sirs,

We have read and examined the bid documents in respect of NIT no. **……** relating to **…….. …….. ……..** Package.

We hereby submit our bid as outlined in your bidding document.

- We hereby confirm our acceptance and compliance to the provisions and terms and conditions contained in the bidding documents. We declare that the work will be executed strictly in accordance with the requirement.

- We hereby confirm that we have read the provisions of bidding documents alongwith its subsequent Amendment(s) / Clarification(s) / Addenda/Errata and further confirm that our Bids (i.e. both Techno-Commercial Bid and Price Bid) are strictly in conformity with the provisions of the Bidding Documents including its Amendments/ Clarifications / Errata / Revisions thereof and we have not taken any deviation to any of the provisions of the aforesaid bidding documents.

- We understand that in case the Products and/or Services offered do not meet the Technical requirements, then our bid shall be rejected as Technically non-responsive.

  We also confirm that in case we refuse to withdraw additional conditions/deviations/variations/exception, implicit or explicit, found anywhere in the techno-commercial bid, our bid shall be rejected as Technically non-responsive.

  We further confirm that if any deviation/variation in any form is found in our Price Bid, the EMD shall be forfeited.

- Further, we agree that the entire work shall be performed as per the Technical Specifications and the provisions of bidding documents.

- We hereby confirm that our Techno-Commercial Bid does not contain any Price content entry.

- Further, we confirm that our Price Bid does not contain any matter in respect of Technical and / or Commercial aspects other than the details specifically sought in the price Bid.

- Our proposal shall remain valid for acceptance for a period of 180 days from the date of opening of the 'Technical & Commercial Bid' by NTPC.

- We confirm that the prices quoted by us are firm and shall not be subject to any variation for the entire period of the contract. We confirm that the prices quoted by us in the 'Price Bid' include all taxes, duties and levies payable by us.

- We hereby furnish our 'EMD' comprising the following as per prescribed format by way of BG/DD/BC/E-payment receipt no. …….. dated …… for Rs. …… issued by ……..

- We hereby enclose the Authority to sign the bid.

- We hereby enclose the EFT form duly filled and certified by Bank alongwith cancelled cheque.

- Our 'Technical and Commercial Bid' and 'Price Bid' are being submitted as per provisions of the tender documents.

Yours truly,

Date …….. Signature.....

Place …….. Name ……

Designation ……

Name of Bidder ……..

Seal

Bid Form 2

TECHNICAL AND COMMERCIAL BID SUBMISSION FORM

(To be submitted in Envelope 2 with QR)

Ref No. …… Date ……..

To,
AGM (CM)
NTPC Limited,
6th Floor, EOC,
Plot A-8A, Sector-24
Noida201301

Dear Sir,

We hereby submit the following as part of our 'Technical and Commercial Bid' as per prescribed formats:

i. Annexure 12 : Details pertaining to Qualification of Bidder

ii. Annexure 05: EFT form duly filled and certified by Bank alongwith cancelled cheque.

Yours truly,

Date ……..

Place ……..

Signature.....

Name ……

Designation ……

Name of Bidder ……..

Seal

Annexure 01

CERTIFICATE FOR COMPLIANCE

TO

ALL PROVISIONS OF BIDDING DOCUMENTS

(Certificate of "NIL" Deviation)

Towards

COMPLIANT BID

(to be accepted on the system)

Through Button or a Tab

To,
…….
……. Power Station
NTPC Limited,
……

……

Ref: Tender No. ……. dated ….. for "……" Package

Dear Sir,

1. With reference to our Bid submitted against the tender, we hereby confirm that we comply with all terms, conditions and specifications of the Bidding Documents read in conjunction with Amendment(s) / Clarification(s) / Addenda/Errata (if any) issued by the Employer prior to opening of Techno-Commercial Bids and the same has been taken into consideration while making our Techno-Commercial Bid & Price Bid and we declare that we have not taken any deviation in this regard.

2. We understand that in case the Products and/or Services offered do not meet the Technical requirements, then our bid shall be rejected as Technically non-responsive.

   We also confirm that in case we refuse to withdraw additional conditions/deviations/variations/exception, implicit or explicit, found anywhere in the techno-commercial bid, our bid shall be rejected as Technically non-responsive.

   We further confirm that if any deviation/variation in any form is found in our Price Bid, the EMD shall be forfeited.

(Acceptance to be given On Line on the system)

Annexure 02

FORM OF ACCEPTANCE OF FRAUD PREVENTION POLICY

(to be accepted on the system)

Through

Button or a Tab

To,

To,
…….
……. Power Station
NTPC Limited,
……

…….

Dear Sir,

We have read the contents of the Fraud Prevention Policy of NTPC displayed on its tender website http://www.ntpctender.com and undertake that we along with our associate / collaborator / subcontractors / sub-vendors / consultants / service providers shall strictly abide by the provisions of the Fraud Prevention policy of NTPC.

(Acceptance to be given On Line on the system)

Annexure 3

Manufacturer's Authorization
On the letter head

To:

D.G M. (C&M)
NTPC Limited,

Sub: **Letter of Authorization**

Ref : Notice Inviting Tender No.: ……. dated ……

For ……(Name of the Package)……

Dear Sir,

We hereby confirm that:

a) We are the manufacturers of …….

b) M/s _____(Name of Bidder)_____ are authorized to supply the (se) item (s) to you.

c) They shall supply and provide allied support & subsequent maintenance services during the currency of the contract.

d) We extend our full guarantee and warranty with respect to the Goods offered by the above firm in reply to this NIT and subsequent maintenance, supply of spares & services in the event of award of contract

e) In the event of their failure to perform any of the activities detailed above w.r.t products manufactured & supplied by us. We undertake to arrange to perform the same, without any additional financial implication to NTPC.

Signature : _____

Name : _____

Designation : _____

Company's Name and Seal

Annexure 04

DETAILS OF GSTIN and PAN.

To,

AGM (Corp. Matls)

NTPC Ltd.

Noida

Dear Sir,

The details of our registration in line with the various authorities in line with clause 6.1, 6.2, 6.3 and 6.4 of ITB are as under:

(a) GSTIN

The GSTIN is as under:

GST Number	

Note: Copy of GST registration certificate to be submitted.

(b) PAN number

Our PAN number is as under:

Permanent Account Number	

Note: Copy of card indicating PAN number duly attested by the bidder under his seal and signature to be submitted.

(c) Sales Tax Number

Our Sales Tax numbers are as under:

CST number	
Local Sales Tax number	

Note: Copy of sales tax registration to be enclosed.

Date :

Place :

Signature)..... .

Printed Name) .....

(Designation).....

(Company Seal) .....

Annexure 05

E.F.T.Form

Bidders Name and Address:

To,
NTPC Limited,
Plot A-8A, Sector-24
Noida - 201301

Dear Sirs,

We, hereby authorize the Owner to make all our payments through Electronic Fund Transfer System. The details for facilitating the payments are given below:

(**TO BE FILLED IN CAPITAL LETTERS**)

1. **NAME OF THE BENEFICIARY**

2. ADDRESS

PIN CODE																												

3. TELEPHONE NO. (WITH STD CODE)

4. BANK PARTICULARS

A) BANK NAME

B) BANK TELEPHONE NO. (WITH STD CODE)

C) BRANCH ADDRESS

PIN CODE									

D) BANK FAX NO (WITH STD CODE)

E) BRANCH CODE

F) 9 DIGIT MICR CODE OF THE BANK BRANCH (ENCLOSE COPY OF A CANCELLED CHEQUE)

G) 11 DIGIT IFSC CODE OF THE BANK

H) BANK ACCOUNT NUMBER

I) BANK ACCOUNT TYPE (TICK ONE)

SAVING	**CURRENT**	**LOAN**	**CASH CREDIT**	**OTHERS**

IF OTHERS, SPECIFY

5. PERMANENT ACCOUNT NUMBER (PAN)

6. E-MAIL Address for Intimation regarding release of payments

I/We hereby declare that the particulars given above are correct and complete. If the transaction is delayed or credit is not affected at all for reasons of incomplete or incorrect information, I/We would not hold the Owner responsible

SIGNATURE

DATE

(AUTHORISED SIGNATORY)

Name:

OFFICIAL STAMP

BANK CERTIFICATION:

It is certified that above mentioned beneficiary holds a bank account no……. with our branch and the Bank particulars mentioned above are correct.

DATE

SIGNATURE

(AUTHORISED SIGNATORY)

Authorisation no.: ……

Name:

Encl: Blank Cheque

OFFICIAL STAMP

Annexure 06

PROFORMA OF BANK GUARANTEE FOR BID SECURITY
((To be stamped in accordance with Stamp Act)

Bank Guarantee No……. **Date :**

To,

NTPC Limited,
Plot A 8A, Sector -24
Noida-201 301
Dist. Gautambudh Nagar, Uttar Pradesh

Dear Sirs,

In accordance with your NIT No. …….. dated ……. M/s……(***)……. having its registered/Head Office at ……(hereinafter called the 'Bidder') wish to participate in the said Bid for ……*(name of package)*…..

As an irrevocable Bank Guarantee against Bid Security for an amount of ……(*) …… valid for …… days from ……..(**) ……, is required to be submitted by the Bidder as a condition precedent for participation in the said bid, which amount is liable to be forfeited on the happening of any contingencies mentioned in the Bidding Documents.

We, the ……*[Name and address of the Bank]*…… ……. having our head office at ……(#)……. guarantee and undertake to pay immediately on demand by NTPC Ltd. (hereinafter called 'the Owner') the amount ……..(*)…… (in figures and words) without any reservation, protest, demand and recourse. Any such demand made by the said 'Owner' shall be conclusive and binding on us irrespective of any dispute or difference raised by the Bidder.

This guarantee shall be irrevocable and shall remain valid up to …….(@)……. . If any further extension of this guarantee is required, the same shall be extended to such required period (not exceeding one year) on receiving instructions from M/s ……*[Bidders anme]*…… on whose behalf guarantee is issued.

In witness whereof the Bank, through its authorized officer has set its hand and stamp on this …… Day of ……..20…… at ……

Witness

(1) Signature …… Signature.....

Name …….. Name.....

Official Address …….. Designation.....

Bank's Common Seal.....

Power of Attorney No……..

(2) Signature ……

Name ……..

Official Address ……..

Note:

1. (*) The amount shall be as specified in the NIT/Bidding Documents.
   (**) This shall be the date of opening of bids.
   (***) Write the name and address of the Bidder. In case the bid is submitted by a Joint Venture in terms of Qualifying Requirements, write the name and addresses of all the Joint Venture Partners.
   (#) Complete mailing address of the Head Office of the Bank to be given.
   (@) This date shall be forty five days beyond the validity of bid.

2. The Bank Guarantee shall be from a bank as per provisions of bidding documents.

3. The Stamp Paper of appropriate value shall be as per stamp act purchased in the name of the Bidder/Bank issuing the guarantee.

4. While getting the Bank Guarantee issued, Bidders are required to ensure compliance to the points mentioned in the Bank Guarantee Verification Check List in the bidding documents. Bidders are required to fill up this check List and enclose the same along with the Bank Guarantee.

Annexure-07

FORM OF EXTENSION OF BANK GUARANTEE

(On Non-judicial stamp paper of same value on which original BG was executed)

Ref. No.: Date:

To,

NTPC Limited,
Plot A 8A, Sector -24
Noida-201 301
Dist. Gautambudh Nagar, Uttar Pradesh

Dear Sirs,

Subject: Extension of Bank Guarantee No. _____ dated _____ for _____*[indicate value of bank guarantee* _____ favouring yourselves expiring on _____ on account of M/s ……*(Name of Bidder)*…… in respect of Contract for _____*(Insert Package name)* _____, (hereinafter called original Bank Guarantee)

At the request of M/s _____ we _____ Bank branch office at _____ and having its Head Office at _____ do hereby extend our liability under the above mentioned Guarantee No. _____ dated _____ for a further period of _____ year/months from _____ to expire on _____.

Except as provided above, all other terms and conditions of original Bank Guarantee No. _____ dated _____ shall remain unaltered and binding.

Please treat this as an integral part of the original guarantee to which it would be deemed to have been attached.

Signature …….

Name …….

Designation …….

Authorised Vide

Power of Attorney No.....

Dated _____ **SEAL OF BANK**

Annexure-08

LIST OF BANKS WHOSE BANK GUARANTEE IS ACCEPTABLE FOR BID SECURITY/ EMD/CPG

Updated scheduled commercial bank list as on 04.11.2016

A SBI AND ASSOCIATES

1. State Bank of India
2. State Bank of Bikaner & Jaipur
3. State Bank of Hyderabad
4. State Bank of Mysore
5. State Bank of Patiala
6. State Bank of Travancore

B NATIONALISED BANKS

1. Allahabad Bank
2. Andhra Bank
3. Bank of India
4. Bank of Maharashtra
5. Canara Bank
6. Central Bank of India
7. Corporation Bank
8. Dena Bank
9. Indian Bank
10. Indian Overseas Bank
11. Oriental Bank of Commerce
12. Punjab National Bank
13. Punjab & Sind Bank

14. Syndicate Bank

15. Union Bank of India

16. United Bank of India

17. UCO Bank

18. Vijaya Bank

19. Bank of Baroda

20. Bhartiya Mahila Bank

C SCHEDULED PRIVATE BANKS (INDIAN BANKS)

1. Catholic Syrian Bank

2. City Union Bank

3. Dhanlaxmi Bank Ltd.

4. Federal Bank Ltd

5. Jammu & Kashmir Bank Ltd

6. Karnataka Bank Ltd

7. Karur Vysya Bank Ltd

8. Lakshmi Vilas Bank Ltd

9. Nainital Bank Ltd

10. Kotak Mahindra Bank

11. RBL Bank Limited

12. South Indian Bank Ltd

13. Tamilnad Mercantile Bank Ltd

14. ING Vysya Bank Ltd

15. Axis Bank Ltd.

16. IndusInd Bank Ltd

17. ICICI Bank

18. HDFC Bank Ltd.

19. DCB Bank Ltd

20. Yes Bank Ltd

21. IDFC Bank Limited

22. Bandhan Bank Limited

D SCHEDULED PRIVATE BANKS (FOREIGN BANKS)

1. Abu Dhabi Commercial Bank Ltd

2. Bank of America NA

3. Bank of Bahrain & Kuwait B.S.C.

4. Mashreq Bank p.s.c.

5. Bank of Nova Scotia

6. Crédit Agricole Corporate and Investment Bank

7. BNP Paribas

8. Barclays Bank

9. Citi Bank N.A.

10. Deutsche Bank A.G.

11. The HongKong Shangai Banking Corporation Ltd

12. Societe Generale

13. Sonali Bank Ltd.

14. Standard Chartered Bank

15. J.P. Morgan Chase Bank, National Association

16. State Bank of Mauritius Ltd.

17. DBS Bank Ltd.

18. Bank of Ceylon

19. PT Bank Maybank Indonesia TBK

20. A B Bank

21. Shinhan Bank.

22. CTBC Bank Co. Ltd.

23. Mizuho Bank Ltd

24. Krung Thai Bank Public Company Ltd.

25. KBC Bank N.V.

26. The Bank of Tokyo-Mitsubishi UFJ Limited.

27. Austalia & Newzealand Banking Group Limited

28. Sumitomo Mitsui Banking Corporation

29. American Express Banking Corporation

30. CommonWealth Bank of Australia

31. Credit Suisse A.G.

32. FirstRand Bank Ltd.

33. Industrial & Commercial Bank of China Ltd.

34. JSC VTB Bank

35. National Australia Bank

36. Cooperatieve Centrale Raiffeisen-Boerenleenbank B.A

37. Sberbank

38. United Overseas Bank Ltd.

39. Westpac Banking Corporation

40. Woori Bank

41. The Royal Bank of Scotland N.V.

42. Doha Bank Qsc

43. Industrial Bank of Korea

44. KEB Hana Bank

45. National Bank of Abu Dhabi PJSC

E OTHER PUBLIC SECTOR BANKS

1. IDBI Bank Ltd

Annexure 09

PROFORMA FOR BANK GUARANTEE FOR CONTRACT PERFORMANCE

((To be stamped in accordance with Stamp Act)

Bank Guarantee No……. **Date :**

To,

NTPC Limited,
Plot A 8A, Sector -24
Noida-201 301
Dist. Gautambudh Nagar, Uttar Pradesh

Dear Sirs,

In consideration of the NTPC Ltd., (hereinafter referred to as the 'Purchaser' which expression shall unless repugnant to the context or meaning thereof include its successors, administrators and assigns) having awarded to M/s …….. with its Registered/Head Office at …….. (hereinafter referred to as the 'Seller' which expression shall unless repugnant to the context or meaning thereof, includes its successors, administrators, executors & assigns) a Contract by issue of Purchaser's Purchase Order No. …….. dated …….. and the same having been unequivocally accepted by the seller resulting in a 'Contract' valued at …….. for …….. (scope of work/contract) and the seller having agreed to provide a contract performance guarantee of the faithful performance of the entire contract equivalent to ten percent (10%) of the said value of the contract to the purchaser.

We, ……(Name & Address of Bank)…….. having our Head Office at …….. (hereinafter referred to as the 'Bank' which expression shall unless repugnant to the context or meaning thereof, include its successors, administrators, executors & assigns), do hereby guarantee and undertake to pay the Purchaser, on demand any and all monies payable by the Seller to the extent of …….. as aforesaid at any time up to …….. (*) without any demur, reservation contest, recourse, or protest and/or without any reference to the Seller. Any such demand made by the Purchaser on the Bank shall be conclusive and binding notwithstanding any difference between the Purchaser and Seller or any dispute pending before any court Tribunal, Arbitrator or any other Authority. The bank undertakes not to revoke this guarantee during its currency without previous consent of the purchaser and further agrees that this guarantee herein contained shall continue to be enforceable till the purchaser discharges this guarantee.

The Purchaser shall have the fullest liberty without affecting in any way the liability of the Bank under this guarantee, from time to time to extend the time for performance of Contract by the Seller. The Purchaser shall have the fullest liberty, without affecting this guarantee to postpone from time to time the exercise of any powers vested in them or of any right which they might have against the Seller, and to exercise the same at any time in any manner, and either to enforce or to forbear to enforce any covenants, contained or implied in the contract between the Purchaser and the Seller or any other course of remedy or security available to the Purchaser. The Bank shall not be released of its obligations under these presents by any exercise by the Purchaser of its liberty with reference to the matters aforesaid or any of them or by reason of any other act or forbearance or other acts of omission or

commission on the part of the purchaser or any other indulgence shown by the Purchaser or by any other matter or thing whatsoever which under law would, but for this provision, have the effect of relieving the Bank.

The Bank also agrees that the purchaser at its option shall be entitled to enforce this guarantee against the bank as a principal debtor, in the first instance without proceeding against the seller and notwithstanding any security or other guarantee that the purchaser may have in relation to the seller's liabilities.

Notwithstanding any thing contained hereinabove our liability under this guarantee is restricted to …….. and it shall remain in force up to and including …… (*)…… and shall be extended from time to time for such period (not exceeding one year), as may be desired by M/s …….. on whose behalf this guarantee has been given.

Dated this …….. day of …… 20…… at ……..

WITNESS

1) SIGNATURE …… SIGNATURE ……..

NAME ……. NAME ……..

OFFICIAL ADDRESS …… DESIGNATION ……..

BANK'S COMMON SEAL

2) SIGNATURE …… ATTORNEY AS PER POWER OF ATTORNEY

NAME …….. NO……

OFFICIAL ADDRESS …… DATE …….

NOTE :

1. (*) The Date will be Three Months beyond the expiry of the warranty period as specified in the order.

2. The Bank Guarantee shall be from a bank as per provisions of bidding documents.

3. While getting the Bank Guarantee issued, Bidders are required to ensure compliance to the points mentioned in the Bank Guarantee Verification Check List in the bidding documents. Bidders are required to fill up this check List and enclose the same alongwith the Bank Guarantee.

4. The Stamp paper of appropriate value shall be purchased in the name of guarantee issuing bank or the party on whose behalf the BG is being issued. The Bank Guarantee shall be issued on non-judicial Stamp paper of appropriate value as per Stamp act prevailing in the States where the BG is to be submitted or is to be acted upon or the rate prevailing in the state where the BG is executed, whichever is higher.

Annexure-10

BANK GUARANTEE VERIFICATION CHECK LIST

(To be submitted in Envelope 1)

1. Bank Guarantee No. & Date : ……

2. Name of Issuing Bank : ……

3. Amount of BG : ……

4. Nature of BG & No. of Pages : ……

5. Validity of BG : ……

6. Vendor Reference : ……

Name ……

Address ……

Telephone ……

Fax ……

Email ……

7. Bank Reference

Name ……

Address ……

Telephone ……

Fax ……

Email ……

Sl. No.	*Details of Checks*	Yes/No
1.	Is the BG on Non-judicial stamp paper of appropriate value, as per Stamp Act?	
2.	Whether date, purpose of purchase of stamp paper and name of the purchaser are indicated on the back of stamp paper under the Signature of Stamp Vendor? (The date of purchase of stamp paper should be not later than the date of execution of BG and the stamp paper should be purchased either in the name of the executing Bank or the Bidder on whose behalf the BG has been issued. Also, the stamp paper should not be older than six months from the date of execution of BG).	
3.	In case of BGs from Banks abroad, has the BG been executed on Letter Head of the Bank.	
4.	Has the executing officer of BG indicated his name, designation and Power of Attorney No. / Signing Power No., on the BG?	
5.	Is each page of BG duly signed / initialed by executant and whether stamp of Bank is affixed thereon?	
6.	Whether the last page is signed with full particulars including two witness under seal of Bank as required in the prescribed proforma?	
7.	Does the Bank Guarantee compare verbatim with the Proforma prescribed in the Bidding Documents?	
8.	Are the factual details such as Bidding Documents No. / Specification No., Amount of BG, validity of BG correctly mentioned in the BG?	
9.	Whether overwriting / cutting, if any on the BG have been properly authenticated under signature & seal of executants?	
10.	Whether BG has been issued by a Bank in line with the provisions of Bidding Documents?	
11.	In case BG has been issued by a Bank other than those specified in Bidding Document, is the BG confirmed by a Bank in India acceptable as per Bidding Document?	

Signature of Bidder…….

Name ……..

Designation ……..

Seal ……..

Annexure 11

DECLARATION ON BANNING POLICY

(To be accepted on the system under attributes)

Through Button or a Tab

To

AGM(Corp. Matls)

NTPC Limited

NOIDA - 201 301

1) We have read the contents of the Banning Policy of NTPC displayed on its tender website http://www.ntpctender.com and agree to abide by this policy. Further, in terms of requirement under Banning policy we hereby declare the following:

   a) We have not been Banned/Blacklisted as on date of submission of bid by Ministry of Power or Government of India.

   b) We have not employed any public servant dismissed/removed or person convicted for an offence involving corruption or abetment of such offences.

   c) Our Director(s)/Owner(s)/Proprietor/Partner(s) have not been convicted by any court of law for offences involving corrupt and fraudulent practices including moral turpitude in relation to business dealings with Government of India or NTPC or NTPC's group companies during the last five years.

2) We further declare as under:

   that if at any point subsequent to award of Contract, the declarations given above are found to be incorrect, NTPC Limited shall have the full right to terminate the Contract and take any action as per applicable laws for breach of contract including forfeiture of Bid Security/Performance Bank Guarantee.

(Acceptance to be given On Line on the system under 'Attributes')

Annexure 12

Summary of Details & Documents in Support of QR

Bidder's Name & Address

To,

AGM(Corp. Matls)
NTPC Limited
NOIDA - 201 301

In order to meet the Qualifying Requirement of NIT, we submit as under:

<table>
<tr><th>Sl. Of NIT</th><th>QR Stipulation as in NIT</th><th>Meet (Yes/No)</th><th colspan="5">Brief Details alongwith Supporting Document</th></tr>
<tr><td rowspan="2">1.0</td><td rowspan="2"></td><td rowspan="2"></td><td>Name of Client (Name and address)</td><td>LOA/Purchase Order no. and date</td><td>Award Value of LOA/Purchase Order (Rs.)</td><td>Value of work executed (Rs.)</td><td>Period of execution</td></tr>
<tr><td></td><td></td><td></td><td></td><td></td></tr>
<tr><td>2.0</td><td></td><td></td><td></td><td></td><td></td><td></td><td></td></tr>
<tr><td rowspan="5">3.0</td><td rowspan="5"></td><td rowspan="5"></td><td colspan="5">Brief Details along with Supporting Document</td></tr>
<tr><td colspan="2">Period</td><td colspan="3">Turnover (Rs.)</td></tr>
<tr><td colspan="2">2013 - 2014</td><td colspan="3"></td></tr>
<tr><td colspan="2">2014 – 2015</td><td colspan="3"></td></tr>
<tr><td colspan="2">2015 -2016</td><td colspan="3"></td></tr>
<tr><td colspan="2">Average Annual Turnover for the preceding three (3) financial years</td><td colspan="3"></td></tr>
</table>

Note: Bidder must all requisite documents in support of their meeting the QR including those detailed in the SPC.

Date: ……

Place : ……

(Signature).....
(Duly authorised to sign the tender on behalf of the Contractor)
(Printed Name) .....
(Designation).....
(Name of Contractor).....
(Company Seal) .....

(Name of Bidder).....

(Company Seal) .....

ELECTRONIC TENDERING

e- PROCUREMENT (SRM)

VOLUME-II

SECTION- I

Special Purchase Condition.. "e"-Tendering

SPECIAL PURCHASE / CONTRACT CONDITIONS (SPC / SCC) (the conditions in this section will supersede any other related conditions anywhere else in this tender document)

Every UNIT/ Project / Plant / Office, as per the requirement, on case to case basis for purchase / contracts shall prepare the SPC / SCC for inclusion in the Tender Document.

1. TYPE OF BIDDING:

a. Composite Bid with or without Reverse Auction

b. Single stage Two Envelope bidding with or without Reverse Auction

2.0 REVERSE AUCTION RULES:

In case Reverse Auction is applicable Same are indicated in SRM Bid invitation.

3.0 EARNEST MONEY DEPOSIT (EMD):

The Bidder shall furnish, as a part of his Bid a Bid Security in the amount of ……../- (Rupees ……..s only) in a separate envelope, super scribed on the top as under,

Tender No. ……
Due Date of Bid Opening ……. (Date of Bid Opening)
From …… (Name of the Bidder).”

IN case of Bank Guarantee, the same should be valid for …… days from the date of Bid Opening)

Or

In case of DD … same should be payable at ……..

3.1 SUBMISSION OF EMD & OTHER DOCUMENTS OFF LINE:

The bidders are requested to send following documents in sealed envelopes well in advance so as to be received by the respective officer before the scheduled date of submission / opening of bids as described in the time schedule in notice inviting tender failing which bid is liable for rejection.

- EMD
- Documentary Proof of being an MSE (if applicable)
- GCC confirmations

NTPC shall not be liable for loss/non-receipt/late receipt of EMD in postal transit. However, the copies of the EMD details shall be uploaded, in case of vendors who are exempted from submitting EMD; the necessary documents shall be uploaded.

4.0 VALIDITY OF OFFER:

…….. Days from date of Bid opening.

5.0 BID TO BE ADDRESSED TO:

……. Detailed address & Details of the coordinator.

6.0 PRICE BASIS:

Package Specific
The price quoted should be
a. FOR NTPC Various Stations /Projects and offices inclusive of all taxes and duties including GST.
b. …….
c. …….

7.0 EVALUATION CRITERIA:

a. Overall Package Evaluation.

b. Item Wise Evaluation.

c. Other Criteria... if any like Insurance, Freight, and Taxes & Duties….

For the purpose of evaluation and comparison of bids the purchaser shall consider the following:

- BID Price shall mean the total price in his BID PROPOSAL SHEET for complete Scope of Work.
- Cost Compensation on account of withdrawal of Deviation / Exclusion Statement Volume-IV
- The overall evaluated cost arrived at in this manner shall be taken for cost comparison and final evaluation.
- In case the evaluated price for more than one bidder is same, then the bid with lowest evaluated cost for supply portion shall be considered for award.
- The evaluation criteria over-rides all other similar related clauses appearing anywhere in the bid documents, and such clauses are deemed to have been modified to the extent stipulated above.

8.0 TECHNICAL EVALUATION AND COMPARISON OF BIDS:

As per package … requirements

Or

As per provisions stated in the Technical Specification to this tender documents

9.0 PAYMENT TERMS:

As per package … requirements

Or

As per provisions stated in the Technical Specification to this tender documents.

10.0 CONTRACT PERIOD:

As per package … requirements

Or

As per provisions stated in the Technical Specification to this tender documents

10.1 SUPPLY PERIOD:

As per package … requirements

Or

As per provisions stated in the Technical Specification to this tender documents

11.0 QUANTITY VARIATION:

As per package … requirements

12.0 DELIVERY SCHEDULE:

As per package … requirements

13.0 FREIGHT:

The material is to be supplied directly to the different locations/sites as indicated in the bid documents technical specifications.

The bidders are requested to include the freight for the various locations in the prices quoted i.e. quote on FOR Site basis.

14.0 INSPECTION:

As per package … requirements

Or

As per provisions stated in the Technical Specification to this tender documents

15.0 WARRANTY:

As per package … requirements

Or

As per provisions stated in the Technical Specification to this tender documents.

16.0 TAXATION & GST:

Purchaser to confirm C-form should be issued or not.

17.0 QR & DOCUMENTATION:

In case of Open Tender Documents required in support of fulfillment of QR

18.0 PERFORMANCE BANK GUARANTEE / CONTRACT PERFORMANCE GUARANTEE PBG/ CPG):

The successful Bidder shall furnish a contract performance guarantee against this rate contract towards Manufacturing Defects/Poor Performance/ Poor Workmanship.

…….. Package specific……

19.0 JURISDICTION OF COURT FOR SETTLEMENT OF DISPUTES:

20.0 INTEGRITY PACT:

Applicable / not applicable

(If Applicable appropriate condition to be incorporated as per Corporate Centre guidelines / Circulars)

21.0 ANY OTHER CONDITION:

As per package … requirements…

22.0 CONTACT PERSONS:

Address: ----------

Telephone: ----------

Fax: ----------

E mail ID: ----------

ELECTRONIC TENDERING

e- PROCUREMENT (SRM)

VOLUME-III

SECTION- I

Technical Specification & Scope of Work

As provided by the indentor in the Purchase Requisition

ELECTRONIC TENDERING

e- PROCUREMENT (SRM)

VOLUME-III

SECTION- II

Bill of Quantity & Data Sheet

To be created in PR online during replication of PR in SRM

BID DOCUMENTS & PROFORMA (GePNIC)

NTPC LIMITED

(A Government of India Enterprise)

VOLUME I

SECTION – I

INSTRUCTION TO BIDDERS

Sl. no	Index
1	Introduction
2	General Information
3	Content of Bidding Documents
4	Benefits To MSEs
5	Cost of Bidding
6	Clarification on Bidding Documents
7	Corrigendum/ Amendment to Bidding Documents
8	Language of Bid
9	Bid Proposal
10	Documents Comprising the Bid
11	Bid Prices
12	Price Basis
13	Bid Currencies
14	Bid Security / Earnest Money Deposit (EMD)
15	Confirmation of BGs through Structured Financial Messaging System (SFMS)/SWIFT
16	Ineligibility For Future Tenders
17	Period of Validity of Bids (Techno-Commercial Bid and Price Bid)
18	Nil Deviation
19	Format and Signing of Bid
20	Submission of Bids
20.1	Physical bid
20.1.1	Earnest Money Deposit etc.
20.2	on-line
20.2.1	Techno-Commercial Bid
20.2.2	Price Bid
21.0	Deadline for Submission of Bids
22.0	Modification and Withdrawal of Bids
23.0	Opening of Bids
24	Clarification on Bids
25	Preliminary Examination Of Techno-Commercial Bids
26	Qualification
27	Evaluation Of Techno-Commercial Bids
28	Preliminary Examination Of Price Bid
29	Discrepancies In Bid
30	Evaluation Criteria
31	Evaluation Of Bids
32	Contacting The Employer
33	Employer's Right To Accept Any Bid And To Reject Any Or All Bids
34	Award Criteria
35	Construction of Contract
36	Notification of Award
37	Corrupt or Fraudulent Practices
38	Fraud Prevention Policy
39	Banning Policy
40	Integrity Pact
41	Indian Agents

<table>
<tr><td>1.0</td><td colspan="2">NTPC Limited, a Govt. of India Enterprise referred to herein as ‘the Employer’, intends to engage an agency for supply of Goods and related Services as per specifications, Scope of Work as detailed in the Bidding documents.</td></tr>
<tr><td>2.0</td><td>General Information</td><td>The prospective Bidders are invited to submit a “Technical & Commercial Bid” and “Price Bid” for the package. Methodology for submission of Bid has been detailed hereunder in this document.</td></tr>
<tr><td>3.0</td><td>Content of Bidding Documents</td><td>The items and services required, bidding procedures, order/contract terms and technical requirements are prescribed in the bidding documents.

The bidding documents include the following sections:

<table>
<tr><td>NIT</td><td>Notice Inviting Tender (NIT)/Tender Enquiry/Invitation for Bid(IFB)</td></tr>
<tr><td>Volume-I, Section-I</td><td>Instruction to bidder (ITB)</td></tr>
<tr><td>Volume-I, Section-II</td><td>General Purchase Conditions (GPC)</td></tr>
<tr><td>Volume-I, Section-III</td><td>Process & Procedures for Reverse Auction</td></tr>
<tr><td>Volume-I, Section-IV</td><td>Standard formats & Check lists etc.</td></tr>
<tr><td>Volume-II, Section-I</td><td>Special Purchase Conditions (SPC)</td></tr>
<tr><td>Volume-II, Section-I</td><td>Special Purchase Conditions for Reverse Auction</td></tr>
<tr><td>Volume-III</td><td>Technical specifications & Scope of work</td></tr>
<tr><td>Bill of Quantity</td><td>Bill of Quantity (BOQ)</td></tr>
</table>

The Bidder is expected to examine all instructions, forms, terms, conditions, specifications and other information in the bidding documents. Failure to furnish all information required as per the bidding documents or submission of a bid not substantially responsive to the bidding documents in every respect will be at the Bidder’s risk and may result in rejection of its bid.</td></tr>
<tr><td>4.0</td><td>Benefits To MSEs</td><td>Micro and Small Enterprises (MSEs) registered with District Industries Centres or Khadi and Village Industries Commission or Khadi and Village Industries Board or Coir Board or National Small Industries</td></tr>
</table>

		Corporation or Directorate of Handicrafts and Handloom or any other body specified by Ministry of Micro, Small and Medium Enterprises as per MSMED Act 2006,for goods produced and services rendered, shall be issued the bid documents free of cost and shall be exempted from paying Earnest Money Deposit. Further, in case of tenders where splitting of quantity is possible, participating MSEs quoting price within price band of L1 + 15 percent shall also be allowed to supply a portion of requirement by bringing down their price to L1 price in a situation where L1 price is from someone other than a Micro and Small Enterprise and such Micro and Small Enterprise shall be allowed to supply up to 20 percent of total tendered value. In case of more than one such MSE, the supply will be shared proportionately (to tendered quantity). However, in case of tenders where splitting of quantity is not possible, participating MSEs quoting price within price band of L1 + 15 percent shall be allowed to execute the package by bringing down their price to L1 price in a situation where L1 price is from someone other than a Micro and Small Enterprise. The award shall be made as follows: 2.1 Award shall be given to L1 bidder if L1 bidder is a MSE. 2.2 In case L1 bidder is not a MSE, then all the MSE vendor(s) who have quoted within the range of L1 + 15%, shall be given the opportunity in order of their ranking (starting with the lowest quoted MSE bidder and so on) to bring down its price to match with L1 bidder. Award shall be placed on the MSE vendor who matches the price quoted by L1 bidder. 2.3 If no MSE vendor who has quoted within range of L1 + 15% accepts the price of L1 bidder then the award shall be made to the L1 bidder. The benefit as above to MSEs shall be available only for Goods/Services produced & provided by MSEs. MSEs seeking exemption and benefits should enclose a attested/self-certified copy of registration certificate as a part of his bid, giving details such as stores/services, validity (if applicable) etc. failing which they run the risk of their bid being passed over as ineligible for the benefits applicable to MSEs. **Note:** *Generally, in tenders having Itemwise evaluation, splitting is allowed unless otherwise specified in the Special Purchase Conditions (SPC). Further, in tenders having Packagewise evaluation generally splitting is not allowed. Please refer Special Purchase Condition for specific tender provisions*.

5.0	**Cost of Bidding**	The Bidder shall bear all costs associated with the preparation and submission of its bid, and the Employer will in no case be responsible or liable for these costs, regardless of the conduct or outcome of the bidding process.
6.0	**Clarification on Bidding Documents**	A prospective Bidder requiring any clarification of the Bidding Document shall put the query under Clarification tab of the on-line bid at least three days prior to the clarification end date. EMPLOYER will respond to any request for clarification or modification of the bidding documents that it receives within the time line specified. EMPLOYER will post the Clarifications under Clarification tab at e-tender website. Bidders can view these clarifications. Bidders are advised to regularly check under Clarification tab regarding posting of clarification, if any. Bidders must check the Clarifications issued before submission of Bid. Should the Employer deem it necessary to amend the Bidding Document as a result of a clarification, it shall do so and upload the amendments in the tender on the e-tender portal.
7.0	**Corrigendum / Amendment to Bidding Documents**	At any time prior to the deadline for submission of bids, EMPLOYER may, for any reason, whether at its own initiative, or in response to a clarification requested by a prospective Bidder, amend the bidding documents. The corrigendum's/amendment's will be posted in the tender on the e-tender portal for viewing by the Bidder. The amendments will be binding on Bidders and it will be assumed that the information contained therein will have been taken into account by the Bidder in its bid. Bidders are advised to regularly check the tender regarding posting of Amendments, if any. To give prospective Bidders reasonable time to take the amendment into account in preparing their bid, EMPLOYER may, at its discretion, extend the deadline for the submission of bids.
8.0	**Language of Bid**	The Bid, as well as all correspondence and documents relating to the Bid exchanged by the Bidder and the Employer, shall be written in English language. Supporting documents and printed literature that are part of the Bid may be in another language provided they are accompanied by an accurate translation of the relevant passages in English. In such case for purposes of interpretation of the Bid such translation shall govern.

9.0	**Bid Proposal**	Bid shall be complete in all respects and shall be submitted with requisite information and Attachments. It shall be free from any ambiguity. For preparation of Bids, Bidders are expected to go through the complete bidding documents carefully. Material deficiencies in providing the information requested may result in rejection of the Bid.
10.0	**Documents Comprising the Bid**	The Bid shall comprise of following components: (a) Tender Fee, if applicable (b) Earnest Money Deposit, if applicable (c) Integrity Pact, if applicable (d) Authority/Power of Attorney to sign the bid (e) Acceptance of General Technical Evaluation, if applicable (f) Documentary evidence in support of establishing the Bidder meeting the Qualifying Requirements (QR) (f) Conformity to the Technical Specifications & Scope of Work (h) EFT Form, Registration details etc. (i) Priced Bill of Quantity (BOQ) (j) Any other details required in the Bid Document.
11.0	**Bid Prices**	Bidders shall quote such that the bid price covers all the Supplier's obligations mentioned in or to be reasonably inferred from the bidding documents including all requirements in accordance with the requirements of the Technical Specifications & Scope of Work including testing etc. Bidders are required to quote the price for the commercial, contractual and technical obligations outlined in the bidding documents. Bidders shall give a breakdown of the prices in the manner and detail called for in the Bill of Quantity (BOQ).
12.0	**Price Basis**	Bidders are required to quote price on the price basis stipulated in the SPC.
13.0	**Bid Currencies**	All prices to be quoted by the bidders will be in Indian Rupees only, unless otherwise mentioned in the Special Purchase Conditions, on **FIRM** price basis and to remain valid during the currency of the Contract.

14.0	**Earnest Money Deposit /Bid Security (EMD)**	
	14.1	The Bidder shall furnish, as part of its Bid, a Earnest Money Deposit (EMD) in a sealed envelope in the amount and currency as stipulated in the NIT/Tender Enquiry/Special Purchase Conditions.
	14.2	The Earnest Money Deposit (EMD) shall, at Bidders option, be in the form of 1) Demand draft drawn in favour of NTPC Ltd. Payable at the Station inviting tender as specified in SPECIAL PURCHASE CONDITIONS (SPC) to this bidding document **OR** 2) Banker's cheque drawn in favour of NTPC Ltd. Payable at the Station inviting tender as specified in SPECIAL PURCHASE CONDITIONS (SPC) to this bidding document **OR** 3) a Bank Guarantee from any of the banks specified in the bidding documents provided the required EMD amount is more than ₹20,000/- (Rupees Twenty thousand only) **OR** 4) E-Payment by Credit Card/Debit card/Net Banking on the NTPC e-tender portal. The format of Bid Guarantee (BG) towards EMD shall be in accordance with the form of EMD included in the bidding documents. The BG towards EMD shall remain valid for a period of forty-five (45) days beyond the original Bid validity period or beyond any extension in the period of Bid validity subsequently requested. In case of E-Payment , upon successful E-payment on the portal, a e-receipt shall be issued to the bidder by the system, a copy of which is to be submitted by the bidder with the bid as document towards e-payment of EMD.
	14.3	The EMD (in case submitted by way of DD/BC/BG) in Original shall be submitted in a sealed envelope before the stipulated bid submission closing date and time. In case of E-payment, copy of e-receipt shall be submitted in a sealed envelope before the stipulated bid submission closing date and time. In case acceptable EMD is not received then online Bid shall be rejected

		by EMPLOYER as being non-responsive and shall not be opened.
	14.4	In case of Two Stage bidding process, the EMD (in case of Stage-I (Techno-Commercial Bid) and extension of EMD (in case of Stage-II (Price Bid) shall be furnished in a sealed envelope.
	14.5	Further Stage-II (Price Bid) (in case of Two Stage bidding) not accompanied by requisite EMD extension (in case EMD submitted by way of BG) in a sealed envelope shall be rejected by the Employer as being non-responsive and the online Bid shall be rejected by EMPLOYER and off-line bid returned to the Bidders.
	14.6	In case of Single Stage Single Envelope bidding process, the EMD of the unsuccessful Bidders shall be returned immediately after placement of award on the successful bidder. In case of Single Stage Two Envelope and Two Stage bidding process, the EMD of the Bidders whose Techno-commercial Bid has not been found acceptable, shall be returned. The EMD of the Bidders who are unsuccessful after opening of Price Bids shall be returned immediately after placement of award on the successful bidder.
	14.7	The Earnest Money Deposit of the successful Bidder to whom the Purchase Order/Contract is awarded will be returned when the said Bidder has furnished the CPG/Security Deposit, as applicable.
	14.8	The EMD may be forfeited a) If the Bidder withdraws or varies its Bid during the period of Bid validity; b) If the Bidder does not accept the correction of its Bid Price pursuant to ITB Sub Clause 29.0; c) If any deviation, variation, additional condition or any other mention is found anywhere in the Price bid, contrary to the provisions of bidding documents; d) In the case of a successful bidder, if the bidder fails within the specified time limit i) to furnish the acceptance of Letter of Award / Purchase Order/Service Order. ii) to furnish the required Contract Performance Guarantee, if the same is required as per conditions of the P.O / LOA e) If the bidder / his representative commit any fraud while competing for this Purchase Order/contract pursuant to Fraud Prevention Policy of NTPC. f) In case the bidder / contractor is disqualified from the bidding process in terms of section 3 & 4 of Integrity pact.

15.0	**Confirmation of BGs through Structured Financial Messaging System (SFMS)/SWIFT**	While issuing the physical BGs, the Bidder's Bank shall also send electronic message through secure SFMS (in case of BGs issued from within India) or SWIFT (in case of BGs issued from outside India) to Employer's Beneficiary Bank whose details are provided in the Special Purchase Conditions. **Bidders are advised to ensure that the message is sent by their Bankers and the Bidders must submit the reference details as part of the bid with the EMD.**
16.0	**Ineligibility For Future Tenders**	Notwithstanding the provisions regarding forfeiture of Earnest Money Deposit specified above, if a bidder after having been issued the Purchase Order/Contract, either does not accept the Purchase Order/Contract or does not submit an acceptable Performance Security and which results in tender being annulled then such bidder shall be treated ineligible for participation in re-tendering of the particular package.
17.0	**Period of Validity of Bids (Techno-Commercial Bid and Price Bid)**	Bids shall remain valid for a period of 180 days from the closing date prescribed by EMPLOYER for the receipt of bids, unless otherwise specified in Special Purchase Conditions (SPC). A bid valid for a shorter period shall be rejected by EMPLOYER as being non responsive. In exceptional circumstances, EMPLOYER may solicit the Bidder's consent to an extension of the bid validity period. The request and responses thereto shall be made in writing by post or email or by telefax followed by post confirmation. If a Bidder accepts to extend the period of bid validity, the validity of Earnest Money Deposit shall also be suitably extended. A Bidder may refuse the request without forfeiting its Earnest Money Deposit. A Bidder granting the request will not be required nor permitted to modify its bid.
18.0	**Nil Deviation**	**No deviation, whatsoever, is permitted by EMPLOYER to any provision of Bidding Documents.** The Bidders are advised that while making their Bids and quoting prices, all conditions are appropriately taken into consideration. Bidders shall certify their compliance to the complete Bidding Documents as per Certificate at Annexure 01 of Volume I Section IV by accepting the following General Technical Evaluation (GTE) of the Tender: **"Do you certify full compliance to all provisions of Bid Doc?"** In case the Products and/or Services offered do not meet the Technical requirements, the bid shall be rejected as Technically non-responsive.

		Bidders may note that in case the Bidder refuses to withdraw additional conditions/deviations/variations/exception, implicit or explicit, found anywhere in the techno-commercial bid, the bid shall be rejected as Technically non-responsive. Bidders may also note that any deviation/variation in any form in the Price Bid shall result in forfeiture of EMD.
19.0	**Format and Signing of Bid**	The bid including all documents uploaded in the on-line bid shall be digitally certified by a duly authorised representative of the Bidder to bind him to the contract using Class II or Class-III digital signature (in the name of designated individual with Organisation name). The Digital Signature shall be as per Indian IT Act from the licensed Certifying Authorities (CA) operating under the Root Certifying Authority of India (RCAI) namely Controller of Certifying Authorities (CCA) of India. An authorisation letter/power of attorney indicating that the person signing the bid has the authority to sign the bid is to be submitted in Physical form and copy uploaded as part of the Techno-commercial Bid.
20.0	**Submission of Bids**	Bid shall be submitted through e-tender mode in the manner specified elsewhere in bidding document. No Manual/ Hard Copy of the Bid shall be acceptable except those asked for in Physical form.
20.1	**PHYSICAL BID**	
20.1.1	**EARNEST MONEY DEPOSIT etc.**	Unless otherwise specified in the SPC, following Documents to be submitted in physical form (as brought out at ITB clause 14.0) in a sealed envelope duly marked as EARNEST MONEY DEPOSIT with *Tender Reference number, Title, Tender Id and Date of Opening of Bid addressed to the Employer at the address given in the Special Purchase Conditions*: (i) Bid Form 1 (ii) The Earnest Money Deposit (if applicable) in accordance with ITB Clause 14.0 / MSE certificate as per MSMED Act 2006 (if applicable) in accordance with ITB Clause 4.0 (iii) The Tender Fee (if applicable) in accordance with the Tender/ MSE certificate as per MSMED Act 2006 (if applicable) in accordance with ITB Clause 4.0 (iv) The 'Integrity Pact" (if applicable) as per of Annexure 13 of Volume I Section IV duly signed by the signatory authorized to sign the bid (v) Authority/Power of Attorney to sign the bid

		All the above shall be put in one envelope. The envelope shall be addressed to the Employer at the address given in the Special Purchase Conditions and bear the Tender Reference number, Title, Tender Id, Date of Opening of Bid. *These documents will be checked before opening of the on-line Techno-commercial bid and only those bids where valid documents are available will be allowed for opening.* **Bidders are advised to ensure that the above should reach the addressee (Employer) before the last date & Time for submission of Bid as specified in the NIT / Tender.** **NTPC shall not be responsible for any loss or delay in transit of these documents.**
20.2	**ON-LINE**	Bid along with all the documents should be submitted in the electronic form only through e-Tendering system. Any revision or amendment in bid shall be possible only up to the due date and time of submission of tender.
20.2.1	**Techno-Commercial Bid**	
(A)	COVER TYPE – **FEE** *(if Applicable)*	The bidder shall furnish Scanned copy of following: (a) Earnest Money Deposit (if applicable) (b) Tender Fee (if applicable)
(B)	COVER TYPE – **TECHNICAL**	**(A)** The bidder shall furnish documentary evidence in support of meeting the Qualifying Requirements if stipulated in the Notice Inviting Tender (NIT) and Special Purchase Conditions (SPC). (i) Bidder's Qualifications, Eligibility and Conformity to the Qualifying Requirements (QR) (ii) Documents in support of meeting QR stipulated in the tender.
		(B) To establish the conformity of the Goods and related Services to the Bidding Document, the Bidder shall furnish as part of its Bid, the documentary evidence wherever applicable that the Goods and related Services conform to the requirements specified.

		Apart from the technical requirements as stipulated in the bidding documents, data sheets etc. the documentary evidence may be in the form of literature, drawings or data, and shall consist of a detailed item-by-item description of the essential technical and performance characteristics of the Goods and related Services, demonstrating substantial responsiveness of the Goods and related Services to those requirements. EFT form and Registration details of the bidder to be submitted with the bid. Wherever a Bidder (OEM/OES/Manufacturer) intends to forward the enquiry to his dealer/distributor/channel partner to quote in the tender, an Authorization letter from the Bidder (OEM/OES/Manufacturer) is to be submitted to the tender issuing authority before the BOD to enable NTPC to map the dealer to enable the dealer/distributor/channel partner to submit the bid online. However, this provision shall not be applicable for OPEN Tenders. Any other documents asked for in the Bidding Documents - Special Purchase Conditions and Technical Specifications & Scope of Work. The bidders shall upload the following: (a) Copy of Power of Attorney/Authorisation to sign the bid (b) Eligibility and Conformity to the Technical Specifications & Scope of Work (c) Catalogues, Technical Data Sheets etc. (d) Documents asked for in the Technical Specifications & Scope of Work (d) EFT Form (e) Registration Details (f) Any other document asked for in the Bidding Documents - Special Purchase Conditions and Technical Specifications & Scope of Work.
		The Techno-Commercial Bid should not contain any price content entry. In case, the Techno-Commercial Bid is found to contain any price content, such bid shall be liable for rejection.
20.2.	**Price Bid**	Price shall be submitted in the sheets provided as part of the bid

2	**(**COVER TYPE – **FINANCE)**	documents. The Price Bid should be submitted in the electronic form only through e-Tendering system. Bidder has to ensure that their bid submission is complete in all respect before the last date and time for bid submission. **Bidders shall necessarily submit the prices on-line in the Bill of Quantity (BOQ) only.** For preparation of the "Price Bid", Bidders are expected to take into account the requirements and conditions of the bidding documents. The Price Bid shall be made in the 'BOQ' (excel file) only of Bidding Documents. The rate quoted by the bidder shall be inclusive of all provisions for incidental expenses necessary for proper execution and completion of the work in accordance with the terms & condition of the bidding document. All prices to be quoted by the bidders will be in Indian Rupees only, unless otherwise mentioned in the special purchase conditions, on **FIRM** price basis and to remain valid during the currency of the Contract.
	Documents to be uploaded in the format stipulated in the tender.	
	Note:	5. The price bid shall be opened depending upon the type of Bidding as specified in the Special Purchase Conditions (SPC). 6. In case of Single Stage Single envelope bidding, Price Bid shall be opened on the date and time specified in the NIT. 7. In case of Single Stage Two envelope bidding, Price Bid of those bidders whose bids are found to be qualified and technically & commercially responsive shall be opened at a later date under intimation to such bidders. 8. In case of bidding with provision of Reverse Auction, Price Bid of those bidders whose bids are found to be qualified and technically & commercially responsive shall be opened at a later date under intimation to such bidders and thereafter will be notified the date and time of Reverse Auction.
21.0	**Deadline for Submission of Bids**	Bids must be submitted online no later than the time and date stated in the Tender Enquiry/NIT/ on line Tender details. The Off-line bid specified in the tender must be submitted to the Employer at the address given in the Special Purchase Conditions **before** the last date & Time for submission of Bid as specified in the NIT / Tender. Employer shall not be liable for loss/non-receipt/late receipt of

		above documents in postal transit. The on-line Bid must be submitted on the system well before the expiry of time and the schedule specified in the tender notifications, and may note that there is a time lag between the actual placing the bid on the local computer of the bidder and the refreshing of the data on the server. The processing time for data exchange depends on the internet speed of the bidder, therefore bidder should avoid the last minute hosting of their bid. The bids visible to the Employer will be final for the purpose of acceptance. EMPLOYER may, at its discretion, extend this deadline for submission of bids, in which case all rights and obligations of Employer and Bidders will thereafter be subject to the deadline as extended.
22.0	**Modification and Withdrawal of Bids**	The Bidder may modify or withdraw its bid after submission prior to the deadline prescribed for bid submission. In case of withdrawal a letter giving the reason for withdrawal is to be uploaded. Once a bid is withdrawn, the bid cannot be re-submitted. No bid may be withdrawn / modified in the interval between the bid submission deadline and the expiration of the bid validity period. Withdrawal/Modification of a bid during this interval may result in the Bidder's forfeiture of its Earnest Money Deposit , pursuant to ITB Clause 14.8(a) above.
23.0	**Opening of Bids**	
	Techno-Commercial Bid Opening	The Employer will first open the Techno-Commercial Bid in the presence of bidders' representatives who choose to attend the opening at the time, on the date and at the place specified in the tender enquiry/NIT. In the event of the specified date for the opening of bids being declared a holiday for EMPLOYER, the bids will be opened at the appointed time on the next working day. All important information and other such details as EMPLOYER, at its discretion, may consider appropriate, will be announced at the opening. The envelope containing Earnest Money Deposit, Tender Fee, Authority/Power Attorney to sign the bid & Integrity Pact received off line (except in those cases where EMD, Tender Fee & Integrity Pact is not applicable) shall be opened first. Based on the Earnest Money Deposit/EMD, Tender Fee,

		Authority/Power Attorney to sign the bid & Integrity Pact received, Employer shall allow only those on line bids to be opened whose EMDs, Tender Fee and Integrity Pact (if applicable) have been received in NTPC and are adequate and acceptable as per conditions of the bid document. Any other document specified in SPC to be submitted along with EMD shall also have to be submitted. In case requisite Earnest Money Deposit pursuant to ITB Clause 14.0, and/or Integrity Pact (IP) as per provision of Integrity Pact specified in SPC are not submitted before the stipulated bid submission closing date and time then Bid shall be rejected by EMPLOYER as being non-responsive and shall not be opened. Any other document specified in SPC to be submitted along with EMD shall also have to be submitted, failing which Bid shall be rejected by EMPLOYER as being non-responsive and shall not be opened. QR and Technical Bid shall be opened together for evaluation. In case of Single Stage Two Envelope bidding, the Price Bid will remain unopened and the date and time for opening of price bids shall be intimated separately by EMPLOYER after completion of evaluation of Techno-Commercial Bids.
	Price Bid Opening	In case of Single Stage Single Envelope bidding, the Price Bid will be opened on the date and time for opening of bids specified after opening of Techno-commercial bids as specified above. In case of Single Stage Two Envelope bidding, after the evaluation process of Techno-Commercial bid is completed, Employer will inform by email the eligible Bidders regarding date and time set for the opening of Price Bid. Bidders, whose Techno-Commercial Bid is not substantially responsive, their Technical Bid shall be rejected and their Price bid will also be rejected & shall not be opened and their Earnest Money Deposit shall be returned. Price bids of those Bidders, who have been considered qualified and whose Techno-commercial Bid is found to be responsive, will be opened online in presence of the Bidder's authorised representatives who choose to attend. **The participating bidders will be able to view the bid prices of all the bidders after online opening of Price Bids by Employer on the e-tender portal.**
24.0	**Clarification on**	During bid evaluation, EMPLOYER may, at its discretion, ask the Bidder for a clarification of its bid including documentary evidence pertaining

	Bids	to the Purchase Orders/Contracts executed declared in the bid for the purpose of meeting Qualifying Requirement specified in NIT/IFB. The request for clarification and the response shall be in writing, and no change in the price or substance of the bid including substitution of Purchase Orders/Contracts executed in the bid by new/additional Purchase Orders/Contracts executed for conforming to Qualifying Requirement shall be sought, offered or permitted.
25.0	**Preliminary Examination Of Techno-Commercial Bids**	EMPLOYER will examine the bids to determine whether they are complete, whether required securities have been furnished, whether the documents have been properly signed and whether the bids are generally in order. Prior to the detailed evaluation, the Employer will determine whether the bid is of acceptable quality, is generally complete and is substantially responsive to the bidding document. For purpose of this determination, a substantially responsive bid is one that conforms to all the terms, condition and specifications of the bidding documents without material deviations, objections, conditionality or reservations. A material deviation, objection, conditionality or reservation is (iv) that effects in any substantial way the scope quality or performance of the contract. (v) that limits in any substantial way inconsistent with the bidding document the Employers right or the successful bidders obligation under the contract or (vi) whose rectification would unfairly affect the competitive position of other bidders who are presenting substantially responsive bids. Material deficiencies in the bid may render the bid non-responsive and may lead to the rejection of the bid. EMPLOYER's determination of a bid's responsiveness is to be based on the contents of the bid itself without recourse to extrinsic evidence. If a bid is not substantially responsive, it will be rejected by EMPLOYER, and may not subsequently be made responsive by the Bidder by correction of the nonconformity.
26.0	**Qualification**	Bidders are required to furnish the details of the past experience like authentic Work Orders/Purchase Orders/Letter of Awards/Contract Agreements, client certificates, completion certificate, etc. in support of meeting the Qualifying Requirements based on which selection is to be made as per format at Annexure 12 of Volume I Section IV of the bidding documents. ***These references shall only be considered to ascertain the bidder's compliance to Qualifying Requirement (QR).*** No claims without supporting documents shall be accepted in this regard.

		However, if any of the Work Orders/Purchase Orders/Letter of Awards/Contract Agreements pertains to the work executed by Bidder for NTPC in the past, then in respect of such Work Orders/Purchase Orders/Letter of Awards/Contract Agreements, Bidder shall not be required to enclose Client Certificate along with its Bid. Bidders wishing to provide additional Work Orders/Purchase Orders/Letter of Awards/Contract Agreements are required to declare the same in similar format which shall be additionally attached and uploaded. ***However, bidders are not permitted to quote more than the three times the number of Works/Work Orders/Purchase Orders/Letter of Awards/Contract Agreement asked for in the Qualifying Requirements (QR) or the number specified in the SPC.*** Bidders shall certify their compliance on "Qualifying Requirements" of Employer by accepting the following General Technical Evaluation (GTE) of the Tender: **" Do you certify full compliance on Qualifying Requirements "** Acceptance of above attribute shall be considered as bidder's confirmation to the following conditions: (a) The number of reference Works/Orders quoted by Bidder in relevant Annexure of the bid, for establishing compliance to the specified Qualifying Requirement (QR), are in accordance with the provision specified in Special Purchase Conditions (SPC). (b) The reference Works/Orders/declared Orders, shall only be considered for evaluation/establishing compliance to Qualifying Requirement (QR). Any reference Orders declared more than as specified in Special Purchase Conditions shall not be considered for evaluation/establishing compliance to Qualifying requirements. (c) No change or substitution in respect of reference Orders for meeting the specified Qualifying Requirement (QR) shall be offered by the bidder. EMPLOYER will determine to its satisfaction whether the participating bidders are qualified to satisfactorily perform the contract in terms of the qualifying requirements stipulated in the NIT/IFB. It will be based upon an examination of documentary evidence of bidder's qualification submitted by the bidder in Annexure 12 of Techno-Commercial Bid as well as such other information as EMPLOYER deems necessary and appropriate. Notwithstanding anything stated anywhere else in the bidding documents, EMPLOYER reserves the right to seek in writing information relating to qualifying requirements in addition to details contained in the bid. The bidder shall furnish required information

		promptly to EMPLOYER. EMPLOYER will shortlist the Bidders meeting the stipulated Qualifying Requirements. During the bid evaluation the EMPLOYER may, at its discretion, ask the Bidder for a clarification of its bid including documentary evidence pertaining to only the Work Orders/Purchase Orders/Letter of Awards/Contract Agreements declared in the bid for the purpose of meeting Qualifying Requirement specified in NIT/Bidding Documents. The request for clarification and the response shall be in writing and no change in the price or substance of the bid including substitution of reference Work Orders/Purchase Orders/Letter of Awards/Contract Agreements in the bid by new/additional Work Orders/Purchase Orders/Letter of Awards/Contract Agreements for conforming to Qualifying Requirement shall be sought, offered or permitted. NTPC reserves the right to verify any claims made by vendors and to carry out a capability assessment. The decision of NTPC shall be final in this regard. Notwithstanding any stated above, NTPC reserves the right to undertake a physical assessment of the capacity and capabilities including financial capacity and capability of the Bidder to perform the Contract, should the circumstances warrant such as assessment in the overall interest of NTPC. Bids not meeting the requirements as stated in the Bidding Documents/NIT shall be rejected. An affirmative determination of meeting the qualifying requirements will be a prerequisite for further evaluation of Techno-Commercial bid. A negative determination will result in rejection of the Bidder's Techno-Commercial Bid in which event EMPLOYER will not open the Price Bid of the concerned bidder and his Earnest Money Deposit shall be returned. A negative determination may result in the rejection of the Bid.
27.0	**Evaluation Of Techno-Commercial Bids**	EMPLOYER will carry out a detailed evaluation of the Techno-Commercial bids (of the qualified bidders shortlisted as above) previously determined to be substantially responsive in order to determine whether the technical and commercial aspects are in accordance with the requirements set forth in the bidding documents. In order to reach such a determination, EMPLOYER will examine and compare the technical and commercial aspects of the bids on the basis of the information supplied by the bidders. Bidder may note that no deviation, whatsoever, is permitted by EMPLOYER to any provisions of

		Bidding Documents. In case the Bidder refuses to withdraw additional conditions/deviations/variations/exception, implicit or explicit, found anywhere in the bid in respect of techno-commercial requirements of the bidding documents, without any financial implication whatsoever to the Employer, the bid shall be rejected as technically non-responsive. Product(s) and/or service(s) not meeting the specified technical requirements & scope work, shall be rejected.
28.0	**Preliminary Examination Of Price Bid**	The Employer will examine the Price bids to determine whether they are complete, whether any computational errors have been made, and whether the bids are generally in order. In case any additional conditions/deviations/variations/exception, implicit or explicit, is found anywhere in the Price bid, the Earnest Money Deposit shall be forfeited.
29.0	**Discrepancies In Bid**	In case of discrepancies in the bid, the following will be adopted to correct the discrepancies for Arithmetical for the purpose of evaluation. d) In case of discrepancy between unit price in figures and words, the unit price words will be considered as correct. e) In case of discrepancy between unit price and total price, the unit price will be considered as correct. d) In case of discrepancy between unit price and total price, which is obtained by multiplying the unit price and quantity, or between sub-totals and the total price, the unit or subtotal price shall prevail, and the total price shall be corrected accordingly.
30.0	**Evaluation Criteria**	The evaluation criteria specified in Special Purchase Conditions (SPC) shall over-ride all other similar related clauses appearing elsewhere in the bidding documents. The evaluation shall be based on the evaluated cost of fulfilling the contract in compliance with all commercial, contractual and technical obligations under this Bidding Document.
31.0	**Evaluation Of Bids**	a) The Employer shall evaluate each Bid that has been determined, up to this stage of the evaluation, to be substantially responsive. b) To evaluate a Bid, NTPC shall only use all the criteria and methodologies defined in this document.

		c) To evaluate a Bid, NTPC shall consider the following: • The bid price as quoted as per Bill of Quantity (BOQ) • Price adjustment for correction of discrepancy. • Price adjustment due to discounts offered; • Price adjustment due to Price Preference, pursuant to ITB clause 4.0, if applicable • Price adjustment due to Price Preference due to any other condition specified in Special Purchase Condition; • Price adjustment due to application of the evaluation criteria.
32.0	**Contacting The Employer**	Subject to ITB clause 24.0 above, no Bidder shall contact the Employer on any matter relating to its bid, from the time of the opening of Bids to the time the contract is awarded. Any effort by a Bidder to influence the Employer in the Employer's bid evaluation, bid comparison or contract award decisions may result in rejection of the Bidder's bid.
33.0	**Employer's Right To Accept Any Bid And To Reject Any Or All Bids**	The Employer reserves the right to accept or reject any Bid, and to annul the bidding process and reject all Bids at any time prior to Contract award, without thereby incurring any liability to the affected Bidder or Bidders or any obligation to inform the affected Bidder(s) of the grounds for the Employer's action.
34.0	**Award Criteria**	Subject to ITB Clause 32, the Employer will award the contract to the successful Bidder whose bid has been determined to be substantially responsive and to be the lowest evaluated bid, further provided that the Bidder is determined to be qualified to perform the contract satisfactorily. The Bidder will be required to comply with all requirements of the Bidding Documents without any extra cost to the Employer, failing which his Earnest Money Deposit will be forfeited.
35.0	**Construction of Contract**	If required, NTPC may place separate Orders for supplies and Services. The award of separate Purchase Orders shall not in any way dilute the responsibility of the Supplier for the successful completion of the Facilities as per Contract documents and a breach in one Purchase Order shall be construed as a breach of the other Purchase Order(s) which will confer a right on the Employer to terminate the other Contract(s) also at the risk and cost of the Supplier. The total value of all the orders shall be the Total Package value.

36.0	**Notification of Award**	Prior to the expiration of the period of bid validity, the Employer will notify the successful Bidder in writing by email or letter or by telefax to be confirmed in writing by letter sent by Speed Post/Registered/courier, that its bid has been accepted. The notification of award (Purchase/Service Order) will constitute the formation of the contract and shall be effective from the date of award.
37.0	**Corrupt or Fraudulent Practices**	Employer requires that Bidders, Contractors and Suppliers observe the highest standard of ethics during the procurement and execution of the contracts. In pursuance of this policy, Employer: (a) defines, for the purposes of this provision, the terms set forth below as follows: (i) "corrupt practice" means the offering, giving, receiving or soliciting of any thing of value to influence the action of a public official in the procurement process or in contract execution; and (ii) "fraudulent practice" means a misrepresentation of facts in order to influence a procurement process or the execution of a contract to the detriment of the Employer, and includes collusive practice among Bidders (prior to or after bid submission) designed to establish bid prices at artificial non-competitive levels and to deprive the Employer of the benefits of free and open competition; (b) will reject a bid for award if it determines that the Bidder recommended for award has engaged in corrupt or fraudulent practices in competing for the contract in question; (c) will declare a firm ineligible, either indefinitely or for a stated period of time, to be awarded a contract if it at any time determines that the firm has engaged in corrupt or fraudulent practices in competing for or in executing a contract of the Employer.
38.0	**Fraud Prevention Policy**	The Bidder along with its associate/collaborators/sub-contractors/sub-vendors/consultants/service providers shall strictly adhere to the Fraud Prevention Policy of EMPLOYER displayed on its tender website **http://www.ntpctender.com** and shall immediately apprise Employer about any fraud or suspected fraud as soon as it comes to their notice. Bidders shall certify their compliance to the Fraud Prevention Policy of Employer as per Certificate at Annexure 02 of Volume I Section IV by accepting the following General Technical Evaluation (GTE) of the Tender:

		"Do you accept the Fraud Prevention Policy of NTPC ?" If in terms of above policy it is established that the bidder/his representatives have committed any fraud while competing for this contract then the Earnest Money Deposit shall be forfeited.
39.0	**Banning Policy**	The Employer has in place a policy for withholding and banning of business Dealings and same is displayed on its tender website **http://www.ntpctender.com**. Business dealings may be withheld or banned with the Bidder/Contractor on account of any default by the contractor under GPC clause 42 (a) to (d) or any of the grounds detailed in the said Banning Policy. Bidders shall submit the Declaration on Policy of for withholding and banning of Business Dealings Employer as per Certificate at Annexure 03 of Volume I Section IV by accepting the following General Technical Evaluation (GTE) of the Tender: **"Do you accept Witholding & Banning Policy of Business Dealing Poliy of NTPC ?"**
40.0	**Integrity Pact**	Employer has in place an Integrity Pact details of which are displayed on its Tender website http://www.ntpctender.com. The Integrity Pact (IP) envisages an agreement between the prospective vendors / bidders and the buyer, committing the persons / officials of both the parties, not to exercise any corrupt influence on any aspect of the contract. The Bidder along with its associate / collaborator / sub-contractors / sub-vendors / consultants / service providers shall strictly adhere to the Integrity Pact displayed on Employer's tender website http://www.ntpctender.com. If asked for in the SPC, a signed copy of the Integrity Pact is to be submitted with the EMD as indicated in the SPC.
41.0	**Indian Agents**	In a tender, either the Indian Agent on behalf of the Principal/OEM or Principal/OEM itself can bid but both cannot bid simultaneously for the same item/product. If an agent submits bid on behalf of the Principal/OEM, the same agent shall not submit bid on behalf of another Principal/OEM in the same tender for the item/product.
	Important Note	**The Special Purchase Conditions will supersede any other related conditions anywhere else in the tender documents and will prevail for evaluation / finalization of the tender.**

NTPC LIMITED

(A Government of India Enterprise)

VOLUME – I

SECTION II

GENERAL PURCHASE CONDITIONS

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The Special Purchase Conditions (SPC) will supersede any related conditions anywhere in the Bidding Documents and will prevail for evaluation / finalization of the tender.		
1.0	**Definitions & Terminology**	Unless the context otherwise requires, the following terms whenever used in this Contract have the following meanings:
		"Contract" means the Purchase Order/Service Order signed by the Employer, to which these General Purchase Conditions (GPC) are attached together with all the documents listed in such signed Contract.
		"Contract Documents" means the documents listed in Article 1.1 (Contract Documents) of the Form of Contract Agreement (including any amendments thereto). "GPC" means the General Purchase Conditions. "SPC" means the Special Purchase Conditions. "Day" means calendar day of the Gregorian Calendar. "Month" means calendar month of the Gregorian Calendar. "Employer" means NTPC Ltd., New Delhi (A Govt. of India Enterprise) and includes the legal successors or permitted assigns of the Employer.
		"Applicable Law" - This Contract including all matters connected with this Contract shall be governed and construed in accordance with the Indian Law both substantive and procedural and shall be subject to the exclusive jurisdiction of Indian courts at Delhi, India.
		"Contract Price" means the price to be paid for the performance of the Services, in accordance with the payment terms, subject to such additions and adjustments thereto or deductions there from, as may be made pursuant to the Contract.
		"Government" means the Government of the Employer's country ie INDIA.
		"Local Currency" means the currency of the Government of India.
		"Party" means the Employer or the Bidder, as the case may be, and "Parties" means both of them.
		"Personnel" means persons hired by the Bidder as employees and assigned to the performance of the Services or any part thereof.
		"Services" means the work to be performed by the Bidder pursuant to this

		Contract, as described in the detailed Terms of Reference; and
		Law Governing the Contract: The Contract, its meaning and interpretation, and the relation between the Parties shall be governed by the Applicable Law.
		Throughout these Bidding Documents, the term "Bid" and "Tender" and their derivatives (Bidder/ Tenderer, Bidding / Tendering, Bidding Document/Tender Document, etc.); Bill of Quantity / Schedule of Quantity / Schedule of Quantities/ Bill of Quantities; Employer / NTPC; Bid Security / Earnest Money Deposit; Security Deposit / Performance Security/ Performance Guarantee; Engineer-in-Charge / Engineer, appearing any where in the Bidding Documents shall have the same meaning and are synonymous to each other.
		Language: English shall be the binding and controlling language for all matters relating to the meaning or interpretation of this Contract.
2.0	**Contract Documents**	The Employer shall send to the successful Bidder the Purchase Order/Service Order. The Purchase Order/Service Order will constitute the formation of the contract. The contract shall come into effect from the date of issue of Purchase Order/Service Order. The successful bidder shall have sign and return the Purchase Order/Service Order as a token of acceptance. Successful bidder on whom Purchase Order/Service Order is placed shall hereinafter be called Supplier.
3.0	**Order of the precedence of the Documents**	The order of precedence of documents shall be as under: a) Purchase Order/Service Order alongwith its annexures. b) Amendment to Bidding Documents c) Special Purchase Conditions d) Technical Specifications & Scope of Work & Field Quality Assurance plan e) General Purchase Conditions f) The Bid and BOQ submitted by the Supplier g) Instructions to bidders An amendment issued after issue of Contract shall take precedent over the formal Contract and all other contract documents.
4.0	**Language**	All Contract Documents, all correspondence and communications to be given, and all other documentation to be prepared and supplied under the Contract shall be written in English, and the Contract shall be construed and interpreted in accordance with that language. If any of the Contract Documents, correspondence or communications are

		prepared in any language other than the governing language as above, the English translation of such document, correspondence or communications shall prevail in matters of interpretation.
5.0	**Singular and Plural**	The singular shall include the plural and the plural the singular, except where the context otherwise requires.
6.0	**Headings**	The headings and marginal notes in the General Purchase Conditions of Contract are included for ease of reference, and shall neither constitute a part of the Contract nor affect its interpretation.
7.0	**Incoterms**	Unless inconsistent with any provision of the Contract, the meaning of any trade term and the rights and obligations of parties thereunder shall be as prescribed by Incoterms. Incoterms means international rules for interpreting trade terms published by the International Chamber of Commerce (latest edition), 38 Cours Albert 1er, 75008 Paris, France.
8.0	**Construction Of Contract**	If required, NTPC may place separate Orders for supplies and Services. The award of separate Purchase Orders shall not in any way dilute the responsibility of the Supplier for the successful completion of the Facilities as per Contract documents and a breach in one Purchase Order shall be construed as a breach of the other Purchase Order(s) which will confer a right on the Employer to terminate the other Contract(s) also at the risk and cost of the Supplier. The total value of all the orders shall be the Total Package value.
9.0	**Amendment**	No amendment or other variation of the Contract (Purchase Order/Service Purchase) shall be effective unless it is in writing, is dated, expressly refers to the Purchase Order/Service Order, and is signed by a duly authorized representative of Employer and accepted by the Supplier.
10.0	**Severability**	If any provision or condition of the Contract is prohibited or rendered invalid or unenforceable, such prohibition, invalidity or unenforceability shall not affect the validity or enforceability of any other provisions and conditions of the Contract.
11.0	**Non-Waiver**	(i) Subject to GPC clause 11.0 (ii), no relaxation, forbearance, delay or indulgence by either party in enforcing any of the terms and conditions of the Contract or the granting of time by either party to the other shall prejudice, affect or restrict the rights of that party under the Contract, nor shall any waiver by either party of any breach of Contract operate as waiver of any subsequent or continuing breach of Contract. (ii) Any waiver of a party's rights, powers or remedies under the Contract

		must be in writing, must be dated and signed by an authorized representative of the party granting such waiver, and must specify the right and the extent to which it is being waived.
12.0	**Notices**	Unless otherwise stated in the Purchase Order/Service Order, all notices to be given under the Contract shall be in writing, and shall be sent by personal delivery, airmail post, special courier, cable, telegraph, telex, facsimile or Electronic Data Interchange (EDI) to the address of the relevant party set out in the Contract. In case of Purchase Orders, all notices to be given under the Contract shall be addressed to Signatory of the Purchase Order and in case of Service Orders, all notices to be given under the Contract shall be addressed to Engineer-in-charge. Either party may change its postal, cable, telex, facsimile or EDI address or addressee for receipt of such notices by ten (10) days' notice to the other party in writing.
13.0	**Governing Laws**	The Contract shall be governed by and interpreted in accordance with laws in force in India. The Courts of Delhi shall have exclusive jurisdiction in all matters arising under the Contract.
14.0	Settlement of Disputes	
14.1	**Mutual Consultation** If any dispute of any kind whatsoever shall arise between the Employer and the Contractor in connection with or arising out of the Contract, including without prejudice to the generality of the foregoing, any question regarding its existence, validity or termination, or the execution of the Facilities, whether during the progress of the Facilities or after their completion and whether before or after the termination, abandonment or breach of the Contract, the parties shall seek to resolve any such dispute or difference by mutual consultation. If the parties fail to resolve such a dispute or difference by mutual consultation, then the dispute maybe settled through Expert Settlement Council/Arbitration.	
14.2	**Resolution of Dispute through Conciliation** Where the disputed amount is within Rs 250 crores (to be arrived at considering the claim and counter claim of the parties to the dispute) and in case the parties fail to resolve such a dispute or difference by mutual consultation, the dispute may be referred to Conciliation.	

14.2.1	**Invitation for Conciliation**	(iv) A party shall notify the other party in writing about such a dispute it wishes to refer for conciliation within a period of 30 days from the date of failure to resolve the dispute through mutual consultation. Such Invitation for conciliation shall contain sufficient information as to the dispute to enable the other party to be fully informed as to the nature of the dispute, amount of the monetary claim, if any, and apparent cause of action.
		(v) Upon acceptance of the invitation to conciliate, the other party shall submit its counter claim, if any, within a period of 30 days from the date of the invitation to conciliate. If the other party rejects the invitation or if disputed amount exceeds Rs 250 crores, there will be no conciliation proceedings.
		(vi) If the party initiating conciliation does not receive a reply within thirty days from the date it sends the invitation, or within such other period of time as specified in the invitation, it shall treat this as a rejection of the invitation to conciliate from the other party.
14.2.2	**Conciliation**	(iv) Where Invitation for conciliation has been furnished under GPC sub clause 14.2.1, the parties shall attempt to settle such dispute through Expert Settlement Council (ESC) which shall be constituted by CMD, NTPC.
		(v) ESC will be formed from experts comprising three members from the panel of conciliators maintained by NTPC. However, there will be single member ESC for disputes involving claim and counter claim (if any) up to Rs. 1 crore. CMD, NTPC will have authority to reconstitute an ESC to fill any vacancy.
		(vi) The eligible persons for consideration for empanelment in the panel of conciliators shall be amongst Retired Civil Servants of Govt. of India not below the rank of Additional Secretary, Retired Judges, Retired Directors/ Chairman of any Maharatna/Navratna company in India other than NTPC Ltd, Retired Independent Directors who have served on the Board of any Maharatna/ Navratna company in India other than NTPC Ltd and Independent experts in their respective fields preferably registered with the Indian Council of Arbitration or Delhi International Arbitration Centre or Federation of Indian Chambers of Commerce and Industry or SCOPE Arbitration Forum.
14.2.3	**Proceedings before ESC**	(vii) The claimant shall submit its statement of claims along with relevant documents to ESC members, and to the party(s) indicated in the appointment letter within 30 days of the issue of the appointment letter. The respondent shall file its reply and counter claim (if any) within 30 days of the receipt of the statement of claims. Parties may file

their rejoinder/additional documents, if any in support of their claim/counterclaim within next 15 days. No documents shall be allowed thereafter, except with the permission of ESC.

(viii) The parties shall file their claim and counterclaim in the following format

a. Chronology of the dispute

b. Brief of the contract

c. Brief history of the dispute

d. Issues

Sl. No.	Description of Claims/ Counter claims	Amount (in foreign currency/INR)	Relevant Contract Clause

e. Details of Claim(s)/Counter Claim(s)

f. Basis/Ground of claim(s)/counter claim(s) along with relevant clause of contract.

Statement of claims shall be restricted to maximum limit of 20 pages.

(ix) In case of 3 members ESC, 2 members will constitute a valid quorum and the meeting can take place to proceed in the matter after seeking consent from the member who is not available. However, ESC recommendations will be signed by all the members.

(x) The parties shall be represented by their in house employees. No party shall be allowed to bring any advocate or outside consultant/advisor/agent to contest on their behalf. Ex officers of NTPC who have handled the disputed matter in any capacity shall not be allowed to attend and present the case before ESC on behalf of contractor. However, ex-employees of parties may represent their respective organizations. Parties shall not claim any interest on claims/counter-claims from the date of notice invoking conciliation till execution of settlement agreement, if so arrived. In case, parties are unable to reach a settlement, no interest shall be claimed by either party for the period from the date of notice invoking conciliation till the

<table>
<tr><td></td><td></td><td>date of ESC recommendations and 30 days thereafter in any further proceeding</td></tr>
<tr><td></td><td></td><td>(xi) ESC will conclude its proceedings in maximum 10 meetings, and give its recommendations within 90 days of its first meeting. ESC will give its recommendations to both the parties recommending possible terms of settlement. CMD, NTPC may extend the time/number of meetings, in exceptional cases, if ESC requests for the same with sufficient reasons.</td></tr>
<tr><td></td><td></td><td>(xii) Depending upon the location of ESC members and the parties, the venue of the ESC meeting shall be either Delhi/Mumbai/Kolkata/Chennai or any other city whichever is most economical from the point of view of travel and stay etc. All the expenditure incurred in ESC proceedings shall be shared by the parties in equal proportion.</td></tr>
<tr><td>14.2.4</td><td>Fees & Facilities to the Members of the ESC</td><td>The cost of conciliation proceedings including but not limited to fees for Conciliator, Airfare, Local transport, Accommodation, cost towards conference facility etc. shall be as provided herein below:
<table>
<tr><th>Sl</th><th>Fees/ Facility</th><th>Entitlement</th></tr>
<tr><td>1</td><td>Fees</td><td>As paid to NTPC Independent Directors [Presently Rs. 20,000 per meeting]. In addition, each conciliator to be paid Rs 10,000 for attending meeting to authenticate the settlement agreement. - max. of Rs. 2,10,000 per case per Conciliator.</td></tr>
<tr><td>2</td><td>Secretarial expenses</td><td>Rs. 10,000 lump sum (to 1 member only).</td></tr>
<tr><td>3</td><td>Transportation in the city of the meeting</td><td>Car as per entitlement or Rs. 2,000 per day</td></tr>
<tr><td>4</td><td>Venue for meeting</td><td>NTPC conference rooms</td></tr>
<tr><td colspan="3">Facilities to be provided to the out -stationed member</td></tr>
</table></td></tr>
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<table>
<tr><td></td><td></td><td>
<table>
<tr><td>5</td><td>Travel from the city of residence to the city of meeting</td><td>As per entitlement of Independent Directors. Executive class air tickets/ first class AC train tickets/ Luxury car/ reimbursement of actual fare. However, entitlement of air travel by Business class shall be subject to austerity measures, if any, ordered by Govt of India.</td></tr>
<tr><td>6</td><td>Transport to and fro airport/railway station in the city of residence</td><td>Car as per entitlement or Rs. 3,000</td></tr>
<tr><td>7</td><td>Stay for out stationed members</td><td>As per entitlement of Independent Directors.</td></tr>
<tr><td>8</td><td>Transport in the city of meeting</td><td>Car as per entitlement or Rs. 2000 per day</td></tr>
</table>
Aforesaid fees are subject to revision by NTPC from time to time and subject to government guidelines on austerity measures, if any. All the expenditure incurred in the ESC proceedings shall be shared by the parties in equal proportions. The Parties shall maintain the account of expenditure and present to the other for the purpose of sharing on conclusion of the ESC proceedings
</td></tr>
<tr><td>14.2.5</td><td colspan="2">If decision of NTPC is acceptable to the contractor, a Settlement Agreement under section 73 of the Arbitration and Conciliation Act 1996 will be signed within 15 days of contractor’s acceptance and same shall be authenticated by all the ESC members. Parties are free to terminate conciliation proceedings at any stage as provided under the Arbitration and Conciliation Act 1996.</td></tr>
<tr><td>14.2.6</td><td colspan="2">The parties shall keep confidential all matters relating to the conciliation proceedings. Parties shall not rely upon them as evidence in arbitration proceedings or court proceedings.</td></tr>
<tr><td>14.3</td><td colspan="2">Arbitration</td></tr>
<tr><td>14.3.1</td><td colspan="2">In case the parties fail to settle the dispute through the process of mutual consultation and/or conciliation as per GPC Sub-Clause 14.1 & 14.2 above, either party may give a notice to the other party, of its intention to commence arbitration, as hereinafter provided, as to the matter in dispute, and no arbitration in respect of this matter may be</td></tr>
</table>

	commenced unless such notice is given. Such notice of intention to commence arbitration shall be given within a period of thirty (30) days from the date of failure to settle the matter through mutual consultation or thirty (30) days from the date of termination of ESC proceedings (applicable only in case where ESC has been constituted).	
14.3.2	Any dispute in respect of which a notice of intention to commence arbitration has been given, in accordance with Sub-Clause 14.3.1 above, shall be finally settled by arbitration. Arbitration may be commenced prior to or after completion of the Package/Order.	
14.3.2.1	In case of Purchase Orders/Service Orders placed on firms, other than Public Sector Enterprises	
	Any dispute or difference submitted by a party to arbitration shall be heard by an arbitration tribunal consisting of three arbitrators, in accordance with the provisions set forth below:	
	(i)	The Employer and the Supplier shall each appoint one arbitrator, and these two arbitrators shall jointly appoint a third arbitrator, who shall chair the arbitration panel. If the two arbitrators do not succeed in appointing a third arbitrator within twenty eight (28) days after the latter of the two arbitrators has been appointed, the third arbitrator shall, at the request of either party, be appointed by the President of the Institution of Engineers.
	(ii)	If one party fails to appoint its arbitrator within forty-two (42) days after the other party has named its arbitrator, the party which has named an arbitrator may request the President of the Institution of Engineers, India to appoint the second arbitrator.
	(iii)	If for any reason an arbitrator is unable to perform its function, the mandate of the Arbitrator shall terminate in accordance with the provisions of applicable laws as mentioned in GPC Clause 13.0 (Governing Law) and a substitute shall be appointed in the same manner as the original arbitrator.
	(iv)	Arbitration proceedings shall be conducted in accordance with the Indian Arbitration and Conciliation Act, 1996, including any statutory modifications or re-enactment thereof and the rules made thereunder. The place of arbitration shall be New Delhi or at a place otherwise stated in SPC. The language of arbitration shall be the language in which this Contract is being executed.

<table>
<tr><td></td><td>(v)</td><td>The decision of the majority of the arbitrators (or of the third arbitrator chairing the arbitration tribunal, if there is no such majority) shall be final and binding and shall be enforceable in any court of competent jurisdiction as a decree of the court. The parties thereby waive any objections to or claims of immunity from such enforcement.</td></tr>
<tr><td></td><td>(vi)</td><td>The arbitrator(s) shall give reasoned award.</td></tr>
<tr><td></td><td>(vii)</td><td>(B) Arbitration Fee

(I) The Arbitrators shall be paid fees at the following rates:

<table>
<tr><th>Amount of Claims and Counter Claims (excluding interest)</th><th>Lump sum fees (including fees for study of pleadings, case material, writing of the award, secretarial charges etc.) payable to each arbitrator (to be shared equally by the parties)</th></tr>
<tr><td>Up to Rs.50 lakhs</td><td>Rs. 10,000/- per meeting subject to a ceiling of Rs. 1,00,000/-.</td></tr>
<tr><td>Above Rs.50 lakhs to Rs.1 Crore</td><td>Rs.1,35,000/- plus Rs.1,800/- per lakh or a part there of subject to a ceiling of Rs. 2,25,000/-.</td></tr>
<tr><td>Above Rs.1 crore and up to Rs.5 Crore</td><td>Rs.2,25,000/- plus Rs.33,750/- per crore or a part thereof subject to a ceiling of Rs.3,60,000/-.</td></tr>
<tr><td>Above Rs. 5 Crore and up to Rs.10 Crore</td><td>Rs.3,60,000/- plus Rs.22,500/- per crore or a part thereof subject to a ceiling of Rs. 4,72,500/-.</td></tr>
<tr><td>Above Rs.10 Crore</td><td>Rs.4,72,500 plus Rs.18,000/- per crore or part thereof subject to a ceiling of Rs. 10,00,000/-.</td></tr>
</table>
If the claim is in foreign currency, the SBI Bills Selling Exchange rate prevailing on the date of claim shall be used for the purpose of converting the claim in Indian Rupee which may be used for determining the arbitration fee as brought out above.

(II) If after commencement of the Arbitration proceedings, the parties agree to settle the dispute mutually or refer the dispute</td></tr>
</table>

to conciliation, the arbitrators shall put the proceedings in abeyance until such period as requested by the parties. Where the proceedings are put in abeyance or terminated on account of mutual settlement of dispute by the parties, the fees payable to the arbitrators shall be determined as under:

(v) 20% of the fees if the claimant has not submitted statement of claim
(vi) 40% of the fees if the pleadings are complete
(vii) 60% of the fees if the hearing has commenced
(viii) 80% of the fees if the hearing is concluded but the award is yet to be passed.

(III) Each party shall pay its share of arbitrator's fees in stages as under:

(v) 20% of the fees on filing of reply to the statement of claim
(vi) 40 % of the fees on completion of pleadings
(vii) 20% of the fees on conclusion of the final hearing
(viii) 20% at the time when award is given to the parties

(IV) Each party shall be responsible to make arrangements for the travel and stay etc. of the arbitrator appointed by it. As regards the Presiding Arbitrator, the expenses incurred on his travel/stay shall be shared equally by the parties.

(V) The parties agree that they shall appoint only those persons as arbitrators who accept the conditions of arbitration clause, including the fees schedule provided herein. No person shall be appointed as arbitrator or presiding arbitrator who does not accept the conditions of arbitration clause including the fee schedule provided hereinbefore.

(B) **Arbitration Period**

The arbitrators shall make and publish the award within time stipulated as under:

Amount of Claims and Counter Claims (excluding interest)	Period for making and publishing of the award (counted from the date of first meeting of the arbitrators)
Up to Rs. 5 Crore	Within 8 months
Above Rs. 5 Crore	Within 12 months

The above time limit can be extended by the arbitrators, for reasons to be recorded in writing, with the consent of the parties.

14.3.3	**In case of Purchase Order/Service Order placed on Public Sector Enterprise**	
	In the event of any dispute or difference relating to the interpretation and application of the provisions of the contracts, such dispute or difference shall be referred by either party for Arbitration to the sole Arbitrator in the Department of Public Enterprises to be nominated by the Secretary to the Government of India in-charge of the Department of Public Enterprises. The Arbitration and Conciliation Act, 1996 shall not be applicable to arbitration under this clause. The award of the Arbitrator shall be binding upon the parties to the dispute, provided, however, any party aggrieved by such award may make a further reference for setting aside or revision of the award to the Law Secretary, Department of Legal Affairs, Ministry of Law & Justice, Government of India. Upon such reference the dispute shall be decided by the Law Secretary or the Special Secretary/Additional Secretary, when so authorized by the Law Secretary, whose decision shall bind the Parties finally and conclusively. The Parties to the dispute will share equally the cost of arbitration as intimated by the Arbitrator. (DPE O.M. No. DPE/4(1)/2011-DPE(PMA)-GL dated 12th June 2013)	
14.3	Notwithstanding any reference to the arbitration herein, (a) the parties shall continue to perform their respective obligations under the Contract unless they otherwise agree. (b) the Employer shall pay the Contractor any monies due to the Supplier.	
15.0	**Scope**	e. The Goods and related Services to be supplied shall be as specified in the technical specification and Price Schedule. The Supplier shall supply all the Goods and related Services included in the Scope of Supply, as per the Delivery and Completion Schedule specified in the SPC. f. The Supplier shall ensure that the Goods and related Services comply with the technical specifications and other provisions of the Contract. g. The Goods and related Services supplied under this Contract shall conform to the standards mentioned in Technical Specifications and, when no applicable standard is mentioned, the standard shall be equivalent or superior to the official standards whose application is appropriate.
16.0	**Price Basis**	As detailed in SPC.
17.0	**Insurance**	As detailed in SPC.
18.0	**Freight**	As detailed in SPC.
19.0	**Delivery schedule**	The delivery Period shall commence from date of the Purchase Order/Service Order unless stated otherwise in the SPC.

		The Delivery of the Goods and Completion of the related Services shall be in accordance with the Delivery and Completion Schedule as per SPC.
20.0	**Contract price**	The Contract Price shall be as specified in the Purchase Order / Service Order.
21.0	**Payment terms**	Payment will be made to the account of the successful bidder as per the payment terms mentioned in the PO / LOA based on the certification of Engineer. The payments shall be made after the conditions listed for such payment have been met, and the successful bidder has submitted an invoice to the Employer specifying the amount due. Payment shall be released within 30 days of receipt, acceptance of materials and submission of invoice in all respect as per Payment terms mentioned in SPC or as mentioned in the PO / LOA. Our Standard Payment terms are as under: For Supplies: The payment would be made within 30 days of receipt and acceptance of materials. For AMC/CMS: The Annual Maintenance Service Contract wherever applicable, shall commence after completion of the warranty period. The payment of the annual maintenance service contract shall be made on quarterly basis and the amount will be due for payment on the certification by NTPC at the end of each quarter. The quarterly amount shall be worked out by dividing the total service contract value by the number of quarters in the maintenance contract period
22.0	**Procedure of payment**	Payment shall be released on submission of invoice in quadruplicate along with supporting documents on certification by the Engineer-in-Charge.
23.0	**Tax deduction at source**	Tax deduction at source shall be governed as per prevailing rules.
24.0	**Contract performance Guarantee (CPG)/PBG**	a. Within thirty (30) days of the receipt of Purchase Order/Service Order from the Employer, the Supplier shall furnish the Contract Performance Guarantee, if applicable, for due performance of the Contract(s)/Order(s) in any form acceptable to the Employer as mentioned below. b. CPG may be submitted in any of the following forms: • A crossed Demand Draft / Bankers cheque drawn in favour of NTPC Ltd. Payable at (station inviting tender or as per SPC) • An irrevocable Bank Guarantee as per the NTPC standard format

		from any Nationalized bank / Scheduled Bank as acceptable to NTPC as per list enclosed. c. Failure of the supplier to submit the above-mentioned Contract Performance Guarantee shall constitute sufficient grounds for the annulment of the award and forfeiture of the Bid Security. d. FOR WARRANTY PERIOD- The successful bidder shall be required to furnish the Contract Performance Guarantee (CPG) for an amount equal to 10% of total order value. CPG should be valid for a period of three months (3 months) beyond the expiry of warranty period. The CPG should be submitted within 30 days of placement of award. e. FOR AMC / CMS PERIOD The bidder shall be required to furnish a CPG equivalent to 5% of the total order value towards AMC/CMS valid for AMC/CMS Period plus a period of 3 months beyond the Annual Maintenance /Comprehensive Maintenance Services Contract period. This CPG shall be furnished before the expiry date of 10% CPG submitted earlier covering the warranty period of one year. f. The CPG for 10% shall be released only after receipt of BG for AMC/CMS period. Note:- 1. CPG, Warranty, Guarantee clause as specified in the SPC shall prevail. 2. *In case CPG is submitted by way of Bank Guarantee, while issuing the physical BGs, the Supplier's Bank shall also send electronic message through secure SFMS (in case of BGs issued from within India) or SWIFT (in case of BGs issued from outside India) to Employer's Beneficiary Bank whose details are provided in the Special Purchase Conditions*.
25.0	**Taxes & duties**	i. For the purpose of the contract it is agreed that the contract price specified in BOQ is based on the taxes duties and charges prevailing at seven (7) days prior to the last date of bid submission. ii. Unless stated otherwise in SPC, Employer shall not issue Form-C required for concessional rate of sales taxes. In the event of misplacement of the Form C, action as per taxation Authority shall be initiated on the Supplier & necessary payments shall be withheld. iii. Bidders are requested to quote the breakup of taxes in the BOQ prevailing at seven (7) days prior to the last date of bid submission. In case bidder has indicated (Zero) tax same shall

		be treated as included in the basic price. In such case, Bidders must indicate the rate of tax in the Technical proposal. **The Employer shall not be liable to pay for taxes and duties which though applicable as at seven (7) days prior to the last date of bid submission but have not been included in the quoted price.** iv. **The Total Prices quoted shall be inclusive of all taxes & duties leviable including Entry Tax. Entry tax shall be paid as per provisions of clause 25.0 below.** v. Octroi shall be reimbursed at actual and shall not be considered for bid evaluation. vi. The Employer shall be authorized to deduct any tax as applicable from the Bidder. vii. If any rates of tax are increased or decreased, a new tax is introduced, an existing tax is abolished, or any change in interpretation or application of any tax occurs in the course of the performance of contract, which was or will be assessed on the bidder in connection with performance of the contract, an equitable adjustment of the contract price shall be made to fully take into account any such change by addition to the contract price or deduction there from as the case may be.
26.0	**Entry tax**	i. Bid price shall also be inclusive of any liability of Entry Tax applicable at the rates prevailing as on seven (7) days prior to the last date of Bid Submission. ii. Entry tax as applicable on the goods shall be paid by the Employer directly to the tax authorities and the entry tax as per rates applicable as on Seven (7) days prior to the last date of Bid Submission shall be deducted from the payments due to the Supplier. iii. Notwithstanding the above in case of any upward variation in rates of Entry tax between those applicable seven (7) days prior to the last date of Bid Submission & the date of entry of goods and payment of entry tax by the Employer, the deduction from suppliers bills will be limited to the amount being worked out at the rates of Entry Tax as applicable, seven (7) days prior to the last date of Bid Submission. iv. In case of down ward variation the contract price will be adjusted for such downward variation in rates of Entry tax between those applicable, seven (7) days prior to the last date of Bid Submission and the date of entry of goods & payment of entry tax by Employer.

27.0	**Road permit**	The road permit shall be issued by NTPC, wherever required and the acknowledged copy of same is to be returned by the supplier within 7 days from the date of completion of supplies to the sales tax authorities. All liability on account of non-submission, loss, misplacement shall solely rest with the bidder. The final payment will be processed only after receipts of counterfoil of the relevant forms are received by the NTPC / Engineer in charge.
28.0	**Authorised representative**	Any action required or permitted to be taken, and any document required or permitted to be executed, under the Contract by the Employer or the Bidder may be taken or executed by the officials authorized for the purpose.
29.0	**Packing**	The Supplier shall provide such packing of the Goods as is required to prevent their damage or deterioration during transit to their final destination, handling and storage. The Supplier will be responsible for any loss or damage during transportation, handling and storage due to improper packing. All packages should be marked with Purchase Order/Service Order no. and date. Each package must contain packing slip and literature, if any.
30.0	**Warranty**	The provision of Warranty shall be as per SPC /Technical Specification. Our general terms are: d) The Supplier shall warrant that the Goods shall be free from defects arising from any act or omission of the Supplier or arising from design, materials, and workmanship, under normal use in the conditions. e) The warranty shall remain valid for the period of one year from the date of installation and commissioning or as specified in the Technical Specifications / SPC. f) If having been notified, the Supplier fails to remedy the defect, the Employer may proceed to take within a reasonable period such remedial action as may be necessary, at the Supplier's risk and expense and without prejudice to any other rights which the Employer may have against the Supplier under the Contract.
31.0	**Patents**	All royalties and fees for patents covering material/equipment/ software or processes used in executing the work shall be to the account of the bidder. The supplier shall satisfy all demands that may be made at any time for such royalties and fees.

		The Supplier shall hold harmless and indemnify the Employer from and against damage, loss and expenses arising from any claim for infringement of patent, copy right, design and other such rights in existence or to be granted on and application published prior to the completion of this engagement with respect to or arising out of the use or supply of design or any work in accordance with the specifications and plans furnished or recommended by the Contractor. The Supplier shall promptly notify the Employer in writing if the Supplier has or has acquired knowledge of any patent under which claim or suit for infringement could reasonably be brought because of the use by the Employer of any information, recommendation or specifications, services rendered by the Contractor. The Supplier, in such case, shall furnish at its own cost make and furnish to the Employer alternative specifications or recommendations to avoid the same and without putting the Employer to any additional cost.
32.0	**Indemnification**	The Supplier shall, at its own expense, defend and indemnify the Employer against all third party claims of infringement of Intellectual Property Rights, including patent, trade mark, copy right, trade secret or industrial design rules arising from use of the products or any part thereof. The Supplier shall expeditiously extinguish any such claims and shall have full rights to defend itself there from. The Employer shall not pay any compensation to a third party resulting from such infringement and the Supplier shall be fully responsible for the same, including all expenses and court and legal fees. The Employer will give notice to the Supplier of any such claim without delay, shall provide reasonable assistance to the Contractor in disposing of the claim, and shall at no time admit any liability for or express any intent to settle the claim. Final payment to the Supplier by the Employer will not be made while any such suit or claim remains unsettled.
33.0	**Inspection and tests**	All materials shall be inspected as per provisions of SPC / Technical Specification. The Supplier shall execute the Purchase Order/Services in compliance with the provisions of the Contract. For all cases where pre-dispatch inspection is stipulated, materials shall be inspected prior to dispatch by an authorized representative of NTPC for which an advance notice of 15 days shall be given by the supplier. In such cases no material shall be dispatched without inspection unless specific waiver/exemption is communicated in writing to the supplier. In all cases

		necessary test certificates, guarantee certificate in respect of material/equipment performance shall be furnished along with despatch documents. However, the final inspection of material shall be done at our site only and acceptance of materials is subject to such final inspection only.
34.0	**Removal of rejected goods and replacement**	c) If upon delivery, whether inspected and approved earlier or otherwise, the material/equipment is not in conformity with the specifications, the same shall be rejected by the Employer or his duly authorised representative and notification to this effect will be issued to the Supplier within 30 days from the date of receipt of the material at site. d) The supplier shall arrange for removal of the rejected item(s) within 15 days from the date of notification. In the event, the supplier fails to lift the materials within the said 15 days, the Employer shall be at liberty to dispose of such rejected item(s) in any manner as he may think fit and recover all the expenses from the Supplier.
35.0	**Liquidated damages**	The timely delivery of the material is the essence of the contract. In the event of Supplier's failure to deliver the material of acceptable quality within the stipulated delivery period, the liquidated damages are payable by the Supplier @ 0.5% (one half of one percent) per week of delay or part thereof, of the unexecuted order value. However, the total liability of the Bidder under this clause shall not exceed 5% of the Order value as awarded.
36.0	**Amendment/ modification of contract**	Modification of the terms and conditions of the Contract, including any modification of the Scope of the Services or of the Contract price may only be made by written agreement between the Parties.
37.0	**Payment at reduced rates**	If the goods supplied are not according to specifications stipulated in the order, NTPC may retain the goods at its discretion after negotiations and agreement with the supplier and pay at reduced rates to be fixed by NTPC.
38.0	**Change in laws and regulations**	If, after the date seven (7) days prior to the last date of Bid submission, any law, regulation, ordinance, order or by-law having the force of law is enacted, promulgated, abrogated or changed (which shall be deemed to include any change in interpretation or application by the competent authorities) that subsequently affects the costs and expenses of the Supplier and/or the Time for Completion, the Contract Price shall be correspondingly increased or decreased, and/or the Time for Completion shall be reasonably adjusted to the extent that the Supplier has thereby been affected in the

		performance of any of its obligations under the Contract. However, these adjustments would be restricted to items in respect of both direct transactions between the Employer and Supplier.
39.0	**No breach of contract**	The failure of a party to fulfill any of its obligations under the Contract shall not be considered to be a breach of or default under the Contract in so far as such inability arises from an event of Force Majeure, provided that the Party affected by such an event (b) has taken all reasonable precautions, due care and reasonable alternative measures in order to carry out the terms and conditions of this Contract and (b) has informed the other Party as soon as possible about the occurrence of such an event.
40.0	**Obligations of the Supplier**	The Supplier shall supply the Goods perform the Services and carry out their obligations with all due diligence, efficiency, and economy, in accordance with generally accepted professional techniques and practices, and shall observe sound management practices, and employ appropriate advance technology and safe methods. The Supplier shall always act, in respect of any matter relating to this Contract or to the Services, as faithful advisers to the Employer and shall at all times support and safeguard the Employer's legitimate interests in any dealings with Sub-bidder or third parties.
41.0	**Force majeure**	(f) "Force Majeure" shall mean any event beyond the reasonable control of the Employer or the Supplier, as the case may be, and which is unavoidable notwithstanding the reasonable care of the party affected and which substantially affect the performance of the Contract. Notwithstanding the generality of the above, the following events shall be termed as Force Majeure events in respect of the Order (iv) terrorist acts, (v) confiscation, nationalization, mobilization, commandeering or requisition by or under the order of any government or de jure or de facto authority or ruler or any other act of failure to act of any local state or national government authority, (vi) national/sectoral/illegal strike, sabotage, lockout embargo, import restriction, port congestion, lack of usual means of public transportation and communication, industrial dispute, shipwreck, epidemics, quarantine and plague. (g) If either party is prevented, hindered or delayed from or in performing any of its obligations under the Contract by an event

		of Force Majeure, then it shall notify the other in writing of the occurrence of such event and the circumstances there of within fourteen (14) days after the occurrence of such event. (h) The party who has given such notice shall be excused from the performance or punctual performance of its obligations under the Contract for so long as the relevant event of Force Majeure continues and to the extent that such party's performance is prevented, hindered or delayed. The Time for Completion shall be extended by a reasonable time. (i) The party or parties affected by the event of Force Majeure shall use reasonable efforts to mitigate the effect there of upon its or their performance of the Contract and to fulfill its or their obligations under the Contract, but without prejudice to either parties' right to terminate the contract under clause (f) here under. (j) Delay or nonperformance by either party hereto caused by the occurrence of any event of Force Majeure shall not i. constitute a default or breach of the Contract ii. give rise to any claim for damages or additional cost or expense occasioned thereby If and to the extent that such delay or non-performance is caused by the occurrence of an event of Force Majeure. (f) If the performance of the Contract is substantially prevented, hindered or delayed for a single period of more than sixty (60) days or an aggregate period of more than one hundred and twenty (120) days on account of one or more events of Force Majeure during the currency of the Contract, the parties will attempt to develop a mutually satisfactory solution, failing which the dispute shall be resolved in accordance with Clause 14.0 (Settlement Of Disputes) (g) Not withstanding clause (e) above, Force Majeure shall not apply to any obligation of the Employer to make payments to the Supplier herein.
42.0	**Termination**	The Employer may terminate the Order/Contract, by not less than thirty (30) days' written notice of termination to the Supplier , to be given after the occurrence of any of the events specified in paragraphs(a) to (d) of this Clause and sixty(60) days' in the case of the event referred to in (e) below : (f) if the Supplier does not remedy a failure in the performance of their obligations under the Contract, within thirty (30) days after being

		notified or within any further period as the Employer may have subsequently approved in writing; (g) if the Supplier becomes insolvent or bankrupt; (h) if as a result of Force Majeure, the Supplier is unable to perform a material portion of the Services for a period of not less than sixty(60) days; or (i) if the Supplier, in the judgment of the Employer has engaged in corrupt or fraudulent practices in competing or in executing the Contract. For the purpose of this clause: "Corrupt Practice" means the offering, giving, receiving or soliciting of anything of value to influence the action of a public official in the selection process or in contract execution. "Fraudulent Practice" means a misrepresentation of facts in order to influence a selection process or the execution of a contract to the detriment of the Employer. (j) if the Employer, at its sole discretion, decides to terminate this Contract. In event of termination of Order/Contract, the Employer shall pay to the Supplier/Contractor the Contract Price, properly attributable to the works/supplies executed by the Supplier/Contractor as on the date of termination. However, any sums due to the Employer from the Contractor accruing prior to the date of termination shall be deducted from the amount to be paid to the Supplier under this Order/Contract.
43.0	**Risk purchase**	In the event of Suppliers failure to supply the material of acceptable quality in scheduled delivery period, NTPC reserves the right to procure the materials from any other source at the Suppliers risk and cost and the difference in cost shall be borne by the Supplier. Further, NTPC shall retain the right of forfeiture of CPG and or any other action as deemed fit.
44.0	**Limitation of Liability**	Except in cases of criminal negligence or willful misconduct, (a) the Supplier shall not be liable to the Employer, whether in contract, tort, or otherwise, for any indirect or consequential loss or damage, loss of use, loss of production, or loss of profits or interest costs, provided that this exclusion shall not apply to any obligation of the Contractor to pay liquidated damages to the Employer and (b) the aggregate liability of the Supplier to the Employer, whether under the Contract, in tort or otherwise, shall not exceed the total Contract Price, provided that this limitation shall not apply

		to any obligation of the Contractor to indemnify the Employer with respect to patent infringement.
45.0	**Fraud Prevention Policy**	The Supplier along with their associate / collaborator / subcontractors / sub-vendors / consultants / service providers shall strictly adhere to the Fraud Prevention policy of the Employer displayed on its tender website http://www.ntpctender.com. The Supplier alongwith their associate / collaborator / subcontractors / sub-vendors / consultants / service providers shall observe the highest standard of ethics and shall not indulge or allow anybody else working in their organization to indulge in fraudulent activities during execution of the Contract (Purchase Order/Service Order). The Supplier shall immediately apprise the Employer about any fraud or suspected fraud as soon as it comes to their notice.
46.0	**Integrity Pact**	NTPC has in place an Integrity Pact details of which are displayed on its Tender website http://www.ntpctender.com. The Integrity Pact (IP) envisages an agreement between the prospective vendors / bidders and the buyer, committing the persons / officials of both the parties, not to exercise any corrupt influence on any aspect of the contract. The Bidder along with its associate / collaborator / sub-contractors / sub-vendors / consultants / service providers shall strictly adhere to the Integrity Pact displayed on Employers tender website http://www.ntpctender.com. **Note:** In case Integrity Pact is applicable for the particular tender, the same shall be specified in the SPC.
Important Note		**The Special Purchase Conditions will supersede any other related conditions any where in the tender documents and will prevail for evaluation / finalization of the tender.**

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NTPC LIMITED

(A Government of India Enterprise)

VOLUME – I

SECTION III

PROCESS & PROCEDURES FOR REVERSE AUCTION

VERSION 1.0

	Process & procedures on Reverse Auctions
1	Introduction
2	Definitions & terminology
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21	Acceptance of terms & conditions
22	Procedures
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<table>
<tr><th colspan="4">Instruction to bidder on Reverse Auction</th></tr>
<tr><td>1.0</td><td>Introduction</td><td colspan="2">Reverse Auction (RA) is an on-line procurement method used to obtain quotations for goods and services. In a Reverse Auction, goods & services are procured from the lowest bidder (which is the "reverse" of a normal auction, wherein something is sold to the highest bidder).

A Reverse Auction is typically conducted via the Internet whereby bidders anonymously quote against each other. Bidding takes place at a specified date and time and continues for a specified period of time or until no more quotes are received.</td></tr>
<tr><td>2.0</td><td>Definitions</td><td colspan="2">Reverse Auction is an evolved e_Procurement tool that leverages internet technology to build a dynamic negotiation environment between pre-qualified suppliers to drive the price of goods/services downwards towards the most competitive price.</td></tr>
<tr><td>3.0</td><td>Terminology</td><td colspan="2">Other commonly used terms are as follows:
<table>
<tr><th>Field</th><th>Description</th></tr>
<tr><td>Unit</td><td>Unit of measure defined for an item. Some examples could include, each, gallons, or hours.</td></tr>
<tr><td>Price Unit</td><td>Subdivision of the item quantity upon which bids are based. The price unit is the denominator of item quantity in calculations.</td></tr>
<tr><td>Start Price</td><td>Defined during auction creation, it is the upper limit for bid prices.</td></tr>
<tr><td>Decrement</td><td>Minimum / Absolute or percentage value that each bid must be lower than the last.</td></tr>
<tr><td>Rank</td><td>Bidder’s rank among all bidders participating in the auction.

The lower the rank number, the higher the standing in the auction. For example, a rank equal to one is the leading bid in an auction.</td></tr>
<tr><td>Total Bid Price</td><td>Sum of all line item totals, based on the Bid Price entered.</td></tr>
</table></td></tr>
</table>

			This value is displayed under the item table if the bidder presses Enter on his keyboard prior to submitting a bid.
		My Bid	Price of the bidder's last successfully submitted bid for an item (Item Rate).
		My Bid Value	Value of each bid submitted: **For Package Evaluation** :- Sum of all line items total, based on the Bid Price entered. **For item wise evaluation:-** Value of each bid submitted for respective item (Total Value for an Item i.e. Item Rate X Quantity).
		Best Bid	It is the overall best (package), or lowest bid received for an item.
		Next Valid Bid	Highest bid currently permitted for an item. The next valid bid is calculated by applying the decrement to the **Overall best bid**
		Bid Price	The field where you enter your actual bid price for an item.
		Total Bid Value	Value of bids on line items prior to submitting bids. This value is displayed under the line item table.
		My Minimum Bid	My Minimum Bid is the price of the bidder's successfully submitted minimum bid for an item. A bidder's minimum bid is only visible to the bidder.
		My Current Bid	The most recent actual bid submitted on the system for an item.
		My Current Bid Value	Value of current bid submitted for respective line item.
4.0	Who can participate?	Reverse Auction shall be conducted amongst the bidders whose bids have been found technically qualified / suitable responsive bidders, meeting all other tender conditions like QR, EMD etc.	
5.0	Reverse Auction Types	Reverse auctions generally followed in the industry are as under:- English Auction (Overall Best Bid) Each new bid submitted is compared by the system to the current overall best	

		(lowest price) bid. There is no distinction between bidders or companies with this logic. The lowest price among all bids submitted by all bidders is considered the best bid. Bid ranking follows this logic as well—the lowest bid price is equal to rank one, and so on.
6.0	Reverse Auction: Rules for event.	The reverse auction rules will essentially address the following points and will constitute an integral part of the bid document & are detailed at SPC (special purchase condition Ia). ➢ Reverse auction duration. ➢ Bid decrement. ➢ Auto extension rules & duration. The provision of auto extension as per auction rules is to be decided by NTPC / Owner before start of auction and communicated to the technically qualified vendors.
7.0	Bid decrement	Bid Decrement is the minimum fixed amount by which the next bid value can be decreased. Bidders should enter the next bid price considering the "Bid Decrement", with reference to Overall best bid • Bids once posted on the server during the reverse auction process can always be modified to the permissible next lower value in any amount equal or more than the bid decrement amount. In no case would the system accept modification to a higher value.
8.0	Auto Extension Rules	• The Bid Extension rules shall be apply after the expiry of the Auction duration earlier set & decided before start of Event. • In the event a bidder is placing his bid in last "X" minutes of the normal closure time, the event will get extended for next "Y" minutes for "Z" number of times. • "X" and "Y" can be decided by buyer in advance. Say 3 to 5 minutes depending upon type of Item. • The auction time will get automatically extended at installments of "Y" minutes so as to allow other bidders opportunity to participate and give better offer to win the bid. • In case no bid is received during any extended period, the auction would close even if the total number of extensions i.e. Z is yet to happen. • These time limits (X,Y,Z) shall be mentioned in the SPC / SCC.

9.0	System Processing Time.	❖ Bidders may note, although extension time is Y minutes, there is a time lag between the actual placing the bid on the Local Computer of the bidder and the refreshing of the data on the server for the visibility to the owner. ❖ Considering the processing time for data exchange and possible network congestions, bidders in their own internet should avoid the last minute hosting of Price Bid. ❖ The bids visible to the Owner will be final for the purpose of acceptance & closing of the event.
10.0	Auto refresh	Screen will refresh automatically in every second.
11.0	Proxy Bid	In case Proxy Bid is enabled in any bidding by the Owner, all the bidders shall be in proxy bid mode (Applicable only for Overall Best Price Based Auctions). • Accordingly, all the vendors quote their minimum bid price. Proxy bid price, initially tallies cum matches the price placed by other bidders and later places the bid on behalf of the bidder who has placed lowest bid with a minimum one-bid decrement lower than the next higher bid on the system. • In cases where proxy bid facility is used, bid of the vendor who first placed the proxy bid would be accepted and the bid of the other bidders would not be accepted by the system with a message that your bid is outbid. • This is a secured feature and no one except the bidder who has entered the price knows the proxy bid floor price. • This is a recommended feature to avoid problems causing inability to place the bid due to failure or delays in net connectivity.
13.0	Closure of Auction	The Auction will be declared closed / concluded, when no bid is received in the last X minutes either during the set Auction time or during the Auto extension period.
14.0	Price Break Up	After conclusion of the reverse auction event, successful bidder shall submit item wise price break up for all the items to NTPC in the prescribed format / price break up sheet within 48 hours of conclusion of the R.A. Item wise price breakup will be apportionment of the % discount of the R.A. over the original items rate quoted in the price bid only. The bidder shall not be allowed or permitted to increase the item rate of any item earlier indicated.
15.0	Net Connectivity	In case of problem with net connection at the time of auction,

		Bidder should immediately contact NTPC, to take further action on the same. However, this kind of request would not be accepted in last "X"minutes (i.e. Auto extended duration) of the auction.
16.0	Flash Messages	The flash messages are displayed during and between the auction sessions.
18.0	Weightage Factor	Shall be incorporated in the System before start of the event, This factor is the effect of financial implication arising out of: • Technical and commercial loading on the Bid by the Owner. • Weightage factor being loading factor of the respective bidder for technical. • The auction bid of the bidder will be automatically updated by weightage factor for the purpose of display.
19.0	Opening bid price and bid decrements	The opening bid price and bid decrement amount will be intimated at the start of the bidding process. The process of sending the details shall be on-line messages.
20.0	Check points for bidder to participate in real time auction	• Valid Login ID and Password for SRM website • Check the details of Reverse Auction items / package. • Undergone the vendor training • Understand the rules of Reverse Auction. • Opening price, duration, and bid decrement of the reverse auction, as communicated.
21.0	Acceptance of terms & Conditions	Participation in an auction event is by invitation only from NTPC. Bidders participating in the bid are deemed to have understood and accepted all the auction rules for participation at the bid event. NTPC may decide to extend, reschedule, pause or cancel an auction. Acceptance of final out come of the auction and award decision will rest with NTPC and would be binding on the bidders. Bidders should also note that :- 1. Inability to bid due to telephone line glitch, Internet response issues, software or hardware hangs will not be the responsibility of NTPC. 2. Bidding process related queries could be addressed to NTPC helpline. 3. Bidder may call at NTPC help line to make a surrogate bid if Internet connection is down. However the bid shall be placed only on receipt of a fax. which should be duly stamped and signed by the authorized signatory and must reach NTPC during the Auction time or before the closure of events.

		4. Bidders may note, although extension time is 'X' minutes, there is a time lag between the actual placing the bid on the local computer of the bidder and the refreshing of the data on to the server for the visibility to the Owner . 5. Considering the processing time for data exchange and the possible network congestion, bidders must avoid the last minute hosting of the Price Bid. 6. Participating bidder will agree to non-disclosure of trade information regarding the purchase, identity of NTPC, bid process, bid technology, bid documentation and bid details. 7. Bidder is advised to understand **Auto Bid and Surrogate Bid** process as a protection against technical failure. 8. It is brought to the attention of the bidders that the bid event will lead to the final price only. 9. Technical and other non-commercial queries (not impacting price) can only be routed to the NTPC contact personnel indicated in the bidding documents. 10. Order finalization and post order activities such as shipment, payment, warranty etc would be transacted directly between successful bidder and NTPC. 11. Order shall be placed outside the e-portal & further processing of the PO shall be also out side the system. 12. Bidder will not divulge either its own bid or those of other bidders to any other external party. 13. Bidding process related queries should be addressed to NTPC personnel indicated in the bidding documents.
22.0	Procedures	For access to Auction site, Reverse Auction portal / website: ***https://etender.ntpclakshya.co.in/sap/bc/gui/sap/its/bbpstart*** • Login ID and Password: Use your personal Login ID and Password to participate the online event • Click on "Process Bid" and subsequently on "Live Auction document number". • Click on "Live auction" to launch Live Auction. Live Auction Cockpit shall appear on the screen. • Enter Item Rate in the "Bid Price" field for each item and press "Submit" to quote in Live Auction. A confirmation prompt showing total Bid Price shall appear on the screen which is required to be confirmed. In case of any mistake in entering the price click on the "No" button to reenter the Prices. • In case the Prices are accepted by the system , it prompts "Your bid

		for the line item # has been successfully submitted" otherwise message "Bid price is too high; Bid rejected for the following line item #" (#respective line item no) • At any time during the auction Buyer can chat with the Bidder and vice versa. • In case the Auction is paused by the Buyer a prompt will appear on the screen conveying the message • Similar prompt will also come on resuming of the Auction, Time Extension of the Auction and Close of Auction
23.0	User Help	1. Log on to ***https://etender.ntpclakshya.co.in/sap/bc/gui/sap/its/bbpstart*** 2. Enter your Login ID & Password. Click on the link 'Login' 3. You will reach your account Home Page, Click on the required NIT and then on the Auction tab to enter the Auction Cockpit. 4. You will enter the Auction Cockpit. ➢ Check points for starting real time auction ➢ Check the details of Reverse Auction participating for, ➢ Had taken the vendor training ➢ Correct Item name that is set for reverse auction ➢ Opening price, duration, and bid decrement of the reverse auction, as communicated

NTPC LIMITED

(A Government of India Enterprise)

VOLUME – I

SECTION IV

STANDARD FORMATS

& CHECK LISTS ETC.

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Bid Form 1

EMD BID SUBMISSION FORM
(To be submitted with EMD)

Ref No. ……. **Date …….**

To,
…….
……. Power Station
NTPC Limited,
……
…….

Dear Sirs,

We have read and examined the bid documents in respect of NIT no. **……** relating to **……. ……. …….** Package.

We hereby submit our bid as outlined in your bidding document.

- We hereby confirm our acceptance and compliance to the provisions and terms and conditions contained in the bidding documents. We declare that the work will be executed strictly in accordance with the requirement.

- We hereby confirm that we have read the provisions of bidding documents alongwith its subsequent Amendment(s) / Clarification(s) / Addenda/Errata and further confirm that our Bids (i.e. both Techno-Commercial Bid and Price Bid) are strictly in conformity with the provisions of the Bidding Documents including its Amendments/ Clarifications / Errata / Revisions thereof and we have not taken any deviation to any of the provisions of the aforesaid bidding documents.

- We understand that in case the Products and/or Services offered do not meet the Technical requirements, then our bid shall be rejected as Technically non-responsive.

  We also confirm that in case we refuse to withdraw additional conditions/deviations/variations/exception, implicit or explicit, found anywhere in the techno-commercial bid, our bid shall be rejected as Technically non-responsive.

  We further confirm that if any deviation/variation in any form is found in our Price Bid, the EMD shall be forfeited.

- Further, we agree that the entire work shall be performed as per the Technical Specifications and the provisions of bidding documents.
- We hereby confirm that our Techno-Commercial Bid does not contain any Price content entry.
- Further, we confirm that our Price Bid does not contain any matter in respect of Technical and / or Commercial aspects other than the details specifically sought in the price Bid.
- Our proposal shall remain valid for acceptance for a period of 180 days from the date of opening of the 'Technical & Commercial Bid' by NTPC.
- We confirm that the prices quoted by us are firm and shall not be subject to any variation for the entire period of the contract. We confirm that the prices quoted by us in the 'Price Bid' include all taxes, duties and levies payable by us.
- We hereby furnish our 'EMD' comprising the following as per prescribed format by way of BG/DD/BC/E-payment receipt no. …….. dated …… for Rs. …… issued by ……..
- We hereby enclose the Authority to sign the bid.
- We hereby enclose the EFT form duly filled and certified by Bank alongwith cancelled cheque.
- Our 'Technical and Commercial Bid' and 'Price Bid' are being submitted as per provisions of the tender documents.

Yours truly,

Date ……..

Place ……

Signature.....

Name ……

Designation ……

Name of Bidder ……

Seal

Annexure – 01

CERTIFICATE FOR COMPLIANCE

TO

ALL PROVISIONS OF BIDDING DOCUMENTS

(Certificate of "NIL" Deviation)

Towards COMPLIANT BID

{*To be accepted on the system under* General Technical Evaluation (GTE)}

To,
…….
……. Power Station
NTPC Limited,
……

…….

Dear Sir,

1. With reference to our Bid submitted against the tender, we hereby confirm that we comply with all terms, conditions and specifications of the Bidding Documents read in conjunction with Amendment(s) / Clarification(s) / Addenda/Errata (if any) issued by the Employer prior to opening of Techno-Commercial Bids and the same has been taken into consideration while making our Techno-Commercial Bid & Price Bid and we declare that we have not taken any deviation in this regard.

2. We understand that in case the Products and/or Services offered do not meet the Technical requirements, then our bid shall be rejected as Technically non-responsive.

   We also confirm that in case we refuse to withdraw additional conditions/deviations/variations/exception, implicit or explicit, found anywhere in the techno-commercial bid, our bid shall be rejected as Technically non-responsive.

   We further confirm that if any deviation/variation in any form is found in our Price Bid, the EMD shall be forfeited.

(Acceptance to be given On Line on the system under GTE)

Annexure 02

FORM OF ACCEPTANCE OF FRAUD PREVENTION POLICY

{*To be accepted on the system under* General Technical Evaluation (GTE)}

To,

…….
……. Power Station
NTPC Limited,
……
…….

Dear Sir,

We have read the contents of the Fraud Prevention Policy of NTPC displayed on its tender website http://www.ntpctender.com and undertake that we along with our associate / collaborator / sub_contractors / sub-vendors / consultants / service providers shall strictly abide by the provisions of the Fraud Prevention policy of NTPC.

(Acceptance to be given On Line on the system under GTE)

Annexure 03

DECLARATION ON BANNING POLICY

{*To be accepted on the system under* General Technical Evaluation (GTE)}

To,
…….
……. Power Station/Project
NTPC Limited,
……
…….

Dear Sir,

1) We have read the contents of the Banning Policy of NTPC displayed on its tender website http://www.ntpctender.com and agree to abide by this policy. Further, in terms of requirement under Banning policy we hereby declare the following:

a) We have not been Banned/Blacklisted as on date of submission of bid by Ministry of Power or Government of India.

b) We have not employed any public servant dismissed/removed or person convicted for an offence involving corruption or abetment of such offences.

c) Our Director(s)/Owner(s)/Proprietor/Partner(s) have not been convicted by any court of law for offences involving corrupt and fraudulent practices including moral turpitude in relation to business dealings with Government of India or NTPC or NTPC's group companies during the last five years.

2) We further declare as under:

that if at any point subsequent to award of Contract, the declarations given above are found to be incorrect, NTPC Limited shall have the full right to terminate the Contract and take any action as per applicable laws for breach of contract including forfeiture of Bid Security/Performance Bank Guarantee.

(Acceptance to be given On Line on the system under GTE)

Annexure- 04

CERTIFICATE OF COMPLIANCE ON QUALIFYING REQUIREMENT

{*To be accepted on the system under* General Technical Evaluation (GTE)}

To,
…….
……. Power Station/Project
NTPC Limited,
……
…….

Dear Sir,

With reference to our Bid proposal for the tender we hereby confirm that the number of reference Work Orders/Purchase Orders/Letter of Awards/Contract Agreements quoted by us in **Annexure 12** in the bid, for establishing compliance to the specified Qualifying Requirements (QR) are not more than the number specified in Special Purchase Conditions (SPC).

We confirm that the reference Work Orders/Purchase Orders/Letter of Awards/Contract Agreements declared more than the number specified in the Special Purchase Conditions (SPC) shall not be considered for evaluation/establishing compliance to Qualifying Requirements (QR).

We further confirm that no change or substitution in respect of reference Work Orders/Purchase Orders/Letter of Awards/Contract Agreements as declared in our bid by new/additional Work Orders/Purchase Orders/Letter of Awards/Contract Agreements for meeting the specific Qualifying Requirement (QR) shall be offered by us.

(Acceptance to be given On Line on the system under GTE)

Annexure 05

DETAILS OF PAN, TIN and SERVICE TAX REGN.

To,
…….
……. Power Station
NTPC Limited,
……
…….

Dear Sir,

The details of our registration in line with the various authorities are as under:

(a) PAN number

Our PAN number is as under:

Permanent Account Number	

Note: Copy of card indicating PAN number duly attested by the bidder under his seal and signature to be submitted.

(b) Service Tax number (if applicable):

Our **Service Tax** is

Service Tax Number	

Note : Copy of registration with up to amendment to be enclosed.

(c) TIN (must for UP registered vendors)

Our TIN number is as under:

TIN	

Note: Copy of registration with up to amendment to be enclosed.

(d) Sales Tax Number (if applicable)

Our Sales Tax numbers are as under:

CST number	
VAT/ Local Sales Tax number	

Note: Copy of sales tax registration to be enclosed.

Annexure 06

E.F.T.Form

To,

…….
……. Power Station
NTPC Limited,
……
…….

Dear Sirs,

We, hereby authorize the Employer to make all our payments through Electronic Fund Transfer System. The details for facilitating the payments are given below:

(**TO BE FILLED IN CAPITAL LETTERS**)

3. **NAME OF THE BENEFICIARY**

4. **ADDRESS**

PIN CODE																		

6. **TELEPHONE NO. (WITH STD CODE)**

7. **BANK PARTICULARS**

A) BANK NAME

B) BANK TELEPHONE NO. (WITH STD CODE)

C) BRANCH ADDRESS

PIN CODE																		

D) BANK FAX NO (WITH STD CODE)

E) BRANCH CODE

F) 9 DIGIT MICR CODE OF THE BANK BRANCH (ENCLOSE COPY OF A CANCELLED CHEQUE)

G) 11 DIGIT IFSC CODE OF THE BANK

H) BANK ACCOUNT NUMBER

I) BANK ACCOUNT TYPE (TICK ONE)

SAVING	CURRENT	LOAN	CASH CREDIT	OTHERS

IF OTHERS, SPECIFY

8. PERMANENT ACCOUNT NUMBER (PAN)

6. E-MAIL Address for Intimation regarding release of payments

I/We hereby declare that the particulars given above are correct and complete. If the transaction is delayed or credit is not affected at all for reasons of incomplete or incorrect information, I/We would not hold the Employer responsible

SIGNATURE

DATE

(AUTHORISED SIGNATORY)

Name:

OFFICIAL STAMP

BANK CERTIFICATION:

It is certified that above mentioned beneficiary holds a bank account no……. with our branch and the Bank particulars mentioned above are correct.

DATE

SIGNATURE

(AUTHORISED SIGNATORY)

Authorisation no.: .....

Name:

Encl: Blank Cheque

OFFICIAL STAMP

Annexure 07

PROFORMA OF BANK GUARANTEE FOR EARNEST MONEY DEPOST/ BID SECURITY

(To be stamped in accordance with Stamp Act)

Bank Guarantee No……. **Date :**

To,

NTPC Limited,
……
……..
……
……

Dear Sirs,

In accordance with your NIT No. …… dated …… M/s …… (***)…… having its registered/Head Office at …… (hereinafter called the 'Bidder') wish to participate in the said Bid for …… *(name of package).*

As an irrevocable Bank Guarantee against Earnest Money Deposit/Bid Security for an amount of …… (*) …… valid for ……. days from ……. (**)……, is required to be submitted by the Bidder as a condition precedent for participation in the said bid, which amount is liable to be forfeited on the happening of any contingencies mentioned in the Bidding Documents.

We, the …….. *[Name and address of the Bank]*…….. having our head office at …… (#) …… guarantee and undertake to pay immediately on demand by NTPC Ltd. (hereinafter called 'the Employer') the amount …… (*) ……. (in figures and words) without any reservation, protest, demand and recourse. Any such demand made by the said 'Employer' shall be conclusive and binding on us irrespective of any dispute or difference raised by the Bidder.

This guarantee shall be irrevocable and shall remain valid up to …… (@) ……. If any further extension of this guarantee is required, the same shall be extended to such required period (not exceeding one year) on receiving instructions from M/s …… *[Bidders name]* ……..on whose behalf guarantee is issued.

In witness whereof the Bank, through its authorized officer has set its hand and stamp on this …… Day ……20…….. at ……..

Signature.....

Name……

Designation……

Bank's Common Seal.....

Power of Attorney No……

Note:

1. (*) The amount shall be as specified in the NIT/Bidding Documents.
   (**) This shall be the date of opening of bids.
   (***) Write the name and address of the Bidder.
   (#) Complete mailing address of the Head Office of the Bank to be given.
   (@) This date shall be forty five days beyond the validity of bid.

2. The Bank Guarantee shall be from a bank as per provisions of bidding documents.

3. The Stamp Paper of appropriate value shall be as per stamp act purchased in the name of the Bidder/Bank issuing the guarantee.

4. While getting the Bank Guarantee issued, Bidders are required to ensure compliance to the points mentioned in the Bank Guarantee Verification Check List in the bidding documents. Bidders are required to fill up this check List and enclose the same alongwith the Bank Guarantee.

5. The details of secure SFMS (in case of BGs issued from within India) or SWIFT (in case of BGs issued from outside India) sent by Bidder's Bank to Employer's Beneficiary Bank details of which are given in SPC must be furnished with the BG.

Annexure-08

FORM OF EXTENSION OF BANK GUARANTEE

(On Non-judicial stamp paper of same value on which original BG was executed)

Ref. No.: Date:

To,

NTPC Limited,
……
……
……
……

Dear Sirs,

Subject: Extension of Bank Guarantee No. …….. dated …….. for …… *[indicate value of bank guarantee]*…….. favouring yourselves expiring on …….. on account of M/s …… (*Name of Bidder)*……in respect of Contract for …… *(Insert Package name)*……, (hereinafter called original Bank Guarantee)

At the request of M/s …….. we …….. Bank branch office at …….. and having its Head Office at …….. do hereby extend our liability under the above mentioned Guarantee No. …….. dated …….. for a further period of …….. year/months from _____ to expire on ……..

Except as provided above, all other terms and conditions of original Bank Guarantee No. …… dated …….. shall remain unaltered and binding.

Please treat this as an integral part of the original guarantee to which it would be deemed to have been attached.

Signature ……
Name ……
Designation ……...

Authorised Vide
Power of Attorney No. ……...

Dated ……..

SEAL OF BANK

Annexure 09

PROFORMA FOR BANK GUARANTEE FOR CONTRACT PERFORMANCE

(To be stamped in accordance with Stamp Act)

Bank Guarantee No……. **Date :**

To,

NTPC Limited,

……

…….

……

…….

Dear Sirs,

In consideration of the NTPC Ltd., (hereinafter referred to as the 'Purchaser' which expression shall unless repugnant to the context or meaning thereof include its successors, administrators and assigns) having awarded to M/s ……. with its Registered/Head Office at …….. (hereinafter referred to as the 'Seller' which expression shall unless repugnant to the context or meaning thereof, includes its successors, administrators, executors & assigns) a Contract by issue of Purchaser's Purchase Order No. ……. dated …….. and the same having been unequivocally accepted by the seller resulting in a 'Contract' valued at ……. for ……. (scope of work/contract) and the seller having agreed to provide a contract performance guarantee of the faithful performance of the entire contract equivalent to ten percent (10%) of the said value of the contract to the purchaser.

We, ……(Name & Address of Bank)……. having our Head Office at ……. (hereinafter referred to as the 'Bank' which expression shall unless repugnant to the context or meaning thereof, include its successors, administrators, executors & assigns), do hereby guarantee and undertake to pay the Purchaser, on demand any and all monies payable by the Seller to the extent of …… as aforesaid at any time up to …… (*) without any demur, reservation contest, recourse, or protest and/or without any reference to the Seller. Any such demand made by the Purchaser on the Bank shall be conclusive and binding notwithstanding any difference between the Purchaser and Seller or any dispute pending before any court Tribunal, Arbitrator or any other Authority. The bank undertakes not to revoke this guarantee during its currency without previous consent of the

purchaser and further agrees that this guarantee herein contained shall continue to be enforceable till the purchaser discharges this guarantee.

The Purchaser shall have the fullest liberty without affecting in any way the liability of the Bank under this guarantee, from time to time to extend the time for performance of Contract by the Seller. The Purchaser shall have the fullest liberty, without affecting this guarantee to postpone from time to time the exercise of any powers vested in them or of any right which they might have against the Seller, and to exercise the same at any time in any manner, and either to enforce or to forbear to enforce any covenants, contained or implied in the contract between the Purchaser and the Seller or any other course of remedy or security available to the Purchaser. The Bank shall not be released of its obligations under these presents by any exercise by the Purchaser of its liberty with reference to the matters aforesaid or any of them or by reason of any other act or forbearance or other acts of omission or commission on the part of the purchaser or any other indulgence shown by the Purchaser or by any other matter or thing whatsoever which under law would, but for this provision, have the effect of relieving the Bank.

The Bank also agrees that the purchaser at its option shall be entitled to enforce this guarantee against the bank as a principal debtor, in the first instance without proceeding against the seller and notwithstanding any security or other guarantee that the purchaser may have in relation to the seller's liabilities.

Notwithstanding anything contained hereinabove our liability under this guarantee is restricted to …….. and it shall remain in force up to and including …… (*)…… and shall be extended from time to time for such period (not exceeding one year), as may be desired by M/s …….. on whose behalf this guarantee has been given.

Dated this …….. day of …… 20…… at ……..

WITNESS

1) SIGNATURE ……
NAME …….
OFFICIAL ADDRESS ……

2) SIGNATURE ……
NAME ……..
OFFICIAL ADDRESS ……

SIGNATURE ……..
NAME ……..
DESIGNATION ……..
BANK'S COMMON SEAL
ATTORNEY AS PER POWER OF ATTORNEY
NO……
DATE …….

NOTE :

1. (*) The Date will be Three Months beyond the expiry of the warranty period as specified in the order.

2. The Bank Guarantee shall be from a bank as per provisions of bidding documents.

3. While getting the Bank Guarantee issued, Bidders are required to ensure compliance to the points mentioned in the Bank Guarantee Verification Check List in the bidding documents. Bidders are required to fill up this check List and enclose the same alongwith the Bank Guarantee.

4. The Stamp paper of appropriate value shall be purchased in the name of guarantee issuing bank or the party on whose behalf the BG is being issued. The Bank Guarantee shall be issued on non-judicial Stamp paper of appropriate value as per Stamp act prevailing in the States where the BG is to be submitted or is to be acted upon or the rate prevailing in the state where the BG is executed, whichever is higher.

5. The details of secure SFMS (in case of BGs issued from within India) or SWIFT (in case of BGs issued from outside India) sent by Supplier's Bank to Employer's Beneficiary Bank details of which are given in SPC must be furnished with the BG.

Annexure-10

BANK GUARANTEE VERIFICATION CHECK LIST

(To be submitted with EMD and CPG)

1. Bank Guarantee No. & Date : ……..

2. Name of Issuing Bank : ……..

3. Amount of BG : ……..

4. Nature of BG & No. of Pages : ……..

5. Validity of BG : ……..

6. Vendor Reference :

Name ……..

Address……

Telephone ……..

Fax ……..

Email ……

7. Bank Reference

Name ……

Address……

Telephone ……..

Fax ……..

Email ……

Sl. No.	*Details of Checks*	Yes/No
1.	Is the BG on Non-judicial stamp paper of appropriate value, as per Stamp Act?	
2.	Whether date, purpose of purchase of stamp paper and name of the purchaser indicated on the back of stamp paper under the Signature of Stamp Vendor? (The date of purchase of stamp paper should be of any date on or before the date of execution of BG and the stamp paper should be purchased either in the name of the executing Bank or the Bidder on whose behalf the BG has been issued. The Stamp Papers (other than e-stamp paper) should be duly signed by the stamp vendor).	
3.	In case the BGs from abroad, has the BG been executed on Letter Head of the Bank?	
4.	Has the executing officer of BG indicated his name, designation and Power of Attorney No. / Signing Power No. etc., on the BG?	
5.	Is each page of BG duly signed / initialed by executant and whether stamp of Bank is affixed thereon?	
6.	Whether the last page is signed with full particulars including two witnesses under seal of Bank as required in the prescribed proforma?	
7.	Does the Bank Guarantee compare verbatim with the Proforma prescribed in the Bidding Documents?	
8.	Are the factual details such as NIT no. / Tender Enquiry no. / Bidding Documents No. / Specification No., Amount of BG, validity of BG correctly mentioned in the BG?	
9.	Whether overwriting / cutting, if any on the BG have been properly authenticated under signature & seal of executants?	
10.	Whether BG has been issued by a Bank in line with the provisions of Bidding Documents?	
11.	In case BG has been issued by a Bank other than those specified in Bidding Document, is the BG confirmed by a Bank in India acceptable as per Bidding Document?	

Signature of Bidder……..

Name …….

Designation ……

Seal

Annexure-11

LIST OF BANKS WHOSE BANK GUARANTEE IS ACCEPTABLE FOR EARNEST MONEY DEPOSIT/BID SECURITY/CONTRACT PERFORMANCE GUARANTEE

Updated scheduled commercial bank list as on 4.11.2016

A SBI AND ASSOCIATES

1. State Bank of India
2. State Bank of Bikaner & Jaipur
3. State Bank of Hyderabad
4. State Bank of Mysore
5. State Bank of Patiala
6. State Bank of Travancore

B NATIONALISED BANKS

1. Allahabad Bank
2. Andhra Bank
3. Bank of India
4. Bank of Maharashtra
5. Canara Bank
6. Central Bank of India
7. Corporation Bank
8. Dena Bank
9. Indian Bank
10. Indian Overseas Bank
11. Oriental Bank of Commerce
12. Punjab National Bank
13. Punjab & Sind Bank
14. Syndicate Bank

15. Union Bank of India
16. United Bank of India
17. UCO Bank
18. Vijaya Bank
19. Bank of Baroda
20. Bhartiya Mahila Bank

C SCHEDULED PRIVATE BANKS (INDIAN BANKS)

1. Catholic Syrian Bank
2. City Union Bank
3. Dhanlaxmi Bank Ltd.
4. Federal Bank Ltd
5. Jammu & Kashmir Bank Ltd
6. Karnataka Bank Ltd
7. Karur Vysya Bank Ltd
8. Lakshmi Vilas Bank Ltd
9. Nainital Bank Ltd
10. Kotak Mahindra Bank
11. RBL Bank Limited
12. South Indian Bank Ltd
13. Tamilnad Mercantile Bank Ltd
14. ING Vysya Bank Ltd
15. Axis Bank Ltd.
16. IndusInd Bank Ltd
17. ICICI Bank
18. HDFC Bank Ltd.
19. DCB Bank Ltd

20. Yes Bank Ltd
21. IDFC Bank Limited
22. Bandhan Bank Limited

D SCHEDULED PRIVATE BANKS (FOREIGN BANKS)

1. Abu Dhabi Commercial Bank Ltd
2. Bank of America NA
3. Bank of Bahrain & Kuwait B.S.C.
4. Mashreq Bank p.s.c.
5. Bank of Nova Scotia
6. Crédit Agricole Corporate and Investment Bank
7. BNP Paribas
8. Barclays Bank
9. Citi Bank N.A.
10. Deutsche Bank A.G.
11. The HongKong Shangai Banking Corporation Ltd
12. Societe Generale
13. Sonali Bank Ltd.
14. Standard Chartered Bank
15. J.P. Morgan Chase Bank, National Association
16. State Bank of Mauritius Ltd.
17. DBS Bank Ltd.
18. Bank of Ceylon
19. PT Bank Maybank Indonesia TBK
20. A B Bank
21. Shinhan Bank.
22. CTBC Bank Co. Ltd.

23. Mizuho Bank Ltd
24. Krung Thai Bank Public Company Ltd.
25. KBC Bank N.V.
26. The Bank of Tokyo-Mitsubishi UFJ Limited.
27. Austalia & Newzealand Banking Group Limited
28. Sumitomo Mitsui Banking Corporation
29. American Express Banking Corporation
30. CommonWealth Bank of Australia
31. Credit Suisse A.G.
32. FirstRand Bank Ltd.
33. Industrial & Commercial Bank of China Ltd.
34. JSC VTB Bank
35. National Australia Bank
36. Cooperatieve Centrale Raiffeisen-Boerenleenbank B.A
37. Sberbank
38. United Overseas Bank Ltd.
39. Westpac Banking Corporation
40. Woori Bank
41. The Royal Bank of Scotland N.V.
42. Doha Bank Qsc
43. Industrial Bank of Korea
44. KEB Hana Bank
45. National Bank of Abu Dhabi PJSC

E OTHER PUBLIC SECTOR BANKS

1. IDBI Bank Ltd.

Annexure 12

Summary of Details & Documents in Support of QR

(*To be submitted in Envelope 2 with Techno-commercial Bid*)

To,
…….
……. Power Station
NTPC Limited,
……
…….

In order to meet the Qualifying Requirement of NIT, we submit as under:

Sl.	QR Stipulation	Brief Details alongwith Supporting Document				
		Name of Client (Name and address)	LOA/ Contract/ Purchase Order no. and date	Award Value of LOA/ Contract/ Purchase Order (Rs.)	Client Certificate details	Value of work executed (Rs.) Period of execution

		Financial Year (.....)				
		Financial Year (.....)				
		Financial Year (.....)				
		Average				
	Documents in Support of meeting QR: Bidder must submit all requisite documents in support of their meeting the QR including those detailed in the SPC.					

Annexure 12A

Details pertaining to Technical Qualification of Bidder

To

AGM(Corporate Materials)

NTPC Limited,

Noida - 201301

Dear Sirs,

To satisfy the qualifying requirements specified, we furnish following details in respect of Orders given at Attachment 12 above:

	Particulars	**Order- 1**	**Order - 2**	**Order – 3**
1.	PO No./Contract/Work Order and Date			
2.	Client name and its address, fax no. & telephone no.(e-mail address)			
3.	Name & Designation of the responsible person in client's organization (e-mail address)			

Note :

1. Continuation sheets of like size and format may be used as per the Bidder's requirement and shall be annexed to this Schedule.
2. Bidder is required to attach necessary documents like copies of work order, completion certificates, agreements etc. in support of above.

Annexure – 12 B

Proforma of Certificate from the CEO/CFO Of the company in accordance with Financial requirement criteria in cases where audited results for the last financial year as on the date of Techno-commercial bid opening are not available

(To be submitted by Bidder along with the Techno-commercial Bid with QR Documents)

Ref : Date :

To

NTPC Limited,

6th Floor, Engg. Office Complex

Plot A- 8A, Sector -24, Noida –201301

Dear Sir,

1.0 I, Mr./Ms. ……(*CEO of the Company/*CFO of the Company), confirm and undertake that the Financial results of the Company are under audit as on the date of Techno-commercial bid opening and the Certificate from the practicing Chartered Accountant certifying the financial parameters is not available.

2.0 Accordingly, the company is not able to submit the Certificate from a practicing Chartered Accountant certifying its financial parameters for the last financial year and the audited results of the three consecutive financial years preceding the last financial year have been considered for meeting the financial parameters in the bid submitted by M/s …… (Name of the Bidder) for the ……(Name of the package) under NIT reference No. …… Dated ……

Yours faithfully,

Signature ……

Name & Designation ……..

Name of the Company ……..

(Seal of Company)…….

Note : *Strike off whichever is not applicable.

Integrity Pact be adopted if applicable for the Package

(Format for Integrity Pact: Attached as **Annexure-19**)

NTPC LIMITED

(A Government of India Enterprise)

VOLUME – II

SECTION I

SPECIAL PURCHASE CONDITIONS

VERSION 1.0

SPECIAL PURCHASE CONDITIONS (SPC) (The conditions in this section will supersede any other related conditions anywhere else in this tender document)		
Special Purchase Conditions – Volume II Section I Part - A		
1.0	**TYPE OF BIDDING**	Single Stage Single Envelope/ Single stage Two Envelope/Two Stage (Remove whichever is not applicable)
2.0	**REVERSE AUCTION RULES**	APPLICABLE / NOT APPLICABLE
3.0	**PRICE BASIS** {ITB Clause 12.0 & GPC Clause 16.0}	
4.0	**EARNEST MONEY DEPOSIT (EMD) / BID SECURITY** {ITB Clause 14.0}	The Bidder shall furnish, as a part of his Bid a **Earnest Money Depoit/Bid Security in the amount of ₹ ……../- (Rupees …… only)** in a sealed envelope, super scribed on the top as under, Tender No. **…….** Due Date of Bid Opening …… (Date of Techno-Commercial Bid Opening) From …… (Name of the Bidder)."
		Note: i) In case Bid Security is submitted by way of Bank Guarantee, the same should be valid for 225 days from the date of Opening of Techno-commercial offer. ii) In case Bid Security is submitted by way of DD / Bankers Cheque same should be drawn in favour of "NTPC Ltd." and should be payable at …….. iii) In case of e-payment of EMD on the portal, upon successful E-payment on the portal, an e-receipt shall be issued to the bidder by the system, a copy of which is to be submitted by the bidder with the bid as document towards e-payment of EMD. iv) Any Bid not accompanied by an acceptable Earnest Money Deposit in a separate sealed envelope shall

<table>
<tr><td></td><td></td><td>be rejected by the Owner as being non-responsive and returned to the Bidders without being opened.</td></tr>
<tr><td>5.0</td><td>CONFIRMATION OF BGS (INCLUDING BID SECURITY & CONTRACT PERFORMANCE GUARANTEE) THROUGH STRUCTURED FINANCIAL MESSAGING SYSTEM (SFMS)/SWIFT</td><td>While issuing the physical BGs, the Bidder’s Bank shall also send electronic message through secure SFMS (in case of BGs issued from within India) or SWIFT (in case of BGs issued from outside India) to Employer’s Beneficiary Bank whose details are provided herein below:
<table>
<tr><td>i</td><td>Bank Name</td><td></td></tr>
<tr><td>ii</td><td>Branch</td><td></td></tr>
<tr><td>iii</td><td>Bank Address</td><td></td></tr>
<tr><td>iv</td><td>IFSC Code</td><td></td></tr>
</table>
Bidders are advised to ensure that the message is sent by their Bankers and the Bidders must submit the reference details as part of the bid with the EMD.</td></tr>
<tr><td>6.0</td><td>VALIDITY OF OFFER

{ITB Clause 17.0}</td><td></td></tr>
<tr><td>7.0</td><td>TRANSFER OF BID DOCUMENTS</td><td></td></tr>
<tr><td>8.0</td><td>DOCUMENTS IN SUPPORT OF MEETING THE QUALIFYING REQUIREMENTS</td><td></td></tr>
<tr><td>9.0</td><td>COMPLIANCE ON QUALIFYING REQUIREMENTS</td><td>Bidders are required to furnish the details of the past experience like authentic Work Orders/Purchase Orders/Letter of Awards/Contract Agreements, client certificates, completion certificate, etc. in support of meeting the Qualifying Requirements based on which selection is to be made as per format at Annexure 12A of Volume I Section IV of the bidding documents. These references shall only be considered to ascertain the bidder’s compliance to Qualifying Requirement (QR). No claims without supporting documents shall be accepted in this regard. However, if any of the Work Orders/Purchase Orders/Letter of Awards/Contract Agreements pertains to the work executed by Bidder for NTPC in the past, then in</td></tr>
</table>

		respect of such Work Orders/Purchase Orders/Letter of Awards/Contract Agreements, Bidder shall not be required to enclose Client Certificate along with its Bid. Bidders wishing to provide additional Work Orders/Purchase Orders/Letter of Awards/Contract Agreements are required to declare the same in similar format which shall be additionally attached and uploaded. ***However, bidders are not permitted to quote more than ……. Work Orders/Purchase Orders/Letter of Awards/Contract Agreement for QR at ……. of NIT***
10.0	**JURISDICTION**	
11.0	**PLACE OF ARBITRATION** {GPC Clause 14.1.3}	
12.0	**INSURANCE** {GPC Clause 16.0}	
13.0	**FREIGHT** {GPC Clause 16.0}	
14.0	**DELIVERY SCHEDULE/COMPLETION SCHEDULE** {GPC Clause 19.0}	
15.0	**PAYMENT TERMS** {GPC Clause 19.0}	
16.0	**CONTRACT PERFORMANCE GUARANTEE (CPG)** {GPC Clause 24.0}	
17.0	**TAXES & DUTIES** {GPC Clause 25.0}	{Herein specify whether concessional form shall be

		issued}	
18.0	**WARRANTY / GUARANTEE** {GPC Clause 30.0}	{Herein specify Warranty requirements}	
19.0	**INSPECTION** {GPC Clause 33.0}	{Herein specify Inspection requirements}	
20.0	**INTEGRITY PACT** {ITB Clause 40.0}	{Herein specify Integrity Pact requirements}	
21.0	**Evaluation Criteria** {ITB Clause 30.0}		
22.0		Any other requirements be detailed ot	
23.0	**CONTACT PERSONS / ADDRESS**		
	Telephone		
	Fax		
	E mail ID		

--- x x x* ---

CHAPTER-IX

EVALUATION OF PURCHASE PERFORMANCE

9.0 EVALUATION OF PURCHASE PERFORMANCE

9.1 The various activities in the purchase function are required to be evaluated and monitored periodically for economy, efficiency and effectiveness. The parameters for such evaluation are:

1. Adherence to lead time
2. Extent of rejection.
3. Budget Compliance

Indices of Performance.

9.2 ADHERENCE TO LEAD TIME:

Against each purchase order the supplies are to be effected as per the declared lead time with a cushion + 10%. In case the actual lead time fifers by more than + 10% from the declared lead time then the total lead time slippage shall be taken into account for rating calculation.

$$\text{RATING} = \frac{\text{DECLARED LEAD TIME} - \text{SLIPPAGE}}{\text{DECLARED LEAD TIME}}$$

9.3 EXTENT OF REJECTION

Supplies as per the specification and without rejection should be the aim of purchase executive Rating shall be calculated as under:

$$\text{RATING} = \frac{\text{VALUES OF MATERALS SUPPLIED- VALUE OF MATERIALS REJECTED}}{\text{VALUE OF MATERIAL SUPPLIED}}$$

9.4 BUDGET COMPLIANCE

The responsibility of each purchase executive is to keep the procurement within the allocated budget. Rating will be calculated as under:

$$\text{RATING} = \frac{\text{BUDGET ALLOCATION} - \text{EXCESS OVER BUDGET}}{\text{BUDGET ALLOCATION}}$$

And the overall percentage rating should be calculated as under:-

OVERALL PERCENTAGE RATING = (SUM OF ABOVE THREE RATINGS)/3 X 100

CHAPTER-X

VENDOR EVALUATION

10.0 VENDOR EVALUATION

10.0.1 Vendor performance parameters & weightages

As a first step towards developing the redesigned Vendor Rating System, all vendor interaction points during the procurement process starting from submission of offer to delivery and other post-award activities were mapped. This exercise helped in identifying the parameters against which the vendors were to be rated as well as the weightages to be assigned to each of those parameters. The emphasis was on minimizing the level of subjectivity and ensuring a high degree of measurability of the evaluation parameters.

The redesigned Vendor Rating System evaluates a vendor's performance along four dimensions:

1. Supplier Responsiveness
2. Quality
3. Delivery
4. Post-delivery Performance

It should be noted that for all the parameters, vendors are penalized for delays attributable to them only and not delays due to procedures within NTPC.

The parameters and the weightages assigned for different tender types and inspection conditions are presented in the following table.

Parameters	**Weightages**			
	LT/OT with PDI	LT/OT without PDI	ST with PDI	ST without PDI
Supplier Responsiveness	35%	35%	40%	40%
Quality	25%	25%	20%	20%
Delivery	35%	35%	35%	35%
Post-delivery Performance	5%	5%	5%	5%
Total	100%	100%	100%	100%

10.0.1a. Supplier Responsiveness

Purchase experience of NTPC indicates that responsiveness of vendors to specific requirements stated in tender enquiries contributes significantly to the overall perception of vendor's performance. Supplier responsiveness has a strong impact on the time frame in which the purchase cycle can be closed out.

This parameter is designed to measure adherence to NTPC requirements by the vendors. It assesses the vendor's willingness and ability to service procedural requirements and contribute in expediting the purchase process.

It is well recognized that vendors participating in the purchase process through the Single tender route are 'less responsive' when compared to the competitive Limited/Open tender route. Therefore, greater emphasis (in terms of weightage) has been given to this parameter in Single tender formats.

Weightage Assigned for Supplier Responsiveness: 1) 40% for Single Tender Cases
2) 35% for Limited/Open Tender Cases

Scoring

The points against each sub-parameter of this section (Supplier Responsiveness) are determined by the response to a specific question designed to measure performance against that sub-parameter. In case of a 'Yes', the purchase order is assigned 1 point along that sub-parameter. Otherwise a 0 is assigned. The score along that sub-parameter is computed as the product of the points (1 or 0) and the weightage assigned to it.

The performance of vendors before and after placement of purchase order, in terms of responsiveness is observed to differ. Hence, in the redesigned rating system, the vendor is rated on this parameter at both the pre-award and the post-award stages. Specific parameters used to assess supplier responsiveness during the pre-award and post-award stages along with their weightages are detailed below.

I. Pre-Award

This section evaluates a vendor's responsiveness before the actual award of the tender. Currently pre-award responsiveness is perceived to be a more important area of improvement for Single tender categories than that for Limited/Open tender categories. Consequently, a slightly higher weightage is attached to Pre-Award responsiveness in Single tender cases than in Limited/Open tender cases.

The sub-parameters and the weightages for evaluating Supplier Responsiveness – Pre-Award are presented in the following table.

Parameter	Sub-parameters	Weightage			
		LT/OT with PDI	LT/OT without PDI	ST with PDI	ST without PDI
I. Supplier Responsiveness Pre-award	Ia. Response time to bid	4%	4%	9%	9%
	Ib. Deviations	3%	3%	3%	3%
	Ic. Completeness of offer	4%	4%	4%	4%
	Id. Timeliness of acceptance of purchase order	4%	4%	4%	4%
	Total	15%	15%	20%	20%

1. Response time to bid

This parameter measures the vendor's promptness in responding to the tender enquiry issued by NTPC. It has been observed that in Single tender cases, vendors take a long time to respond leading to extension of the bid opening date and inadvertent delays in the purchase process. This has been factored in by according a higher weightage against this parameter for Single tender cases compared to the Limited/Open tender category.

Scoring

The vendor would be awarded 1 point (corresponding to a 'Yes') against this parameter if the vendor's bid was received within the first Bid Opening Date (BOD) fixed by NTPC. Otherwise the vendor would not be awarded any points.

In Limited/Open tender cases, if the BOD was extended but the offer of the vendor being rated was received within the first BOD, then the vendor would be awarded maximum points against this parameter.

Weightage: Single Tender – 9%

Limited/Open Tender – 4%

Input from: Purchase Department

Source Document: Bid Opening Statement

2. Deviations

In the past, vendors, while submitting the bids, have taken various deviations from the terms and conditions stipulated in the tender enquiry. Some of these deviations have been primarily financial in nature. The following important deviations are being considered for rating vendors:

i. Payment Terms
ii. LD Clause
iii. Earnest Money Deposit/Performance Bank Guarantee

Scoring

If the vendor, while submitting the bid, had taken any deviation with respect to Payment terms as per G.P.C, LD Clause, EMD/PBG, the vendor would not get any points against that sub-parameter.

In case the vendor's offer has no mention of any of these clauses & subsequently, NTPC also didn't insist for such a clause in P.O. (due to small order value or any other reasons) the vendor would still get maximum points against this sub-parameter.

With respect to payment terms, only vendors who complied with the payment terms exactly as specified in the tender enquiry would be awarded full points. This would also apply to cases where some other payment terms may finally be accepted by NTPC in the purchase order placed to the vendor.

If the vendor qualified for waiver of EMD/PBG, as per NSIC/SSI registration policy, then the vendor would get full points on this parameter.

Weightage: Single Tender - 3%
Limited/Open Tender - 3%
Input from: Purchase Department
Source Document: Vendor Offer

3. Completeness of offer

The purchase process is delayed when, after opening the bids, it is found that offer documents are not complete in all respects. In such cases additional specifications are sought to finalize the bids. This undue delay on account of incompleteness of information would be recorded as negative performance by this parameter.

Scoring

The offer would be considered complete if no technical and/or commercial clarification were sought after opening of bids. In such cases, full points will be awarded for this sub-parameter.

Sometimes additional technical specifications are required from vendors before finalizing the bids which were otherwise not explicitly indicated in tender documents. In such cases, the bid would be considered as complete if the clarification/details required were not covered in the tender enquiry. Otherwise the documents would be considered as incomplete and no points would be awarded on this parameter.

Weightage: Single Tender - 4%
Limited/Open Tender - 4%
Input from: Purchase Department
Source Document: Vendor Offer

4. Timeliness of acceptance of purchase order

In cases where the vendors were stipulated to send an acceptance of the receipt of purchase order, inadvertent delays in these responses have been commonplace. A vendor who responds with an acceptance well in time is given due credit and delays are discouraged.

Scoring

The vendor would be awarded full points if the vendor had sent an accepted copy of the purchase order within the time frame specified by NTPC.

Weightage: Single Tender - 4%
Limited/Open Tender - 4%
Input from: Purchase Department
Source Document: Vendor Offer

b. Post-Award

This section evaluates a vendor's responsiveness in fulfilling the requirements spelled out in the purchase order during the post-award stage.

The sub-parameters and the weightages for evaluating Supplier Responsiveness – Post-Award are presented in the following table.

Parameter	Sub-parameters	Weightage			
		LT/OT with PDI	LT/OT without PDI	ST with PDI	ST without PDI
I. Supplier Responsiveness Post-award	Ia. Pre-dispatch documentation	7%	7%	7%	7%
	Ib. Timeliness of inspection call	5%	-	5%	-
	Ic. Compliance to PO terms	4%	6%	4%	6%
	Id. Post-dispatch documentation	4%	7%	4%	7%
	Total	20%	20%	20%	20%

1. Pre-Dispatch Documentation

Tender specifications may require the vendors to furnish necessary documents (QP/Drawings/Data Sheet etc.) on receipt of the purchase order. This parameter distinguishes between vendors who have provided these documents to the station on time and vendors who have caused delays in the process.

Scoring

The vendor would be awarded full points in 'Timeliness' if there was a requirement of Quality Plan and/or Drawings and/or Data Sheet Approval and/or Performance Bank Guarantee, and the vendor furnished **all** the necessary documents within the stipulated time after receipt of purchase order.

Non-receipt of even one of the documents within specified time would result in no points being awarded for this sub-parameter.

In terms of 'Completeness', documents would be considered to be complete if no further clarification on such documents was requested by NTPC after their receipt.

Weightage for Timeliness: Single Tender - 3.5%

Limited/Open Tender - 3.5%

Weightage for Completeness: Single Tender - 3.5%

Limited/Open Tender - 3.5%

Input from: Purchase Department

Source Document: Purchase File

2. Compliance to purchase order terms

The purchase order indicates a number of stipulations (e.g. payment terms, NTPC authorized transporter etc.) for the vendor to follow in the course of fulfilling the order. This parameter accords due credit to the diligent adherence to these terms specified in the purchase order. However, score on this parameter does not reflect compliance to financial terms mentioned in an earlier section under the sub-parameter of 'Deviations' in the 'Pre-award' stage.

Scoring

If the vendor had taken any deviation (even though NTPC might have accepted the same) to the stipulated terms in the purchase order, the vendor would get no points against this sub-parameter. For instance, if the vendor did not adhere to purchase order terms or dispatched material through a transporter other than the NTPC authorized transporter then the vendor would get no points against this sub-parameter.

Weightage: Single Tender with PDI - 4%
Single Tender without PDI - 6%
Limited/Open Tender with PDI – 4%
Limited/Open Tender without PDI – 6%

Input from: Purchase Department

Source Document: Purchase File

3. Post-dispatch Documentation

The last vendor activity in the purchase cycle is the dispatch of all relevant documents including invoice, packing list, LR/GR copy, MDCC report, TC/GC, etc. In the past, instances of non/late receipt of some documents have led to purchase cycle being unduly extended.

Scoring

The vendor would get full points on the 'Timeliness' parameter if **all** the documents - Packing List, LR/GR copy, MDCC report, TC/GC etc. were dispatched by the vendor within the stipulated time frame.

In 'Completeness' of post dispatch documentation, vendor would get no points if the vendor had failed to furnish atleast one document required either by stores or finance and which resulted in correspondence by NTPC with the vendor.

Weightage: Single Tender with PDI – 4%
Single Tender without PDI – 7%
Limited/Open Tender with PDI – 4%
Limited/Open Tender without PDI – 7%

Input from: Purchase/Finance/C&M Stores Department

Source Document: Purchase File, DM from Finance

10.0.1b. Quality

This parameter captures the performance with respect to the quality of items, as assessed during inspections. In Limited/Open Tender cases where price competitiveness is very critical, a larger weightage has been assigned to quality to ensure that quality of supplies also remains a key focus area both for vendors and NTPC.

The sub-parameters and the weightages for evaluating Quality are presented in the following table.

Parameter	Sub-parameters	Weightage			
		LT/OT with PDI	LT/OT without PDI	ST with PDI	ST without PDI
II. Quality	IIa. Vendor works inspection / pre-dispatch inspection	20%	0%	15%	0%
	IIb. NTPC Stores inspection	5%	25%	5%	20%
	Total	25%	25%	20%	20%

Scoring

The points against each sub-parameter of this section (Quality) would be determined by the response to a specific question designed to measure performance against that sub-parameter. The points would be assigned to each sub-parameter in the range of 0 to 1 (including intermediate values) depending on the quality of supplies as tested at Vendor works & NTPC Stores respectively. The score along that sub-parameter would be computed as the product of the points and the weightage assigned to it.

Quality is evaluated in NTPC at different stages of the purchase and usage cycle. The Rating System tries to map these stages and performance in these stages contributes to the overall score for quality.

1. Vendor works Inspection / Pre-dispatch inspection (applicable only for cases with PDI)

Inspection at vendor's premises is the first Quality check of the items and an important part of the Purchase cycle. Good quality together with all the requisite information expedites this process and this is duly recognized. From a quality standpoint, this step has a far greater impact for Limited/Open tender categories and this fact is recognized by assigning a larger weightage to this parameter for Limited/Open tender cases.

Scoring

The vendor would not be awarded any points in this parameter if the vendor gave an inspection call and did not offer material for inspection. This would be considered equivalent to rejection (even though on the subsequent visit of the inspector, material might be fully accepted).

If during inspection, NTPC's inspector raised a CHP (Customer Hold Point) seeking clarifications/approval at site, the sub-head 'Clarifications' would be applicable (only if this clarification was due to the vendor not obtaining such confirmation before calling the inspector).

Weightage: Single Tender – 15%
Limited/Open Tender – 20%

Input from: RIO/FQA

Source Document: MDCC

2. NTPC Stores Inspection

NTPC Stores Inspection is the first Quality check for cases where no PDI takes place. This parameter is a direct indicator of incoming quality in such cases. The focus on quality for Limited/Open tender purchases is maintained by assigning a greater weightage to this parameter for Limited/Open tender cases than for Single tender cases.

In cases where PDI has already been conducted, the inspection at NTPC stores is used mainly for confirmation that the goods have been received in good condition. It does not typically yield additional information about the quality of items released from the vendor's premises. Hence a very low weightage has been assigned to this parameter when PDI is conducted.

Scoring

The vendor would be given maximum points in this parameter if the vendor's consignment was fully accepted after the Stores Inspection.

In case of part acceptance, the points assigned equal the ratio of accepted value to purchase order value.

Weightage: Single Tender without PDI – 20%
Single Tender with PDI – 5%
Limited/Open Tender without PDI – 25%
Limited/Open Tender with PDI – 5%

Input from: C&M, Stores Department

Source Document: SRV

10.0.1c. Delivery

NTPC, at all its stations, has experienced varying levels of delivery performance of all types of vendors. A significant area of concern has been the timeliness of delivery leading to long purchase cycle times and part delivery of items. This parameter, therefore, assesses a vendor's performance in terms of completeness and promptness of vendor's deliveries.

The sub-parameters and the weightages for evaluating Delivery characteristics are presented in the following table.

Parameter	Sub-parameters	Weightage			
		LT/OT with PDI	LT/OT without PDI	ST with PDI	ST without PDI
III. Supplier Responsiveness Post-award	IIIa. Quantity	10%	10%	10%	10%
	IIIb. Timeliness	25%	25%	25%	25%
	Total	35%	35%	35%	35%

Scoring

The points in each sub-parameter of this section (Delivery) would be assigned in the range of 0 to 1 based on the computation indicated in the form. The score for that sub-parameter would be computed as the product of the points and the weightage assigned to it.

1. Quantity

This parameter has been included to capture deviations in the delivered quantity from the quantity mentioned in the purchase order. Quantity deviations (i.e. delivered quantity greater than or less than ordered quantity) are discouraged and result in loss of points on the rating scale.

Scoring

In case of items for which unit of measurement is numbers/sets, full points would be awarded only if the quantity received was exactly equal to the quantity ordered. For other items(e.g. steel, paints, some electrodes, tubes, etc) full points would be awarded if the received quantity was within the permissible range of the quantity ordered.

In case of purchase orders having a number of items with different quantities of each item, total quantity of each item taken together should be considered.

Weightage: Single Tender – 10%
Limited/Open Tender – 10%

Input from: C&M Stores Department

Source Document: SRV

2. Timeliness

The timeliness of delivery is a very important consideration for NTPC to ensure smooth plant operations. Hence this criteria has been given a large weightage to emphasis its importance to NTPC.

Scoring

A delay would be recorded even if a single unit of any one of the many items in the purchase order was delayed beyond the contractual delivery date. The delay in delivery for such items would be used as a direct input for computing the points for this sub-parameter.

In cases where delay in delivery (in weeks) was more than the contractual delivery (in weeks), vendor would get no points against this parameter.

e.g. if the delivery period was 12 weeks and the vendor had supplied material after 24 weeks of placement of purchase order, the vendor would get no points on this parameter.

Further, if an order was placed on a vendor having multiple items, with quantity of each item given in the purchase order, if part quantity of even one item remained pending for more than 24 weeks (against delivery period of 12 weeks) the vendor would not get any points against this parameter.

Weightage: Single Tender – 25%
Limited/Open Tender – 25%

Input from: C&M Stores Department

Source Document: SRV

10.0.1c. Post-delivery Performance

A critical element of vendor performance is the actual quality of supplies and service relative to contracted / promised quality. This post-delivery performance of the vendor can be assessed on the dimensions of infield quality of the materials supplied and the quality of service provided by the vendor.

The sub-parameters and the weightages for evaluating Post-delivery Performance are presented in the following table.

Parameter	Sub-parameters	Weightage			
		LT/OT with PDI	LT/OT without PDI	ST with PDI	ST without PDI
IV. Post-delivery Performance	IVa. Infield Quality (Materials)	3%	3%	3%	3%
	IVb. Service Quality	2%	2%	2%	2%
	Total	5%	5%	5%	5%

Scoring

The points against each sub-parameter of this section (Post-delivery Performance) are determined by the response to a specific question designed to measure performance against that sub-parameter. In case of a 'Yes', the purchase order is assigned 1 point along that sub-parameter. Otherwise a 0 is assigned. The score along that sub-parameter is computed as the product of the points (1 or 0) and the weightage assigned to it.

While assessing post-delivery performance, contractual quality and service obligations should be used as a benchmark. In view of the lack of objective data capturing actual performance, currently the vendor rating system assigns a low weightage to this parameter. However, going forward, as more data is captured the weightage for this parameter must be enhanced

1. In-field Quality (Materials)

The in-field performance of the vendor delivered spares is undoubtedly the best indicator of the quality standards of the vendor. Since the rating is carried out just after the final SRV is received by the Purchase department, vendor will be rated on the quality of supplies made against a previous purchase order for similar item to the same group or same item to a different group.

The user groups, in their feedback, would spell out their assessment of the spare or equipment's performance based on life, run hours of the equipment, guarantee period and/or expected life.

Scoring

The in-field performance of supplies by a vendor would be assessed using the following approach. The performance of the same or similar item supplied by the vendor in the past would be used to rate the vendor on infield performance.

When data for run-hours is available it is compared with expected/guaranteed life by the indenter and points are assigned based on the infield-performance.

In cases where no data is available, the feedback received from end users would be considered.

In the event of no adverse report or no previous purchase order to the vendor for similar item, vendor would get full points against this sub-parameter.

Weightage: Single Tender – 3%
Limited/Open Tender – 3%

Input from: End-user Department

Source Document: Indent

2. Service Quality

In certain purchases, after sales service is an integral part of the purchase agreement. In such cases, the quality of service provided by the vendor must be assessed on the basis of the promised service level. However, this assessment for a vendor would be reflected in the ratings of subsequent purchase orders to the same vendor (since the ratings are done just after the final SRV is received by the Purchase department).

Scoring

Service quality of a vendor would be assessed by the end-users and indicated on the purchase request. This assessment would be done on the basis of quality of service benchmarked against the promised service level.

In the event of no adverse report or no previous purchase order to the vendor, full points should be awarded against this sub-parameter.

Weightage: Single Tender – 2%
Limited/Open Tender – 2%

Input from: End-user Department

Source Document: Indent

10.1. Selection of Purchase Orders for Rating

Considering the large number of purchase orders placed by each NTPC plant every year, rating vendor performance against every purchase order would be quite cumbersome. It was therefore felt that only a select set of purchase orders should be rated on an annual basis. A detailed analysis was conducted to determine the cut-off value above which purchase orders should be rated. The purchase order data of the Dadri plant for the last three years was a key input for conducting this analysis. The decision criteria used were:

- **Type of tender:** It was felt that the results of the vendor rating system could be used to take key actions for all categories of vendors. However NTPC could leverage the rating system to a greater extent (in terms of potential action steps that could be taken) for Limited/Open tender vendors as compared to Single tender vendors. Hence the cut-off values have been chosen to ensure that a larger number of Limited/Open tender purchase orders are rated as compared to Single tender purchase orders.
- **Value coverage:** The choice of cut-off values has been made to ensure that the value of the purchase orders rated represents a significant percentage of the total purchase order value for the year.
- **Number of ratings:** The cut-off values have been chosen keeping in mind that the number of ratings every year should be reasonable for the purchase department to carry out.
- **Number of vendors rated:** The cut-off values have been determined to ensure that the more important vendors are not left out of the purview of the system and also to ensure that the system covers a sizable percentage of the total vendors.
- **Type of vendor**: The system, currently, has been designed to cover only those vendors that supply 'core' items to the plant. These supplies are likely to have a direct bearing on the plant's generation, efficiency and safety. On the other hand, non-core items are considered to be items that do not affect plant generation directly. These include stationery, medicines, hospital supplies and equipment, household items, etc.

Based on the results of the analysis all the purchase orders (representing core-items only) against which full material has been received and have values above the following would be rated:

- Single tender: >Rs. 400,000
- Limited/Open tender: >Rs. 100,000
- Open tender: >Rs. 1,500,000

At these cut-off values, the value coverage of purchase orders at Dadri is more than 85% of the total annual purchase value. This includes an average (over the last 3 years) of 280 purchase orders across tender categories. Of these, 187 purchase orders are Limited tender cases while 89 belong to the Single tender category.

A detailed analysis of purchase orders for the last 3 years from the Singrauli & Unchahar plants confirmed that the cut-off values mentioned above are also applicable to other NTPC plants. Details of this analysis are available in Appendix II

Additionally, for supplies that are critical to plant operations, users may recommend rating POs below cut-off values as well.

10.2. Computation of Scores & Ratings

a. Total Score of a Purchase Order

The sum of scores of the three main parameters of Supplier Responsiveness, Quality and Delivery would together yield the total score for the Purchase Order. The scores of individual sub-parameters (points assigned times the weightage) within a main parameter would add up to the score for that parameter.

b. Annual Scores

Even though all purchase orders above the respective cut-off limits would be rated, an annual score will be computed for each vendor by averaging the scores for all individual purchase orders for that vendor during the year.

If a particular vendor had supplied under both single and limited tender categories, separate annual scores would be computed for both types of tender categories. The average of the two annual scores weighted by the respective number of purchase orders in each category would be taken for arriving at the consolidated figure of annual score for the vendor.

c. Rating Scale

The annual scores would then be translated into a rating for the vendor. The following Rating Scale would be used to determine the annual overall rating:

Score	Rating
96 – 100	Excellent
86 – 95	Very Good
76 – 85	Good
60 – 75	Satisfactory
59 and below	Unsatisfactory

The rating bands have been defined to have a near normal distribution of scores with minimum number of vendors in the top and bottom bands. The annual rating of a vendor would merit appropriate action steps, details of which are presented in the following section.

10.3. Action Steps

The action steps envisaged under the Redesigned Vendor Rating System are aimed at improving the overall quality of NTPC's vendor base. These action steps are based on a Vendor's annual rating and have been explained in detail below.

A. High-performing vendors – rated as 'Excellent'

- Vendors who have performed consistently well i.e. have an overall 'Excellent' rating with a minimum of three purchase orders rated could be considered candidates for relaxation of pre-dispatch inspection (PDI) norms.

On a case-to-case basis, PDIs could either be waived off completely or partially. A complete waiver would entail no PDIs at all for that vendor. In case of a partial waiver, NTPC could carry out a comprehensive process inspection once a year and then decide not to carry out any PDI against a specific purchase order. In cases of staggered delivery, partial waiver of PDIs could be done wherein inspection is not done for all deliveries but only for a few pre-determined dispatches (e.g. one in three deliveries are inspected before dispatch).

- The decision to relax PDI norms will also be governed by vendor performance on the 'Quality' parameter. Vendor performance on this parameter in the preceding three years would be monitored on an ongoing basis.

Vendors whose annual rating in this three year period has always been either 'Excellent', 'Very Good' or 'Good' **and** have scored above 95% on the 'Quality' parameter in all the years could be considered for relaxation of the PDI clause. The extent of relaxation is to be decided on a case to case basis as stated above. However, the vendor must furnish a test certificate in such cases with each delivery.

- In Limited tender cases, items for which **all** the vendors in the consideration set have performed well – 'Excellent' rating for all the vendors - pre-award norms of Performance Bank Guarantees (PBG) & Earnest Money Deposit (EMD) could be relaxed for the entire vendor group.

For Single tender cases, if the sole supplier has an 'Excellent' rating, the vendor could be a candidate for relaxation of PBG/EBD norms.

- The list of vendors with an 'Excellent' rating should be shared by all NTPC sites, internally on the intranet to help create a common pool of high-performing vendors.
- While deciding on potential vendors that could be considered for entering into Rate contracts, their performance as assessed through the vendor rating system shall form a key input. High performing vendors could be potential rate contract candidates.

In case of Single tender purchases, the sole supplier could be a candidate for Rate Contract. In the case of Limited tender purchases if **all** the potential vendors have an 'Excellent' rating, the entire group of vendors could be considered for entering into Rate contracts.

B. Under-performing vendors – rated as 'Unsatisfactory'

- Vendors rated as 'Unsatisfactory', in the Limited tender category only, should invite strict actions by not being allowed to participate in future purchase exercises.

Vendors who have more than one purchase order in a year and get 'Unsatisfactory' annual rating should not be given any tender enquiries for the next one year. At the end of the one year period enquiries may again be issued to them.

There could be instances where there are no tender enquiries in the next year for which the vendor with 'Unsatisfactory' rating could potentially be considered. In such cases the next relevant tender enquiry should not be issued to this vendor regardless of the time period.

Incase a vendor gets an annual rating of 'Unsatisfactory' again, the vendor should be completely excluded from the process and no future enquiries should be sent to him.

If a vendor with only one purchase order in a year gets an 'Unsatisfactory' annual rating, enquiries may still be issued to him in the second year. If the vendor gets the same rating in the second year, the vendor should be treated as any other vendor with an 'Unsatisfactory' rating (with minimum of three rated purchase orders) as described above.

Scores in the 'Post-delivery Performance' parameter should attract critical attention. Stringent action should be taken to penalize vendors who get a poor score in this parameter. This action has to be decided on a case-to-case basis by competent authority at the station level. Possible alternatives (applicable for Limited Tender cases) include:

- Removing the vendor from the list of standardized vendors for that item.
- Excluding the vendor from the purchase process by not issuing him future tender enquiries for a specific time period.

LIST OF ANNEXURES:

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1	System Circular No. 75/2001 dtd. 14/12/2001 http://10.0.8.168/cs/ccsps/Circulars/Materials/75.doc	285
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9	Contracts System Circular No. 570 dtd. 10/02/2004 http://10.0.8.168/cs/ccsps/Circulars/Contracts/570.doc	360
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14	Contracts System Circular no. 556 dtd. 30/03/2001 http://10.0.8.168/cs/ccsps/Circulars/Contracts/556.doc	406
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16	System Circular No. 101/2017 dtd. 11/09/2017 http://10.0.8.168/cs/ccsps/Circulars/Materials/101.pdf	414
17	Works & Procurement Policy http://10.0.0.173/webntpc/general_info_files/DOP_2005.pdf (Pg.37-44)	416
18	GepNIC Help Manual SAP R3>Ctrl+F12>Shared Folders>Help_Docs>GePNIC_Doc	424
19	Integrity Pact Format http://www.ntpctender.com/IP_Format.pdf	463

NATIONAL THERMAL POWER CORPORATION LTD.

CORPORATE MATERIALS MANAGEMENT

REF: 01/CM/SIMG/2001 DATE: 14/12/2001

SYSTEM CIRCULAR NO. 75

SUB.: PROCUREMENT LEAD TIME.

During the 22nd Heads of Materials Conference held at PMI on 27th & 28th Feb' 2001, it was decided to review the lead time for procurement at present by the purchase departments for converting purchase indent into purchase order. For the above purpose a committee was duly constituted to study the existing systems and submit their recommendations on the subject. Accordingly, the committee after detailed study and analysis of the existing systems and procedures has recommended the optimum lead time of procurement for different modes of tendering which has been duly approved by ED (CC&M), as shown in the table below.

To make a realistic assessment of Procurement Lead time, detailed mapping of the activities in the process of procurement have been identified and a time frame has been prepared for each activity as enclosed at 'Annexure-A'. While making an analysis for the procurement lead time, the committee has observed that the delay is generally attributable to the following reasons:

i) Inadequacy of the Purchase Indent not covering all the requisite information e.g. complete technical specification, clear and specific description, materials code, budget certification etc.

ii) Poor response from the vendors in submission of offers, delay in providing technical and commercial clarification sought from time-to-time and time extension requested by bidder for bid submission etc.

In view of above, indentors therefore should make all endeavors to submit the purchase indent to the Materials Deptt. complete and sufficient by itself covering correct material code, clear and specific description of the item required, reference standard code (IS, BS etc.), if any, and quality requirements etc.

With regard to delay/poor response from the vendors, the committee suggests that complete bid document with appropriate technical and commercial condition will largely reduce the need for such clarifications. Keeping in view the above, Committee has recommended the following:

RECOMMENDED PROCUREMENT LEAD TIME

MODE OF TENDERING	WITH PRE-AWARD DISCUSSIONS	WITHOUT PRE-AWARD DISCUSSIONS
A. SINGLE TENDERING	10 WEEKS	8 WEEKS
B. LIMITED TENDERING		
: SINGLE PART	16 WEEKS	14 WEEKS
: TWO PART	20 WEEKS	18 WEEKS
C. OPEN TENDERING		
: SINGLE PART	18 WEEKS	16 WEEKS
: TWO PART	22 WEEKS	20 WEEKS

All concerned are requested to note the above for compliance with immediate effect and may send us a feedback on half yearly basis as to the actual time taken vis-à-vis the recommended lead time identifying the process activity that consumes more time than as analyzed at Annexure 'A'. Such feedback will enable the committee to review the process for further improvements in procurement lead time.

This issue with the approval of the Competent Authority.

(D.S. MANKI)

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Annexure-A

PROPOSED ACTIVITY RELATED TIME SCHEDULE FOR FINALISATION OF AWARD

All figures in weeks

Sl. no.	Ref	ACTIVITY	SINGLE Tender	LIMITED Tender		OPEN Tender	
			1 - Part	1 - Part	2 - Part	1 - Part	2 - Part
1.	a	Preparation of QR / bid document -approval	1	1	1	2	2
2.	b	N I T approval	1	1	1	2	2
3.	c	Invitation of Bids and Bid opening	1	4	4	4	4
4.	d	Technical Evaluation Report by Indentor	1	3	3	3	3
	e	Technical clarification from vendors	-	1	1	1	1
5	f	Preparation & TC recommendation for Price Bid Opening	-	-	1	-	1
6.	g	Approval for Price Bid opening	-	-	1	-	1
7.	h	Communication to bidders and opening of price bid	-	-	1	-	1
7a	i	Price bid Opening & C S	-	-	1	-	1
8.	j	Preparation & TC recommendation for award / Pre - award discussions	2	2	2	2	2
9.	k	Approval of TC recommendations	1	1	1	1	1
		PRE - AWARD DISCUSSION					
10.	l	Pre award discussions with bidder	1	1	1	1	1
11.	m	TC Note approval after pre award discussions	1	1	1	1	1
12.	n	Issue of Purchase Order	1	1	1	1	1
	o	**PROPOSED** period With out PRE AWARD / PRE AWARD	8 / 10	14 / 16	18 / 20	16 / 18	20 / 22
		EXISTING TIME SCHEDULE	**10**	**17**	**21**	**20**	**24**

Date: 06-02-2015

Vendor Enlistment in NTPC

VISION DOCUMENT

"Vendor Enlistment on pan-NTPC basis for all site O&M contracts for procurement of Materials and works."

1.0 Background:

1.1 Procurement System at Stations:

Presently, all the running stations in NTPC are responsible for procurement of materials and works & services required to run their respective station. Most of the materials and works required to be procured by the stations are repetitive in nature. As per procurement & works policy it is required that for sending enquiry on Limited tender basis, we should have approved vendor list for such regular materials and works. But approved vendor list has been prepared for only a few regular materials and works at Stations

1.2 Existing Vendor Registration Process & Constraints:

1.2.1 Vendor registration process is given in the Purchase Manual but it does not mention any thing regarding QR for vendor registration. There is no process available for preparing the approved vendor's list in respect of works & services.

1.2.2 Approved vendor list of materials is to be prepared as follows: -

- *For materials with annual consumption value (For works: estimated value of work) more than Rs 5 lakh each, vendors will be selected based on PQR through press advertisement and approved vendor list shall be maintained. Sending enquiry to all such approved vendors shall be considered as deemed open tender for the purpose of DOP.*

  Number of materials is in several thousand. The grouping of materials as suggested in the purchase manual is not appropriate as per the experience of stations. There is no guideline for finalization of QR for enlistment of vendors for materials as well as for enlistment of vendors for works.

- *However, for materials with annual consumption value (For works: estimated value of work) less than Rs 5 lakh each, vendors will be selected as per past data of own / other stations, DGTD directory, DGS&D etc. If necessary, press advertisement can be issued.*

The materials /works in DGTD / DGS&D are not similar to ours. Even if the list of vendors is identified from past experience and approved, if value of PR is more than Rs 50 lakh (in spite of the fact that each item in the PR is individually below Rs 5 Lakh), the case is to be processed through open tender (press advertisement).

1.2.3 Different Terminologies used:

- Vendor Registration
- Vendor Empanelment
- Vendor Enlistment
- Source Standardization through Open Tender
- Source Standardization

The first four terminologies represent the same meaning: "Listing out pre qualified vendors" through process of press advertisement. Source Standardization is done based on past experience and some criteria but without open tender as per the purchase manual.
Hence, the terms Vendor Enlistment & Source Standardization will be used as below –

- **Vendor Enlistment:** Finalizing approved vendor list through PQR & open advertisement.
- **Source Standardization:** Finalizing vendors based on past experience and defined eligibility criteria through Source Standardization committee.

However, for regular materials with annual consumption less than Rs 5 Lacs or regular works with estimated cost less than Rs 5 Lacs which are not covered on Pan-NTPC basis, respective stations may finalize approved vendor list based on their past experience, and defined eligibility criteria, through a committee with members from O&M, C&M, Finance and FES /FQA at minimum E5 level with the approval of the concerned head of the station. This may be termed as **Vendor Selection.**
This Vendor Selection will be done by each station for its own requirements & shall be valid for three years subject to annual updation.

1.3 Present system of floating enquiries:

Stations have to run the plants and cannot wait for addressing of these issues and complete enlistment before procurement. Most of the stations have been selecting vendors through a committee for sending enquiry on Limited tender basis (which is envisaged for one time or very occasional procurement case, where vendor data is not available). For PR value more than Rs 50 Lakh procurement is done through OT.

For a no. of items source standardization has been done based on past experience in line with the purchase manual irrespective of annual consumption value and powers of LTE is being used for procurement.

In spite of the circular 1917 dated 21.05.2013 issued by CVO to all stations/regions for empanelment of vendors for procurement of regular materials and works as per P&W policy, the progress has been very poor. Most of the stations for most of the materials as well as contracts have been processing the cases through OT if the PR value (with a no. of items) is more than Rs 5 lakh. This is causing increase in the tendering cost.

1.4 Conclusion:

It is therefore, necessary, that a correct and transparent process for enlistment of vendors is in place and vendor enlistment is done for uniformity at all stations. It is possible to identify the materials for which vendor enlistment can be done on Pan-NTPC basis jointly by CC and regions since vendor base for many major items are at national level. For O&M works packages also enlistment can be done on Pan-NTPC basis by regions in association with respective stations. Though for contracts, contractors generally

operate at local or regional level, we should encourage the agencies from other regions also to participate and eventually enhance our vendor base. This would avoid the possibility of cartelization.

In line with this, the process document for vendor enlistment on Pan-NTPC basis has been prepared in respect of regular O&M Procurement as well as Works Packages.

2.0 VISION:

"Simplify the process of vendor enlistment and support Stations by taking up vendor enlistment activities jointly at CC and regions for materials & works on Pan-NTPC basis as far as possible and ensure uniformity, transparency, simplified e-procurement, reduction in procurement lead time & inventory, and have latest competent & reliable vendor base all the time who can execute supply of quality materials / execute quality work making procurement process fair & cost effective."

3.0 Process for Vendor Enlistment:

In this document the issues mentioned above have been addressed. CPC (Corporate Procurement Cell) shall play the role of nodal centre to support the stations by coordinating with Corp. OS, RHQs/ stations to ensure vendor enlistment activities to achieve the vision. The details of the process will be as below:

3.1 Scope of Vendor enlistment

The enlistment of Vendors done through this process shall be applicable for site O&M contracts / O&M procurement cases of NTPC Stations/Projects. *However, this enlistment can also be used for areas other than O&M.*

If required, the subsidiaries /joint ventures of NTPC can also adopt the enlisted vendor lists of different MEGs & work packages with the approval of their respective competent authorities

Provision in GFR:

According to GFR 2005 on procurement of materials, works and services, Limited tender enquiry may be adopted instead of open tender enquiry for procurement of more than Rs.25 lakhs, provided.

Rule 151 (ii)(c) "The sources of supply are definitely known and possibility of fresh sources beyond those tapped, is remote".

To achieve this level of perfection,

I. Vendor enlistment should be done perfectly by ensuring wide publicity by all means so that all the potential vendors/contractors are properly informed. To ensure this, provision for required Publicity has been provided in Para 3.8 of this document.
II. Continuous Vendor Enlistment process by which the left out vendor can participate at any point of time for enlistment.
III. Issue of reminder notice every year so that missed out vendor will get message of Vendor enlistment in NTPC.

After completion of enlistment through this process, procurement can be done through Limited tender enquiries to all eligible enlisted vendors.
Issuing tender enquiry to all such eligible enlisted vendors shall be treated as open tender (Ref: remarks-ii, SL. No-5 of DOP' 2011) if no. of such eligible enlisted vendors is four or above. If the no. of such eligible

enlisted vendors for the case is less than four, it may be treated as Limited Tender for the purpose of DOP.

3.2 Enlistment on Pan-NTPC basis:

Instead of enlistment to be done by every station separately for its own regular procurements/works, vendor enlistment shall be done on Pan-NTPC basis as far as possible.

The advantages are: -

- This will ensure uniformity in vendor database for all NTPC power stations.
- E procurement can be implemented easily
- Procurement lead time will be reduced, thereby reducing the inventory
- Procurement will be highly cost effective due to minimization of open tender enquiries and low purchasing costs.
- This will enhance vendor base from different regions and will check possibility of cartelization.
- This will distribute the workload and shall eliminate multiple actions by all stations.
- There shall be more focus on vendor's manufacturing & testing capabilities and technical competencies which will ensure reliability and quality of materials
- Review of vendor enlistment for the assigned groups will be done by the same responsibility Centre which has initially done the enlistment. The concerned responsibility Centre will develop expertise in the respective domain and others can benefit from that.

  Major issues are:

  - ✓ Grouping of the materials / Finalizing Package List for contracts:
  - ✓ Broad description of Material Groups
  - ✓ Finalization of QR
  - ✓ Responsibility center for enlistment
  - ✓ Continuous follow up of enlistment

3.3 Grouping of the materials / Finalizing woks packages:

For Pan-NTPC vendor enlistment, Central Procurement Cell (CPC) has identified the materials and grouped them for enlistment. These are termed as Material Enlistment Groups (MEGs).
O&M works packages have been also identified by CPC after obtaining details from various stations for vendor enlistment to be done on pan NTPC basis. These will be termed as Contract Enlistment Groups (CEGs).

At present CPC has identified a list of 89 MEGs and 50 CEGs. CPC has also identified the major items within each MEG by linking the material description from SAP and the same has been sent to regions on 02.01.2015 by GM (CPC). (**Annexure- 1**)

3.4 Assignment of vendor enlistment to various Responsibility Centers:

To distribute the workload of enlistment amongst CPC & various regions, certain numbers of MEGs/Works Packages are assigned to them and they will act as responsibility centre for such MEGs/Work Packages.

Accordingly, at present responsibility has been assigned to the Regions for vendor enlistment of 53 MEGs and 50 Works packages to be done on Pan-NTPC basis. Each region shall take up the vendor enlistment process for MEGs and CEGs assigned presently or any new MEGs / Works Packages to be assigned to them in future.

The list of assigned MEGs for enlistment by regions has been sent to the respective REDs by ED (OS) on 24.12.2014 (**Annexure- 2**) and the list of assigned packages for enlistment by regions has been sent to REDs on 2.1.2015 by ED (OS). (**Annexure- 3**)

CPC shall take up the vendor enlistment of 36 MEGs assigned presently or any new MEGs to be assigned to it in future. (**Annexure- 4**)

Each region as well as CPC shall be called the "**Responsibility Centre"** for their assigned MEGs / works packages.

The concerned responsibility centre may review the MEGs for further splitting / clubbing of the items covered in the assigned MEGs before going for enlistment process. Similarly, they may review the CEGs also.

3.5 Data on Annual requirement for assigned MEGs and Vendor data base for assigned MEGs / works packages:

Respective responsibility centre shall obtain annual consumption/ requirements of items in the MEGs and known vendor details for the materials (MEG) and works packages from all stations/ regions / SAP. This tentative annual requirement/ consumption value for the assigned MEGs will be required for uploading on the enlistment web site by the respective responsibility centers. By combining the lists of known vendors obtained from all stations and regions, a pan NTPC vendor data base can be prepared for that MEG/CEG.

Each responsibility Centre should maintain data base, since the enlistment to be done by the concerned responsibility centre on pan NTPC basis.

3.6 Broad Specifications/ Descriptions and Technical QR finalization: for assigned MEGs / works packages:

3.6.1 Broad Specifications/ Descriptions:

At Corporate Centre: For MEGs allocated to CC, Working Groups have been constituted for specific areas (Boiler, Turbine etc) with members nominated from OS (as convener), Engg & CPC with the approval of ED(OS).

The Working group members from OS & Engg will finalize the broad specification/description of these MEGs which shall be vetted by concerned group heads & approved by ED(OS) in line with the system circular 4912 dated 31.10.2014 issued by ED (OS).

After approval the same should be sent to CPC for uploading on the enlistment website.

At Regions: Concerned responsibility centre shall prepare the broad technical specifications of the assigned MEGs. For this, working group(s) will be constituted by OS for specific areas (Boiler, Turbine etc) as applicable with members to be nominated from OS (as Convener), C&M (if required site C&M executive may be co-opted) & Engg/ Site O&M at a level as considered appropriate with the approval of RED.

The Working group members from OS & Engg/ Site O&M will prepare the broad specification/ description of assigned MEGs and forward the same through the concerned RED to ED (OS)) (as nominated by CMD) for review and approval.

After approval the same should be sent back to the concerned RED (through CPC) for uploading on the enlistment website.

While preparing technical specifications, the latest technological advancements may be taken into consideration.

3.6.2 Qualifying Requirements:

Focus on technical requirement of QR: QR should be such that it reflects more about technical QR & experience. Therefore, more attention is required for finalization of technical requirement of QR. It should neither be very restrictive nor be very liberal. Depending on the criticality of the work / material for the plant / safety and competence level of vendors required to meet our need, the technical requirement of QR should be finalized.

For each MEG, technical requirement should be finalized & frozen after considering the nature of materials covered under the MEG.

While finalizing QR, following points may be kept in mind: Does it require that the vendor must have some specific experience, or does the vendor need to have some specific license, do the vendors need to have some specific manufacturing/testing equipment etc. The committee should focus on these aspects and/or other aspects based on their experience to ensure that only technically capable vendors get qualified. Such requirement will not generally change. Vendors technically qualified as per technical requirement shall be enlisted.

Enlistment to be done based on technical QR and Mapping of Financial capability of technically qualified vendors:

Vendor/Contractor Enlistment is for future procurement and therefore, unlike the specific case of procurement (where cost estimate is known), there is no specific value of cost estimate in case of enlistment**.** Each MEG has multiple items having different requirements at different stations at different point of time.

Hence, for financial capability, vendors will be asked to furnish their audited/ CA certified annual turnover during preceding three financial years from the date of application. The vendors will also be asked to furnish details of three POs of highest executed value for similar works/materials during last five years from the date of application. Based on these data the value for which the vendor will qualify shall be established and maintained as data base against each technically qualified vendor in the enlistment master.

As such, enlistment of vendors will be done based on their qualification against technical QR only and mapping of financial capability of all technically qualified vendors will be done on the system having details of such enlisted vendors.

At CC:

The standing QR committee has been constituted comprising members from OS, CPC, Engg & Finance at minimum E7 level, as nominated by respective functional HODs & approved by ED-OS. Representative of OS shall be member Secretary & ED-OS shall be the Chairman of the QR committee.

The aforesaid working groups shall prepare the draft QR & put up to the standing QR committee for finalization and approval.

After approval the same should be sent to CPC for uploading on the enlistment website.

At Regions:

For MEGs:

The suggestive Tech. QR for each MEG assigned to various regions for enlistment has been sent to the respective REDs by ED (OS) on 24.12.2014. (**Annexure- 2**)

The Standing QR committee will be constituted with members from OS (as convener), C&M & Finance at minimum E7 level, with the approval of RED.

The aforesaid working groups shall prepare the draft QR and put up the same to the standing QR committee at region for review and finalization. The same shall be forwarded through the concerned RED to ED (OS) (as nominated by CMD) for approval.

After approval the same should be sent back to the concerned RED through CPC for uploading on the enlistment website.

For Works Packages (CEG):

Concerned regional OS at the respective responsibility centre shall finalize the broad scope of work & QR for assigned works packages in similar lines as mentioned for MEGs.

Enlistment on Manufacturers only:

While preparing QR, it should be mentioned that vendor enlistment will be done only on manufacturers for MEGs. After enlistment, tender enquiry will be sent to the enlisted manufacturers only and orders will

be released to manufacturers. However, manufacturers can supply the materials through their authorized dealer but they will have to stand guarantee for the quality of supplied material against order on them (manufacturers).

3.7 Uploading of required documents/details on the website for vendor enlistment and Publication of NIA in news papers/ NTPC tender web page:

A website for vendor enlistment is under development by Corporate IT in consultation with CPC. After enlistment web site is ready, Standard terms & conditions / formats of NIA (Notice Inviting Application) common to all intended enlistment for MEGs/ Works Packages will be prepared by CPC and approved by the head of CPC after financial concurrence. The same shall be uploaded by CPC in the enlistment Website permanently unless some revision is called for at any stage. Modalities for website administration, data security shall be separately dealt by CPC in association with IT.

The list of MEGs and for each MEG, the broad specification/description, technical QR, approximate annual requirement value & the tentative list of items covered therein shall be uploaded on the enlistment website by the respective responsibility centers.

Similarly, for Works Packages, the list of Works packages & for each work package, the broad scope of Work & technical QR shall be uploaded on the enlistment website by the respective responsibility Centers.

The list of new MEGs / works packages to be assigned by ED (OS) in future to any responsibility centre shall be uploaded along with the above details by the same responsibility centre. The latest active list of MEGs/ Works Packages shall remain available in the Website.

After uploading the required details/documents as mentioned above, by the respective responsibility centre, the abridged NIA for publication in news papers shall be prepared by CPC for all MEGs/ works packages and after approval of head of CPC the same shall be published by Corporate Communication department.

Abridged version of NIA shall be published in the national and regional news papers as per relevant policy.

The details of NIA including list of MEGs for enlistment and works package along with technical QR shall also be published on ntpctender.com by CPC.

3.8 Wide Publicity of Vendor Enlistment Process:

Wide publicity about the vendor enlistment process of different MEGs/Works Packages is to be ensured by all means so that all the vendors/contractors related to those MEGs/Works Packages are properly informed. Efforts should be made to such an extent that the vendors participation that can be achieved by open tender process will be ensured in vendor enlistment process so that gap between the participation in open tender process and the limited tender process for that enlisted item will be near Zero. To achieve this perfectness in vendor enlistment, wide publicity by all means should be ensured.

For achieving this, the following measures will be taken:

1. Publicity in Newspapers

Efforts will be made to advertise in daily newspapers in such a way that the message will reach all potential vendors/contractors. For this, NIA for vendor enlistment is published in

i. English business daily newspaper which is having largest All India circulation.
ii. In Hindi speaking States like Uttar Pradesh, Uttarakhand, Bihar, Jharkhand, Madhya Pradesh, Chhattisgarh, NCR Region – largest circulated Hindi daily newspapers.
iii. For States where both Hindi and regional languages are famous – like Rajasthan, Maharashtra, Gujarat –
   a) Largest circulated Hindi newspapers of these States
   b) Largest circulated daily newspapers in regional language of these States.
iv. Non-Hindi Speaking States like Andhra Pradesh, Karnataka, Tamil Nadu & Kerala - largest circulated regional language daily newspapers of the respective states.

2. NIA for vendor enlistment will be published on website of Central Procurement Cell and also on ntpctender.com. It is also kept on NIC portal for wider penetration of information. From SAP, NIA will be mailed to all vendors available in SAP automatically through Corporate ERP.
3. Lists of known vendors from all NTPC stations are collected by respective responsibility centre of those items/works and all those vendors/contractors are informed about the NIA of enlistment by Email/Fax/By post by the responsibility centre.

4. All the Head of the Stations will inform all known vendors/contractors for the items/works from their side so that no vendor will miss to apply.

5. In addition to this, banners displaying the highlights of the enlistment process should be placed at prominent locations of the stations / projects for wide publicity.

6. REDs in collaboration with Head of the Projects will conduct vendors' meets/vendors' awareness campaigns, so as to educate all vendors/contractors of their regions/areas so that they are properly educated and motivated to participate in vendor enlistment process.

7. ED (OS), REDs & HOPs shall hold press conferences with the representatives of print media and electronic media active in their respective areas to sensitize the vendors / target population about NTPC vendor enlistment process before launching of NIA.

8. Abridged version of reminder intimation / notice to be published **every year:** - Every year in the month of **January**, intimation through press advertisement & ntpctender.com shall be given to Vendors at large that NTPC Website for enlistment is always open & Vendors who have not applied earlier can apply any time. By All these efforts, it is ensured that all the potential vendors/contractors are informed, educated and motivated to participate in the vendor enlistment process.

3.9 Online submission of applications for vendor enlistment:

No fee will be charged from the vendors applying for enlistment. Good quality vendors are our requirement.

Vendors will be asked to submit the applications and relevant credentials (scanned self attested copy) **online** on the website for vendor enlistment in respect of individual MEG/Works package as per the required documents/details and corresponding specified QR. Besides the above, the vendors shall also be asked to provide/upload (scanned self attested) other relevant data/details as mentioned below, to have a better assessment of the vendors –

General information: Name of company, Address, names and contact details (Phone, fax, e-mails etc) of Directors/Owners/CEO/Partners, manufacturing units.

General organizational competence: Financial Turnover, Profit before tax and net worth for last three years; ISO certification details; Registration with Govt./PSU/DGS&D/Power utilities etc.; R&D set up details, if available; details of pending legal issues with customers, if any; if they have been black listed in last three years etc.

Material specific competence: Manufacturer**,** No of years of experience of manufacturing of product, manufacturing capacity, list of customers with details of executed supply/works, Manufacturing and testing equipments details/ Quality Set-up etc., three POs of highest executed value during last 5 years before the date of application.

Contract Package specific competence: List of tools & equipments available, PF registration no. ESIC Registration, three POs of highest executed value of similar work during preceding 5 years from the date of application. (Similar work to be defined in the QR)" Power of attorney" and "Declaration regarding authenticity of the credentials" i.e. Letter of Undertaking (LOU) on stamp paper of requisite value from the competent person as specified in the NIA shall be submitted in original by the vendors applying for enlistment and a scanned self attested copy of the same shall also be uploaded along with the application.

3.10 Evaluation of enlistment applications:

After the cutoff date as notified in the NIA (or extended date, if any), all applications received till this date will be evaluated progressively by the "**standing committee for evaluation**", constituted at the respective responsibility centre so as to complete the enlistment for the assigned MEGs/CEGs in a time bound manner.

Constitution of Standing Committee:

The respective responsibility centre will constitute standing committee for evaluation of applications obtained for enlistment in respect of the assigned MEGs/Works Packages. The members in the committee shall be at minimum **E7** level as follows: -

At Corporate Centre:

Members will be from OS (as Indenter), CQA, Finance, and CPC. Proposal for constituting the committee for evaluation shall be initiated by CPC; nominations will be obtained from the concerned departments and approved by head of CPC.

At Regions:

Members will be from Regional OS (as Indenter), FQA (may be taken from Station, if required), Finance and C&M. The proposal for constituting the committee for evaluation shall be initiated by the C&M department at the respective responsibility centre; nomination shall be obtained from the concerned HODs and approved by concerned RED.

Evaluation of Applications:

Evaluation shall be done as per the scanned and self attested documents uploaded by the authorized signatory of the vendors. However, any clarification /additional documents required for completing the evaluation may be asked from the applicants in a time bound manner. These documents shall also be self attested by the applicant and shall be uploaded on the web site by the evaluation committee after duly signing the same. In case the documents submission is delayed, the evaluation of the rest of the applicants shall be completed.

Submitted documents in support of execution may be verified as per requirement by the evaluation committee from the respective agencies (certificate issuing agency).

At Corporate Centre:

The committee will evaluate the credentials & propose for vendor assessment if required. The evaluation committee shall also prepare the checklist/requirement for Vendor Assessment & the same shall be forwarded to the Head of CPC for necessary action for physical assessment. Based on physical assessment report so received from CPC, the evaluation committee shall put up recommendation **for vendor enlistment through** ***head of CPC and respective EDs for approval of Director (O).***

At Regions:

The committee will evaluate the credentials & propose for vendor assessment if required. The evaluation committee shall also prepare the checklist/requirement for Vendor Assessment & the same shall be forwarded to the Head of CPC for necessary action for physical assessment. Based on physical assessment report so received from CPC, the evaluation committee shall put up the recommendation **for vendor enlistment to head of CPC through the concerned** ***RED for further approval of Director (O).***

Physical assessment of vendors:

Material Cases

The vendors proposed by the respective evaluation committee for MEGs shall be physically assessed by a committee of two officials at minimum E5 level – one from C&M as convener and another from inspection services of the region in which the location of vendor requiring physical assessment falls. This assessment committee will be nominated by the respective RED for each region & the same shall be forwarded to CPC. The CPC will segregate shortlisted vendors referred for physical assessment location wise & the cases shall be referred by CPC to the assessment committee for that location. For example, if there are ten referred vendors to be assessed at Mumbai & nearby locations for MEGs pertaining to any responsible centers, the assessment committee from WR-1 shall take up the physical assessment of all ten vendors.

The assessment committee shall carry out the physical assessment based on the check-list to be provided by CPC & submit the report to CPC for onward submission of same to the respective responsibility centre. The observations/finding of the assessment committee should also be signed by the vendor being assessed.

In case of NCR region locations, the assessment committee will comprise of two officials- one from CPC as Convener & one from QA&I. The head of QA&I & head of CPC will nominate the officials from QA&I and CPC for assessment committee for the Vendors to be assessed at NCR region.

Works Cases (CEGs)

For works cases, documents submitted towards execution shall be verified from the Client(s) by C&M of Responsibility Centers.

3.11 Competent Authority for approval of Vendor enlistment

The Competent Authority for approval of vendor enlistment as per the process defined in this document shall be Director (O).

3.12 Validity of enlistment:

Once approved, vendors shall be enlisted for three years from the date of approval & the enlistment shall be applicable on pan NTPC basis.

3.13 Certificate of vendor enlistment:

After approval of the qualified vendors by ***Director (O)***, certificate of enlistment shall be issued by the respective responsibility centre (C&M at region and CPC at CC) to the approved vendors mentioning clearly the terms &conditions and other necessary directions.

3.14 Uploading of enlisted vendors:

The Enlisted Vendors along with their credentials are uploaded by the respective responsibility centre (C&M at region and CPC at CC) on the CPC enlistment site being developed and can be accessed by all concerned.

3.15 Selection of Enlisted vendors for issuing tender enquiry:

After enlistment, whenever requirement emerges at any station, based on the cost estimate and the execution period, the list of vendors to whom enquiry can be issued (out of all the technically qualified enlisted vendors for the respective MEG/package) shall be selected as follows: -

Example: - Say Average Annual Financial turnover of a vendor during preceding 3 financial years is Rs 80 lakh and three highest values of similar work executed against three separate orders during preceding five financial years are: - Rs 70 lakh, 60 lakhs and Rs 55 lakh as given below:

AATO	Capability of execution of similar work as per PO values	PO-1	PO-2	PO-3
80	PO values	**70**	**60**	**55**
	Execution Capability as per one/two/three POs	70x1.25=87.5 (C.E up to 87.5 L)	60x2=120 (C.E up to 120 L)	55x2.5=**137.5** (C.E up to 137.5 L)
	Execution Capability of the vendor to execute similar work	**137.5** (Highest of 87.5, 120 and 137.5) Vendor is capable to execute work up to cost Estimate 137.5 L i.e **eligibility limit for enlistment up to cost estimate** 137.5 L		
AATO and highest of the three eligibility limits shown in the table shall be recorded in the System				

Selection of Vendors as per enlistment for a procurement / works case: -

A) **Average Annual Turnover Required** shall be calculated as:

i. For procurement / works cases with cost estimate and completion period **more than 12 months**,

AATOR = EC X 12/ CP

Where, AATOR = Average Annual Turn Over Required
EC = Estimated Cost
CP = Job /supply Completion in Months

ii. For procurement / works case with cost estimate and completion period **up to 12 months**,

AATOR = EC

Where, AATOR = Average Annual Turn Over required
EC = Estimated Cost

B) **Execution Capability** of the vendor to execute similar work shall be calculated based on the values of the 03 POs submitted by the vender as defined at the above table.
The enlisted vendors with execution capability more than the cost estimate of the works /procurement and having AATO more than AATOR as defined above shall be selected by the system and the same shall be referred as **Eligible Enlisted Vendors** for the said works/ procurement case.

Such **Eligible Enlisted Vendors** will be considered as the approved list of vendors for that tender and issuing tender enquiry to all such approved vendors shall be treated as open tender (Ref: remarks-ii, SL. No-5 of DOP' 2011), if no. of such enlisted vendors is four or above. In case of Single response against

enquiries issued to all such eligible enlisted vendors, it will be treated as "single response against open tender" for the purpose of DOP.

If the no. of eligible enlisted vendors for the case is less than four but more than one, it may be treated as Limited tender for the purpose of DOP. In case of single enlisted vendor or single response against such limited tender enquiries issued to all such eligible enlisted vendors, it will be treated as "single tender"

By feeding the cost estimate and the Job /supply Completion period, the list of vendors to whom enquiry can be issued shall be generated by the system.

3.16 Quarterly Review & Updation of vendor enlistment:

After the completion of initial vendor enlistment for a particular MEG /Works package, the enlistment process shall again be re-opened after a period of 6 months and shall be kept open forever so that all the new vendors who could not participate in the enlistment process can participate and submit their application for enlistment at any time.

Already enlisted vendors need not apply again as they are enlisted for a period of 3 years. Even then if any enlisted agency, wants to upgrade its credentials, it can submit the application with revised credentials for up gradation to higher limit. However, the revised credentials for experience related to preceding five years and for annual turnover related to preceding three financial years shall be considered with reference to the date of submission of revised application by the agency

The standing committee for evaluation at the respective responsibility centre shall download the applications received till the end of every quarter and shall evaluate these applications during subsequent quarter. All efforts shall be made to complete the evaluation within this period. However, in case evaluation / assessment are not completed by the end of the subsequent quarter, an exception report shall be submitted to RED / ED (OS) as applicable.

New vendors, if found qualified shall be recommended for inclusion in the enlisted vendor's list in line with the aforesaid procedure. These new vendors will also be enlisted for a period of 3 years from the date of uploading on the website.

Already enlisted vendors: Before completion of three (3) years, already enlisted vendors can apply with their fresh credentials for enlistment for a further period of three (3) years. In such case the mapping of financial and execution capability shall be done based on the credentials during the last five years (execution) / three financial years (average annual turnover) as applicable from the date of application

If their submitted credentials are found in order by the standing committee for evaluation, their enlistment shall be updated accordingly after obtaining approval in line with the procedure defined above. Their enlistment shall be valid for three years from uploading on the website.

In this way enlistment process shall be continuous and updated every quarter.

System Generated mail to enlisted Vendors before expiry of Validity: -

System will keep a track of the validity dates of the enlisted Vendors & 90 days prior to the expiry of Validity; a system generated mail will be issued to the respective Vendors to remind them for renewal.

A provision in NIA shall be made asking the vendor to intimate any change in their contact details / address etc, so that the latest data is available with NTPC.

Abridged version of reminder intimation / notice to be published every year: -

Every year in the month of **January**, intimation through press advertisement & ntpctender.com shall be given to Vendors at large that NTPC Website for enlistment is always open & Vendors who have not applied earlier can apply any time. Those already enlisted can also apply for up-gradation of credential. Applications shall be evaluated quarterly.

3.17 Actions to be taken against enlisted vendors for poor performance, fraudulent acts & prolonged non-participation:

The performance of the enlisted vendors shall be reviewed periodically by the respective responsibility centers based on the feedback given by the Head of Station. For this, in case of unsatisfactory performance of the enlisted vendors, Head of Station shall send a detailed report about their poor performance in supply of materials/ execution of works with clear recommendation for taking action against them.

The standing committee for evaluation at the respective responsibility centre shall examine at the end of every quarter, the performance reports received from HOSs about the enlisted vendors and issue 15 days' show-cause notice to the enlisted vendor for explaining about his case.

After analyzing the reply of the Vendor, the standing committee at the respective responsibility center shall recommend the action against the Vendor for withholding/ banning of business dealings & put up the proposal accordingly for approval of competent authority in line with NTPC *banning* policy for the same.

Such proposal shall be routed through CPC for examination. After the approval of withholding or banning as the case may be by the competent authority, CPC shall capture the same against the said Vendor in the central data bank of Vendor enlistment. The order of withholding/ banning will be issued to the Vendor as well as the concerned Stations / regions or CC by Station C&M / Regional C&M/ CPC depending up on applicability of such orders.

If any of the enlisted Vendor is found to have been involved in any fraudulent activities like submission of fake credentials/ documents/ information as defined in NTPC Fraud prevention policy/ banning policy during pre-award/ award/ execution stage, the action in line with the said policy shall be taken.

The enlisted vendor shall be **de-listed** from the approved Vendor list for the balance validity period of enlistment on the following ground: -

If any enlisted Vendor for a particular MEG / works package does not participate at least once in a year in any of the tenders issued to them from any NTPC stations.

4.0 Subcontracting Provision for Works Packages:

The enlisted contractor shall only be given the award based on evaluation of the bids. Generally subcontracting of the work will not be permitted for site awarded works packages. However, in certain exceptional cases as per site specific requirement it may be allowed with the approval of Head of Station but the due reasons are to be recorded by site in such cases.

However, 100% back to back subcontracting will not be allowed in any case. If any subcontractor is found executing the contract awarded to the enlisted contractor without approval of NTPC, action against the main contractor will be taken for withholding/ banning of business dealings as per NTPC Policy.

5.0 Maximum Packages to be awarded to an enlisted vendor for Works Packages:

For the enlisted vendor in the works category, at any given point of time, maximum four orders of the works under the same CEG (works package) can be awarded on pan NTPC basis. In special case, if it is required to award more than four packages to any agency, it can only be done with the approval of Director (O).

A vendor who is having four works orders in hand can be considered for next package only when he produces the certificate of work completion (90% of the work completion in terms of scope) from HOP/HOS for one of his earlier awarded packages.

Written undertaking will be taken from the agency about the number of packages in hand on the date of submission of bids. The packages awarded subsequent to the date of submission of bids and before date of award, if any, shall not be considered and final decision in this regard will be taken accordingly, if any agency gives false undertaking in this regard, action will be taken against the agency according to the provisions of NTPC policy for Withholding/Banning of Business dealings.

6.0 Modes of Procurement other than Vendor enlistment:

The procurement of material may also be done through Source Standardization, OEM-OES basis & through rate contract/ bulk procurement as the case may be.

The brief procedures are outlined as below.

6.1 Source Standardization:

Source standardization should be done only in the cases where it is absolutely necessary based on technical requirement with justified reasons. Hence, identification of items / works requiring source standardization on pan NTPC basis shall be done by Corporate OS in association with Corporate Engg & CQA.

Source standardization of such materials may be done by Corp. OS and regional OS respectively. Corporate OS may decide the responsibility for finalization of Source standardization. The eligibility criteria for Source standardization for such items / works should be formulated by the respective responsibility centre, so as to avoid discretion in deciding Source standardization & also to answer any

representation/ grievance from any left out manufacturers. The process of selecting agencies under Source Standardization should be rational, fair and transparent.

At CC: Source standardization on Pan-NTPC basis shall be done through a standing committee with members at minimum E7 level from CC-OS (as convener), CC-Engg. & CQA to be nominated by the concerned ED and approved by ED (OS).

At Region: Source standardization on Pan-NTPC basis shall be done through a standing committee with members at minimum E7 level from regional OS, site O&M and site FQA (both to be co-opted from one of the stations) to be nominated and approved by RED.

Approval of Source standardization on Pan-NTPC basis shall be accorded by ED (OS). Source standardizations once done should be valid for three years & are to be reviewed every year in the month of January with respect to performance/ response of existing Vendors & addition of any new Vendor as per the eligibility criteria already fixed.

6.2 Procurement from OEM/OES:

Procurement of OEM/OES should be restricted to only those items where it is absolutely necessary on technical grounds. Therefore, criteria shall be prepared in general by Corporate OS & Engg to identify the items to be procured on OEM/OES basis across all Stations of NTPC.

Based on these criteria area wise standing committee (i.e Boiler, TG, BOP, Elect etc) of members (of minimum E7 level) from CC OS and CC Engg shall identify & propose OEM-OES status to the items & respective manufacturers/ suppliers. Approval of same shall be accorded by ED (OS).

With a *view to minimize procurement through OEM-OES the* ***Spare Parts development*** *cell should be revived at each operating Stations. Regular emphasis on the same shall be given by Head of Stations, REDs & shall be regularly monitored by ED (OS).*

6.3 Rate Contract:

The items which are common to many stations should be procured through rate contract / bulk procurement by CPC / region. Rate contract / bulk procurement can result in substantial savings in terms of money, manpower & time. This will also ensure supply of quality material at fairly competitive price. The rate contract shall be done by CPC through Open tender. For rate contract, Corporate OS shall submit the requisite proposal with approved specifications and QR in line with earlier circular reference 01/VIG/CVO/2241 dated 27.11.2013. Based on the rate contract each Station will place orders on Vendors who will supply the material directly to the Stations.

6.4 Bulk Procurement:

Bulk procurement is to be done by the Regions either through Open Tender or through enlisted Vendors. Items for regional bulk procurement can be identified by Regional OS & C&M with the approval of concerned RED. Requisition for the same shall be prepared by regional OS with necessary inputs from Stations under the said region. QR (if case is to be processed through Open Tender) shall be prepared by

regional standing QR committee. Regional C&M shall process and award the case for direct delivery of materials to the respective Stations.

6.5 One time or non- regular materials and works on case to case:

This will be done on case to case basis. Indentor will give the suggested vendors list. A committee with members from O&M, C&M, F&A and FES (for contracts)/ FQA (for materials) at minimum

E6 level shall deliberate and finalize the vendors which shall be approved by one level higher as per DOP.

NOTE:

i) If it is considered at any station / region that a separate material enlistment group / Contract enlistment group is required to be included for enlistment on pan NTPC basis, they should identify the items/works and the material enlistment group/ Contract enlistment group and forward the same to CPC for review for inclusion. However, the site will continue to take action as per DOP till required action is completed on pan NTPC basis.

ii) Enlistment done on pan NTPC basis will supersede the enlistment done at site/ region. However, for existing enlisted Vendors at Sites (enlistment done through open tender), if not covered in the enlistment on pan NTPC basis, the concerned site will inform the concerned responsibility centre who will review. If the said Vendor(s) had applied for enlistment on pan NTPC basis and found not suitable, they will not be considered. However, if they did not apply, they will be asked to apply for enlistment with credentials and may be considered in the next quarterly review of enlistment.

iii) Subsequent to the completion of enlistment, due to change in QR or Technical specifications or any reason in the interest of the organization, NTPC reserves the right to cancel the enlistment at any time with prior notice to the enlisted vendors. A provision in this regard shall be made in the standard terms & conditions for enlistment and enlistment certificate accordingly. Preferably 6 months' advance notice shall be given to the enlisted vendors and during that period fresh enlistment based on the revised QR & Tech specifications be completed so that immediately after the cutoff date, procurement can take place based on the newly enlisted vendors.

Ref. No. 01:SEC:D:5 Date:22.1.2007

OFFICE ORDER NO. 265/2007

Revisions in Procurement & Works Policy

In pursuance of the Board Resolution dated 18th December 2006, the existing provisions at para 2.1 to para 2.2.3 of Procurement & Works Policy have been modified and the same shall now read as under:

"2.1 Open Tender

2.3.1 Attention of all known, reliable and proven sources of supply of particular equipment/material/services will be drawn to the requirements of NTPC and allowed to quote. For the above purpose, advertisements in two or more leading newspapers of all-India repute in addition to one or two local newspapers of the area, where the work is to be executed or supplies made, may be issued.

2.3.2 Qualification requirements could also be specified in the tender advertisement where considered necessary, so that only reliable parties are invited to quote. In such cases, the tender evaluation will take into consideration that the qualification requirements specified in the advertisement have been fulfilled by the tenderers.

2.3.3 In cases where all possible sources for a particular requirement are known, addressing to these parties in lieu of the publication in newspapers will serve the purpose.

2.4 Limited Tender

1.4.1 Limited tender shall be invited, only for items with estimated values not exceeding the ceiling limit as mentioned in DOP from all the parties in the approved list of vendors / contractors. In cases where limited tender enquiries are sent to all parties in the approved list of vendors / contractors, for the purposes of application of DOP, the powers as applicable for Open Tender shall apply to such cases. Subject to para 9.1 of the policy, the case of acceptance of single response to the limited tender will be treated as a single tender for the purpose of delegation of powers. In exceptional cases, where the enquiry is not sent to all the approved vendors, the reasons for omitting certain vendors shall be recorded in writing while seeking approval for calling of tenders from Competent Authority. In such cases the powers in DOP, as applicable for Limited Tender, shall apply. Limited Tender Enquiry shall generally be invited from not less than four (4) parties amongst the list of approved vendors / contractors, except in exceptional circumstances where the number of approved vendors is less than four (4).

1.4.2 If for reasons of urgency or any other valid reason, limited tender is to be resorted to in preference to the open tender system, for package value exceeding the ceiling limit for LTE as mentioned in DOP the reasons therefore will be recorded in writing and approval of the competent authority obtained.

1.4.3 In the case of equipment/material/services which are of major value (i.e. where annual consumption is more than Rs.5 lakh per item) and are important on account of critical nature, engineering expertise and require long delivery time etc., a prequalification procedure, in order to avoid frivolous tenders, can be adopted for selecting the reliable parties to whom the tender enquiries may be floated. This will be done once in about three years by advertisement in two or more leading newspapers of all India repute, in addition to local newspapers of the area where the work is to be executed or supplies are to be made. The criteria for pre-qualification will inter alia consist of past performance, financial soundness, technical

competence, organisational capability etc., commensurate with the requirements. A screening committee consisting of representatives from Engineering / Indentor, Contracts, Finance and QA/ FES department shall be constituted for this purpose which will analyse and evaluate the responses to these advertisements and prepare a category list of the qualified contractors based on the qualification criteria, which shall be valid for about three years from the date of its preparation.

1.4.4 In the case of equipment/material/services with value less than Rs.5 Lakh annual consumption per item, lists of approved vendors shall be maintained on the basis of data available in Trade Journals, Manufacturer's directories or approved vendors list of State Government/ Central Government/ Central PSEs/ DGS & D and vendors to whom enquiries were floated in the past. These lists will be prepared and updated by a screening committee consisting of representatives from Engineering / Indentor, Contracts, Finance and QA/ FES department and necessary changes therein will be made on the basis of vendor's performance and location of new sources etc. A general advertisement may also be issued if considered necessary by the General Manager in papers of all India repute, including local papers in which the Project is situated for obtaining the requisite vendor's data. These lists will be subject to the approval of the Competent Authority.

1.4.5 In case where the list of approved vendors is not available (viz. where the item / service is not required to be procured frequently or the requirement is one time etc.), the indenting department shall provide a list of prospective bidders in the field. The list shall be reviewed by a Committee comprising representatives from Indenting, C&M, QA/ FES and Finance Departments. Based on the approval of recommendations of the Committee, the list of approved bidders shall be used for the purposes of calling of Limited tenders.

1.4.6 The Competent Authority for according approval of the list of approved parties under 2.2.3 and 2.2.4 above shall be ED(CC&M) at Corporate Centre, ED (Region) at Region and GM or Head of Project/ Station/Unit. The list of approved parties under para 2.2.5 above shall, however, be approved at one level higher than the award approving authority for the procurement as per DOP. In case the award approving authority is higher than GM level, the approval of the list of approved parties shall be accorded by ED(CC&M) / ED (Region), as applicable."

A separate Office Order containing consequential changes in the book of Delegation of Powers shall be issued shortly.

(A. K. RASTOGI)

Company Secretary

Distribution:

1. CMD/ D (Oper.)/ D (Comm.)/ D (Tech.)/ D (Fin.)/Dir(HR)/Dir(Projects)/CVO
2. EDs:NR/ER/WR/NCR/SR/Hydro/ APDP(R&M)/ Comml./ HR & PMI /Energy Technologies/ Engg./ OS-R&M/ CM & CW/ CEO-NESCL/ CEO-NHL/ CC&M/ Finance/ TQM/ IT/ HR
3. GMs:Farakka/ Singrauli/ Rihand/ Vindhyachal/ Talcher-Kaniha/ Talcher-Thermal/ Kahalgaon/Sipat Stage-I/ Sipat Stage-II/ Korba/ Unchahar/ Dadri/ Anta/ Auraiya/ BTPS/ Ramagundam/Simhadri/ Kawas/ Tanda/ Barh/ Kayamkulam/ Koldam/ Faridabad/ Jhanor- Gandhar/Tapovan-Vishnugad/ Lohari-Nagpala / CP/ Consultancy / HR - Services/ OS/Comm. / ENCON/ PE-Mech./Eng. Services/IA/R&D/ Corporate Materials / Corp. Contracts / Vigilance / QA&I/R&M /Env. AU & Afforestation / R&R and Safety/ EMG/ R&M/WEC-IMC/Fin.(Comml.)/ Corp. Planning – Disha /ERP/ Finance (EOC)/CMG / Hutong-Kalai/ Kolkata/ CEO-NSPCL/ CEO-NVVN/ CENPEEP
4. AGMs: North Karanpura / Bangalore / Law/ New Business Dev.
   DGMs: Chennai/Mumbai/ Hardwar//Corp. Commn.

NTPC LTD. CORPORATE MATERIALS DEPTT. **PROFORMA FOR QUALIFYING REQUIREMENTS**				
S.NO.	**ITEM**			**PEFERENCE**
1	ORIGINATOR OF PROPOSED Q.R.			
2	PROJECT			
3	PACKAGE AND SPEC. NO.			
4	STAUS AND REF. NO. OF ADMINISTRATIVE APPROVAL			
5	SOURCE OF FINANCING / DETAILS OF LOAN (REF. NO. OF APPROVAL)			
6	WHETHER LCB / ICB			
7	ESTIMATED VALUE OF PACKAGE (REF. OF COST ESTIMATE APPROVAL)			
8	REF. OF EARLIER APPROVED Q.R.			
9	APPROVED BUDGET HEAD			
10	BRIEF SCOPE AND COST BREAK UP			
11	CHANGES WITH RESPECT TO EARLIER APPROVED Q.R. ENCLOSED			
12	LST OF VENDORS EXPECTIED TO BE QUALIUIFIED			
	ROUTE-1	ROUTE-2(IF APPLICABLE)		ROUTE-3 (IF APPLICABLE)
ROUTING OF PROOPOSED QUALIFYING REQUIREMENT				
DESINGATION	ORIGINATOR			
SIGNATURE & DATE				

NOTE: CHANGES WITH RESPECT TO EARLIER APPROVED Q.R. AND BRIEF SCOPE OF WORK SHOULD BE ENLOSED WITH THE PROPOSED Q.R.

EXTRACTS FROM THE MINUTES OF 42nd MEETING OF THE COMMITTEE ON MANAGEMENT CONTROLS HELD ON TUESDAY, MAY 19, 2015

Item No. 42.1 Modification in Financial Qualifying Requirements

XX	XX	XX	XX	XX	XX
XX	XX	XX	XX	XX	XX

The Committee, after discussions, passed the following resolution:

Resolved that the following modifications in the existing Financial Qualifying Requirements as detailed in the memorandum submitted before the Committee and as modified during deliberations, be and are hereby approved:

- Average Annual Turnover requirement be reduced from 150% to 100% of the Annualized estimate for Ash Dyke Package for Kudgi STPP-I (3X800 MW) as a test case and reverse auction shall be adopted for the same on trial basis.
- Outcome of the trial be reported to the Committee on Management Controls in its next meeting to enable the Committee to decide upon the Average Annual Turnover requirement for future civil packages.
- Where Joint Ventures/Consortiums are allowed to bid, all the partners of the Joint Venture/Consortium shall be collectively required to meet the turnover criteria.
- For tenders where work schedule is less than 12 months, the Average Annual Turnover requirement shall be specified as an amount equivalent to Cost Estimate for that work.
- Net worth requirement to be specified as not being less than 100% of the bidder's paid up share capital as on the last day of the preceding financial year. In case the Bidder meets the requirement of Net worth based on the strength of its Subsidiary(ies) and/or Holding Company and/or Subsidiaries of its Holding companies wherever applicable, the Net worth of the Bidder and its Subsidiary(ies) and/or Holding Company and/or Subsidiary(ies) of the Holding Company, in combined manner should not be less than 100% of their total paid up share capital. However individually, their Net worth should not be less than 75% of their respective paid up share capitals. For Consortiums/Joint Ventures, wherever applicable, the Net worth

of all consortium/Joint Venture members in combined manner should not be less than 100% of their paid up share capital however individually, their Net worth should not be less than 75% of their respective paid up share capitals.

- In cases where audited results for the last financial year as on the date of Techno commercial bid opening are not available, the financial results certified by a practicing Chartered Accountant shall be considered acceptable. In case, Bidder is not able to submit the Certificate from practicing Chartered Accountant certifying its financial parameters, the audited results of three consecutive financial years preceding the last financial year shall be considered for evaluating the financial parameters.

- The requirement of un-utilized line of credit shall be deleted from the Financial QR.

- The aforesaid Financial QR shall not be applicable for Coal Mining projects and Consultancy works.

- For Solar Projects, the Average Annual Turnover requirement in Financial QR for higher block sizes (of 50 MW and above) shall be kept as equivalent to 100% of Cost Estimate of one power block of 50 MW size Solar PV Plant.

XXXXX

EXTRACTS FROM THE MINUTES OF 43[RD] MINUTES OF THE COMMMITTEE ON MANAGEMENT CONTROLS OF THE BOARD OF DIRECTORS HELD ON FRIDAY, OCTOBER 16, 2015

267 **Item No.43.1 Modification in Financial Qualifying Requirements**

Executive Director (CC&M) recalled that the Committee had, in its 42[nd] meeting held on 19.5.2015 resolved that Average Annual Turnover requirement be reduced from 150% to 100% of the Annualized estimate for re-tendered Ash Dyke Package for Kudgi STPP-I (3X800 MW) as a test case and reverse auction shall be adopted for the same on trial basis. It was also mentioned that outcome of the trial be reported to the Committee in its next meeting to enable it to decide upon the Average Annual Turnover requirement for future civil packages.

Executive Director (CC&M) then informed that Envelope-I (Techno-Commercial) bids for Ash Dyke Package for Kudgi were opened on 24.7.2015. Bids were received from three bidders. After evaluation of Techno-Commercial bids, the Envelope-II (Price) Bids of the aforesaid three Bidders were opened on 24.9.2015. The quoted price of L1 bidder was approx 7.6% lower than the cost estimate. After opening of Price Bids, reverse auction was carried out on the same day. It was observed that the quoted price of L1 bidder after reverse auction was approx 8.6% lower than the cost estimate.

In response to a query from the Committee, Executive Director (CC&M) informed that only the L1 bidder had participated in the reverse auction and reduced its price by one decrement. Rest of the bidders did not participate in the reverse auction though they stayed in the cockpit. He added that more encouraging result had been observed in packages for procurement of imported coal.

The Committee noted the position.

Continuing, Executive Director (CC&M) stated that in the earlier tender for Ash Dyke Package for Kudgi invited in September 2014 with old financial QR (i.e. Average Annual Turnover requirement was specified as 150% of the Annualized estimate), only two bids were received and the quoted price of L1 bidder was approximately 11% higher than the cost estimate. Further, even after negotiations, the prices were approximately 10% higher than the cost estimate. Meanwhile, one of the agencies viz. Budhiraja Mining & Construction Ltd. had filed a Civil Writ Petition in February 2015 before the Hon'ble Delhi High Court against NTPC challenging the financial Qualifying Requirements (QR) specified in the tender for construction of 5[th] raising Lagoon-II, Stage-II Ash Dyke of TSTPS, Kaniha as it could not participate in the bidding process for not meeting the QR conditions. The agency had contended in its petition that minimum average annual turnover requirement specified in the aforesaid tender was significantly high. In this regard, it may be mentioned that aforesaid tender was invited from enlisted agencies

wherein the criteria for average annual turnover requirement was specified by taking 150% of the annual estimated value of the works envisaged to be started up to September 2015 across NTPC.

Briefing the Committee on subsequent developments, Executive Director (CC&M) stated that replies were filed by NTPC and during the hearing of petition on 27.8.15, the court observed that NTPC may review the criteria of annual turnover in consonance with paragraph 5 of CVC guideline dated 17.12.2002 which inter-alia specifies that Average Annual financial turnover during the last 3 years should be at least 30% of the estimated cost and further NTPC may take a call with regard to annual turnover requirement.

In this context, Company Secretary read out the Court Order for information of the Committee.

Executive Director (CC&M) then stated that as per existing QR, Average Annual Turnover requirement is 100% of the Annualized estimate for all packages except civil packages.

The Committee was of the view that Average Annual Turnover requirement be reduced from 150% to 100% of the Annualized estimate for civil packages also to encourage more competition.

Executive Director (CC&M) also stated that some more changes need to be brought about in the existing QR. In case where audited results for the last financial year as on the date of Techno-commercial bid opening are not available, the financial results certified by a practising Chartered Accountant may be considered acceptable. In case, Bidder is not able to submit the Certificate from practising Chartered Accountant certifying its financial parameters, the audited results of three consecutive financial years preceding the last financial year may be considered for evaluating the financial parameters. Further, a Certificate would be required from the CEO/CFO as per the format enclosed in the bidding documents stating that the Financial results of the Company are under audit as on the date of Techno-commercial bid opening and the Certificate from the practising Chartered Accountant certifying the financial parameters is not available. He added that a formula for computation of Net worth in combined manner for Group companies may be considered.

The Committee, after discussions, passed the following resolution:

Resolved that the following modifications in the existing Financial Qualifying Requirements as brought out during deliberations, be and are hereby approved:

- Average Annual Turnover requirement be reduced from 150% to 100% of the Annualized estimate for civil packages.

Copy to SEC(CM) - for information & n-a please
14/1 Lewis 14/01/09

INTER OFFICE MEMO

From: Company Secretary To: ED (CC&M)

Ref: 01:SEC:NTPC:BM:8

Dated: 13.01.2009

Sub.: Framing of guidelines regarding financial criteria to be specified in qualifying requirements for packages tendered from sites/ regions

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Kindly find enclosed a copy of extracts from the Minutes of 25th Meeting of the Committee on Management Controls of the Board of Directors of NTPC Limited held on Monday, 12th January, 2009 on the above subject for your information and necessary action.

(A.K.Rastogi)

Encl: As above

EXTRACT FROM THE MINUTES OF 25TH MEETING OF THE COMMITTEE ON MANAGEMENT CONTROLS OF THE BOARD OF DIRECTORS HELD ON MONDAY, JANUARY 12, 2009

Item No.25.8 **Framing of guidelines regarding financial criteria to be specified in qualifying requirements for packages tendered from sites/ regions.**

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The Committee, after discussions, passed the following resolution:

Resolved that the recommendations-cum-guidelines pertaining to nomination of Standing Committee, modification of qualifying requirements (QR), financial criteria for works contracts, financial criteria for procurement cases, presentation of draft QR and convener of QR Committee, as contained in the memorandum submitted before the Committee on Management Controls, be and are hereby approved."

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Corporate Materials Management

01/CMM/CMPG/ 31 / 10 / 2008

Memorandum for the Committee on Management Controls

AGENDA

for Framing of guidelines regarding financial criteria to be specified in QR for packages tendered from Site/Region.

Preamble

The Committee consisting of representatives from Engineering, Corporate & NCR Hqs Finance, Corporate & Dadri Materials, was nominated vide Office Order No. 01/CS-P&S-306 dated 19.03.08, for framing of suitable guidelines for packages being tendered from Sites/Regions to be put up to committee on Management Controls for approval.

The terms of reference for the Committee shall include

- Packages having award value less than or equal to Rs. 1 crore.
- Packages having award value more than Rs. 1 crore (including site packages for which QR is finalised at Regional office.)

In order to bring uniformity among the Stations ,Projects, Regional Head Quarters and Corporate Contracts & Materials, the committee deliberated the issue. It was felt necessary to have standing QR Committee at each place in order to follow a uniform approach for framing of QR and towards establishing the capability of the Vendor, apart from financial criteria for which tender are invited for. With regard to **"Procurement"** and **" Works Contracts"** , it was felt that financial criteria need to be addressed separately and the same may be segregated.

The committee deliberated the issue, and the proposed recommendations cum guidelines were put up for the approval and have been approved by CMD, are attached along with this agenda

Sl no	Agenda point	Approved recommendations
1.0	Nomination of Standing Committee	***A Standing Committee*** to be constituted at Stations / Plants & Regional Head Quarters by Head of the Project / Regional ED for finalization of QR's respectively. ***Projects / stations*** :- At the level of DGMs to be nominated by the respective HOD of the Station/Region and approved by the Head of the Project (HOP) for Purchase / Contracts valued upto Rs. 1 crore. In the absence of DGMs, Senior Manager can be nominated with specific approval of HOP. ***Regional Head Quarters*** :- At the level of (E7 / E7A) to be nominated and approved by the Regional ED for Purchase/Contracts valued above 1 crore, and in line with the provisions of DOP. In the absence of DGMs, Senior Manager can be nominated with specific approval of Regional ED. • Qualifying requirements shall be approved by Head of the Project / Regional ED respectively at Projects, Stations & RHQs, who shall be the Chairman of the QR Committee.

QR-final agenda for CMC

S. KRISHNAMURTHY
General Manager (CM)

<table>
<tr><td>2.0</td><td>Modification of QR</td><td>In the event of modification of QR, after publication of Tender Notice, the modified QR shall be approved by as under:
the QR which was originally approved by HOP the modified (revised) QR, subsequent to release of NIT shall be approved by Regional ED in addition to the HOP,
and
the QR which was originally approved by RED, the modified (revised) QR, subsequent to release of NIT shall be approved the concerned Regional ED and an additional ED as per table here under.
<table>
<tr><th>Region initiating modification in QR</th><th>Additional RED</th></tr>
<tr><td>NCR</td><td>NR</td></tr>
<tr><td>NR</td><td>ER</td></tr>
<tr><td>ER</td><td>WR</td></tr>
<tr><td>WR</td><td>SR</td></tr>
<tr><td>SR</td><td>HYDRO</td></tr>
<tr><td>HYDRO</td><td>NCR</td></tr>
<tr><td>COAL MINING</td><td>CC&M</td></tr>
<tr><td>CC&M</td><td>ENGG</td></tr>
</table></td></tr>
<tr><td>3.0</td><td>Financial Criteria for Works Contract</td><td>Financial criteria, to bring in uniformity in the financial criteria for works contracts following is recommended,</td></tr>
<tr><td>3.1</td><td>Works contract up to 4 crore</td><td>➢ the criteria to be followed
a. The average annual turn over of the bidder in the preceding three (3) financial years as on date of bid opening shall be not less than INR ____ millions, to be calculated as under,
➢ ATO = EC x 12 /CP
•ATO = Annual Turn Over
•EC = Estimate Cost
•CP = Job completion in months
b. Towards experience of having successfully completed similar work, .
• Single order of 80% value of estimate
• Two orders of 50% value of estimate
• Three orders of 40% value of estimate
In addition to the above, the criteria regarding having executed similar type of jobs, satisfactory performance of works, personnel, establishment, plant, equipment etc. can be incorporated according to the requirement of the Package to be established through documentary evidence depending upon the nature of item and the scope of similar works to be clearly defined .</td></tr>
<tr><td>3.2</td><td>Works contract beyond 4 Crore ,</td><td>a. The guidelines issued by AGM (IA) vide their IOM ref 01/CC/FA/IA/CMC 20 DT 27TH August 2007 subsequent to approval of CMC (Committee on management Controls) regarding financial criteria need to be followed.
• The standard format and the detailed guidelines being followed by corporate contracts regarding financial criteria may be followed.
b. In addition to the above, the criteria regarding having executed similar type of jobs, satisfactory performance of works, personnel, establishment, plant, equipment etc. can be incorporated according to the requirement of the Package to be established through documentary evidence depending upon the nature of item and the scope of similar works to be clearly defined .</td></tr>
</table>

QR-final agenda for CMC

S. KRISHNAMURTHY
General Manager (CM)

4.0	**Financial Criteria for Procurement Cases**	to bring in uniformity in the financial criteria for works contracts following is recommended,
4.1	**Procurement case up to 15 crores**	➢ ***The criteria to be followed*** a. The average annual turn over of the bidder in the preceding three (3) financial years as on date of bid opening shall be not less than INR ____ millions, to be calculated as under, ➢ ATO = EC x 12/CP • **ATO = Annual Turn Over** • EC = Estimate Cost • CP = Job completion in Months b. Towards experience of having successfully completed similar work, . • Single order of 80% value of estimate • Two orders of 50% value of estimate • Three orders of 40% value of estimate In addition to the above, the criteria regarding having executed similar type of jobs, satisfactory performance of works, personnel, establishment, plant, equipment etc. can be incorporated according to the requirement of the Package to be established through documentary evidence depending upon the nature of item and the scope of similar works to be clearly defined .
4.2	**Procurement case Beyond 15 crores**	a. The guidelines issued by AGM (IA) vide their IOM ref 01/CC/FA/IA/CMC 20 DT 27TH August 2007 subsequent to approval of CMC (Committee on management Controls) regarding financial criteria need to be followed as relevant to Mechanical & Electrical packages. • The standard format and the detailed guidelines being followed by corporate contracts regarding financial criteria may be followed. b. In addition to the above, the criteria regarding having executed similar type of jobs, satisfactory performance of works, personnel, establishment, plant, equipment etc. can be incorporated according to the requirement of the Package to be established through documentary evidence depending upon the nature of item and the scope of similar works to be clearly defined .
5.0	**Presentations of Draft QR**	The draft QR shall be presented to the standing committee by the Indenting Department along with all necessary approvals viz, cost vetted estimate, budget, administrative approval etc to the Head of Technical Services or Engineering for Prima facie clearance / approval before being put up to the Standing QR Committee. The TS deptt shall act as a convener of the QR Committee. The draft QR document ***"attached"*** which shall consist of ➢ Approval of QR (Internal Departments) • Description of items indented / brief Scope of Work. • Proposed QR • Basis of QR • Prospective list of Bidders likely to qualify as per QR Criteria • Financial Criteria
6.0	**Convener of QR Committee**	Technical Services department or Engineering department at Project Site / Regional head quarters shall act as the convener of the QR Process.

QR-final agenda for CMC

S. KRISHNAMURTHY
General Manager (CM)

3.0	**Financial Criteria:** A. The average annual turnover of the Bidder, in the preceding three (3) financial years as on the date of bid opening, shall not be less than INR _____millions (Indian Rupees _____ millions only) or in equivalent foreign currency. B. The Net Worth of the Bidder as on the last day of the preceding financial year shall not be less than 25% of the paid-up share capital. C. In case the bidder is not able to furnish its audited financial statements on stand alone entity basis, the unaudited unconsolidated financial statements of the bidder can be considered acceptable provided the bidder furnishes the following further documents on substantiation of its qualification: (i) Copies of the unaudited unconsolidated financial statements of the bidder alongwith copies of the audited consolidated financial statements of the Holding Company. (ii) A Certificate from the CEO/CFO of the Holding Company, as per the format enclosed in the bid documents, stating that the unaudited unconsolidated financial statements form part of the Consolidated Annual Report of the company. In case where audited results for the last preceding financial year are not available, certification of financial statements from a practicing Chartered Accountant shall also be considered acceptable. D. In case a bidder does not satisfy the financial criteria, stipulated at para A and/ or para B. above on its own, the holding company would be required to meet the stipulated turnover requirements at para A above, provided that the net worth of such holding company as on the last day of the preceding financial year is atleast equal to or more than the paid-up share capital of the holding company. In such an event, the bidder would be required to furnish along with its bid, a Letter of Undertaking from the holding company, supported by Board Resolution, as per the format enclosed in the bid documents, pledging unconditional and irrevocable financial support for the execution of the Contract by the bidder in case of award. E. The unutilised line of credit for fund based and non-fund based limits with cash and bank balances including fixed deposits of the bidder as on a date not earlier than 15 days prior to the date of bid opening, duly certified by the Bankers shall not be less than INR _____ millions (Indian Rupees _____ millions only) or in equivalent foreign currency. In case certificates from more than one bank are submitted, the certified unutilized limits shall be of the same date from all such banks. F. Where another Company of the group acting as the Treasury Centre is responsible for Treasury Management of the bidder having combined credit/guarantee limit for the whole group, the bidder would be required to provide a Banker's certificate regarding the unutilised line of credit for fund based and non-fund based limits together with cash and bank balances including fixed deposits available to such Treasury Centre. Further, Treasury Centre shall certify that out of the aforesaid limits certified by the bankers' , the Bidder shall have access to the line of credit of a level not less than the specified amount at para E above. In proof of this, the bidder would be required to furnish along with its bid, a Letter of Undertaking from the Treasury Centre, supported by a Resolution passed by the Board of Directors of the holding company, as per the format enclosed in the bid documents, pledging unconditional and irrevocable financial support for the execution of the Contract by the bidder in case of award.

G. In case the Bidder's unutilized line of credit for fund based and non-fund based limits specified at para E above is not sufficient, a comfort letter from one of the bankers specified in the bid documents unequivocally stating that in case the bidder is awarded the contract, the Bank would enhance line of credit for fund based and non-fund based limits to a level not less than the specified amount to the bidder or to the Treasury Management Centre as the case may be, shall be acceptable.

(para H, given below, is applicable only if there is JV route in the QR)

H. In case of a bid submitted by Joint Venture, the turnover and line of credit shall be considered on a combined manner for all the JV partners and for the net worth, all the partners shall be required to meet individually. However, in case of a JV of holding and/or subsidiary companies, the options at para C. or para D are also available to the bidder.

NOTES:

(Note (i), given below, is applicable only if there is JV route in the QR)

(i) For the purpose of compliance to the stipulated turnover criteria given in para A, the turnover from Joint Venture(s) in proportion to bidder's / proposed JV partner(s)' share as declared in the Joint Venture agreement, shall also be considered

(ii) Net worth means the sum total of the paid up share capital and free reserves. Free reserve means all reserves credited out of the profits and share premium account but does not include reserves credited out of the revaluation of the assets, write back of depreciation provision and amalgamation. Further any debit balance of Profit and Loss account and miscellaneous expenses to the extent not adjusted or written off, if any, shall be reduced from reserves and surplus.

(iii) Other income shall not be considered for arriving at annual turnover.

(iv) For unutilised line of credit for fund based and non-fund based limits and Turnover indicated in foreign currency, the exchange rate as on 7 days prior to the date of bid opening shall be used.

I. Notwithstanding anything stated above, the Employer reserves the right to assess the capabilities and capacity of the Bidder / his collaborators/associates/subsidiaries/group companies to perform the contract, should the circumstances warrant such assessment in the overall interest of the Employer.

NTPC LIMITED

CORPORATE INTERNAL AUDIT, R&D BUILDING, NOIDA

INTER OFFICE MEMO

From: AGM(I/c- Internal Audit)

To: ED (CC&M)
ED (Engg.)
ED (Finance)
GM (Finance)-EOC
AGM(PE)&Secy. QR Committee

Ref: 01/CC/FA/IA/CMC 20

Copy to : D(F)/ D(T)
for kind information

Date: 27th August 2007

Sub: **(Revised) Financial Criteria to be specified in the Qualifying Requirements for the packages to be tendered from Corporate Contracts**

The financial criteria to be specified in the Qualifying Requirements (QR) for the packages to be tendered from Corporate Contracts were approved by the Committee on Management Controls (CMC) in its 14th meeting held on 23rd June 2005 and the same had been stipulated in all NITs floated with effect from 5th June 2005 onwards. Based on the experience gained in the intervening period, the financial criteria have been reviewed by the Committee on Management Controls (CMC) in its 20th meeting held on 29th May 2007.

After detailed deliberations, the Committee decided on certain revisions in the earlier approved Financial Criteria and after incorporating the approved revisions, the Financial Criteria to be stipulated for the packages to be tendered from Corporate Contracts shall be as follows:

1. **Average Annual Turnover:**

The average annual turnover of the bidder in the preceding three (3) financial years as on the date of bid opening shall not be less than the amount to be specified on the following guiding principles:

- In case of Civil Packages, the amount shall be equivalent to 1.5 times the average annual requirement based on the cost estimate.
- In case of Mechanical/Electrical packages, the amount shall be equivalent to the average annual requirement based on the cost estimate.

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- In composite packages involving both Civil as well as Mechanical/Electrical elements, the turnover requirement for Civil Portion and Mechanical/ Electrical portion shall be specified separately in line with the guiding principles as above.
- In certain specific cases, the amount to be specified may be reviewed by the QR Committee considering the availability of bidders for the particular package.

2. **Net Worth:**

The Net Worth of the bidder as on the last day of the preceding financial year shall not be less than 25% of its paid-up share capital.

3.1 In case the bidder is not able to furnish its audited financial statements on stand alone entity basis, the un-audited unconsolidated financial statements of the bidder can be considered acceptable provided the bidder furnishes the following further documents on substantiation of its qualification:

- Copies of the un-audited unconsolidated financial statements of the bidder along with copies of the audited consolidated financial statements of the Holding Company.
- A Certificate from the CEO/CFO of the Holding Company, as per the format enclosed in the bid documents, stating that the un-audited unconsolidated financial statements form part of the Consolidated Annual Report of the Company.

3.2 In cases where audited results for the last preceding financial year are not available, certification of financial statements from a practicing Chartered Accountant shall also be considered acceptable.

4. In case a bidder does not satisfy the financial criteria, stipulated at paras 1 and/or 2 above on its own, the holding company would be required to meet the stipulated turnover requirements at para 1 above, provided that the net worth of such holding company as on the last day of the preceding financial year is at least equal to or more than the paid-up share capital of the holding company. In such an event, the bidder would be required to furnish along with its bid, a Letter of Undertaking from the holding company, supported by Board Resolution, as per the format enclosed in the bid documents, pledging unconditional and irrevocable financial support for the execution of the Contract by the bidder in case of award.

5. **Unutilized line of credit for fund based and non-fund based limits:**

a) The unutilized line of credit for fund based and non-fund based limits with cash and bank balances including fixed deposits of the bidder as on a date not earlier

than 15 days prior to the date of bid opening, duly certified by the Bankers shall not be less than the aggregate amount of the following taken together:

(i) equivalent to 120% of all the bank guarantee requirements calculated on the basis of the cost estimate of the package, and

(ii) equivalent to three months Cash Flow based on cost estimate of the package for meeting the working capital requirement.

In case certificates from more than one bank are submitted, the certified unutilized limits shall be of the same date from all such banks.

b) Where another Company of the group acting as the Treasury Centre is responsible for Treasury Management of the bidder having combined credit/ guarantee limit for the whole group, the bidder would be required to provide a Banker's certificate regarding the unutilized line of credit for fund based and non-fund based limits together with cash and bank balances including fixed deposits available to such Treasury Centre. Further, Treasury Centre shall certify that out of the aforesaid limits certified by the bankers, the bidder shall have access to the line of credit of a level not less than the amount specified at (a) above. In proof of this, the bidder would be required to furnish along with its bid, a Letter of Undertaking from the Treasury Centre, supported by a resolution passed by the Board of Directors of the holding company, as per the format enclosed in the bid documents, pledging unconditional and irrevocable financial support for the execution of the Contract by the bidder in case of award.

c) In case the bidder's unutilized line of credit for fund based and non-fund based limits specified at (a) above is not sufficient, a comfort letter from one of the bankers specified in the bid documents unequivocally stating that in case the bidder is awarded the contract, the Bank would enhance the line of credit for fund based and non-fund based limits to a level not less than the specified amounts to the bidder or to the Treasury Management Centre, as the case may be, shall be acceptable.

6. In case of a bid submitted by a Joint Venture (JV), the turnover and line of credit shall be considered on a combined manner for all the JV partners but the partners shall be required to meet the net worth criterion individually. However, in case of a JV of holding company and/or subsidiary, the options at paras 3.1 and 4 are also available to the bidder.

7. Wherever bids for Consultancy Packages are invited with QR, the requirement of financial criteria in QR would be decided on case-to-case basis by the QR Committee.

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NOTES:

i) For unutilized line of credit for fund based and non-fund based limits and Turnover indicated in foreign currency, the exchange rate as on 7 days prior to the date of bid opening shall be used.

ii) Net Worth means the sum total of the paid up share capital and free reserves. Free reserves means all reserves credited out of the profits and share premium account but does not include reserves credited out of the revaluation of assets, write back of depreciation provisions and amalgamation. Further, any debit balance of profit and loss account and miscellaneous expenses to the extent not adjusted or written off, if any, shall be reduced from Reserves & Surplus.

iii) Other income shall not be considered for arriving at annual turnover.

This supersedes all earlier correspondence on the said subject.

(D.Basu)

NTPC LIMITED

ENGINEERING OFFICE COMPLEX

CORPORATE CONTRACTS & MATERIALS

01/CMM/SIMG/2013 DATED : 16/12/2013

CIRCULAR NO. 96

SUB : IMPLEMENTATION OF PUBLIC PROCUREMENT POLICY FOR MICRO & SMALL ENTERPRISES (MSEs) ORDER -2012

Ministry of Micro, Small and Medium Enterprises (MSME) , Government of India has issued Public Procurement Policy for Micro & Small Enterprises (MSEs) Order – 2012 vide **Extra ordinary Gazette Notification no. 581 dated 23/03/2012** (copy enclosed).

As per the order, Central Ministries/ Departments/ PSUs shall set an annual goal for procurement from the MSE sector so as to acheive the Target of procurement goal of minimum of 20% of the total annual procurement from MSEs and out of which 4% (i.e. 20% out of 20%) will be earmarked for procurement from MSEs owned by SC/ST entrepreneurs by the year 2015-2016.

It has been decided that all benefits provided under the above notification shall be extended to MSEs with the following provisions.

1) For procurement of services or supplies where splitting of quantity is not possible, the award shall be given to L1 bidder only.
2) For the purpose of calculation of Total procurement value in respect to arrive at the percentage procurement from MSEs, the value of procurement towards Primary fuel, Secondary fuel, Steel & Cement, the project procurement including R&M and procurement from OEM/OES/PAC sources shall be considered excluded.
3) In regard to exclusive procurement of 358 items from MSEs, the matter will be taken up with Ministry of MSME through Ministry of Power for exclusion of certain critical items.

Action Plan

In order to meet the Target progressively up to 20% during the financial year 2015-2016 and onwards, following action plan has been approved.

1) To target the reserved list of 358 items, every region / project need to ensure that whatever procurement is done for these items, tenders will be issued only to MSE units. The list of such vendors shall be collected

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from the respective regional offices of MSME / NSIC / District Industries Centre etc. This is to be planned accordingly at the beginning of the financial year.

2) To ensure 4% procurement of goods and services from SC/ST entrepreneur, all sites / regions shall get such list of vendors along with product details from regional MSME offices / DICs and action for procurement shall be taken accordingly. However, so far as Services are concerned, NTPC may selectively issue tenders to local SC/ST entrepreneur MSEs for meeting the target.

3) For any further clarifications / FAQs on said notifications, you may visit to MSME website: **www.dcmsme.gov.in**

4) Necessary provision may be made accordingly in the tender documents regarding the benefits to be provided to MSEs.

5) As per the provision of above referred Notification(English Version)vide clause no. 7 and 9, Special vendor Development Programmes shall be organized by each project / Region at least once in a year.

Further, to meet the above target at the end, a monthly report shall be generated by each site invariably and to be sent to RHQs duly signed by respective Heads of Project / Station. The same shall be forwarded to Corporate C&M thereafter by RHQs. The report will be reviewed at Corporate Centre so that at the end of the year the target fulfillment becomes smooth and reporting will be done to the Ministry of MSME accordingly.

This supercedes the similar provisions in system circular no. 78 dated 10/06/2003.

This issues with the approval of Board of Directors for Strict Implementation.

(S.C.CHAVADY)
GENERAL MANAGER(CM)

Enclosed: Gazette Notification No. 581(E) dated 23/03/2013

Distribution :

HOD(C&M) / HOD(FIN)

Singrauli /Korba/ Ramagundum/ Farakka / Rihand/ Vindhyachal / Talcher Super/ Talcher Thermal /Kahalgaon/ Barh/ Auraiya/ Anta/ Faridabad/ Dadri / Badarpur/ FGUTPP/ Tanda/ Koldam/ Tapovan Vishnu Garh / Sipat / Kawas / Gandhar/ RGCCPP/ Simadri/ Solapur/ Bongaigaon / Mouda /Kudgi/ Barethi / Gadarwara/ Khargone/ Lara/ Lohari Nag Pala/ Kolodyne-II/ Rupsiyabagar / Khasiabara /Gajamara / Darlipalli /Pakri Barwadih CMP / Chatti-Bariatu CMP / Kerendari CMP/ Talaipalli CMP / Dulanga CMP/ Consultancy/

KBUNL/ BRBCL/ NESCL/ NTPC Hydro/ NSPCL / NTECL/ RGPPL / NPGCL/ APCPL/ MUNPL/ NPEL

ER-I / ER-II/ NCR/ NR/SR/ WR-I / WR-II/ Hydro Region / CM&CW

GMs

Singrauli /Korba/ Ramagundum/ Farakka / Rihand/ Vindhyachal / Talcher Super/ Talcher Thermal /Kahalgaon/ Barh/ Auraiya/ Anta/ Faridabad/ Dadri / Badarpur/ FGUTPP/ Tanda/ Koldam/ Tapovan Vishnu Garh / Sipat / Kawas / Gandhar/ RGCCPP/ Simadri/ Solapur/ Bongaigaon / Mouda /Kudgi/ Barethi / Gadarwara/ Khargone/ Lara/ Lohari Nag Pala/ Kolodyne-II/ Rupsiyabagar / Khasiabara /Gajamara / Darlipalli /Pakri Barwadih CMP / Chatti-Bariatu CMP / Kerendari CMP/ Talaipalli CMP / Dulanga CMP/ Consultancy/ FIN(CC) / HR(CC)Scope /HR(CC) EOC/ VIG(CC)/ CC&M / ENGG. /CQA / Inspection(CC)/ Corporate OS

KBUNL/ BRBCL/ NESCL/ NTPC Hydro/ NSPCL / NTECL/ RGPPL / NPGCL/ APCPL/ MUNPL/ NPEL

ER-I / ER-II/ NCR/ NR/SR/ WR-I / WR-II/ Hydro Region / CM&CW

CEOs

KBUNL/ BRBCL/ NESCL/ NTPC Hydro/ NVVN / NSPCL / NTECL/ RGPPL / NPGCL/ APCPL/ MUNPL/ NPEL

REDs

ER-I / ER-II/ NCR/ NR/SR/ WR-I / WR-II/ Hydro Region – for information and necessary action pl.

ED(CC&M) / ED(ENGG.) / ED(CP) / ED(OS) ED(PP&M) / ED(FM) / ED(FIN) EOC / ED(FIN) SCOPE /ED(CSR) / Company Secretary / GM(HR) I/C / GM(IT) – for information pl.

STA to : D(PRO) / D(HR) / D(T) / D(O) / D(COM) / CVO – for information pl.

STA to: CMD – for information pl.

रजिस्ट्री सं० डी० एल-33004/99 REGD NO.

भारत का राजपत्र
The Gazette of India

असाधारण
EXTRAORDINARY
भाग II—खण्ड 3—उप-खण्ड (ii)
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सूक्ष्म लघु और मध्यम उद्यम मंत्रालय

अधिसूचना

नई दिल्ली, 23 मार्च, 2012

का.आ. 581(अ).—क्योंकि, केंद्रीय सरकार के मंत्रालय, विभाग और सार्वजनिक क्षेत्र के उपक्रम अपने उत्पादों या सेवाओं के वार्षिक मूल्य का कम से कम 20 प्रतिशत सूक्ष्म और लघु उद्यमों से उपाप्त करेंगे;

और, प्रतिस्पर्धा के साथ सिद्धांतों, साधार उपापन व्यवहारों पर आधारित तथा किसी प्रणाली के अनुसरण में माल या सेवाओं के प्रदाय के लिए, आदेशों के निष्पादन पर आधारित सार्वजनिक उपापन नीति, स्पष्ट, साम्यपूर्ण, पारदर्शी प्रतियोगी ओर मूल्य प्रभावी होगी; और

और सार्वजनिक अधिप्राप्ति नीति मजबूत अधिप्राप्ति व्यवहारों और आदेशों का पालन करते हुए आपूर्तिकर्ताओं की प्रतिस्पर्धात्मकता को बरकरार रखने के केंद्रीय सिद्धांतों और एक निष्पक्ष, समान, पारदर्शी, प्रतिस्पर्धी और लागत सक्षम व्यवस्था के अनुरूप उत्पादों/सेवाओं की आपूर्ति के आदेशों के क्रियान्वयन पर आधारित है;

और चूंकि, सूक्ष्म और लघु उद्यमों के संवर्धन और विकास सुकर बनाने करने के लिए, केंद्रीय सरकार या राज्य सरकार समय-समय पर यथास्थिति, आदेश द्वारा अपने मंत्रालयों या विभागों, पब्लिक सेक्टर अधिमानी, या उसके सहायता प्राप्त संस्थानों और यथास्थिति, के उपक्रमों द्वारा सूक्ष्म और लघु उद्यमों द्वारा उत्पादित और प्रदत्त उत्पादों और सेवाओं के उपापन के संबंध में अधिमानी नीतियों को अधिसूचित कर सकेगी।

अतः, अब, सूक्ष्म, लघु और मध्यम उद्यम अधिनियम (एमएसएमईडी), 2006 की धारा 11 में प्रदत्त शक्तियों का प्रयोग करते हुए, केंद्रीय सरकार, आदेश द्वारा, अपने मंत्रालयों या विभागों या पब्लिक सेक्टर के उपक्रमों द्वारा सूक्ष्म और लघु उद्यमों द्वारा उत्पादित और प्रदत्त उत्पादों और सेवाओं के उपापन के संबंध में सार्वजनिक उपापन नीति (जिसे इसमें इसके पश्चात कहा गया है) को अधिसूचित करती है।

2. **संक्षिप्त नाम और आरंभ**

(1) इस आदेश का संक्षिप्त नाम 'सूक्ष्म और लघु उद्यमों के लिए सार्वजनिक उपापन नीति आदेश, 2012' है ।

(2) ये 1 अप्रैल 2012 से लागू होगी।

3. **सूक्ष्म और लघु उद्यम से आज्ञापन उपापन** - (1) प्रत्येक केन्द्रीय मंत्रालय या विभाग या पब्लिक सेक्टर के उपक्रम को वित्तीय वर्ष 2012-13 और उसके पश्चात से तीन वर्षों की अवधि में सूक्ष्म और लघु उद्यम द्वारा उत्पादित या प्रदत्त उत्पादों या सेवाओं की कुल वार्षिक खरीदों के न्यूनतम 20 प्रतिशत का कुल उपापन प्राप्त करने के उद्देश्य से सूक्ष्म और लघु उद्यमों से उपापन का एक वार्षिक लक्ष्य नियत करेगा।

(2) उपापन के वार्षिक लक्ष्य के अंतर्गत बड़े उद्यमों द्वारा सूक्ष्म और लघु उद्यम तथा राष्ट्रीय लघु उद्योग निगम द्वारा गठित सूक्ष्म और लघु उद्यम के संघ की उप-संविदाएं भी हैं।

(3) तीन वर्षों की अवधि के पश्चात अर्थात् 1 अप्रैल, 2015 से न्यूनतम 20 प्रतिशत का कुल उपापन लक्ष्य आज्ञापक होगा।

(4) केन्द्रीय सरकार के मंत्रालयों या विभागों या पब्लिक सेक्टर उपक्रम, जो वार्षिक लक्ष्य की पूर्ति करने में असफल रहते हैं, को इस नीति के अधीन सूक्ष्म, लघु और मध्यम उद्यम मंत्रालय में सचिव (सूक्ष्म, लघु और मध्यम उद्यम) की अध्यक्षता में गठित पुनर्विलोकन समिति के समक्ष इसके उचित कारण सिद्ध करने होंगे।

4. **अनुसूचित जाति या अनुसूचित जनजाति के स्वामित्व वाले सूक्ष्म और लघु उद्यम के लिए विशेष उपबंध**- सूक्ष्म और लघु उद्यमों से वार्षिक उपापन के 20 प्रतिशत लक्ष्य में से, 20 प्रतिशत का एक उप-लक्ष्य (अर्थात 20 प्रतिशत में से 4 प्रतिशत) अनुसूचित जाति या जनजाति के स्वामित्व वाले उद्यमियों के सूक्ष्म और लघु उद्यमों से खरीद के लिए चिह्नित होंगे। परंतु, ऐसे सूक्ष्म और लघु उद्यमों के निविदा प्रक्रिया में भाग लेने या निविदा टेंडर की अपेक्षाओं को पूरा करने और एल-1 मूल्य तक पहुंचने में असफल रहने की दशा में अनुसूचित जाति या जनजाति के स्वामित्व वाले उद्यमियों से खरीद के लिए चिह्नित 4 प्रतिशत का उप-लक्ष्य अन्य सूक्ष्म और लघु उद्यमों से पूरा करना होगा।

5. **वार्षिक रिपोर्ट में लक्ष्यों की रिपोर्टिंग** - (1) सूक्ष्म और लघु उद्यम से सरकारी उपापन के आंकड़े इस नीति के सशक्तीकरण करने के लिए महत्वपूर्ण हैं और इस प्रयोजन के लिए, प्रत्येक केंद्रीय मंत्रालय या विभाग या पब्लिक सेक्टर उपक्रम, सूक्ष्म और लघु उद्यम से किए जाने वाले उपापन के संबंध में निर्धारित लक्ष्यों और उसमें की गई उपलब्धि की सूचना अपनी-अपनी वार्षिक रिपोर्ट में देगें।

(2) वार्षिक रिपोर्टसूचना सूक्ष्म और लघु उद्यम विभिन्न मंत्रालयों या विभागों या पब्लिक सेक्टर के उपक्रमों द्वारा सूक्ष्म और लघु उद्यम को प्रदान किया जा रहा समर्थन की बेहतर समझ में सुकर बनाएगा।

6. **निविदा में मूल्य कोटेशन** - (1) टेंडर में, सहभागी सूक्ष्म और लघु उद्यम जिसने एल1+15 प्रतिशत के मूल्य बैंड के भीतर निविदा मूल्य उद्धत करेंगे उन्हें ऐसी परिस्थिति में जहां एल1 मूल्य सूक्ष्म और लघु उद्यम के अतिरिक्त किसी और से हो, वहां उनके मूल्य को एल1 मूल्य

के स्तर पर लाकर एक भाग की आपूर्ति की अपेक्षाओं की अनुमति भी दी जाएगी और ऐसे सूक्ष्म और लघु उद्यम को कुल निविदा मूल्य के 20 प्रतिशत तक की आपूर्ति की अनुज्ञात होगी।

(2) ऐसे एक से अधिक सूक्ष्म और लघु उद्यम के मामले में आपूर्ति को आनुपातिक रूप से बांटा (निविदा की गई मात्रा तक) जाएगा।

7. **सूक्ष्म और लघु उद्यम विक्रेताओं का विकास** - केंद्रीय मंत्रालय या विभाग या पब्लिक सेक्टर के उपक्रम, विक्रेता विकास कार्यक्रम/क्रेता-विक्रेता बैठकें आयोजित करते हुए और आवधिक आवश्यकताओं के संबंध में एक विनिर्दिष्ट अवधि के लिए सूक्ष्म और लघु उद्यमों के साथ दर अनुबंध करते हुए उपयुक्त विक्रेता विकसित करने के लिए आवश्यक उपाय करेगें।

8. **वेबसाइट पर सूक्ष्म और लघु उद्यमों से उपापन के लिए वार्षिक योजना** - मंत्रालय या विभाग या सार्वजनिक क्षेत्र के उपक्रम क्रय के लिए वार्षिक उपापन योजना भी तैयार करेंगे और उसे अपने शासकीय वेबसाइट पर अपलोड भी करेंगे ताकि सूक्ष्म और लघु उद्यम उपापन अभिकरणों की अपेक्षाओं के बारे में अग्रिम सूचना प्राप्त कर सकें।

9. **सरकारी उपापन में अनुसूचित जातियों/अनुसूचित जनजातियों के स्वामित्व वाले सूक्ष्म और लघु उद्यमों, की भागीदारी बढ़ाना** - सरकारी उपापन में अनुसूचित जातियों या अनुसूचित जनजातियों की भागीदारी बढ़ाने के लिए, केंद्रीय सरकार के मंत्रालय या विभाग या सार्वजनिक क्षेत्र के उपक्रम निम्नलिखित कदम उठाएंगे:

(क) अनुसूचित जातियों या अनुसूचित जनजातियों के लिए विभागों/पब्लिक सेक्टर के उपक्रमों द्वारा विशेष विक्रेता विकास कार्यक्रम/क्रेता-विक्रेता बैठकें आयोजित की जाएंगी।

(ख) अनुसूचित जातियों या अनुसूचित जनजातियों के अधिक से अधिक सूक्ष्म और लघु उद्यमों को सम्मिलित करने के लिए राष्ट्रीय लघु उद्योग निगम द्वारा संघ निर्माण की उसकी योजनाओं के अधीन पहुंच कार्यक्रम आयोजित किए जाएंग; और

(ग) राष्ट्रीय लघु उद्योग निगम अपने एकल बिंदु रजिस्ट्रीकरण योजना के अधीन अनुसूचित जातियों या अनुसूचित जनजातियों के लिए एक विशेष खिड़की खोलेगा।

10. **संव्यवहार लागत में कमी** - व्यवसाय चलाने की संव्यवहार लागत में कमी लाने के लिए सूक्ष्म और लघु उद्यमों को किसी लागत के बिना निविदा सेट उपलब्ध कराके, अग्रिम धन के भुगतान से सूक्ष्म और लघु उद्यमों को छूट देकर, निविदा प्रक्रिया में पारदर्शिता लाने के लिए ई-उपापन अपनाकर तथा सूक्ष्म, लघु और मध्यम उद्यम मंत्रालय में एक शिकायत प्रकोष्ठ स्थापित करके सुविधाएं प्रदान की जाएंगी।

11. **उपापन के लिए विशिष्ट मदों का आरक्षण** - विशिष्टतया ग्रामीण क्षेत्रों में, देश में उद्यमों को एक व्यापक फैलाव को समर्थ बनाने के लिए, केंद्रीय मंत्रालय या विभाग या पब्लिक सेक्टर के उपक्रम सूक्ष्म और लघु उद्यमों से 358 मदों (अनुबंध-ख)का उपापन जारी रखेगा, जो उनसे

विशिष्ट खरीद के लिए आरक्षित किया गया है। यह सूक्ष्म और लघु उद्यमों जिसके अंतर्गत खादी और ग्रामोद्योग भी है, के संवर्धन और विकास में मदद मिलेगी, जो देश में समग्र विकास को प्रेरित करने में महत्वपूर्ण भूमिका निभाते हैं।

12. **पुनर्विलोकन समिति** - (1) सूक्ष्म और लघु उद्यमों के लिए सार्वजनिक उपापन नीति की मानीटरी और पुनर्विलोकन के लिए सचिव, सूक्ष्म, लघु और मध्यम उद्यम की अध्यक्षता के अधीन आदेश सं 21(1)/2007-एमए तारीख 21 जून 2010 के द्वारा (उपाबंध) एक समिति गठित होगी। सूक्ष्म, लघु और मध्यम उद्यम मंत्रालय द्वारा समिति की संरचना में की जब और जैसे अपेक्षित हो, पुनर्विलोक / उपारिक्त करेगा।

(2) यह समिति, अन्य बातों के साथ-साथ, एक अनवरत आधार पर सूक्ष्म और लघु उद्यम से अनन्य खरीद के लिए आरक्षित 358 मदों की सूची पुनर्विलोकन करेगी, मामला-दर-मामला आधार पर 20 प्रतिशत लक्ष्य से छूट के लिए केन्द्रीय मंत्रालयों अथवा विभागों अथवा सार्वजनिक क्षेत्र उपक्रमों के अनुरोधों पर विचार करेगी और नीति के अधीन उपलब्धियों की मानीटरी करेगी।

13. **शिकायत प्रकोष्ठ की स्थापना** - इसके अतिरिक्त, सरकारी उपापन में सूक्ष्म और लघु उद्यम की शिकायतों के प्रतितोष के लिए सूक्ष्म, लघु और मध्यम उद्यम मंत्रालय में एक 'शिकायत प्रकोष्ठ' गठित किया जाएगा। इस प्रकोष्ठ में संबंधित विभागों / एजेंसियों के सामने सूक्ष्म और लघु उद्यम द्वारा उठाए गए सरकारी उपापन संबंधी मुद्दे उठाए जाएंगे, जिसके अंतर्गत सरकारी विभागों / एजेंसियों द्वारा निविदाओं में अनुचित शर्तों को लगाना भी है, जो सूक्ष्म और लघु उद्यम को अलाभप्रदा स्थिति में रखते हैं।

14. **रक्षा उपापन के लिए विशेष प्रावधान** - **(1)** रक्षा मंत्रालय के लिए हेतु 20 प्रतिशत के लक्ष्य की गणना में रक्षा शस्त्रीकरण की विशिष्ट प्रकृति को देखते हुए उनके आयात को सम्मिलित नहीं किया जाएगा। इसके अतिरिक्त, रक्षा उपकरणों जैसे शस्त्र प्रणालियां, प्रक्षेपास्त्र, आदि आरक्षण की ऐसी नीति के अधीन नहीं होगी।

(2) नीति के अधीन नियत लक्ष्यों का मानीटरी जहां तक रक्षा सेक्टर का संबंध है, रक्षा मंत्रालय द्वारा स्वयं उनके द्वारा स्थापित उपयुक्त प्रक्रियाओं के अनुसरण की जाएगी।

15. **कठिनाई का निवारण** - उपरोक्त नीति के कार्यान्वयन के दौरान अनुभव की गई किसी कठिनाई के संबंध सूक्ष्म, लघु और मध्यम उद्यम मंत्रालय द्वारा उपयुक्त प्रेस रिलीज के माध्यम से स्पष्टीकरण दिया जाएगा और जिसे पब्लिक डोमिन में रखा जाएगा।

[फा.सं. 21(1)/2011-एमए]

अमरेन्द्र सिन्हा, अपर सचिव और विकास आयुक्त (सूक्ष्म, लघु और मध्यम उद्यम)

अनुबंध

सं. 21(1)/2007-एमए

भारत सरकार

सूक्ष्म, लघु एवं मध्यम उद्यम मंत्रालय

विकास आयुक्त(सूक्ष्म, लघु और मध्यम उद्यम)का कार्यालय

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ए विंग, 7 वां तल, निर्माण भवन,
नई दिल्ली-110108
तारीख : 21 जून, 2010

आदेश

विषय: सूक्ष्म और लघु उद्यमों (सूक्ष्म और लघु उद्यम) के लिए सार्वजनिक उपापन नीति के अधीन समिति का गठन

सूक्ष्म और लघु उद्यमों (सूक्ष्म और लघु उद्यम) के लिए नई सार्वजनिक उपापन नीति के लम्बित अनुमोदन के अनुसरण में चयनित केन्द्रीय मंत्रालयों / विभागों के संबंध में प्रस्तावित नीति के कुछ उपबधों के लागू करने पर विचार करने के लिए एक समिति का गठन किया जाता है। इस समिति की अध्यक्षता सचिव, सूक्ष्म, लघु और मध्यम उद्यम मंत्रालय द्वारा की जाएगी।

2. समिति की संरचना निम्नलिखित होगी:

(i) सचिव, सू. ल. और म. उद्यम मंत्रालय	: अध्यक्ष
(ii) सचिव, योजना आयोग	: सदस्य
(iii) सचिव, सार्वजनिक उद्यम विभाग	: सदस्य
(iv) महानिदेशक (आपूर्ति और निपटान), वाणिज्य विभाग, वाणिज्य और उद्योग मंत्रालय	: सदस्य
(v) अपर सचिव एवं विकास आयुक्त(सू. ल. म. उद्यम)	: सदस्य-सचिव

3. समिति निम्नलिखित कार्य करेगी:

(i) मामला-दर-मामला आधार पर 20 प्रतिशत के लक्ष्य से छूट देने के लिए केन्द्रीय मंत्रालयों / विभागों / पब्लिक सेक्टर उपक्रमों के अनुरोधों पर विचार करना;

(ii) केन्द्रीय मंत्रालयों / विभागों / पब्लिक सेक्टर उपक्रमों से प्राप्त प्रतिक्रियाओं के आधार पर सूक्ष्म और लघु उद्यम से विशिष्ट खरीद के लिए आरक्षित 358 मदों की सूची (परिशिष्ट के अनुसार) की समीक्षा;

(iii) सरकारी विभागों / पब्लिक सेक्टर उपक्रमों द्वारा निकाली गई निविदाओं में अनुचित शर्तें लगाने सहित सरकारी उपापन के संबंध में सूक्ष्म और लघु उद्यम से प्राप्त शिकायतों की समीक्षा; और

(iv) केन्द्रीय मंत्रालयों / विभागों द्वारा सूक्ष्म और लघु उद्यम से की जाने वाले उपापनों को बढ़ाने के लिए उनके द्वारा किए जाने वाले विशेष उपायों का सुझाव देना।

4. समिति केन्द्रीय सरकार और राज्य सरकारों के किन्हीं अन्य मंत्रालयों / विभागों को सम्मिलित कर सकती है या बैठकों में किसी अन्य विशेषज्ञ / व्यक्ति, जो सूक्ष्म, लघु और मध्यम उद्यम से संबंधित हो, को जब भी आवश्यक हो आमंत्रित कर सकती है।

5. विकास आयुक्त (सूक्ष्म, लघु और मध्यम उद्यम) का कार्यालय इस समिति को सचिवीय समर्थन उपलब्ध करेगा।

6. इसे सक्षम प्राधिकारी के अनुमोदन से जारी किया जा रहा है।

(प्रवीण भल्ला)
अतिरिक्त आर्थिक सलाहकार
दूरभाष: 23062230, फैक्स: 23061611

परिशिष्ट

हस्तशिल्प क्षेत्र सहित लघु उद्योग प्रकारों से खरीद के लिए आरक्षित मदों की सूची

क्रम सं.	मद विवरण
1.	ए ए सी/ओर ए सी एस आर कन्डक्टर 19 स्ट्रैंड तक
2.	एग्रीकल्चरल इम्पलीमेंट्स
	क. हस्तचालित औजार और उपकरण
	ख. पशुचालित उपकरण
3.	एयर/रूम कूलर
4.	एल्यूमिनियम बिल्डर्स हार्डवेयर
5.	एम्बुलेंस स्ट्रेचर
6.	एममीटर्स / ओहम मीटर / वोल्ट मीटर(क्लास1 परिशुद्धता तक इलेक्ट्रो मैग्नेटिक)
7.	एंकलेट वेव खाकी
8.	ऑगुर (कारपेंटरी)
9.	आटोमोबाइल हैड लाईट एसेम्बली
10.	बैज क्लाथ कढ़ाई और मेटल के
11.	लेदर, काटन, कैनवस और जूट इत्यादि के बने सभी प्रकार के बैग किट बैग, मेल बैग, स्लीपिंग बैग और वाटर प्रूफ बैग सहित
12.	बैन्डेज क्लाथ
13.	बारबेड वायर
14.	बास्केट केन (राज्य वन निगम और राज्य हस्तशिल्प निगम से भी खरीद की जा सकती है)
15.	बाथ टब
16.	बैटरी चार्जर
17.	बैटरी एलीमिनेटर
18.	बीम स्केल (1.5 टन तक)
19.	बेल्ट लैदर एंड स्ट्रैप्स
20.	बैन्च वाइसिस
21.	बिटुमिनीअस पेंटस
22.	ब्लोटिंग पेपर

23.बोल्ट्स एंड नटस
24.बोल्ट्स स्लाईडिंग
25.बोन मील
26.बूट पालिश
27.कैनवस जूतों सहित सभी प्रकार के बूटस् एंड शूज
28.बाउल
29.लैदर बाक्स
30.मैटल के बने बाक्स
31.ब्रासिस
32.ब्राकेटस, रेलवे में प्रयुक्त के अलावा
33.ब्रास वायर
34.ब्रीफकेस (मोल्डेड लगेज के अलावा)
35.झाड़ू
36.सभी प्रकार के ब्रश
37.सभी प्रकार की बाल्टियां
38.सभी प्रकार के बटन
39.केंडल वैक्स कैरिज
40.केन वाल्व/स्टोक वैल्वस (केवल वॉटर फिटिंग के लिए)
41.मैटालिक कैन (दूध और मापने के लिए)
42.कैनवस प्रोडक्टस
(क) वाटर प्रूफ डेलिवर बैग, स्पे. नं. आई एस-1422/70
(ख) बोनट कवर और रेडियटर स्पे.ट्रे एल वी 7/ एन एस एन / आई ए / 130295
43.सूती और ऊनी कैप्स
44.वाटरप्रूफ कैप्स
45.कैस्टर आयल
46.सीलिंग रोसिस 15 एम्पी तक
47.सेन्ट्रीफुगल स्टील प्लेट ब्लोवर्स
48.सेन्ट्रीफुगल पंप
49.चाफ कटर ब्लेड
50.चेन लार्शिंग
51.चप्पल एंड सैंडिल
52.चामोइस लैदर
53. चोक्स फोर लाईट फीटिंग
54.क्रोम टैन्ड लैदर (सेमी-फिनिश्ड भैंस और गाय)
55.सरक्लिप्स
56.क्लॉ बार्स एंड वायर्स
57.क्लीनिंग पाउडर
58.क्लीनिकल थर्मामीटर्स
59.क्लाथ कवर्स

60.क्लाथ जाकोनट
61.क्लाथ स्पोन्ज
62.कॅयर फाइबर एंड कॅयर यार्न
63.कॅयर मैटरैस कुशन्स एंड मैटिंग
64.कॅयर रोप हॅसरलेड
65.कम्युनिटी रेडियो रिसीवर
66.,कन्डुट पाईप्स
67.कॉपर नेल
68.कॉपर नैपथीनेट
69.कॉपर सलफेट
70.कॉर्ड टवीन मेकर
71.कॉरडेज अदर्स
72.कोरूगेटिड पेपर बोर्ड एंड बाक्स
73.कॉटन एबसोरबेंट
74.कॉटन बेल्टस
75.कॉटन कैरियर्स
76.कॉटन केसिस
77.कॉटन कार्ड टवीन
78.कॉटन हौजरी
79.कॉटन पैक्स
80.कॉटन पाउच
81.कॉटन रोप
82.कॉटन सिंगलेट
83.कॉटन स्लींग
84.कॉटन स्ट्रैप्स
85.कॉटन टैप्स एंड लेसिस
86.कॉटन वूल (नॉन एब्जार्बेंट)
87.क्रेट वुडन एंड प्लास्टिक
88.(क)क्रूसीबल्स 200 नं. तक
(ख)क्रूसीबल्स ग्रेफाईट 500 नं. तक
(ग)अन्य क्रूसीबल्स 30 कि.ग्रा.तक
89.कम्बल एंड रजाईयां
90.करटेन्स मोसकीटो
91.कटर्स
92.डीबूटी फिथालेट
93.डीजल इंजन 15 एच पी तक
94.डाइमेथाइल फिथालेट
95.डिसइंफैक्टैन्ट फलूड
96.डिस्ट्रीब्यूटिशन बोर्ड 15 एम्पी तक

97. घरेलू बिजली के उपकरण (बीआईएस मानकों के अनुसार)- बिजली का टोस्टर,प्रैस, हॉट प्लेटस, मिक्सर ग्राइंडर रूम हीटर, कनवैक्टर्स एंड ओवन
98. घरेलू पी वी सी केबल्स एंड वायर्स (अल्यूमिनियम) निर्धारित बीआईएस मानकों के अनुरूप और 10.00 एमएम स्क्वायर नॉमिनल क्रास सेक्शन तक
99. ड्राईंग एंड मैथमैटिकल्स इंन्स्ट्रूमेंटस
100. ड्रम्स एंड बैरल
101. डस्ट बिन
102. डस्ट शील्ड लैदर
103. सभी प्रकार के कॉटन डस्टर, खादी में आवश्यक मदों को छोड़कर
104. डाईज
(क)एजो डाई(डायरैक्ट और एसिड)
(ख) बेसिक डाई
105. बिजली की कॉल बैल / बजर / डोर बैल
106. इलैक्ट्रिक सोल्डरिंग आयरन
107. इलैक्ट्रिक ट्रांसमीशन लाईन हार्डवेयर मदें जैसे कि स्टील क्रास बार्स, क्रास आर्म्स क्लैम्पस आर्चिंग हार्न, ब्रैकेट्स, आद
108. इलैक्ट्रोनिक डोर बैल
109. एमरजेंसी लाईट (रिचार्ज होने वाली)
110. इनेमल वायर्स और इनेमल यूटेंसिल
111. इक्यूपमेंट कैमूफ्लेज बम्बू सपोर्ट
112. एक्जास्ट मफलर
113. एक्सपेंडिड मेटल
114. आईलेट्स
115. फिल्म पॉलीथीन-वाइड विड्थ फिल्म सहित
116. फिल्म स्पूल्स एंड कैन्स
117. अग्नि शामक (बाल टाइप)
118. फूट पाउडर
119. फ्रैन्च पॉलिश
120. फानैल्स
121. फयूज कट आउट
122. फ्यूज यूनिट
123. गारमेंटस (इंडियन आर्डनेन्स फैक्टरियों की आपूर्ति को छोड़कर)
124. गैस मेन्टल
125. गाउज क्लाथ
126. सभी प्रकार के गाउज सरजीकल
127. गामेल्स (तसला)
128. ग्लास एम्पुल्स
129. ग्लास एंड प्रेस्ड वेयर

130. ग्लू
131. ग्रीस निप्पल्स एंड ग्रीस गन्स
132. गन केसिस
133. गन मेटल बुश
134. गमटेप
135. सभी प्रकार के हैंड ड्रॉन काट्र्स
136. सभी प्रकार के हैंड ग्लब्स
137. हैंड लैम्प्स रेलवे
138. हैंड नम्बरिंग मशीन
139. हैंड पाउंडिड राईस (पॉलिश और बिना पॉलिश किए हुए)
140. हैंड प्रेसेस
141. हैंड पम्प
142. सभी प्रकार के हैंड टूल्स
143. हैंडल वुडन एंड बैम्बू (राज्य वन निगम और राज्य हस्तशिल्प निगम से भी अधिप्राप्ति की जा सकती है)
144. हारनेस लैदर
145. हस्पस एंड स्टैप्लस
146. हैवर सैक्स
147. हेलमेट नॉन-मेटालिक
148. सभी प्रकार के हाईड एंड कंट्री लैदर
149. हिंग्स
150. हॉब नेल्स
151. होल्डाल
152. हनी
153. हॉर्स एंड मूल शूज
154. हाइड्रोलिक जैक्स 30 टन कैपिसिटी से कम
155. इंसैक्टीसाईड डस्ट एंड स्पेयर्स(केवल मैनुअल)
156. इनवैलिड व्हील चेयर
157. घरेलू प्रकार के इंवर्टर 5 के वी ए तक
158. इस्त्री (धोबी)
159. की-बोर्ड वुडन
160. किट बाक्स
161. कोदाली
162. लेस लैदर
163. लैम्प होल्डर
164. लैम्प सिग्नल
165. लालटेन पोस्ट एंड बॉडीज
166. लैनयार्ड
167. लेटेक्स फोम स्पंज

168. लाठी
169. लैटर बाक्स
170. लाईटिंग अरेस्टर 22 के वी तक
171. लिंक क्लिप
172. लिनसीड आयल
173. लिंट प्लेन
174. लॉकर्स
175. लुब्रीकेटर्स
176. एल टी पोरसीलेन किटकेट एंड फयूज ग्रिप
177. मशीन स्क्रूय्स
178. मैग्निशियम सल्फेट
179. मैलेट वूडन
180. मैनहोल कवर्स
181. मेज़रिंग टेप्स एवं स्टिक्स
182. मैटलक्लैड स्विचिज (30 एम्पलीफायर्स तक)
183. मैटल पोलिश
184. मैटालिक कन्टेनर्स एंड ड्रम्स अदरदैन एन बी सी (नोट एल्सवियर क्लासिफाईड)
185. मीट्रिक व्हेट्स
186. माइक्रोस्कोप फोर नोर्मल मैडीकल यूज़
187. मिनिएचर ब्लब्स (फोर टार्चिज़ ओनली)
188. एम.एस. टाई बार्स
189. नेल कटर्स
190. नेप्थलिन बाल्स
191. नीवाड़
192. निक्कल सल्फेट
193. नाइलॉन स्टॉकिंग
194. नाइलॉन टेप्स एंड लेसिज़
195. आयल बाउंड डिस्पेम्पर
196. आयल स्टोव्स (विक स्टोव्स ओनली)
197. पैड लॉक्स ऑफ ऑल टाइप्स
198. पेंट रिमूवर
199. पाल्मा रोज़ा आयल
200. पॉमगुर
201. पैन्स लेवोटरी फ्लश
202. पेपर कन्वर्जन प्रोडक्टस, पेपर बैग्स, एनवलप्स, आइसक्रीम कप, पेपर कप एंड सोसर्स एंड पेपर प्लेट्स
203. पेपर टेप्स (गम्ड)
204. पापड़
205. पिकल्स एंड चटनी
206. पाइल्स फैबरिक
207. पिल्लौ
208. प्लास्टर ऑफ पेरिस

209. प्लास्टर ब्लौ मोल्डिड कन्टेनर्स अप टू 20 लिटर एक्सक्लूडिंग पोलि इथलिन टर्फथलेट (पी ई टी) कन्टेनर्स
210. प्लास्टिक केन
211. प्लेईंग कार्डस
212. प्लग एंड सॉकेट इलैक्ट्रिक अप टू 15 एम्पलीफायर
213. पोलिथिन बैग्स
214. पोलिथिन पाईप्स
215. पोस्ट पिकेट (यूडन)
216. पोस्टल लैउ सील्स
217. पोटेसियम नाईट्रेट
218. पाऊच
219. प्रेशर डाई कास्टिंग अप टू 0.75 किलोग्राम
220. प्रिवी पैन्स
221. पुल्ली यायर
222. पी वी सी फुटवियर
223. पी वी सी पाइप्स अपटू 110 मि.मी.
224. पीवीसी इंशुलेटिड एल्युमिनियम केबल्स (120 रकेयर मि.मी. तक) (आई एस एस: 694)
225. क्विल्टस, रज़ाई
226. रैग्स
227. रेलवे कैरिज लाईट फिटिंग्स
228. रेक्स ब्लॉस्ट
229. रेज़र
230. आरसीसी पाईप अपटू 1200 मि.मी. डाया
231. आर सी सी पोल्स प्रिस्ट्रेस्ड
232. रिवेट ऑफ ऑल टाईप्स
233. रोलिंग शटर्स
234. रूफ लाईट फिटिंग
235. रबड़ बैलून
236. रबड़ कोर्ड
237. रबड़ होसिस (अनब्रांडिड)
238. रबड़ टयूबिंग (एक्सक्ल्यूडिंग ब्रेडिड टयूबिंग)
239. रबराईज्ड गारमेंट कैप एंड कैप्स, एट.
240. रस्ट/स्केल रिमूविंग कम्पोजिशन
241. सेफ मीट एंड मिल्क
242. सेफ्टी मैचिज
243. सेफ्टी पिन्स(एंड अदर सिमिलर प्रोडक्ट लाईक पेपर पिन्स, स्टेपल्स पिन्सए एट.
244. सैनेटरी प्लम्बिंग फिटिंग
245. सैनेटरी टावल्स
246. साइन्टीफिक लेबोरेटरी ग्लास वियर (बारिंग साफीस्टिकेटिड आइटम)
247. सिज़र कटिंग (आर्डिनरी)
248. स्क्रूज़ ऑफ ऑल टाइप इन्कलुडिंग हाई टेन्साईल

249. शीप स्किन आल टाइप
250. शेलक
251. शू लेसिज़
252. शावेल्स
253. साइन बोर्ड पेन्टिंग
254. सिल्क रिबन
255. सिल्क वीविंग
256. स्काईबूटस एंड शूज
257. स्लयूज वाल्वज
258. स्नेपफास्टनर (एक्सक्लूडिंग 4 पीसीएस. बन्स)
259. सोप कार्बोलिक
260. सोप कर्ड
261. सोप लिक्विड
262. सोप साफ्ट
263. सोप वाशिंग ओर लॉन्डरी सोप
264. सोप येल्लो
265. सॉकेट/पाइप
266. सोडियम नाइट्रेट
267. सोडियम सिलिकेट
268. सोल लैदर
269. स्पेक्टेकल फ्रेम्स
270. स्पाईक्ड बूट
271. स्पोर्टस शूज मेड आउट ऑफ लैदर (फोर आल स्पोर्टस गेम्स)
272. स्कर्वल केज इंडक्शन मोटर्स अप टू एंड इन्कलूडिंग 100 किलो वाट 44 वोल्ट 3 फेस
273. स्टेपलिंग मशीन
274. स्टील अलमिरा
275. स्टील बैड स्टैड
276. स्टील चेयर
277. स्टील डैस्क
278. स्टील रैक्स/शैल्फ
279. स्टील स्टूल्स
280. स्टील ट्रंक
281. स्टील वूल
282. स्टील एंड एल्युमिनियम विन्डो एंड वैंटिलेटर
283. स्टाकिनेट
284. स्टोन एंड स्टोन क्वैरी रोलर
285. स्टोन वियर जार
286. स्ट्रैंडिड वायर
287. स्ट्रीट लाइट फिटिंग
288. स्टूडैंट माइक्रोस्कोप
289. स्टड (एक्सक्लूडिंग हाई टैंसाइल)

290. सर्जिकल ग्लोव्स (एक्सैप्ट प्लास्टिक)
291. टेबल नाइव्स (एक्सक्लूडिंग कटलरी)
292. टेक मैटलिक
293. टैप्स
294. तारपोलिन
295. टीक फैब्रेकेटिड राउंड ब्लॉक्स
296. टैन्ट पोल्स
297. टैन्टेज सिविल / मिलिट्री एंड रोलिताह जूट फोर टैन्टेज
298. टैक्सटाइल मैन्युफैक्चर्रस अदर दैन एन. ई. सी. (नोट एल्सवियर क्लासीफाइड)
299. टाइल्स
300. टिन बॉक्सिज फोर पोस्टेज स्टैम्प
301. टिन केन अनप्रिंटिड अप टू 4 गैलन कैपेसिटी (अदर दैन केन ओ.टी.एस.)
302. टिन मैस
303. टिप बूटस
304. टोग्गल स्विचज
305. टायलेट रोल्स
306. ट्रांस्फार्मर टाइप वैल्डिंग सैटस कंफोरमिंग टू आई एस: 1291/75 (अप टू 600 एम्पलीफायर)
307. ट्रांजिस्टर रेडियो अप टू 3 बैंड
308. ट्रांजिस्ट्राईज्ड इसुलेशन-टैस्टर
309. ट्रेज
310. ट्रे फोर पोस्टल यूज
311. ट्रॉलि
312. ट्राली-ड्रिंकिंग वाटर
313. ट्यूबलर पोल्स
314. टायर एंड ट्यूब (साइकिल)
315. अम्ब्रेला
316. यूटैंसिल ऑल टाइप्स
317. वाल्व मैटलिक
318. वार्निश ब्लैक जापान
319. वोल्टेज स्टैबलाइजर इन्फलूडिंग सी.वी.टी.
320. वाशर आल टाइप्स
321. वाटर प्रूफ कवर
322. वाटर प्रूफ पेपर
323. वाटर टैंक अप टू 15,000 लिटर कैपेसिटी
324. वैक्स सीलिंग
325. वैक्सड पेपर
326. वेईंग स्केल
327. वैल्डिड वायरमाश
328. व्हील बारोस
329. विसल
330. विक्स कोटन

331. विंग शील्ड वाइपर (आर्मस एंड ब्लेडस ओनली)
332. वायर ब्रसिज एंड फाइबर ब्रसिज
333. वायर फेन्सिंग एंड फिटिंग
334. वायर नेल्स एंड होर्स शू नेल्स
335. वायर नेटिंग्स ऑफ गौज थिकर दैन 100 मेश साईज
336. वूड वूल
337. वूडन एम्युनिशन बॉक्सीज
338. वूडन बोर्डस
339. वूडन बॉक्स फोर स्टैम्पस
340. वूडन बॉक्सीज एंड केसिज एन.ई.सी. (नोट एल्सवियर क्लासीफाइड)
341. वूडन चेयर्स
342. वूडन फ्लश डोर शटर्स
343. वूडन पैकिंग केसिज आल साईजिज
344. वूडन पिन्स
345. वूडन प्लग्स
346. वूडन शैल्वज
347. वूडन वेनियर्स
348. वूलन हौजरी
349. जिंक सल्फेट
350. जिप फास्टनर

हैंडीक्राफट आयटम्स

क्रम सं.	वस्तु विवरण	आपूर्ति का स्रोत
351.	केन फर्नीचर	नोर्थ ईस्टर्न हैंडीक्राफट एंड हैंडलूम डेवलपमैंट कारपोरेशन असम गवर्नमैंट मार्किटिंग कोरपोरेशन क्राफट सोसाइटी ऑफ मणिपुर नागालैंड हैंडीक्राफट एंड हैंडलूम डेवलपमैंट कारपोरेशन
352.	बेम्बू फाइल ट्रे, बास्केट, पैंसिल स्टैंड, साईड रैक एट.	-वही-
353.	आर्टिस्टिक वूडन फर्नीचर	राजस्थान स्माल इंडस्ट्रीज कोरपोरेशन, उत्तर प्रदेश एक्स्पोर्ट कोरपोरेशन
354.	वूडन पेपर वेट, रैक्स एट.	-वही-
355.	ग्लास कवर्स मेड ऑफ वूड एंड ग्रास जूट	-वही-
356.	जूट फर्नीचर	वैस्ट बंगाल हैंडीक्राफट डेवलेपमैंट कोरपोरेशन जूट मैन्युफैक्चरिंग डेवलेपमैंट कोरपोरेशन उड़ीसा स्टेट हैंडीक्राफ्टस डेवलपमैंट कोरपोरेशन
357.	जूट बैग्स, फाइल कवर	-वही-
358.	वूलन एंड सिल्क कारपेटस	यू पी एक्स्पोर्ट कोरपोरेशन जे एंड के सेल एंड एक्सपोर्ट कोरपोरेशन

MINISTRY OF MICRO, SMALL AND MEDIUM ENTERPRISES

New Delhi, the 23rd March, 2012

ORDER

S.O. 581(E).—Whereas, the Central Government Ministries, Departments and Public Sector Undertakings shall procure minimum of 20 per cent of their annual value of goods or services from Micro and Small Enterprises;

And whereas, the Public Procurement Policy shall apply to Micro and Small Enterprises registered with District Industries Centers or Khadi and Village Industries Commission or Khadi and Village Industries Board or Coir Board or National Small Industries Corporation or Directorate of Handicrafts and Handloom or any other body specified by Ministry of Micro, Small and Medium Enterprises;

And whereas, the Public Procurement Policy rests upon core principles of competitiveness, adhering to sound procurement practices and execution of orders for supply of goods or services in accordance with a system which is fair, equitable, transparent, competitive and cost effective; and

And whereas, for facilitating promotion and development of micro and small enterprises, the Central Government or the State Government, as the case may be, by Order notify from time to time, preference policies in respect of procurement of goods and services, produced and provided by micro and small enterprises, by its Ministries or Departments, as the case may be, or its aided institutions and public sector enterprises.

Now, therefore, in exercise of the powers conferred in section 11 of the Micro, Small and Medium Enterprises Development (MSMED) Act 2006, the Central Government, by Order, notifies the Public Procurement Policy (hereinafter referred to as the Policy) in respect of procurement of goods and services, produced and provided by micro and small enterprises, by its Ministries, Departments and Public Sector Undertakings.

2. Short title and commencement. -

(1) This Order is titled as 'Public Procurement Policy for Micro and Small Enterprises (MSEs) Order, 2012'.

(2) It shall come into force with effect from 1st April 2012.

3. Mandatory procurement from Micro Small and Enterprises.--(1) Every Central Ministry or Department or Public Sector Undertaking shall set an annual goal of procurement from Micro and Small Enterprises from the financial year 2012-13 and onwards, with the objective of achieving an overall procurement of minimum of 20 per cent, of total annual purchases of products produced and services rendered by Micro and Small Enterprises in a period of three years.

(2) Annual goal of procurement also include sub-contracts to Micro and Small Enterprises by large enterprises and consortia of Micro and Small Enterprises formed by National Small Industries Corporation.

(3) After a period of three years i.e. from 1st April 2015, overall procurement goal of minimum of 20 per cent shall be made mandatory.

(4) The Central Ministries, Departments and Public Sector Undertakings which fail to meet the annual goal shall substantiate with reasons to the Review Committee headed by Secretary (Micro, Small and Medium Enterprises), constituted in Ministry of Micro, Small and Medium Enterprises, under this Policy.

4. Special provisions for Micro and Small Enterprises owned by Scheduled Castes or Scheduled Tribes. % Out of 20 per cent target of annual procurement from Micro and Small Enterprises, a sub-target of 20 per cent (i.e., 4 per cent out of 20 per cent) shall be earmarked for procurement from Micro and Small Enterprises owned by the Scheduled Caste or the Scheduled Tribe entrepreneurs. Provided that, in event of failure of such Micro and Small Enterprises to participate in tender process or meet tender requirements and L1 price, 4 per cent sub-target for procurement earmarked for Micro and Small Enterprises owned by Scheduled Caste or Scheduled Tribe entrepreneurs shall be met from other Micro and Small Enterprises.

5. Reporting of targets in Annual Report. % (1) The data on Government procurements from Micro and Small Enterprises is vital for strengthening the Policy and for this purpose, every Central Ministry or Department or Public Sector Undertaking shall report goals set with respect to procurement to be met from Micro and Small Enterprises and achievement made thereto in their respective Annual Reports.

(2) The annual reporting shall facilitate in better understanding of support being provided by different Ministries or Departments or Public Sector Undertakings to Micro and Small Enterprises.

6. Price quotation in tenders. % (1) In tender, participating Micro and Small Enterprises quoting price within price band of L1+15 per cent shall also be allowed to supply a portion of requirement by bringing down their price to L1 price in a situation where L1 price is from someone other than a Micro and Small Enterprise and such Micro and Small Enterprise shall be allowed to supply up to 20 per cent of total tendered value.

(2) In case of more than one such Micro and Small Enterprise, the supply shall be shared proportionately (to tendered quantity).

7. Developing Micro and Small Enterprise vendors. – The Central Ministries or Departments or Public Sector Undertakings shall take necessary steps to develop appropriate vendors by organizing Vendor Development Programmes or Buyer-Seller Meets and entering into Rate

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Contract with Micro and Small Enterprises for a specified period in respect of periodic requirements.

8. Annual Plan for Procurement from Micro and Small Enterprises on websites. – The Ministries or Departments or Public Sector Undertakings shall also prepare Annual Procurement Plan for purchases and upload the same on their official website so that Micro and Small Enterprises may get advance information about requirement of procurement agencies.

9. Enhancing participations of Micro and Small Enterprises including those owned by Scheduled Castes or Scheduled Tribes in Government procurements. % For enhancing participation of Scheduled Castes or Scheduled Tribes in Government procurement, the Central Government Ministries, Departments and Public Sector Undertakings shall take following steps, namely:-

(a) Special Vendor Development Programmes or Buyer-Seller Meets shall be conducted by Departments/Public Sector Undertakings for Scheduled Castes or Scheduled Tribes;

(b) Outreach programmes shall be conducted by National Small Industries Corporation to cover more and more Micro and Small Enterprises from Scheduled Castes or Scheduled Tribes under its schemes of consortia formation; and

(c) National Small Industries Corporation shall open a special window for Scheduled Castes or Scheduled Tribes under its Single Point Registration Scheme (SPRS).

10. Reduction in transaction cost. % To reduce transaction cost of doing business, Micro and Small Enterprises shall be facilitated by providing them tender sets free of cost, exempting Micro and Small Enterprises from payment of earnest money, adopting e-procurement to bring in transparency in tendering process and setting up a Grievance Cell in the Ministry of Micro, Small and Medium Enterprises.

11. Reservation of specific items for procurement. % To enable wider dispersal of enterprises in the country, particularly in rural areas, the Central Government Ministries or Departments or Public Sector Undertakings shall continue to procure 358 items (Appendix) from Micro and Small Enterprises, which have been reserved for exclusive purchase from them. This will help in promotion and growth of Micro and Small Enterprises, including Khadi and village industries, which play a critical role in fostering inclusive growth in the country.

12. Review Committee. – (1) A Review Committee has been constituted under the Chairmanship of Secretary, Ministry of Micro, Small and Medium Enterprises, for monitoring and review of Public Procurement Policy for Micro and Small Enterprises vide Order No. 21(1)/2007-MA dated the 21st June 2010 (Annexure).

(2) This Committee shall, inter alia, review list of 358 items reserved for exclusive purchase from Micro and Small Enterprises on a continuous basis, consider requests of the Central Ministries or Departments or Public Sector Undertakings for exemption from 20 per cent target on a case to case basis and monitor achievements under the Policy.

13. Setting up of Grievance Cell. % In addition, a 'Grievance Cell' will be set up in Ministry of Micro, Small and Medium Enterprises for redressing grievances of Micro and Small Enterprises in Government procurement. This cell shall take up issues related to Government procurement raised by Micro and Small Enterprises with Departments or agencies concerned, including imposition of unreasonable conditions in tenders floated by Government Departments or agencies that put Micro and Small Enterprises at a disadvantage.

14. Special Provisions for Defence Procurements. % Given their unique nature, defence armament imports shall not be included in computing 20 per cent goal for Ministry of Defence. In addition, defence equipments like weapon systems, missiles, etc. shall remain out of purview of such Policy of reservation.

15. Monitoring of Goals. % The monitoring of goals set under the Policy shall be done, in so far as they relate to the Defence sector, by Ministry of Defence itself in accordance with suitable procedures to be established by them.

16. Removal of difficulty. % Any difficulties experienced during the course of implementation of the above Policy shall be clarified by Ministry of Micro, Small and Medium Enterprises through suitable Press releases which would be kept on the public domain.

[F.No. 21(1)/2011-MA]

AMARENDRA SINHA, Additional Secretary and Development Commissioner (MSME)

ANNEXURE

No. 21(1)/2007-MA

Government of India

Ministry of Micro, Small and Medium Enterprises

Office of the Development Commissioner (MSME)

'A' Wing, 7th Floor, Nirman Bhavan,

New Delhi-110108

Dated: 21st June, 2010

ORDER

Subject: Constitution of a Committee for monitoring and

review of the Public Procurement Policy for Micro and Small Enterprises

Pending approval of the new Public Procurement Policy for Micro and Small Enterprises (MSEs), a Committee is hereby constituted for looking into the applicability of some of the provisions of the proposed Policy in respect of select Central Ministries/Departments.. The Committee will be chaired by the Secretary, Ministry of Micro, Small and Medium Enterprises.

2. The composition of the Committee will be as follows:

(i) Secretary, Ministry of MSME : Chairman

(ii) Secretary, Planning Commission : Member

(iv) Secretary, Department of Public Enterprises : Member

(v) Director General (Supplies and Disposals), Departtnent of Commerce, : Member

(vii) Ministry of Commerce and Industry

(viii) Additional Secretary and Development Commissioner (MSME) : Member Secretary

3. The Committee will undertake the following functions:

(i) Consider the requests of the Central Ministries/ Departments/PSUs for exemption, on a case to case basis, from the 20% target;

(ii) Review the list of 358 items (as per Appendix) reserved for exclusive purchase from the MSEs based on the feedback received from the Central Ministries/Departments/PSUs ;

(iii) Review the grievances received from MSEs regarding Government procurement, including imposition of unreasonable conditions in the tenders floated by the Government Departments/PSUs; and

(iv) Suggest special measures to be taken by the Central Ministries/Departments for enhancing their procurements from MSEs.

4. The Committee may co-opt any other Ministries/ Departments of the Central Government as well as State Governments or invite any other expert/person associated/ concerned with the MSMEs in its meetings, as and when required.

5. The Office of the Development Commissioner (MSME) will provide secretariat support to this Committee.

6. This issues with the approval of the Competent Authority.

Sd/-

(Praveen Mahto)

Additional Economic Adviser

Ph: 23062230, Fax: 23061611

APPENDIX

LIST OF ITEMS RESERVED FOR PURCHASE FROM SMALL SCALE INDUSTRIAL UNITS INCLUDING HANDICRAFT SECTOR.

Sl No.	Item Description
1.	AAC/and ACSR Conductor upto 19 strands
2.	Agricultural Implements
	(a) Hand Operated tools and implements
	(b) Animal driven implements
3.	Air/Room Coolers
4.	Aluminum builder's hardware
5.	Ambulance stretcher
6.	Ammeters/ohm meter/Volt meter (Electro magnetic upto Class I accuracy)
7.	Anklets Web Khaki
8.	Augur (Carpenters)
9.	Automobile Head lights Assembly
10.	Badges cloth embroidered and metals
11.	Bags of all types i.e. made of leather, cotton, canvas and jute etc. including kit bags, mail bags, sleeping bags and water-proof bag.
12.	Bandage cloth
13.	Barbed Wire
14.	Basket cane (Procurement can also be made from State Forest Corpn. and State Handicrafts Corporation)
15.	Bath tubs
16.	Battery Charger
17.	Battery Eliminator
18.	Beam Scales (upto 1.5 tons)
19.	Belt leather and straps
20.	Bench Vices
21.	Bituminous Paints
22.	Blotting Paper

23. Bolts and Nuts
24. Bolts Sliding
25. Bone Meal
26. Boot Polish
27. Boots and Shoes of all types including canvas shoes
28. Bowls
29. Boxes Leather
30. Boxes made of metal
31. Braces
32. Brackets other than those used in Railways
33. Brass Wire
34. Brief Cases (other than moulded luggage)
35. Brooms
36. Brushes of all types
37. Buckets of all types
38. Button of all types
39. Candle Wax Carriage
40. Cane Valves/stock valves (for water fittings only)
41. Cans metallic (for milk and measuring)
42. Canvas Products :
    (a) Water Proof Deliver, Bags to spec. No. IS - 1422/70
    (b) Bonnet Covers and Radiators Muff. to spec. Drg. Lv 7/NSN/IA/130295
43. Capes Cotton and Woollen
44. Capes Waterproof
45. Castor Oil
46. Ceiling roses upto 15 amps
47. Centrifugal steel plate blowers
48. Centrifugal Pumps suction and delivery 150 mm. x 150mm
49. Chaff Cutter Blade
50. Chains lashing
51. Chappals and sandals
52. Chamois Leather
53. Chokes for light fitting
54. Chrome Tanned leather (Semi-finished Buffalo and Cow)
55. Circlips
56. Claw Bars and Wires
57. Cleaning Powder
58. Clinical Thermometers
59. Cloth Covers
60. Cloth Jaconet
61. Cloth Sponge
62. Coir fibre and Coir yarn
63. Coir mattress cushions and matting
64. Coir Rope hawserlaid
65. Community Radio Receivers
66. Conduit pipes
67. Copper nail
68. Copper Napthenate
69. Copper sulphate
70. Cord Twine Maker
71. Cordage Others
72. Corrugated Paper Board and Boxes
73. Cotton Absorbent
74. Cotton Belts
75. Cotton Carriers
76. Cotton Cases
77. Cotton Cord Twine
78. Cotton Hosiery
79. Cotton Packs
80. Cotton Pouches
81. Cotton Ropes
82. Cotton Singlets
83. Cotton Sling
84. Cotton Straps
85. Cotton tapes and laces
86. Cotton Wool (Non absorbent)
87. Crates Wooden and plastic
88. (a) Crucibles upto No. 200
    (b) Crucibles Graphite upto No. 500
    (c) Other Crucibles upto 30 kgs.
89. Cumblies and blankets
90. Curtains mosquito
91. Cutters
92. Dibutyl phthalate
93. Diesel engines upto 15 H.P
94. Dimethyl Phthalate
95. Disinfectant Fluids
96. Distribution Board upto 15 amps
97. Domestic Electric appliances as per BIS Specifications :-
    - Toaster Electric, Elect. Iron, Hot Plates, Elect. Mixer, Grinders, Room heaters and convectors and ovens
98. Domestic (House Wiring) P.V.C. Cables and Wires (Aluminum) Conforming to the prescribed BIS Specifications and upto 10.00 mm sq. nominal cross section
99. Drawing and Mathematical Instruments

100. Drums and Barrels
101. Dust Bins
102. Dust Shield leather
103. Dusters Cotton all types except the items required in Khadi
104. Dyes :
(a) Azo Dyes (Direct and Acid)
(b) Basic Dyes
105. Electric Call bells/buzzers/door bells
106. Electric Soldering Iron
107. Electric Transmission Line Hardware items like steel cross bars, cross arms clamps arching horn, brackets, etc
108. Electronic door bell
109. Emergency Light (Rechargeable type)
110. Enamel Wares and Enamel Utensils
111. Equipment camouflage Bamboo support
112. Exhaust Muffler
113. Expanded Metal
114. Eyelets
115. Film Polythene - including wide width film
116. Film spools and cans
117. Fire Extinguishers (wall type)
118. Foot Powder
119. French polish
120. Funnels
121. Fuse Cut outs
122. Fuse Unit
123. Garments (excluding supply from Indian Ordnance Factories)
124. Gas mantels
125. Gauze cloth
126. Gauze surgical all types
127. Ghamellas (Taslas)
128. Glass Ampules
129. Glass and Pressed Wares
130. Glue
131. Grease Nipples and Grease guns
132. Gun cases
133. Gun Metal Bushes
134. Gumtape
135. Hand drawn carts of all types
136. Hand gloves of all types
137. Hand Lamps Railways
138. Hand numbering machine
139. Hand pounded Rice (polished and unpolished)
140. Hand presses
141. Hand Pump
142. Hand Tools of all types
143. Handles wooden and bamboo (Procurement can also be made from State Forest Corpn. and State Handicrafts Corporation)
144. Harness Leather
145. Hasps and Staples
146. Haver Sacks
147. Helmet Non-Metallic
148. Hide and country leather of all types
149. Hinges
150. Hob nails
151. Holdall
152. Honey
153. Horse and Mule Shoes
154. Hydraulic Jacks below 30 ton capacity
155. Insecticides Dust and Sprayers (Manual only)
156. Invalid wheeled chairs.
157. Invertor domestic type upto 5 KVA
158. Iron (dhobi)
159. Key board wooden
160. Kit Boxes
161. Kodali
162. Lace leather
163. Lamp holders
164. Lamp signal
165. Lanterns Posts and bodies
166. Lanyard
167. Latex foam sponge
168. Lathies
169. Letter Boxes
170. Lighting Arresters - upto 22 kv
171. Link Clip
172. Linseed Oil
173. Lint Plain
174. Lockers
175. Lubricators
176. L.T. Porcelain KITKAT and Fuse Grips
177. Machine Screws
178. Magnesium Sulphate
179. Mallet Wooden
180. Manhole covers
181. Measuring Tapes and Sticks

182. Metal clad switches (upto 30 Amps)
183. Metal Polish
184. Metallic containers and drums other than N.E.C. (Not elsewhere classified)
185. Metric weights
186. Microscope for normal medical use
187. Miniature bulbs (for torches only)
188. M.S. Tie Bars
189. Nail Cutters
190. Naphthalene Balls
191. Newar
192. Nickel Sulphate
193. Nylon Stocking
194. Nylon Tapes and Laces
195. Oil Bound Distemper
196. Oil Stoves (Wick stoves only)
197. Pad locks of all types
198. Paint remover
199. Palma Rosa Oil
200. Palmgur
201. Pans Lavatory Flush
202. Paper conversion products- paper bags, envelops, Ice-cream cup, paper cup and saucers and paper Plates
203. Paper Tapes (Gummed)
204. Pappads
205. Pickles and Chutney
206. Piles fabric
207. Pillows
208. Plaster of Paris
209. Plastic Blow Moulded Containers upto 20 litre excluding Poly Ethylene Terphthalate (PET) Containers
210. Plastic cane
211. Playing Cards
212. Plugs and Sockets electric upto 15 Amp
213. Polythene bags
214. Polythene Pipes
215. Post Picket (Wooden)
216. Postal Lead seals
217. Potassium Nitrate
218. Pouches
219. Pressure Die Casting upto 0.75 kg
220. Privy Pans
221. Pulley Wire
222. PVC footwears
223. PVC pipes upto 110 mm
224. PVC Insulated Aluminium Cables (upto 120 sq. mm) (ISS:694)
225. Quilts, Razais
226. Rags
227. Railway Carriage light fittings
228. Rakes Ballast
229. Razors
230. RCC Pipes upto 1200 mm. dia
231. RCC Poles Prestressed
232. Rivets of all types
233. Rolling Shutters
234. Roof light Fittings
235. Rubber Balloons
236. Rubber Cord
237. Rubber Hoses (Unbranded)
238. Rubber Tubing (Excluding braided tubing)
239. Rubberised Garments Cap and Caps etc
240. Rust/Scale Removing composition
241. Safe meat and milk
242. Safety matches
243. Safety Pins (and other similar products like paper pins, staples pins etc.)
244. Sanitary Plumbing fittings
245. Sanitary Towels
246. Scientific Laboratory glass wares (Barring sophisticated items)
247. Scissors cutting (ordinary)
248. Screws of all types including High Tensile
249. Sheep skin all types
250. Shellac
251. Shoe laces
252. Shovels
253. Sign Boards painted
254. Silk ribbon
255. Silk Webbing
256. Skiboots and shoes
257. Sluice Valves
258. Snapfastner (Excluding 4 pcs. ones)
259. Soap Carbolic
260. Soap Curd
261. Soap Liquid
262. Soap Soft
263. Soap washing or laundary soap
264. Soap Yellow
265. Socket/pipes

266. Sodium Nitrate
267. Sodium Silicate
268. Sole leather
269. Spectacle frames
270. Spiked boot
271. Sports shoes made out of leather (for all Sports games)
272. Squirrel Cage Induction Motors upto and including 100 KW440 volts 3 phase
273. Stapling machine
274. Steel Almirah
275. Steel beds stead
276. Steel Chair
277. Steel desks
278. Steel racks/shelf
279. Steel stools
280. Steel trunks
281. Steel wool
282. Steel and aluminium windows and ventilators
283. Stockinet
284. Stone and stone quarry rollers
285. Stoneware jars
286. Stranded Wire
287. Street light fittings
288. Student Microscope
289. Studs (excluding high tensile)
290. Surgical Gloves (Except Plastic)
291. Table knives (Excluding Cutlery)
292. Tack Metallic
293. Taps
294. Tarpaulins
295. Teak fabricated round blocks
296. Tent Poles
297. Tentage Civil/Military and Salitah Jute for Tentage
298. Textiles manufactures other than N.E.C. (not elsewhere classified)
299. Tiles
300. Tin Boxes for postage stamp
301. Tin can unprinted upto 4 gallons capacity (other than can O.T.S.)
302. Tin Mess
303. Tip Boots
304. Toggle Switches
305. Toilet Rolls
306. Transformer type welding sets conforming to IS:1291/75 (upto 600 amps)
307. Transistor Radio upto 3 band
308. Transistorised Insulation - Testers
309. Trays
310. Trays for postal use
311. Trolley
312. Trollies - drinking water
313. Tubular Poles
314. Tyres and Tubes (Cycles)
315. Umbrellas
316. Utensils all types
317. Valves Metallic
318. Varnish Black Japan
319. Voltage Stablisers including C.V.T's
320. Washers all types
321. Water Proof Covers
322. Water Proof paper
323. Water tanks upto 15,000 litres capacity
324. Wax sealing
325. Waxed paper
326. Weighing Scale
327. Welded Wiremash
328. Wheel barrows
329. Whistle
330. Wicks cotton
331. Wing Shield Wipers (Arms and Blades only)
332. Wire brushes and Fibre Brushes
333. Wire Fencing and Fittings
334. Wire nails and Horse shoe nails
335. Wire nettings of gauze thicker than 100 mesh size
336. Wood Wool
337. Wooden ammunition boxes
338. Wooden Boards
339. Wooden Box for Stamps
340. Wooden Boxes and Cases N.E.C. (Not elsewhere classified)
341. Wooden Chairs
342. Wooden Flush Door Shutters
343. Wooden packing cases all sizes
344. Wooden pins
345. Wooden plugs
346. Wooden shelves
347. Wooden veneers
348. Woollen hosiery
349. Zinc Sulphate
350. Zip Fasteners

HANDICRAFT ITEMS

Sl.No.	Item Description	Source of Supply
351	Cane furniture Handlooms	North Eastern Handicrafts and Development Corporation Assam Govt. Marketing Corpn. Craft Society of Manipur Nagaland Handicrafts and Handlooms Development Corpn.
352.	Bamboo file tray, Baskets, Pencil stand, side racks etc.	-do-
353.	Artistic Wooden Furniture	Rajasthan Small Industries Corpn., U.P. Export Corporation.
354.	Wooden paper weight, racks etc.	-do-
355.	Glass covers made and grass jute of wood	-do-
356.	Jute furniture	West Bengal Handicrafts Dev.Corpn. Jute Mfg. Development Corporation Orissa State Handicrafts Dev.Corpn.
357.	Jute bags, file cover	-do-
358.	Woolen and silk carpets	U.P. Export Corporation JandK Sale and Export Corporation

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NTPC LIMITED

CORPORATE MATERIALS MANAGEMENT
ENGINEERING OFFICE COMPLEX

Ref. No.: 01/CMM/SIMG/2016 **DATE: 08.06.2016**

CIRCULAR NO. 98

Sub: AMENDMENT TO CIRCULAR NO.96 - IMPLEMENTATION OF PUBLIC PROCUREMENT POLICY FOR MICRO & SMALL ENTERPRISES (MSES) ORDER -2012

1. Approval has been accorded for modification of the existing provision of Clause 1 of Circular No. 96 dated 16.12.2013 regarding Implementation Of Public Procurement Policy For Micro & Small Enterprises (MSEs) Order -2012 as under:

   Existing Clause 1:

   1. *For procurement of services or supplies where splitting of quantity is not possible, the award shall be given to L1 bidder only*

   Modified Clause 1

   1. *For the procurement of services or supplies where splitting of quantity is not possible, the award shall be made as follows:*

      a) Award shall be given to L1 bidder if L1 bidder is a MSE.

      b) In case L1 bidder is not a MSE, then all the MSE vendor(s) who have quoted within the range of L1 + 15%, shall be given the opportunity in order of their ranking (starting with the lowest quoted MSE bidder and so on) to bring down its price to match with L1 bidder. Award for full quantity shall be placed on the MSE vendor who matches its price with L1 bidder at the price quoted by L1 bidder.

      c) If no MSE vendor who has quoted within range of L1 + 15% accepts the price of L1 bidder then the award shall be made to the L1 bidder.

2. The above modified provisions may be incorporated in the bidding documents of all future tenders for procurement of materials and/or services.

3. This Circular is issued with the approval of Board of Directors and comes into force with immediate effect.

8/6/16

(S. C. Chavady)
General Manager (CM)

Page 1 of 1

List of Items Reserved for Purchase from Micro and Small Enterprises

(Source: http://dcmsme.gov.in/publications/reserveditems/itemssi.htm)

Sl No. Item Description

1. AAC/& ACSR Conductor upto 19 strands
2. Agricultural Implements
   - **a.** Hand Operated tools & implements
   - **b.** Animal driven implements
3. Air/Room Coolers
4. Aluminium builder's hardware
5. Ambulance stretcher
6. Ammeters/ohm meter/Volt meter (Electro magnetic upto Class I accuracy)
7. Anklets Web Khaki
8. Augur (Carpenters)
9. Automobile Head lights Assembly
10. Badges cloth embroidered and metals
11. Bags of all types i.e. made of leather, cotton, canvas & jute etc. including kit bags, mail bags, sleeping bags & water-proof bag
12. Bandage cloth
13. Barbed Wire
14. Basket cane (Procurement can also be made from State Forest Corpn. and State Handicrafts Corporation)
15. Bath tubs
16. Battery Charger
17. Battery Eliminator
18. Beam Scales (upto 1.5 tons)
19. Belt leather & straps
20. Bench Vices
21. Bituminous Paints
22. Blotting Paper
23. Bolts & Nuts
24. Bolts Sliding
25. Bone Meal
26. Boot Polish
27. Boots & Shoes of all types including canvas shoes
28. Bowls
29. Boxes Leather
30. Boxes made of metal
31. Braces
32. Brackets other than those used in Railways
33. Brass Wire
34. Brief Cases (other than moulded luggage)
35. Brooms
36. Brushes of all types
37. Buckets of all types
38. Button of all types
39. Candle Wax Carriage
40. Cane Valves/stock valves (for water fittings only)
41. Cans metallic (for milk & measuring)
42. Canvas Products :
    - **a.** Water Proof Deliver, Bags to spec. No. IS - 1422/70
    - **b.** Bonnet Covers & Radiators Muff. to spec. Drg. Lv 7/NSN/IA/130295
43. Capes Cotton & Woollen
44. Capes Waterproof

45. Castor Oil
46. Ceiling roses upto 15 amps
47. Centrifugal steel plate blowers
48. Centrifugal Pumps suction & delivery 150 mm. x 150 mm
49. Chaff Cutter Blade
50. Chains lashing
51. Chappals and sandals
52. Chamois Leather
53. Chokes for light fitting
54. Chrome Tanned leather (Semi-finished Buffalo & Cow)
55. Circlips
56. Claw Bars and Wires
57. Cleaning Powder
58. Clinical Thermometers
59. Cloth Covers
60. Cloth Jaconet
61. Cloth Sponge
62. Coir fibre and Coir yarn
63. Coir mattress cushions and matting
64. Coir Rope hawserlaid
65. Community Radio Receivers
66. Conduit pipes
67. Copper nail
68. Copper Napthenate
69. Copper sulphate
70. Cord Twine Maker
71. Cordage Others
72. Corrugated Paper Board & Boxes
73. Cotton Absorbent
74. Cotton Belts
75. Cotton Carriers
76. Cotton Cases
77. Cotton Cord Twine
78. Cotton Hosiery
79. Cotton Packs
80. Cotton Pouches
81. Cotton Ropes
82. Cotton Singlets
83. Cotton Sling
84. Cotton Straps
85. Cotton tapes and laces
86. Cotton Wool (Non absorbent)
87. Crates Wooden & plastic
88. (a) Crucibles upto No. 200
    (b) Crucibles Graphite upto No. 500
    (c) Other Crucibles upto 30 kgs.
89. Cumblies & blankets
90. Curtains mosquito
91. Cutters
92. Dibutyl phthalate
93. Diesel engines upto 15 H.P
94. Dimethyl Phthalate
95. Disinfectant Fluids

96. Distribution Board upto 15 amps
97. Domestic Electric appliances as per BIS Specifications:-
    - Toaster Electric, Elect. Iron, Hot Plates, Elect. Mixer, Grinders Room heaters & convectors and ovens
98. Domestic (House Wiring) P.V.C. Cables and Wires (Aluminium) Conforming to the prescribed BIS Specifications and upto 10.00 mm sq. nominal cross section
99. Drawing & Mathematical Instruments
100. Drums & Barrels
101. Dust Bins
102. Dust Shield leather
103. Dusters Cotton all types except the items required in Khadi
104. Dyes :

a. Azo Dyes (Direct & Acid)

b. Basic Dyes

105. Electric Call bells/buzzers/door bells
106. Electric Soldering Iron
107. Electric Transmission Line Hardware items like steel cross bars, cross arms clamps arching horn, brackets, etc
108. Electronic door bell
109. Emergency Light (Rechargeable type)
110. Enamel Wares & Enamel Utensils
111. Equipment camouflage Bamboo support
112. Exhaust Muffler
113. Expanded Metal
114. Eyelets
115. Film Polythene - including wide width film
116. Film spools & cans
117. Fire Extinguishers (wall type)
118. Foot Powder
119. French polish
120. Funnels
121. Fuse Cut outs
122. Fuse Unit
123. Garments (excluding supply from Indian Ordnance Factories)
124. Gas mantels
125. Gauze cloth
126. Gauze surgical all types
127. Ghamellas (Tasllas)
128. Glass Ampules
129. Glass & Pressed Wares
130. Glue
131. Grease Nipples & Grease guns
132. Gun cases
133. Gun Metal Bushes
134. Gumtape
135. Hand drawn carts of all types
136. Hand gloves of all types
137. Hand Lamps Railways
138. Hand numbering machine
139. Hand pounded Rice (polished and unpolished)
140. Hand presses
141. Hand Pump
142. Hand Tools of all types

143. Handles wooden and bamboo (Procurement can also be made from State Forest Corpn. and State Handicrafts Corporation)
144. Harness Leather
145. Hasps & Staples
146. Haver Sacks
147. Helmet Non-Metallic
148. Hide and country leather of all types
149. Hinges
150. Hob nails
151. Holdall
152. Honey
153. Horse and Mule Shoes
154. Hydraulic Jacks below 30 ton capacity
155. Insecticides Dust and Sprayers (Manual only)
156. Invalid wheeled chairs.
157. Invertor domestic type upto 5 kvA
158. Iron (dhobi)
159. Key board wooden
160. Kit Boxes
161. Kodali
162. Lace leather
163. Lamp holders
164. Lamp signal
165. Lanterns Posts & bodies
166. Lanyard
167. Latex foam sponge
168. Lathies
169. Letter Boxes
170. Lighting Arresters - upto 22 kv
171. Link Clip
172. Linseed Oil
173. Lint Plain
174. Lockers
175. Lubricators
176. L.T. Porcelain KITKAT & Fuse Grips
177. Machine Screws
178. Magnesium Sulphate
179. Mallet Wooden
180. Manhole covers
181. Measuring Tapes and Sticks
182. Metal clad switches (upto 30 Amps)
183. Metal Polish
184. Metallic containers and drums other than N.E.C. (Not elsewhere classified)
185. Metric weights
186. Microscope for normal medical use
187. Miniature bulbs (for torches only)
188. M.S. Tie Bars
189. Nail Cutters
190. Naphthalene Balls
191. Newar
192. Nickel Sulphate
193. Nylon Stocking
194. Nylon Tapes and Laces

195. Oil Bound Distemper
196. Oil Stoves (Wick stoves only)
197. Pad locks of all types
198. Paint remover
199. Palma Rosa Oil
200. Palmgur
201. Pans Lavatory Flush
202. Paper conversion products, paper bags, envelops, Ice-cream cup, paper cup and saucers & paper Plates
203. Paper Tapes (Gummed)
204. Pappads
205. Pickles & Chutney
206. Piles fabric
207. Pillows
208. Plaster of Paris
209. Plastic Blow Moulded Containers upto 20 litre excluding Poly Ethylene Terphthalate (PET) Containers
210. Plastic cane
211. Playing Cards
212. Plugs & Sockets electric upto 15 Amp
213. Polythene bags
214. Polythene Pipes
215. Post Picket (Wooden)
216. Postal Lead seals
217. Potassium Nitrate
218. Pouches
219. Pressure Die Casting upto 0.75 kg
220. Privy Pans
221. Pulley Wire
222. PVC footwears
223. PVC pipes upto 110 mm
224. PVC Insulated Aluminium Cables (upto 120 sq. mm) (ISS:694)
225. Quilts, Razais
226. Rags
227. Railway Carriage light fittings
228. Rakes Ballast
229. Razors
230. RCC Pipes upto 1200 mm. dia
231. RCC Poles Prestressed
232. Rivets of all types
233. Rolling Shutters
234. Roof light Fittings
235. Rubber Balloons
236. Rubber Cord
237. Rubber Hoses (Unbranded)
238. Rubber Tubing (Excluding braided tubing)
239. Rubberised Garments Cap and Caps etc
240. Rust/Scale Removing composition
241. Safe meat & milk
242. Safety matches
243. Safety Pins (and other similar products like paper pins, staples pins etc.)
244. Sanitary Plumbing fittings
245. Sanitary Towels
246. Scientific Laboratory glasswares (Barring sophisticated items)

247. Scissors cutting (ordinary)
248. Screws of all types including High Tensile
249. Sheep skin all types
250. Shellac
251. Shoe laces
252. Shovels
253. Sign Boards painted
254. Silk ribbon
255. Silk Webbing
256. Skiboots & shoes
257. Sluice Valves
258. Snapfastner (Excluding 4 pcs. ones)
259. Soap Carbolic
260. Soap Curd
261. Soap Liquid
262. Soap Soft
263. Soap washing or laundary soap
264. Soap Yellow
265. Socket/pipes
266. Sodium Nitrate
267. Sodium Silicate
268. Sole leather
269. Spectacle frames
270. Spiked boot
271. Sports shoes made out of leather (for all Sports games)
272. Squirrel Cage Induction Motors upto and including 100 KW440 volts 3 phase
273. Stapling machine
274. Steel Almirah
275. Steel beds stead
276. Steel Chair
277. Steel desks
278. Steel racks/shelf
279. Steel stools
280. Steel trunks
281. Steel wool
282. Steel & aluminium windows and ventilators
283. Stockinet
284. Stone and stone quarry rollers
285. Stoneware jars
286. Stranded Wire
287. Street light fittings
288. Student Microscope
289. Studs (excluding high tensile)
290. Surgical Gloves (Except Plastic)
291. Table knives (Excluding Cutlery)
292. Tack Metallic
293. Taps
294. Tarpaulins
295. Teak fabricated round blocks
296. Tent Poles
297. Tentage Civil/Military & Salitah Jute for Tentage
298. Textiles manufacturers other than N.E.C. (not elsewhere classified)
299. Tiles

300. Tin Boxes for postage stamp
301. Tin can unprinted upto 4 gallons capacity (other than can O.T.S.)
302. Tin Mess
303. Tip Boots
304. Toggle Switches
305. Toilet Rolls
306. Transformer type welding sets conforming to IS:1291/75 (upto 600 amps)
307. Transistor Radio upto 3 band
308. Transistorised Insulation - Testers
309. Trays
310. Trays for postal use
311. Trolley
312. Trollies - drinking water
313. Tubular Poles
314. Tyres & Tubes (Cycles)
315. Umbrellas
316. Utensils all types
317. Valves Metallic
318. Varnish Black Japan
319. Voltage Stablisers including C.V.T's
320. Washers all types
321. Water Proof Covers
322. Water Proof paper
323. Water tanks upto 15,000 litres capacity
324. Wax sealing
325. Waxed paper
326. Weighing Scale
327. Welded Wiremash
328. Wheel barrows
329. Whistle
330. Wicks cotton
331. Wing Shield Wipers (Arms & Blades only)
332. Wire brushes and Fibre Brushes
333. Wire Fencing & Fittings
334. Wire nails and Horse shoe nails
335. Wire nettings of gauze thicker than 100 mesh size
336. Wood Wool
337. Wooden ammunition boxes
338. Wooden Boards
339. Wooden Box for Stamps
340. Wooden Boxes and Cases N.E.C. (Not elsewhere classified)
341. Wooden Chairs
342. Wooden Flush Door Shutters
343. Wooden packing cases all sizes
344. Wooden pins
345. Wooden plugs
346. Wooden shelves
347. Wooden veneers
348. Woollen hosiery
349. Zinc Sulphate
350. Zip Fasteners

List of Items Reserved for Purchase from Handicrafts Sector (351-358)

Sl. No.	Item Description	Source of Supply
351.	Cane Furniture	North Eastern Handicrafts & Handlooms Development Corporation Assam Govt. Marketing Corpn. Craft Society of Manipur Nagaland Handicrafts & Handlooms Development Corporation.
352.	Bamboo file tray, Baskets, Pencil stand, side racks etc.	-do-
353.	Artistic Wooden Furniture	Rajasthan Small Industries Corpn., U.P. Export Corporation
354.	Wooden paper weight, racks etc.	- do -
355.	Glass covers made of wood and Grass jute	- do -
356.	Jute furniture	West Bengal Handicrafts Dev. Corp. Jute mfg. Development Corporation Orissa State Handicrafts Dev. Corpn.
357.	Jute bags, file cover	- do -
358.	Woolen & silk carpets	U.P. Export Corporation J & K Sale & Export Corporation

NATIONAL THERMAL POWER CORPORATION LIMITED
CORPORATE CONTRACTS & MATERIALS DIVISION
(PLANNING & SYSTEMS GROUP)

Ref :CS-QS-C-570 Dated:10.02.04

CIRCULAR NO- 570

Subject: Revision in cost of Bid Documents and issuance of documents in soft form on CD.

1.0 The cost of bidding document to be charged from the prospective bidders and the exchange rate to be adopted for computing the cost of the same, when documents are issued to foreign parties have been stipulated vide Circular no. 522 dated 15.01.1996. Due to variations in exchange rates in the intervening period, a need has been felt to review these aspects to avoid disparity between the cost of bidding documents for a foreign bidder and Indian bidder.

2.0 Accordingly, based on the review as mentioned above, it has been decided that henceforth the cost of each set of Bidding Documents for Supply-cum-Erection, `Supply' including Supply-cum-Supervision of Erection, Supply-cum-Erection-cum-Civil and Civil packages shall be charged from prospective bidders as per the schedule enclosed at Annexure - I.

3.0 Further, in case the prospective bidders request for issue of more than one set of Bidding Documents, each additional set may be issued at the same cost as charged for the original set. Such additional (Non-Bidding) sets will be issued only to prospective bidders who have purchased the bidding set.

4.0 It has also been decided that, henceforth for all Corporate packages a soft copy of the Bidding Document shall be made available to all bidders free of cost on CD along with the hard copy.

5.0 This issues with the approval of the competent authority and comes into force with immediate effect.

(Surinder Raina)
HOD (CS/P&S)

ANNEXURE – I

COST OF BIDDING DOCUMENTS:

		Cost Estimate (Rs. in Lacs)	Cost of Bidding Document	
			In Rupees	In US $
A	Civil Works	Up to - 25	450	10
		26 - 100	900	20
		101 - 500	2250	50
		501 - 1500	4500	100
		1501 & above	9000	200
B	Supply-cum-Erection, 'Supply' including Supply-cum-Supervision of Erection and Supply-cum-Erection-cum-Civil.	upto – 100	1125	25
		101 – 500	2250	50
		501 – 700	3375	75
		701 – 1000	4500	100
		1001 – 1500	5625	125
		1501 – 2000	6750	150
		2001 – 3000	7875	175
		3001 – 5000	11250	250
		5001 & above	22500	500

Note :

1. For computing the cost of Bidding Documents the cost estimate shall be rounded off to the nearest one Lac Rupees.

2. The cost estimate for above purposes shall be excluding the cost towards taxes & duties and owner issue materials.

NTPC LIMITED

(CONTRACT SERVICES – PLANNING & SYSTEMS GROUP)

Ref. No. CS-QS-C-665 Date: 27.07.2012

CIRCULAR NO.665

Sub: Tendering Process- Single Stage Two Envelope / Two Stage Bidding.

1.0 It has been decided to adopt Single Stage Two Envelope Bidding System for all future packages of NTPC, except the following packages where Two Stage Bidding System shall be adopted:

i) Steam Generator package, Steam Turbine Generator package, Power Plant on EPC basis, Combined Cycle Turnkey package, Control & Instrumentation (C&I) package, Coal Handling Plant package, Ash Handling Plant package, Electrostatic Precipitator (ESP) package, DM Plant package or Water Treatment Plant package where DM plant is included in the scope of work
ii) All R&M packages
iii) Hydro - Hydro Mechanical package, Electromechanical package, Penstock & Power House package, Construction of Head Race Tunnel package, Construction of Barrage & Desilting Chamber package / Dam package
iv) Coal Mining & Coal Washeries – MDO package and Coal Washeries package
v) Wind - Package for development of Wind Energy Project
vi) Solar - Main Plant Turnkey Package / Package for development of Photo Voltaic Project
vii) Packages involving new technology

1.1 This shall be adopted for all packages where NIT/IFB is yet to be issued. In case of new projects where the package list is yet to be finalised, Single Stage Two Envelope or Two Stage bidding to be adopted for a package shall be indicated in the Package List.

1.2 In case of a package involving new technology, technical approval is required to be taken by the indenting department clearly indicating that technology to be adopted for such a package is new so that two stage bidding procedure need to be followed.

1.3 Further, in case of requirement for change in bidding process from two stage bidding to single stage two envelope and vice-a-versa the same shall require the approval of CMD.

2.0 The methodology to be followed for the packages to be invited on open tender basis on Single Stage Two Envelope / Two Stage Bidding System is detailed below:

2.1 Single Stage Two Envelope Bidding System

2.1.1 In Single Stage Two Envelope Bidding System, Bidders are required to submit two sealed envelopes simultaneously, one containing the Techno-Commercial Bid

(including data pertaining to Qualifying Requirements) and the other containing the Price Bid.

2.1.2 Bidders are required to submit Techno-Commercial Bid and Price Bid in full conformity to all terms, conditions and Technical Specifications of the Bidding Documents. A prospective Bidder may request for any modification or clarification to the bidding documents prior to the specified last date for clarifications.

2.1.3 For all the packages having cost estimate (excluding taxes and duties) above Rs.100 Crores, prospective bidders will be invited to attend Pre-Bid Conference to clarify any issue regarding the bidding documents. Bidders are required to submit all the queries in writing to reach NTPC prior to the last date for receipt of queries which shall be the date of Pre-Bid Conference.

2.1.4 In case of other packages, the last date for receipt of queries from bidders shall be the date not later than 10 days from the closing date for sale of Bidding Documents. Accordingly, the last date for receipt of clarifications from bidders and the date of Pre-Bid Conference (if applicable) shall be specified in the detailed NIT/IFB and necessary provision to be incorporated in the Bidding Documents.

2.1.5 Subsequent to the Pre-Bid Conference/ last date for receipt of clarifications, NTPC shall internally review the clarifications/ suggestions of the bidders and transmit the response (without identifying the source of query) to all prospective Bidders who have received the bidding documents.

2.1.6 During the submission of Techno-Commercial Bid & Price Bid, Bidders shall be required to furnish a No Deviation Certificate confirming full compliance to the terms, conditions and Technical Specifications of Bidding Documents and Amendment(s)/ Clarification(s) (if any) in a separate sealed envelope, failing which bids shall be rejected and returned to the Bidder without being opened. A sample format of No Deviation Certificate to be incorporated in the bidding documents is enclosed as **Annexure-I**.

2.1.7 Initially, only the Techno-Commercial Bids will be opened at the date and time specified by NTPC. The Price Bids remain sealed and shall be in the custody of NTPC.

2.1.8 The evaluation of Techno-Commercial Bids will be carried out to determine whether each bid is generally complete, acceptable & responsive to the bidding documents and meeting qualifying requirements stipulated in the bidding documents.

2.1.9 During the evaluation of Techno-Commercial Bids, if required, discussions or clarification meetings shall be carried out with only those Bidders who have been considered qualified and whose Techno-Commercial Bid have been found to be responsive. The objective of the exercise is to resolve all issues including vendor finalisation, work schedule, etc. with the qualified and responsive bidders prior to opening of price bids.

2.1.10 After examination of Techno-Commercial Bids and clarification meetings thereof, the Techno-Commercial Evaluation Report shall be put up to the Competent Authority, as per Delegation of Power (DOP). Subsequent to approval, the following activities are to be carried out:

(a) Prior to the opening of Price Bids, the unopened Price Bid and the corresponding bid security will be returned to the bidders whose bid has been rejected on the grounds of being non-responsive or that the Bidder does not meet the qualification requirements

(b) Subsequent to the return of Price Bids as mentioned at (a) above, the Price Bids of the bidders who have been considered qualified and whose Techno-Commercial Bid found to be responsive will be opened as per the date and time notified.

2.1.11 After opening of Price Bids, normally, there should not be any discussions with the bidders. However, as an exceptional case, if the tender evaluation committee consider that any issue pertaining to Price Bid need to be resolved before placement of award, discussion may be undertaken with the lowest evaluated bidder subsequent to the approval of the authority competent to approve negotiations as per DOP. Based on the evaluation of Price Bids and after resolution of all issues, Award Recommendation shall be put up to the approving authority for award as per DOP.

2.1.12 Based on the approval of the price evaluation, the Contract shall be awarded to the successful Bidder whose Bid has been determined to be the lowest evaluated, responsive and meeting the specified qualifying requirements.

2.2 Two Stage Bidding System

2.2.1 In Two Stage Bidding System, Bidders are required to submit their Techno-Commercial Bids (including data pertaining to Qualifying Requirements) during the first stage, in accordance with the specifications, but without price.

2.2.2 A prospective Bidder may request for any modification or clarification to the bidding documents prior to the specified last date for clarifications.

2.2.3 For all the packages having cost estimate (excluding taxes and duties) above Rs.100 Crores, prospective bidders will be invited to attend Pre-Bid Conference to clarify any issue regarding the bidding documents. Bidders are required to submit all the queries in writing to reach NTPC prior to the last date for receipt of queries which shall be the date of Pre-Bid Conference.

2.2.4 In case of other packages, the last date for receipt of queries from bidders shall be the date not later than 10 days from the closing date for sale of Bidding Documents. Accordingly, the last date for receipt of clarifications from bidders and the date of Pre-Bid Conference (if applicable) shall be specified in the detailed NIT/IFB and necessary provision to be incorporated in the Bidding Documents.

2.2.5 Subsequent to the Pre-Bid Conference/ last date for receipt of clarifications, NTPC shall internally review the clarifications/ suggestions of the bidders and transmit the response (without identifying the source of query) to all prospective Bidders who have received the bidding documents.

2.2.6 The Techno-Commercial Bids (Stage-I Bids) will be opened at the date and time specified by NTPC. The evaluation of Techno-Commercial Bids will be carried out to determine whether each bid is generally complete, acceptable & responsive to the bidding documents and meeting the stipulated qualifying requirements.

2.2.7 After examination of Techno-Commercial Bids individual bidder (who have been considered qualified and whose Techno-Commercial Bid have been found to be responsive) may be invited for clarifications. Subsequently, NTPC may issue amendments/ clarifications, if considered necessary, after approval of the Competent Authority as per DOP.

The objective of this exercise is to ensure that all Techno-Commercial Bids conform to the same acceptable technical standard and meet the technical and commercial conditions required by NTPC and to resolve all Techno-Commercial issues including vendor finalisation, work schedule, etc. with the qualified and responsive bidders prior to invitation of Price Bids.

2.2.8 After examination of Techno-Commercial Bids and clarification meetings thereof, the following activities are to be carried out with the approval of the Competent Authority as per DOP:

(a) issuance of amendments/ clarifications (if considered necessary) to the Bidders who have been considered qualified and whose Techno-Commercial Bids have been found to be responsive,

(b) invitation for submission of Price Bid based on amendments/ clarifications issued to bidding documents from the bidders who have been considered qualified and whose Techno-Commercial Bid have been found to be responsive,

(c) notify the bidder that its bid has been rejected on the grounds of being non-responsive, or that the Bidder does not meet the qualification requirements specified in the bidding documents and return the corresponding bid security.

2.2.9 The Price Bid (Stage-II Bid) submitted by the bidder needs to be in strict compliance to all the provisions of the bidding documents including its amendments/ clarifications issued by NTPC and no deviations/variations/ exceptions to the bidding documents and/or its amendments/ clarifications shall be permitted in the Price Bid. An unconditional confirmation to this effect shall necessarily be submitted by the bidders along with the Price Bid in a separately sealed envelope which shall be opened prior to opening of the Price Bid. The Price Bid which does not contain unconditional confirmation as per NTPC's format shall be rejected and returned to the Bidder without being opened. A sample format of No Deviation Certificate to be incorporated in the bidding documents is enclosed as **Annexure-II**.

2.2.10 After opening of Price Bids, normally, there should not be any discussions with the bidders. However, as an exceptional case, if the tender evaluation committee considers that any issue pertaining to Price Bid need to be resolved before placement of award, discussion may be undertaken with the lowest evaluated bidder subsequent to the approval of the authority competent to approve negotiations as per DOP. Based on the evaluation of Price Bids and after resolution of all issues, Award Recommendation shall be put up to the approving authority for award as per DOP.

2.2.11 Based on the approval of the price evaluation, the Contract shall be awarded to the successful Bidder whose Bid has been determined to be the lowest evaluated, responsive and meeting the specified qualifying requirements.

2.3 The Flowchart alongwith tentative schedule for the packages invited by Corporate Contracts on Single Stage Two Envelope Bidding System and Two Stage Bidding System is enclosed as **Annexure-IIIA** and **Annexure-IIIB** respectively.

3.0 In case of Limited Tender, the procedure outlined at para 2.0 above shall also be followed to the extent it is applicable. However, Single Stage Two Envelope / Two Stage Bidding need not be adopted in case of procurement on Single Tender basis, OEM/ OES, Standardized Sources, Sundry Requirements, Spot Purchases/ Committee Purchases, Emergent Procurement, and Repeat Orders.

4.0 In view of adoption of Single Stage Two Envelope / Two Stage Bidding System for future packages of NTPC, the provisions of System Circulars/ Bidding Document issued by Corporate Contract Services shall be applicable to the extent the same are consistent with the procedure for Single Stage Two Envelope / Two Stage Bidding System as brought out above.

5.0 This Circular issues with the approval of Competent Authority and comes into force with immediate effect for implementation of all concerned.

(Surinder Raina)
AGM (CS/P&S)

Annexure-I

(SINGLE STAGE TWO ENVELOPE BIDDING)

ATTACHMENT -
Page 1 of 1

[NAME OF THE PACKAGE & PROJECT]

BIDDING DOCUMENT NO.

(NO DEVIATION CERTIFICATE)

Bidder's Name and Address: To

Dear Sir,

1.0 With reference to our Bid Proposal No..... dated.....for *[Insert Name of the Package]*, Bid Document No. *[Insert Bid Document No.]*, we hereby confirm that we comply with all terms, conditions and specifications of the Bidding Documents read in Conjunction with Amendment(s)/Clarification(s)/ Addenda/Errata (if any) issued by the Employer prior to opening of Techno-Commercial Bids and the same has been taken into consideration while making our Techno-Commercial Bid & Price Bid and we declare that we have not taken any deviation in this regard.

2.0 We further confirm that any deviation, variation or additional condition etc. or any mention, contrary to Bidding Documents and its Amendment(s)/Clarification(s)/Addenda/Errata (if any) as mentioned at 1.0 above found anywhere in our Techno-Commercial Bid and/or Price Bid, implicit or explicit, shall stand unconditionally withdrawn, without any cost implication whatsoever to Employer, failing which the bid security shall be forfeited.

Date :

(Signature).....

Place :

(Printed Name).....

(Designation).....

(Common Seal).....

Note : **The above certificate is to be submitted in a separate sealed envelope. In the absence of this certificate the bid shall be rejected and shall be returned unopened.**

Annexure-II

(TWO STAGE BIDDING)

ATTACHMENT -
Page 1 of 1

[NAME OF THE PACKAGE & PROJECT]

BIDDING DOCUMENT NO.

(NO DEVIATION CERTIFICATE)

Bidder's Name and Address: To

Dear Sir,

1.0 With reference to our Bid Proposal No..... dated..... for *[Insert Name of the Package]*, Bid Document No.*[Insert Bid Document No.]*, we hereby confirm that all the provisions of Bidding Documents read in Conjunction with Amendment(s)/ Clarification(s)/ Addenda/ Errata (if any) and Amendment(s)/Clarification(s) issued by Employer subsequent to opening of Techno-Commercial (Stage-I) Bids are acceptable to us and the same has been taken into consideration while quoting our bid price in the Price Bid and we declare that we have not taken any deviation in this regard.

2.0 We further confirm that any deviation, variation or additional condition etc. or any mention, contrary to Bidding Documents read in Conjunction with Amendment(s)/Clarification(s)/Addenda/Errata and subsequent Amendment(s)/ Clarification(s) as mentioned at 1.0 above found anywhere in our Bid Proposal, implicit or explicit, shall stand unconditionally withdrawn, without any cost implication whatsoever to Employer, failing which the bid security shall be forfeited.

Date :

(Signature).....

Place :

(Printed Name).....

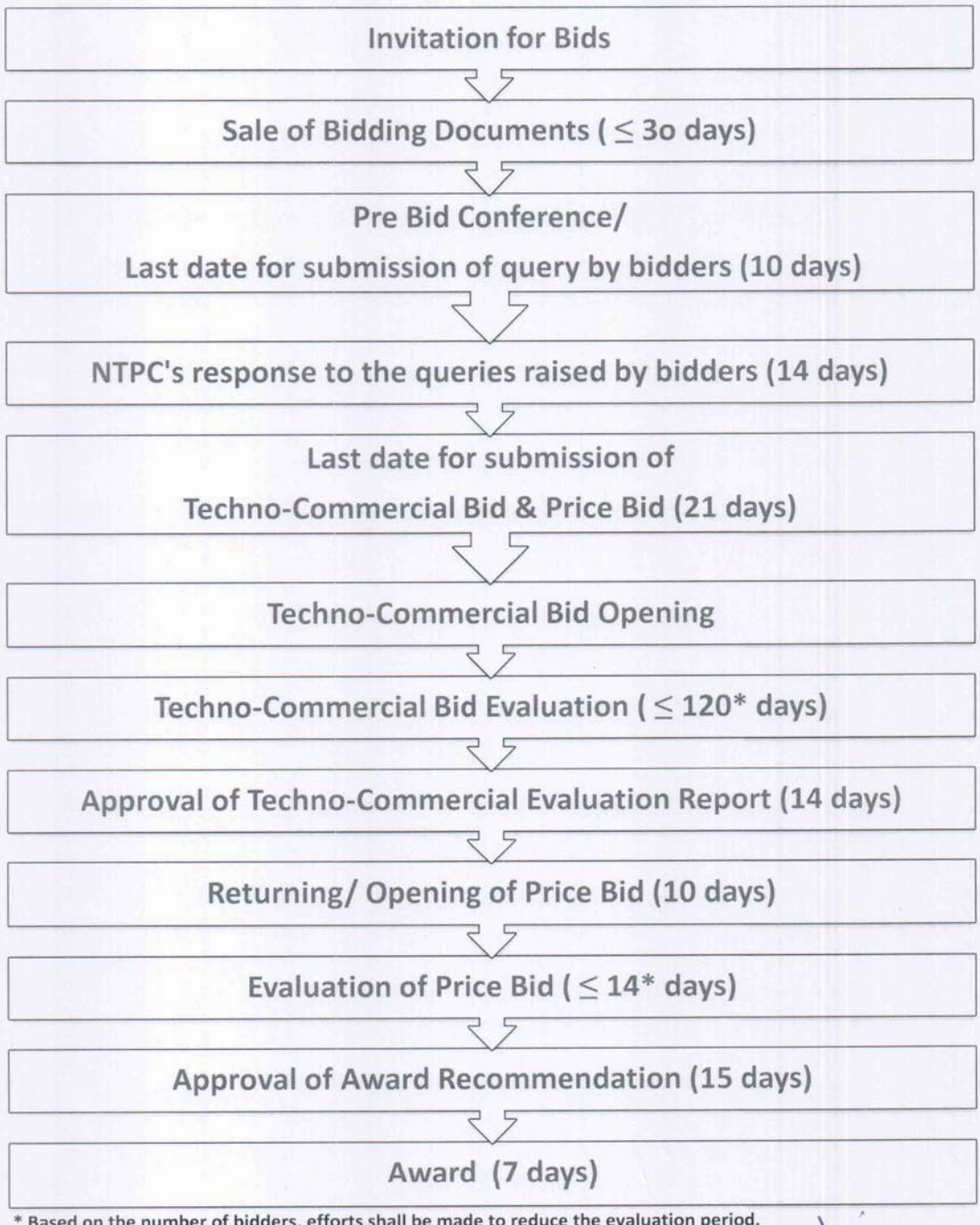
(Designation).....

(Common Seal).....

Note : **The above certificate is to be submitted in a separate sealed envelope. In the absence of this certificate the Price Bid shall be rejected and shall be returned unopened.**

Annexure-IIIA

Flow Chart for the packages invited by Corporate Contracts on Single Stage Two Envelope Bidding



* Based on the number of bidders, efforts shall be made to reduce the evaluation period.

Annexure-IIIB

Flow Chart for the packages invited by Corporate Contracts on Two Stage Bidding

* Based on the number of bidders, efforts shall be made to reduce the evaluation period.

NATIONAL THERMAL POWER CORPORATION LIMITED
(CORPORATE CONTRACTS – PLANNING & SYSTEM GROUP)

Ref.No. CS-QS -C-563 Dated:05.06.03

CIRCULAR NO. 563

Sub: Guidelines on Inviting Snap bids for procurement of Equipment/Works/Service.

1.0 The Procurement & Works Policy of NTPC provides following guidelines to be followed for re-tendering.

Quote

If there has not been adequate response to an open tender or if the prices quoted are substantially higher than the estimated prices and negotiation with the tenderers has not met with any positive response, a decision may be taken either to accept the tender or to re-tender.

In case of a single response against limited tender, or in case a ring is suspected, re-tendering will normally be resorted to. In exceptional circumstances, the tender may be accepted/negotiated, but the reasons therefore will be recorded in writing and submitted to the Competent authority.

Unquote

2.0 Though the Procurement & Works Policy does not provide for Snap bidding, under certain exceptional circumstances Snap Bids have been invited in the past from the bidders who had quoted against the tender. Some of these situations are mentioned hereunder:

a) Due to ambiguity in the bidding conditions/ specifications, it is not possible to objectively evaluate the bids
b) Due to revised requirements arising after opening of bids, significant changes are needed in the technical specifications which are of the nature that cannot be reasonably taken care by the existing provisions in the bidding documents
c) All the bids received are found to be non-responsive
d) Errors and omissions on the part of NTPC vitiating the process of procurement

This practice has also been followed at Project/ Corporate Center in cases where the time available did not permit to go in for the process of re-tendering. In this context it may be necessary to explain the two terms "Snap bidding" and "Re-tendering". Where owing to specific circumstances of the case, bids are re-invited only from the bidders who had submitted their offer during the initial bidding, it is termed as "Snap bidding".

In the case of re-tendering, the complete process of inviting the bids afresh is undertaken again and participation is also open to bidders other than those who had responded with their bids in the original tendering. The earlier tender in this case is cancelled and EMD of the bidders is returned to the bidders.

3.0 In one of the cases, Vigilance has highlighted certain discrepancies in the Snap bidding procedure followed by one of the Projects and has suggested that guidelines may be issued by Corporate Contracts Division in this regard.

4.0 At the outset, it is clarified that normally snap bidding should not be resorted to. However, under certain exceptional circumstances (as specified in para 2.0 above), Snap bidding may be resorted to with the approval of the competent authority as a last resort taking care of ethics of contracting / interest of NTPC and ensuring that it does not provide undue benefit to any particular bidder/bidders. The list of exceptional circumstances mentioned at para 2.0 above is indicative only and may not be taken as an exhaustive list. in any case the specific circumstances of each case have to be analysed in totality before taking the decision to resort to snap bidding.

Some of the points, which are intended to serve as a guideline while inviting snap bids, are enumerated below (however these are not to be construed as an exhaustive list):

a) Before proceeding for snap bidding, analysis is to be carried out to ascertain whether the response in the original bidding was adequate. If the analysis indicates that the competition was adequate, then the snap bidding may be resorted to.

b) Snap bidding should be resorted to only if the available time frame is such that project requirement/schedule of the Project will be adversely affected in case the route of re-tendering is adopted.

c) The Qualifying Requirements specified in the original bidding should not be changed in case of Snap bidding. Further, Snap bidding should not be resorted to in case of major changes in specification (where the variation in the estimated cost as a result of changes in the specification exceeds 20% of original cost estimate). In case change in specifications also require change in the Qualifying Requirements, even though the variation in the cost estimate is within the limit specified above, Snap bidding should not be resorted to.

d) The reasons for Snap bidding should be recorded while seeking approval on decision for snap bidding from the competent authority. The competent authority for granting approval for undertaking Snap bidding should be same as indicated in DOP for Award of Contract. In case, approving authority for Award is below GM/ Head of Project, the approval for Snap bidding is to be obtained from GM / Head of Project. Further, the authority for approving the award recommendations after evaluation of the snap bids submitted by the bidders shall also be same as for Award of Contract under initial bidding.

e) Snap bids should be invited from all the bidders who had submitted their offer during the initial bidding. However, snap bidding would not be open to bidders whose bids may have been rejected at the time of bid opening due to failure of the party to furnish required bid security, certificate of acceptance of important conditions etc. in line with the provisions of the bidding documents. The letter communicating the decision to invite snap bids should clearly specify the scope of the snap bidding and the desired validity of the snap bids to be submitted by the bidders. Further, the

letter should enclose the revised Bid Form, Bid Proposal Sheets/ Attachments/ Revised Price Schedules etc., wherever applicable, to enable the bidders to furnish their snap bids.

The terms and conditions for the snap bidding may require the bidders to furnish their complete revised bid, or in case of large and complex contracts, to furnish only their modifications to the bids submitted earlier.

In case the bidders are required to furnish the complete revised bids, the earlier bids submitted by the bidders shall stand null and void, once the snap bids are invited.

In case the bidders are required to furnish only the modifications to their earlier bids, the earlier bid as modified to the extent of the modifications submitted in the snap bid would be valid for consideration for the specified validity period. In this case the resubmission of the bid security may not be insisted upon and only the validity extension of the bid guarantee for the required period may be sought along with the snap bid. However, if a bidder does not respond in the snap bidding, the earlier bid submitted by the bidder shall be considered null and void.

The prices should not allowed to be increased unless there are changes in the bidding documents that justify the increase in the prices. In case the bidders increase their prices, they shall be required to furnish justification of upward revision in prices with respect to original prices.

f) In order to avoid difficulty during the process of evaluating snap bids, the ambiguities encountered if any in the original bids received and/or bidding documents etc. should be clarified to the bidders while seeking the snap bids.

g) The notice for snap bidding should be sent by Registered/ Speed Post and a confirmation regarding receipt of the notice should be sought from all the bidders.

(Suitable provisions with regard to para 4.0 above, as applicable, may be incorporated in the letter inviting the snap bids)

5.0 The Circular issues with the approval of competent authority and comes into force with immediate effect for all procurements being made in Corporate Center/Regions/Projects.

(SURINDER RAINA)
HOD (CS-P&S)

NTPC LIMITED

(Corporate Contracts – Planning & Systems Group)

Ref. No.: CS-QS-C-721 **Date 09.02.2016**

CIRCULAR NO. 721

Sub: Negotiation with L1 bidder after Reverse Auction-reg.

1.0 Corporate Materials department had issued System Circular no 95 dated 08/08/2013 mentioning that in tenders with Reverse Auction, there shall be no negotiations with the L-1 bidder or a counter offer made to L-1 bidder after completion of the Reverse Auction.

2.0 Subsequent to the issuance of the aforementioned circular, the matter regarding negotiation with L-1 bidder after Reverse Auction has been reviewed. It has now been decided that in exceptional circumstances, where prices quoted by L-1 bidder are much higher compared to NTPC's cost estimate even after Reverse Auction, approval of the Competent Authority shall be obtained on case to case basis for carrying out the negotiations with L-1 bidder after Reverse Auction.

3.0 This circular supersedes the Corporate Materials System Circular no 95 dated 08/08/2013.

4.0 This Circular issues with the approval of the Competent Authority and comes into force with immediate effect.

09/02/16

Rajiv Gupta
GM (CS-P&S)

NTPC LTD.

(CONTRACT SERVICES - PLANNING & SYSTEMS GROUP)

Ref. No.01/CS-QS-C-694 Date: 05.08.2014

CIRCULAR NO. 694

Sub: PROCEDURE REGARDING BID SECURITY, CONTRACT PERFORMANCE GUARANTEE (CPG) AND OTHER BANK GUARANTEES (BGs)

1.0 NTPC has been awarding contracts of high value and in accordance with the terms of Contracts advancing huge sums of money to contractors/suppliers against submission of Bank Guarantees (BGs) to facilitate execution of works/ supplies. In addition BGs are also received towards Bid Security, Contract Performance Guarantee (CPG) etc.

2.0 The BGs submitted by contractors may be classified into following four categories:

(a) BGs towards Bid Security;
(b) BGs towards Initial/Interim/Mobilisation Advance;
(c) BGs towards Contract Performance Guarantee submitted by Contractors/and their collaborators/Associates;
(d) Other BGs

3.0 This circular aims at providing uniform guidelines regarding the procedure for receipt, verification, acceptance, custody, invocation and release of BGs. These guidelines are to be adhered to and strictly complied with by all concerned.

4.0 PROVISIONS FOR BID SECURITY/EARNEST MONEY DEPOSIT (EMD) IN THE BIDDING DOCUMENTS

4.1 SUBMISSION OF BID SECURITY

4.1.1 The requirement for submission of Bid Security, its amount, manner of submission and form of Bid Security shall be specified in all the Bidding Documents/ Tender enquiries, except in cases where submission of Bid Security is not required as brought out in Para 4.5 below.

4.1.2 Wherever the submission of Bid Security has been prescribed in the Bidding Documents, the Bid must be accompanied by the Bid Security in a separate envelope. The envelope must be clearly marked on top so as to evidence the presence of bid security and suitable marking instructions to this effect may be included in the bidding documents.

4.1.3 In all detailed NITs/Tender enquires published on the website, whether under DCB or ICB, the following clause may be included in Bold Capital Letters where submission of Bid Security has been prescribed in the bidding documents:

"ANY BID NOT ACCOMPANIED BY AN ACCEPTABLE BID SECURITY IN A SEPARATE SEALED ENVELOPE SHALL BE REJECTED BY THE EMPLOYER

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AS BEING NON-RESPONSIVE AND RETURNED TO THE BIDDERS WITHOUT BEING OPENED."

4.1.4 In the case of **Single Stage Single Envelope Bidding**, at the time of bid opening, initially the envelope containing the Bid Security shall be opened for all the bidders and acceptability of the bid security shall be verified in line with Procedure prescribed in Para 6.1 and 6.2.

4.1.5 Where the Bids have been invited following **Single Stage Two Envelope/Two Stage Bidding procedures**, at the time of opening of Technical Bids, the Bid Security Envelope shall be initially opened for all the bidders and acceptability of the bid security shall be verified by the Tender Committee. Further in case of **Two Stage Bidding,** at the time of opening of Price Bids, the Envelope containing extension of Bid Security shall be initially opened and its acceptability shall be verified by the Tender Committee.

4.1.6 The details regarding absence of bid security or bid security not being acceptable in terms of the Bidding Documents shall be recorded in the Minutes of the Bid Opening under the signature of the representative of the said bidder and the Tender Committee.

4.1.7 Notwithstanding the guidelines stated above in Para 4.1.1 to 4.1.6, in case of Packages/ Procurements funded by Funding Agency, the specific Procedures as agreed with the concerned funding agency in this regard shall be followed. However, in absence of any requirements from the Funding Agency, the Procedure prescribed in Para 4.1.1 to 4.1.6 above shall be followed for Packages/Procurements funded by Funding Agency.

4.2 AMOUNT OF BID SECURITY

4.2.1 The amount of Bid Security shall be specified in Indian Rupees equivalent to two percent (2%) of approved Cost Estimate (excluding Taxes and Duties) rounded off to the next higher multiple of Rs.1000/-.

4.2.2 In case bids have been invited following ICB procedures and the bidders are permitted to quote in foreign currency, the bid security shall also be specified in US Dollars. In such cases, bidders are allowed to submit bid security either in Indian Rupees or equivalent US Dollars. The amount of Bid Security in equivalent US Dollars shall be specified based on SBI Bills Selling Exchange rate prevailing as on seven days prior to the date of proposal for approval of bidding documents, rounded off to next higher multiple of hundred US Dollars.

4.2.3 The standard clauses to be incorporated in the Bidding Documents shall be as per details mentioned at **Annexure-I.**

4.3 As there are no standard bidding documents for Consultancy packages, standard bid security clauses have not been stipulated for the same.

4.3.1 For packages invited following any other bidding procedures, provisions for bid security may be incorporated in the bidding documents in line with this Circular with the approval of the Competent Authority.

4.4 Form of Bid Security

4.4.1 The prescribed formats of Bank Guarantee and Extension of Bank Guarantee are enclosed at **Annexure-II and Annexure-III**, respectively. In order to facilitate the Bidders to submit the Bank Guarantee as per the prescribed format and in line with the requirements prescribed in the Bidding Documents, the Check List enclosed at **Annexure-IV** may be made part of the Bidding Documents. The Bidders may be advised to take note of the above Check List while submitting Bank Guarantee as Bid Security.

4.5 Exemption from submission of Bid Security

4.5.1 In the following cases submission of Bid Security is not required:

	Category	Estimated Cost of Works/Purchases/ Services (excluding Taxes and Duties) upto which Bid Security not required
	Limited Tenders	No Bid Security for the exemption limit as specified in DOP
	Limited Tenders from OEM and OES or from Vendors approved as per Source Standardization Procedure	No Bid Security irrespective of value
	All Single Tender/Enquiries	No Bid Security irrespective of value
	Cooperative Societies of Land oustees	Rs. Twenty(20) Lakhs
	Eligible Micro and Small Enterprises (MSEs)	As per prevailing guidelines (System Circular No.96 dated 16.12.2013 of Corporate Materials). In this case, proof of eligibility for exemption of EMD shall be submitted in the separate Envelope in place of Bid Security.

5.0 RECEIPT OF BGs

Except for the BGs towards Bid Security, which are required to be submitted by the Bidders along with the Bids, all other BGs should be received from the Bank directly through post/ courier, by the Package In-charge in Corporate Contract Services/ concerned executive in Corporate Materials/ concerned executive in Corporate HR/ concerned executive of Contracts & Materials Deptt at various Projects/Stations/Regions. These officials shall, hereinafter, be referred to as "Concerned Executive". However, the contractor/ supplier may, if he chooses, bring the BG under sealed cover of the Bank for handing over to Concerned Executive.

6.0 VERIFICATION AND ACCEPTANCE OF BGs

6.1 Guidelines specific to Bid Security

6.1.1 In the case of Bank Guarantee submitted towards Bid Security, at the time of bid opening, the Tender Committee (TC) shall verify the acceptability of the bank guarantee with respect to its value, validity period and issuing bank. Further, the Tender Committee shall also prima-facie verify whether there are any material deviations in the text of the BG with reference to the specified format in the bidding documents.

6.1.2 In case the bank guarantee is not found acceptable by the Tender Committee based on the verification as per Para 6.1.1 above, the same shall be rejected and returned along with the bid to the bidder.

If bank guarantee is prima-facie considered acceptable, the further detailed examination shall be carried out by TC at the time of bid evaluation in line with the procedure prescribed in Para 6.2 below. The responsibility of acceptance of the bid guarantee shall vest with the TC.

6.2 Guidelines for all BGs

The Concerned Executive shall examine the BGs subsequent to their receipt and ensure compliance of the following:

6.2.1 The BG should be on Non-Judicial stamp paper/e-stamp paper of appropriate value as per Stamp Act prevailing in the State(s) where the BG is submitted or is to be acted upon or the rate prevailing in the State where the BG is executed, whichever is higher. The appropriate value of stamp paper for BGs, in terms of the Stamp Act for various States in India, shall be as circulated by Corporate Law Department from time to time.

6.2.2 The date, purpose of purchase and name of the purchaser should be indicated on the stamp paper. The stamp papers (other than e-stamp paper) should be duly signed by the stamp vendor. The date of sale of the non-judicial stamp paper, as indicated on the stamp paper should be of any date on or before the date of execution of the BG. The name of the Purchaser of stamp paper may either be the executing Bank or the party on whose behalf the BG is being issued.

6.2.3 In certain States, the Rules permit levy of stamp duty by the process of franking under signature of empowered officer. Such BG may also be accepted as duly stamped.

6.2.4 The name and designation of the Officer of the Bank executing the BG and his power of Attorney/ Signing Power No. should be duly indicated in the B.G.

6.2.5 Each page of the BG should be duly signed/ initialed by the executants and Stamp of the Bank is affixed thereon. The last page of BG should be signed with full particulars including the name of authorized signatory, full postal addresses, telephone number, fax number etc. under the seal of the Bank as required as per the prescribed proforma in the Bid documents.

6.2.6 The BG should be compared verbatim with the Standard proforma of the Bank Guarantee prescribed in the Bid Documents.

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In case of any change in the contents or text of the Advance BG/ CPG/ other BGs, which are of minor/ clerical in nature i.e. which in no way limits the rights of the Company in any manner, the same may be accepted or rejected by the following:

(i) HOD(CS)/ HOD(CM)/ AGM(HR) at Corporate Centre, and
(ii) Head of Contracts & Materials Deptt. at Project/ Station/ Region

However, in case there are deviations in the text of the BG from the prescribed text, which materially affect the right of the Company under the BG, the opinion of Law Deptt. regarding acceptance of such deviations may be obtained. In case opinion from the Law Department in writing is already available in respect of a similar case, such deviations may be accepted with the approval of Competent Authority mentioned above, based on the aforesaid opinion.

6.2.7 The factual details such as Bid Specification No., Notification of Award/ Contract Agreement No., Contract Price, amount (both in words and figures) and validity of the BG etc. should be in line with the provisions of Bid/ Contract Documents.

6.2.8 It may also be ensured that over-writings or cuttings, if any, have been properly authenticated under the signature and seal of the executant.

6.2.9 Where a BG issued by a Bank outside India also needs to bear stamp duty of appropriate value applicable to the place in NTPC where BG is to be submitted (e.g. Corporate Office in Delhi or Noida, Region, Project/Station), the BG may be got adjudicated by the Concerned Executive from Collector of Stamps, in consultation with Law Deptt. This has to be done within three (3) months from the date of arrival of the BG in India. Expenses incurred in this regard shall be recovered from the contractor. However, in case of Bid Security, expenses incurred shall be borne by NTPC.

6.2.10 It shall be verified that BG has been issued by a Bank acceptable as per the provisions of Bid/ Contract Documents. However, in case the BG has been issued by a Foreign Bank outside India other than those specified in the Bid/Contract Documents, the same should be confirmed by one of the Banks, acceptable as per Bid/ Contract Documents.

6.3 Any change or modification, whenever agreed by NTPC, should be by means of an amendment to the Bank Guarantee on non-judicial Stamp paper of same value as that of the original BG. Such amendment may either be received directly from the Bank through post/courier or through Contractor under sealed cover of the Bank.

6.4 Verification of BG from Bank

6.4.1 Except Bid Security, which shall be retained in original, the Concerned Executive shall forward the original BGs along with the check list as per **Annexure-V**, duly filled in, to concerned Finance Department for further verification of the genuineness of BG from the concerned Bank and the safe custody of the BG in Finance. A photocopy of the original BG shall be retained by the Concerned Executive before forwarding the original BGs to Finance Department. On receipt of the BGs from the Concerned Executive, the Dealing executive in the Finance Department shall exercise required checks as a matter of internal control. The verification of genuineness of BG shall be the responsibility of Finance Department.

6.4.2 Immediately on receipt of BG in Finance, a letter of confirmation shall be addressed by the Dealing Executive in the Finance Department to the executant of the Bank Guarantee seeking confirmation whether the Bank Guarantee has been executed by the executant and whether he is duly authorized to do so. This letter may be issued in duplicate by Registered Post/ Speed Post in the name of the executant of the Bank Guarantee, as per proforma enclosed (**Annexure-VI**). The Executant Bank will be required to return one copy of the letter with the certificate thereon duly signed and stamped under its seal through registered/ speed post. In no case a contractor shall be allowed to bring this letter of Certificate of Confirmation from bank (not even under sealed cover of the Bank).

6.4.3 The Finance Department may also simultaneously ask their bankers or a Nodal local branch of the executant bank, if any, to verify the signature of the executant on the bank guarantee. In exceptional cases and generally in case of local Bank Guarantees, verification of the signature of the executant on the Guarantees may be obtained in the certificate forming part of Annexure-VI by paying personal visit to the executant bank. At the time of such visit, original Power of Attorney executed by the bank in favour the officer signing the Bank Guarantee may be seen, if so permitted by the Bank.

6.4.4 In case of BGs, issued by a Foreign Bank outside India acceptable to NTPC as per Bid/Contract Documents (other than Bid Security), the BG must be verified by the Finance through the Correspondent Bank (of such Foreign Bank) in India. However, for Foreign Bank not acceptable to NTPC, the verification through concerned counter signing Bank (which is acceptable to NTPC) should be obtained by Finance.

6.4.5 In case of BGs received on behalf of Central Public Sector Undertakings, the verification of BGs need not be done.

6.4.6 In case of BGs towards Bid Security, the verification of BGs need not be done.

7.0 CUSTODY OF BGs AND MAINTENANCE OF BG REGISTER

7.1 In case of (a) Bank Guarantee (s) denominated in foreign currency, or denominated partly in foreign currency and partly in Indian currency, which are received against Contracts awarded by Corporate Contract Services, (b) Bank Guarantee (s) received against all Consultancy Contracts awarded by Corporate Contract Services denominated in any currency and (c) Bank Guarantee (s) received against Contracts awarded by other departments at Corporate Centre, the BGs after necessary verification of its genuineness and release of advance to the Contractor, shall be retained by the Corporate Finance Department. In case of other Bank Guarantee (s) denominated in Indian Rupees only, Corporate Finance Department after necessary verification of genuineness of BGs and release of advance to the Contractor, shall forward the original BGs and any amendment/extension thereof to the Finance Department of the concerned Region/Project/Station under intimation to (a) the Package In-charge in Corporate Contract Services and (b) the concerned erection/ construction group at the Regions/ Projects/ Stations along with a copy of BG. For guarantees issued against site/regional headquarters awarded packages, the guarantees shall be retained by the Finance Departments of site/regional headquarters respectively, after verification.

7.2 The BG shall be kept under safe custody by the Head of Finance Department in the concerned Project/Station/Region and Sectional Head (Finance) in case of Corporate Centre. If necessary, he may authorise any officer under him to keep the Guarantee in safe custody, subject to his control and supervision. The same should be kept in fire-proof almirah.

7.3 In order to facilitate proper recording and monitoring the validity of BGs record of all the BGs, shall be kept by the concerned Finance Deptt. in a Control Register called 'REGISTER OF BANK GUARANTEES' containing the following information:

1. Sl. No.
2. Name of the Project
3. Contract Reference
4. Name of the Package
5. Name & Address of Contractor with Telephone No. (if any)
6. Name & Address of the Bank issuing the Bank Guarantee with Telephone No.
7. Bank Guarantee No. and Date
8. Amount of Bank Guarantee
9. Date of validity/ expiry of Bank Guarantee
10. Date of validity of the Extension of the Guarantee, if any
11. Date of Invocation of Bank Guarantee
12. Date of Release of Bank Guarantee
13. Remarks

7.4 The Authorized Officer in Finance & Accounts shall review the Register every month and initiate action of ascertaining from concerned Department, at least three (3) months in advance of the expiry of the validity of the Bank Guarantee, whether the BG needs to be extended / invoked or not. It may be important to note that the Bankers are not obliged to make payment after the date of expiry of the validity of the Bank Guarantee. Hence, timely action for extension/ invocation of the Bank Guarantee, wherever required, is essential. A computerized system may be developed by Finance wherever not existing, in this regard, to facilitate constant monitoring and to take advance action.

7.5 In case Bid Security is submitted in the form of Bank Guarantee by the Bidders alongwith the Bid, the executive concerned responsible for procurement in the Corporate Contracts & Materials, Corporate HR, Contracts & Materials Department at Regions/ Project/ Station or any other Department undertaking the procurement activity, shall be responsible for safe custody of such BGs submitted by the Bidders for Bid Security. However, demand drafts/pay orders/banker's cheques submitted by the bidders towards Bid Security shall be sent to Finance Department for encashment, immediately upon opening of Technical bids.

8.0 EXTENSION / INVOCATION OF BANK GUARANTEES (BGs)

8.1 In respect of BGs towards Bid Security, the Concerned Executive shall be responsible for seeking extension of BG, whenever required. In case a need arises to invoke the BG submitted by a bidder towards Bid Security, the Concerned Executive shall obtain approval of the Competent Authority (as defined in para 8.6 below) and shall take necessary action for invocation of BG including issue & delivery of Invocation Letter,

receipt of amount etc. The Concerned Executive, while seeking approval of Competent Authority for encashment of BG, shall also simultaneously obtain approval for filing caveat petition under Section 148A of CPC in consultation with Law Department in the court of competent jurisdiction so that the bidder may not be able to obtain ex-parte injunction order.

Further, in cases where bid security has been received in the form of demand drafts/pay orders/banker's cheques which has already been encashed in terms of Para 7.5 above, and if a need arises to forfeit the said bid security amount, the Concerned Executive in such case shall obtain approval of the Competent Authority (as defined in para 8.6 below).

8.2 A list of all BGs expiring within next three (3) months (except BGs towards Bid Security) shall be prepared by the concerned Finance Department and forwarded to the following by tenth day (10th) of every month to the concerned HODs mentioned below:

a) HOD of concerned Corporate Contracts/Material Group – For Contracts awarded in foreign currency on foreign parties by Corporate Contracts and all Contracts awarded by Corporate Materials Deptt.

b) HOD of concerned Corporate Engineering/ other Corporate Deptt. executing the Consultancy Contract – For Consultancy Contracts awarded by Corporate Contracts.

c) Concerned HOD of Project Department at site (during setting-up of Project)/ Concerned Head of Contracts & Materials Department at Station (during O&M/ R&M stage) - For (a) all BGs held by Site Finance and (b) Bank Guarantees denominated in foreign currency, or denominated partly in foreign currency and partly in Indian currency which are held at Corporate Finance.

d) HOD of Regional C&M Deptt – For BGs held by Regional Finance.

e) AGM(HR) at Corporate Centre - For Contracts awarded by Corporate HR.

The above list of BGs should clearly indicate BGs expiring during current month, and during next two (2) months period.

8.3 Based on such list of BGs, if the status of supply/ work warrants further extension of the validity of BG, the concerned HODs mentioned at Para 8.2 (a), (b), (c), (d) or (e) above shall initiate action for obtaining/ procuring suitable extension of BG from the Contractor under advice to the concerned Finance Department. Extension of BG should be on Stamp paper of same value as that of the original BG. A copy of the communication by concerned HODs to the Contractor regarding extension of BGs shall be sent to Finance Department at least sixty (60) days before the expiry of the validity period of BG.

8.4 Simultaneously, Finance Department shall lodge a conditional claim as per the prescribed format enclosed (**Annexure-VII**) thirty (30) days prior to the date of expiry of the validity of BG. A copy of such claim letter shall also be forwarded to concerned HODs as per para 8.2 above. The conditional claims shall be followed up by Finance

Deptt and a reminder shall be sent to the concerned bank fifteen (15) days prior to expiry of the BG.

8.5 In case, no intimation is received from the concerned department even thirty (30) days before the expiry of the validity period of BG, the Finance Department shall put up an exception report to ED(CC&M)/ ED(Engg)/ ED(HR)/ ED (Region)/ Head of the concerned Project or Station, in respect of cases pertaining to respective departments. ED(CC&M)/ ED(Engg)/ ED(HR)/ ED (Region)/ Head of the concerned Project or Station shall discuss the exception Report with the concerned HODs. The concerned department [as per para 8.2 (a) to (e) above] shall ensure that no BG is allowed to lapse other than in cases where the BG is to be released and no further extension of the BG is required.

8.6 Based on Review by ED(CC&M)/ ED(Engg)/ ED(HR)/ ED (Region)/ Head of the concerned Project or Station, the concerned HODs shall initiate action for seeking approval of Competent Authority for invocation, wherever decided. Competent Authority for obtaining approval of encashment of BG shall mean the authority competent to award the contract under the Delegation of Power but for the specific purpose of invoking the Bank Guarantee(s) he shall not be an executive lower in rank than General Manager or Head of Project (as the case may be). In case where Board of Director/Sub-Committee of the Board is the competent authority for approving the contract, the Competent Authority for the purpose of invoking the Bank Guarantee shall be Director (Projects)/Director (Operations) who will exercise this power in consultation with ED (CC&M) (Refer IOM no. 01:SEC:DOP dated 11/01/2011 from Company Secretary enclosed as **Annexure-VIII**).

8.7 While initiating the proposal for encashment of BG, the approval for filing caveat in the court of competent jurisdiction, wherever required, shall also be taken. The Concerned HOD, after obtaining approval of Competent Authority for invocation, shall advise the Finance Deptt. for encashment of the BG(s) positively within seven (7) days prior to the expiry of validity of the BG, so as to enable Finance Deptt. lodge a formal claim for encashment of BG and ensure receipt of money before the expiry of the BG. However, in case the extension to the BG has been furnished by the Bank before the expiry of BG, Finance Department shall not pursue the claim for receipt of payment.

8.8 To prevent the party from obtaining an ex-parte stay order against NTPC for encashment of BG, it should be ensured that caveat petition under Section 148A of CPC is filed in the Court of Competent Jurisdiction (s) in consultation with Law Department, at the time of invocation of Bank Guarantee. The action of filing caveat petition should be taken simultaneously along with lodging of invocation claim by the concerned HOD with the approval of Competent Authority.

8.9 The BG Invocation Letter as per sample enclosed (**Annexure-IX**) duly signed by the "Authorized Signatory", along with the original Bank Guarantee, shall be handed over personally by Finance Department to the Branch Manager of the Bank which has issued the Bank Guarantee. A copy of the letter shall also be sent by Registered/Speed A.D. post to the Head Office of the concerned bank. The delivery of BG Invocation Letter and original BG to the concerned bank should be ensured against proper acknowledgement well in advance before the expiry of its validity. In case of unconditional BG (as prescribed in General Conditions of Contracts (GCC) of Bid Documents) mere demand

to Bank through BG Invocation Letter is sufficient. However, to avoid legal complications, the invocation of such bank guarantees should also be resorted to by a mode mentioned above (i.e. Invocation Letter along with original BG).

If any Bank refuses to make payment, the Contract Department shall be informed accordingly by Corporate Finance Department.

8.10 The "AUTHORIZED SIGNATORY" for the purpose of signing the Bank Guarantee Invocation Letter shall be as under:

For Corporate Centre	:	**AGM (F) or above**
For Project/Station/Region	:	**HOD (F)**

8.11 In order to safeguard the interest of NTPC, if the Bank concerned which had issued the Bank Guarantee is avoiding/ refusing to honour its contractual obligations and liability under the terms of BG, the matter should be taken up by GM(Finance)/ ED(Finance)/ Head of Project or Station/ ED (Region) with the highest authority of the concerned Bank, both at the issuing Branch as well as the Head Office, and with the Reserve Bank of India whose guidelines on the subject are mandatory in nature and every bank has necessarily to comply with them.

8.12 In the event of Bank's ultimate failure to honour its commitment according to the terms of the Bank guarantee in letter and spirit, Finance Department as a last resort shall put up proposal for seeking permission of the Competent Authority for filing suit/writ petition as the case may be against the Bank in the Court of Competent Jurisdiction, well within the period of limitation. The Competent Authority for approval of such proposal shall be as under:

		Competent Authority
1) In cases where the Contract was awarded by the authorities below the level of Board or Sub-Committee of the Board as per DOP	:	**ED(Fin.)/GM(F)/ Head of Project or Station/ ED (Region)**
2) In case Board or Sub Committee of the Board is the authority competent to award the Contract	:	**CMD**

For initiating any legal action against Public Sector Bank prior permission/clearance shall be obtained from Committee on Disputes by the concerned Finance Department in consultation with Corporate Legal Department.

8.13 These court cases should be thoroughly prepared by the Finance Department in consultation with Head of Law Section (in case of cases pertaining to Corporate Centre) or Law Officer at the concerned Project/ Station/ Region (in case of cases pertaining to Project/ Station/ Region) and other Local Advocates supported by documentary and oral evidence. The same should also be effectively followed up in the court proceedings. Wherever required, the affidavit may be filed by HODs of the concerned department

after seeking necessary details from Finance Department. The authorized officer for signing the affidavits should be of the rank not lower than AGM.

8.14 It should be ensured that under no circumstances the period of limitation for taking legal action under the Bank Guarantee is allowed to lapse. The period of limitation prescribed under the Limitation Act is three (3) years from the date of cause of action arising in terms of the Bank Guarantee.

8.15 Invocation of BG of Public Sector Enterprises (PSEs)/ Govt. Deptt.

Deptt. of Public Enterprises (DPE), Ministry of Industry vide their Office Memorandum no. 4 (1)/2011-DPE (PMA)-GI dated 12.06.2013 (copy enclosed at **Annexure X**) have advised that encashment of Bank Guarantees furnished by PSEs should be done as a last resort when efforts to resolve the differences/ disputes failed and that too after giving due notice/ information to the concerned PSEs.

In view of the above, it has been decided that in case of all Contracts entered into by NTPC with PSEs, in the event it becomes necessary for effecting encashment of any Bank Guarantee under the Contract, notice of default under relevant provisions of the Contract must be given to the concerned PSE before effecting encashment of the Guarantee. Such period of notice may be around thirty (30) days.

9.0 RELEASE OF BID SECURITY, CONTRACT PERFORMANCE SECURITY AND OTHER BANK GUARANTEES (BGs)

9.1 RETURN OF BID SECURITY/EMD

9.1.1 In case of **Single Stage Single Envelope** bidding process, the Bid Security of the unsuccessful Bidders shall be returned immediately after placement of award on the successful bidder.

In case of **Single Stage Two Envelope** and **Two Stage** bidding process, the Bid Security of the Bidders whose Technical Bid has not been found acceptable, shall be returned along with letter communicating rejection of Technical Bid. The Bid Security of the Bidders who are unsuccessful after opening of Price Bids shall be returned immediately after placement of award on the successful bidder.

In cases where after approval of award recommendation by Competent Authority, the placement of award is delayed, the bid security of the unsuccessful Bidders in such cases shall be returned not later than two (2) weeks after approval of award recommendation.

9.1.2 The Bid Security of the Successful Bidder on whom the award is placed will be returned when such Bidder has signed the Contract Agreement and has furnished the required Contract Performance Guarantee (CPG)/ Security Deposit (as applicable). The cases where Contract Agreement is not signed i.e. O&M Packages, Purchase Orders etc, the Bid Security shall be returned on placement of order and furnishing of CPG/Security Deposit by the contractor, as applicable.

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9.1.3 In cases where the Bid validity and extension of bid security is sought from the bidders due to delay in award of Contract, there may be cases where the bid validity and/or validity of bid security is not extended by some of the bidders. In such cases, Bid Security of the bidder shall be returned on expiry of its bid validity or bid security, whichever is earlier.

9.1.4 The Concerned Executive will be responsible for the prompt return of Bid Security on fulfillment of the conditions mentioned at para 9.1.1, 9.1.2 and 9.1.3 above.

9.2 RETURN OF OTHER BGS INCLUDING CPGs

All other BGs (i.e. other than Bid Security) should be released on their expiry [including extension of validity period, if any] and after receipt of approval of Competent Authority for release of the said BGs from the concerned executive. The competent authority for release of BGs shall be as under:

		Competent Authority
1) For BGs held at Corporate Finance - In respect of Contracts awarded by Corporate Contract Services/ Corporate Materials[#]	:	**GM(CS)/GM(CM)[#]**
2) For BGs held at Corporate Finance - In respect of Contracts awarded by Corporate HR	:	**ED(HR)**
3) For BGs held at Site/ Region		
(a) In respect of Contracts awarded by Site/ Region	:	**Head of Project/ Station and ED(Region), as applicable**
(b) In respect of Contracts awarded by Corporate Contract Services	:	**Head of Project/ Station**

 # In case of consultancy contracts, the approval shall be processed based on the recommendation from HOD of concerned Corporate Engineering/ other Corporate Deptt. executing the Consultancy Contract

The BGs on their release shall be forwarded by the Finance Department to the concerned HODs as listed in para 8.2 above (for being returned to the contractor) However, before returning such BGs, the contract closing procedures with regard to issuance of CCP-13 should be strictly adhered to by Finance Department.

10.0 MONITORING MECHANISM

10.1 **MONITORING OF BGs ALREADY EXPIRED/EXPIRING WITHIN THREE MONTHS**

The Finance Department shall prepare a list of all expired BGs in the first week of every month and forward the same to Concerned Executive for their review and advice. In

case no advice is received from Concerned Executive within one month of issue of such list, the Finance Deptt. shall put up the details to ED(CC&M)/ ED(Engg)/ ED(HR)/ ED (Region)/ Head of the concerned Project or Station, as the case may be, for a suitable decision. ED(CC&M)/ ED(Engg)/ ED(HR)/ ED (Region)/ Head of the concerned Project or Station shall ensure that a decision regarding release of the BGs is taken within the next 15 days in respect of BGs pertaining to their department. All cases of expired BGs shall also be discussed at the Monthly Finance Review Meeting to be taken by the ED (Region) / Head of the Project or Station. In case no advice is received by the Finance Department, the original expired BG shall be forwarded to Concerned Executive for taking further necessary action in the matter.

10.1.1 The approval for release of BGs shall be taken promptly by the concerned HODs mentioned at Para 8.2 above. However, in certain exceptional circumstances, if such approval is not received by the Finance Department within three months from the expiry of the BG, the Finance Deptt shall follow the procedure as per Para 10.1 above for dealing with such expired BGs.

10.2 **MONITORING OF RELEASE OF BID SECURITY**

The release of Bid Security in line with the provisions as mentioned at Para 9.1 shall be monitored by GM(CS)/GM(CM)/GM(HR) at CC, HOD(C&M) at Sites & Regions on quarterly basis for their respective areas and an exception report on the delay, if any, shall be put up to ED(CC&M)/ED(HR) at CC, HOP at Sites and RED at Regions respectively for their review and action.

11.0 Alternate Instruments

In order to reduce the number of bank guarantees to be handled, the requirement of BGs may be avoided in cases where the Security amount is upto Rs. 20,000/- (Rupees Twenty thousand only) in case of purchases and Rs. 50,000/- (Rupees Fifty thousand only) in case of works. In such cases, all efforts should be made to accept other alternative Instruments acceptable to NTPC like Fixed Deposits Receipts (FDRs), Demand Drafts (DDs) etc. towards securities. Procedure for release of these instruments shall be same as defined under Para 9.0 above.

12.0 This issues with the approval of Competent Authority for implementation by all concerned. With the issuance of this circular, the earlier Circular No.672 dated 23.05.2013 and Circular No.643 dated 29.07.2010, shall stand superseded.

Enclosures:

Annexure-I: Standard Clauses of Bid Security
Annexure-II: Bid Security Form
Annexure-III: Form of Extension of Bank Guarantee
Annexure-IV: Check List of BG
Annexure – V: Bank Guarantee Verification / Acceptance Report
Annexure – VI: Letter for verification of Bank Guarantee.
Annexure – VII: Proforma for Lodging Conditional Claims under the Bank Guarantee
Annexure – VIII: Copy of IOM dated 11.01.2011 from Co.Secy.
Annexure – IX: Proforma for Invocation of Bank Guarantee
Annexure - X: Copies of DPE OM dated 12.06.2013

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Annexure-I

STANDARD CLAUSE REGARDING BID SECURITY TO BE INCORPORATED IN BIDDING DOCUMENTS FOR SUPPLY/SUPPLY-CUM-INSTALLATION/SUPPLY-CUM-INSTALLATION-CUM-CIVIL/CIVIL WORKS/O&M PACKAGES AND PURCHASES

I. INSTRUCTIONS TO BIDDERS (ITB)

1.0 **Bid Security**

1.1 The Bidder shall furnish, as part of its Bid, a Bid Security in a separate envelope in the amount and currency as stipulated in the Bid Data Sheet.

1.2 (Applicable for ICB Tenders):

The Bid Security shall, at the Bidder's option, be in the form of a crossed Demand Draft/Pay Order/Banker's Cheque, irrevocable Letter of Credit or a bank guarantee from any of the banks specified in the Bid Data Sheets.

In case of Foreign Bidders, the Bid Security can be from any other Bank also in addition to the Banks specified in the Bid Data Sheets and if the Bank Guarantee is from a Bank not specified in the Bid Data Sheets, then the Bank Guarantee shall be confirmed by any of the Banks specified in the Bid Data Sheets.

The format of the Bank Guarantee or Letter of Credit shall be in accordance with the form of bid security included in the Bidding Documents. Bid Security shall remain valid for a period of forty five (45) days beyond the original Bid validity period and beyond any extension of bid validity subsequently requested under ITB Sub-Clause 13.3.

OR

(Applicable for DCB Tenders):

The Bid Security shall, at the Bidder's option, be in the form of a crossed Demand Draft/Pay Order/Banker's Cheque or a Bank Guarantee from any of the banks specified in the Bid Data Sheets.

The format of the Bank Guarantee shall be in accordance with the form of bid security included in the Bidding Documents. Bid Security shall remain valid for a period of forty five (45) days beyond the original Bid validity period and beyond any extension of bid validity subsequently requested under ITB Sub-Clause 13.3.

1.3 Wherever Bids under Joint Venture route are permitted as per the Qualifying Requirements in the Bidding Documents, the Bid Security by the Joint Venture must be on behalf of all the partners of the Joint Venture.

1.4 In case of Single Stage Single Envelope and Single Stage Two Envelope bidding process, the Bid Security shall be furnished in a separate sealed envelope.

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In case of Two Stage bidding process, the Bid Security (in case of Stage-I (Techno-Commercial Bid) and extension of bid security (in case of Stage-II (Price Bid) shall be furnished in a separate sealed envelope.

Any bid not accompanied by an acceptable Bid Security in a separate sealed envelope shall be rejected by the Employer as being non-responsive and returned to the Bidders without being opened. Further Stage-II (Price Bid) (in case of Two Stage bidding) not accompanied by requisite bid security extension in a separate sealed envelope shall be rejected by the Employer as being non-responsive and returned to the Bidders without being opened.

1.5 In case of Single Stage Single Envelope bidding process, the Bid Security/EMD of the unsuccessful Bidders shall be returned immediately after placement of award on the successful bidder.

In case of Single Stage Two Envelope and Two Stage bidding process, the Bid Security of the Bidders whose Technical Bid has not been found acceptable, shall be returned along with letter communicating rejection of Technical Bid. The Bid Security of the Bidders who are unsuccessful after opening of Price Bids shall be returned immediately after placement of award on the successful bidder.

1.6 **(Applicable for Packages other than O&M Packages and Purchase Orders):**

The Bid Security of the successful Bidder to whom the Contract is awarded will be returned when the said Bidder has signed the Contract Agreement pursuant to ITB Clause 33 and has furnished the required Performance Securities pursuant to ITB Clause 34.

OR

(Applicable for O&M Packages and Purchase Orders):

The Bid Security of the successful Bidder to whom the Contract is awarded will be returned when the said Bidder has furnished the CPG/Security Deposit, as applicable.

1.7 The Bid Security may be forfeited

a) If the Bidder withdraws or varies its Bid during the period of Bid validity;

b) If the Bidder does not accept the correction of its Bid Price pursuant to ITB Sub-Clause 25.2;

c) **(Applicable for Single Stage Single Envelope Bidding):**

If the Bidder does not withdraw any deviation listed in Attachment-6 at the cost of withdrawal indicated by him;

d) **(Applicable for Single Stage Single Envelope Bidding):**

If the Bidder refuses to withdraw, without any cost to the Employer, any deviation not listed in Attachment-6 but found elsewhere in the Bid;

OR

(Applicable for Single Stage Two Envelope Bidding):

If the Bidder refuses to withdraw, without any cost to the Employer, any deviation, variation, additional condition or any other mention any where in the bid, contrary to the provisions of bidding documents;

OR

(Applicable for Two Stage Bidding):

If the Bidder refuses to withdraw, without any cost to the Employer, any deviation, variation, additional condition or any other mention any where in the Price bid, contrary to the provisions of bidding documents;

e) In the case of a successful Bidder, if the Bidder fails within the specified time limit

i) to sign the Contract Agreement, in accordance with ITB Clause 33, and/or
ii) to furnish the required Contract Performance Guarantee/Security Deposit in accordance with ITB Clause 34

(f) If the bidder/his representatives commits any fraud while competing for this contract pursuant to Fraud Prevention Policy of NTPC.

(g) In case the Bidder/Contractor is disqualified from bidding process in terms of Section 3 and 4 of Integrity Pact.

II. BID DATA SHEET (BDS)

a) **Amount of Bid Security : INR ..... (Indian Rupees ..... only) or USD ..... (US Dollar ..... Only)*.**

* BID SECURITY IN USD IS APPLICABLE IN CASE OF ICB TENDERS ONLY.

INSTRUCTIONS FOR CONCERNED EXECUTIVE:

1. *While incorporating the above provisions in the Bidding Documents, the concerned executive should verify the Clause/Attachment nos. with reference to the specific bidding documents being used for the package.*

2. *In case of Purchases, provisions as per Para 1.7(e)(i) are not to be incorporated.*

3. *The provisions at Para 1.7(c) and 1.7 (d) are to be incorporated for the category of documents for which they are applicable.*

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Annexure-II

Bid Security Form
(For Supply/Supply-cum-Installation/Supply-cum-Installation-cum-Civil /Civil Works Packages and Purchases)

Bank Guarantee

Bank Guarantee No. .....
Date.....

To :

NTPC Ltd.
[Employer's Name and Address]

Dear Sirs,

In accordance with Invitation for Bids under your Bid Document No. ....., M/s .....(***)..... having its Registered/Head Office at .....hereafter called the 'Bidder') wish to participate in the said bid for *[Name of Package]*.....

As an irrevocable bank guarantee against Bid Security for an amount of .....(*).....valid for.....days from.....(**).....required to be submitted by the Bidder as a condition precedent for participation in the said bid which amount is liable to be forfeited on the happening of any contingencies mentioned in the Bidding Documents.

We, the .....*[Name & address of the Bank]*.....having our Head Office at.....(#).....guarantee and undertake to pay immediately on demand by.....*[Name of the Employer]* (hereinafter called the 'Employer').....the amount of .....(*).....without any reservation, protest, demand and recourse. Any such demand made by the 'Employer' shall be conclusive and binding on us irrespective of any dispute or difference raised by the Bidder.

This Guarantee shall be irrevocable and shall remain valid upto .....(@)..... If any further extension of this guarantee is required, the same shall be extended to such required period (not exceeding one year) on receiving instructions from M/s.....(***).....*[Bidder's Name]*..... on whose behalf this guarantee is issued.

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In witness whereof the Bank, through its authorised officer, has set its hand and stamp on this.....day of.....20.....at.....

.....
(Signature)

.....
(Name)
.....
(Designation with Bank Stamp)

Authorised Vide
Power of Attorney No.....
Date.....

NOTE : 1. (*) The amount shall be as specified in the bidding documents.

(**)This shall be the date of opening of bids.

(#) Complete mailing address of the Head Office of the Bank to be given.

(@) This date shall be forty five (45) days beyond the validity of bid.

(***) Write the name and addresses of all the Joint Venture partners, in case the bid is submitted by a Joint Venture in terms of Qualifying Requirements.

2. The Bank Guarantee (BG) shall be from a Bank as per provisions of the bidding documents.

3. The BG should be on Non-Judicial stamp paper/e-stamp paper of appropriate value as per Stamp Act prevailing in the State(s) where the BG is submitted or is to be acted upon or the rate prevailing in the State where the BG is executed, whichever is higher. The Stamp Paper/e-Stamp paper shall be purchased in the name of Bidder/Bank issuing the guarantee.

4. While getting the Bank Guarantee issued, Bidders are required to ensure compliance to the points mentioned in Bank Guarantee Verification Check List in the bidding documents. Bidders are required to fill up this Check List and enclose the same along with the Bank Guarantee.

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Annexure-III

FORM OF EXTENISON OF BANK GUARANTEE

Ref.No.: Date:
@ _____

Dear Sirs,

Subject : Extension of Bank Guarantee No._____dated _____for .....[indicate value of bank guarantee].....favouring yourselves expiring on _____ on account of M/s..... (Name of Bidder).....in respect of Contract for (Insert Package name) _____(Insert Project Name) _____project, Contract No._____dated _____
(hereinafter called original Bank Guarantee)

At the request of M/s_____ we _____ Bank branch office at _____ and having its Head office at _____ do hereby extend our liability under the above mentioned guarantee No._____ _____dated for a further period of _____year/months from _____ to expire on _____.

Except as provided above, all other terms and conditions of original Bank Guarantee No._____dated_____ shall remain unaltered and binding.

Please treat this as an integral part of the original guarantee to which it would be deemed to have been attached.

.....
(Signature)
.....
(Name)
.....
(Designation with Bank Stamp)

Authorised vide
Power of Attorney No.....
Date.....

Dated _____

SEAL OF BANK
Note:
1. @ The extension of the Bank Guarantee should be forwarded to the Unit/Project/Corporate Centre, from where the extension has been sought.
2. The extension of BG should be on Non-Judicial stamp paper/e-stamp paper of appropriate value as per Stamp Act prevailing in the State(s) where the BG is submitted or is to be acted upon or the rate prevailing in the State where the BG is executed, whichever is higher. The Stamp Paper/e-Stamp paper shall be purchased in the name of Bidder/Bank issuing the guarantee.

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Annexure-IV

CHECKLIST

S.No.	Details of checks	YES / NO
1	Is the BG on non-judicial stamp paper/e-stamp paper of appropriate value, as per Stamp Act?	
2	Whether date, purpose of purchase and name of the purchaser are indicated on the stamp paper? (The date of purchase of stamp paper should be of any date on or before the date of execution of BG and the stamp paper should be purchased either in the name of the executing Bank or the party on whose behalf the BG has been issued. The stamp papers (other than e-stamp paper) should be duly signed by the stamp vendor.)	
3	In case of BGs from Banks abroad, has the BG been executed on Letter Head of the Bank?	
4	Has the executing Officer of BG indicated his name, designation and Power of Attorney No./ Signing Power no. etc., on the BG?	
5	Is each page of BG duly signed /initialed by executant and whether stamp of Bank is affixed thereon? Whether the last page is signed with full particulars under seal of Bank as required in the prescribed proforma?	
6	Does the Bank Guarantees compare verbatim with the Proforma prescribed in the Bid Documents?	
7	Are the factual details such as Bidding Document No./Specification No., Amount of BG and Validity of BG correctly mentioned in the BG?	
8	Whether overwriting/cutting if any on the BG have been properly authenticated under signature & seal of executant?	
9	Whether the BG has been issued by a Bank in line with the provisions of Bidding documents?	
10	In case BG has been issued by a Bank other than those specified in Bidding Document, is the BG confirmed by a Bank in India acceptable as per Bidding documents?	

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ANNEXURE-V

NTPC LIMITED

BANK GUARANTEE VERITIFICATION/ACCEPTANCE REPORT

1.	Bank Guarantee No.	
2.	Issuing Bank	
3.	Amount of BG	
4.	Nature of BG & No of Pages	
5.	Validity of BG	
6.	Package Description	
7.	Party & Contracts ref.	Name, Address, Tel, Fax, E-mail
8.	Bank Reference	Name, Address, Tel, Fax, E-mail

CHECK LIST

S.No.	Details of checks	YES / NO
a)	Is the BG on non-judicial stamp paper/e-stamp paper of appropriate value, as per Stamp Act?	
b)	Whether date, purpose of purchase and name of the purchaser are indicated on the stamp paper? (The date of purchase of stamp paper should be of any date on or before the date of execution of BG and the stamp paper should be purchased either in the name of the executing Bank or the party on whose behalf the BG has been issued. The stamp papers (other than e-stamp paper) should be duly signed by the stamp vendor.)	
c)	In case the BG has been executed on Letter Head of the Bank, whether adhesive Stamp of appropriate value has been affixed thereon?	
d)	Has the executing Officer of BG indicated his name, designation and Power of Attorney No./ Signing Power no. etc., on the BG?	
e)	Is each page of BG duly signed /initialed by executant and whether stamp of Bank is affixed thereon? Whether the last page is signed with full particulars under seal of Bank as required in the prescribed proforma?	
f)	Does the Bank Guarantees compare verbatim with the Proforma prescribed in the Bid Documents?	
g)	In case of any changes in contents of text, whether changes are of minor / clerical nature (which in no way limits the right of NTPC in any manner)?	

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h)	In case of deviations in text of BG, which materially affect the right of NTPC, whether the changes have been agreed based on the opinion by Legal Department or BG is considered acceptable on the basis of opinion of Law Department already available on the similar issue.	
i)	Are the factual details such as Bid Document No., NOA/ LOA/ Contract No., Contract Price, Percentage of Advance, Amount of BG and Validity of BG correctly mentioned in the BG?	
j)	Whether overwriting/cutting if any on the BG have been properly authenticated under signature & seal of executant?	
k)	Whether the BG has been issued by a Bank in line with the provisions of Bid/Contract documents?	
l)	In case BG has been issued by a Bank other than those specified in Bid/Contract Document, is the BG confirmed by a Bank in India acceptable as per Bid/Contract documents?	

Certified that the Bank Guarantee submitted has been verified and accepted in line with the prescribed procedure.

Name & Signature of Package Incharge
in concerned deptt.* (with date)
Tel No.....

#Approved for acceptance of BG in
concerned deptt.* **(with date)**

BG verified from the issuing Bank

Dealing Executive in Finance

E5/E6 (Finance)

Note:
* The concerned department may be Contracts/ Materials/ Corporate HR
# The BG shall be approved by the same level as identified in the DOP for authorizing payments. However, the BG shall not be approved at a level lower than the concerned Group Head.

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ANNEXURE-VI

PROFORMA FOR VERIFICATION OF BANK GUARANTEE

No. Dated :

The Branch Manager
.....
.....

Subject: Bank Guarantee No.....dated.....for ....(amount in figures and words)....

Dear Sir,

We have received a Bank Guarantee under your signature bearing no.....dated.....for ....(amount in figures and words).....on behalf of .....as Bid Security/Advance Payment Guarantee/Contract Performance Guarantee/ other (to be specified)*** submitted by .....(mention name and address of the contractor/supplier) in respect of the Contract No.....dated.....The captioned guarantee is valid upto .....

You are requested to kindly return the second copy of the letter by registered post certifying under your Bank's seal that the above mentioned Bank Guarantee has been properly executed and issued by you or by an authorized officer of the Bank.

Yours faithfully,
For NTPC Ltd.

( )
Name .....
Designation .....

(***Delete whatever is not applicable)

CERTIFICATE

Certified that the aforesaid Bank Guarantee has been properly executed by and issued by .....as an authorized officer of the Bank with the particulars mentioned above, which are verified to be correct.

1. Signature .....
2. Name .....
3. Designation with Bank's seal.....
4. Power of Attorney Signing Power No.....

Regd Mail to
Shri .....
NTPC LTD

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ANNEXURE-VII

PROFORMA FOR LODGING CONDITIONAL CLAIMS UNDER THE BANK GUARANTEE
(To be issued within 30 days prior of expiry of Bank Guarantee)

No. Dated:

The Branch Manager
.....
.....

Subject: Conditional Claim under Bank Guarantee No.....dated .....
for ....(amount in figures and words).....valid upto.....

Dear Sir,

Please refer to Bank Guarantee No.....dated.....for ....(amount in figures and words).....valid upto.....issued by you on behalf of .....(mentioned name and address of the contractor/supplier) in our favour towards the Contract No.....dated.....being Bid Security/Advance Payment Guarantee/Contract Performance Guarantee/ other (to be specified) ***

The captioned Bank Guarantee to valid upto.....We do hereby lodge our claim/demand in terms of bank guarantee and call upon you to pay the sum of ....(amount in figures and words).....being the amount covered under the above Bank Guarantee forthwith.

In the event this Bank Guarantee is extended and such letter of extension duly executed on stamp paper of requisite value is received by us, this claim may be treated as withdrawn.

This is without prejudice to our rights under the guarantee and under the law.

Thanking you,

Yours faithfully,
For and on behalf of NTPC Ltd.

(AUTHORISED SIGNATORY)

***Please strike whichever is not applicable

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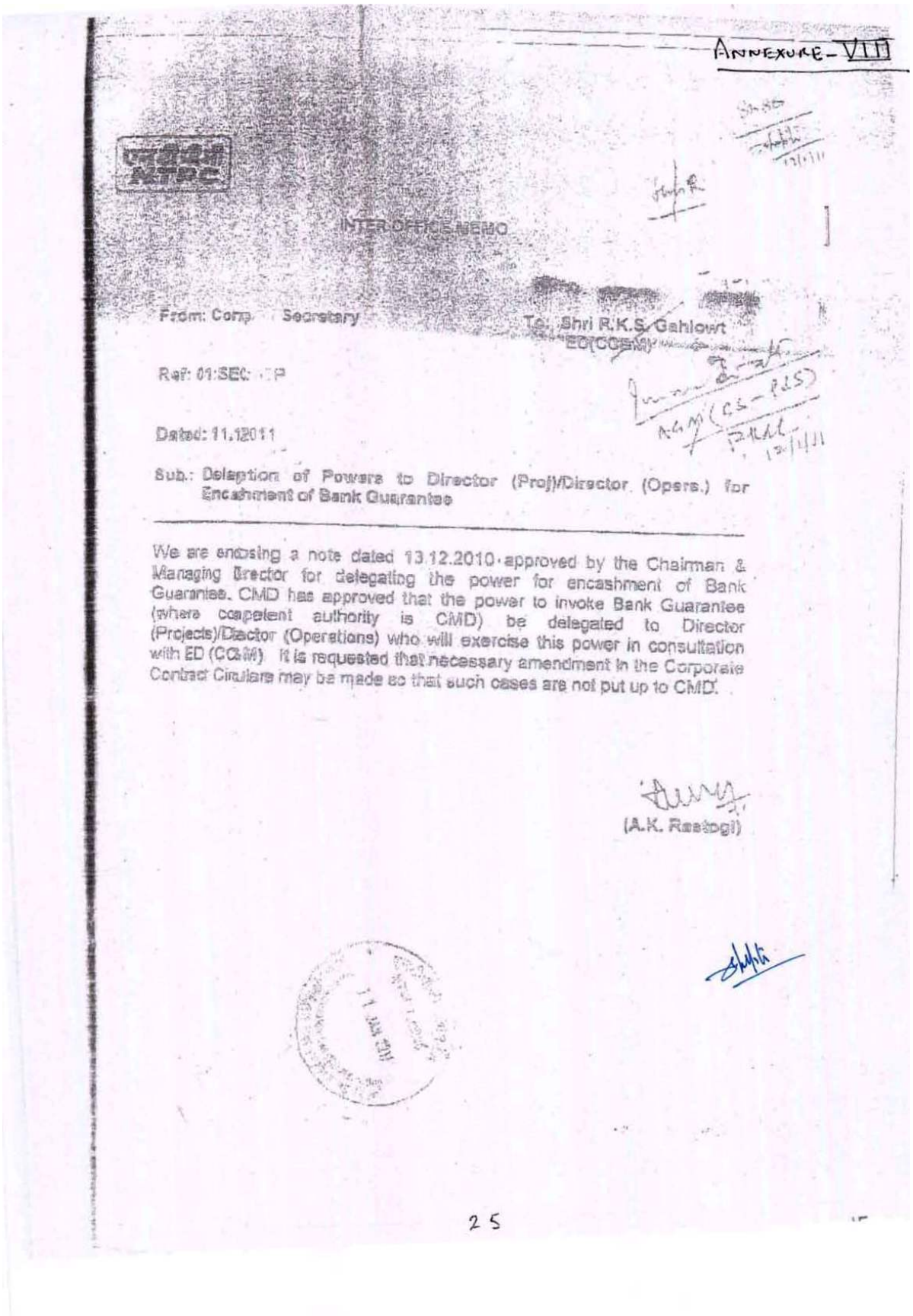

ANNEXURE-VIII

INTER OFFICE MEMO

From: Comp. Secretary

To: Shri R.K.S. Gahlowt
ED(CC&M)

Ref: 01:SEC:CP

Dated: 11.1.2011

Sub.: Delegation of Powers to Director (Proj)/Director (Opers.) for Encashment of Bank Guarantee

We are enclosing a note dated 13.12.2010 approved by the Chairman & Managing Director for delegating the power for encashment of Bank Guarantee. CMD has approved that the power to invoke Bank Guarantee (where competent authority is CMD) be delegated to Director (Projects)/Director (Operations) who will exercise this power in consultation with ED (CC&M). It is requested that necessary amendment in the Corporate Contract Circulars may be made so that such cases are not put up to CMD.

(A.K. Rastogi)

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ANNEXURE-IX

REGD AD/HAND DELIVERY

Ref.No. Date:

PROFORMA FOR INVOCATION OF BANK GUARANTEE
(To be issued before 7 days of expiry of BG to "The Branch Manager" of Bank issuing BG)

The Branch Manager
.....
.....

Subject : Invocation of Bank Guarantee No.....dated.....
for ....(amount in figures and words).....valid upto.....

Dear Sir,

Please refer to Bank Guarantee No.....dated .....for ....(amount in figures and words)..*as extended by letter of extension dated.....issued by you in our favour on behalf of .....(mention name and address of the contractor/ supplier) towards Contract No.....dated.....awarded by NTPC to the Contractor as an Bid Security/Advance Payment Guarantee/Contract Performance Guarantee/ other (to be specified) (#)

In terms of the aforesaid Guarantee, we invoke the said Guarantee and hereby make a demand on you to remit a sum of ....(amount in figures and words)..... together with interest (*) to us immediately by means of Bank Demand Draft in favour of NTPC Limited payable at ..... *This supersedes our conditional claim letter No.....dated.....

Kindly hand over the Bank Demand Draft to the bearer of this letter Shri .....whose signature are attested below. Original Bank Guarantee shall be handed over to you by us at the time of receiving the demand draft from you.

Thanking you,

Signature of
Shri
Attested

(Authorised Signatory)

Yours faithfully,
For and on behalf of
NTPC Limited

(Authorised Signatory)

*Delete the portion in italics if not relevant to the particular case
#Strike whichever is not applicable

Note: (1) A copy of the above letter is also required to be sent to Bank's Head Office
(2) In case of hand delivery acknowledgement of Bank is to be obtained on the duplicate copy.

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ANNEXURE- X

No.4 (1)/2011-DPE (PMA)-GL
Government of India
Ministry of Heavy Industries & Public Enterprises
Department of Public Enterprises
******

Public Enterprises Bhawan
Block No.14, C G O. complex
Lodhi Road, New Delhi-110003
Dated: - 13th June, 2013

OFFICE MEMORUNDUM

Subject:- Settlement of commercial disputes between Public Sector Enterprises inter se and Public Sector Enterprise(s) and Government Department(s) through Permanent Machinery of Arbitrators (PMA) in the Department of Public Enterprises.

Attention is invited towards guidelines No. DPE/4(10)/2001-PMA-GLI dated 22.01.2004 issued by the Department of Public Enterprises (DPE) on the above mentioned subject. A need was being felt for quite some time to revise these guidelines, wherever necessary. After due consideration by the competent authority and in supersession of the existing guidelines on the subject, the new dispensation is as under:

I. CREATION OF PERMANENT MACHINERY OF ARBITRATORS (PMA)

With a view to expedite the settlement of disputes relating to commercial contract(s) between Central Public Sector Enterprises (CPSEs) per se, and also between CPSEs and Government Departments, the Government of India created a Permanent Machinery of Arbitrators (PMA) in the Department of Public Enterprises in 1989. One Legal Adviser-cum-Joint Secretary in the Department of Legal Affairs, nominated by the Law Secretary to function in the PMA is appointed by the Secretary in-charge of Department of Public Enterprises as sole Arbitrator in each case.

II. NEED FOR PMA

There had been growing number of litigations with the Courts/ Tribunals relating to commercial transactions between the Central Public Sector Enterprises (CPSEs) inter se, or CPSEs and Government Departments. The practice of disposal of these cases was not only expensive due to high fees charged by the advocates/lawyers for pleading the cases and other expenses incurred in this regard, but also time consuming. The other prevailing practice of conciliation, arbitration etc. were also ad hoc arrangement and not delivering the goods up to the expectations. With a view to expedite settlement of disputes and reduce avoidable expenditure in this regard, a need was felt to institutionalize the prevailing system of arbitration. Commissions/Committees like Law Commission, Central Vigilance Commission, Committee of Secretaries etc. had also examined this aspect and made certain recommendations/suggestions which were carefully examined in consultation with the Ministry of Law. The Government after due consideration of all aspects, decided to set up the PMA in the Department of Public Enterprises.

III. ENTITLEMENT

(i) In the event of any dispute or difference relating to the interpretation and application of the provisions of commercial contract(s) between CPSEs, Banks, Port Trusts etc. inter se, or CPSE and the Government Department(s) hereto (except a dispute or difference concerning the Railways, Income-tax, Customs and Excise duties), such dispute or difference shall be referred by either party for arbitration to the PMA in the Department of Public Enterprises through the Secretary to the Government of India in-charge of the DPE.

(ii) The mechanism of PMA is primarily meant for Central Government Departments/organizations/enterprises. Therefore, the disputes between State Government

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Departments/organizations will not be entertained by the PMA. However, if in a commercial contract between a CPSE and an SLPE, they agree for arbitration by the PMA for settling their dispute, the PMA guidelines will be applicable on same terms as applicable to CPSEs.

IV. MONETARY LIMIT

There is no monetary limit as such for making reference of disputes to the PMA. However, it would be advisable if the parties exercise their own discretion in this regard as both the parties are to equally pay an initial cost of Rs. 20,000 each for making reference of dispute to the PMA which is non-refundable in any case but will be adjusted with final cost to be fixed by the Arbitrator as per the rates stipulated in a subsequent paragraph. There shall not be much advantage in referring disputes of a small amount of the value of less than Rs. 50,000/- to PMA and such disputes may be settled by the parties by mutual consultation.

V. REFERENCE

(i) As far as possible parties should try to resolve as many points of dispute as they can, amicably by mutual consultation and only those points stating the amount involved be referred to the PMA that could not be settled mutually despite best efforts from both sides. To ensure prompt disposal of dispute(s) by the PMA, both the CPSEs and the Government Departments shall refer the existing dispute(s) to the PMA at the earliest and not later than two months of arising of dispute. If any arbitrator has already been appointed in any dispute that should immediately be cancelled. Both the parties will also ensure inclusion of an Arbitration Clause (if not already done so) in favour of PMA (as given in Annexure) in all the existing and future contracts/supply orders between the parties. PMA shall not entertain the disputes referred to it without proper Arbitration Clause.

(ii) After entering upon the reference, the Arbitrator will call for the papers, comments/statements from the parties and will hear the parties in person as and when he deems necessary. The Arbitrator shall ordinarily fix the meeting in Delhi unless, for reasons to be recorded in writing, he decides otherwise. No outside lawyers shall be allowed to appear on behalf of the parties to argue their cases before the Arbitrator but the parties can take the help of their own full time Law officers. (Subject to the aforesaid, the Arbitrator, and the Law Secretary will determine the procedure as the case may be).

(iii) The Arbitrator will also submit a quarterly report to the Secretary (DPE) on the number of cases registered, awards published, fee received and general progress of cases.

VI. FEES

(i) The Arbitration cost in respect of a commercial dispute settled through the PMA is required to be shared equally by the concerned disputing parties. In this connection each of the parties to a dispute will be required to make an initial deposit of Rs. 20,000/- when a prima-facie case of dispute is established and the same is approved for referring to the Arbitrator of PMA for settlement. This initial cost will be adjusted in the final cost of Arbitration. The Arbitrator will work out the final cost of Arbitration based on the amount of dispute as per the following formula.

(a) Rs. 40,000 or 1% of the disputed amount up to Rs. 50,00,000, whichever is higher, to be equally shared by the parties.

(b) Rs. 50,000 + ½% of the disputed amount of above Rs. 50,00,000 but up to Rs. 5 crore to be equally shared by the parties.

(c) Rs. 2.5 lakh + ¼% of the disputed amount beyond Rs. 5 crore to be equally shared by the parties.

(ii) The Arbitrator in the PMA will intimate the parties the estimated amount of Arbitration fee to be borne equally by them and paid within a month of intimation to the parties or within such time as may be allowed by the Arbitrator. All payments should be made to the Government of India through Demand Draft in favour of D.D.O., Department of Public Enterprises, payable at New Delhi.

The Secretary, DPE, if he/she considers appropriate, may allow fee concession upto 25% of the total fee worked out for the sick and continuously loss making CPSEs based on the laid down formula, subject to arranging the payment within one month of the order of the Arbitrator in the PMA.

(v) In case any of the parties has made full payment of the fee and the other party has failed despite continuous follow up and as a result of which publication of award is cancelled, the fee in addition to the initial deposit may be refunded to the party concerned. However, Government will not pay any interest on such amount.

If one of the parties fails to pay the arbitration fees and the other party is willing, they may pay the entire arbitration fees.

If one party pays the estimated cost of arbitration fee (to be borne equally by both the parties) of the other defaulting party, this amount will be shown (along with the interest@ 1% per month/12% per annum) in the cost/expenses of arbitration against the defaulting party in the final Award.

VII. COMPROMISE

In case both the parties decide to settle the dispute mutually before the Award is published, they can be allowed to do so. In such case, the initial cost (Rs. 20,000 paid as deposit by each of the parties) shall be forfeited and the case will be finally closed on receipt of details of the settlement arrived at by the parties in writing. In case the parties do not provide requisite details, the Arbitrator may decide to publish the Award and in such a situation the parties will be required to pay the arbitration fee worked out by the Arbitrator.

VIII. NATURE OF AWARD

The Arbitrator shall make his award within six months after entering upon the reference or after having been called upon to act by notice in writing from any party to the arbitration agreement or within such extended time as the parties may allow. The Arbitrator shall make a speaking award. The Award may be published on plain paper. The Arbitrator may also, if he thinks fit, make an interim award.

IX. EXPARTE AWARD

The Arbitrator may make his Award ex-party when a party(ies) fail to furnish the particulars required from them, and/ or do not appear in person in spite of being given two chances to do so. Even in that case, the parties shall be bound to meet the cost of arbitration equally.

X. APPEAL

The Award of the sole Arbitrator under the PMA shall be binding upon the parties to the dispute. The aggrieved party may file an appeal before the Law Secretary within the period as recorded by the Arbitrator in the Award for implementation. This time limit may be kept in view while filing an appeal before the Law Secretary. The Appellate Authority may decide the appeal/revision on merits and set aside or revise the award. The matter cannot be remitted back to the Arbitrator for reconsideration. The Appellate Authority will have the power to revise his/her own decision for rectification of any error or for editorial corrections etc.

Law Secretary, after giving an award on the appeal, will return the records of the case to the PMA. The Arbitrator may also, if he/she thinks fit, make an interim award. However, there shall be no appeal to the Law Secretary against the interim award and both the parties are to await the final award by the Arbitrator.

XI. CHANGE OF ARBITRATOR

In the event of the sole Arbitrator dying, neglecting or refusing to act or being unable to act for any reason, it shall be lawful for the Secretary to the Govt. of India in-charge of the DPE, to appoint another person in place of the outgoing Arbitrator to act as sole Arbitrator. The new Arbitrator so

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appointed shall as far as practicable proceed from the stage where it was left by the outgoing arbitrator.

XII. BANK GUARANTEE

In commercial transactions sometimes a CPSE has to stand Bank guarantee. All CPSEs should effect encashment of bank guarantee only as a last resort when efforts to resolve the differences/ dispute fail and that too, after giving due notice/information to the concerned Public Sector Enterprise. In such situations, all CPSEs should refer the dispute to this Department and cooperate with the Arbitrator of PMA for early settlement.

2. All the administrative Ministries/Departments concerned with management of Central Public Sector Enterprises/Banks/Port Trusts etc. are requested to bring these guidelines to the notice of all concerned organizations under their administrative control for strict compliance. It is also requested that they may ensure and monitor the implementation of the award of the Arbitrator by the parties as per his/her directions. Presidential directives as per Annexure referred to in paragraph 1V(i) above, may be issued to incorporate the provisions in the Articles of Association or other relevant regulations of concerned organization(s) at the earliest.

राकेश भारतीय
12-6-2013

(Rakesh Bhartiya)
Joint Secretary to the Government of India

To
Secretaries of all Ministries/Departments of the Government of India

Copy to

(i) Dr. Gita Rawat, Joint Secretary and Arbitrator of PMA with the request to act as per the new guidelines.

(ii) The Chief Executives of all Central Public Sector Enterprises for information and necessary compliance.

Copies forwarded for information to:

(i) The Prime Minister's Office, South Block, New Delhi
(ii) The Cabinet Secretariat, Rashtrapati Bhawan, New Delhi
(iii) PS to the Minister (HI & PE), Udyog Bhawan, New Delhi
(iv) PS to Secretary (PE)
(v) PS to Finance Secretary, North Block, New Delhi
(vi) PS to Law Secretary, Shastri Bhawan, New Delhi
(vii) JS (Admn)/JS (AKP)
(viii) All officers in DPE

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ANNEXURE to DPE O.M. No. No.4 (1)/2011-DPE (PMA)-GL dated 12th June, 2013

Arbitration Clause to be included in all the commercial contracts entered into by the Public Enterprises/Government Departments etc

In exercise of the powers conferred by Article of the Articles of Association of the (name of the CPSE/Bank/Port Trust etc.)/ Section of the Act of setting up of the (name of the CPSE/Bank/Port Trust etc.), the President of India is pleased to direct that all disputes relating to all commercial agreements (except income tax, customs, excise duty and also concerning Railways) between (name of Company/Corporation/Bank/Port Trust) and (name of another Public Sector Undertaking /Government Department/Bank/Port Trust etc.) shall be referred to the Permanent Machinery of Arbitrators (PMA) set up in the Department of Public Enterprises. The President is further pleased to direct that the following Arbitration Clause shall be included in all current and future contracts/agreements etc. and that in respect of ongoing contracts they should be suitably amended to include such a clause:

"In the event of any dispute or difference relating to the interpretation and application of the provisions of the contracts, such dispute or difference shall be referred by either party for Arbitration to the sole Arbitrator in the Department of Public Enterprises to be nominated by the Secretary to the Government of India in-charge of the Department of Public Enterprises. The Arbitration and Conciliation Act, 1996 shall not be applicable to arbitration under this clause. The award of the Arbitrator shall be binding upon the parties to the dispute, provided, however, any party aggrieved by such award may make a further reference for setting aside or revision of the award to the Law Secretary, Department of Legal Affairs, Ministry of Law & Justice, Government of India. Upon such reference the dispute shall be decided by the Law Secretary or the Special Secretary/Additional Secretary, when so authorized by the Law Secretary, whose decision shall bind the Parties finally and conclusively. The Parties to the dispute will share equally the cost of arbitration as intimated by the Arbitrator".

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NATIONAL THERMAL POWER CORPORATION LTD.

(CONTRACT SERVICES – PLANNING & SYSTEMS GROUP)

Ref. No.: CS-QS-C-556 **Date: 30.03.2001**

CIRCULAR NO. 556

Sub.: Approval of Bidding Documents by the Competent Authority before Issuance to Bidders

1.0 As per Contracts' System Circular No. 352 dated 05.09.1986, the package specific provisions to be stipulated in various sections of the bidding documents which inter alia include the General Conditions of Contract (GCC), Bid Proposal Sheets (in case of ICB tenders these are now being known as "Bid Form, Price & Other Schedules"), Special Conditions of Contract (SCC) etc are to be approved by GM (CS), before being issued to the bidders.

2.0 Similarly, the Technical specifications for a specific package which inter alia include the scope of work, BOQ/Schedule of Quantities etc. and form part of the bidding documents are to be approved by GM (CE)/ GM (PE) as per the above Circular No.352.

3.0 It has been informed by Vigilance Department that CTE's (Chief Technical Examiner of CVC) Organisation, in one of its report had observed that competent authority's approval on the NIT as a whole i.e. Schedule of Quantities, GCC, Special Conditions of Contract etc, was not obtained. Vigilance Deptt. has further observed that although the estimate containing Schedule of Quantities is got approved by the competent authority, no approval is taken regarding the other documents viz. GCC, Special Conditions of Contract, Technical Specifications etc since these are standard documents, but even in these documents certain conditions may get added or deleted on case to case basis and some new clauses may also be required to be included depending upon circumstances involved in any particular package.

4.0 Whereas the procedure for approval of bidding documents outlined at para 1.0 & 2.0 above mainly relates to packages to be awarded by Corporate Contracts, no such procedure for approval of the bidding documents for each specific package is being followed in case of tenders for equipment/materials, works and services by project sites.

5.0 It has, therefore, been decided that in case of tenders for equipment/materials, works and services by project sites also, in addition to the approval of competent authority to be obtained for calling of tenders/issuance of NIT in terms of the 'Delegation of Powers', the tender specific provisions to be incorporated in various sections of the bidding documents including NIT, Instruction to Bidders, GCC, Special Conditions of Contract, Tender/Bid Forms etc should be approved for each tender by the competent authority before issuance of NIT/calling of tenders. The tender specific provisions, as above, in case of tenders where the approving authority for award of contract is up to the level of GM(Project)/ED(Region), shall be approved by the 'Head of Contracts & Materials' of the project concerned. In case of tenders requiring approval for award of contract above ED level, the tender specific provisions in such cases would required to be approved by

GM(Project). The proposal for approval of tender specific provisions in each case shall clearly bring out the provisions proposed to be stipulated and shall be required to be concurred by Site Finance before approval of the Competent Authority as above. The standard section of the bidding documents i.e. General Conditions of Contract for different types of contracts shall, however, be based on the document being used by Corporate Contracts from time to time.

5.1 The technical sections of the bidding documents such as Schedule of Quantities, Technical Specifications/Tender Drawings etc should be approved in the originating department, before being incorporated in the bidding/tender documents, at the same level as competent to approve the commercial sections of the bidding documents as per para 5.0 above.

6.0 For packages to be awarded by Corporate Contracts, in addition to the approval of competent authority to be obtained for calling of tenders/issuance of NIT/IFB in terms of the 'Delegation of Powers', the existing system of approval of bidding documents in terms of Circular No. 352 should be scrupulously followed in each case.

7.0 This issues with the approval of ED (CC&M) and comes into force with immediate effect for compliance by all concerned.

(Anil Agrawal)

DGM (CS/P&S)

NTPC Limited

Corporate Materials Management

The General process of Procurement through GeM Module

- At GeM Contract is for Single Product to Single Consignee.
- Registration of Organisation/Primary User

  At NTPC, each Project/Station/RHQ shall be individual office and the Primary user may be C&M executive nominated by HOP/RED. At CC nomination by ED(HR). This registration is Aadhar based. The registration form of Primary User is required to be sent to DGS&D for approval and creating the login.
- Payment method shall be either SBI gateway or NEFT/RTGS. This shall be decided while registering itself.
- Secondary Users

  The Primary User shall create secondary users (all Aadhar based).

  - Buyer: Buyer shall be executive in C&M/Indentor at RHQ/Site/Project/Station and HR/indentor/C&M at CC.
  - Consignee: Consignee shall be executive in Stores.
  - Paying Authority: Paying Authority shall be executive in Finance.
- Items and Services for which enlistment has been done shall not be procured through GeM.
- Items which are reserved for procurement from MSE as per MSME Act shall be procured as per the Act only.
- Requisition from Indentor with specification.
- Indentor to confirm procurement can be done from GeM after analyisng products available on the GEM.
- To arrive at the technical suitability, after opening of Bid, the technical clarifications, if required are to be taken from the bidder outside GeM.
- Simultaneously, in case seller is not having a SAP vendor code at NTPC, the same needs to be created. EFT and other details shall be obtained from Seller/Bidder.
- The procurement will be as per terms and conditions available at GeM.
- Placement of Contract shall be after Technical acceptance and Finance concurrence as per NTPC procedure.
- Material Return on rejection shall be done on GeM as per their process guidelines.
- Timelines of the portal shall be strictly adhered to.
- A demand for goods shall not be divided into small quantities to make piecemeal purchases to avoid procurement through L-1 Buying / bidding / reverse auction on GeM or the necessity of obtaining the sanction of higher authorities required with reference to the estimated value of the total demand.

NTPC Limited

Corporate Materials Management

- **Process in SAP:**
  - **For PO upto Rs. 50,000/- and Item rate less than Rs. 5,000/- each**
    - Indentor shall be buyer
    - PO shall be created on GeM and copy send to Stores-Receipt Section.
    - PO is required to be created in SAP by buyer.
    - Material will be received by Consignee ie Stores against GeM PO
    - Consignee shall upload Provisional Receipt Certificate (PRC) on GeM portal
    - Indentor to inspect the material and provide Acceptance/Rejection to Consignee ie Stores-Receipt Section.
    - Material will be collected by Indentor from Consignee
    - Consignee shall issue Consignee Receipt and Acceptance Certificate (CRAC) on GeM.
    - Indentor shall do invoice parking against SAP PO and forward to Finance for release of payment with copy of Invoice and CRAC.
    - Finance shall make entry of payment alongwith deduction, if any, on the GeM portal and release payment.
  - **For PO upto Rs. 50,000/- or item rate more than Rs. 5,000/- each**
    - Indentor shall be buyer
    - PO shall be created on GeM and copy send to Stores-Receipt Section.
    - PO is required to be created in SAP by buyer.
    - Material will be received by Consignee ie Stores against GeM PO
    - Consignee shall issue Provisional Receipt Certificate (PRC) on GeM portal and unloading can be created against SAP P.O.
    - Store shall create SRV.
    - Indentor to inspect the material and provide Acceptance/Rejection in SAP.
    - Material will be collected by Indentor from store against SIV.
    - Consignee shall issue Consignee Receipt and Acceptance Certificate (CRAC) on GeM.
    - Consignee shall do invoice perking against SAP and forward to Finance for release of payment with copy of Invoice, CRAC (if print is available) and SRV.
    - Finance shall make entry of payment alongwith deduction, if any, on the GeM portal and release payment.

NTPC Limited

Corporate Materials Management

- **For PO above Rs. 50,000/- and upto Rs. 5,00,000/-**
  - C&M shall be buyer
  - PO shall be created on GeM and copy send to Stores-Receipt Section.
  - PO is required to be created in SAP by buyer and copy send to Store alongwith copy of GeM PO.
  - Material will be received by Consignee ie Stores against GeM PO
  - Consignee shall issue Provisional Receipt Certificate (PRC) on GeM portal and unloading can be created against SAP P.O.
  - Store shall create SRV.
  - Indentor to inspect the material and provide Acceptance/Rejection in SAP.
  - Material shall be transferred to custody section against acceptance of material.
  - Consignee shall issue Consignee Receipt and Acceptance Certificate (CRAC) on GeM.
  - Consignee shall do invoice parking against SAP and forward to Finance for release of payment with copy of Invoice, CRAC (if print is available) and SRV.
  - Finance shall make entry of payment alongwith deduction, if any, on the GeM portal and release payment.

एनटीपीसी लिमिटेड
(भारत सरकार का उद्यम)
NTPC Limited
(A Govt. of India Enterprise)

केन्द्रीय कार्यालय/ Corporate Centre

Ref. No. 01: SEC: D: 5(A)

Date: 21.6.2017

Office order no. - 362/2017

Sub: Amendment of Procurement and Works Policy regarding Procurement at Government e-Marketplace (GeM)

In pursuance of the Board Resolution dated 29th May 2017, the following provision under clause E in Procurement and Works Policy for Procurement at Government e-Marketplace (GeM) is added.

"Procurement at Government e-Marketplace (GeM)

Government e-marketplace (GeM) portal can also be utilized for procurement of Goods or Services listed there except those goods and services for which enlistment has been done at NTPC as under:-

(i) Direct procurement can be made through any of the available suppliers on the GeM, meeting the requisite quality, specification and delivery period up to value specified in the DOP.

(ii) Procurement can be made through tools for online bidding and/or online reverse auction available on GeM, for values specified in the DOP. Procurement is to be done from the lowest technically acceptable seller.

(iii) The direct procurement and invitation for the online e-bidding/reverse auction will be as per terms and conditions of GeM.

(iv) The monetary ceilings are for single product and applicable only for purchases made through GeM.".

(K P GUPTA)
Company Secretary

Distribution:

As per List attached

पंजीकृत कार्यालय : एनटीपीसी भवन, स्कोप काम्पलेक्स, 7, इन्स्टीट्यूशनल एरिया, लोधी रोड़ नई दिल्ली–110003
कार्पोरेट पहचान नम्बर : L40101DL1975GOI007966, टेलीफोन नं.: 011-24387333, फैक्स नं.: 011-24361018, ईमेल: ntpccc@ntpc.co.in, वेबसाइट: www.ntpc.co.in
Registered Office : NTPC Bhawan, SCOPE Complex, 7 Institutional Area, Lodi Road, New Delhi-110003
Corporate Identification Number : L40101DL1975GOI007966, **Telephone No.:** 011-24387333, **Fax No.:** 011-24361018, **E-mail :** ntpccc@ntpc.co.in
Website : www.ntpc.co.in

एनटीपीसी लिमिटेड
(भारत सरकार का उद्यम)
NTPC Limited
(A Govt. of India Enterprise)

केन्द्रीय कार्यालय/ Corporate Centre

Ref. No. 01:SEC:D:5

Date: 21/6/2017

OFFICE ORDER NO.: 363/2017

SUB: AMENDMENT IN SECTION-I , II & IV OF DOP: PROCUREMENT AT GOVERNMENT e-MARKATPLACE (GeM)

In exercise of the powers vested in him vide Board Resolution dated 31st January 2011, the Chairman & Managing Director has approved following amendment in Section I, Section-II and Section-IV of Scheme of Delegation of Power in order to facilitate procurement at Government e-Marketplace (GeM):

1. **Section-I :** Following General note 24 has been inserted in existing Section-I:

Note-24 :

(i) Direct procurement can be made through Government e-Marketplace (GeM) for procurement for amount upto Rs. 50,000/- . Procurement above Rs. 50,000/- and upto Rs. 5 lacs can be made through tools for online bidding and/or online reverse auction available on GeM.

(ii) For Direct procurement upto Rs.50,000/- at GeM the procurement shall be covered under Sundry Purchase and powers applicable for procurement from Super Bazar/Public Sector/Kendriya Bhandar shall be applicable.

(iii) For procurement above Rs. 50,000/- through tendering at GeM, the powers under open tender shall be applicable.

The above powers are for a single product and applicable only for purchase made through GeM.

2. **Section-II :** Following General note 20 in existing Section-II:

Note-20:

(i) Direct procurement can be made through Government e-Marketplace (GeM) for procurement for amount upto Rs. 50,000/- . Procurement above Rs. 50,000/- and upto Rs. 5 lacs can be made through tools for online bidding and/or online reverse auction available on GeM.

(ii) For Direct procurement upto Rs.50,000/- at GeM the procurement shall be covered under Sundry Purchase and powers applicable for procurement from Super Bazar/Public Sector/Kendriya Bhandar shall be applicable.

(iii) For procurement above Rs. 50,000/- through tendering at GeM, the powers under open tender shall be applicable.

The above powers are for a single product and applicable only for purchase made through GeM.

पंजीकृत कार्यालय : एनटीपीसी भवन, स्कोप काम्पलेक्स, 7, इन्स्टीट्यूशनल एरिया, लोधी रोड़ नई दिल्ली–110003
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Registered Office : NTPC Bhawan, SCOPE Complex, 7 Institutional Area, Lodi Road, New Delhi-110003
Corporate Identification Number : L40101DL1975GOI007966, **Telephone No.**: 011-24387333, **Fax No.**: 011-24361018, **E-mail** : ntpccc@ntpc.co.in
Website : www.ntpc.co.in

3. **Section-IV :** Following General note 29 in existing Section-IV:

Note-29:

(i) Direct procurement can be made through Government e-Marketplace (GeM) for procurement for amount upto Rs. 50,000/- . Procurement above Rs. 50,000/- and upto Rs. 5 lacs can be made through tools for online bidding and/or online reverse auction available on GeM.

(ii) For Direct procurement upto Rs.50,000/- at GeM the procurement shall be covered under Sundry Purchase and powers applicable for procurement from Super Bazar/Public Sector/Kendriya Bhandar shall be applicable.

(iii) For procurement above Rs. 50,000/- through tendering at GeM, the powers under open tender shall be applicable.

The above powers are for a single product and applicable only for purchase made through GeM.

(K P GUPTA)

Company Secretary

Distribution:

As per List attached

A Maharatna Company

NTPC LIMITED.
ENGINEERING OFFICE COMPLEX
CORPORATE MATERIALS MANAGEMENT

Ref: 01/CMM/SIMG/2017 **DATED :11/09/2017**

CIRCULAR NO. 101

SUB: GUIDELINES FOR PROCUREMENT FROM MSEs

Further to Corporate Materials Circular No. 96 dated 16/12/2013 and 98 dated 08/06/2016, various clarifications are being asked from site regarding procurement of 358 Reserved items and splitting of quantities.
Moreover, during the recent Audit report submitted by Govt. Auditors in regard to implementation of Public Procurement Polcy for MSEs Order – 2012, they have pointed out serious violations of procurement of 358 reserved items from Non MSEs.
Accordingly, the following guidelines are being issued and to be followed strictly for procurement of these 358 reserved items from MSEs only.

1) Wherever LTE is resorted to (in line with DOP and other system circulars issued from time to time) for procurement of any of 358 items reserved for exclusive procurement from MSEs, tender enquiry is to be issued only to MSEs. If sufficient number of MSEs who can supply such items are not known, it is proposed to go for open tendering for procurement of such items with the only Qualifying Requirement of "The bidder should be a MSE and manufacturer of tendered item". In such cases tenders will be published only in NTPC tender site i.e. www.ntpctender.com and copies of tenders shall be sent to **NSIC** / nearby **MSME Development Institute (MSME-DI)** for wide circulation through e-mail however, no newspaper advertisement will be published in order to avoid huge expenditure for such procurement from MSEs. This shall be treated as LTE for the purpose of DOP as the NIT is not being published in the newspaper.

2) Whenever open tenders are resorted to (in line with the requirement of DOP and other system circulars) based on value or enlistment is being done for these reserved items through open advertisement, the Qualifying requirement should be as per the general guidelines followed from time to time with the special provision that the bidder must be a MSE.

In case of award on MSE for 20% quantity in view of 15% purchase preference as per MSME policy and 20% quantity becomes a fraction for supply item, the order may be placed for the nearest higher whole quantity of 20%.

This issues with the approval of competent authority.

(D.K. DUTTA)
AGM (CC&M)

DISTRIBUTION:

HEAD OF PROJECTS/ C&M / O&M /FINANCE

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HEADS OF C&M - ER-I/ER-II/NR/NCR/SR/WR-I/WR-II/Hydro Region / CM&CW Chennai / Kolkata / Bangalore / Jaipur / Chandigarh / Ranchi / CPC

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ED(CP)/ED(F)/ED(HR)/ED(COMML)/ ED (FM)/ ED (ENGG.)/ ED (OS)/ED(VIG) GMI/C(IT)/GM(ENV.MGT)/ED(CC&M)/ Company Secretary / ED(CM&CW)/ ED(Consultancy)

ES TO CMD /D(F) /D(T) /D(HR) / D(Proj.) / D (Operation) / D(COMM)

PROCUREMENT AND WORKS POLICY

As Modified Vide Office Order No. 208/01 dated 13.12.2001.

I. Introduction

This policy paper lays down the broad guidelines to be followed in the acquisition of equipment, materials and services for the Organisation. The policy has been formulated to permit centralised policy making and decentralised execution and administration with a view to achieving the organisational goals in the most efficient, and effective manner.

II. Objective

The objective of this policy note as part of the Materials and works Management Functions in the organisation is to make available, the needed equipment, material, works and services in the right quality and quantity, at the right time and at the right price after giving fair and equal chance to tenderers, subject to the policy guidelines laid down herein, so as to obtain the optimum value for each unit of expenditure.

A. PROCUREMENT POLICY

1.1 Contract Services and Materials Management Services.

Procurement activities to be undertaken by NTPC are to satisfy varying project requirement of equipment, materials and services. Any procurement requiring adherence to the IDA procurement procedures, long equipment delivery periods, intense engineering co-ordination or specialised engineering knowledge during procurement, etc. would be classified as category 'A' contracts. All other procurement contracts pertaining to a project will be classified as category 'B' contracts. The responsibility for category 'A' contracts for all the projects and related to pre-tender planning, registration of contractors, award of contracts, monitoring and post-contract follow-up till the delivery of equipment from the supplier's works will be that of the Central Contract Services in the Technical Services Division. The receipt and erection of the plant and machinery including the storage of 'A' Category items whenever to be done by NTPC and the co-ordination in all commercial and other matters thereafter, procurement of construction equipment and execution of civil works shall be the responsibility of the Project Management. For this, a separate detailed system for co-ordination also identifying the division of responsibility between the departments shall be developed by the Project Management. The entire responsibility for all contract activities related to category 'B' contracts will be that of Materials Management Services under the General Managers of the projects. For this purpose, the contracts falling under category 'A' will be identified and listed in respect of each project and all other contracts will be deemed to fall under category 'B'. Though the areas and functional responsibility for the two Responsibility Centres for procurement will be defined for each project, there shall be close co-ordination in the planning of procurement activities between the projects Materials Management Service and the Central Contract Services.

1.2 Procurement action will be initiated on the basis of approved indents/ requisitions indicating budget and project estimate provisions.

1.3 The Contract Services/Materials Management Services will receive the requisition/indents for the procurement of materials/equipment/services duly approved by the competent authority, keep themselves informed concerning sources of supply, prices/rates, freight, taxes, lead time, etc. and plan and

organise procurement action, maintain a keen follow-up and organise quality control till the order is executed and also arrange systematic co-ordination by means of proper contract administration.

1.4 The Central Contract Services will be oriented and guided by the important factor that project schedule is to be strictly adhered to. Accordingly, each contract will incorporate as a part of the contract, a detailed network for design, manufacturing and erection/construction cycle, these networks and schedules will be developed by the respective contractors as a neccesary requirement of each contract and mutually agreed before the award of the Contract.

1.5 The continuous monitoring of these agreed schedules for design and manufacturing will also call for expertise in the Central Contract Services for expediting at manufacturers works. For efficient rendering of this service to the Projects, Central Contract Services will develop a reporting system to keep General Managers of the Projects informed of the progress. Timely execution of the Projects will be the overall responsibility of General Managers of the Projects. For monitoring of schedules of construction/erection, the Project Management would develop their own systems and procedures for setting and reviewing short time-monthly, weekly and daily – physical targets jointly with the construction/erection agency.

1.6 The Central Contract Services will also have a quality assurance (Q.A.) group to ensure that proper quality is built into the materials, machinery and services made available to the Site. This group will make sure that the quality requirements are identified in the procurement specifications. This group will be constantly working on the development of systematic steps to be followed during all phases of the procurement activities. This Q.A. Group will also technically guide and control the specialised field Q.A. activities under the Project Management. A detailed system and procedure for Q.A. activities under the General Manager will be evolved separately.

1.7 Inspection at manufacturer's works for all category 'A' contracts will also form an integral part of the responsibilities of Central Contract Services, without which no quality standard can be enforced. It is however envisaged that inspection at the site for all contracts and at manufacturer's works for category 'B' contracts will remain the responsibility of the General Managers of the Projects.

1.8 In respect of contracts where installation and erection is vital for the total completion of the job and problems of co-ordination arise, it shall be the general policy to award supply-cum-erection contracts so that single source responsibility is defined clearly and project schedules are adhered to.

2. Procurement through Tenders

2.1 Open Tender

2.1.1 Attention of all known, reliable and proven sources of supply of a particular equipment/material/services will be drawn to the requirements of NTPC and allowed to quote. For the above purpose, advertisements in two or more leading newspapers of all-India repute in addition to one or two local newspapers of the area, where the work is to be executed or supplies made, may be issued.

2.1.2 (i) In the case of equipment/material/services which are of major value (of Rs.1 lakh and above per item) and are important on account of critical nature, engineering expertise and require long delivery time etc., a pre-qualification procedure, in order to avoid frivolous tenders, can be adopted for selecting the reliable parties to whom the tender enquiries may be floated. This will be done once in about three years by advertisement in two or more leading newspapers of all India repute, in addition to local newspapers of the area where the work is to be executed or supplies are to be made. The criteria for pre-qualification will inter-alia consist of past performance, financial soundness, technical competence, organisational capability etc., commensurate with the requirements. A screening committee specially constituted for this purpose will analyse and evaluate the responses to these advertisements and prepare a category list of the qualified contractors based on the qualification criteria, which shall be valid for about three years from the date of its preparation. When tender enquiries are sent to all such qualified parties, it shall be treated like an open tender.

ii) For other items with value less than Rs. 1 lakh each, lists of approved vendors shall be maintained on the basis of data available in Trade Journals, Manufacturer's directories or approved vendors list of State Government/Central Government/DGS & D and vendors to whom enquiries were floated in the past. These lists will be reviewed and necessary changes therein will be made on the basis of vendor's performance and location of new sources etc. A general advertisement may also be issued if considered necessary by the General Manager in papers of all India repute, including local papers in which the Project is situated for obtaining the requisite vendor's data. These lists will be subject to the approval of the Head of the Department in Central Contract Services/Materials Management Services of the Project. When tender enquiries are sent to all such parties as mentioned in vendors' list, it shall be treated like an open tender.

2.1.3 Qualification requirements could also be specified in the tender advertisement where considered necessary, so that only reliable parties are invited to quote. In such cases, the tender evaluation will take into consideration that the qualification requirements specified in the advertisement have been fulfilled by the tenderers.

2.1.4 In cases where all possible sources for a particular requirement are known, addressing to these parties in lieu of the publication in newspapers will serve the purpose.

2.2 Limited Tender

2.2.1 Limited tender may be invited, only for items with estimated values not exceeding the ceiling limit as mentioned in DOP from not less than four parties from among the list of approved vendors (vide para 2.1.2(ii)). Subject to para 9.1 of the policy, the case of acceptance of single response to the limited tender will be treated as a single tender for the purpose of delegation of powers.

2.2.2 If for reasons of urgency or any other valid reason, limited tender is to be resorted to in preference to the open tender system, for package value exceeding the ceiling limit for LTE as mentioned in DOP the reasons therefor will be recorded in writing and approval of the competent authority obtained.

2.2.3 The officer in whose powers the procurement lies will however obtain the approval of the next higher authority about the number and names of suppliers in all cases of limited tenders.

2.3 Single Tender

Where procurement is made by contacting only single source on grounds that the item to be procured is of a proprietary nature or on account of standardisation or on grounds of urgency of requirement, it will be treated as a single tender. In case of proprietary items, certificate to that effect will have to be issued by the indentor at the appropriate laid down levels in each case. Source standardisation will normally be for limited periods not exceeding three years and will be approved by a Committee consisting of representatives of Technical Contract Services/Materials Management Services and Finance Departments. Orders on the basis of single tender will be issued with the approval of General Manager or any competent authority to which powers are delegated.

2.3.1 Purchase of canalised items made from Public Sector Undertakings as per Government directives, will not be treated as single tender.

3. **Period allowed for Quotation**

Adequate notice will be given to the possible tenderers, which will not be less than fifteen days. The notice period could be reduced in suitable cases on grounds of urgency. Further, for limited tender confined to local suppliers, or single tender, the period could be reduced but so fixed as to be consistent with the suppliers ability to quote from the point of view of time.

4(A) The earnest money deposit as may be decided may be paid in any one of the following forms, to ensure that the tenderer enters into a contract after the same has been awarded to him.

(a) Call deposit receipt duly pledged in favour of NTPC or pay order or demand draft.

(b) Post-office/National Savings/National Defence Deposit Certificates duly endorsed in favour of NTPC.

(c) Bank guarantee from a nationalised bank-irrevocable and operative till the validity of the offer.

(d) Fixed deposit receipt issued by nationalised Banks endorsed in favour of NTPC.

(e) Cheque in favour of NTPC duly certified by the Bank on whom it is drawn.

4(B) The suppliers may also avail of the scheme of lumpsum deposit which will be treated as a standing deposit or earnest money for participation in bidding. Such deposit will not entitle the supplier to any interest thereon. It will be open to suppliers who have not registered themselves to participate after remitting earnest money as may be stipulated in each tender invitation.

4(C) The earnest money will be liable to be forfeited on revocation of tender before validity of the quotation expires or on refusal to enter into a contract after the award is made to the tenderer.

4(D) Earnest money given by unsuccessful tenderers will be refunded expeditiously after the award of the contracts.

5. **Running and Rate Contracts**

Where it is advantageous to have the supply of goods at a steady pace/at a fixed rate over a period of time , time bound running/rate contracts may be entered into, after

following the procedure of invitation of tenders either on open or limited tender basis. The rate contracts entered into by DGS&D also, if advantageous, may be made use of for placing orders at the rates fixed thereunder.

5.1 There is no bar to placing of orders outside the rate/running contracts on the basis of open/limited tender, if that is regarded as advantageous.

6. **Sundry Requirements**

In case of necessity, when procurement action has to be made for small items/ urgently, procurement may be made by the respective departments themselves for estimated value upto a ceiling limit of Rs. 10,000/- (Rs. 25,000/- in case of purchases from Public Sector/NTPC Co-operatives). For items exceeding value of Rs. 10,000/ - but up to Rs. 25,000/- (in case of Public Sector/NTPC Co-operatives items value exceeding Rs. 25,000/- but up to Rs. 50,000/-) procurement may be made by a team consisting of indenting and materials representatives. However, beyond Rs. 25,000/ - (beyond Rs. 50,000/- in case of Public Sector/NTPC Co-operatives) procurement shall be made by a purchase Committee consisting of representative from Contracts/ Materials, Finance and Indenting Department. Quotations may be obtained and orders placed on the spot either on the basis of cash payment or by a letter order and cheque payment.

Note : The figures shall be as mentioned in DOP .

7. **Repeat Orders**

Repeat orders are normally to be avoided. However, repeat orders may be placed against previous orders placed on open or limited tender basis, without further going through the normal procedures, subject to the following :

(a) The date of repeat order will not be more than 3 months after the completion of the earlier order.

(b) Value of repeat order should not be more than the %age limit and value as mentioned in DOP.

(c) A reasonable assessment by the Contract Services/Materials Management that there has been no downward trend in prices.

(d) The prices against earlier order were not escalated to compensate for earlier deliveries.

Note : No repeat order ordinarily will be placed against previous order placed on single tender basis.

8.1 **Tender Committee**

8.1.1 In order to obviate delays in inter-departmental notings and cross references, a Tender Committee of officers representing Indenting, Contract Services/Materials Management Services and Finance Departments will be constituted at a level appropriate to the value of each procurement, as may be determined for the purpose. The Committee will record in writing its recommendations in the matter.

8.1.2 If the recommendations of the Tender Committee are not acceptable to the competent authority, the reasons for non-acceptance shall be fully recorded.

8.1.3 Negotiations, if necesary, may be recommended by the Tender Committee and conducted with the approval of the competent authority.

9. **Retendering**

If there has not been adequate response to an open tender or if the prices quoted are substantially higher than the estimated prices and negotiation with the tenderers

has not met with any positive response, a decision may be taken either to accept the tender or to re-tender.

9.1 In case of a single response against limited tender , or in case a ring is suspected, retendering will normally be resorted to. In exceptional circumstances, the tender may be accepted/negotiated, but the reasons therefor will be recorded in writing and submitted to the competent authority.

10. **Emergent Procurement**

In a planned procurement system, there is normally no ocassion to take recourse to emergency purchases except in urgent and unforeseen circumstances. Since such procurement is normally made on single tender basis, it will be done only with the approval of the competent authority. A monthly report of such cases will be submitted to the Chairman & Managing Director through Director(Finance). If such purchases exceed a value of Rs. 5,00,000/- in each case, Board of Directors will be apprised of the same.

11. **Tender opening and late Tenders**

11.1.1Tenders will be opened at the time indicated in the invitation to tender, in the presence of the representatives of the tenderers, if they present themselves and a representative of Finance. When the tenders are opened, the names of all present tenderers would be read out for the benefit of the tenderers present and where feasible the rates tendered will also be read out. Any omission or irregularity such as absence of signature of a tenderer, absence of earnest money deposit, references etc. may be pointed out on the spot for the information of representatives of the tenderers.

Alterations and erasures, if any, will be initialled by all officials at the time of opening. The quotations of each page of each tender should be encircled and also attested by the officials in token of authenticity.

11.1.2 Offer by telex/telegram may also be considered subject to the following :-

(a) The offer is received in time before the tender opening;

(b) The offer indicates basic or essential features of the tender;

(c) It is followed by a letter offer, which has been posted at least a day before the date of opening of tender and has been received within a reasonable time;

(d) The letter offer fully conforms in all respects to the offer by telex/telegram;

(e) The consideration of the offer does not result in any unfair advantage over other tenders.

11.1.3 Normally delayed/late tenders will be rejected outright. However, late tenders may also be considered with specific approval of the competent authority in specific circumstances indicated below :

(a) Scarcity conditions as reflected by lack of adequate response;

(b) Lowest acceptable tender is unreasonably high when compared with the last procurement rate;

(c) Artificial manipulation of rates by formation of a ring;

(d) Offer by all tenderers of the products of only one manufacturer; and

(e) Where substantial saving in foreign exchange is possible in each case.

NOTE : In respect of I.D.A. financed goods, the policy outlined above shall not apply.

12. **Purchase Preference for Public Sector**

Preference to Public Sector will be as directed by the Government from time to time. In the field of construction and design works, greater use should be made of the facilities and capacities developed by Public Sector Organisations.

13. **Price Escalation**

Procurement will normally be based on firm prices, excepting where material costs are likely to be dependent upon statutory variations or are liable to wide fluctuations as in the case of non-ferrous metals. Where escalations are accepted, the base price levels, variation factors to be applied and indices or documents to be produced to substantiate and determine such escalation, should be precisely stipulated in the purchase order.

14. **Penalty/Liquidated Damages and Arbitration**

The order placed may provide for a penalty/liquidated damages clause and also clause for arbitration governed by Arbitration & Conciliation Act, 1996. The order may also provide, as may be necessary for performance guarantee, etc.

B. WORKS POLICY

1. Works Contract

Works such as acquisition of land/buildings, construction of buildings, their maintenance and repairs, development of land, structural and mechanical, fabrication, electrical installation, plant and equipment completely installed (composite contracts) and all such works which are other than supply contracts may be regarded as works contracts.

2. The commencement of a work or the incurrence of any liability thereon shall be authorised by the competent authority. Ordinarily, no works may be commenced and no expenditure incurred on work until an estimate for it has been approved. This provision shall not, however, apply to minor works estimated to cost less than Rs. 5000/- each. Works can, however, be started on an Urgency Certificate when such works are urgently necessary to safeguard safety of plant and machinery or other assets or in an emergency arising out of unforeseen conditions. The Urgency Certificate shall be approved by the General Manager. In such cases also, estimates should be prepared thereafter as early as practicable to regularise the expenditure.

3. Contract for Works

Works can be carried out departmentally or by contract as may be considered advantageous. Most of the civil engineering contracts shall be awarded by the General Manager (Projects) except those which are classified as category 'A' contracts for the particular project which will be processed by the Central Contract Services of Technical Services Division. The efficient execution of these contracts shall, however, be the responsibility of the General Manager (Projects). In awarding the works contract the general policy applicable to supply contracts vide Procurement Policy will be followed and the paras under the Works Policy will be supplemental to those. However, in regard to earnest money deposit, the provision indicated in para 4 below will apply.

4. Earnest Money

Earnest money at the rate of 2% of the estimate cost subject to a maximum of Rs. 50,000 should be paid by each tenderer to ensure that the tenderer executes the works after the same has been awarded to him. Earnest money may not be insisted upon in the case of Public Sector Undertakings. The standing earnest money deposit scheme vide para 4(B) of Procurement Policy will also be applicable to works contracts.

4.1. The earnest money shall be forfeited :

(a) On revocation of the tender, or increase in rates after opening of the tender but before the validity of the quotation expires.

(b) On refusal to enter into a contract after the award of contract.

(c) If the work is not commenced after the work is awarded to a contractor.

4.2. Earnest money given by unsuccessful tenderers will be refunded expeditiously after the award of the contract.

5. Security Deposit

Security Deposit will be collected from the successful tenderer at the rates mentioned below . This may be recovered by deduction through running bills of the contractors and also by treating the earnest money paid at the time of tender as part of the security deposit

(a)	Works costing upto Rs. 1 lakh	10% of the total cost
(b)	Works costing over Rs. 1 lakh but not exceeding Rs. 2 lakh	10% on the first Rs. 1 lakh and 7½ % on the balance
(c)	Works costing over Rs. 2 lakh but not exceeding Rs. 20 lakh.	10% on the first Rs. 1 lakh. 7½ % on the next Rs.1 lakh and 5% on the balance.
(d)	Works costing over Rs. 20 lakh but not exceeding Rs. 50 lakh.	5% of the total cost subject to a minimum of Rs.1,07,500
(e)	Works costing over Rs. 50 lakh but not exceeding Rs. 100 lakh.	4% of the total cost subject to a minimum of Rs.2,50,000/-
(f)	Works costing over Rs. 100 lakh but not exceeding Rs. 250 lakh	3% of the total cost subject to a minimum of Rs.4,00,000/-
(g)	Works costing over Rs. 250 lakh but not exceeding Rs. 500 lakh.	2% of the total cost subject to a minimum of Rs.7,50,000/-
(h)	Works costing over Rs. 500 lakh.	1% of the total cost subject to a minimum of Rs. 10 lakh.

5.1. Security Deposit shall not be refunded except in accordance with the terms of security bond or agreement.

Note : Earnest money deposit/security deposit may be paid in any one of the forms indicated in para 4-A of the Procurement Policy

C. General

1.1. The procurement of I.D.A financed goods will be in accordance with IDA guidelines and IDA Project Agreement with NTPC.

1.2 The procurement of imported equipment, if any, will be governed by the existing foreign exchange regulations and import policy.

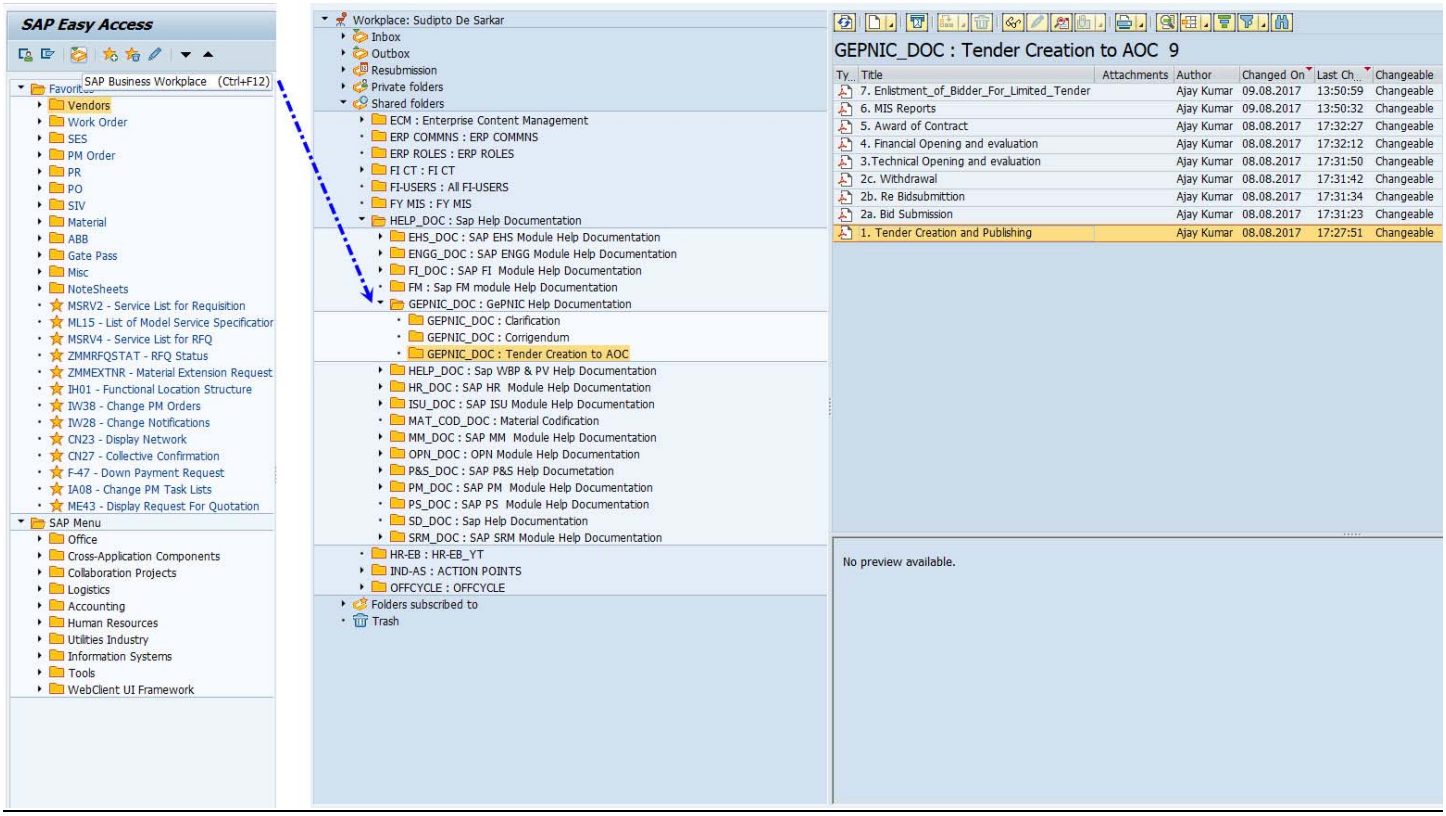
D. Delegation of Powers

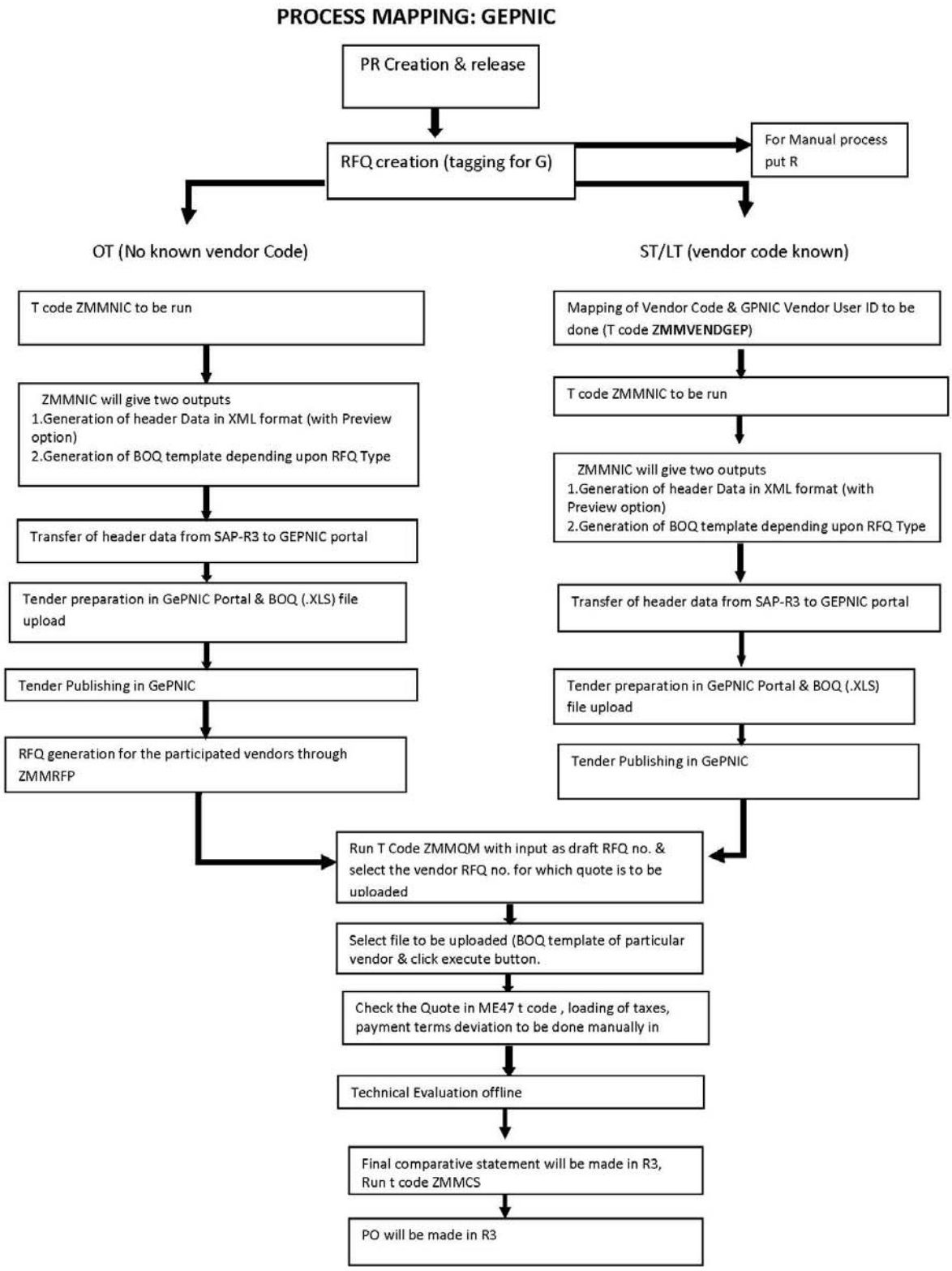
To facilitate the implementation of the Procurement and Works Policy, as outlined in the paper, the Chairman and Managing Director is delegating powers to General Managers and other levels of executives. The exercise of the powers delegated will be subject to availability of provisions in the approved Budget, policies laid down and the management reports prescribed, from time to time.

****

GePNIC USER MANUAL (NTPC)

All documents available in ERP here:




PROCESS MAPPING: GEPNIC
PR Creation & release
RFQ creation (tagging for G)
For Manual process put R
OT (No known vendor Code)
ST/LT (vendor code known)
T code ZMMNIC to be run
ZMMNIC will give two outputs
1.Generation of header Data in XML format (with Preview option)
2.Generation of BOQ template depending upon RFQ Type
Transfer of header data from SAP-R3 to GEPNIC portal
Tender preparation in GePNIC Portal & BOQ (.XLS) file upload
Tender Publishing in GePNIC
RFQ generation for the participated vendors through ZMMRFP
Mapping of Vendor Code & GPNIC Vendor User ID to be done (T code ZMMVENDGEP)
T code ZMMNIC to be run
ZMMNIC will give two outputs
1.Generation of header Data in XML format (with Preview option)
2.Generation of BOQ template depending upon RFQ Type
Transfer of header data from SAP-R3 to GEPNIC portal
Tender preparation in GePNIC Portal & BOQ (.XLS) file upload
Tender Publishing in GePNIC
Run T Code ZMMQM with input as draft RFQ no. & select the vendor RFQ no. for which quote is to be uploaded
Select file to be uploaded (BOQ template of particular vendor & click execute button.
Check the Quote in ME47 t code , loading of taxes, payment terms deviation to be done manually in
Technical Evaluation offline
Final comparative statement will be made in R3, Run t code ZMMCS
PO will be made in R3

CORPORATE CENTRE NOIDA

INTER OFFICE MEMO

From : DGM (CS-P&S)

To: Sh.C.V.Rao
GM-I/C (IT)

Ref : 01/CS-P&S-306

Date : 20.07.2016

Sub: Cost of bidding documents to be charged from prospective bidders

Board of Directors, in their 434th meeting held on 22.06.2016, have resolved that in case of e-tendering through Government e-procurement Solution of National Informatics Centre (GePNIC) portal, bidders be allowed to download the Bidding documents for the bidding purposes without making any payment. The cost of the bidding documents shall be tendered by the bidder at the time of bid submission. Copy of Board Resolution enclosed.

This is for your information and further necessary action at your end please.

(K Sudhakar)

GePNIC Familiarization
– A Journey from SRM to GePNIC

Ajay Kumar
AGM (ERP)

AGENDA

- ❑ GePNIC at a Glance
- ❑ Features of GePNIC
- ❑ Bidder Registration & Bid submission
- ❑ GePNIC vis-à-vis SRM
- ❑ Transition Plan

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AGENDA

- ❑ **GePNIC at a Glance**
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- ❑ GePNIC vis-à-vis SRM
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GePNIC at a Glance

- National Informatics Centre (NIC) has developed Govt. e-Procurement software solution (GePNIC) as a product for facilitating e-Procurement in GoI
- Development of the application started in 2007. Pilot implementations in Tamil Nadu and Orissa during November 2007 to March 2008
- Current Version released in 2012. A new version is likely to be released soon.
- The solution is generic in nature and can easily be adopted for all kinds of procurement activities such as Goods, Services & Works by Government organizations
- More than 300 organizations across the country are using GePNIC
- The solution has strong in-built security features including two-factor Authentication with Digital Signature Certificates (DSCs) as per IT Act, Usage of SSL, Role-based User Access and Bid-encryption at Client end using PKI technologies
- NIC has standing arrangements through NICSI to facilitate the implementation/ rollout of the GePNIC solution, including domain specific 3rd party agencies, to provide manpower support for handholding, training and Helpdesk facilities as per the needs of user departments on chargeable basis

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Security & Authentication

- ◆Secured hosting facility
- ◆Web security- SSL technology
- ◆Two factor authentication with Digital Signatures
- ◆Bid Encryption at Client System
- ◆Replication of data & backup facility
- ◆Security audited by various CERT-IN agencies – STQC compliant
- ◆Audit trail of each activity
- ◆Time stamping of all events

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Features of GePNIC system

- Registration of Bidders and Purchasers in different roles
- Tender Creation and Publishing
- Publishing of Corrigendum and Pre bid meeting decisions
- Online Bid submission/ resubmission/ withdrawal as per the needs (configurable)
- Facility for payment of Tender Fee and EMD
- Encryption of bids submitted by the bidders
- Online tender opening
- Facility to configure Bid Openers Min 2 and Maximum 4

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Features of GePNIC system

- Technical Evaluation offline, upload results
- Auto generation of comparative charts for price bids in specified templates
- Financial evaluation upload, Award of the contract upload
- Various Mail / SMS communication to stakeholders
- Tender status on different stages of the tender from Home page itself
- Digital signing of all documents
- Comprehensive report/MIS module

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Corrigendum

Before tender opening	After tender opening
Dates and Fee Details	Cancellation
Conditions of the Contract	Retendering – No or fewer response
Technical Specifications	Retendering – High cost quoted
BOQ Rates	Mail/SMS to all who have submitted bids
QR criteria	
Bid openers	
Cancellation	
Mail/SMS alerts to the bidders	

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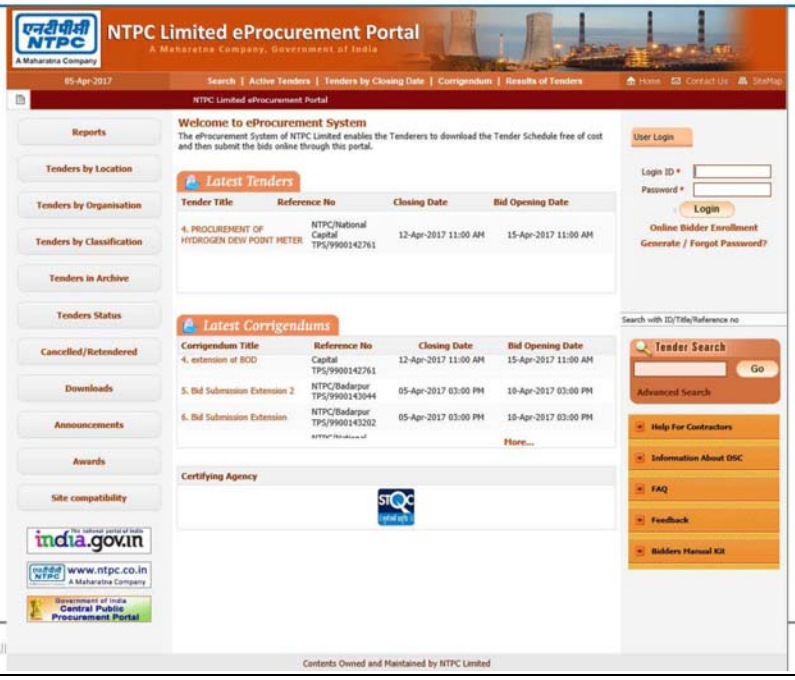
Registration by Bidders

A Maharatna Company



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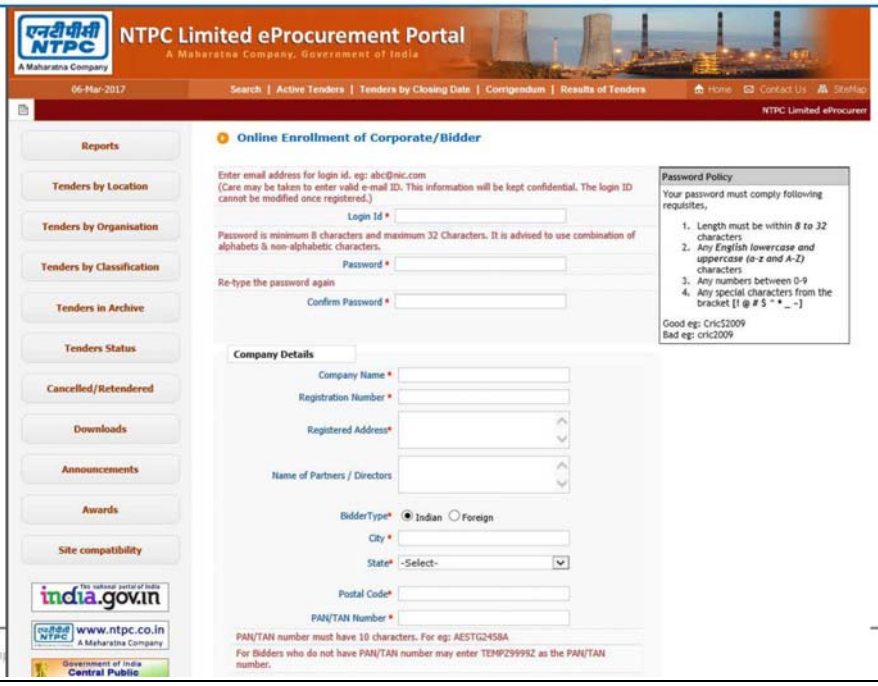
Registration by Bidders

A Maharatna Company



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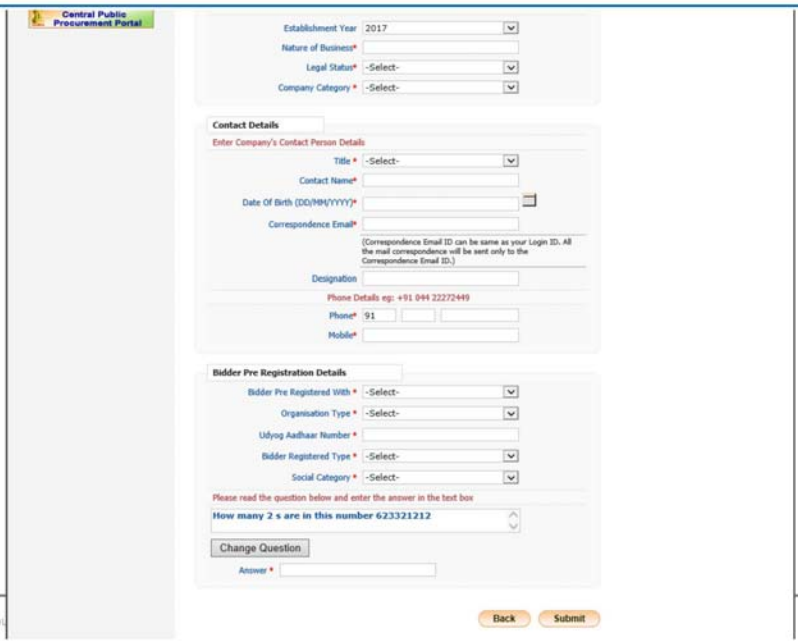
Registration by Bidders



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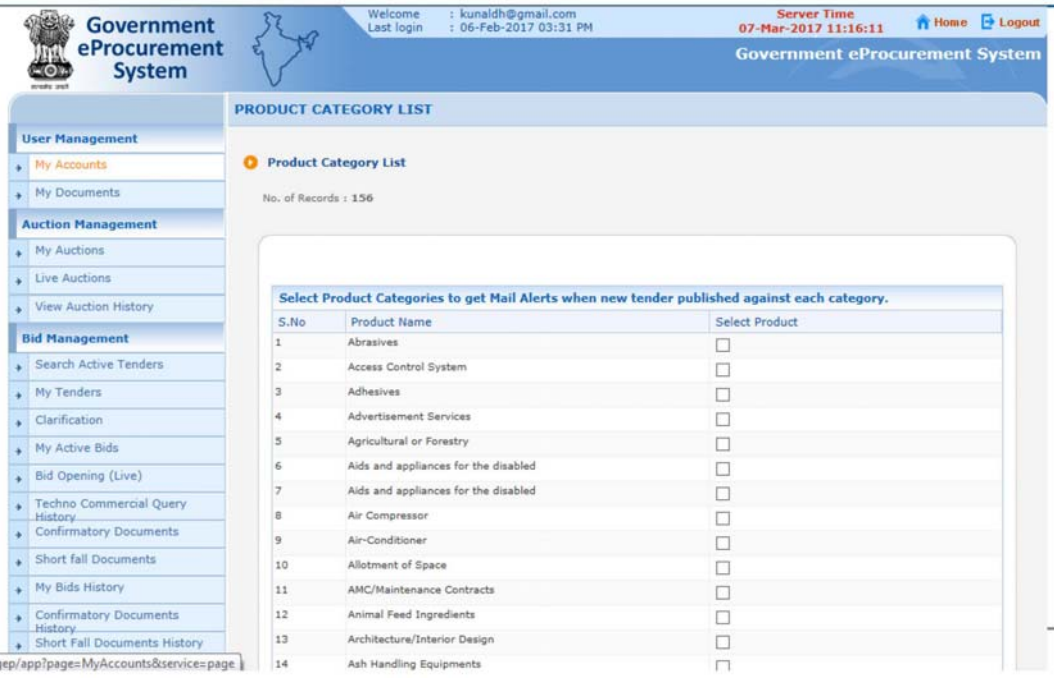
Selection of Product Category



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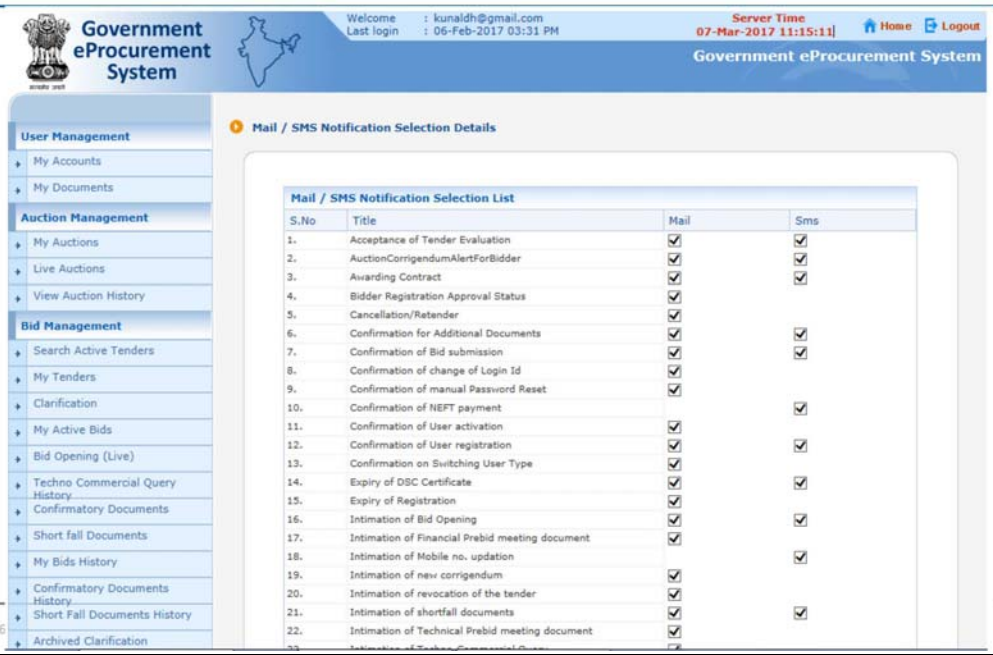
Mail/SMS Notification of important events



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Bid Submission by Bidders

- Bidder must enroll in the site with Digital Signature Certificate
- Selects the tender he wants after log in
- Tender gets moved to my tender section
- Get clarifications as required
- Bid submission by paying the fees (with exemption if allowed)
- Upload the filled-in bids cover wise & documents
- Bid documents are signed, encrypted & stored
- Bidder gets a receipt after submission
- Bidder can withdraw online/re-submit the bids

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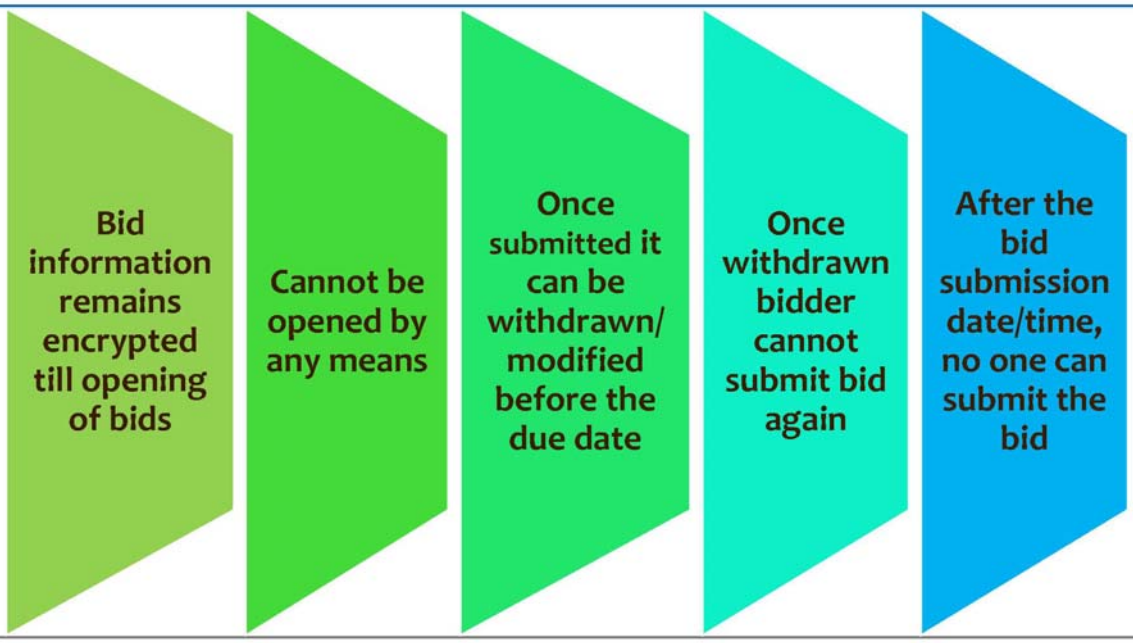
Receipt of Bids



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GePNIC vis-à-vis SRM

Activity	SRM	GePNIC
Log-in	With user ID & Password	DSC also required with user ID & Password
DSC	Only signing signature required for purchasers & bidders	Signing + Encryption is required for bid openers
Software requirement	Java version 6 & above	Java version 6 & above. MS Excel will be required for C&M personnel
Browser requirement	Internet Explorer	Internet Explorer
Integration with ECC	Fully integrated	Partial data transfer through web-service enabled
Ownership & maintenance of hardware	NTPC	NIC
Location of hardware	In NTPC premises	In NIC premises

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GePNIC vis-à-vis SRM

Activity	SRM	GePNIC
Vendor Codification	Vendor codes are same in ERP and SRM	No vendor code in GePNIC. A vendor can have any number of accounts. GePNIC user ID to be mapped in ECC against vendor code.
Single envelope/ 2-envelope/ 2-stage bidding	Configured for all	2-stage bidding not configured
Dealer assignment	Can be assigned	Corrigendum to be issued adding the name of the dealer. Both can bid now.
BPS	Created in SRM system	MS Excel Template based
Tender Fee for open tenders	To be paid beforehand to be able to download tender documents	Tender fee is not required to download the tender documents
Bidder profile maintenance	Can be done by NTPC only	Bidder himself can maintain his profile

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GePNIC vis-à-vis SRM

Activity	SRM	GePNIC
Bid revision	Bid has to be returned to make it editable	Bidder can modify his bid any number of times he wants before end of bid submission date
Bid withdrawal	Bidder cannot withdraw a submitted bid	Bidder can withdraw a bid after submission
Visibility of bids submitted	Number of bids submitted is visible before scheduled bid opening time	No. of submitted bids is known only after end of bid submission time is reached
BOD extension	Can be done any time	Cannot be done after scheduled bid opening time
Document Download	Needs to be downloaded one by one	Mass download of documents is possible
Bid opening	Only one C&M person can open the bid	Bid openers need to be identified beforehand at the time of floating the tender (2/2, 2/3, 2/4)

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GePNIC vis-à-vis SRM

Activity	SRM	GePNIC
CS preparation	CS prepared in system and loadings can be done	CS can be prepared (only total price) in the system if standard template is used. No provision for loading in the system.
Reverse Auction	Integrated with PR and Bid Invitation	Tender-cum-Auction and eAuction facilities are there. To be rolled out in NTPC later.
Data retention	As set up by NTPC	As per GOI norms
Audit trail	Available in system	Available in system (to be obtained from NIC)
Bid encryption	Cannot be encrypted in SRM 5.5	Technical as well as price bids are encrypted
STQC compliance	No compliance for SRM 5.5	STQC compliant
Ease of bidders	All bidders are not acquainted with the system as very few organizations are using SRM	Majority of bidders are acquainted with the system as the application is widely used in the country

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AGENDA

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Journey so far

- ◆Agreement with NIC
- ◆Setting up handshaking mechanism between ERP & NIC
- ◆Development at NTPC and NIC end for data transfer – ZMMVENDGEP, ZMMNIC, ZMMQM
- ◆Identification of pilot locations
- ◆Roll-out at pilot locations
- ◆Making minor changes based on feedback from pilot locations
- ◆GePNIC implementation at DBF, WR-II and NR locations

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Activities to be done for roll-out

- Identification of Nodal Officers
- Creation of User IDs of Nodal Officers and other users in different roles
  - Bid Opener: Officials from any deptt. (including C&M) involved in bid opening process.
  - Tender Creator/Evaluator: Junior officials from C&M deptt. who will be creating tenders.
  - Publisher/ Evaluator: Senior officials from C&M deptt. who will be publishing tenders
  - Nodal officer: Two persons from each location. They can have additional roles as well as per their job requirement.
- Mapping of GePNIC user ID with ERP vendor codes - ZMMVENDGEP
- Procurement of digital signatures with encryption facility by all bid openers
- Training of nodal officers and end users
- Creating Org structure in GePNIC
- Creation of user IDs in GePNIC
- Installation of MS Excel on C&M personnels' desktop

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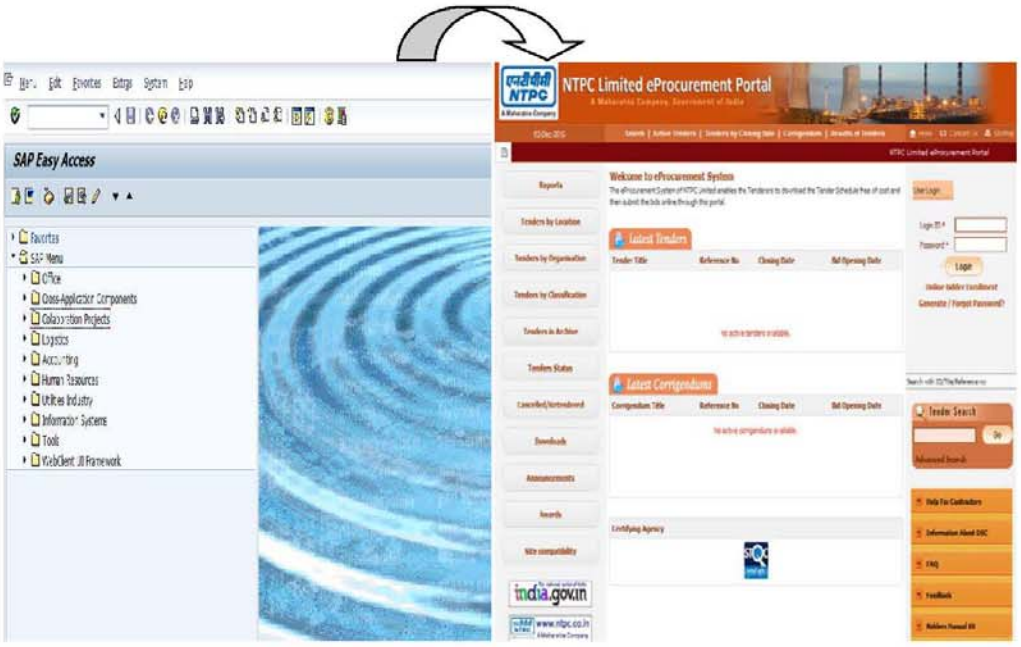
Thank You

GePNIC –SAP Integration

This document is categorized into 4 steps

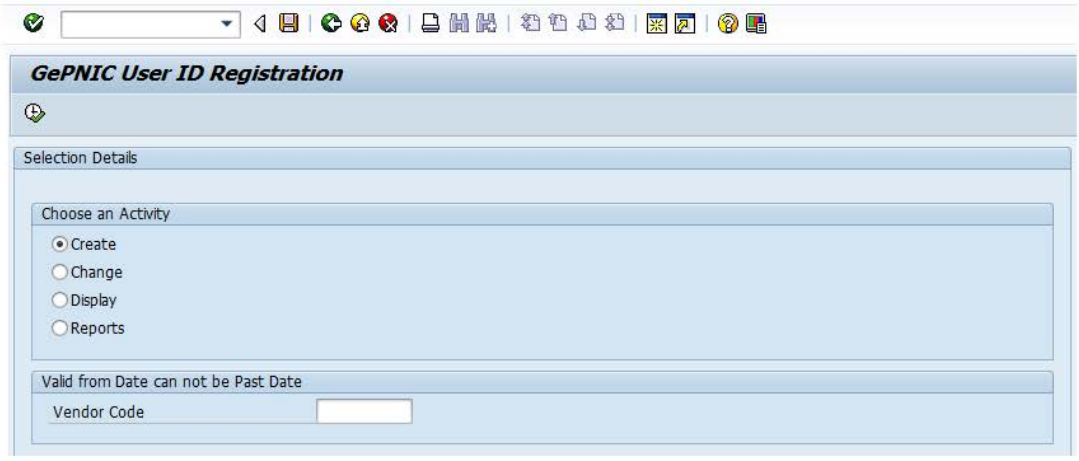
1. SAP Vendor code mapping with GepNIC user ID (ZMMVENDGEP)
2. Prepration of RFQ for Tendering in GePNIC (ME41)
3. RFQ data transfer to GePNIC portal (ZMMNIC)
4. Quotation maintenance in RFQ after Bid opening (ZMMQM)



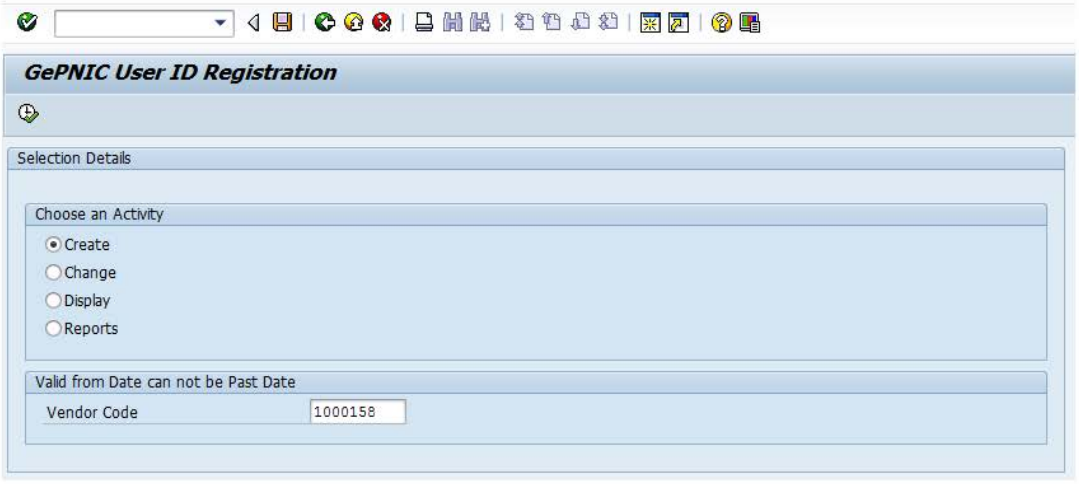
NTPC- SAP https://eprocurentpc.nic.in/nicgep/app

1. Mapping of SAP vendor code & GePNIC User ID

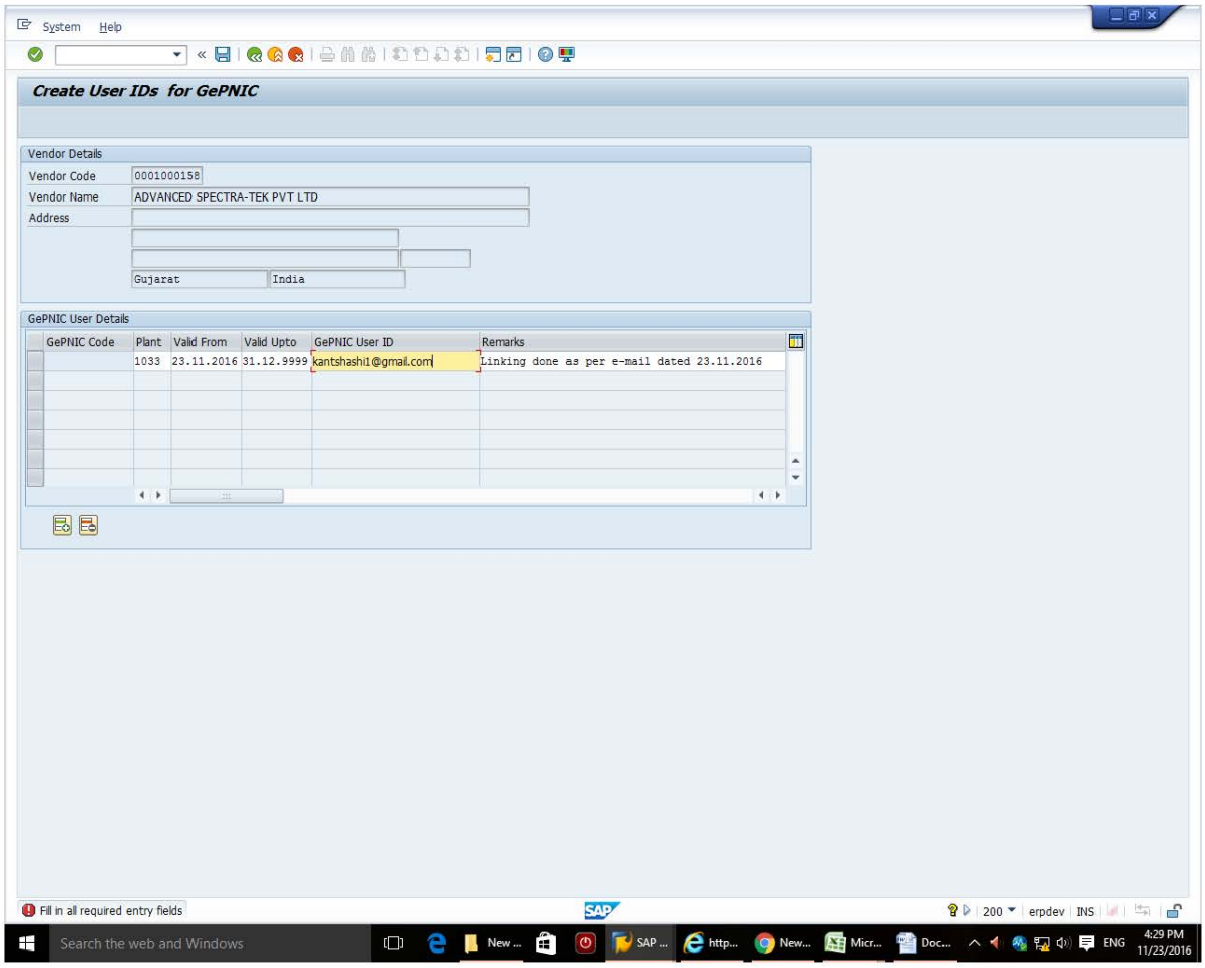
Run T-code ZMMVENDGEP



Enter SAP vendor code, select "CREATE" radio button & click on execute.

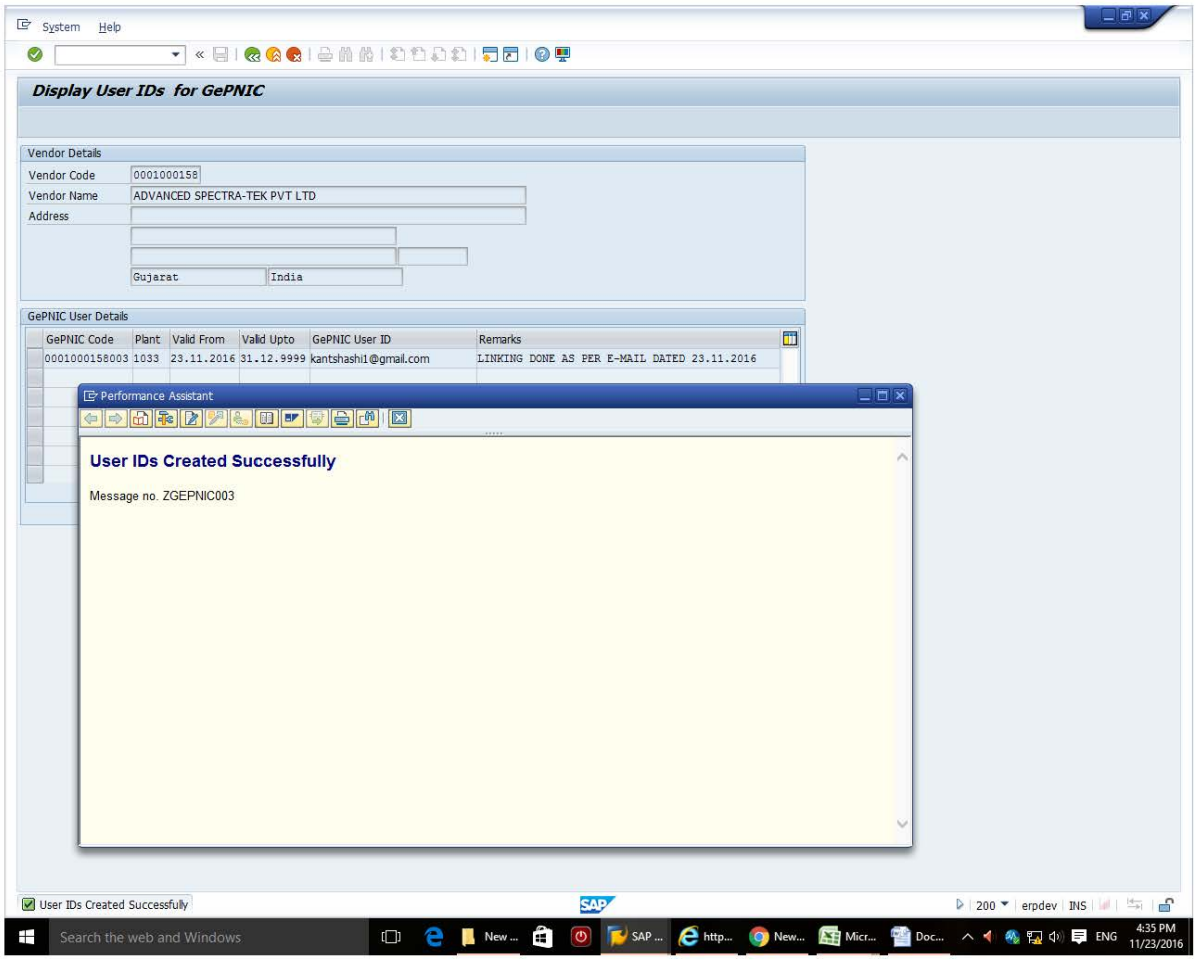


Enter Plant code, GePNIC User ID & remarks in the respective fields

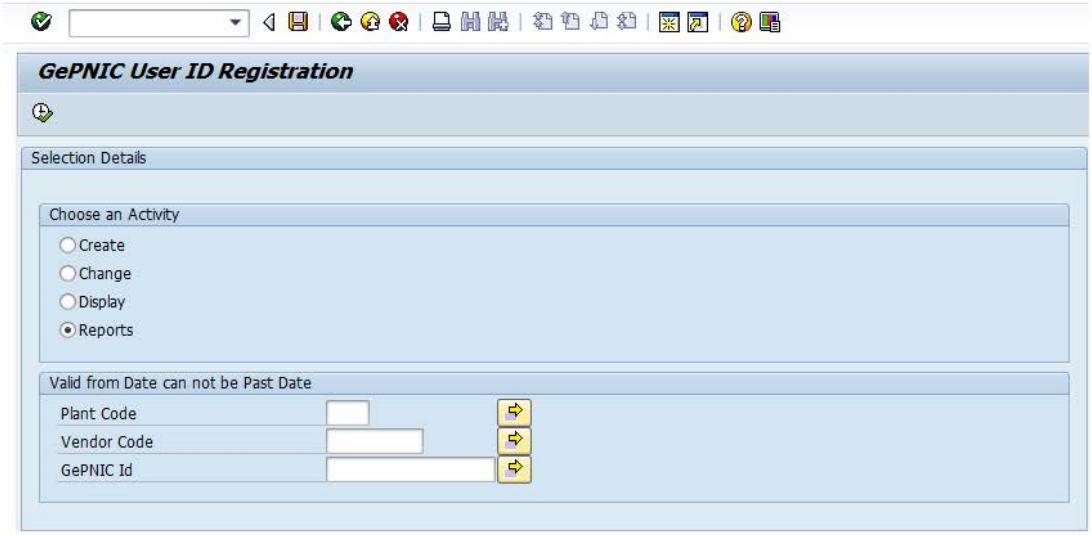


Click on “SAVE” button.

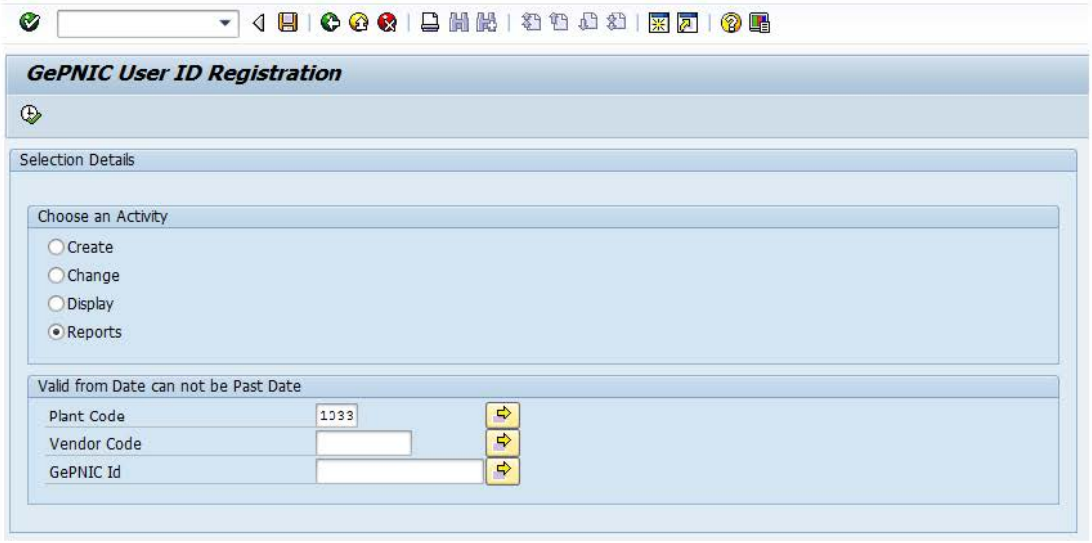
A message “User ID Created successfully” will be displayed at the bottom of the screen.



List of GePNIC User IDs mapped in a particular Plant can be seen by selecting "Reports" radio button in T-code i.e. ZMMVENDGEP.



Enter plant code & Click Execute



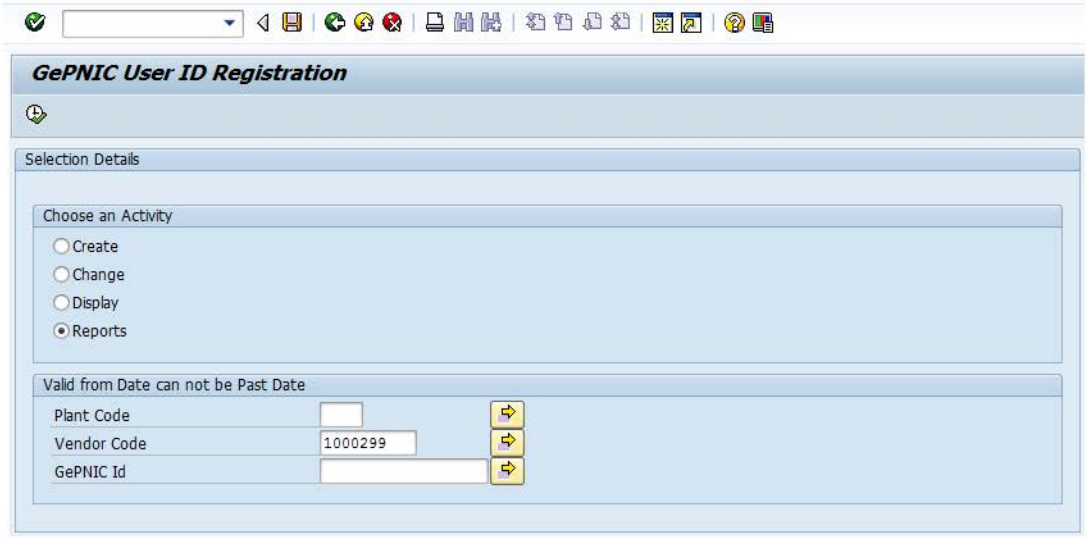
List of mapped GePNIC codes for Plant will be displayed as follows:

GePNIC User ID Registration

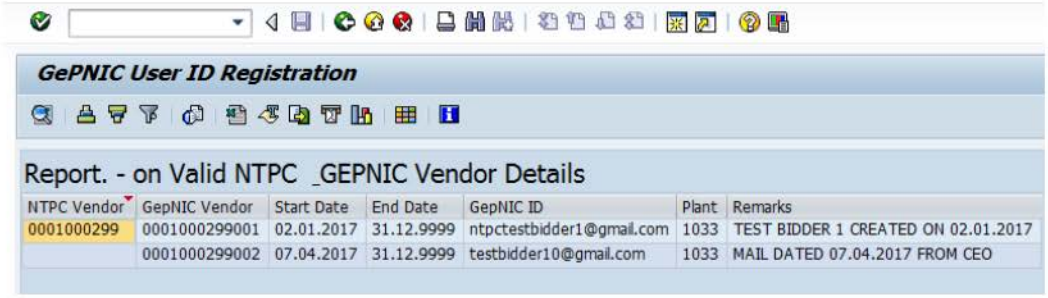
Report. - on Valid NTPC _GEPNIC Vendor Details

NTPC Vendor	GepNIC Vendor	Start Date	End Date	GepNIC ID	Plant	Remarks
0001000028	0001000028001	14.03.2016	31.12.9999	srmntpc317@gmail.com	1033	DEFEWF
0001000030	0001000030001	04.01.2017	31.12.9999	akt@gmail.com	1033	FDFDFFZD
0001000031	0001000031001	23.09.2015	22.09.2016	KUNALDHNTPC@GMAIL.COM	1033	TEST
	0001000031001	23.09.2016	31.12.9999	KUNALDHNTPC@G	1033	TEST
0001000144	0001000144001	23.08.2016	31.12.9999	kunaldhingra23082016@gmail.com	1033	TESTED ON 23082016
0001000145	0001000145001	03.11.2016	31.12.9999	kk78071@gmail.com	1033	LOWERCASE CHECK
0001000158	0001000158003	23.11.2016	31.12.9999	kantshashi1@gmail.com	1033	LINKING DONE AS PER E-MAIL DATED 23.11.2016
	0001000158001	19.08.2016	31.12.9999	kunaldhingrantpc@gmail.com	1033	AS PER EMAIL DATED 19.08.2016 RECEICED FROM VENDOR
	0001000158002	22.08.2016	31.12.9999	TESTIGDELHI@GMAIL.COM	1033	TESTING ON 22.08.2016
0001000163	0001000163003	16.09.2016	31.12.9999	amita@gmail	1033	MMM
0001000165	0001000165001	24.11.2016	31.12.9999	amittripathi01@ntpc.co.i	1033	DOCUMENTS RECEIVED IN MAIL TODAY
0001000180	0001000180002	09.12.2016	31.12.9999	kantshashi2@gmail.com	1033	AS PER MAIL DATED 01.12.2016
	0001000180003	09.12.2016	31.12.9999	kunaldhingra1@gmail.com	1033	SOURCE OF DATA
0001000190	0001000190001	16.12.2016	31.12.9999	ntpceocnoida@gmail.com	1033	AS PER E-MAIL RECEIVED FROM VENDOR
0001000299	0001000299002	07.04.2017	31.12.9999	testbidder10@gmail.com	1033	MAIL DATED 07.04.2017 FROM CEO
	0001000299001	02.01.2017	31.12.9999	ntpctestbidder1@gmail.com	1033	TEST BIDDER 1 CREATED ON 02.01.2017
0001000480	0001000480001	02.01.2017	31.12.9999	ntpctestbidder4@gmail.com	1033	TEST BIDDER 4 CREATED ON 02.01.2017
	0001000480002	19.04.2017	31.12.9999	ntpctestbidder7@gmail.com	1033	DONE
0001000924	0001000924001	02.01.2017	31.12.9999	ntpctestbidder2@gmail.com	1033	TEST BIDDER 2 CREATED ON 02.01.2017
	0001000924002	11.04.2017	31.12.9999	abc@gmail.com	1033	E-MAIL DATED 11.04.2017
0001000925	0001000925001	02.01.2017	31.12.9999	ntpctestbidder3@gmail.com	1033	TEST BIDDER 3 CREATED ON 02.01.2017
0001001776	0001001776002	12.08.2016	31.12.9999	kunaldh@gmail.com	1033	2 ND VENDOR CODE
	0001001776001	12.02.2016	31.12.9999	THAREJA6@GMAIL.COM	1033	GEPNIC
0001008331	0001008331001	04.01.2017	31.12.9999	naskarsupriya1@gmail.com	1033	EMAIL
0001010468	0001010468001	22.02.2017	31.12.9999	mktg.melcon@gmail.com	1033	TEST

Similarly, List of GePNIC Users IDs mapped against a particular SAP vendor code can be obtained by entering "Vendor Code" & Clicking Execute button

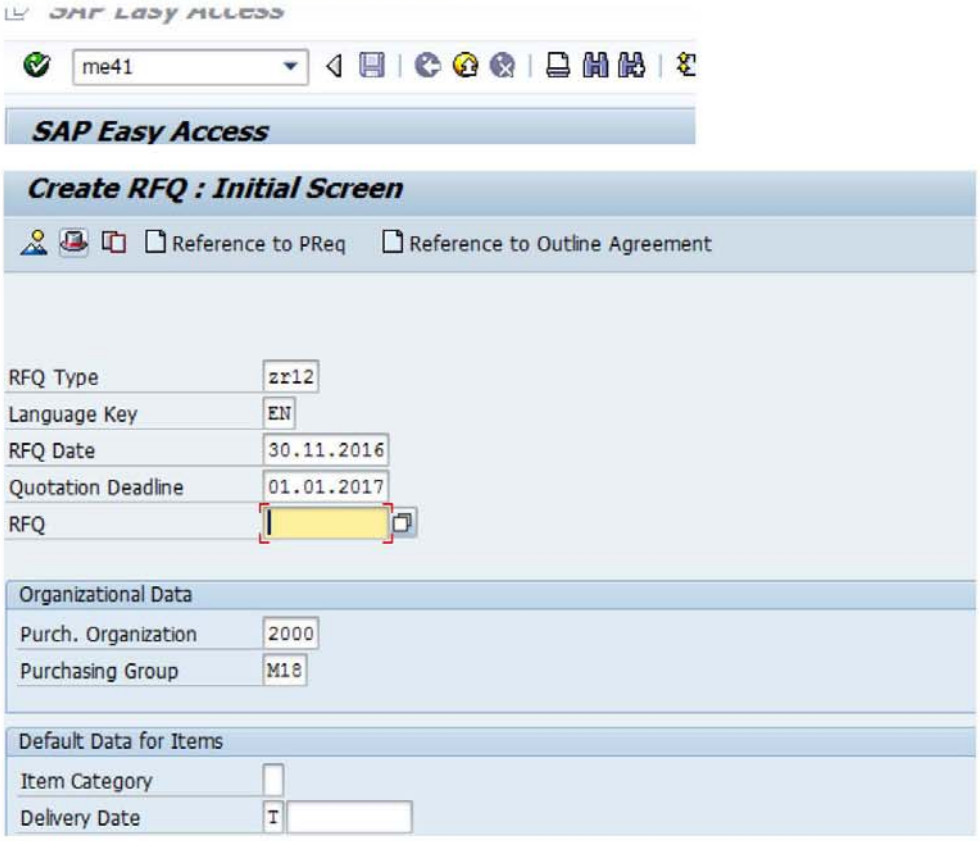


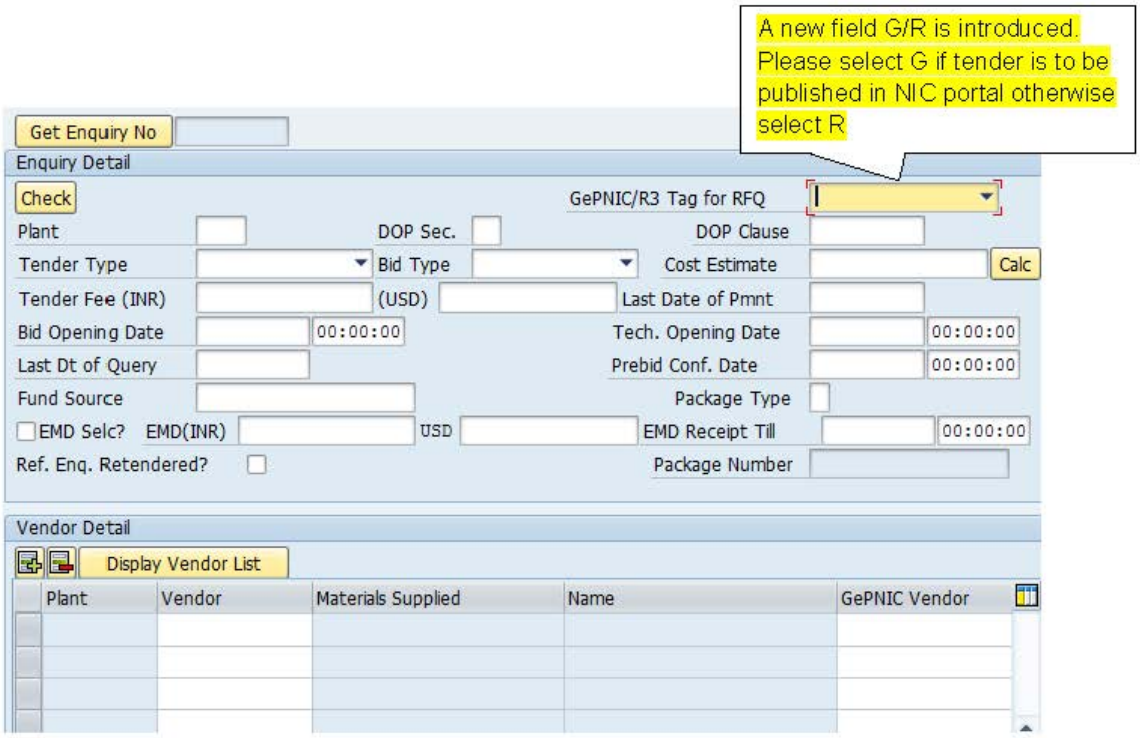
List of mapped GePNIC codes for that particular vendor code will be displayed as follows:

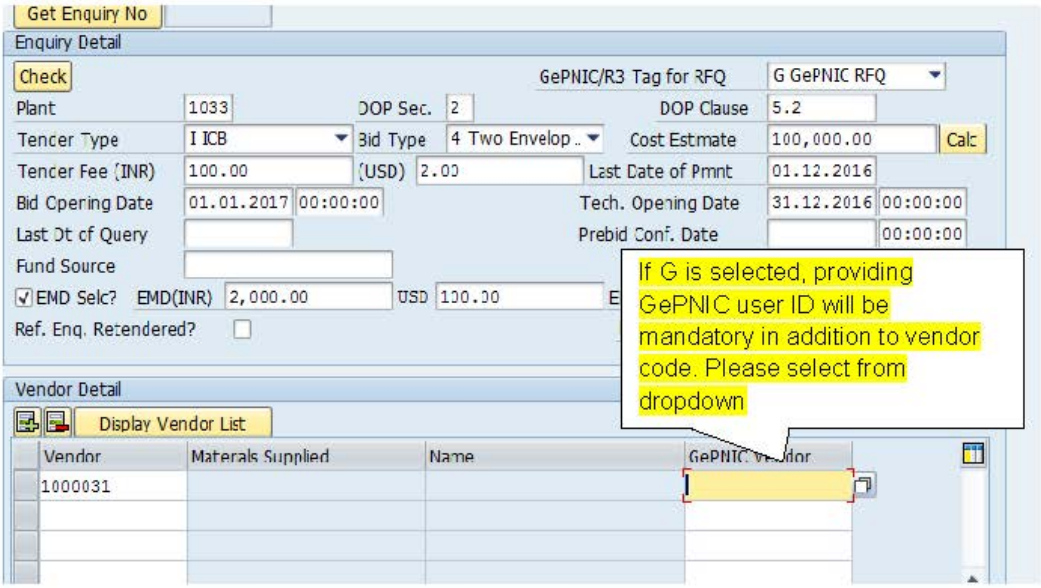


NTPC Vendor	GepNIC Vendor	Start Date	End Date	GepNIC ID	Plant	Remarks
0001000299	0001000299001	02.01.2017	31.12.9999	ntpctestbidder1@gmail.com	1033	TEST BIDDER 1 CREATED ON 02.01.2017
	0001000299002	07.04.2017	31.12.9999	testbidder10@gmail.com	1033	MAIL DATED 07.04.2017 FROM CEO

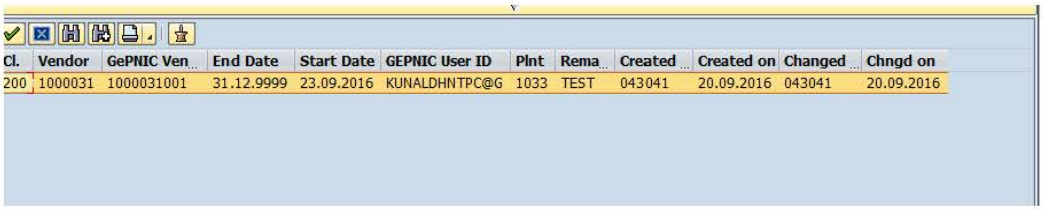
2. Change In RFQ creation Process



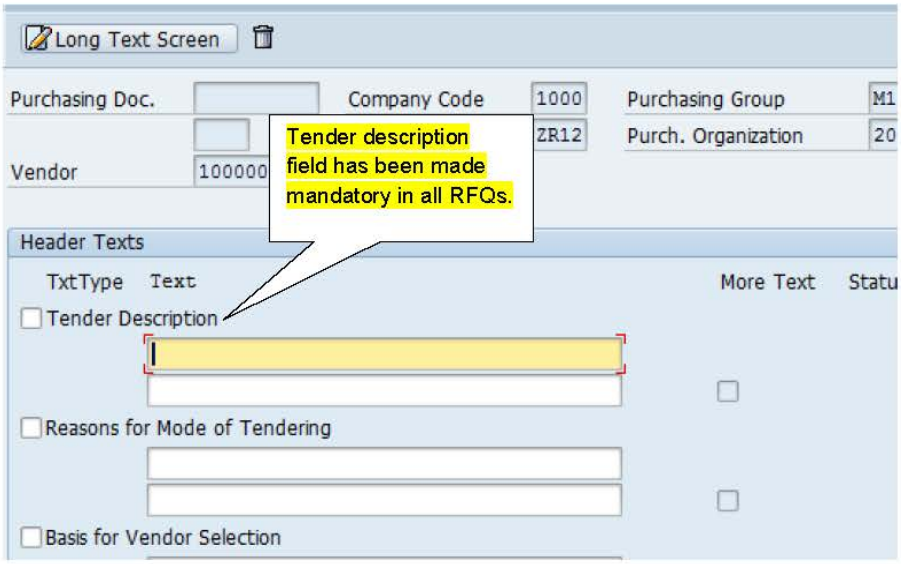

A new field G/R is introduced. Please select G if tender is to be published in NIC portal otherwise select R
Get Enquiry No
Enquiry Detail
Check
GePNIC/R3 Tag for RFQ
Plant
DOP Sec.
DOP Clause
Tender Type
Bid Type
Cost Estimate
Calc
Tender Fee (INR)
(USD)
Last Date of Pmnt
Bid Opening Date
00:00:00
Tech. Opening Date
Last Dt of Query
Prebid Conf. Date
Fund Source
Package Type
EMD Selc?
EMD(INR)
USD
EMD Receipt Till
Ref. Enq. Retendered?
Package Number
Vendor Detail
Display Vendor List
Plant
Vendor
Materials Supplied
Name
GePNIC Vendor

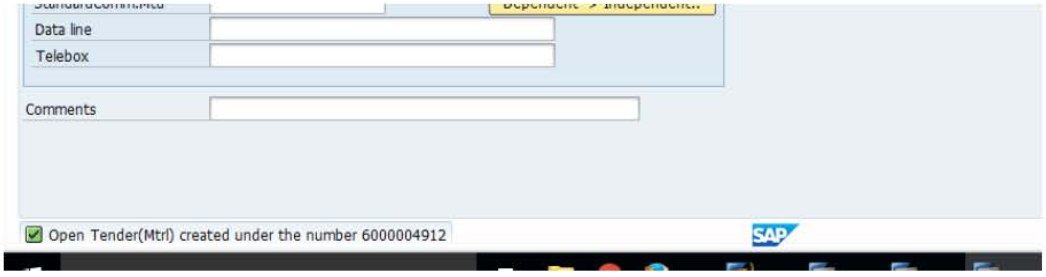

Get Enquiry No
Enquiry Detail
Check
GePNIC/R3 Tag for RFQ
G GePNIC RFQ
Plant
1033
DOP Sec.
2
DOP Clause
5.2
Tender Type
I ICB
Bid Type
4 Two Envelop..
Cost Estimate
100,000.00
Calc
Tender Fee (INR)
100.00
(USD)
2.00
Last Date of Pmnt
01.12.2016
Bid Opening Date
01.01.2017
00:00:00
Tech. Opening Date
31.12.2016
Last Dt of Query
Prebid Conf. Date
Fund Source
EMD Selc?
EMD(INR)
2,000.00
USD
100.00
Ref. Enq. Retendered?
If G is selected, providing GePNIC user ID will be mandatory in addition to vendor code. Please select from dropdown
Vendor Detail
Display Vendor List
Vendor
Materials Supplied
Name
1000031

Dropdown will appear from the already registered ID in ZMMVENDGEP (Step 1)

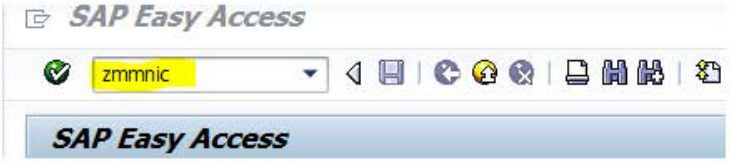


Cl.	Vendor	GePNIC Ven...	End Date	Start Date	GEPNIC User ID	Plnt	Rema...	Created ...	Created on	Changed ...	Chngd on
200	1000031	1000031001	31.12.9999	23.09.2016	KUNALDHNTPC@G	1033	TEST	043041	20.09.2016	043041	20.09.2016

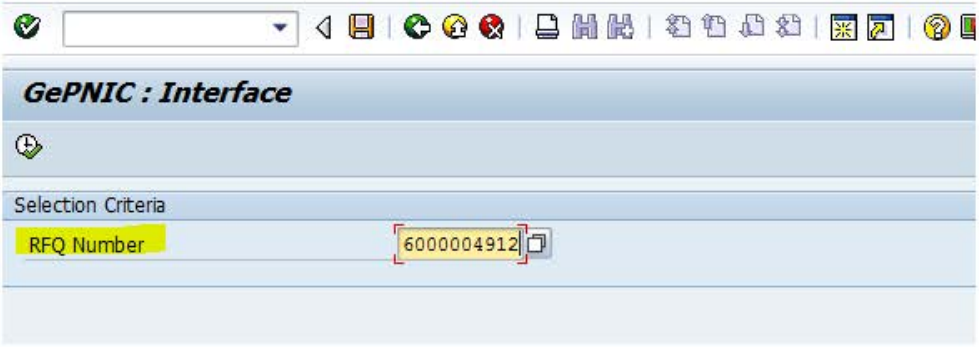




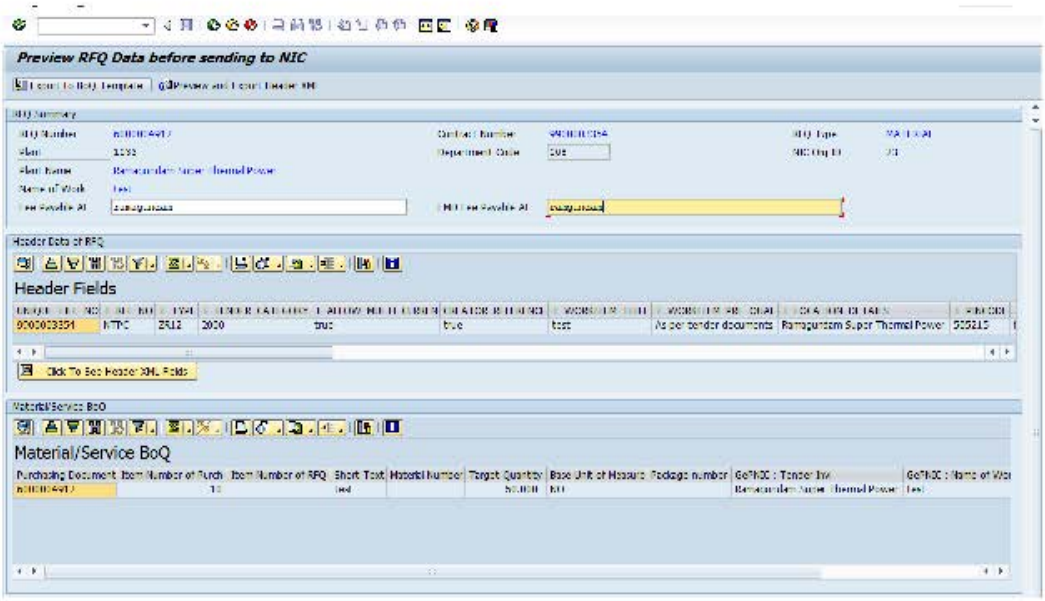
3. Run ZMMNIC to Transfer data from SAP to GePNIC Portal:

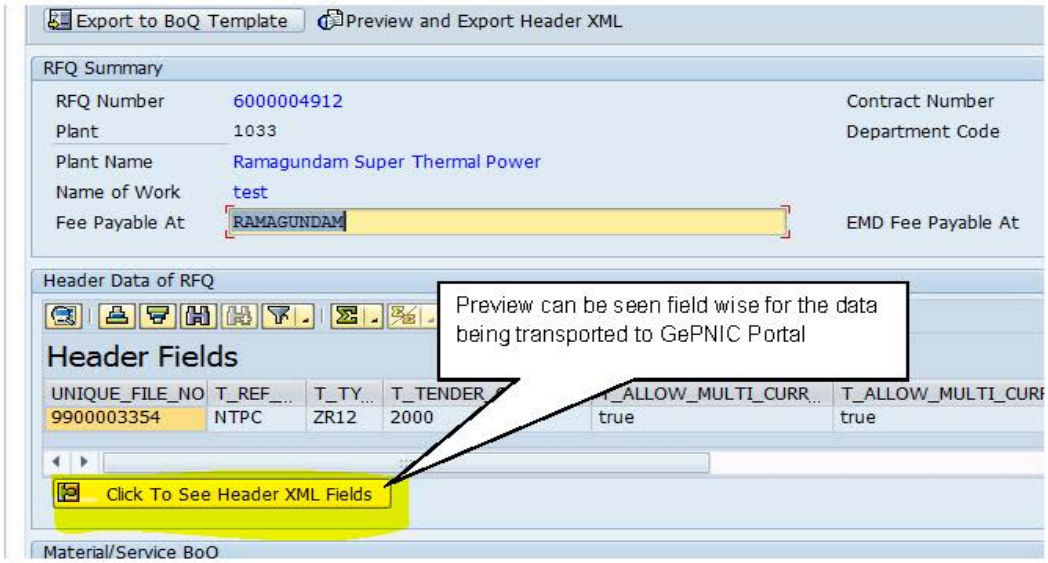


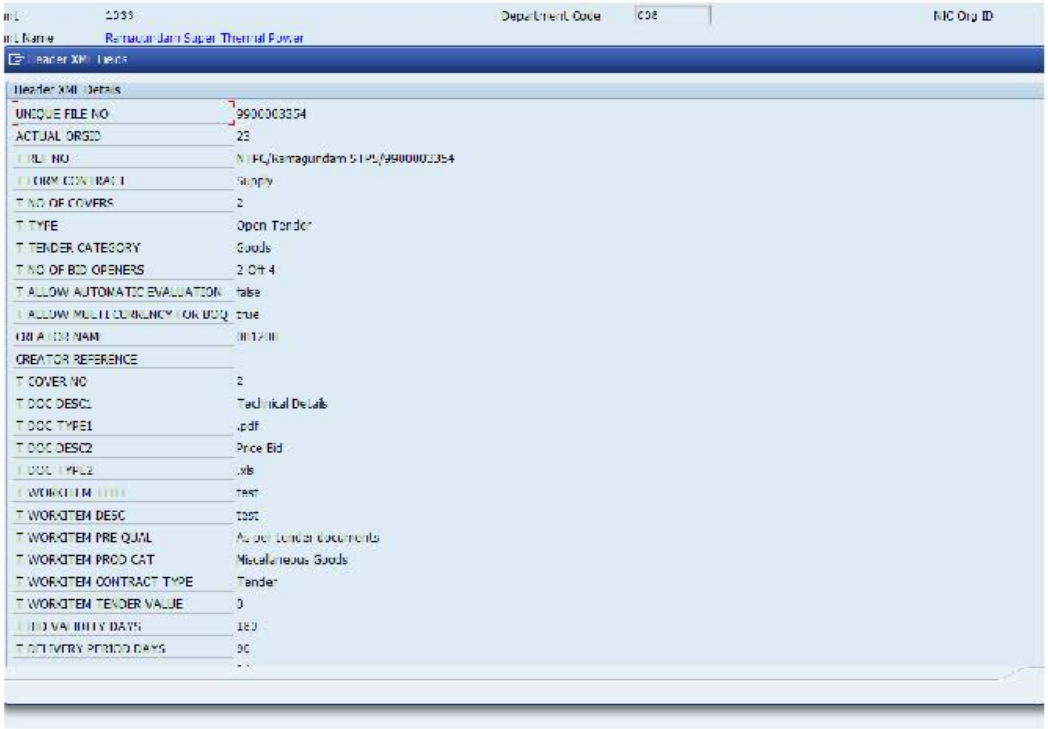
Please provide Draft RFQ no. (Vendor code 1000000) & Execute.



For Plant code 1001 an additional field will appear for selection of department (like corporate material, CPC, NETRA etc.)

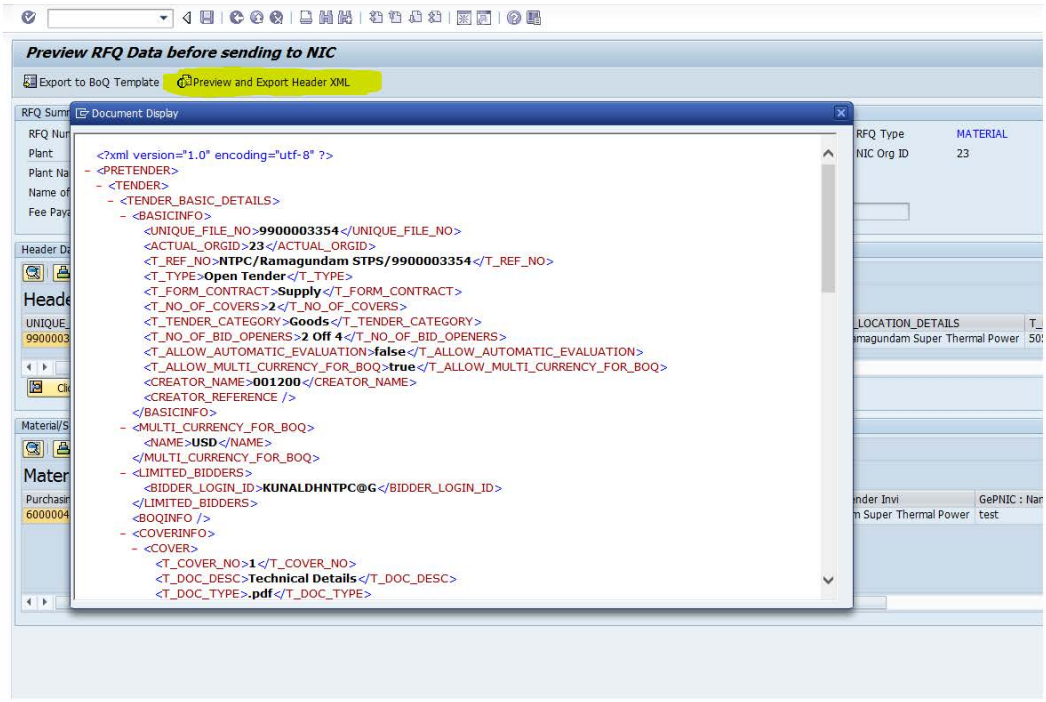



Export to BoQ Template
Preview and Export Header XML
RFQ Summary
RFQ Number 6000004912
Contract Number
Plant 1033
Department Code
Plant Name Ramagundam Super Thermal Power
Name of Work test
Fee Payable At RAMAGUNDAM
EMD Fee Payable At
Header Data of RFQ
Preview can be seen field wise for the data being transported to GePNIC Portal
Header Fields
UNIQUE_FILE_NO T_REF_.. T_TY.. T_TENDER_.. T_ALLOW_MULTI_CURR.. T_ALLOW_MULTI_CURR
9900003354 NTPC ZR12 2000 true true
Click To See Header XML Fields
Material/Service BoO


Department Code
NIC Org ID
Header XML Details
UNIQUE FILE NO 9900003354
ACTUAL ORGID 23
T NO OF COVERS 2
T TYPE Open Tender
T TENDER CATEGORY Goods
T NO OF BID OPENERS 2 Of 4
T ALLOW AUTOMATIC EVALUATION false
CREATOR REFERENCE
T COVER NO 2
T DOC DESC1 Technical Details
T DOC TYPE1 .pdf
T DOC DESC2 Price Bid
T WORKITEM test
T WORKITEM PRE QUAL
T WORKITEM PROD CAT Miscellaneous Goods
T WORKITEM CONTRACT TYPE Tender
T WORKITEM TENDER VALUE 0

DOC DESC1	Technical Details
DOC TYPE1	.pdf
DOC DESC2	Price Bid
DOC TYPE2	.xls
WORKITEM TITLE	test
WORKITEM DESC	test
WORKITEM PRE QUAL	As per tender documents
WORKITEM PROD CAT	Miscellaneous Goods
WORKITEM CONTRACT TYPE	Tender
WORKITEM TENDER VALUE	0
BID VALIDITY DAYS	180
DELIVERY PERIOD DAYS	90
ALLOW GTE DETAILS	false
TEMPLATE NAME	N
IND EXT MONITOR	N
LOCATION DETAILS	Ramagundam Super Thermal Power PO JYOTINAGAR DISTR
PINCODE	505215
PRE BID MEETING	false
PRE BID MEETING PLACE	NA
PRE BID MEETING ADDRESS	NA
BID OPENNING PLACE	Ramagundam Super Thermal Power
TENDERER CLASS	Not Applic
INVITING OFFICER	
INVITING OFF ADDRESS	Ramagundam Super Thermal Power PO JYOTINAGAR DISTRICT KARIMNAGAR 505215
ALLOW ITEMWISE EVALUATION	false
FEE PAYMENT MODE	offline
FEE	100

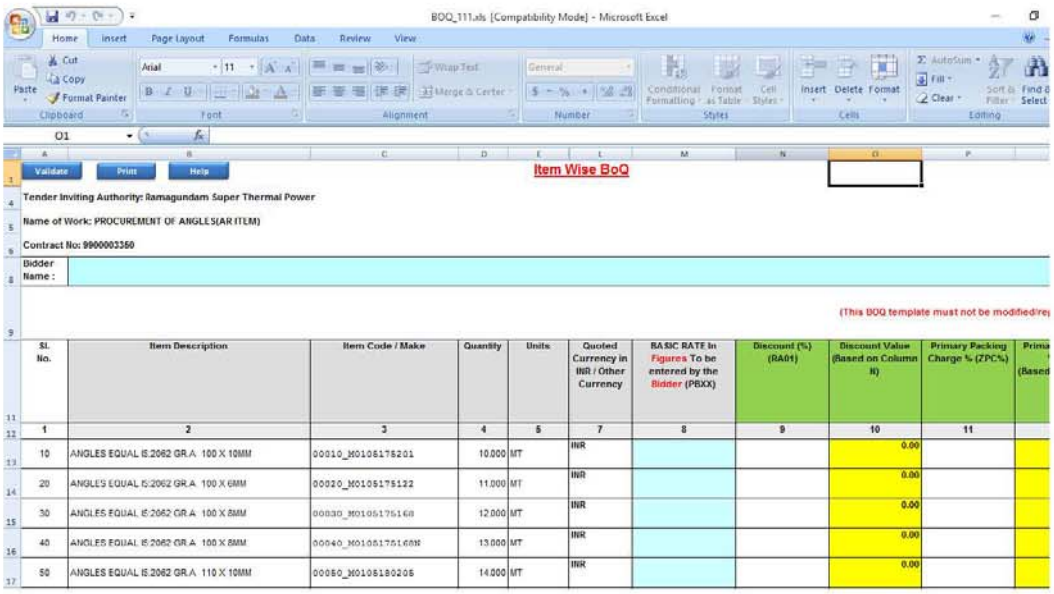
Preview can also be viewed in XML format for header details of tender



For BOQ or detail items of tender, we can generate XLS from RFQ items.

This can be done by clicking on "Export to BOQ template".

Data Populates in BOQ template like below:



BOQ_111.xls [Compatibility Mode] - Microsoft Excel

Validate | Print | Help

Item Wise BoQ

Tender Inviting Authority: Ramagundam Super Thermal Power

Name of Work: PROCUREMENT OF ANGLES(AR ITEM)

Contract No: 9900003360

Bidder Name :

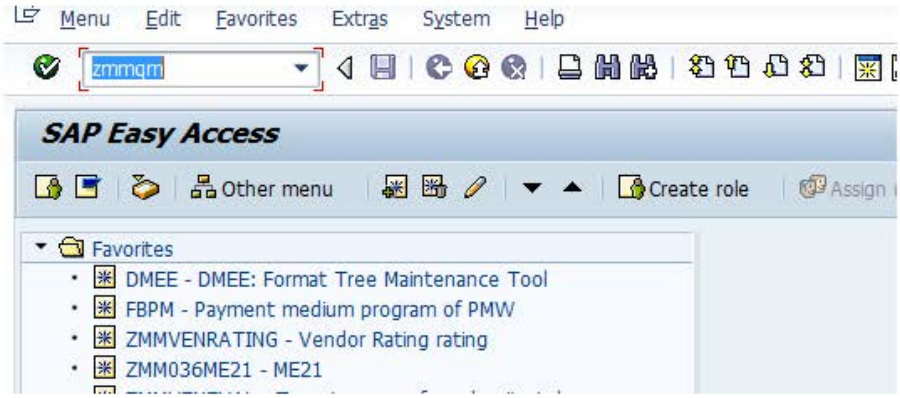
(This BOQ template must not be modified/re

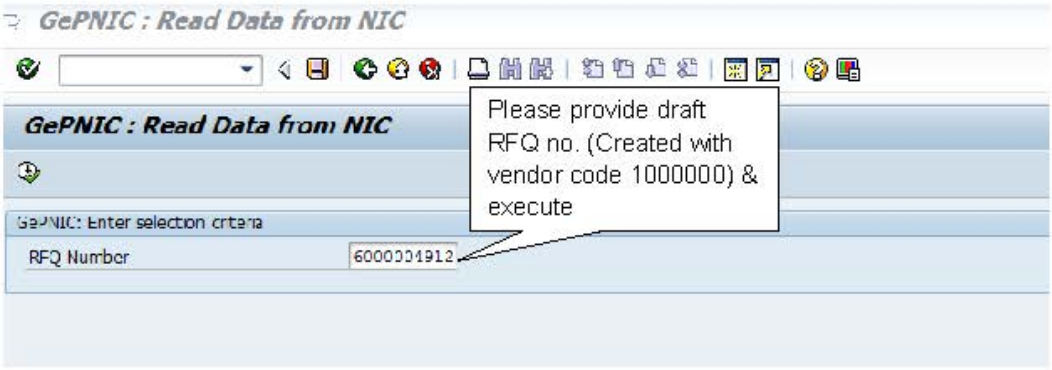
Sl. No.	Item Description	Item Code / Make	Quantity	Units	Quoted Currency in INR / Other Currency	BASIC RATE in Figures To be entered by the Bidder (PBXX)	Discount (%) (RA01)	Discount Value (Based on Column H)	Primary Packing Charge % (ZPC%)	Prima (Based
1	2	3	4	5	7	8	9	10	11	
10	ANGLES EQUAL IS:2062 GR.A 100 X 10MM	00010_M0105175201	10.000	MT	INR			0.00		
20	ANGLES EQUAL IS:2062 GR.A 100 X 6MM	00020_M0105175122	11.000	MT	INR			0.00		
30	ANGLES EQUAL IS:2062 GR.A 100 X 8MM	00030_M0105175168	12.000	MT	INR			0.00		
40	ANGLES EQUAL IS:2062 GR.A 100 X 8MM	00040_M0105175168N	13.000	MT	INR			0.00		
50	ANGLES EQUAL IS:2062 GR.A 110 X 10MM	00050_M0105180205	14.000	MT	INR			0.00		

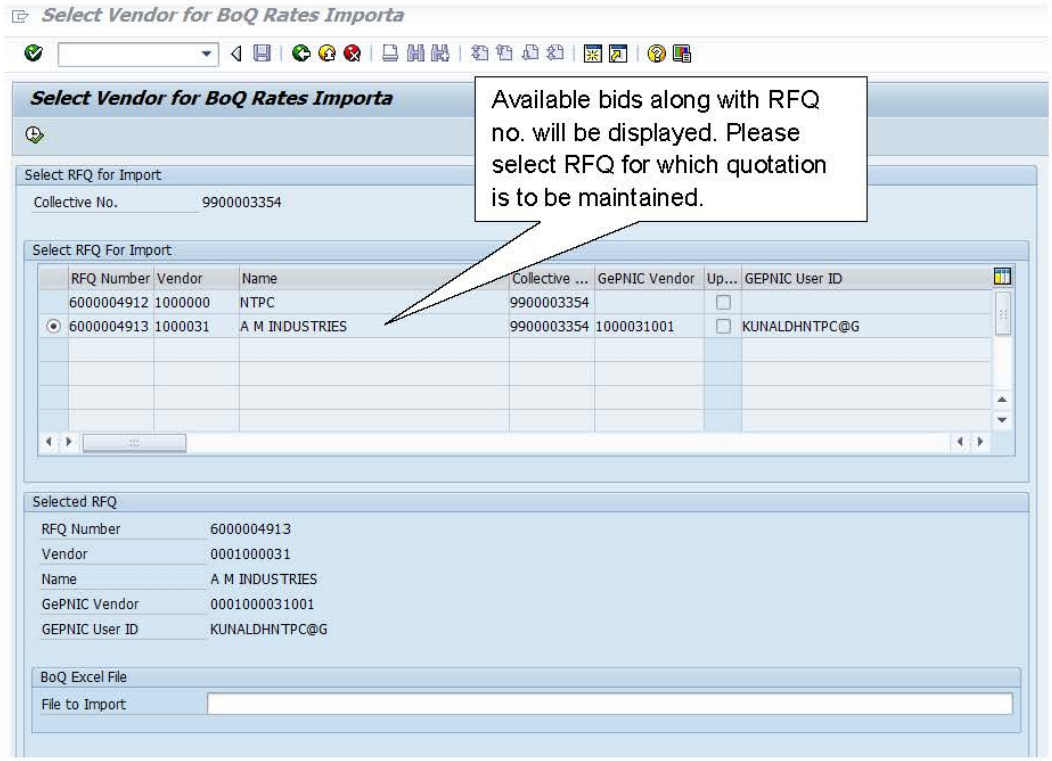
4. ZMMQM: Quotation Maintenance in RFQ:

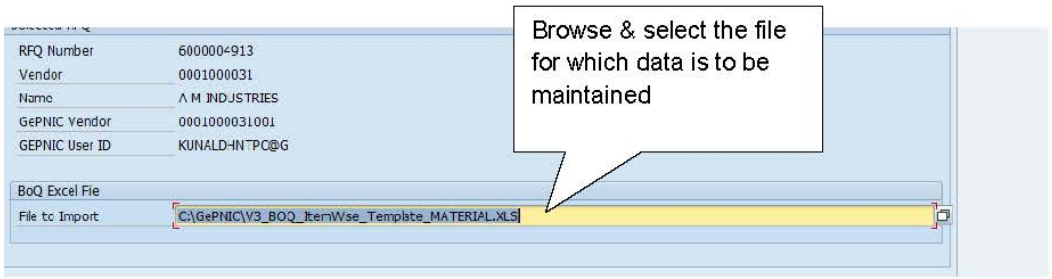
Download the BoQ Excel template (Price Bids) received from Bidders in .xls format. Suggested name of the downloaded files is *BoQ_tender no_Vendor code* for easy identification of the bids. Now, to populate data from BoQ template to RFQ, use T-code ZMMQM.

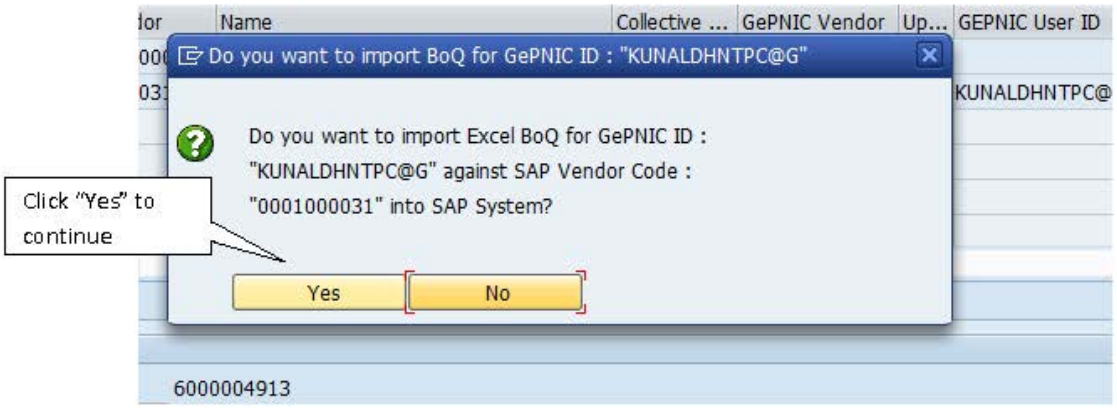
Bids will be populated in ME47 transaction code. These can be seen in foreground & can be saved after entering payment terms.
Users are advised to view the calculation & loading of all items at item level & Header level both.

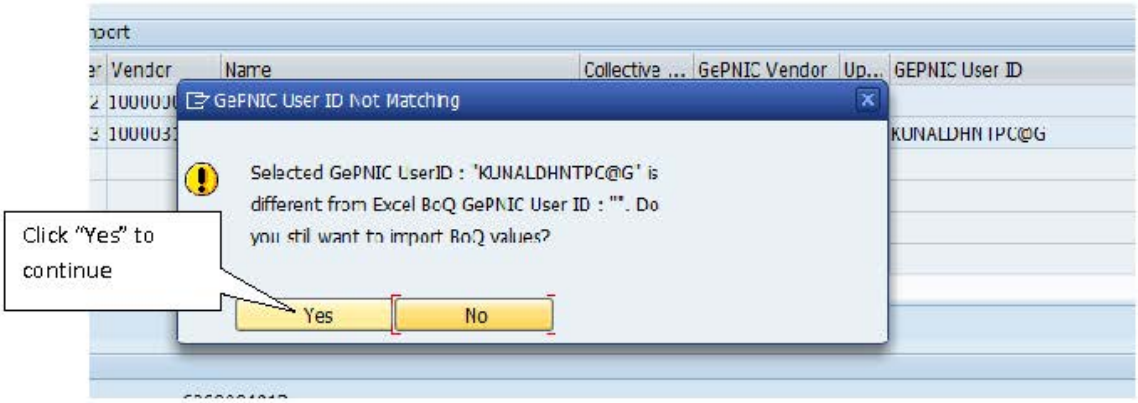


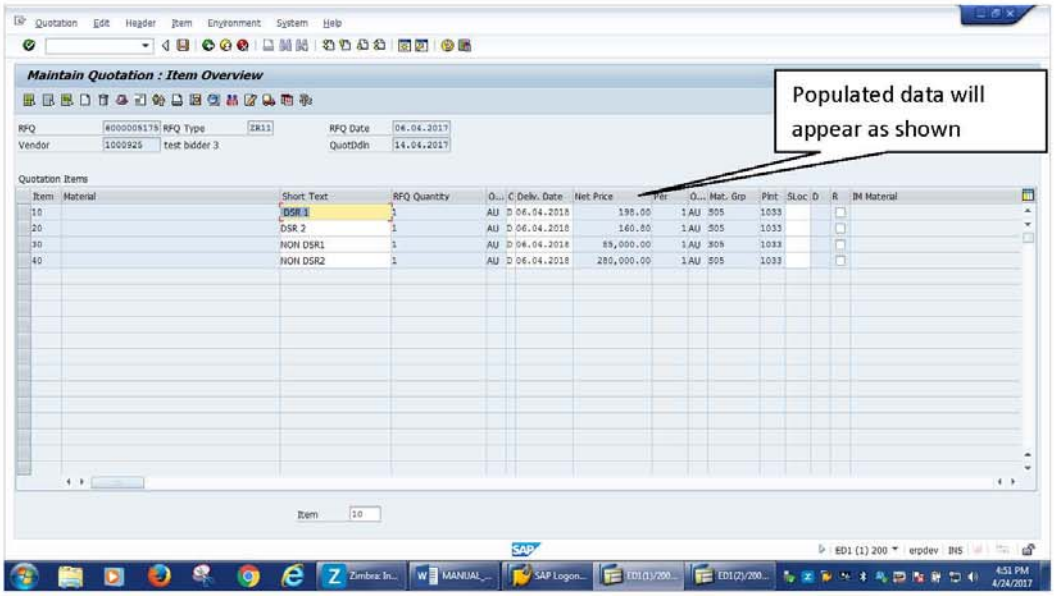


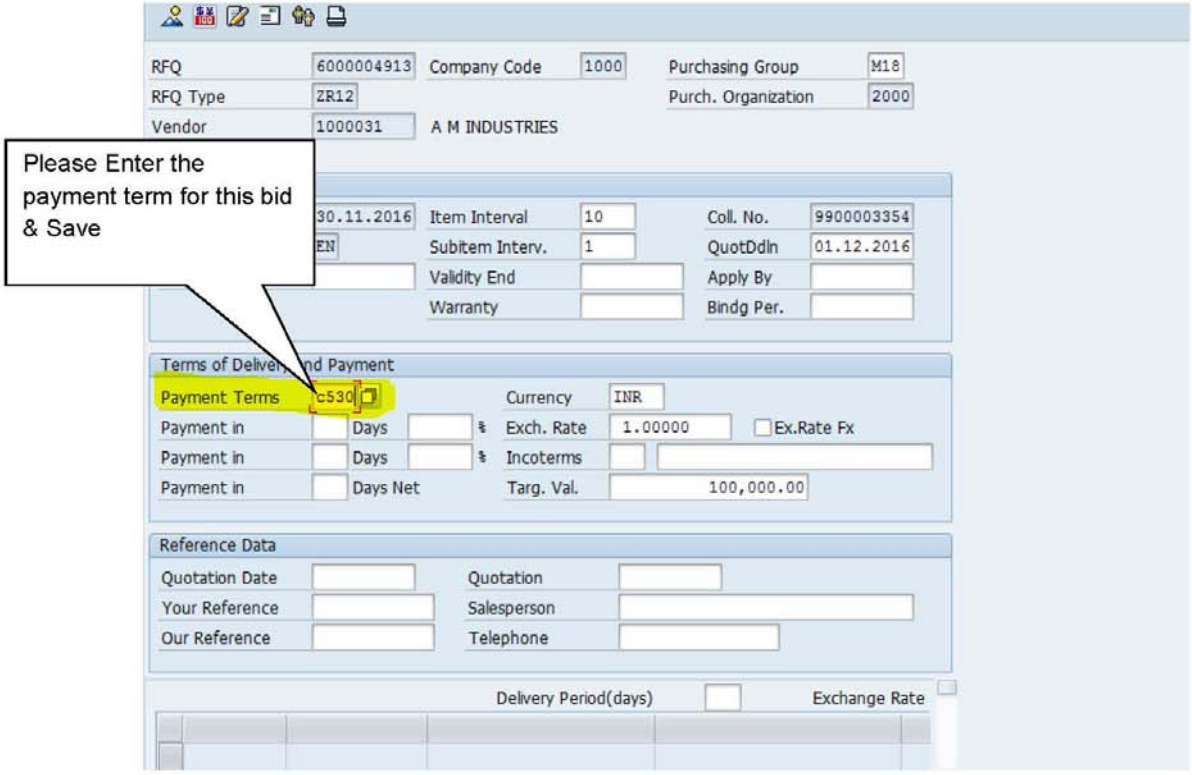

Select Vendor for BoQ Rates Importa
Select Vendor for BoQ Rates Importa
Available bids along with RFQ no. will be displayed. Please select RFQ for which quotation is to be maintained.
Select RFQ for Import
Collective No. 9900003354
Select RFQ For Import
RFQ Number Vendor Name Collective ... GePNIC Vendor Up... GEPNIC User ID
6000004912 1000000 NTPC 9900003354
6000004913 1000031 A M INDUSTRIES 9900003354 1000031001 KUNALDHNTPC@G
Selected RFQ
RFQ Number 6000004913
Vendor 0001000031
Name A M INDUSTRIES
GePNIC Vendor 0001000031001
GEPNIC User ID KUNALDHNTPC@G
BoQ Excel File
File to Import

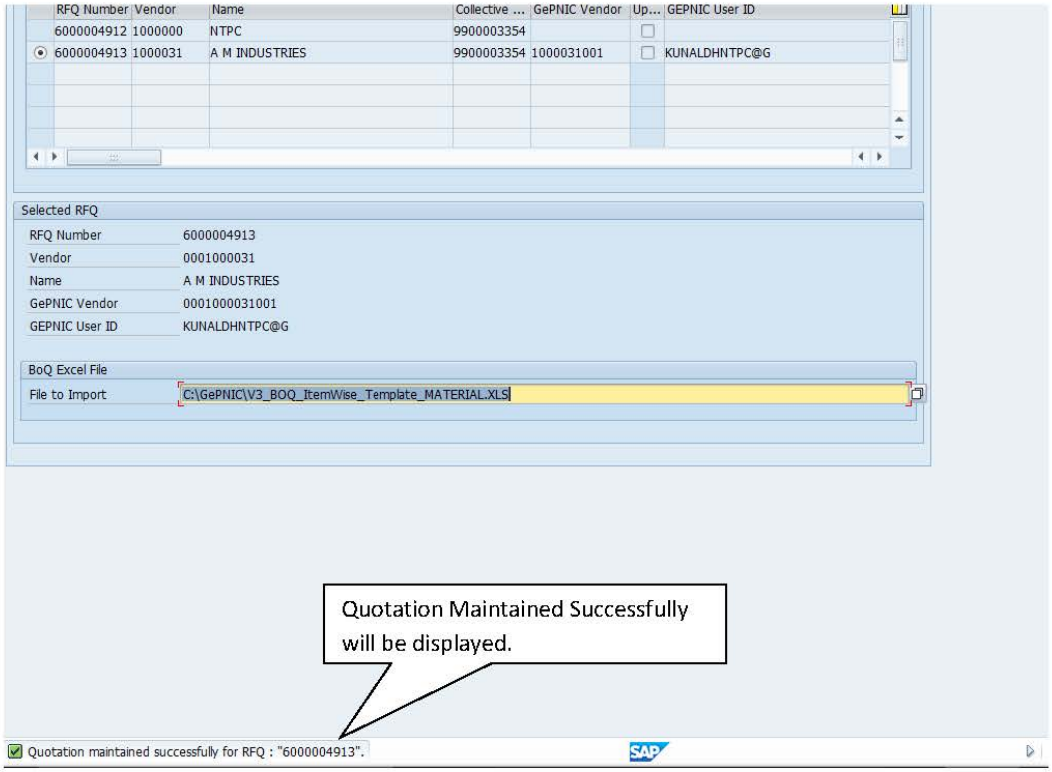

Browse & select the file for which data is to be maintained
RFQ Number 6000004913
Vendor 0001000031
Name A M INDUSTRIES
GePNIC Vendor 0001000031001
GEPNIC User ID KUNALDHNTPC@G
BoQ Excel File
File to Import C:\GePNIC\V3_BOQ_ItemWse_Template_MATERIAL.XLS


Name
Collective ...
GePNIC Vendor
Up...
GEPNIC User ID
Do you want to import BoQ for GePNIC ID : "KUNALDHNTPC@G"
Do you want to import Excel BoQ for GePNIC ID : "KUNALDHNTPC@G" against SAP Vendor Code : "0001000031" into SAP System?
Yes
No
Click "Yes" to continue
KUNALDHNTPC@
6000004913


Vendor
Name
Collective ...
GePNIC Vendor
Up...
GEPNIC User ID
GePNIC User ID Not Matching
Selected GePNIC UserID : 'KUNALDHNTPC@G' is different from Excel BoQ GePNIC User ID : ''. Do you stil want to import BoQ values?
Yes
No
Click "Yes" to continue
KUNALDHNTPC@G


Maintain Quotation : Item Overview
Populated data will appear as shown


RFQ 6000004913 Company Code 1000 Purchasing Group M18
RFQ Type ZR12 Purch. Organization 2000
Vendor 1000031 A M INDUSTRIES
Please Enter the payment term for this bid & Save
Item Interval 10 Coll. No. 9900003354
Subitem Interv. 1 QuotDdln 01.12.2016
Validity End Apply By
Warranty Bindg Per.
Payment Terms c530 Currency INR
Exch. Rate 1.00000 Ex.Rate Fx
Incoterms
Targ. Val. 100,000.00
Reference Data
Quotation Date Quotation
Your Reference Salesperson
Our Reference Telephone
Delivery Period(days) Exchange Rate



Please note that Tax Code & Other charges to be added manually.

Formats to be uploaded at GePNIC portal at tendering and award stage

(A) Technical Bid opening summary

Description	Details
NIT/IFB No. & date:	
Project Name:	
Package Name:	
Summary:	The Techno-Commercial Bids for the subject tender have been opened on……

Digital Signature……..
(Name & Designation of the dealing Executive)

(B) Technical Evaluation summary

Description	Details
NIT/IFB No. & date:	
Project Name:	
Package Name:	
Technical Bid opening Date:	
Summary:	The evaluation of Techno-Commercial Bids for the subject tender has been concluded.

Digital Signature……..
(Name & Designation of the dealing Executive)

(C) Financial Bid opening summary

Description	Details
NIT/IFB No. & date:	
Project Name:	
Package Name:	
Technical Bid opening Date:	
Summary:	The Price Bids for the subject tender have been opened on……

Digital Signature……..
(Name & Designation of the dealing Executive)

(D) Financial Evaluation summary

Description	Details
NIT/IFB No. & date:	
Project Name:	
Package Name:	
Technical Bid opening Date:	
Price Bid opening Date:	
Summary:	The evaluation of Price Bids for the subject tender has been concluded.

Digital Signature……..
(Name & Designation of the dealing Executive)

(E) AOC details

Description	Details
NIT/IFB No. & date:	
Project Name:	
Package Name:	
Technical Bid opening Date:	
Price Bid opening Date:	
Letter of Award No. & Date	
Contract Price	
Name of the Contractor	

Digital Signature.....
(Name & Designation of the dealing Executive)

FORMAT OF INTEGRITY PACT

INTEGRITY PACT

between

NTPC Ltd., a Govt. of India Enterprise (hereinafter referred to as "The Employer")

and

..... (hereinafter referred to as "The Bidder/Contractor ")

and

..... (hereinafter referred to as "JV Partner/ Consortium Members" (if applicable))

Preamble

The Employer invites the bids from all eligible bidders and intends to enter into contract for ..... with the successful bidder(s), as per organizational systems and procedures. The Employer values full compliance with all relevant laws and regulations, and the principles of economical use of resources, and of fairness and transparency in its relations with its Bidder(s) and/or Contractor(s).

In order to achieve these goals, the Employer will appoint an Independent External Monitor (IEM), who will monitor the bidding process and the execution of the contract for compliance with the principles mentioned above.

Section 1 Commitments of the Employer

1. The Employer Commits itself to take all measures necessary to prevent corruption and to observe the following principles in this regard:-

a) No employee of the Employer, either in person or through family members including relatives, will in connection with the bidding for or the execution of a contract, demand or accept a promise for or accept for him/herself or for a third person, any material or immaterial benefit to which he/she is not legally entitled to.

b) The Employer shall, during the bidding process treat all Bidders with equity and reason. The Employer will, in particular, before and during the bidding process, provide to all Bidders the same information and will not provide to any Bidder confidential/additional information through which the Bidder(s)

could obtain an advantage in relation to the bidding process or the contract execution.

c) The Employer will exclude from the process all known prejudiced persons.

2. If the Employer obtains information on the conduct of any of its employees which is a criminal offence under the IPC/PC Act or if there be a substantive suspicion in this regard, the Employer will inform the Chief Vigilance Officer and in addition can initiate disciplinary actions.

Section 2 Commitments and Undertakings by the Bidder/Contractor

1 The Bidder/Contractor commits and undertakes to take all measures necessary to prevent malpractices & corruption. He commits himself to observe the following principles during his participation in the bidding process and during the execution of the contract:

a) The Bidder/ Contractor undertakes not to, directly or through any other person or firm offer, promise or give or influence to any employee of the Employer associated with the bidding process or the execution of the contract or to any third person on their behalf any material or immaterial benefit which he/she is not legally entitled, in order to obtain in exchange any advantage of any kind whatsoever during the bidding process or during the execution of the contract.

b) The Bidder/ Contractor undertake not to enter into any undisclosed agreement or understanding, whether formal or informal with other Bidders. This applies in particular to prices, specifications, certifications, subsidiary contracts, submission or non-submission of bids or any other action to restrict competitiveness or to introduce cartelization in the bidding process.

c) The Bidder/Contractor undertakes not to commit any offence under the relevant Anti-corruption Laws of India; further the Bidder/Contractor will not use improperly, any information or document provided by the Employer as part of the business relationship, regarding plans, technical proposals and business details, including information contained or transmitted electronically for purposes of competition or personal gain and will not pass the information so acquired on to others.

d) The Bidder/ Contractor will, when presenting his bid undertakes, to disclose any and all payments made, is committed to or intends to make to agents, brokers or any other intermediaries in connection with the award of the contract.

2 The Bidder/ Contractor will not instigate and allure third persons/parties to commit offences outlined above or be an accessory to such offences.

Section 3 Disqualification from Bidding Process and Exclusion from Future Contracts

1. If the Bidder(s)/ Contractor(s), before award or during execution has committed a transgression through a violation of any provisions of Section 2 or in any other form so as to put his reliability or credibility as Bidder into question, the Employer shall be entitled to disqualify the Bidder(s)/ Contractor(s) from the bidding process or to terminate the contract, if signed on that ground.

2. If the Bidder/ Contractor has committed a transgression through a violation of Section 2 such as to put his reliability or credibility into question, the Employer shall be entitled to exclude including blacklist and put on holiday the Bidder/ Contractor for any future tenders/contract award process. The imposition and duration of the exclusion will be determined by the severity of the transgression. The severity will be determined by the Employer taking into consideration the full facts and circumstances of each case particularly taking into account the number of transgressions, the position of the transgressors within the company hierarchy of the Bidder and the amount of the damage. The exclusion will be imposed for a minimum of 3 years.

3. A transgression is considered to have occurred if the Employer after due consideration of the available evidence concludes that no reasonable doubt is possible

4. The Bidder with its free consent and without any influence agrees and undertakes to respect and uphold the Employer's absolute rights to resort to and impose such exclusion and further accepts and undertakes not to challenge or question such exclusion on any ground, including the lack of any hearing before the decision to resort to such exclusion is taken. This undertaking is given freely and after obtaining independent legal advice.

5. Subject to full satisfaction of the Employer, the exclusion of Bidder/ Contractor could be revoked by the Employer if the Bidder/ Contractor can prove that he has restored/ recouped the damage caused by him and has installed a suitable corruption prevention system in his organization.

SECTION 4 Compensation for Damages including Forfeiture of Earnest Money Deposit/ Security Deposit/ Performance & Advance Bank Guarantees

1. If the Employer has disqualified the Bidder/ Contractor from the bidding process or has terminated the contract pursuant to Section 3, the Employer shall forfeit the Earnest Money Deposit/Bid Security, encash Contract Performance Bank Guarantees in addition to excluding the bidder from the future award process and terminating the contract.

2. In addition to 1 above, the Employer shall be entitled to take recourse to the relevant provisions of the contract related to Termination of Contract due to Contractor's Default.

Section 5 Previous Transgressions

1 The Bidder swears on oath that no previous transgression occurred in the last three years immediately before signing of this Integrity Pact, with any other company in any country conforming to TI approach or including with any Public Sector Enterprise/ Undertaking in India or any Government Department in India that could justify bidder's exclusion from the tender process.

2 If the Bidder makes incorrect statement on this subject, Bidder can be disqualified from the bidding process or the contract, if already awarded, can be terminated on this ground.

Section 6 Company Code of Conduct

Bidders are also advised to have a company code of conduct (clearly rejecting the use of bribes and other unethical behaviour) and a compliance program for the implementation of the code of conduct throughout the company.

Section 7 Independent External Monitors

1 The Employer will appoint competent and credible Independent External Monitor for this Pact. The task of the Monitor is to review independently and objectively, whether and to what extent the parties comply with the obligations under this agreement.

2 The Monitor is not subject to instructions by the representatives of the parties and performs his functions neutrally and independently. He shall report to CMD of the Employer or a person authorized by him.

3 The Bidder/Contractor accepts that the Monitor has the right to access without restriction to all Project documentations of the Employer including that provided by the Contractor. The Contractor will also grant the Monitor, upon his request and demonstration of a valid interest, unrestricted and unconditional access to his Project Documentations. The same is applicable to Subcontractors. The Monitor is under contractual obligation to treat the information and documents of the Bidder / Contractor / Sub-Contractors/ JV partners/Consortium member with confidentiality.

4 The Employer will provide to the Monitor sufficient information about all meetings among the parties related to the Project provided such meetings could have an impact on the contractual relations between the Employer and the Contractor. The parties offer to the Monitor the option to participate in such meetings.

5 As soon as the Monitor notices, or believes to notice, a violation of this agreement, he will so inform the Management of the Employer (CMD of the Employer or a person authorized by him) and request to discontinue or to take corrective action, or to take other relevant action. The Monitor can in this regard submit non-binding recommendations. Beyond this, the Monitor has no right to demand from the parties that they act in a specific manner, refrain from action or tolerate action. However, Independent External Monitor shall give an opportunity to the bidder/contractor to present its case before making its recommendations to the Employer

6 The Monitor will submit a written report to CMD of the Employer or a person authorized by him within 8-10 weeks from the date of reference or intimation to him by the Employer and, should the occasion arise, submit proposals for correcting problematic situations.

7 The Monitor shall be entitled to compensation on the same terms as being extended to/provided to Independent Directors of NTPC Board.

8 If the Monitor has reported to CMD of the Employer or a person authorized by him a substantiated suspicion of an offence under relevant IPC/ PC Act, and he has not, within reasonable time, taken visible action to proceed against such offence or reported it to the Chief Vigilance Officer, the Monitor may also transmit this information directly to the Central Vigilance Commissioner, Government of India.

9 The word "Monitor" will include Singular or Plural.

Section 8 Pact Duration

1 This Pact comes into force from the date of signing by all the parties. It shall expire for the Contractor 12 months after the last payment under the respective contract, and for all other unsuccessful bidders 6 months after the contract has been awarded.

Section-9 Miscellaneous Provisions

1 This Pact is subject to Indian Law. The place of performance and jurisdiction shall be New Delhi.

2 Should one or several provisions of this Pact turn out to be invalid; the remainder of this Pact remains valid. In this case, the parties will strive to come to an agreement to their original intentions.

3. The actions stipulated in this Integrity Pact are without prejudice to any other legal action that may follow in accordance with the provisions of the extant law in force relating to any civil or criminal proceedings.

4. If the Contractor is a JV partnership/Consortium/Associate, this agreement must be signed by all the partners of JV/Consortium Partners/Associate as the case may be.

The Parties hereby sign this Integrity Pact at .....on this ..... day of.....200....

Employer	**Bidder/ Contractor**	**Joint Venture Partner(s)/ Consortium member(s) (As Applicable)**
Witness	Witness	Witness
1. _____	1. _____	1. _____
2. _____	2. _____	2. _____

Core Values: ICOMIT

INTEGRITY
CUSTOMER FOCUS
ORGANISATIONAL PRIDE
MUTUAL RESPECT & TRUST
INNOVATION & LEARNING
TOTAL QUALITY & SAFETY

एनटीपीसी
NTPC

A Maharatna Company

एन टी पी सी लिमिटेड

(भारत सरकार का उद्यम)

NTPC Limited

(A Government of India Enterprise)

NTPC Vision

TO BE THE WORLD'S LEADING POWER COMPANY, ENERGIZING INDIA'S GROWTH.

NTPC Mission

PROVIDE RELIABLE POWER AND RELATED SOLUTIONS IN AN ECONOMICAL, EFFICIENT AND ENVIRONMENT FRIENDLY MANNER, DRIVEN BY INNOVATION AND AGILITY.